West Bend Insurance Company
1900 S. 18th Ave. | West Bend, WI 53095

Renewal

## Commercial Lines Policy Declaration

**Customer Number:** 0110116385
**Policy Number:** A848246 05

**Policy Period:** 01/01/2026 to 01/01/2027
at 12:01 AM Standard Time at Your Mailing Address Shown Below

**Named Insured and Address:**
Locksley, Inc
DBA Paul Davis Restoration of South Central WI
3432A County Rd N
Cottage Grove, WI 53527

**Agency Name and Address:** 48508
R & R INSURANCE SERVICES INC
N14W23900 STONE RIDGE DR
WAUKESHA, WI 53188
262-574-7000

In return for the payment of the premium, and subject to all the terms of this policy, we agree with you to provide the insurance as stated in this policy.

This policy consists of the following coverage parts for which a premium is indicated. This premium may be subject to adjustment.

| Coverage Part | Premium |
|---|---|
| Commercial Property Coverage | $10,743.00 |
| Commercial General Liability Coverage | $50,718.00 |
| Commercial Auto Coverage | $75,798.00 |
| Commercial Inland Marine Coverage | $8,412.00 |
| Crime and Fidelity Coverage | $396.00 |
| Commercial Liability Umbrella Coverage | $25,231.00 |
| Total Premium: | $171,298.00 |
| Total Including Taxes, Fees and Surcharges: | $171,298.00 |

**This is not a bill.** A billing invoice will be sent separately.

See attached schedule for forms applicable to all coverage parts.

West Bend Insurance Company
1900 S. 18th Ave. | West Bend, WI 53095

Renewal

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N14W23900 STONE RIDGE DR
WAUKESHA, WI 53188
262-574-7000

### Named Insured Schedule

Locksley, Inc DBA Paul Davis Restoration of South Central WI

Barnsdale, LLC

Locksley Investment I, LLC

Locksley Development I, LLC

Paul Davis Restoration & Remodeling

Paul Davis Systems

Paul Davis Restoration & Remodeling of Lakeland

West Bend Insurance Company
1900 S. 18th Ave. | West Bend, WI 53095

Renewal

## Commercial Lines Policy Declarations

**Customer Number:** 0110116385
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**Agency Name and Address:** 48508
R & R INSURANCE SERVICES INC
N14W23900 STONE RIDGE DR
WAUKESHA, WI 53188
262-574-7000

### Location Schedule

| Loc | Address | City | County | State | Zip |
|---|---|---|---|---|---|
| 1 | 3432A County Rd N | Cottage Grove | Dane | WI | 53527 |
| 2 | 3432B County Rd N | Cottage Grove | Dane | WI | 53527 |
| 3 | 120 N Parker Dr | Janesville | Rock | WI | 53545 |

West Bend Insurance Company
1900 S. 18th Ave. | West Bend, WI 53095

Renewal

## Commercial Lines Policy Declarations

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R & R INSURANCE SERVICES INC
N14W23900 STONE RIDGE DR
WAUKESHA, WI 53188
262-574-7000

### Forms Schedule

| Number | Edition | Description |
|---|---|---|
| IL0985 | 1220 | DISCLOSURE PURSUANT TO TERRORISM RISK INSURANCE ACT |
| WB214 | 0524 | MEMBERSHIP AND VOTING NOTICE |
| IL0935Y | 0702 | EXCLUSION OF CERTAIN COMPUTER-RELATED LOSSES |
| IL0017Y | 1198 | COMMON POLICY CONDITIONS |
| IL0952Y | 0115 | CAP ON LOSSES FROM CERTIFIED ACTS OF TERRORISM |
| WB241 | 0524 | WEST BEND INSURANCE COMPANY NAME CHANGE ENDORSEMENT |
| IL0283Y | 1118 | WISCONSIN CHANGES - CANCELLATION AND NONRENEWAL |
| IL0021 | 0908 | NUCLEAR ENERGY LIABILITY EXCLUSION ENDORSEMENT (BROAD FORM) |
| WB660 | 0824 | TWO OR MORE COVERAGE FORMS OR POLICIES ISSUED BY US |

POLICY NUMBER: A848246

**IL 09 85 12 20**

**THIS ENDORSEMENT IS ATTACHED TO AND MADE PART OF YOUR POLICY IN RESPONSE TO THE DISCLOSURE REQUIREMENTS OF THE TERRORISM RISK INSURANCE ACT. THIS ENDORSEMENT DOES NOT GRANT ANY COVERAGE OR CHANGE THE TERMS AND CONDITIONS OF ANY COVERAGE UNDER THE POLICY.**

# DISCLOSURE PURSUANT TO TERRORISM RISK INSURANCE ACT

**SCHEDULE**

| **SCHEDULE – PART I** |
|---|
| **Terrorism Premium (Certified Acts) $**<br>**This premium is the total Certified Acts premium attributable to the following Coverage Part(s), Coverage Form(s) and/or Policy(ies):**<br>If you have previously rejected coverage under this policy for Certified Acts of Terrorism under the Terrorism Risk Insurance Act, Coverage will remain excluded unless you request coverage within 30 days of the policy effective date.<br><br>**Additional information, if any, concerning the terrorism premium:** |
| **SCHEDULE – PART II** |
| **Federal share of terrorism losses 80 %**<br>(Refer to Paragraph **B.** in this endorsement.) |
| Information required to complete this Schedule, if not shown above, will be shown in the Declarations. |


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**A. Disclosure Of Premium**

In accordance with the federal Terrorism Risk Insurance Act, we are required to provide you with a notice disclosing the portion of your premium, if any, attributable to coverage for terrorist acts certified under the Terrorism Risk Insurance Act. The portion of your premium attributable to such coverage is shown in the Schedule of this endorsement or in the policy Declarations.

**B. Disclosure Of Federal Participation In Payment Of Terrorism Losses**

The United States Government, Department of the Treasury, will pay a share of terrorism losses insured under the federal program. The federal share equals a percentage (as shown in Part **II** of the Schedule of this endorsement or in the policy Declarations) of that portion of the amount of such insured losses that exceeds the applicable insurer retention. However, if aggregate insured losses attributable to terrorist acts certified under the Terrorism Risk Insurance Act exceed $100 billion in a calendar year, the Treasury shall not make any payment for any portion of the amount of such losses that exceeds $100 billion.

**C. Cap On Insurer Participation In Payment Of Terrorism Losses**

If aggregate insured losses attributable to terrorist acts certified under the Terrorism Risk Insurance Act exceed $100 billion in a calendar year and we have met our insurer deductible under the Terrorism Risk Insurance Act, we shall not be liable for the payment of any portion of the amount of such losses that exceeds $100 billion, and in such case insured losses up to that amount are subject to pro rata allocation in accordance with procedures established by the Secretary of the Treasury.


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# MEMBERSHIP AND VOTING NOTICE

**MEMBERSHIP AND VOTING NOTICE**

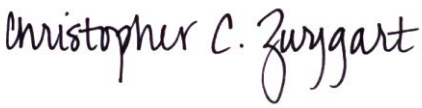
The named insured is notified that by virtue of this policy, the named insured is a member of West Bend Mutual Holding Company of West Bend, Wisconsin. Members are entitled to one vote either in person or by proxy at all meetings of the members of said Company. No member may cast more than one vote, regardless of the number of policies or the amount of insurance any member may carry.

**ANNUAL MEETING**

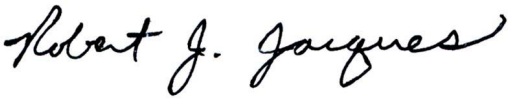
The Annual Meeting of the members is held on the second Tuesday of March, at 10:00 a.m. at the Home Office located at 1900 S. 18th Avenue, West Bend, Wisconsin. Phone: 800-236-5010.

**PARTICIPATION WITHOUT CONTINGENT LIABILITY**

The named insured is a member of the Company and shall participate, to the extent and upon the conditions fixed and determined by the Board of Directors in accordance with the provisions of law, in the distribution of dividends so fixed and determined. No Contingent Liability: This policy is nonassessable.



Christopher C. Zwygart
Secretary



Robert J. Jacques
President

**THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.**

# EXCLUSION OF CERTAIN COMPUTER-RELATED LOSSES

This endorsement modifies insurance provided under the following:

COMMERCIAL PROPERTY COVERAGE PART
CRIME AND FIDELITY COVERAGE PART
STANDARD PROPERTY POLICY

**A.** We will not pay for loss ("loss") or damage caused directly or indirectly by the following. Such loss ("loss") or damage is excluded regardless of any other cause or event that contributes concurrently or in any sequence to the loss ("loss") or damage.

**1.** The failure, malfunction or inadequacy of:

**a.** Any of the following, whether belonging to any insured or to others:

**(1)** Computer hardware, including microprocessors;

**(2)** Computer application software;

**(3)** Computer operating systems and related software;

**(4)** Computer networks;

**(5)** Microprocessors (computer chips) not part of any computer system; or

**(6)** Any other computerized or electronic equipment or components; or

**b.** Any other products, and any services, data or functions that directly or indirectly use or rely upon, in any manner, any of the items listed in Paragraph **A.1.a.** of this endorsement;

due to the inability to correctly recognize, process, distinguish, interpret or accept one or more dates or times. An example is the inability of computer software to recognize the year 2000.

**2.** Any advice, consultation, design, evaluation, inspection, installation, maintenance, repair, replacement or supervision provided or done by you or for you to determine, rectify or test for, any potential or actual problems described in Paragraph **A.1.** of this endorsement.

**B.** If an excluded Cause of Loss as described in Paragraph **A.** of this endorsement results:

**1.** In a Covered Cause of Loss under the Crime and Fidelity Coverage Part or the Standard Property Policy; or

**2.** Under the Commercial Property Coverage Part:

**a.** In a "Specified Cause of Loss", or in elevator collision resulting from mechanical breakdown, under the Causes of Loss – Special Form; or

**b.** In a Covered Cause of Loss under the Causes Of Loss – Basic Form or the Causes Of Loss – Broad Form;

we will pay only for the loss ("loss") or damage caused by such "Specified Cause of Loss", elevator collision, or Covered Cause of Loss.

**C.** We will not pay for repair, replacement or modification of any items in Paragraphs **A.1.a.** and **A.1.b.** of this endorsement to correct any deficiencies or change any features.

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**THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.**

# COMMON POLICY CONDITIONS

All Coverage Parts included in this policy (except Businessowners and Inland Marine) are subject to the following conditions.

**A. Cancellation**

1. The first Named Insured shown in the Declarations may cancel this policy by mailing or delivering to us advance written notice of cancellation.
2. We may cancel this policy by mailing or delivering to the first Named Insured written notice of cancellation at least:
   a. 10 days before the effective date of cancellation if we cancel for nonpayment of premium; or
   b. 30 days before the effective date of cancellation if we cancel for any other reason.
3. We will mail or deliver our notice to the first Named Insured's last mailing address known to us.
4. Notice of cancellation will state the effective date of cancellation. The policy period will end on that date.
5. If this policy is cancelled, we will send the first Named Insured any premium refund due. If we cancel, the refund will be pro rata. If the first Named Insured cancels, the refund may be less than pro rata. The cancellation will be effective even if we have not made or offered a refund.
6. If notice is mailed, proof of mailing will be sufficient proof of notice.

**B. Changes**

This policy contains all the agreements between you and us concerning the insurance afforded. The first Named Insured shown in the Declarations is authorized to make changes in the terms of this policy with our consent. This policy's terms can be amended or waived only by endorsement issued by us and made a part of this policy.

**C. Examination Of Your Books And Records**

We may examine and audit your books and records as they relate to this policy at any time during the policy period and up to three years afterward.

**D. Inspections And Surveys**

1. We have the right to:
   a. Make inspections and surveys at any time;
   b. Give you reports on the conditions we find; and
   c. Recommend changes.
2. We are not obligated to make any inspections, surveys, reports or recommendations and any such actions we do undertake relate only to insurability and the premiums to be charged. We do not make safety inspections. We do not undertake to perform the duty of any person or organization to provide for the health or safety of workers or the public. And we do not warrant that conditions:
   a. Are safe or healthful; or
   b. Comply with laws, regulations, codes or standards.
3. Paragraphs **1.** and **2.** of this condition apply not only to us, but also to any rating, advisory, rate service or similar organization which makes insurance inspections, surveys, reports or recommendations.
4. Paragraph **2.** of this condition does not apply to any inspections, surveys, reports or recommendations we may make relative to certification, under state or municipal statutes, ordinances or regulations, of boilers, pressure vessels or elevators.

**E. Premiums**

The first Named Insured shown in the Declarations:

1. Is responsible for the payment of all premiums; and
2. Will be the payee for any return premiums we pay.

**F. Transfer Of Your Rights And Duties Under This Policy**

Your rights and duties under this policy may not be transferred without our written consent except in the case of death of an individual named insured.

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If you die, your rights and duties will be transferred to your legal representative but only while acting within the scope of duties as your legal representative. Until your legal representative is appointed, anyone having proper temporary custody of your property will have your rights and duties but only with respect to that property.

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**THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.**

# CAP ON LOSSES FROM CERTIFIED ACTS OF TERRORISM

This endorsement modifies insurance provided under the following:

BOILER AND MACHINERY COVERAGE PART
COMMERCIAL PROPERTY COVERAGE PART
EQUIPMENT BREAKDOWN COVERAGE PART
FARM COVERAGE PART
STANDARD PROPERTY POLICY

**A. Cap On Certified Terrorism Losses**

"Certified act of terrorism" means an act that is certified by the Secretary of the Treasury, in accordance with the provisions of the federal Terrorism Risk Insurance Act, to be an act of terrorism pursuant to such Act. The criteria contained in the Terrorism Risk Insurance Act for a "certified act of terrorism" include the following:

1. The act resulted in insured losses in excess of $5 million in the aggregate, attributable to all types of insurance subject to the Terrorism Risk Insurance Act; and
2. The act is a violent act or an act that is dangerous to human life, property or infrastructure and is committed by an individual or individuals as part of an effort to coerce the civilian population of the United States or to influence the policy or affect the conduct of the United States Government by coercion.

If aggregate insured losses attributable to terrorist acts certified under the Terrorism Risk Insurance Act exceed $100 billion in a calendar year and we have met our insurer deductible under the Terrorism Risk Insurance Act, we shall not be liable for the payment of any portion of the amount of such losses that exceeds $100 billion, and in such case insured losses up to that amount are subject to pro rata allocation in accordance with procedures established by the Secretary of the Treasury.

**B. Application Of Exclusions**

The terms and limitations of any terrorism exclusion, or the inapplicability or omission of a terrorism exclusion, do not serve to create coverage for any loss which would otherwise be excluded under this Coverage Part or Policy, such as losses excluded by the Nuclear Hazard Exclusion or the War And Military Action Exclusion.

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POLICY NUMBER: A848246

**THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.**

# WEST BEND INSURANCE COMPANY
# NAME CHANGE ENDORSEMENT

This endorsement is made part of and should be kept with your policy.

West Bend Mutual Insurance Company changed its name to West Bend Insurance Company, therefore, any reference to West Bend Mutual Insurance Company shall be considered a reference to West Bend Insurance Company.

This endorsement does not affect or void any cancellation, non-renewal or reinstatement notice sent for any other reason or effective date.

All other terms of the policy remain unchanged.

**THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.**

# WISCONSIN CHANGES – CANCELLATION AND NONRENEWAL

This endorsement modifies insurance provided under the following:

CAPITAL ASSETS PROGRAM (OUTPUT POLICY) COVERAGE PART
COMMERCIAL AUTOMOBILE COVERAGE PART
COMMERCIAL GENERAL LIABILITY COVERAGE PART
COMMERCIAL LIABILITY UMBRELLA COVERAGE PART
COMMERCIAL PROPERTY COVERAGE PART
CRIME AND FIDELITY COVERAGE PART
EMPLOYMENT-RELATED PRACTICES LIABILITY COVERAGE PART
EQUIPMENT BREAKDOWN COVERAGE PART
FARM COVERAGE PART
FARM UMBRELLA LIABILITY POLICY
LIQUOR LIABILITY COVERAGE PART
POLLUTION LIABILITY COVERAGE PART
PRODUCTS/COMPLETED OPERATIONS LIABILITY COVERAGE PART

**A.** Paragraph **2.** of the **Cancellation** Common Policy Condition is replaced by the following:

**2.** We may cancel this policy by mailing or delivering to the first Named Insured written notice of cancellation at least 10 days before the effective date of cancellation.

If this policy has been in effect for less than 60 days and is not a renewal policy, we may cancel for any reason.

If this policy has been in effect for 60 days or more or is a renewal of a policy we issued, except as provided in Paragraph **7.** below, we may cancel this policy only for one or more of the following reasons:

**a.** The policy was obtained by material misrepresentation;

**b.** There has been a substantial change in the risk we originally assumed, except to the extent that we should have foreseen the change or considered the risk in writing the policy;

**c.** There have been substantial breaches of contractual duties, conditions or warranties; or

**d.** Nonpayment of premium.

If this policy has been in effect for 60 days or more or is a renewal of a policy we issued, the notice of cancellation will state the reason for cancellation.

**B.** The following is added to the **Cancellation** Common Policy Condition:

**7. Anniversary Cancellation**

If this policy is written for a term of more than one year or has no fixed expiration date, we may cancel this policy for any reason by mailing or delivering to the first Named Insured written notice of cancellation at least 60 days before the anniversary date of the policy. Such cancellation will be effective on the policy's anniversary date.

We may cancel this policy because of the termination of an insurance marketing intermediary's contract with us only if the notice of cancellation contains an offer to continue the policy with us if we receive a written request from the first Named Insured prior to the date of cancellation.

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**C.** The following applies to the:

Capital Assets Program (Output Policy) Coverage Part

Commercial Property Coverage Part

Crime And Fidelity Coverage Part

Equipment Breakdown Coverage Part

Farm Coverage Part

**1.** We may rescind this policy because of the following:

**a.** Misrepresentation made by you or on your behalf in the negotiation for or procurement of this Coverage Part, if the person knew or should have known that the representation was false;

**b.** Breach of affirmative warranty made by you or on your behalf in the negotiation for or procurement of this Coverage Part;

**c.** Failure of a condition before a loss if such failure exists at the time of loss; or

**d.** Breach of a promissory warranty if such breach exists at the time of loss.

**2.** We may not rescind this policy:

**a.** For the reasons in Paragraphs **C.1.a.** and **C.1.b.** unless:

**(1)** We rely on the misrepresentation or affirmative warranty and the misrepresentation or affirmative warranty is either material or made with intent to deceive; or

**(2)** The facts misrepresented or falsely warranted contribute to the loss.

**b.** For the reasons in Paragraphs **C.1.c.** and **C.1.d.** unless such failure or breach:

**(1)** Increases the risk at the time of loss; or

**(2)** Contributes to the loss.

**3.** If we elect to rescind this policy, we will notify the first Named Insured of our intention within 60 days after acquiring knowledge of sufficient facts to constitute grounds for rescission.

**D.** The following are added and supersede any other provisions to the contrary:

**1. Nonrenewal**

**a.** If we elect not to renew this policy we will mail or deliver written notice of nonrenewal to the first Named Insured's last mailing address known to us. We may elect not to renew for any reason; the notice will state the reason for nonrenewal. We will mail or deliver the notice at least 60 days before the expiration date of this policy.

We need not mail or deliver the notice if:

**(1)** You have insured elsewhere;

**(2)** You have accepted replacement coverage;

**(3)** You have requested or agreed to nonrenewal of this policy;

**(4)** This policy is renewed in an affiliate in compliance with WIS. STAT. § 631.39; or

**(5)** This policy is expressly designated as nonrenewable.

**b.** We may refuse to renew this policy because of the termination of an insurance marketing intermediary's contract with us only if the notice of nonrenewal contains an offer to renew the policy with us if we receive a written request from the first Named Insured prior to the renewal date.

**c.** If you fail to pay the renewal or continuation premium by the premium due date, this policy will terminate on the policy expiration or anniversary date, if we have:

**(1)** Given you written notice of the renewal or continuation premium not more than 75 days nor less than 10 days prior to the due date of the premium; and

**(2)** Stated clearly in the notice the effect of nonpayment of premium by the due date.

**2. Anniversary Alteration**

If this policy is written for a term of more than one year or has no fixed expiration date, we may alter the terms or premiums of this policy by mailing or delivering written notice of less favorable terms or premiums to the first Named Insured's last mailing address known to us. We will mail, by first class mail, or deliver this notice at least 60 days prior to the anniversary date.

If we notify the first Named Insured within 60 days prior to the anniversary date, the new terms or premiums will not take effect until 60 days after the notice was mailed or delivered. The notice will include a statement of the first Named Insured's right to cancel. The first Named Insured may elect to cancel the policy at any time during the 60-day period, in accordance with Paragraph **1.** of the Cancellation Common Policy Condition. If the first Named Insured elects to cancel the policy during the 60-day period, return premiums or additional premium charges will be calculated proportionately on the basis of the old premiums.

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**3. Renewal With Altered Terms**

If we elect to renew this policy but on less favorable terms or at higher premiums, we will mail or deliver written notice of the new terms or premiums to the first Named Insured's last mailing address known to us. We will mail, by first class mail, or deliver this notice at least 60 days prior to the renewal date.

If we notify the first Named Insured within 60 days prior to the renewal date, the new terms or premiums will not take effect until 60 days after the notice was mailed or delivered. The notice will include a statement of the first Named Insured's right to cancel. The first Named Insured may elect to cancel the renewal policy at any time during the 60-day period, in accordance with Paragraph **1.** of the Cancellation Common Policy Condition. If the first Named Insured elects to cancel the renewal policy during the 60-day period, return premiums or additional premium charges will be calculated proportionately on the basis of the old premiums.

We need not mail or deliver this notice if the only change adverse to you is a premium increase that:

**a.** Is less than 25% and is generally applicable to the class of business to which this policy belongs; or

**b.** Results from a change based on your action that alters the nature or extent of the risk insured against, including but not limited to a change in the classification or the units of exposure, or increased policy coverage.

**E. Special Provision – Cancellation And Nonrenewal**

With respect to insurance provided under the Commercial Automobile Coverage Part, we will not cancel or refuse to renew Liability Coverage wholly or partially because of age, sex, residence, race, color, creed, religion, national origin, ancestry, marital status or occupation of anyone who is an insured.

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**THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.**

# NUCLEAR ENERGY LIABILITY EXCLUSION ENDORSEMENT

**(Broad Form)**

This endorsement modifies insurance provided under the following:

COMMERCIAL AUTOMOBILE COVERAGE PART
COMMERCIAL GENERAL LIABILITY COVERAGE PART
FARM COVERAGE PART
LIQUOR LIABILITY COVERAGE PART
MEDICAL PROFESSIONAL LIABILITY COVERAGE PART
OWNERS AND CONTRACTORS PROTECTIVE LIABILITY COVERAGE PART
POLLUTION LIABILITY COVERAGE PART
PRODUCTS/COMPLETED OPERATIONS LIABILITY COVERAGE PART
RAILROAD PROTECTIVE LIABILITY COVERAGE PART
UNDERGROUND STORAGE TANK POLICY

**1.** The insurance does not apply:

**A.** Under any Liability Coverage, to "bodily injury" or "property damage":

**(1)** With respect to which an "insured" under the policy is also an insured under a nuclear energy liability policy issued by Nuclear Energy Liability Insurance Association, Mutual Atomic Energy Liability Underwriters, Nuclear Insurance Association of Canada or any of their successors, or would be an insured under any such policy but for its termination upon exhaustion of its limit of liability; or

**(2)** Resulting from the "hazardous properties" of "nuclear material" and with respect to which **(a)** any person or organization is required to maintain financial protection pursuant to the Atomic Energy Act of 1954, or any law amendatory thereof, or **(b)** the "insured" is, or had this policy not been issued would be, entitled to indemnity from the United States of America, or any agency thereof, under any agreement entered into by the United States of America, or any agency thereof, with any person or organization.

**B.** Under any Medical Payments coverage, to expenses incurred with respect to "bodily injury" resulting from the "hazardous properties" of "nuclear material" and arising out of the operation of a "nuclear facility" by any person or organization.

**C.** Under any Liability Coverage, to "bodily injury" or "property damage" resulting from "hazardous properties" of "nuclear material", if:

**(1)** The "nuclear material" **(a)** is at any "nuclear facility" owned by, or operated by or on behalf of, an "insured" or **(b)** has been discharged or dispersed therefrom;

**(2)** The "nuclear material" is contained in "spent fuel" or "waste" at any time possessed, handled, used, processed, stored, transported or disposed of, by or on behalf of an "insured"; or

**(3)** The "bodily injury" or "property damage" arises out of the furnishing by an "insured" of services, materials, parts or equipment in connection with the planning, construction, maintenance, operation or use of any "nuclear facility", but if such facility is located within the United States of America, its territories or possessions or Canada, this exclusion **(3)** applies only to "property damage" to such "nuclear facility" and any property thereat.

**2.** As used in this endorsement:

"Hazardous properties" includes radioactive, toxic or explosive properties.

"Nuclear material" means "source material", "special nuclear material" or "by-product material".

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"Source material", "special nuclear material", and "by-product material" have the meanings given them in the Atomic Energy Act of 1954 or in any law amendatory thereof.

"Spent fuel" means any fuel element or fuel component, solid or liquid, which has been used or exposed to radiation in a "nuclear reactor".

"Waste" means any waste material **(a)** containing "by-product material" other than the tailings or wastes produced by the extraction or concentration of uranium or thorium from any ore processed primarily for its "source material" content, and **(b)** resulting from the operation by any person or organization of any "nuclear facility" included under the first two paragraphs of the definition of "nuclear facility".

"Nuclear facility" means:

**(a)** Any "nuclear reactor";

**(b)** Any equipment or device designed or used for **(1)** separating the isotopes of uranium or plutonium, **(2)** processing or utilizing "spent fuel", or **(3)** handling, processing or packaging "waste";

**(c)** Any equipment or device used for the processing, fabricating or alloying of "special nuclear material" if at any time the total amount of such material in the custody of the "insured" at the premises where such equipment or device is located consists of or contains more than 25 grams of plutonium or uranium 233 or any combination thereof, or more than 250 grams of uranium 235;

**(d)** Any structure, basin, excavation, premises or place prepared or used for the storage or disposal of "waste";

and includes the site on which any of the foregoing is located, all operations conducted on such site and all premises used for such operations.

"Nuclear reactor" means any apparatus designed or used to sustain nuclear fission in a self-supporting chain reaction or to contain a critical mass of fissionable material.

"Property damage" includes all forms of radioactive contamination of property.


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**THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.**

# TWO OR MORE COVERAGE FORMS OR POLICIES ISSUED BY US

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS COVERAGE FORM
COMMERCIAL GENERAL LIABILITY COVERAGE PART
EMPLOYMENT PRACTICES LIABILITY COVERAGE FORM
NOT-FOR-PROFIT ORGANIZATION DIRECTORS, OFFICERS AND TRUSTEES LIABILITY INSURANCE COVERAGE FORM
OWNERS AND CONTRACTORS PROTECTIVE LIABILITY COVERAGE PART
PRODUCTS/COMPLETED OPERATIONS LIABILITY COVERAGE PART
PRODUCT WITHDRAWAL COVERAGE FORM

If this Coverage Form and any other Coverage Form or policy issued to you by us or any company affiliated with us apply to the same "occurrence" or "claim", the aggregate maximum Limit of Insurance under all the Coverage Forms or policies shall not exceed the highest applicable Limit of Insurance under any one Coverage Form or policy. This condition does not apply to any Coverage Form or policy issued by us or an affiliated company specifically to apply as excess insurance over this Coverage Form.

# BUILDING AND PERSONAL PROPERTY COVERAGE FORM

Various provisions in this policy restrict coverage. Read the entire policy carefully to determine rights, duties and what is and is not covered.

Throughout this policy, the words "you" and "your" refer to the Named Insured shown in the Declarations. The words "we", "us" and "our" refer to the company providing this insurance.

Other words and phrases that appear in quotation marks have special meaning. Refer to Section **H.** Definitions.

## A. Coverage

We will pay for direct physical loss of or damage to Covered Property at the premises described in the Declarations caused by or resulting from any Covered Cause of Loss.

### 1. Covered Property

Covered Property, as used in this Coverage Part, means the type of property described in this section, **A.1.,** and limited in **A.2.** Property Not Covered, if a Limit Of Insurance is shown in the Declarations for that type of property.

**a. Building,** meaning the building or structure described in the Declarations, including:

**(1)** Completed additions;

**(2)** Fixtures, including outdoor fixtures;

**(3)** Permanently installed:

**(a)** Machinery; and

**(b)** Equipment;

**(4)** Personal property owned by you that is used to maintain or service the building or structure or its premises, including:

**(a)** Fire-extinguishing equipment;

**(b)** Outdoor furniture;

**(c)** Floor coverings; and

**(d)** Appliances used for refrigerating, ventilating, cooking, dishwashing or laundering;

**(5)** If not covered by other insurance:

**(a)** Additions under construction, alterations and repairs to the building or structure;

**(b)** Materials, equipment, supplies and temporary structures, on or within 100 feet of the described premises, used for making additions, alterations or repairs to the building or structure.

**b. Your Business Personal Property** consists of the following property located in or on the building or structure described in the Declarations or in the open (or in a vehicle) within 100 feet of the building or structure or within 100 feet of the premises described in the Declarations, whichever distance is greater:

**(1)** Furniture and fixtures;

**(2)** Machinery and equipment;

**(3)** "Stock";

**(4)** All other personal property owned by you and used in your business;

**(5)** Labor, materials or services furnished or arranged by you on personal property of others;

**(6)** Your use interest as tenant in improvements and betterments. Improvements and betterments are fixtures, alterations, installations or additions:

**(a)** Made a part of the building or structure you occupy but do not own; and

**(b)** You acquired or made at your expense but cannot legally remove;

**(7)** Leased personal property for which you have a contractual responsibility to insure, unless otherwise provided for under Personal Property Of Others.

**c. Personal Property Of Others** that is:

**(1)** In your care, custody or control; and

**(2)** Located in or on the building or structure described in the Declarations or in the open (or in a vehicle) within 100 feet of the building or structure or within 100 feet of the premises described in the Declarations, whichever distance is greater.

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However, our payment for loss of or damage to personal property of others will only be for the account of the owner of the property.

**2. Property Not Covered**

Covered Property does not include:

**a.** Accounts, bills, currency, food stamps or other evidences of debt, money, notes or securities. Lottery tickets held for sale are not securities;

**b.** Animals, unless owned by others and boarded by you, or if owned by you, only as "stock" while inside of buildings;

**c.** Automobiles held for sale;

**d.** Bridges, roadways, walks, patios or other paved surfaces;

**e.** Contraband, or property in the course of illegal transportation or trade;

**f.** The cost of excavations, grading, backfilling or filling;

**g.** Foundations of buildings, structures, machinery or boilers if their foundations are below:

**(1)** The lowest basement floor; or

**(2)** The surface of the ground, if there is no basement;

**h.** Land (including land on which the property is located), water, growing crops or lawns (other than lawns which are part of a vegetated roof);

**i.** Personal property while airborne or waterborne;

**j.** Bulkheads, pilings, piers, wharves or docks;

**k.** Property that is covered under another coverage form of this or any other policy in which it is more specifically described, except for the excess of the amount due (whether you can collect on it or not) from that other insurance;

**l.** Retaining walls that are not part of a building;

**m.** Underground pipes, flues or drains;

**n.** Electronic data, except as provided under the Additional Coverage, Electronic Data. Electronic data means information, facts or computer programs stored as or on, created or used on, or transmitted to or from computer software (including systems and applications software), on hard or floppy disks, CD-ROMs, tapes, drives, cells, data processing devices or any other repositories of computer software which are used with electronically controlled equipment. The term computer programs, referred to in the foregoing description of electronic data, means a set of related electronic instructions which direct the operations and functions of a computer or device connected to it, which enable the computer or device to receive, process, store, retrieve or send data. This paragraph, **n.,** does not apply to your "stock" of prepackaged software, or to electronic data which is integrated in and operates or controls the building's elevator, lighting, heating, ventilation, air conditioning or security system;

**o.** The cost to replace or restore the information on valuable papers and records, including those which exist as electronic data. Valuable papers and records include but are not limited to proprietary information, books of account, deeds, manuscripts, abstracts, drawings and card index systems. Refer to the Coverage Extension for Valuable Papers And Records (Other Than Electronic Data) for limited coverage for valuable papers and records other than those which exist as electronic data;

**p.** Vehicles or self-propelled machines (including aircraft or watercraft) that:

**(1)** Are licensed for use on public roads; or

**(2)** Are operated principally away from the described premises.

This paragraph does not apply to:

**(a)** Vehicles or self-propelled machines or autos you manufacture, process or warehouse;

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**(b)** Vehicles or self-propelled machines, other than autos, you hold for sale;

**(c)** Rowboats or canoes out of water at the described premises; or

**(d)** Trailers, but only to the extent provided for in the Coverage Extension for Non-owned Detached Trailers; or

**q.** The following property while outside of buildings:

**(1)** Grain, hay, straw or other crops;

**(2)** Fences, radio or television antennas (including satellite dishes) and their lead-in wiring, masts or towers, trees, shrubs or plants (other than trees, shrubs or plants which are "stock" or are part of a vegetated roof), all except as provided in the Coverage Extensions.

**3. Covered Causes Of Loss**

See applicable Causes Of Loss form as shown in the Declarations.

**4. Additional Coverages**

**a. Debris Removal**

**(1)** Subject to Paragraphs **(2)**, **(3)** and **(4),** we will pay your expense to remove debris of Covered Property and other debris that is on the described premises, when such debris is caused by or results from a Covered Cause of Loss that occurs during the policy period. The expenses will be paid only if they are reported to us in writing within 180 days of the date of direct physical loss or damage.

**(2)** Debris Removal does not apply to costs to:

**(a)** Remove debris of property of yours that is not insured under this policy, or property in your possession that is not Covered Property;

**(b)** Remove debris of property owned by or leased to the landlord of the building where your described premises are located, unless you have a contractual responsibility to insure such property and it is insured under this policy;

**(c)** Remove any property that is Property Not Covered, including property addressed under the Outdoor Property Coverage Extension;

**(d)** Remove property of others of a type that would not be Covered Property under this Coverage Form;

**(e)** Remove deposits of mud or earth from the grounds of the described premises;

**(f)** Extract "pollutants" from land or water; or

**(g)** Remove, restore or replace polluted land or water.

**(3)** Subject to the exceptions in Paragraph **(4),** the following provisions apply:

**(a)** The most we will pay for the total of direct physical loss or damage plus debris removal expense is the Limit of Insurance applicable to the Covered Property that has sustained loss or damage.

**(b)** Subject to **(a)** above, the amount we will pay for debris removal expense is limited to 25% of the sum of the deductible plus the amount that we pay for direct physical loss or damage to the Covered Property that has sustained loss or damage. However, if no Covered Property has sustained direct physical loss or damage, the most we will pay for removal of debris of other property (if such removal is covered under this Additional Coverage) is $5,000 at each location.

**(4)** We will pay up to an additional $25,000 for debris removal expense, for each location, in any one occurrence of physical loss or damage to Covered Property, if one or both of the following circumstances apply:

**(a)** The total of the actual debris removal expense plus the amount we pay for direct physical loss or damage exceeds the Limit of Insurance on the Covered Property that has sustained loss or damage.

**(b)** The actual debris removal expense exceeds 25% of the sum of the deductible plus the amount that we pay for direct physical loss or damage to the Covered Property that has sustained loss or damage.

Therefore, if **(4)(a)** and/or **(4)(b)** applies, our total payment for direct physical loss or damage and debris removal expense may reach but will never exceed the Limit of Insurance on the Covered Property that has sustained loss or damage, plus $25,000.

**(5) Examples**

The following examples assume that there is no Coinsurance penalty.

**Example 1**

| | |
|---|---|
| Limit of Insurance: | $ 90,000 |
| Amount of Deductible: | $ 500 |
| Amount of Loss: | $ 50,000 |
| Amount of Loss Payable: | $ 49,500 |
| | ($50,000 – $500) |
| Debris Removal Expense: | $ 10,000 |
| Debris Removal Expense Payable: | $ 10,000 |

($10,000 is 20% of $50,000.)

The debris removal expense is less than 25% of the sum of the loss payable plus the deductible. The sum of the loss payable and the debris removal expense ($49,500 + $10,000 = $59,500) is less than the Limit of Insurance. Therefore, the full amount of debris removal expense is payable in accordance with the terms of Paragraph **(3).**

**Example 2**

| | |
|---|---|
| Limit of Insurance: | $ 90,000 |
| Amount of Deductible: | $ 500 |
| Amount of Loss: | $ 80,000 |
| Amount of Loss Payable: | $ 79,500 |
| | ($80,000 – $500) |
| Debris Removal Expense: | $ 40,000 |
| Debris Removal Expense Payable | |
| Basic Amount: | $ 10,500 |
| Additional Amount: | $ 25,000 |

The basic amount payable for debris removal expense under the terms of Paragraph **(3)** is calculated as follows: $80,000 ($79,500 + $500) x .25 = $20,000, capped at $10,500. The cap applies because the sum of the loss payable ($79,500) and the basic amount payable for debris removal expense ($10,500) cannot exceed the Limit of Insurance ($90,000).

The additional amount payable for debris removal expense is provided in accordance with the terms of Paragraph **(4),** because the debris removal expense ($40,000) exceeds 25% of the loss payable plus the deductible ($40,000 is 50% of $80,000), and because the sum of the loss payable and debris removal expense ($79,500 + $40,000 = $119,500) would exceed the Limit of Insurance ($90,000). The additional amount of covered debris removal expense is $25,000, the maximum payable under Paragraph **(4).** Thus, the total payable for debris removal expense in this example is $35,500; $4,500 of the debris removal expense is not covered.

**b. Preservation Of Property**

If it is necessary to move Covered Property from the described premises to preserve it from loss or damage by a Covered Cause of Loss, we will pay for any direct physical loss or damage to that property:

**(1)** While it is being moved or while temporarily stored at another location; and

**(2)** Only if the loss or damage occurs within 30 days after the property is first moved.

**c. Fire Department Service Charge**

When the fire department is called to save or protect Covered Property from a Covered Cause of Loss, we will pay up to $1,000 for service at each premises described in the Declarations, unless a higher limit is shown in the Declarations. Such limit is the most we will pay regardless of the number of responding fire departments or fire units, and regardless of the number or type of services performed.

This Additional Coverage applies to your liability for fire department service charges:

**(1)** Assumed by contract or agreement prior to loss; or

**(2)** Required by local ordinance.

No Deductible applies to this Additional Coverage.

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**d. Pollutant Clean-up And Removal**

We will pay your expense to extract "pollutants" from land or water at the described premises if the discharge, dispersal, seepage, migration, release or escape of the "pollutants" is caused by or results from a Covered Cause of Loss that occurs during the policy period. The expenses will be paid only if they are reported to us in writing within 180 days of the date on which the Covered Cause of Loss occurs.

This Additional Coverage does not apply to costs to test for, monitor or assess the existence, concentration or effects of "pollutants". But we will pay for testing which is performed in the course of extracting the "pollutants" from the land or water.

The most we will pay under this Additional Coverage for each described premises is $10,000 for the sum of all covered expenses arising out of Covered Causes of Loss occurring during each separate 12-month period of this policy.

**e. Increased Cost Of Construction**

**(1)** This Additional Coverage applies only to buildings to which the Replacement Cost Optional Coverage applies.

**(2)** In the event of damage by a Covered Cause of Loss to a building that is Covered Property, we will pay the increased costs incurred to comply with the minimum standards of an ordinance or law in the course of repair, rebuilding or replacement of damaged parts of that property, subject to the limitations stated in **e.(3)** through **e.(9)** of this Additional Coverage.

**(3)** The ordinance or law referred to in **e.(2)** of this Additional Coverage is an ordinance or law that regulates the construction or repair of buildings or establishes zoning or land use requirements at the described premises and is in force at the time of loss.

**(4)** Under this Additional Coverage, we will not pay any costs due to an ordinance or law that:

**(a)** You were required to comply with before the loss, even when the building was undamaged; and

**(b)** You failed to comply with.

**(5)** Under this Additional Coverage, we will not pay for:

**(a)** The enforcement of or compliance with any ordinance or law which requires demolition, repair, replacement, reconstruction, remodeling or remediation of property due to contamination by "pollutants" or due to the presence, growth, proliferation, spread or any activity of "fungus", wet or dry rot or bacteria; or

**(b)** Any costs associated with the enforcement of or compliance with an ordinance or law which requires any insured or others to test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of "pollutants", "fungus", wet or dry rot or bacteria.

**(6)** The most we will pay under this Additional Coverage, for each described building insured under this Coverage Form, is $10,000 or 5% of the Limit of Insurance applicable to that building, whichever is less. If a damaged building is covered under a blanket Limit of Insurance which applies to more than one building or item of property, then the most we will pay under this Additional Coverage, for that damaged building, is the lesser of $10,000 or 5% times the value of the damaged building as of the time of loss times the applicable Coinsurance percentage.

The amount payable under this Additional Coverage is additional insurance.

**(7)** With respect to this Additional Coverage:

**(a)** We will not pay for the Increased Cost of Construction:

**(i)** Until the property is actually repaired or replaced at the same or another premises; and

**(ii)** Unless the repair or replacement is made as soon as reasonably possible after the loss or damage, not to exceed two years. We may extend this period in writing during the two years.

**(b)** If the building is repaired or replaced at the same premises, or if you elect to rebuild at another premises, the most we will pay for the Increased Cost of Construction, subject to the provisions of **e.(6)** of this Additional Coverage, is the increased cost of construction at the same premises.

**(c)** If the ordinance or law requires relocation to another premises, the most we will pay for the Increased Cost of Construction, subject to the provisions of **e.(6)** of this Additional Coverage, is the increased cost of construction at the new premises.

**(8)** This Additional Coverage is not subject to the terms of the Ordinance Or Law Exclusion to the extent that such Exclusion would conflict with the provisions of this Additional Coverage.

**(9)** The costs addressed in the Loss Payment and Valuation Conditions and the Replacement Cost Optional Coverage, in this Coverage Form, do not include the increased cost attributable to enforcement of or compliance with an ordinance or law. The amount payable under this Additional Coverage, as stated in **e.(6)** of this Additional Coverage, is not subject to such limitation.

**f. Electronic Data**

**(1)** Under this Additional Coverage, electronic data has the meaning described under Property Not Covered, Electronic Data. This Additional Coverage does not apply to your "stock" of prepackaged software, or to electronic data which is integrated in and operates or controls the building's elevator, lighting, heating, ventilation, air conditioning or security system.

**(2)** Subject to the provisions of this Additional Coverage, we will pay for the cost to replace or restore electronic data which has been destroyed or corrupted by a Covered Cause of Loss. To the extent that electronic data is not replaced or restored, the loss will be valued at the cost of replacement of the media on which the electronic data was stored, with blank media of substantially identical type.

**(3)** The Covered Causes of Loss applicable to Your Business Personal Property apply to this Additional Coverage, Electronic Data, subject to the following:

**(a)** If the Causes Of Loss – Special Form applies, coverage under this Additional Coverage, Electronic Data, is limited to the "specified causes of loss" as defined in that form and Collapse as set forth in that form.

**(b)** If the Causes Of Loss – Broad Form applies, coverage under this Additional Coverage, Electronic Data, includes Collapse as set forth in that form.

**(c)** If the Causes Of Loss form is endorsed to add a Covered Cause of Loss, the additional Covered Cause of Loss does not apply to the coverage provided under this Additional Coverage, Electronic Data.

**(d)** The Covered Causes of Loss include a virus, harmful code or similar instruction introduced into or enacted on a computer system (including electronic data) or a network to which it is connected, designed to damage or destroy any part of the system or disrupt its normal operation. But there is no coverage for loss or damage caused by or resulting from manipulation of a computer system (including electronic data) by any employee, including a temporary or leased employee, or by an entity retained by you or for you to inspect, design, install, modify, maintain, repair or replace that system.

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**(4)** The most we will pay under this Additional Coverage, Electronic Data, is $2,500 (unless a higher limit is shown in the Declarations) for all loss or damage sustained in any one policy year, regardless of the number of occurrences of loss or damage or the number of premises, locations or computer systems involved. If loss payment on the first occurrence does not exhaust this amount, then the balance is available for subsequent loss or damage sustained in but not after that policy year. With respect to an occurrence which begins in one policy year and continues or results in additional loss or damage in a subsequent policy year(s), all loss or damage is deemed to be sustained in the policy year in which the occurrence began.

**5. Coverage Extensions**

Except as otherwise provided, the following Extensions apply to property located in or on the building described in the Declarations or in the open (or in a vehicle) within 100 feet of the described premises.

If a Coinsurance percentage of 80% or more, or a Value Reporting period symbol, is shown in the Declarations, you may extend the insurance provided by this Coverage Part as follows:

**a. Newly Acquired Or Constructed Property**

**(1) Buildings**

If this policy covers Building, you may extend that insurance to apply to:

**(a)** Your new buildings while being built on the described premises; and

**(b)** Buildings you acquire at locations, other than the described premises, intended for:

**(i)** Similar use as the building described in the Declarations; or

**(ii)** Use as a warehouse.

The most we will pay for loss or damage under this Extension is $250,000 at each building.

**(2) Your Business Personal Property**

**(a)** If this policy covers Your Business Personal Property, you may extend that insurance to apply to:

**(i)** Business personal property, including such property that you newly acquire, at any location you acquire other than at fairs, trade shows or exhibitions; or

**(ii)** Business personal property, including such property that you newly acquire, located at your newly constructed or acquired buildings at the location described in the Declarations.

The most we will pay for loss or damage under this Extension is $100,000 at each building.

**(b)** This Extension does not apply to:

**(i)** Personal property of others that is temporarily in your possession in the course of installing or performing work on such property; or

**(ii)** Personal property of others that is temporarily in your possession in the course of your manufacturing or wholesaling activities.

**(3) Period Of Coverage**

With respect to insurance provided under this Coverage Extension for Newly Acquired Or Constructed Property, coverage will end when any of the following first occurs:

**(a)** This policy expires;

**(b)** 30 days expire after you acquire the property or begin construction of that part of the building that would qualify as covered property; or

**(c)** You report values to us.

We will charge you additional premium for values reported from the date you acquire the property or begin construction of that part of the building that would qualify as covered property.

**b. Personal Effects And Property Of Others**

You may extend the insurance that applies to Your Business Personal Property to apply to:

**(1)** Personal effects owned by you, your officers, your partners or members, your managers or your employees. This Extension does not apply to loss or damage by theft.

**(2)** Personal property of others in your care, custody or control.

The most we will pay for loss or damage under this Extension is $2,500 at each described premises. Our payment for loss of or damage to personal property of others will only be for the account of the owner of the property.

**c. Valuable Papers And Records (Other Than Electronic Data)**

**(1)** You may extend the insurance that applies to Your Business Personal Property to apply to the cost to replace or restore the lost information on valuable papers and records for which duplicates do not exist. But this Extension does not apply to valuable papers and records which exist as electronic data. Electronic data has the meaning described under Property Not Covered, Electronic Data.

**(2)** If the Causes Of Loss – Special Form applies, coverage under this Extension is limited to the "specified causes of loss" as defined in that form and Collapse as set forth in that form.

**(3)** If the Causes Of Loss – Broad Form applies, coverage under this Extension includes Collapse as set forth in that form.

**(4)** Under this Extension, the most we will pay to replace or restore the lost information is $2,500 at each described premises, unless a higher limit is shown in the Declarations. Such amount is additional insurance. We will also pay for the cost of blank material for reproducing the records (whether or not duplicates exist) and (when there is a duplicate) for the cost of labor to transcribe or copy the records. The costs of blank material and labor are subject to the applicable Limit of Insurance on Your Business Personal Property and, therefore, coverage of such costs is not additional insurance.

**d. Property Off-premises**

**(1)** You may extend the insurance provided by this Coverage Form to apply to your Covered Property while it is away from the described premises, if it is:

**(a)** Temporarily at a location you do not own, lease or operate;

**(b)** In storage at a location you lease, provided the lease was executed after the beginning of the current policy term; or

**(c)** At any fair, trade show or exhibition.

**(2)** This Extension does not apply to property:

**(a)** In or on a vehicle; or

**(b)** In the care, custody or control of your salespersons, unless the property is in such care, custody or control at a fair, trade show or exhibition.

**(3)** The most we will pay for loss or damage under this Extension is $10,000.

**e. Outdoor Property**

You may extend the insurance provided by this Coverage Form to apply to your outdoor fences, radio and television antennas (including satellite dishes), trees, shrubs and plants (other than trees, shrubs or plants which are "stock" or are part of a vegetated roof), including debris removal expense, caused by or resulting from any of the following causes of loss if they are Covered Causes of Loss:

**(1)** Fire;

**(2)** Lightning;

**(3)** Explosion;

**(4)** Riot or Civil Commotion; or

**(5)** Aircraft.

The most we will pay for loss or damage under this Extension is $1,000, but not more than $250 for any one tree, shrub or plant. These limits apply to any one occurrence, regardless of the types or number of items lost or damaged in that occurrence.

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Subject to all aforementioned terms and limitations of coverage, this Coverage Extension includes the expense of removing from the described premises the debris of trees, shrubs and plants which are the property of others, except in the situation in which you are a tenant and such property is owned by the landlord of the described premises.

**f. Non-owned Detached Trailers**

**(1)** You may extend the insurance that applies to Your Business Personal Property to apply to loss or damage to trailers that you do not own, provided that:

**(a)** The trailer is used in your business;

**(b)** The trailer is in your care, custody or control at the premises described in the Declarations; and

**(c)** You have a contractual responsibility to pay for loss or damage to the trailer.

**(2)** We will not pay for any loss or damage that occurs:

**(a)** While the trailer is attached to any motor vehicle or motorized conveyance, whether or not the motor vehicle or motorized conveyance is in motion;

**(b)** During hitching or unhitching operations, or when a trailer becomes accidentally unhitched from a motor vehicle or motorized conveyance.

**(3)** The most we will pay for loss or damage under this Extension is $5,000, unless a higher limit is shown in the Declarations.

**(4)** This insurance is excess over the amount due (whether you can collect on it or not) from any other insurance covering such property.

**g. Business Personal Property Temporarily In Portable Storage Units**

**(1)** You may extend the insurance that applies to Your Business Personal Property to apply to such property while temporarily stored in a portable storage unit (including a detached trailer) located within 100 feet of the building or structure described in the Declarations or within 100 feet of the premises described in the Declarations, whichever distance is greater.

**(2)** If the applicable Covered Causes of Loss form or endorsement contains a limitation or exclusion concerning loss or damage from sand, dust, sleet, snow, ice or rain to property in a structure, such limitation or exclusion also applies to property in a portable storage unit.

**(3)** Coverage under this Extension:

**(a)** Will end 90 days after the business personal property has been placed in the storage unit;

**(b)** Does not apply if the storage unit itself has been in use at the described premises for more than 90 consecutive days, even if the business personal property has been stored there for 90 or fewer days as of the time of loss or damage.

**(4)** Under this Extension, the most we will pay for the total of all loss or damage to business personal property is $10,000 (unless a higher limit is indicated in the Declarations for such Extension) regardless of the number of storage units. Such limit is part of, not in addition to, the applicable Limit of Insurance on Your Business Personal Property. Therefore, payment under this Extension will not increase the applicable Limit of Insurance on Your Business Personal Property.

**(5)** This Extension does not apply to loss or damage otherwise covered under this Coverage Form or any endorsement to this Coverage Form or policy, and does not apply to loss or damage to the storage unit itself.

Each of these Extensions is additional insurance unless otherwise indicated. The Additional Condition, Coinsurance, does not apply to these Extensions.

**B. Exclusions And Limitations**

See applicable Causes Of Loss form as shown in the Declarations.

**C. Limits Of Insurance**

The most we will pay for loss or damage in any one occurrence is the applicable Limit Of Insurance shown in the Declarations.

The most we will pay for loss or damage to outdoor signs, whether or not the sign is attached to a building, is $2,500 per sign in any one occurrence.

The amounts of insurance stated in the following Additional Coverages apply in accordance with the terms of such coverages and are separate from the Limit(s) Of Insurance shown in the Declarations for any other coverage:

**1.** Fire Department Service Charge;

**2.** Pollutant Clean-up And Removal;

**3.** Increased Cost Of Construction; and

**4.** Electronic Data.

Payments under the Preservation Of Property Additional Coverage will not increase the applicable Limit of Insurance.

**D. Deductible**

In any one occurrence of loss or damage (hereinafter referred to as loss), we will first reduce the amount of loss if required by the Coinsurance Condition or the Agreed Value Optional Coverage. If the adjusted amount of loss is less than or equal to the Deductible, we will not pay for that loss. If the adjusted amount of loss exceeds the Deductible, we will then subtract the Deductible from the adjusted amount of loss and will pay the resulting amount or the Limit of Insurance, whichever is less.

When the occurrence involves loss to more than one item of Covered Property and separate Limits of Insurance apply, the losses will not be combined in determining application of the Deductible. But the Deductible will be applied only once per occurrence.

**Example 1**

(This example assumes there is no Coinsurance penalty.)

| | |
|---|---|
| Deductible: | $ 250 |
| Limit of Insurance – Building 1: | $ 60,000 |
| Limit of Insurance – Building 2: | $ 80,000 |
| Loss to Building 1: | $ 60,100 |
| Loss to Building 2: | $ 90,000 |

The amount of loss to Building 1 ($60,100) is less than the sum ($60,250) of the Limit of Insurance applicable to Building 1 plus the Deductible.

The Deductible will be subtracted from the amount of loss in calculating the loss payable for Building 1:

$ 60,100
– 250
$ 59,850 Loss Payable – Building 1

The Deductible applies once per occurrence and therefore is not subtracted in determining the amount of loss payable for Building 2. Loss payable for Building 2 is the Limit of Insurance of $80,000.

Total amount of loss payable:

$59,850 + $80,000 = $139,850

**Example 2**

(This example, too, assumes there is no Coinsurance penalty.)

The Deductible and Limits of Insurance are the same as those in Example 1.

| | |
|---|---|
| Loss to Building 1: | $ 70,000 |
| (Exceeds Limit of Insurance plus Deductible) | |
| Loss to Building 2: | $ 90,000 |
| (Exceeds Limit of Insurance plus Deductible) | |
| Loss Payable – Building 1: | $ 60,000 |
| (Limit of Insurance) | |
| Loss Payable – Building 2: | $ 80,000 |
| (Limit of Insurance) | |
| Total amount of loss payable: | $ 140,000 |

**E. Loss Conditions**

The following conditions apply in addition to the Common Policy Conditions and the Commercial Property Conditions:

**1. Abandonment**

There can be no abandonment of any property to us.

**2. Appraisal**

If we and you disagree on the value of the property or the amount of loss, either may make written demand for an appraisal of the loss. In this event, each party will select a competent and impartial appraiser. The two appraisers will select an umpire. If they cannot agree, either may request that selection be made by a judge of a court having jurisdiction. The appraisers will state separately the value of the property and amount of loss. If they fail to agree, they will submit their differences to the umpire. A decision agreed to by any two will be binding. Each party will:

**a.** Pay its chosen appraiser; and

**b.** Bear the other expenses of the appraisal and umpire equally.

If there is an appraisal, we will still retain our right to deny the claim.

**3. Duties In The Event Of Loss Or Damage**

**a.** You must see that the following are done in the event of loss or damage to Covered Property:

**(1)** Notify the police if a law may have been broken.

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**(2)** Give us prompt notice of the loss or damage. Include a description of the property involved.

**(3)** As soon as possible, give us a description of how, when and where the loss or damage occurred.

**(4)** Take all reasonable steps to protect the Covered Property from further damage, and keep a record of your expenses necessary to protect the Covered Property, for consideration in the settlement of the claim. This will not increase the Limit of Insurance. However, we will not pay for any subsequent loss or damage resulting from a cause of loss that is not a Covered Cause of Loss. Also, if feasible, set the damaged property aside and in the best possible order for examination.

**(5)** At our request, give us complete inventories of the damaged and undamaged property. Include quantities, costs, values and amount of loss claimed.

**(6)** As often as may be reasonably required, permit us to inspect the property proving the loss or damage and examine your books and records.

Also, permit us to take samples of damaged and undamaged property for inspection, testing and analysis, and permit us to make copies from your books and records.

**(7)** Send us a signed, sworn proof of loss containing the information we request to investigate the claim. You must do this within 60 days after our request. We will supply you with the necessary forms.

**(8)** Cooperate with us in the investigation or settlement of the claim.

**b.** We may examine any insured under oath, while not in the presence of any other insured and at such times as may be reasonably required, about any matter relating to this insurance or the claim, including an insured's books and records. In the event of an examination, an insured's answers must be signed.

**4. Loss Payment**

**a.** In the event of loss or damage covered by this Coverage Form, at our option, we will either:

**(1)** Pay the value of lost or damaged property;

**(2)** Pay the cost of repairing or replacing the lost or damaged property, subject to **b.** below;

**(3)** Take all or any part of the property at an agreed or appraised value; or

**(4)** Repair, rebuild or replace the property with other property of like kind and quality, subject to **b.** below.

We will determine the value of lost or damaged property, or the cost of its repair or replacement, in accordance with the applicable terms of the Valuation Condition in this Coverage Form or any applicable provision which amends or supersedes the Valuation Condition.

**b.** The cost to repair, rebuild or replace does not include the increased cost attributable to enforcement of or compliance with any ordinance or law regulating the construction, use or repair of any property.

**c.** We will give notice of our intentions within 30 days after we receive the sworn proof of loss.

**d.** We will not pay you more than your financial interest in the Covered Property.

**e.** We may adjust losses with the owners of lost or damaged property if other than you. If we pay the owners, such payments will satisfy your claims against us for the owners' property. We will not pay the owners more than their financial interest in the Covered Property.

**f.** We may elect to defend you against suits arising from claims of owners of property. We will do this at our expense.

**g.** We will pay for covered loss or damage within 30 days after we receive the sworn proof of loss, if you have complied with all of the terms of this Coverage Part, and:

**(1)** We have reached agreement with you on the amount of loss; or

**(2)** An appraisal award has been made.

**h.** A party wall is a wall that separates and is common to adjoining buildings that are owned by different parties. In settling covered losses involving a party wall, we will pay a proportion of the loss to the party wall based on your interest in the wall in proportion to the interest of the owner of the adjoining building. However, if you elect to repair or replace your building and the owner of the adjoining building elects not to repair or replace that building, we will pay you the full value of the loss to the party wall, subject to all applicable policy provisions including Limits of Insurance, the Valuation and Coinsurance Conditions and all other provisions of this Loss Payment Condition. Our payment under the provisions of this paragraph does not alter any right of subrogation we may have against any entity, including the owner or insurer of the adjoining building, and does not alter the terms of the Transfer Of Rights Of Recovery Against Others To Us Condition in this policy.

**5. Recovered Property**

If either you or we recover any property after loss settlement, that party must give the other prompt notice. At your option, the property will be returned to you. You must then return to us the amount we paid to you for the property. We will pay recovery expenses and the expenses to repair the recovered property, subject to the Limit of Insurance.

**6. Vacancy**

**a. Description Of Terms**

**(1)** As used in this Vacancy Condition, the term building and the term vacant have the meanings set forth in **(1)(a)** and **(1)(b)** below:

**(a)** When this policy is issued to a tenant, and with respect to that tenant's interest in Covered Property, building means the unit or suite rented or leased to the tenant. Such building is vacant when it does not contain enough business personal property to conduct customary operations.

**(b)** When this policy is issued to the owner or general lessee of a building, building means the entire building. Such building is vacant unless at least 31% of its total square footage is:

**(i)** Rented to a lessee or sublessee and used by the lessee or sublessee to conduct its customary operations; and/or

**(ii)** Used by the building owner to conduct customary operations.

**(2)** Buildings under construction or renovation are not considered vacant.

**b. Vacancy Provisions**

If the building where loss or damage occurs has been vacant for more than 60 consecutive days before that loss or damage occurs:

**(1)** We will not pay for any loss or damage caused by any of the following, even if they are Covered Causes of Loss:

**(a)** Vandalism;

**(b)** Sprinkler leakage, unless you have protected the system against freezing;

**(c)** Building glass breakage;

**(d)** Water damage;

**(e)** Theft; or

**(f)** Attempted theft.

**(2)** With respect to Covered Causes of Loss other than those listed in **b.(1)(a)** through **b.(1)(f)** above, we will reduce the amount we would otherwise pay for the loss or damage by 15%.

**7. Valuation**

We will determine the value of Covered Property in the event of loss or damage as follows:

**a.** At actual cash value as of the time of loss or damage, except as provided in **b., c., d.** and **e.** below.

**b.** If the Limit of Insurance for Building satisfies the Additional Condition, Coinsurance, and the cost to repair or replace the damaged building property is $2,500 or less, we will pay the cost of building repairs or replacement.

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The cost of building repairs or replacement does not include the increased cost attributable to enforcement of or compliance with any ordinance or law regulating the construction, use or repair of any property.

However, the following property will be valued at the actual cash value, even when attached to the building:

**(1)** Awnings or floor coverings;

**(2)** Appliances for refrigerating, ventilating, cooking, dishwashing or laundering; or

**(3)** Outdoor equipment or furniture.

**c.** "Stock" you have sold but not delivered at the selling price less discounts and expenses you otherwise would have had.

**d.** Glass at the cost of replacement with safety-glazing material if required by law.

**e.** Tenants' Improvements and Betterments at:

**(1)** Actual cash value of the lost or damaged property if you make repairs promptly.

**(2)** A proportion of your original cost if you do not make repairs promptly. We will determine the proportionate value as follows:

**(a)** Multiply the original cost by the number of days from the loss or damage to the expiration of the lease; and

**(b)** Divide the amount determined in **(a)** above by the number of days from the installation of improvements to the expiration of the lease.

If your lease contains a renewal option, the expiration of the renewal option period will replace the expiration of the lease in this procedure.

**(3)** Nothing if others pay for repairs or replacement.

## F. Additional Conditions

The following conditions apply in addition to the Common Policy Conditions and the Commercial Property Conditions:

### 1. Coinsurance

If a Coinsurance percentage is shown in the Declarations, the following condition applies:

**a.** We will not pay the full amount of any loss if the value of Covered Property at the time of loss times the Coinsurance percentage shown for it in the Declarations is greater than the Limit of Insurance for the property.

Instead, we will determine the most we will pay using the following steps:

**(1)** Multiply the value of Covered Property at the time of loss by the Coinsurance percentage;

**(2)** Divide the Limit of Insurance of the property by the figure determined in Step **(1);**

**(3)** Multiply the total amount of loss, before the application of any deductible, by the figure determined in Step **(2);** and

**(4)** Subtract the deductible from the figure determined in Step **(3).**

We will pay the amount determined in Step **(4)** or the Limit of Insurance, whichever is less. For the remainder, you will either have to rely on other insurance or absorb the loss yourself.

**Example 1 (Underinsurance)**

| | | |
|---|---|---|
| When: | The value of the property is: | $ 250,000 |
| | The Coinsurance percentage for it is: | 80% |
| | The Limit of Insurance for it is: | $ 100,000 |
| | The Deductible is: | $ 250 |
| | The amount of loss is: | $ 40,000 |

Step **(1):** $250,000 x 80% = $200,000
(the minimum amount of insurance to meet your Coinsurance requirements)

Step **(2):** $100,000 ÷ $200,000 = .50

Step **(3):** $40,000 x .50 = $20,000

Step **(4):** $20,000 – $250 = $19,750

We will pay no more than $19,750. The remaining $20,250 is not covered.

**Example 2 (Adequate Insurance)**

| | | |
|---|---|---|
| When: | The value of the property is: | $ 250,000 |
| | The Coinsurance percentage for it is: | 80% |
| | The Limit of Insurance for it is: | $ 200,000 |
| | The Deductible is: | $ 250 |
| | The amount of loss is: | $ 40,000 |

The minimum amount of insurance to meet your Coinsurance requirement is $200,000 ($250,000 x 80%). Therefore, the Limit of Insurance in this example is adequate, and no penalty applies. We will pay no more than $39,750 ($40,000 amount of loss minus the deductible of $250).

**b.** If one Limit of Insurance applies to two or more separate items, this condition will apply to the total of all property to which the limit applies.

**Example 3**

| | | |
|---|---|---|
| When: | The value of the property is: | |
| | Building at Location 1: | $ 75,000 |
| | Building at Location 2: | $ 100,000 |
| | Personal Property at Location 2: | $ 75,000 |
| | | $ 250,000 |
| | The Coinsurance percentage for it is: | 90% |
| | The Limit of Insurance for Buildings and Personal Property at Locations 1 and 2 is: | $ 180,000 |
| | The Deductible is: | $ 1,000 |
| | The amount of loss is: | |
| | Building at Location 2: | $ 30,000 |
| | Personal Property at Location 2: | $ 20,000 |
| | | $ 50,000 |

Step **(1):** $250,000 x 90% = $225,000
(the minimum amount of insurance to meet your Coinsurance requirements and to avoid the penalty shown below)

Step **(2):** $180,000 ÷ $225,000 = .80

Step **(3):** $50,000 x .80 = $40,000

Step **(4):** $40,000 – $1,000 = $39,000

We will pay no more than $39,000. The remaining $11,000 is not covered.

**2. Mortgageholders**

**a.** The term mortgageholder includes trustee.

**b.** We will pay for covered loss of or damage to buildings or structures to each mortgageholder shown in the Declarations in their order of precedence, as interests may appear.

**c.** The mortgageholder has the right to receive loss payment even if the mortgageholder has started foreclosure or similar action on the building or structure.

**d.** If we deny your claim because of your acts or because you have failed to comply with the terms of this Coverage Part, the mortgageholder will still have the right to receive loss payment if the mortgageholder:

**(1)** Pays any premium due under this Coverage Part at our request if you have failed to do so;

**(2)** Submits a signed, sworn proof of loss within 60 days after receiving notice from us of your failure to do so; and

**(3)** Has notified us of any change in ownership, occupancy or substantial change in risk known to the mortgageholder.

All of the terms of this Coverage Part will then apply directly to the mortgageholder.

**e.** If we pay the mortgageholder for any loss or damage and deny payment to you because of your acts or because you have failed to comply with the terms of this Coverage Part:

**(1)** The mortgageholder's rights under the mortgage will be transferred to us to the extent of the amount we pay; and

**(2)** The mortgageholder's right to recover the full amount of the mortgageholder's claim will not be impaired.

At our option, we may pay to the mortgageholder the whole principal on the mortgage plus any accrued interest. In this event, your mortgage and note will be transferred to us and you will pay your remaining mortgage debt to us.

**f.** If we cancel this policy, we will give written notice to the mortgageholder at least:

**(1)** 10 days before the effective date of cancellation if we cancel for your nonpayment of premium; or

**(2)** 30 days before the effective date of cancellation if we cancel for any other reason.

**g.** If we elect not to renew this policy, we will give written notice to the mortgageholder at least 10 days before the expiration date of this policy.

## G. Optional Coverages

If shown as applicable in the Declarations, the following Optional Coverages apply separately to each item:

**1. Agreed Value**

**a.** The Additional Condition, Coinsurance, does not apply to Covered Property to which this Optional Coverage applies. We will pay no more for loss of or damage to that property than the proportion that the Limit of Insurance under this Coverage Part for the property bears to the Agreed Value shown for it in the Declarations.

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**b.** If the expiration date for this Optional Coverage shown in the Declarations is not extended, the Additional Condition, Coinsurance, is reinstated and this Optional Coverage expires.

**c.** The terms of this Optional Coverage apply only to loss or damage that occurs:

**(1)** On or after the effective date of this Optional Coverage; and

**(2)** Before the Agreed Value expiration date shown in the Declarations or the policy expiration date, whichever occurs first.

**2. Inflation Guard**

**a.** The Limit of Insurance for property to which this Optional Coverage applies will automatically increase by the annual percentage shown in the Declarations.

**b.** The amount of increase will be:

**(1)** The Limit of Insurance that applied on the most recent of the policy inception date, the policy anniversary date, or any other policy change amending the Limit of Insurance, times

**(2)** The percentage of annual increase shown in the Declarations, expressed as a decimal (example: 8% is .08), times

**(3)** The number of days since the beginning of the current policy year or the effective date of the most recent policy change amending the Limit of Insurance, divided by 365.

**Example**

| | | |
|---|---|---|
| If: | The applicable Limit of Insurance is: | $ 100,000 |
| | The annual percentage increase is: | 8% |
| | The number of days since the beginning of the policy year (or last policy change) is: | 146 |
| | The amount of increase is: $100,000 x .08 x 146 ÷ 365 = | $ 3,200 |

**3. Replacement Cost**

**a.** Replacement Cost (without deduction for depreciation) replaces Actual Cash Value in the Valuation Loss Condition of this Coverage Form.

**b.** This Optional Coverage does not apply to:

**(1)** Personal property of others;

**(2)** Contents of a residence;

**(3)** Works of art, antiques or rare articles, including etchings, pictures, statuary, marbles, bronzes, porcelains and bric-a-brac; or

**(4)** "Stock", unless the Including "Stock" option is shown in the Declarations.

Under the terms of this Replacement Cost Optional Coverage, tenants' improvements and betterments are not considered to be the personal property of others.

**c.** You may make a claim for loss or damage covered by this insurance on an actual cash value basis instead of on a replacement cost basis. In the event you elect to have loss or damage settled on an actual cash value basis, you may still make a claim for the additional coverage this Optional Coverage provides if you notify us of your intent to do so within 180 days after the loss or damage.

**d.** We will not pay on a replacement cost basis for any loss or damage:

**(1)** Until the lost or damaged property is actually repaired or replaced; and

**(2)** Unless the repair or replacement is made as soon as reasonably possible after the loss or damage.

With respect to tenants' improvements and betterments, the following also apply:

**(3)** If the conditions in **d.(1)** and **d.(2)** above are not met, the value of tenants' improvements and betterments will be determined as a proportion of your original cost, as set forth in the Valuation Loss Condition of this Coverage Form; and

**(4)** We will not pay for loss or damage to tenants' improvements and betterments if others pay for repairs or replacement.

**e.** We will not pay more for loss or damage on a replacement cost basis than the least of **(1), (2)** or **(3),** subject to **f.** below:

**(1)** The Limit of Insurance applicable to the lost or damaged property;

**(2)** The cost to replace the lost or damaged property with other property:

**(a)** Of comparable material and quality; and

**(b)** Used for the same purpose; or

**(3)** The amount actually spent that is necessary to repair or replace the lost or damaged property.

If a building is rebuilt at a new premises, the cost described in **e.(2)** above is limited to the cost which would have been incurred if the building had been rebuilt at the original premises.

**f.** The cost of repair or replacement does not include the increased cost attributable to enforcement of or compliance with any ordinance or law regulating the construction, use or repair of any property.

**4. Extension Of Replacement Cost To Personal Property Of Others**

**a.** If the Replacement Cost Optional Coverage is shown as applicable in the Declarations, then this Extension may also be shown as applicable. If the Declarations show this Extension as applicable, then Paragraph **3.b.(1)** of the Replacement Cost Optional Coverage is deleted and all other provisions of the Replacement Cost Optional Coverage apply to replacement cost on personal property of others.

**b.** With respect to replacement cost on the personal property of others, the following limitation applies:

If an item(s) of personal property of others is subject to a written contract which governs your liability for loss or damage to that item(s), then valuation of that item(s) will be based on the amount for which you are liable under such contract, but not to exceed the lesser of the replacement cost of the property or the applicable Limit of Insurance.

**H. Definitions**

**1.** "Fungus" means any type or form of fungus, including mold or mildew, and any mycotoxins, spores, scents or by-products produced or released by fungi.

**2.** "Pollutants" means any solid, liquid, gaseous or thermal irritant or contaminant, including smoke, vapor, soot, fumes, acids, alkalis, chemicals and waste. Waste includes materials to be recycled, reconditioned or reclaimed.

**3.** "Stock" means merchandise held in storage or for sale, raw materials and in-process or finished goods, including supplies used in their packing or shipping.

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# BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM

Various provisions in this policy restrict coverage. Read the entire policy carefully to determine rights, duties and what is and is not covered.

Throughout this policy, the words "you" and "your" refer to the Named Insured shown in the Declarations. The words "we", "us" and "our" refer to the company providing this insurance.

Other words and phrases that appear in quotation marks have special meaning. Refer to Section **F.** Definitions.

## A. Coverage

### 1. Business Income

Business Income means the:

**a.** Net Income (Net Profit or Loss before income taxes) that would have been earned or incurred; and

**b.** Continuing normal operating expenses incurred, including payroll.

For manufacturing risks, Net Income includes the net sales value of production.

Coverage is provided as described and limited below for one or more of the following options for which a Limit Of Insurance is shown in the Declarations:

**(1)** Business Income Including "Rental Value".

**(2)** Business Income Other Than "Rental Value".

**(3)** "Rental Value".

If option **(1)** above is selected, the term Business Income will include "Rental Value". If option **(3)** above is selected, the term Business Income will mean "Rental Value" only.

If Limits of Insurance are shown under more than one of the above options, the provisions of this Coverage Part apply separately to each.

We will pay for the actual loss of Business Income you sustain due to the necessary "suspension" of your "operations" during the "period of restoration". The "suspension" must be caused by direct physical loss of or damage to property at premises which are described in the Declarations and for which a Business Income Limit Of Insurance is shown in the Declarations. The loss or damage must be caused by or result from a Covered Cause of Loss. With respect to loss of or damage to personal property in the open or personal property in a vehicle, the described premises include the area within 100 feet of such premises.

With respect to the requirements set forth in the preceding paragraph, if you occupy only part of a building, your premises means:

**(a)** The portion of the building which you rent, lease or occupy;

**(b)** The area within 100 feet of the building or within 100 feet of the premises described in the Declarations, whichever distance is greater (with respect to loss of or damage to personal property in the open or personal property in a vehicle); and

**(c)** Any area within the building or at the described premises, if that area services, or is used to gain access to, the portion of the building which you rent, lease or occupy.

### 2. Extra Expense

**a.** Extra Expense Coverage is provided at the premises described in the Declarations only if the Declarations show that Business Income Coverage applies at that premises.

**b.** Extra Expense means necessary expenses you incur during the "period of restoration" that you would not have incurred if there had been no direct physical loss or damage to property caused by or resulting from a Covered Cause of Loss.

We will pay Extra Expense (other than the expense to repair or replace property) to:

**(1)** Avoid or minimize the "suspension" of business and to continue operations at the described premises or at replacement premises or temporary locations, including relocation expenses and costs to equip and operate the replacement location or temporary location.

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**(2)** Minimize the "suspension" of business if you cannot continue "operations".

We will also pay Extra Expense to repair or replace property, but only to the extent it reduces the amount of loss that otherwise would have been payable under this Coverage Form.

**3. Covered Causes Of Loss, Exclusions And Limitations**

See applicable Causes Of Loss form as shown in the Declarations.

**4. Additional Limitation – Interruption Of Computer Operations**

**a.** Coverage for Business Income does not apply when a "suspension" of "operations" is caused by destruction or corruption of electronic data, or any loss or damage to electronic data, except as provided under the Additional Coverage, Interruption Of Computer Operations.

**b.** Coverage for Extra Expense does not apply when action is taken to avoid or minimize a "suspension" of "operations" caused by destruction or corruption of electronic data, or any loss or damage to electronic data, except as provided under the Additional Coverage, Interruption Of Computer Operations.

**c.** Electronic data means information, facts or computer programs stored as or on, created or used on, or transmitted to or from computer software (including systems and applications software), on hard or floppy disks, CD-ROMs, tapes, drives, cells, data processing devices or any other repositories of computer software which are used with electronically controlled equipment. The term computer programs, referred to in the foregoing description of electronic data, means a set of related electronic instructions which direct the operations and functions of a computer or device connected to it, which enable the computer or device to receive, process, store, retrieve or send data.

**d.** This Additional Limitation does not apply when loss or damage to electronic data involves only electronic data which is integrated in and operates or controls a building's elevator, lighting, heating, ventilation, air conditioning or security system.

**5. Additional Coverages**

**a. Civil Authority**

In this Additional Coverage, Civil Authority, the described premises are premises to which this Coverage Form applies, as shown in the Declarations.

When a Covered Cause of Loss causes damage to property other than property at the described premises, we will pay for the actual loss of Business Income you sustain and necessary Extra Expense caused by action of civil authority that prohibits access to the described premises, provided that both of the following apply:

**(1)** Access to the area immediately surrounding the damaged property is prohibited by civil authority as a result of the damage, and the described premises are within that area but are not more than one mile from the damaged property; and

**(2)** The action of civil authority is taken in response to dangerous physical conditions resulting from the damage or continuation of the Covered Cause of Loss that caused the damage, or the action is taken to enable a civil authority to have unimpeded access to the damaged property.

Civil Authority Coverage for Business Income will begin 72 hours after the time of the first action of civil authority that prohibits access to the described premises and will apply for a period of up to four consecutive weeks from the date on which such coverage began.

Civil Authority Coverage for Extra Expense will begin immediately after the time of the first action of civil authority that prohibits access to the described premises and will end:

**(1)** Four consecutive weeks after the date of that action; or

**(2)** When your Civil Authority Coverage for Business Income ends;

whichever is later.

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**b. Alterations And New Buildings**

We will pay for the actual loss of Business Income you sustain and necessary Extra Expense you incur due to direct physical loss or damage at the described premises caused by or resulting from any Covered Cause of Loss to:

**(1)** New buildings or structures, whether complete or under construction;

**(2)** Alterations or additions to existing buildings or structures; and

**(3)** Machinery, equipment, supplies or building materials located on or within 100 feet of the described premises and:

**(a)** Used in the construction, alterations or additions; or

**(b)** Incidental to the occupancy of new buildings.

If such direct physical loss or damage delays the start of "operations", the "period of restoration" for Business Income Coverage will begin on the date "operations" would have begun if the direct physical loss or damage had not occurred.

**c. Extended Business Income**

**(1) Business Income Other Than "Rental Value"**

If the necessary "suspension" of your "operations" produces a Business Income loss payable under this policy, we will pay for the actual loss of Business Income you incur during the period that:

**(a)** Begins on the date property (except "finished stock") is actually repaired, rebuilt or replaced and "operations" are resumed; and

**(b)** Ends on the earlier of:

**(i)** The date you could restore your "operations", with reasonable speed, to the level which would generate the business income amount that would have existed if no direct physical loss or damage had occurred; or

**(ii)** 60 consecutive days after the date determined in **(1)(a)** above.

However, Extended Business Income does not apply to loss of Business Income incurred as a result of unfavorable business conditions caused by the impact of the Covered Cause of Loss in the area where the described premises are located.

Loss of Business Income must be caused by direct physical loss or damage at the described premises caused by or resulting from any Covered Cause of Loss.

**(2) "Rental Value"**

If the necessary "suspension" of your "operations" produces a "Rental Value" loss payable under this policy, we will pay for the actual loss of "Rental Value" you incur during the period that:

**(a)** Begins on the date property is actually repaired, rebuilt or replaced and tenantability is restored; and

**(b)** Ends on the earlier of:

**(i)** The date you could restore tenant occupancy, with reasonable speed, to the level which would generate the "Rental Value" that would have existed if no direct physical loss or damage had occurred; or

**(ii)** 60 consecutive days after the date determined in **(2)(a)** above.

However, Extended Business Income does not apply to loss of "Rental Value" incurred as a result of unfavorable business conditions caused by the impact of the Covered Cause of Loss in the area where the described premises are located.

Loss of "Rental Value" must be caused by direct physical loss or damage at the described premises caused by or resulting from any Covered Cause of Loss.

**d. Interruption Of Computer Operations**

**(1)** Under this Additional Coverage, electronic data has the meaning described under Additional Limitation – Interruption Of Computer Operations.

**(2)** Subject to all provisions of this Additional Coverage, you may extend the insurance that applies to Business Income and Extra Expense to apply to a "suspension" of "operations" caused by an interruption in computer operations due to destruction or corruption of electronic data due to a Covered Cause of Loss. However, we will not provide coverage under this Additional Coverage when the Additional Limitation – Interruption Of Computer Operations does not apply based on Paragraph **A.4.d.** therein.

**(3)** With respect to the coverage provided under this Additional Coverage, the Covered Causes of Loss are subject to the following:

**(a)** If the Causes Of Loss – Special Form applies, coverage under this Additional Coverage, Interruption Of Computer Operations, is limited to the "specified causes of loss" as defined in that form and Collapse as set forth in that form.

**(b)** If the Causes Of Loss – Broad Form applies, coverage under this Additional Coverage, Interruption Of Computer Operations, includes Collapse as set forth in that form.

**(c)** If the Causes Of Loss form is endorsed to add a Covered Cause of Loss, the additional Covered Cause of Loss does not apply to the coverage provided under this Additional Coverage, Interruption Of Computer Operations.

**(d)** The Covered Causes of Loss include a virus, harmful code or similar instruction introduced into or enacted on a computer system (including electronic data) or a network to which it is connected, designed to damage or destroy any part of the system or disrupt its normal operation. But there is no coverage for an interruption related to manipulation of a computer system (including electronic data) by any employee, including a temporary or leased employee, or by an entity retained by you or for you to inspect, design, install, maintain, repair or replace that system.

**(4)** The most we will pay under this Additional Coverage, Interruption Of Computer Operations, is $2,500 (unless a higher limit is shown in the Declarations) for all loss sustained and expense incurred in any one policy year, regardless of the number of interruptions or the number of premises, locations or computer systems involved. If loss payment relating to the first interruption does not exhaust this amount, then the balance is available for loss or expense sustained or incurred as a result of subsequent interruptions in that policy year. A balance remaining at the end of a policy year does not increase the amount of insurance in the next policy year. With respect to any interruption which begins in one policy year and continues or results in additional loss or expense in a subsequent policy year(s), all loss and expense is deemed to be sustained or incurred in the policy year in which the interruption began.

**(5)** This Additional Coverage, Interruption Of Computer Operations, does not apply to loss sustained or expense incurred after the end of the "period of restoration", even if the amount of insurance stated in **(4)** above has not been exhausted.

**6. Coverage Extension**

If a Coinsurance percentage of 50% or more is shown in the Declarations, you may extend the insurance provided by this Coverage Part as follows:

**Newly Acquired Locations**

**a.** You may extend your Business Income and Extra Expense Coverages to apply to property at any location you acquire other than fairs or exhibitions.

**b.** The most we will pay under this Extension, for the sum of Business Income loss and Extra Expense incurred, is $100,000 at each location, unless a higher limit is shown in the Declarations.

**c.** Insurance under this Extension for each newly acquired location will end when any of the following first occurs:

**(1)** This policy expires;

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**(2)** 30 days expire after you acquire or begin to construct the property; or

**(3)** You report values to us.

We will charge you additional premium for values reported from the date you acquire the property.

The Additional Condition, Coinsurance, does not apply to this Extension.

**B. Limits Of Insurance**

The most we will pay for loss in any one occurrence is the applicable Limit Of Insurance shown in the Declarations.

Payments under the following coverages will not increase the applicable Limit of Insurance:

**1.** Alterations And New Buildings;

**2.** Civil Authority;

**3.** Extra Expense; or

**4.** Extended Business Income.

The amounts of insurance stated in the Interruption Of Computer Operations Additional Coverage and the Newly Acquired Locations Coverage Extension apply in accordance with the terms of those coverages and are separate from the Limit(s) Of Insurance shown in the Declarations for any other coverage.

**C. Loss Conditions**

The following conditions apply in addition to the Common Policy Conditions and the Commercial Property Conditions:

**1. Appraisal**

If we and you disagree on the amount of Net Income and operating expense or the amount of loss, either may make written demand for an appraisal of the loss. In this event, each party will select a competent and impartial appraiser.

The two appraisers will select an umpire. If they cannot agree, either may request that selection be made by a judge of a court having jurisdiction. The appraisers will state separately the amount of Net Income and operating expense or amount of loss. If they fail to agree, they will submit their differences to the umpire. A decision agreed to by any two will be binding. Each party will:

**a.** Pay its chosen appraiser; and

**b.** Bear the other expenses of the appraisal and umpire equally.

If there is an appraisal, we will still retain our right to deny the claim.

**2. Duties In The Event Of Loss**

**a.** You must see that the following are done in the event of loss:

**(1)** Notify the police if a law may have been broken.

**(2)** Give us prompt notice of the direct physical loss or damage. Include a description of the property involved.

**(3)** As soon as possible, give us a description of how, when and where the direct physical loss or damage occurred.

**(4)** Take all reasonable steps to protect the Covered Property from further damage, and keep a record of your expenses necessary to protect the Covered Property, for consideration in the settlement of the claim. This will not increase the Limit of Insurance. However, we will not pay for any subsequent loss or damage resulting from a cause of loss that is not a Covered Cause of Loss. Also, if feasible, set the damaged property aside and in the best possible order for examination.

**(5)** As often as may be reasonably required, permit us to inspect the property proving the loss or damage and examine your books and records.

Also permit us to take samples of damaged and undamaged property for inspection, testing and analysis, and permit us to make copies from your books and records.

**(6)** Send us a signed, sworn proof of loss containing the information we request to investigate the claim. You must do this within 60 days after our request. We will supply you with the necessary forms.

**(7)** Cooperate with us in the investigation or settlement of the claim.

**(8)** If you intend to continue your business, you must resume all or part of your "operations" as quickly as possible.

**b.** We may examine any insured under oath, while not in the presence of any other insured and at such times as may be reasonably required, about any matter relating to this insurance or the claim, including an insured's books and records. In the event of an examination, an insured's answers must be signed.

**3. Loss Determination**

**a.** The amount of Business Income loss will be determined based on:

**(1)** The Net Income of the business before the direct physical loss or damage occurred;

**(2)** The likely Net Income of the business if no physical loss or damage had occurred, but not including any Net Income that would likely have been earned as a result of an increase in the volume of business due to favorable business conditions caused by the impact of the Covered Cause of Loss on customers or on other businesses;

**(3)** The operating expenses, including payroll expenses, necessary to resume "operations" with the same quality of service that existed just before the direct physical loss or damage; and

**(4)** Other relevant sources of information, including:

**(a)** Your financial records and accounting procedures;

**(b)** Bills, invoices and other vouchers; and

**(c)** Deeds, liens or contracts.

**b.** The amount of Extra Expense will be determined based on:

**(1)** All expenses that exceed the normal operating expenses that would have been incurred by "operations" during the "period of restoration" if no direct physical loss or damage had occurred. We will deduct from the total of such expenses:

**(a)** The salvage value that remains of any property bought for temporary use during the "period of restoration", once "operations" are resumed; and

**(b)** Any Extra Expense that is paid for by other insurance, except for insurance that is written subject to the same plan, terms, conditions and provisions as this insurance; and

**(2)** Necessary expenses that reduce the Business Income loss that otherwise would have been incurred.

**c. Resumption Of Operations**

We will reduce the amount of your:

**(1)** Business Income loss, other than Extra Expense, to the extent you can resume your "operations", in whole or in part, by using damaged or undamaged property (including merchandise or stock) at the described premises or elsewhere.

**(2)** Extra Expense loss to the extent you can return "operations" to normal and discontinue such Extra Expense.

**d.** If you do not resume "operations", or do not resume "operations" as quickly as possible, we will pay based on the length of time it would have taken to resume "operations" as quickly as possible.

**4. Loss Payment**

We will pay for covered loss within 30 days after we receive the sworn proof of loss, if you have complied with all of the terms of this Coverage Part, and:

**a.** We have reached agreement with you on the amount of loss; or

**b.** An appraisal award has been made.

**D. Additional Condition**

**COINSURANCE**

If a Coinsurance percentage is shown in the Declarations, the following condition applies in addition to the Common Policy Conditions and the Commercial Property Conditions.

We will not pay the full amount of any Business Income loss if the Limit of Insurance for Business Income is less than:

**1.** The Coinsurance percentage shown for Business Income in the Declarations; times

**2.** The sum of:

**a.** The Net Income (Net Profit or Loss before income taxes), and

**b.** Operating expenses, including payroll expenses,

that would have been earned or incurred (had no loss occurred) by your "operations" at the described premises for the 12 months following the inception, or last previous anniversary date, of this policy (whichever is later).

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Instead, we will determine the most we will pay using the following steps:

Step **(1):** Multiply the Net Income and operating expense for the 12 months following the inception, or last previous anniversary date, of this policy by the Coinsurance percentage;

Step **(2):** Divide the Limit of Insurance for the described premises by the figure determined in Step **(1);** and

Step **(3):** Multiply the total amount of loss by the figure determined in Step **(2).**

We will pay the amount determined in Step **(3)** or the limit of insurance, whichever is less. For the remainder, you will either have to rely on other insurance or absorb the loss yourself.

In determining operating expenses for the purpose of applying the Coinsurance condition, the following expenses, if applicable, shall be deducted from the total of all operating expenses:

**(1)** Prepaid freight – outgoing;

**(2)** Returns and allowances;

**(3)** Discounts;

**(4)** Bad debts;

**(5)** Collection expenses;

**(6)** Cost of raw stock and factory supplies consumed (including transportation charges);

**(7)** Cost of merchandise sold (including transportation charges);

**(8)** Cost of other supplies consumed (including transportation charges);

**(9)** Cost of services purchased from outsiders (not employees) to resell, that do not continue under contract;

**(10)** Power, heat and refrigeration expenses that do not continue under contract (if Form **CP 15 11** is attached);

**(11)** All payroll expenses or the amount of payroll expense excluded (if Form **CP 15 10** is attached); and

**(12)** Special deductions for mining properties (royalties unless specifically included in coverage; actual depletion commonly known as unit or cost depletion – not percentage depletion; welfare and retirement fund charges based on tonnage; hired trucks).

**Example 1 (Underinsurance)**

| | | |
|---|---|---|
| When: | The Net Income and operating expenses for the 12 months following the inception, or last previous anniversary date, of this policy at the described premises would have been: | $ 400,000 |
| | The Coinsurance percentage is: | 50% |
| | The Limit of Insurance is: | $ 150,000 |
| | The amount of loss is: | $ 80,000 |

Step **(1):** $400,000 x 50% = $200,000
(the minimum amount of insurance to meet your Coinsurance requirements)

Step **(2):** $150,000 ÷ $200,000 = .75

Step **(3):** $80,000 x .75 = $60,000

We will pay no more than $60,000. The remaining $20,000 is not covered.

**Example 2 (Adequate Insurance)**

| | | |
|---|---|---|
| When: | The Net Income and operating expenses for the 12 months following the inception, or last previous anniversary date, of this policy at the described premises would have been: | $ 400,000 |
| | The Coinsurance percentage is: | 50% |
| | The Limit of Insurance is: | $ 200,000 |
| | The amount of loss is: | $ 80,000 |

The minimum amount of insurance to meet your Coinsurance requirement is $200,000 ($400,000 x 50%). Therefore, the Limit of Insurance in this example is adequate and no penalty applies. We will pay no more than $80,000 (amount of loss).

This condition does not apply to Extra Expense Coverage.

**E. Optional Coverages**

If shown as applicable in the Declarations, the following Optional Coverages apply separately to each item.

**1. Maximum Period Of Indemnity**

**a.** The Additional Condition, Coinsurance, does not apply to this Coverage Form at the described premises to which this Optional Coverage applies.

**b.** The most we will pay for the total of Business Income loss and Extra Expense is the lesser of:

**(1)** The amount of loss sustained and expenses incurred during the 120 days immediately following the beginning of the "period of restoration"; or

**(2)** The Limit Of Insurance shown in the Declarations.

**2. Monthly Limit Of Indemnity**

**a.** The Additional Condition, Coinsurance, does not apply to this Coverage Form at the described premises to which this Optional Coverage applies.

**b.** The most we will pay for loss of Business Income in each period of 30 consecutive days after the beginning of the "period of restoration" is:

**(1)** The Limit of Insurance, multiplied by

**(2)** The fraction shown in the Declarations for this Optional Coverage.

**Example**

| | | |
|---|---|---|
| When: | The Limit of Insurance is: | $ 120,000 |
| | The fraction shown in the Declarations for this Optional Coverage is: | 1/4 |
| | The most we will pay for loss in each period of 30 consecutive days is: | $ 30,000 |
| | ($120,000 x 1/4 = $30,000) | |
| | If, in this example, the actual amount of loss is: | |
| | Days 1–30: | $ 40,000 |
| | Days 31–60: | $ 20,000 |
| | Days 61–90: | $ 30,000 |
| | | $ 90,000 |
| | We will pay: | |
| | Days 1–30: | $ 30,000 |
| | Days 31–60: | $ 20,000 |
| | Days 61–90: | $ 30,000 |
| | | $ 80,000 |

The remaining $10,000 is not covered.

**3. Business Income Agreed Value**

**a.** To activate this Optional Coverage:

**(1)** A Business Income Report/Work Sheet must be submitted to us and must show financial data for your "operations":

**(a)** During the 12 months prior to the date of the Work Sheet; and

**(b)** Estimated for the 12 months immediately following the inception of this Optional Coverage.

**(2)** The Declarations must indicate that the Business Income Agreed Value Optional Coverage applies, and an Agreed Value must be shown in the Declarations. The Agreed Value should be at least equal to:

**(a)** The Coinsurance percentage shown in the Declarations; multiplied by

**(b)** The amount of Net Income and operating expenses for the following 12 months you report on the Work Sheet.

**b.** The Additional Condition, Coinsurance, is suspended until:

**(1)** 12 months after the effective date of this Optional Coverage; or

**(2)** The expiration date of this policy;

whichever occurs first.

**c.** We will reinstate the Additional Condition, Coinsurance, automatically if you do not submit a new Work Sheet and Agreed Value:

**(1)** Within 12 months of the effective date of this Optional Coverage; or

**(2)** When you request a change in your Business Income Limit of Insurance.

**d.** If the Business Income Limit of Insurance is less than the Agreed Value, we will not pay more of any loss than the amount of loss multiplied by:

**(1)** The Business Income Limit of Insurance; divided by

**(2)** The Agreed Value.

**Example**

| | | |
|---|---|---|
| When: | The Limit of Insurance is: | $ 100,000 |
| | The Agreed Value is: | $ 200,000 |
| | The amount of loss is: | $ 80,000 |

Step **(1):** $100,000 ÷ $200,000 = .50

Step **(2):** .50 x $80,000 = $40,000

We will pay $40,000. The remaining $40,000 is not covered.

**4. Extended Period Of Indemnity**

Under Paragraph **A.5.c., Extended Business Income,** the number 60 in Subparagraphs **(1)(b)** and **(2)(b)** is replaced by the number shown in the Declarations for this Optional Coverage.

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**F. Definitions**

**1.** "Finished stock" means stock you have manufactured.

"Finished stock" also includes whiskey and alcoholic products being aged, unless there is a Coinsurance percentage shown for Business Income in the Declarations.

"Finished stock" does not include stock you have manufactured that is held for sale on the premises of any retail outlet insured under this Coverage Part.

**2.** "Operations" means:

**a.** Your business activities occurring at the described premises; and

**b.** The tenantability of the described premises, if coverage for Business Income Including "Rental Value" or "Rental Value" applies.

**3.** "Period of restoration" means the period of time that:

**a.** Begins:

**(1)** 72 hours after the time of direct physical loss or damage for Business Income Coverage; or

**(2)** Immediately after the time of direct physical loss or damage for Extra Expense Coverage;

caused by or resulting from any Covered Cause of Loss at the described premises; and

**b.** Ends on the earlier of:

**(1)** The date when the property at the described premises should be repaired, rebuilt or replaced with reasonable speed and similar quality; or

**(2)** The date when business is resumed at a new permanent location.

"Period of restoration" does not include any increased period required due to the enforcement of or compliance with any ordinance or law that:

**(1)** Regulates the construction, use or repair, or requires the tearing down, of any property; or

**(2)** Requires any insured or others to test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of "pollutants".

The expiration date of this policy will not cut short the "period of restoration".

**4.** "Pollutants" means any solid, liquid, gaseous or thermal irritant or contaminant, including smoke, vapor, soot, fumes, acids, alkalis, chemicals and waste. Waste includes materials to be recycled, reconditioned or reclaimed.

**5.** "Rental Value" means Business Income that consists of:

**a.** Net Income (Net Profit or Loss before income taxes) that would have been earned or incurred as rental income from tenant occupancy of the premises described in the Declarations as furnished and equipped by you, including fair rental value of any portion of the described premises which is occupied by you; and

**b.** Continuing normal operating expenses incurred in connection with that premises, including:

**(1)** Payroll; and

**(2)** The amount of charges which are the legal obligation of the tenant(s) but would otherwise be your obligations.

**6.** "Suspension" means:

**a.** The slowdown or cessation of your business activities; or

**b.** That a part or all of the described premises is rendered untenantable, if coverage for Business Income Including "Rental Value" or "Rental Value" applies.

# COMMERCIAL PROPERTY CONDITIONS

This Coverage Part is subject to the following conditions, the Common Policy Conditions and applicable Loss Conditions and Additional Conditions in Commercial Property Coverage Forms.

**A. CONCEALMENT, MISREPRESENTATION OR FRAUD**

This Coverage Part is void in any case of fraud by you as it relates to this Coverage Part at any time. It is also void if you or any other insured, at any time, intentionally conceal or misrepresent a material fact concerning:

**1.** This Coverage Part;

**2.** The Covered Property;

**3.** Your interest in the Covered Property; or

**4.** A claim under this Coverage Part.

**B. CONTROL OF PROPERTY**

Any act or neglect of any person other than you beyond your direction or control will not affect this insurance.

The breach of any condition of this Coverage Part at any one or more locations will not affect coverage at any location where, at the time of loss or damage, the breach of condition does not exist.

**C. INSURANCE UNDER TWO OR MORE COVERAGES**

If two or more of this policy's coverages apply to the same loss or damage, we will not pay more than the actual amount of the loss or damage.

**D. LEGAL ACTION AGAINST US**

No one may bring a legal action against us under this Coverage Part unless:

**1.** There has been full compliance with all of the terms of this Coverage Part; and

**2.** The action is brought within 2 years after the date on which the direct physical loss or damage occurred.

**E. LIBERALIZATION**

If we adopt any revision that would broaden the coverage under this Coverage Part without additional premium within 45 days prior to or during the policy period, the broadened coverage will immediately apply to this Coverage Part.

**F. NO BENEFIT TO BAILEE**

No person or organization, other than you, having custody of Covered Property will benefit from this insurance.

**G. OTHER INSURANCE**

**1.** You may have other insurance subject to the same plan, terms, conditions and provisions as the insurance under this Coverage Part. If you do, we will pay our share of the covered loss or damage. Our share is the proportion that the applicable Limit of Insurance under this Coverage Part bears to the Limits of Insurance of all insurance covering on the same basis.

**2.** If there is other insurance covering the same loss or damage, other than that described in 1. above, we will pay only for the amount of covered loss or damage in excess of the amount due from that other insurance, whether you can collect on it or not. But we will not pay more than the applicable Limit of Insurance.

**H. POLICY PERIOD, COVERAGE TERRITORY**

Under this Coverage Part:

**1.** We cover loss or damage commencing:

**a.** During the policy period shown in the Declarations; and

**b.** Within the coverage territory.

**2.** The coverage territory is:

**a.** The United States of America (including its territories and possessions);

**b.** Puerto Rico; and

**c.** Canada.

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**I. TRANSFER OF RIGHTS OF RECOVERY AGAINST OTHERS TO US**

If any person or organization to or for whom we make payment under this Coverage Part has rights to recover damages from another, those rights are transferred to us to the extent of our payment. That person or organization must do everything necessary to secure our rights and must do nothing after loss to impair them. But you may waive your rights against another party in writing:

**1.** Prior to a loss to your Covered Property or Covered Income.

**2.** After a loss to your Covered Property or Covered Income only if, at time of loss, that party is one of the following:

**a.** Someone insured by this insurance;

**b.** A business firm:

**(1)** Owned or controlled by you; or

**(2)** That owns or controls you; or

**c.** Your tenant.

This will not restrict your insurance.


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West Bend Insurance Company
1900 S. 18th Ave. | West Bend, WI 53095

Renewal

## Commercial Property Coverage Declarations

**Customer Number:** 0110116385
**Policy Number:** A848246 05

**Policy Period:** 01/01/2026 to 01/01/2027
at 12:01 AM Standard Time at Your Mailing Address Shown Below

**Named Insured and Address:**
Locksley, Inc
DBA Paul Davis Restoration of South Central WI
3432A County Rd N
Cottage Grove, WI 53527

**Agency Name and Address:** 48508
R & R INSURANCE SERVICES INC
N14W23900 STONE RIDGE DR
WAUKESHA, WI 53188
262-574-7000

### Description of Location or Premises

| Loc | Bldg | Building and Occupancy Description | Construction | Protection Class |
|---|---|---|---|---|
| 1 | 1 | Building #1 - Contractors Shop<br>[0567] Janitorial Supplies - dealers or distributors | Non-Combustible | 04 |
| 2 | 1 | Building #1 - Contractors Shop<br>[0567] Janitorial Supplies - dealers or distributors | Non-Combustible | 04 |
| 3 | 1 | Building #1<br>[0567] Janitorial Supplies - dealers or distributors | Frame | 02 |

West Bend Insurance Company
1900 S. 18th Ave. | West Bend, WI 53095

Renewal

## Commercial Property Blanket Summary Schedule

**Customer Number:** 0110116385
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at 12:01 AM Standard Time at Your Mailing Address Shown Below

**Named Insured and Address:**
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**Agency Name and Address:** 48508
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N14W23900 STONE RIDGE DR
WAUKESHA, WI 53188
262-574-7000

### Blanket Summary Schedule

| Blanket Summary | Limit of Insurance | Coinsurance | Cause of Loss | Premium |
|---|---|---|---|---|
| Locations: 1, 2, 3 | $6,156,800 | 100% | Special | $6,070 |
| Blanket Building | | | | |

| Blanket Summary | Limit of Insurance | Coinsurance | Cause of Loss | Premium |
|---|---|---|---|---|
| Locations: 1, 2, 3 | $552,878 | 100% | Special | $1,254 |
| Blanket Personal Property | | | | |

| Blanket Summary | Limit of Insurance | Coinsurance | Cause of Loss | Premium |
|---|---|---|---|---|
| Locations: 1, 2 | $1,000,000 | 100% | Special | $1,930 |
| Blanket Personal Property of Others | | | | |

See Commercial Property Coverage Schedule for specific location details and applicable deductibles.

West Bend Insurance Company
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## Commercial Property Coverage Declarations

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WAUKESHA, WI 53188
262-574-7000

## Commercial Property Coverage Schedule

| Loc | Bldg | Type | Limit of Insurance | Coinsurance | Cause Of Loss | Premium |
|---|---|---|---|---|---|---|
| 1 | 1 | Blanket Building | Included | Included | Special | Included |
| | | Replacement Cost | | | | |
| | | Agreed Value | | | | |
| | | Agreed Value Expiration Date: 01/01/2027 | | | | |
| | | Inflation Guard - 4% | | | | |
| | | Deductible - $10,000 | | | | |
| | | Wind/Hail Cosmetic Damage Roof Surfacing Excluded | | | | |

| Loc | Bldg | Type | Limit of Insurance | Coinsurance | Cause Of Loss | Premium |
|---|---|---|---|---|---|---|
| 1 | 1 | Blanket Personal Property | Included | Included | Special | Included |
| | | Replacement Cost | | | | |
| | | Agreed Value | | | | |
| | | Agreed Value Expiration Date: 01/01/2027 | | | | |
| | | Deductible - $5,000 | | | | |

| Loc | Bldg | Type | Limit of Insurance | Coinsurance | Cause Of Loss | Premium |
|---|---|---|---|---|---|---|
| 1 | 1 | Blanket Personal Property of Others | Included | Included | Special | Included |
| | | Replacement Cost | | | | |
| | | Agreed Value | | | | |

**Commercial Property Coverage Declarations**

**Customer Number:** 0110116385
**Policy Number:** A848246 05

**Policy Period:** 01/01/2026 to 01/01/2027
at 12:01 AM Standard Time at Your Mailing Address Shown Below

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**Agency Name and Address:** 48508
R & R INSURANCE SERVICES INC
N14W23900 STONE RIDGE DR
WAUKESHA, WI 53188
262-574-7000

Agreed Value Expiration Date:
01/01/2027

Deductible - $5,000

| Loc | Bldg | Type | Limit of Insurance | Coinsurance | Cause Of Loss | Premium |
|---|---|---|---|---|---|---|
| 1 | 1 | Business Income Including Rental Value & Extra Expense - Not to Exceed 12 Consecutive Months<br>Time Period - no waiting<br>Extended Period of Indemnity - 90 Days<br>Ordinance or Law - Increased Period of Restoration | Actual Loss Sustained | Waived | Special | $12 |

| Loc | Bldg | Type | Limit of Insurance | Coinsurance | Cause Of Loss | Premium |
|---|---|---|---|---|---|---|
| 2 | 1 | Blanket Building<br>Replacement Cost<br>Agreed Value<br>Agreed Value Expiration Date: 01/01/2027<br>Inflation Guard - 4%<br>Deductible - $10,000<br>Wind/Hail Cosmetic Damage Roof Surfacing Excluded | Included | Included | Special | Included |

| Loc | Bldg | Type | Limit of Insurance | Coinsurance | Cause Of Loss | Premium |
|---|---|---|---|---|---|---|
| 2 | 1 | Blanket Personal Property<br>Replacement Cost | Included | Included | Special | Included |

**Commercial Property Coverage Declarations**

**Customer Number:** 0110116385
**Policy Number:** A848246 05

**Policy Period:** 01/01/2026 to 01/01/2027
at 12:01 AM Standard Time at Your Mailing Address Shown Below

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**Agency Name and Address:** 48508
R & R INSURANCE SERVICES INC
N14W23900 STONE RIDGE DR
WAUKESHA, WI 53188
262-574-7000

Agreed Value

Agreed Value Expiration Date:
01/01/2027

Deductible - $5,000

| Loc | Bldg | Type | Limit of Insurance | Coinsurance | Cause Of Loss | Premium |
|---|---|---|---|---|---|---|
| 2 | 1 | Blanket Personal Property of Others | Included | Included | Special | Included |
| | | Replacement Cost | | | | |
| | | Agreed Value | | | | |
| | | Agreed Value Expiration Date: 01/01/2027 | | | | |
| | | Deductible - $5,000 | | | | |

| Loc | Bldg | Type | Limit of Insurance | Coinsurance | Cause Of Loss | Premium |
|---|---|---|---|---|---|---|
| 2 | 1 | Business Income Including Rental Value & Extra Expense - Not to Exceed 12 Consecutive Months | Actual Loss Sustained | Waived | Special | $12 |
| | | Time Period - no waiting | | | | |
| | | Extended Period of Indemnity - 90 Days | | | | |
| | | Ordinance or Law - Increased Period of Restoration | | | | |

| Loc | Bldg | Type | Limit of Insurance | Coinsurance | Cause Of Loss | Premium |
|---|---|---|---|---|---|---|
| 3 | 1 | Blanket Building | Included | Included | Special | Included |
| | | Replacement Cost | | | | |
| | | Agreed Value | | | | |

West Bend Insurance Company
1900 S. 18th Ave. | West Bend, WI 53095

Renewal

## Commercial Property Coverage Declarations

**Customer Number:** 0110116385
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at 12:01 AM Standard Time at Your Mailing Address Shown Below

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**Agency Name and Address:** 48508
R & R INSURANCE SERVICES INC
N14W23900 STONE RIDGE DR
WAUKESHA, WI 53188
262-574-7000

Agreed Value Expiration Date:
01/01/2027

Inflation Guard - 4%

Deductible - $10,000

Wind/Hail Cosmetic Damage Roof
Surfacing Excluded

| Loc | Bldg | Type | Limit of Insurance | Coinsurance | Cause Of Loss | Premium |
|---|---|---|---|---|---|---|
| 3 | 1 | Blanket Personal Property | Included | Included | Special | Included |
| | | Replacement Cost | | | | |
| | | Agreed Value | | | | |
| | | Agreed Value Expiration Date:<br>01/01/2027 | | | | |
| | | Deductible - $5,000 | | | | |

See attached Forms Schedule for forms and endorsements applicable to this coverage.

West Bend Insurance Company
1900 S. 18th Ave. | West Bend, WI 53095

Renewal

## Commercial Property Endorsements and Miscellaneous Premiums

**Customer Number:** 0110116385
**Policy Number:** A848246 05

**Policy Period:** 01/01/2026 to 01/01/2027
at 12:01 AM Standard Time at Your Mailing Address Shown Below

**Named Insured and Address:**
Locksley, Inc
DBA Paul Davis Restoration of South Central WI
3432A County Rd N
Cottage Grove, WI 53527

**Agency Name and Address:** 48508
R & R INSURANCE SERVICES INC
N14W23900 STONE RIDGE DR
WAUKESHA, WI 53188
262-574-7000

### Endorsements – Applicable to All Locations

| Description | Form Number | Premium |
|---|---|---|
| Equipment Breakdown | WB34 | $688 |
| Property Additional Coverages and Coverage Extensions Endorsement – Essential | WB2906 | $450 |
| Water Backup, Sump Pump Overflow | WB1337 | $250 |

### Endorsements – Applicable to a Specific Location

| Loc | Bldg | Description | Form Number | Premium |
|---|---|---|---|---|
| 1 | 1 | Utility Services - Time Element | CP1545 | Included |
| 2 | 1 | Utility Services - Time Element | CP1545 | Included |

### Miscellaneous Premiums

| Description | Form Number | Premium |
|---|---|---|
| Terrorism Risk Insurance Act | | $77 |
| Terrorism Risk Insurance Act (Fire Only) | | $46 |

Total Commercial Property Premium: $10,743

See attached Forms Schedule for forms and endorsements applicable to this coverage.

West Bend Insurance Company
1900 S. 18th Ave. | West Bend, WI 53095

Renewal

## Commercial Property Additional Interest Schedule

**Customer Number:** 0110116385
**Policy Number:** A848246 05

**Policy Period:** 01/01/2026 to 01/01/2027
at 12:01 AM Standard Time at Your Mailing Address Shown Below

**Named Insured and Address:**
Locksley, Inc
DBA Paul Davis Restoration of South Central WI
3432A County Rd N
Cottage Grove, WI 53527

**Agency Name and Address:** 48508
R & R INSURANCE SERVICES INC
N14W23900 STONE RIDGE DR
WAUKESHA, WI 53188
262-574-7000

### Additional Interest Schedule

| Loc | Name and Address | Reference/Loan Number | Interest |
|---|---|---|---|
| 1 | US Small Bus Administration Commercial Loan Center<br>4618 S Biltmore Ln<br>Madison, WI 53718-2104 | | Mortgageholder |
| 2 | U.S. Small Business<br>4618 S Biltmore Ln<br>Madison, WI 53718-2104 | | Mortgageholder |
| 1 | Lake Ridge Bank, ISAOA/ATIMA<br>1205 Main St<br>Cross Plains, WI 53528-9479 | | Mortgageholder |
| 3 | Bank of Broadhead<br>806 E Exchange St<br>Brodhead, WI 53520-1467 | | Mortgageholder |

WEST BEND®
West Bend Insurance Company
1900 S. 18th Ave. | West Bend, WI 53095

Renewal

## Commercial Property Forms Schedule

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**Named Insured and Address:**
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N14W23900 STONE RIDGE DR
WAUKESHA, WI 53188
262-574-7000

### Forms Schedule

| Number | Edition | Description |
|---|---|---|
| CP0010 | 1012 | BUILDING AND PERSONAL PROPERTY COVERAGE FORM |
| CP0030 | 1012 | BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM |
| CP0090 | 0788 | COMMERCIAL PROPERTY CONDITIONS |
| CP0140 | 0706 | EXCLUSION OF LOSS DUE TO VIRUS OR BACTERIA |
| CP0401 | 1000 | BRANDS AND LABELS |
| CP1030 | 0917 | CAUSES OF LOSS - SPECIAL FORM |
| CP1036X | 1012 | LIMITATIONS ON COVERAGE FOR ROOF AND EXTERIOR SURFACING |
| CP1075 | 1220 | CYBER INCIDENT EXCLUSION |
| CP1218 | 1012 | LOSS PAYABLE PROVISIONS |
| CP1531 | 0917 | ORDINANCE OR LAW - INCREASED PERIOD OF RESTORATION |
| CP1545 | 0917 | UTILITY SERVICES - TIME ELEMENT |
| CP1556 | 0607 | BUSINESS INCOME CHANGES - BEGINNING OF THE PERIOD OF RESTORATION |
| WB1337 | 0525 | WATER BACK UP, SUMP PUMP OVERFLOW |
| WB2186 | 0525 | BUSINESS INCOME COVERAGE - ACTUAL LOSS SUSTAINED (TWELVE MONTH LIMITATION) |
| WB2906 | 0524 | PROPERTY ADDITIONAL COVERAGES AND COVERAGE EXTENSIONS ENDORSEMENT |

West Bend Insurance Company
1900 S. 18th Ave. | West Bend, WI 53095

Renewal

## Commercial Property Forms Schedule

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at 12:01 AM Standard Time at Your Mailing Address Shown Below

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**Agency Name and Address:** 48508
R & R INSURANCE SERVICES INC
N14W23900 STONE RIDGE DR
WAUKESHA, WI 53188
262-574-7000

### Forms Schedule

| Number | Edition | Description |
|---|---|---|
| WB34 | 0525 | EQUIPMENT BREAKDOWN COVERAGE ENDORSEMENT |
| WB898 | 0525 | YOUR BUSINESS PERSONAL PROPERTY AMENDMENT TENANT GLASS |
| CP0113 | 1012 | WISCONSIN CHANGES |

**THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.**

# EXCLUSION OF LOSS DUE TO VIRUS OR BACTERIA

This endorsement modifies insurance provided under the following:

COMMERCIAL PROPERTY COVERAGE PART
STANDARD PROPERTY POLICY

**A.** The exclusion set forth in Paragraph **B.** applies to all coverage under all forms and endorsements that comprise this Coverage Part or Policy, including but not limited to forms or endorsements that cover property damage to buildings or personal property and forms or endorsements that cover business income, extra expense or action of civil authority.

**B.** We will not pay for loss or damage caused by or resulting from any virus, bacterium or other microorganism that induces or is capable of inducing physical distress, illness or disease.

However, this exclusion does not apply to loss or damage caused by or resulting from "fungus", wet rot or dry rot. Such loss or damage is addressed in a separate exclusion in this Coverage Part or Policy.

**C.** With respect to any loss or damage subject to the exclusion in Paragraph **B.,** such exclusion supersedes any exclusion relating to "pollutants".

**D.** The following provisions in this Coverage Part or Policy are hereby amended to remove reference to bacteria:

**1.** Exclusion of "Fungus", Wet Rot, Dry Rot And Bacteria; and

**2.** Additional Coverage – Limited Coverage for "Fungus", Wet Rot, Dry Rot And Bacteria, including any endorsement increasing the scope or amount of coverage.

**E.** The terms of the exclusion in Paragraph **B.,** or the inapplicability of this exclusion to a particular loss, do not serve to create coverage for any loss that would otherwise be excluded under this Coverage Part or Policy.

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**THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.**

# BRANDS AND LABELS

This endorsement modifies insurance provided under the following:

BUILDING AND PERSONAL PROPERTY COVERAGE FORM
CONDOMINIUM ASSOCIATION COVERAGE FORM
CONDOMINIUM COMMERCIAL UNIT-OWNERS COVERAGE FORM
STANDARD PROPERTY POLICY

**A.** If branded or labeled merchandise that is Covered Property is damaged by a Covered Cause of Loss, we may take all or any part of the property at an agreed or appraised value. If so, you may:

**1.** Stamp "salvage" on the merchandise or its containers, if the stamp will not physically damage the merchandise; or

**2.** Remove the brands or labels, if doing so will not physically damage the merchandise. You must relabel the merchandise or its containers to comply with the law.

**B.** We will pay reasonable costs you incur to perform the activity described in **A.1.** or **A.2.** above. But the total we pay for these costs and the value of the damaged property will not exceed the applicable Limit of Insurance on such property.

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# CAUSES OF LOSS – SPECIAL FORM

Words and phrases that appear in quotation marks have special meaning. Refer to Section **G.** Definitions.

**A. Covered Causes Of Loss**

When Special is shown in the Declarations, Covered Causes of Loss means direct physical loss unless the loss is excluded or limited in this policy.

**B. Exclusions**

**1.** We will not pay for loss or damage caused directly or indirectly by any of the following. Such loss or damage is excluded regardless of any other cause or event that contributes concurrently or in any sequence to the loss.

**a. Ordinance Or Law**

The enforcement of or compliance with any ordinance or law:

**(1)** Regulating the construction, use or repair of any property; or

**(2)** Requiring the tearing down of any property, including the cost of removing its debris.

This exclusion, Ordinance Or Law, applies whether the loss results from:

**(a)** An ordinance or law that is enforced even if the property has not been damaged; or

**(b)** The increased costs incurred to comply with an ordinance or law in the course of construction, repair, renovation, remodeling or demolition of property, or removal of its debris, following a physical loss to that property.

**b. Earth Movement**

**(1)** Earthquake, including tremors and aftershocks and any earth sinking, rising or shifting related to such event;

**(2)** Landslide, including any earth sinking, rising or shifting related to such event;

**(3)** Mine subsidence, meaning subsidence of a man-made mine, whether or not mining activity has ceased;

**(4)** Earth sinking (other than sinkhole collapse), rising or shifting including soil conditions which cause settling, cracking or other disarrangement of foundations or other parts of realty. Soil conditions include contraction, expansion, freezing, thawing, erosion, improperly compacted soil and the action of water under the ground surface.

But if Earth Movement, as described in **b.(1)** through **(4)** above, results in fire or explosion, we will pay for the loss or damage caused by that fire or explosion.

**(5)** Volcanic eruption, explosion or effusion. But if volcanic eruption, explosion or effusion results in fire, building glass breakage or Volcanic Action, we will pay for the loss or damage caused by that fire, building glass breakage or Volcanic Action.

Volcanic Action means direct loss or damage resulting from the eruption of a volcano when the loss or damage is caused by:

**(a)** Airborne volcanic blast or airborne shock waves;

**(b)** Ash, dust or particulate matter; or

**(c)** Lava flow.

With respect to coverage for Volcanic Action as set forth in **(5)(a), (5)(b)** and **(5)(c),** all volcanic eruptions that occur within any 168-hour period will constitute a single occurrence.

Volcanic Action does not include the cost to remove ash, dust or particulate matter that does not cause direct physical loss or damage to the described property.

This exclusion applies regardless of whether any of the above, in Paragraphs **(1)** through **(5),** is caused by an act of nature or is otherwise caused.

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**c. Governmental Action**

Seizure or destruction of property by order of governmental authority.

But we will pay for loss or damage caused by or resulting from acts of destruction ordered by governmental authority and taken at the time of a fire to prevent its spread, if the fire would be covered under this Coverage Part.

**d. Nuclear Hazard**

Nuclear reaction or radiation, or radioactive contamination, however caused.

But if nuclear reaction or radiation, or radioactive contamination, results in fire, we will pay for the loss or damage caused by that fire.

**e. Utility Services**

The failure of power, communication, water or other utility service supplied to the described premises, however caused, if the failure:

**(1)** Originates away from the described premises; or

**(2)** Originates at the described premises, but only if such failure involves equipment used to supply the utility service to the described premises from a source away from the described premises.

Failure of any utility service includes lack of sufficient capacity and reduction in supply.

Loss or damage caused by a surge of power is also excluded, if the surge would not have occurred but for an event causing a failure of power.

But if the failure or surge of power, or the failure of communication, water or other utility service, results in a Covered Cause of Loss, we will pay for the loss or damage caused by that Covered Cause of Loss.

Communication services include but are not limited to service relating to Internet access or access to any electronic, cellular or satellite network.

**f. War And Military Action**

**(1)** War, including undeclared or civil war;

**(2)** Warlike action by a military force, including action in hindering or defending against an actual or expected attack, by any government, sovereign or other authority using military personnel or other agents; or

**(3)** Insurrection, rebellion, revolution, usurped power, or action taken by governmental authority in hindering or defending against any of these.

**g. Water**

**(1)** Flood, surface water, waves (including tidal wave and tsunami), tides, tidal water, overflow of any body of water, or spray from any of these, all whether or not driven by wind (including storm surge);

**(2)** Mudslide or mudflow;

**(3)** Water that backs up or overflows or is otherwise discharged from a sewer, drain, sump, sump pump or related equipment;

**(4)** Water under the ground surface pressing on, or flowing or seeping through:

**(a)** Foundations, walls, floors or paved surfaces;

**(b)** Basements, whether paved or not; or

**(c)** Doors, windows or other openings; or

**(5)** Waterborne material carried or otherwise moved by any of the water referred to in Paragraph **(1), (3)** or **(4),** or material carried or otherwise moved by mudslide or mudflow.

This exclusion applies regardless of whether any of the above, in Paragraphs **(1)** through **(5),** is caused by an act of nature or is otherwise caused. An example of a situation to which this exclusion applies is the situation where a dam, levee, seawall or other boundary or containment system fails in whole or in part, for any reason, to contain the water.

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But if any of the above, in Paragraphs **(1)** through **(5),** results in fire, explosion or sprinkler leakage, we will pay for the loss or damage caused by that fire, explosion or sprinkler leakage (if sprinkler leakage is a Covered Cause of Loss).

**h. "Fungus", Wet Rot, Dry Rot And Bacteria**

Presence, growth, proliferation, spread or any activity of "fungus", wet or dry rot or bacteria.

But if "fungus", wet or dry rot or bacteria result in a "specified cause of loss", we will pay for the loss or damage caused by that "specified cause of loss".

This exclusion does not apply:

**(1)** When "fungus", wet or dry rot or bacteria result from fire or lightning; or

**(2)** To the extent that coverage is provided in the Additional Coverage, Limited Coverage For "Fungus", Wet Rot, Dry Rot And Bacteria, with respect to loss or damage by a cause of loss other than fire or lightning.

Exclusions **B.1.a.** through **B.1.h.** apply whether or not the loss event results in widespread damage or affects a substantial area.

**2.** We will not pay for loss or damage caused by or resulting from any of the following:

**a.** Artificially generated electrical, magnetic or electromagnetic energy that damages, disturbs, disrupts or otherwise interferes with any:

**(1)** Electrical or electronic wire, device, appliance, system or network; or

**(2)** Device, appliance, system or network utilizing cellular or satellite technology.

For the purpose of this exclusion, electrical, magnetic or electromagnetic energy includes but is not limited to:

**(a)** Electrical current, including arcing;

**(b)** Electrical charge produced or conducted by a magnetic or electromagnetic field;

**(c)** Pulse of electromagnetic energy; or

**(d)** Electromagnetic waves or microwaves.

But if fire results, we will pay for the loss or damage caused by that fire.

**b.** Delay, loss of use or loss of market.

**c.** Smoke, vapor or gas from agricultural smudging or industrial operations.

**d.(1)** Wear and tear;

**(2)** Rust or other corrosion, decay, deterioration, hidden or latent defect or any quality in property that causes it to damage or destroy itself;

**(3)** Smog;

**(4)** Settling, cracking, shrinking or expansion;

**(5)** Nesting or infestation, or discharge or release of waste products or secretions, by insects, birds, rodents or other animals.

**(6)** Mechanical breakdown, including rupture or bursting caused by centrifugal force. But if mechanical breakdown results in elevator collision, we will pay for the loss or damage caused by that elevator collision.

**(7)** The following causes of loss to personal property:

**(a)** Dampness or dryness of atmosphere;

**(b)** Changes in or extremes of temperature; or

**(c)** Marring or scratching.

But if an excluded cause of loss that is listed in **2.d.(1)** through **(7)** results in a "specified cause of loss" or building glass breakage, we will pay for the loss or damage caused by that "specified cause of loss" or building glass breakage.

**e.** Explosion of steam boilers, steam pipes, steam engines or steam turbines owned or leased by you, or operated under your control. But if explosion of steam boilers, steam pipes, steam engines or steam turbines results in fire or combustion explosion, we will pay for the loss or damage caused by that fire or combustion explosion. We will also pay for loss or damage caused by or resulting from the explosion of gases or fuel within the furnace of any fired vessel or within the flues or passages through which the gases of combustion pass.

**f.** Continuous or repeated seepage or leakage of water, or the presence or condensation of humidity, moisture or vapor, that occurs over a period of 14 days or more.

**g.** Water, other liquids, powder or molten material that leaks or flows from plumbing, heating, air conditioning or other equipment (except fire protective systems) caused by or resulting from freezing, unless:

**(1)** You do your best to maintain heat in the building or structure; or

**(2)** You drain the equipment and shut off the supply if the heat is not maintained.

**h.** Dishonest or criminal act (including theft) by you, any of your partners, members, officers, managers, employees (including temporary employees and leased workers), directors, trustees or authorized representatives, whether acting alone or in collusion with each other or with any other party; or theft by any person to whom you entrust the property for any purpose, whether acting alone or in collusion with any other party.

This exclusion:

**(1)** Applies whether or not an act occurs during your normal hours of operation;

**(2)** Does not apply to acts of destruction by your employees (including temporary employees and leased workers) or authorized representatives; but theft by your employees (including temporary employees and leased workers) or authorized representatives is not covered.

**i.** Voluntary parting with any property by you or anyone else to whom you have entrusted the property if induced to do so by any fraudulent scheme, trick, device or false pretense.

**j.** Rain, snow, ice or sleet to personal property in the open.

**k.** Collapse, including any of the following conditions of property or any part of the property:

**(1)** An abrupt falling down or caving in;

**(2)** Loss of structural integrity, including separation of parts of the property or property in danger of falling down or caving in; or

**(3)** Any cracking, bulging, sagging, bending, leaning, settling, shrinkage or expansion as such condition relates to **(1)** or **(2)** above.

But if collapse results in a Covered Cause of Loss at the described premises, we will pay for the loss or damage caused by that Covered Cause of Loss.

This exclusion, **k.,** does not apply:

**(a)** To the extent that coverage is provided under the Additional Coverage, Collapse; or

**(b)** To collapse caused by one or more of the following:

**(i)** The "specified causes of loss";

**(ii)** Breakage of building glass;

**(iii)** Weight of rain that collects on a roof; or

**(iv)** Weight of people or personal property.

**l.** Discharge, dispersal, seepage, migration, release or escape of "pollutants" unless the discharge, dispersal, seepage, migration, release or escape is itself caused by any of the "specified causes of loss". But if the discharge, dispersal, seepage, migration, release or escape of "pollutants" results in a "specified cause of loss", we will pay for the loss or damage caused by that "specified cause of loss".

This exclusion, **l.,** does not apply to damage to glass caused by chemicals applied to the glass.

**m.** Neglect of an insured to use all reasonable means to save and preserve property from further damage at and after the time of loss.

**3.** We will not pay for loss or damage caused by or resulting from any of the following, **3.a.** through **3.c.** But if an excluded cause of loss that is listed in **3.a.** through **3.c.** results in a Covered Cause of Loss, we will pay for the loss or damage caused by that Covered Cause of Loss.

**a.** Weather conditions. But this exclusion only applies if weather conditions contribute in any way with a cause or event excluded in Paragraph **1.** above to produce the loss or damage.

**b.** Acts or decisions, including the failure to act or decide, of any person, group, organization or governmental body.

**c.** Faulty, inadequate or defective:

**(1)** Planning, zoning, development, surveying, siting;

**(2)** Design, specifications, workmanship, repair, construction, renovation, remodeling, grading, compaction;

**(3)** Materials used in repair, construction, renovation or remodeling; or

**(4)** Maintenance;

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of part or all of any property on or off the described premises.

**4. Special Exclusions**

The following provisions apply only to the specified Coverage Forms:

**a. Business Income (And Extra Expense) Coverage Form, Business Income (Without Extra Expense) Coverage Form, Or Extra Expense Coverage Form**

We will not pay for:

**(1)** Any loss caused by or resulting from:

**(a)** Damage or destruction of "finished stock"; or

**(b)** The time required to reproduce "finished stock".

This exclusion does not apply to Extra Expense.

**(2)** Any loss caused by or resulting from direct physical loss or damage to radio or television antennas (including satellite dishes) and their lead-in wiring, masts or towers.

**(3)** Any increase of loss caused by or resulting from:

**(a)** Delay in rebuilding, repairing or replacing the property or resuming "operations", due to interference at the location of the rebuilding, repair or replacement by strikers or other persons; or

**(b)** Suspension, lapse or cancellation of any license, lease or contract. But if the suspension, lapse or cancellation is directly caused by the "suspension" of "operations", we will cover such loss that affects your Business Income during the "period of restoration" and any extension of the "period of restoration" in accordance with the terms of the Extended Business Income Additional Coverage and the Extended Period Of Indemnity Optional Coverage or any variation of these.

**(4)** Any Extra Expense caused by or resulting from suspension, lapse or cancellation of any license, lease or contract beyond the "period of restoration".

**(5)** Any other consequential loss.

**b. Leasehold Interest Coverage Form**

**(1)** Paragraph **B.1.a.,** Ordinance Or Law, does not apply to insurance under this Coverage Form.

**(2)** We will not pay for any loss caused by:

**(a)** Your cancelling the lease;

**(b)** The suspension, lapse or cancellation of any license; or

**(c)** Any other consequential loss.

**c. Legal Liability Coverage Form**

**(1)** The following exclusions do not apply to insurance under this Coverage Form:

**(a)** Paragraph **B.1.a.** Ordinance Or Law;

**(b)** Paragraph **B.1.c.** Governmental Action;

**(c)** Paragraph **B.1.d.** Nuclear Hazard;

**(d)** Paragraph **B.1.e.** Utility Services; and

**(e)** Paragraph **B.1.f.** War And Military Action.

**(2)** The following additional exclusions apply to insurance under this Coverage Form:

**(a) Contractual Liability**

We will not defend any claim or "suit", or pay damages that you are legally liable to pay, solely by reason of your assumption of liability in a contract or agreement. But this exclusion does not apply to a written lease agreement in which you have assumed liability for building damage resulting from an actual or attempted burglary or robbery, provided that:

**(i)** Your assumption of liability was executed prior to the accident; and

**(ii)** The building is Covered Property under this Coverage Form.

**(b) Nuclear Hazard**

We will not defend any claim or "suit", or pay any damages, loss, expense or obligation, resulting from nuclear reaction or radiation, or radioactive contamination, however caused.

**5. Additional Exclusion**

The following provisions apply only to the specified property:

**Loss Or Damage To Products**

We will not pay for loss or damage to any merchandise, goods or other product caused by or resulting from error or omission by any person or entity (including those having possession under an arrangement where work or a portion of the work is outsourced) in any stage of the development, production or use of the product, including planning, testing, processing, packaging, installation, maintenance or repair. This exclusion applies to any effect that compromises the form, substance or quality of the product. But if such error or omission results in a Covered Cause of Loss, we will pay for the loss or damage caused by that Covered Cause of Loss.

**C. Limitations**

The following limitations apply to all policy forms and endorsements, unless otherwise stated:

**1.** We will not pay for loss of or damage to property, as described and limited in this section. In addition, we will not pay for any loss that is a consequence of loss or damage as described and limited in this section.

**a.** Steam boilers, steam pipes, steam engines or steam turbines caused by or resulting from any condition or event inside such equipment. But we will pay for loss of or damage to such equipment caused by or resulting from an explosion of gases or fuel within the furnace of any fired vessel or within the flues or passages through which the gases of combustion pass.

**b.** Hot water boilers or other water heating equipment caused by or resulting from any condition or event inside such boilers or equipment, other than an explosion.

**c.** The interior of any building or structure, or to personal property in the building or structure, caused by or resulting from rain, snow, sleet, ice, sand or dust, whether driven by wind or not, unless:

**(1)** The building or structure first sustains damage by a Covered Cause of Loss to its roof or walls through which the rain, snow, sleet, ice, sand or dust enters; or

**(2)** The loss or damage is caused by or results from thawing of snow, sleet or ice on the building or structure.

**d.** Building materials and supplies not attached as part of the building or structure, caused by or resulting from theft.

However, this limitation does not apply to:

**(1)** Building materials and supplies held for sale by you, unless they are insured under the Builders Risk Coverage Form; or

**(2)** Business Income Coverage or Extra Expense Coverage.

**e.** Property that is missing, where the only evidence of the loss or damage is a shortage disclosed on taking inventory, or other instances where there is no physical evidence to show what happened to the property.

**f.** Property that has been transferred to a person or to a place outside the described premises on the basis of unauthorized instructions.

**g.** Lawns, trees, shrubs or plants which are part of a vegetated roof, caused by or resulting from:

**(1)** Dampness or dryness of atmosphere or of soil supporting the vegetation;

**(2)** Changes in or extremes of temperature;

**(3)** Disease;

**(4)** Frost or hail; or

**(5)** Rain, snow, ice or sleet.

**2.** We will not pay for loss of or damage to the following types of property unless caused by the "specified causes of loss" or building glass breakage:

**a.** Animals, and then only if they are killed or their destruction is made necessary.

**b.** Fragile articles such as statuary, marbles, chinaware and porcelains, if broken. This restriction does not apply to:

**(1)** Glass; or

**(2)** Containers of property held for sale.

**c.** Builders' machinery, tools and equipment owned by you or entrusted to you, provided such property is Covered Property.

However, this limitation does not apply:

**(1)** If the property is located on or within 100 feet of the described premises, unless the premises is insured under the Builders Risk Coverage Form; or

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**(2)** To Business Income Coverage or to Extra Expense Coverage.

**3.** The special limit shown for each category, **a.** through **d.,** is the total limit for loss of or damage to all property in that category. The special limit applies to any one occurrence of theft, regardless of the types or number of articles that are lost or damaged in that occurrence. The special limits are (unless a higher limit is shown in the Declarations):

**a.** $2,500 for furs, fur garments and garments trimmed with fur.

**b.** $2,500 for jewelry, watches, watch movements, jewels, pearls, precious and semiprecious stones, bullion, gold, silver, platinum and other precious alloys or metals. This limit does not apply to jewelry and watches worth $100 or less per item.

**c.** $2,500 for patterns, dies, molds and forms.

**d.** $250 for stamps, tickets, including lottery tickets held for sale, and letters of credit.

These special limits are part of, not in addition to, the Limit of Insurance applicable to the Covered Property.

This limitation, **C.3.,** does not apply to Business Income Coverage or to Extra Expense Coverage.

**4.** We will not pay the cost to repair any defect to a system or appliance from which water, other liquid, powder or molten material escapes. But we will pay the cost to repair or replace damaged parts of fire-extinguishing equipment if the damage:

**a.** Results in discharge of any substance from an automatic fire protection system; or

**b.** Is directly caused by freezing.

However, this limitation does not apply to Business Income Coverage or to Extra Expense Coverage.

**D. Additional Coverage – Collapse**

The coverage provided under this Additional Coverage, Collapse, applies only to an abrupt collapse as described and limited in **D.1.** through **D.7.**

**1.** For the purpose of this Additional Coverage, Collapse, abrupt collapse means an abrupt falling down or caving in of a building or any part of a building with the result that the building or part of the building cannot be occupied for its intended purpose.

**2.** We will pay for direct physical loss or damage to Covered Property, caused by abrupt collapse of a building or any part of a building that is insured under this Coverage Form or that contains Covered Property insured under this Coverage Form, if such collapse is caused by one or more of the following:

**a.** Building decay that is hidden from view, unless the presence of such decay is known to an insured prior to collapse;

**b.** Insect or vermin damage that is hidden from view, unless the presence of such damage is known to an insured prior to collapse;

**c.** Use of defective material or methods in construction, remodeling or renovation if the abrupt collapse occurs during the course of the construction, remodeling or renovation.

**d.** Use of defective material or methods in construction, remodeling or renovation if the abrupt collapse occurs after the construction, remodeling or renovation is complete, but only if the collapse is caused in part by:

**(1)** A cause of loss listed in **2.a.** or **2.b.;**

**(2)** One or more of the "specified causes of loss";

**(3)** Breakage of building glass;

**(4)** Weight of people or personal property; or

**(5)** Weight of rain that collects on a roof.

**3.** This **Additional Coverage – Collapse** does **not** apply to:

**a.** A building or any part of a building that is in danger of falling down or caving in;

**b.** A part of a building that is standing, even if it has separated from another part of the building; or

**c.** A building that is standing or any part of a building that is standing, even if it shows evidence of cracking, bulging, sagging, bending, leaning, settling, shrinkage or expansion.

**4.** With respect to the following property:

**a.** Outdoor radio or television antennas (including satellite dishes) and their lead-in wiring, masts or towers;

**b.** Awnings, gutters and downspouts;

**c.** Yard fixtures;

**d.** Outdoor swimming pools;

**e.** Fences;

**f.** Piers, wharves and docks;

**g.** Beach or diving platforms or appurtenances;

**h.** Retaining walls; and

**i.** Walks, roadways and other paved surfaces;

if an abrupt collapse is caused by a cause of loss listed in **2.a.** through **2.d.,** we will pay for loss or damage to that property only if:

**(1)** Such loss or damage is a direct result of the abrupt collapse of a building insured under this Coverage Form; and

**(2)** The property is Covered Property under this Coverage Form.

**5.** If personal property abruptly falls down or caves in and such collapse is **not** the result of abrupt collapse of a building, we will pay for loss or damage to Covered Property caused by such collapse of personal property only if:

**a.** The collapse of personal property was caused by a cause of loss listed in **2.a.** through **2.d.;**

**b.** The personal property which collapses is inside a building; and

**c.** The property which collapses is not of a kind listed in **4.,** regardless of whether that kind of property is considered to be personal property or real property.

The coverage stated in this Paragraph **5.** does not apply to personal property if marring and/or scratching is the only damage to that personal property caused by the collapse.

**6.** This Additional Coverage, Collapse, does not apply to personal property that has not abruptly fallen down or caved in, even if the personal property shows evidence of cracking, bulging, sagging, bending, leaning, settling, shrinkage or expansion.

**7.** This Additional Coverage, Collapse, will not increase the Limits of Insurance provided in this Coverage Part.

**8.** The term Covered Cause of Loss includes the Additional Coverage, Collapse, as described and limited in **D.1.** through **D.7.**

**E. Additional Coverage – Limited Coverage For "Fungus", Wet Rot, Dry Rot And Bacteria**

**1.** The coverage described in **E.2.** and **E.6.** only applies when the "fungus", wet or dry rot or bacteria are the result of one or more of the following causes that occur during the policy period and only if all reasonable means were used to save and preserve the property from further damage at the time of and after that occurrence:

**a.** A "specified cause of loss" other than fire or lightning; or

**b.** Flood, if the Flood Coverage Endorsement applies to the affected premises.

This Additional Coverage does not apply to lawns, trees, shrubs or plants which are part of a vegetated roof.

**2.** We will pay for loss or damage by "fungus", wet or dry rot or bacteria. As used in this Limited Coverage, the term loss or damage means:

**a.** Direct physical loss or damage to Covered Property caused by "fungus", wet or dry rot or bacteria, including the cost of removal of the "fungus", wet or dry rot or bacteria;

**b.** The cost to tear out and replace any part of the building or other property as needed to gain access to the "fungus", wet or dry rot or bacteria; and

**c.** The cost of testing performed after removal, repair, replacement or restoration of the damaged property is completed, provided there is a reason to believe that "fungus", wet or dry rot or bacteria are present.

**3.** The coverage described under **E.2.** of this Limited Coverage is limited to $15,000. Regardless of the number of claims, this limit is the most we will pay for the total of all loss or damage arising out of all occurrences of "specified causes of loss" (other than fire or lightning) and Flood which take place in a 12-month period (starting with the beginning of the present annual policy period). With respect to a particular occurrence of loss which results in "fungus", wet or dry rot or bacteria, we will not pay more than a total of $15,000 even if the "fungus", wet or dry rot or bacteria continue to be present or active, or recur, in a later policy period.

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**4.** The coverage provided under this Limited Coverage does not increase the applicable Limit of Insurance on any Covered Property. If a particular occurrence results in loss or damage by "fungus", wet or dry rot or bacteria, and other loss or damage, we will not pay more, for the total of all loss or damage, than the applicable Limit of Insurance on the affected Covered Property.

If there is covered loss or damage to Covered Property, not caused by "fungus", wet or dry rot or bacteria, loss payment will not be limited by the terms of this Limited Coverage, except to the extent that "fungus", wet or dry rot or bacteria cause an increase in the loss. Any such increase in the loss will be subject to the terms of this Limited Coverage.

**5.** The terms of this Limited Coverage do not increase or reduce the coverage provided under Paragraph **F.2.** (Water Damage, Other Liquids, Powder Or Molten Material Damage) of this Causes Of Loss form or under the Additional Coverage, Collapse.

**6.** The following, **6.a.** or **6.b.,** applies only if Business Income and/or Extra Expense Coverage applies to the described premises and only if the "suspension" of "operations" satisfies all terms and conditions of the applicable Business Income and/or Extra Expense Coverage Form:

**a.** If the loss which resulted in "fungus", wet or dry rot or bacteria does not in itself necessitate a "suspension" of "operations", but such "suspension" is necessary due to loss or damage to property caused by "fungus", wet or dry rot or bacteria, then our payment under Business Income and/or Extra Expense is limited to the amount of loss and/or expense sustained in a period of not more than 30 days. The days need not be consecutive.

**b.** If a covered "suspension" of "operations" was caused by loss or damage other than "fungus", wet or dry rot or bacteria but remediation of "fungus", wet or dry rot or bacteria prolongs the "period of restoration", we will pay for loss and/or expense sustained during the delay (regardless of when such a delay occurs during the "period of restoration"), but such coverage is limited to 30 days. The days need not be consecutive.

**F. Additional Coverage Extensions**

**1. Property In Transit**

This Extension applies only to your personal property to which this form applies.

**a.** You may extend the insurance provided by this Coverage Part to apply to your personal property (other than property in the care, custody or control of your salespersons) in transit more than 100 feet from the described premises. Property must be in or on a motor vehicle you own, lease or operate while between points in the coverage territory.

**b.** Loss or damage must be caused by or result from one of the following causes of loss:

**(1)** Fire, lightning, explosion, windstorm or hail, riot or civil commotion, or vandalism.

**(2)** Vehicle collision, upset or overturn. Collision means accidental contact of your vehicle with another vehicle or object. It does not mean your vehicle's contact with the roadbed.

**(3)** Theft of an entire bale, case or package by forced entry into a securely locked body or compartment of the vehicle. There must be visible marks of the forced entry.

**c.** The most we will pay for loss or damage under this Extension is $5,000.

This Coverage Extension is additional insurance. The Additional Condition, Coinsurance, does not apply to this Extension.

**2. Water Damage, Other Liquids, Powder Or Molten Material Damage**

If loss or damage caused by or resulting from covered water or other liquid, powder or molten material damage loss occurs, we will also pay the cost to tear out and replace any part of the building or structure to repair damage to the system or appliance from which the water or other substance escapes. This Coverage Extension does not increase the Limit of Insurance.

**3. Glass**

**a.** We will pay for expenses incurred to put up temporary plates or board up openings if repair or replacement of damaged glass is delayed.

**b.** We will pay for expenses incurred to remove or replace obstructions when repairing or replacing glass that is part of a building. This does not include removing or replacing window displays.

This Coverage Extension **F.3.** does not increase the Limit of Insurance.

**G. Definitions**

**1.** "Fungus" means any type or form of fungus, including mold or mildew, and any mycotoxins, spores, scents or by-products produced or released by fungi.

**2.** "Specified causes of loss" means the following: fire; lightning; explosion; windstorm or hail; smoke; aircraft or vehicles; riot or civil commotion; vandalism; leakage from fire-extinguishing equipment; sinkhole collapse; volcanic action; falling objects; weight of snow, ice or sleet; water damage.

**a.** Sinkhole collapse means the sudden sinking or collapse of land into underground empty spaces created by the action of water on limestone or dolomite. This cause of loss does not include:

**(1)** The cost of filling sinkholes; or

**(2)** Sinking or collapse of land into man-made underground cavities.

**b.** Falling objects does not include loss or damage to:

**(1)** Personal property in the open; or

**(2)** The interior of a building or structure, or property inside a building or structure, unless the roof or an outside wall of the building or structure is first damaged by a falling object.

**c.** Water damage means:

**(1)** Accidental discharge or leakage of water or steam as the direct result of the breaking apart or cracking of a plumbing, heating, air conditioning or other system or appliance (other than a sump system including its related equipment and parts), that is located on the described premises and contains water or steam; and

**(2)** Accidental discharge or leakage of water or waterborne material as the direct result of the breaking apart or cracking of a water or sewer pipe caused by wear and tear, when the pipe is located off the described premises and is connected to or is part of a potable water supply system or sanitary sewer system operated by a public or private utility service provider pursuant to authority granted by the state or governmental subdivision where the described premises are located.

But water damage does not include loss or damage otherwise excluded under the terms of the Water Exclusion. Therefore, for example, there is no coverage under this policy in the situation in which discharge or leakage of water results from the breaking apart or cracking of a pipe which was caused by or related to weather-induced flooding, even if wear and tear contributed to the breakage or cracking. As another example, and also in accordance with the terms of the Water Exclusion, there is no coverage for loss or damage caused by or related to weather-induced flooding which follows or is exacerbated by pipe breakage or cracking attributable to wear and tear.

To the extent that accidental discharge or leakage of water falls within the criteria set forth in **c.(1)** or **c.(2)** of this definition of "specified causes of loss," such water is not subject to the provisions of the Water Exclusion which preclude coverage for surface water or water under the surface of the ground.

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# LIMITATIONS ON COVERAGE FOR ROOF AND EXTERIOR SURFACING

This endorsement modifies insurance provided under the following:

BUILDERS RISK COVERAGE FORM
BUILDING AND PERSONAL PROPERTY COVERAGE FORM
CONDOMINIUM ASSOCIATION COVERAGE FORM
CONDOMINIUM COMMERCIAL UNIT-OWNERS COVERAGE FORM
STANDARD PROPERTY POLICY

**SCHEDULE**

| Premises Number | Building Number | Indicate Applicability (Paragraph A. and/or Paragraph B.) |
|---|---|---|
| 1 | 1 | B |
| 2 | 1 | B |
| 3 | 1 | B |
| Information required to complete this Schedule, if not shown above, will be shown in the Declarations. | | |

**A.** The following applies with respect to loss or damage by wind and/or hail to a building or structure identified in the Schedule as being subject to this Paragraph **A.**:

We will determine the value of "roof surfacing" or "exterior surfacing" at actual cash value as of the time of loss or damage.

**B.** The following applies with respect to loss or damage by wind and/or hail to a building or structure identified in the Schedule as being subject to this Paragraph **B.**:

We will not pay for cosmetic damage to "roof surfacing" or "exterior surfacing" caused by wind and/or hail. For the purpose of this endorsement, cosmetic damage means that the wind and/or hail caused marring, pitting or other superficial damage that altered the appearance of the "roof surfacing" or "exterior surfacing", but such damage does not prevent the "roof surfacing" or "exterior surfacing" from continuing to function as a barrier to entrance of the elements to the same extent as it did before the cosmetic damage occurred.

**C.** For the purpose of this endorsement, the following definitions apply:

**1.** "Roof surfacing" means the shingles, tiles, cladding, metal or synthetic sheeting or similar materials covering the roof and includes, but is not limited to, all materials used in securing the roof surface and all materials applied to or under the roof surface for moisture protection, as well as roof flashing, vents, ridges, and valleys.

**2.** "Exterior Surfacing" means the material(s) used to surface the exterior of a building to protect against exposure to the elements including, but not limited to:

**a.** Siding, including soffits and fascia;

**b.** Doors, including overhead doors and door wraps;

**c.** Windows, including frames, casings, cladding, trim, weather stripping, screens, and all window accessories; and

**d.** Skylights.

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# CYBER INCIDENT EXCLUSION

This endorsement modifies insurance provided under the following:

COMMERCIAL PROPERTY COVERAGE PART
STANDARD PROPERTY POLICY

**A.** The following exclusion is added to Paragraph **B. Exclusions:**

We will not pay for loss or damage caused directly or indirectly by the following. Such loss or damage is excluded regardless of any other cause or event that contributes concurrently or in any sequence to the loss.

**Cyber Incident**

**1.** Unauthorized access to or use of any computer system (including electronic data).

**2.** Malicious code, virus or any other harmful code that is directed at, enacted upon or introduced into any computer system (including electronic data) and is designed to access, alter, corrupt, damage, delete, destroy, disrupt, encrypt, exploit, use or prevent or restrict access to or the use of any part of any computer system (including electronic data) or otherwise disrupt its normal functioning or operation.

**3.** Denial of service attack which disrupts, prevents or restricts access to or use of any computer system, or otherwise disrupts its normal functioning or operation.

**B. Exceptions And Limitations**

**1. Fire Or Explosion**

If a cyber incident as described in Paragraphs **A.1.** through **A.3.** of this exclusion results in fire or explosion, we will pay for the loss or damage caused by that fire or explosion.

**2. Additional Coverage**

The exclusion in Paragraph **A.** does not apply to the extent that coverage is provided in the:

**a.** Additional Coverage – Electronic Data; or

**b.** Additional Coverage – Interruption Of Computer Operations.

**3. Electronic Commerce Endorsement**

The exclusion in Paragraph **A.** does not apply to the Electronic Commerce (E-Commerce) endorsement when attached to your policy.

**C. Vandalism**

The following is added to Vandalism, if Vandalism coverage is not otherwise excluded under the Standard Property Policy or the Causes Of Loss – Basic, Broad or Special Forms and if applicable to the premises described in the Declarations:

Vandalism does not include a cyber incident as described in Paragraph **A.**

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# LOSS PAYABLE PROVISIONS

This endorsement modifies insurance provided under the following:

BUILDERS' RISK COVERAGE FORM
BUILDING AND PERSONAL PROPERTY COVERAGE FORM
CONDOMINIUM ASSOCIATION COVERAGE FORM
CONDOMINIUM COMMERCIAL UNIT-OWNERS COVERAGE FORM
STANDARD PROPERTY POLICY

**SCHEDULE**

| | | |
|---|---|---|
| **Location Number:** 1 | **Building Number:** 1 | **Applicable Clause (Enter C.1., C.2., C.3. or C.4.):** C.2. |
| **Description Of Property:** Business Personal Property<br><br>**Loss Payee Name:** US Small Bus Administration Commercial Loan Center<br><br>**Loss Payee Address:** 4618 S Biltmore Ln<br>Madison, WI 53718-2104 | | |
| **Location Number:** 2 | **Building Number:** 1 | **Applicable Clause (Enter C.1., C.2., C.3. or C.4.):** C.2. |
| **Description Of Property:** Business Personal Property<br><br>**Loss Payee Name:** US Small Bus Administration Commercial Loan Center<br><br>**Loss Payee Address:** 4618 S Biltmore Ln<br>Madison, WI 53718-2104 | | |
| **Location Number:** 2 | **Building Number:** 1 | **Applicable Clause (Enter C.1., C.2., C.3. or C.4.):** C.2. |
| **Description Of Property:** Building<br><br>**Loss Payee Name:** U.S. Small Business<br><br>**Loss Payee Address:** 4618 S Biltmore Ln<br>Madison, WI 53718-2104 | | |
| Information required to complete this Schedule, if not shown above, will be shown in the Declarations. | | |


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**A.** When this endorsement is attached to the Standard Property Policy **CP 00 99,** the term Coverage Part in this endorsement is replaced by the term Policy.

**B.** Nothing in this endorsement increases the applicable Limit of Insurance. We will not pay any Loss Payee more than their financial interest in the Covered Property, and we will not pay more than the applicable Limit of Insurance on the Covered Property.

**C.** The following is added to the **Loss Payment** Loss Condition, as indicated in the Declarations or in the Schedule:

**1. Loss Payable Clause**

For Covered Property in which both you and a Loss Payee shown in the Schedule or in the Declarations have an insurable interest, we will:

**a.** Adjust losses with you; and

**b.** Pay any claim for loss or damage jointly to you and the Loss Payee, as interests may appear

**2. Lender's Loss Payable Clause**

**a.** The Loss Payee shown in the Schedule or in the Declarations is a creditor, including a mortgageholder or trustee, whose interest in Covered Property is established by such written instruments as:

**(1)** Warehouse receipts;

**(2)** A contract for deed;

**(3)** Bills of lading;

**(4)** Financing statements; or

**(5)** Mortgages, deeds of trust, or security agreements.

**b.** For Covered Property in which both you and a Loss Payee have an insurable interest:

**(1)** We will pay for covered loss or damage to each Loss Payee in their order of precedence, as interests may appear.

**(2)** The Loss Payee has the right to receive loss payment even if the Loss Payee has started foreclosure or similar action on the Covered Property.

**(3)** If we deny your claim because of your acts or because you have failed to comply with the terms of the Coverage Part, the Loss Payee will still have the right to receive loss payment if the Loss Payee:

**(a)** Pays any premium due under this Coverage Part at our request if you have failed to do so;

**(b)** Submits a signed, sworn proof of loss within 60 days after receiving notice from us of your failure to do so; and

**(c)** Has notified us of any change in ownership, occupancy or substantial change in risk known to the Loss Payee.

All of the terms of this Coverage Part will then apply directly to the Loss Payee.

**(4)** If we pay the Loss Payee for any loss or damage and deny payment to you because of your acts or because you have failed to comply with the terms of this Coverage Part:

**(a)** The Loss Payee's rights will be transferred to us to the extent of the amount we pay; and

**(b)** The Loss Payee's rights to recover the full amount of the Loss Payee's claim will not be impaired.

At our option, we may pay to the Loss Payee the whole principal on the debt plus any accrued interest. In this event, you will pay your remaining debt to us.

**c.** If we cancel this policy, we will give written notice to the Loss Payee at least:

**(1)** 10 days before the effective date of cancellation if we cancel for your nonpayment of premium; or

**(2)** 30 days before the effective date of cancellation if we cancel for any other reason.

**d.** If we elect not to renew this policy, we will give written notice to the Loss Payee at least 10 days before the expiration date of this policy.

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**3. Contract Of Sale Clause**

**a.** The Loss Payee shown in the Schedule or in the Declarations is a person or organization you have entered into a contract with for the sale of Covered Property.

**b.** For Covered Property in which both you and the Loss Payee have an insurable interest, we will:

**(1)** Adjust losses with you; and

**(2)** Pay any claim for loss or damage jointly to you and the Loss Payee, as interests may appear.

**c.** The following is added to the **Other Insurance** Condition:

For Covered Property that is the subject of a contract of sale, the word "you" includes the Loss Payee.

**4. Building Owner Loss Payable Clause**

**a.** The Loss Payee shown in the Schedule or in the Declarations is the owner of the described building in which you are a tenant.

**b.** We will adjust losses to the described building with the Loss Payee. Any loss payment made to the Loss Payee will satisfy your claims against us for the owner's property.

**c.** We will adjust losses to tenants' improvements and betterments with you, unless the lease provides otherwise.


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# ORDINANCE OR LAW – INCREASED PERIOD OF RESTORATION

This endorsement modifies insurance provided under the following:

BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM
BUSINESS INCOME (WITHOUT EXTRA EXPENSE) COVERAGE FORM
EXTRA EXPENSE COVERAGE FORM

**SCHEDULE**

| |
|---|
| **Described Premises:** Location #1 - Building #1 - Contractors Shop |
| **Post-Loss Ordinance Or Law Option: Yes** [X] **No** [ ] |
| Information required to complete this Schedule, if not shown above, will be shown in the Declarations. |

**A.** If a Covered Cause of Loss occurs to a building(s) at the premises described in the Schedule, resulting in a "suspension" of "operations" covered under this policy, the "period of restoration" is extended to include the increased period required to comply with the minimum standards of an ordinance or law, provided that:

**1.** The ordinance or law regulates the demolition, construction or repair of buildings, or establishes zoning or land use requirements at the described premises; and

**2.** The requirements of the ordinance or law are in force at the time of loss. But if the Post-Loss Ordinance Or Law Option is indicated in the Schedule as being applicable, then Paragraph **A.3.** applies instead of this Paragraph **A.2.**

**3.** The requirements of the ordinance or law are in force at the time of loss; or the ordinance or law is promulgated or revised after the loss but prior to commencement of reconstruction or repair and provided that such ordinance or law requires compliance as a condition precedent to obtaining a building permit or certificate of occupancy.

However, coverage is not extended under this endorsement to include loss caused by or resulting from the enforcement of or compliance with any ordinance or law which requires:

**1.** The demolition, repair, replacement, reconstruction, remodeling or remediation of property due to contamination by "pollutants" or due to the presence, growth, proliferation, spread or any activity of "fungus", wet or dry rot or bacteria; or

**2.** Any insured or others to test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of "pollutants", "fungus", wet or dry rot or bacteria.

**B.** The following definition is added:

"Fungus" means any type or form of fungus, including mold or mildew, and any mycotoxins, spores, scents or by-products produced or released by fungi.


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# ORDINANCE OR LAW – INCREASED PERIOD OF RESTORATION

This endorsement modifies insurance provided under the following:

BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM
BUSINESS INCOME (WITHOUT EXTRA EXPENSE) COVERAGE FORM
EXTRA EXPENSE COVERAGE FORM

**SCHEDULE**

| |
|---|
| **Described Premises:** Location #2 - Building #1 - Contractors Shop |
| **Post-Loss Ordinance Or Law Option: Yes** [X] **No** [ ] |
| Information required to complete this Schedule, if not shown above, will be shown in the Declarations. |

**A.** If a Covered Cause of Loss occurs to a building(s) at the premises described in the Schedule, resulting in a "suspension" of "operations" covered under this policy, the "period of restoration" is extended to include the increased period required to comply with the minimum standards of an ordinance or law, provided that:

**1.** The ordinance or law regulates the demolition, construction or repair of buildings, or establishes zoning or land use requirements at the described premises; and

**2.** The requirements of the ordinance or law are in force at the time of loss. But if the Post-Loss Ordinance Or Law Option is indicated in the Schedule as being applicable, then Paragraph **A.3.** applies instead of this Paragraph **A.2.**

**3.** The requirements of the ordinance or law are in force at the time of loss; or the ordinance or law is promulgated or revised after the loss but prior to commencement of reconstruction or repair and provided that such ordinance or law requires compliance as a condition precedent to obtaining a building permit or certificate of occupancy.

However, coverage is not extended under this endorsement to include loss caused by or resulting from the enforcement of or compliance with any ordinance or law which requires:

**1.** The demolition, repair, replacement, reconstruction, remodeling or remediation of property due to contamination by "pollutants" or due to the presence, growth, proliferation, spread or any activity of "fungus", wet or dry rot or bacteria; or

**2.** Any insured or others to test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of "pollutants", "fungus", wet or dry rot or bacteria.

**B.** The following definition is added:

"Fungus" means any type or form of fungus, including mold or mildew, and any mycotoxins, spores, scents or by-products produced or released by fungi.


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# UTILITY SERVICES – TIME ELEMENT

This endorsement modifies insurance provided under the following:

BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM
BUSINESS INCOME (WITHOUT EXTRA EXPENSE) COVERAGE FORM
EXTRA EXPENSE COVERAGE FORM

**SCHEDULE**

| | | | Enter **"X"** for each applicable property. | | | | | |
|---|---|---|---|---|---|---|---|---|
| **Premises Number** | **Building Number** | **Utility Services Limit Of Insurance** | **Water Supply Property** | **Waste-water Removal Property** | **Commu-nication Supply Property** (including overhead trans-mission lines) | **Commu-nication Supply Property** (**not** including overhead trans-mission lines) | **Power Supply Property** (including overhead trans-mission lines) | **Power Supply Property** (**not** including overhead trans-mission lines) |
| 1 | 1 | **$** Actual Loss Sustained | X | X | | X | | X |
| **Causes Of Loss Form Applicable:** Special - Incl Theft | | | | | | | | |
| **Business Income Waiting Period:** _____ **Hours** (Leave blank if no waiting period applies to Business Income, or if Business Income coverage does not apply.) | | | | | | | | |
| 2 | 1 | **$** Actual Loss Sustained | X | X | | X | | X |
| **Causes Of Loss Form Applicable:** Special - Incl Theft | | | | | | | | |
| **Business Income Waiting Period:** _____ **Hours** (Leave blank if no waiting period applies to Business Income, or if Business Income coverage does not apply.) | | | | | | | | |
| | | **$** | | | | | | |
| **Causes Of Loss Form Applicable:** | | | | | | | | |
| **Business Income Waiting Period:** _____ **Hours** (Leave blank if no waiting period applies to Business Income, or if Business Income coverage does not apply.) | | | | | | | | |
| Information required to complete this Schedule, if not shown above, will be shown in the Declarations. | | | | | | | | |


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**A. Coverage**

Your coverage for Business Income and/or Extra Expense, as provided and limited in the applicable Coverage Form, is extended to apply to a "suspension" of "operations" at the described premises caused by an interruption in utility service to that premises. The interruption in utility service must result from direct physical loss or damage by a Covered Cause of Loss (as provided under the applicable Causes of Loss form indicated in the Schedule) to the property described in Paragraph **E.** if such property is indicated by an "X" in the Schedule.

**B. Waiting Period**

If a Business Income Waiting Period is indicated in the Schedule, such waiting period begins at the time of interruption of utility service to the described premises.

**C. Duration Of Coverage**

Coverage under this endorsement applies to loss sustained and expense incurred during the period of time that:

**1.** Begins:

**a.** Following expiration of the waiting period indicated in the Schedule, for Business Income; or

**b.** At the time of interruption of utility service to the described premises, for Extra Expense (and for Business Income, if a Business Income Waiting Period does not apply); and

**2.** Ends when:

**a.** "Operations" are fully resumed by any means; or

**b.** "Operations" could be fully resumed with reasonable speed following restoration of utility service to the described premises;

whichever occurs first.

The expiration date of this policy will not cut short the duration of coverage under this endorsement.

The "period of restoration" definition in the Coverage Form, or in any endorsement amending the Coverage Form, does not apply to the coverage provided under this endorsement.

**D. Exception**

Coverage under this endorsement does not apply to Business Income loss or Extra Expense related to interruption in utility service which causes loss or damage to electronic data, including destruction or corruption of electronic data. The term electronic data has the meaning set forth in the Coverage Form to which this endorsement applies.

**E. Utility Services**

**1.** Water Supply Property, meaning the following types of property supplying water to the described premises:

**a.** Pumping stations; and

**b.** Water mains.

**2.** Wastewater Removal Property, meaning a utility system for removing wastewater and sewage from the described premises, other than a system designed primarily for draining storm water. The utility property includes sewer mains, pumping stations and similar equipment for moving the effluent to a holding, treatment or disposal facility, and includes such facilities.

Coverage under this endorsement does not apply to interruption in service caused by or resulting from a discharge of water or sewage due to heavy rainfall or flooding.

**3.** Communication Supply Property, meaning property supplying communication services, including telephone, radio, microwave or television services, to the described premises, such as:

**a.** Communication transmission lines, including optic fiber transmission lines;

**b.** Coaxial cables; and

**c.** Microwave radio relays except satellites.

It does not include overhead transmission lines unless indicated by an "X" in the Schedule.

**4.** Power Supply Property, meaning the following types of property supplying electricity, steam or gas to the described premises:

**a.** Utility generating plants;

**b.** Switching stations;

**c.** Substations;

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**d.** Transformers; and

**e.** Transmission lines.

It does not include overhead transmission lines unless indicated by an "X" in the Schedule.

**F.** As used in this endorsement, the term transmission lines includes all lines which serve to transmit communication service or power, including lines which may be identified as distribution lines.

**G.** The **Coinsurance** Additional Condition does not apply to this endorsement.

**H.** The Utility Services Limit Of Insurance, as shown in the Schedule, is the only Limit which applies to the coverage provided under this endorsement, and is part of, not in addition to, the Limit Of Insurance stated in the Declarations as applicable to the described premises.


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**THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.**

# BUSINESS INCOME CHANGES – BEGINNING OF THE PERIOD OF RESTORATION

This endorsement modifies insurance provided under the following:

BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM
BUSINESS INCOME (WITHOUT EXTRA EXPENSE) COVERAGE FORM

**SCHEDULE**

| |
|---|
| **Select Either A. Or B.** |
| **A.** ☐ **72-Hour Time Period Is Replaced By 24 Hours** |
| **B.** ☒ **72-Hour Time Period Is Eliminated** |
| Information required to complete this Schedule, if not shown above, will be shown in the Declarations. |

**A.** If the Schedule indicates that the 72-hour time period is replaced by 24 hours, then:

**1.** The 72-hour time period in the definition of "period of restoration" is replaced by 24 hours. Therefore, the period of restoration for Business Income Coverage begins 24 hours after the time of direct physical loss or damage, subject to all other provisions of the definition of "period of restoration"; and

**2.** The 72-hour time period in the Civil Authority Additional Coverage is replaced by 24 hours. Therefore, coverage under the Additional Coverage – Civil Authority begins 24 hours after the time of action of civil authority, subject to all other provisions of that Additional Coverage.

**B.** If the Schedule indicates that the 72-hour time period is eliminated, then:

**1.** The 72-hour time period in the definition of "period of restoration" is deleted. Therefore, the period of restoration for Business Income Coverage begins at the time of direct physical loss or damage, subject to all other provisions of the definition of "period of restoration"; and

**2.** The 72-hour time period in the Civil Authority Additional Coverage is deleted. Therefore, coverage under the Additional Coverage – Civil Authority begins at the time of action of civil authority, subject to all other provisions of that Additional Coverage.


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**THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.**

# WATER BACK-UP AND SUMP PUMP OVERFLOW

This endorsement modifies insurance provided under the following:

BUILDING AND PERSONAL PROPERTY COVERAGE FORM
BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM
BUSINESS INCOME (WITHOUT EXTRA EXPENSE) COVERAGE FORM
CONDOMINIUM ASSOCIATION COVERAGE FORM
CONDOMINIUM COMMERCIAL UNIT-OWNERS COVERAGE FORM
EXTRA EXPENSE COVERAGE FORM

**SCHEDULE**

| **Policy Limit of Insurance** (**Annual Aggregate Limitation Applies)** | |
|---|---|
| **$** 50,000 | |
| **Separate Premises Option** ☐ **Yes** ☒ **No** | |
| **Premises Number** | **Limit Of Insurance (Annual Aggregate Limitation Applies)** |
| | **$** |
| | **$** |
| | **$** |
| Information required to complete this Schedule, if not shown above, will be shown in the Declarations. | |

**A.** We will pay for direct physical loss or damage, not caused by your negligence, to Covered Property caused by or resulting from:

**1.** Water or waterborne material which backs up through or overflows or is otherwise discharged from a sewer or drain; or

**2.** Water or waterborne material which overflows or is otherwise discharged from a sump, sump pump or related equipment, even if the overflow or discharge results from mechanical breakdown of a sump pump, or its related equipment.

**B.** With respect to the coverage provided under this endorsement, **Exclusion B.1.g. Water** in CAUSES OF LOSS – BASIC FORM; CAUSES OF LOSS – BROAD FORM; CAUSES OF LOSS – SPECIAL FORM is replaced by the following:

**1.** Flood, surface water, waves (including tidal wave and tsunami), tides, tidal water, overflow of any body of water, or spray from any of these, all whether or not driven by wind (including storm surge);

**2.** Mudslide or mudflow;

**3.** Water under the ground surface pressing on, or flowing or seeping through:

**a.** Foundations, walls, floors or paved surfaces;

**b.** Basements, whether paved or not; or

**c.** Doors, windows or other openings; or

**4.** Waterborne material carried or otherwise moved by any of the water referred to in Paragraph **1.** or **3.**, or material carried or otherwise moved by mudslide or mudflow.

This exclusion applies regardless of whether any of the above, in Paragraphs **1.** through **4.**, is caused by an act of nature or is otherwise caused. An example of a situation to which this exclusion applies is the situation where a dam, levee, seawall or other boundary or containment system fails in whole or in part, for any reason, to contain the water.

But if any of the above, in Paragraphs **1.** through **4.**, results in fire, explosion or sprinkler leakage, we will pay for the loss or damage caused by that fire, explosion or sprinkler leakage (if sprinkler leakage is a Covered Cause of Loss).

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**C. Business Income And Extra Expense**

We will pay for business income loss and/or extra expense in accordance with the terms of the Coverage Form applicable to such premises under your policy, when such loss or expense arises out of the direct physical loss or damage described in Paragraph **A**.

**D. Limits Of Insurance**

**1. Policy Limit**

The most we will pay, for the coverage provided under this endorsement for the total of all direct physical loss or damage and business income and/or extra expense occurring during the policy term is the Policy Limit indicated in the Schedule. This limit does not apply separately to each location.

**2. Premises Limit**

If the Schedule indicates that the Separate Premises Option applies, then the most we will pay for the coverage provided under this endorsement for the total of all direct physical loss or damage and business income and/or extra expense occurring during the policy term is the Limit Of Insurance, as indicated for each premises. The Limit Of Insurance applies separately to each premises described in the Schedule.

**E. Annual Aggregate Limitation**

The most we will pay for the total of all direct physical loss or damage sustained and business income and/or extra expense caused by all occurrences in a 12-month period (starting with the beginning of the present annual policy period), regardless of the number of occurrences during that period of time, is the Policy Limit Of Insurance or the Premises Limit Of Insurance described in the Schedule.

With respect to an occurrence which begins in one policy year and continues or results in additional direct physical loss or damage, loss of business income, or extra expense you incur in a subsequent policy year(s), all direct physical loss or damage, loss of business income, or extra expense you incur is deemed to be sustained in the policy year in which the occurrence began.

**F.** Section **D. Deductible** applies.

**G.** For the purposes of this endorsement, the term drain includes a roof drain and related fixtures.

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**THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.**

# BUSINESS INCOME COVERAGE ACTUAL LOSS SUSTAINED (TWELVE MONTH LIMITATION)

This endorsement modifies insurance provided under the following:

BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM

1. Coverage is provided for Business Income (and Extra Expense) including "Rental Value".
2. Paragraph **B. LIMITS OF INSURANCE** is replaced by the following:

   The most we will pay for loss in any one occurrence is the actual loss of business income you sustained, not to exceed 12 consecutive months after the date of direct physical loss or damage.
3. All reference to coinsurance in the coverage form is deleted.

**THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.**

# PROPERTY ADDITIONAL COVERAGES AND COVERAGE EXTENSIONS ENDORSEMENT

This endorsement modifies insurance provided under the following:

BUILDING AND PERSONAL PROPERTY COVERAGE FORM
CONDOMINIUM ASSOCIATION COVERAGE FORM
CONDOMINIUM COMMERCIAL UNIT OWNERS COVERAGE FORM

**SCHEDULE**

☒ **ESSENTIAL** ☐ **ELITE**

| **COVERAGE EXTENSIONS** | | |
|---|---|---|
| **COVERAGE** | **LIMITS OF INSURANCE OR TERMS AND CONDITIONS CHANGE** | |
| **Accounts Receivable** | **$**250,000 | **At Each Premises** |
| | **$**5,000 | **At Premises Not Described** |
| **Appurtenant Structures** | **$**5,000 | **Policy Limit** |
| **Building Material Theft – Non-owned Premises** | **$**5,000 | **Policy Limit** |
| **Ordinance Or Law – Building Or Tenant's Improvements And Betterments** | Replacement Cost Valuation Required | |
| | The Lesser of **$**100,000 or 20**%** of the Limit of Insurance | **Combined Demolition Cost & Increased Cost Of Construction** |
| **Electronic Data Processing Equipment and Software** | **$**25,000 | **At Each Premises** |
| **Fine Arts** | **$**25,000 | **At Each Premises** |
| **Increase In Rebuilding Expenses Following Disaster** | 15**%** | **Additional Expense Coverage/At Each Premises** |
| **Lock And Key Replacement** | **$**2,500 | **Any One Occurrence** |
| **Newly Acquired Or Constructed Property** | | |
| **Building** | **$**1,000,000 | **At Each Building** |
| **Business Personal Property** | **$**500,000 | **At Each Building** |
| **Period Of Coverage** | 30 | **Days** |
| **Outdoor Fences** | Included | |
| **Outdoor Property** | | |
| **Maximum In Any One Occurrence** | **$**10,000 | **Any One Occurrence** |
| **Maximum Per Tree, Shrub Or Plant** | **$**1,000 | **Any One Occurrence** |
| **Outdoor Signs** | | |
| **Attached** | Included | |
| **Detached** | **$**20,000 | **At Each Premises** |

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| | | |
|---|---|---|
| **Personal Property** | | |
| **Off-premises** | $100,000 | **Up To 90 Days** |
| **In Transit** | Refer to this Endorsement | **Policy Occurrence** |
| **Personal Effects** | $50,000 | **At Each Premises** |
| | $2,500 | **Employee Tools Maximum / At Each Premises** |
| **Personal Property Of Others** | $25,000 | **At Each Premises** |
| | $2,500 | **Employee Tools Maximum / At Each Premises** |
| **Portable Tools** | Actual Cash Value Coverage | |
| **Maximum In Any One Occurrence** | $25,000 | **Any One Occurrence** |
| **Maximum To You Or Any Employee** | $5,000 | **Any One Occurrence** |
| **Premises Boundary** | | **Distance Limitation Increased To 1,000 Feet** |
| **Property At Fairs Or On Exhibition** | $50,000 | **Any One Occurrence** |
| **Property In Custody Of Sales Representatives** | $25,000 | **Any One Occurrence** |
| **Rewards** | $50,000 | **Any One Occurrence** |
| **Spoilage** | $10,000 | **At Each Premises** |
| **Valuable Papers And Records** | $250,000 | **At Each Premises** |
| **(Other Than Electronic Data)** | $5,000 | **At Premises Not Described** |
| **Water Back Up; Sump Pump Overflow** | $5,000 | **Per Policy / Annual Aggregate** |
| **ADDITIONAL COVERAGES** | | |
| **Business Crime** | | |
| **Computer And Funds Transfer Fraud** | $5,000 | **Any One Occurrence** |
| **Employee Theft** | $10,000 | **Any One Occurrence** |
| **Forgery Or Alteration Of Negotiable Instruments** | $10,000 | **Any One Occurrence** |
| **Identity Theft Expense** | $50,000 | **Policy Period** |
| **Kidnap Expense** | $50,000 | **Policy Period** |
| **Money And Securities** | $5,000 | **Inside The Premises – Any One Occurrence** |
| | $5,000 | **Outside The Premises – Any One Occurrence** |
| **Money Orders And Counterfeit Money** | $5,000 | **Any One Occurrence** |
| **Business Income & Extra Expense** | $25,000 | **At Each Premises** |
| **Business Income & Extra Expense** | | |
| **Civil Authority** | None | **Waiting Period** |
| **Lost Lease Protection** | $5,000 | **Policy Period** |
| **Business Income From Dependent Properties** | $25,000 | **Any One Occurrence** |
| **Business Travel Accidental Death Benefit** | $50,000 | **Policy Period** |
| **Conference Cancellation** | $25,000 | **Policy Period** |
| **Debris Removal Additional Limit** | $50,000 | **At Each Location** |
| **Donation Assurance** | $50,000 | **Policy Period** |
| **Emergency Real Estate Consulting Fee** | $50,000 | **Policy Period** |
| **Fire Department Service Charge** | $250,000 | **At Each Premises** |

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| | | |
|---|---|---|
| **Fire Extinguisher System Recharge Expense** | Included | |
| **Fundraising Event Blackout** | $25,000 | **Policy Period** |
| **Image Restoration Counseling** | $50,000 | **Policy Period** |
| **Officers Or Directors Replacement Expenses** | $50,000 | **Policy Period** |
| **Peak Season** | 100% | **Not Applicable To Value Reporting or Blanket** |
| **Political Unrest Coverage** | $50,000 | **Policy Period** |
| **Pollutant Cleanup And Removal** | $25,000 | **At Each Premises / Annual Aggregate** |
| **Temporary Meeting Space Rental** | $25,000 | **Policy Period** |
| **Terrorism Travel Reimbursement** | $50,000 | **Policy Period** |
| **Travel Delay Reimbursement** | $1,500 | **Per Policy Period / 72 Hour Waiting Period** |
| **Underground Pipes, Flues And Drains** | Covered Property | |
| **Utility Services Failure – Off Premises** | Excluding Overhead Lines | |
| **Workplace Violence Counseling** | $50,000 | **Policy Period** |

This Limit Of Insurance or Term And Condition is in addition to any other insurance provided by this endorsement and is the most we will apply for loss or damage for the indicated Coverage.

Coverage provided by this endorsement is subject to the Cause of Loss Form attached to this policy and the policy's Deductible provision unless otherwise noted.

Coverages provided by this endorsement are in excess of any other specific coverages that are provided in other Coverage Parts or other Policies, provided by West Bend Mutual Insurance Company.

**A. Premises Boundary**

**1.** When this endorsement is attached to Building and Personal Property Coverage Form or Condominium Association Coverage Form, under **Section A.1. Covered Property**:

Item **a.** Building, Paragraph **(5)(b)**; item **b.** Your Business Personal Property; item **c.** Personal Property Of Others, Paragraph **(2)**, the distance limitation is amended to read within 1,000 feet of the described premises.

Under **Section A.5. Coverage Extensions** the distance limitation in the first Paragraph is amended to read within 1,000 feet of the described premises.

**2.** When this endorsement is attached to Condominium Commercial Unit-Owners Coverage Form under **Section A.1. Covered Property**:

Item **a.** Your Business Personal Property; Item **b.(2)** Personal Property Of Others**,** the distance limitation is amended to read within 1,000 feet of the described premises.

Under **Section A.5. Coverage Extensions** the distance limitation in the first Paragraph is amended to read within 1,000 feet of the described premises.

**3.** When this endorsement is attached to Building and Personal Property Coverage Form or Condominium Association Coverage Form, under **Section A.1. Covered Property** Item **a**. Building, the following is added:

**(6)** Appurtenant structures

The most we will pay under this Additional Coverage is the Limit of Insurance shown in the Schedule.

**B.** Under **Section A.2. Property Not Covered**:

**1.** Paragraph **a.** is deleted and replaced by:

**a.** Accounts, bills, currency, food stamps or other evidences of debt, money, notes or securities except as provided in the Coverage Extensions. Lottery tickets held for sale are not securities.

**2.** When this endorsement is attached to Building and Personal Property Coverage Form or Condominium Association Coverage Form**,** and Building coverage applies, Paragraph **m.** is deleted.

**3.** When this endorsement is attached to Building and Personal Property Coverage Form or Condominium Association Coverage Form**,** Paragraph **q.(2)** is deleted and replaced by**:**

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Radio or television antennas (including satellite dishes) and their lead-in wiring, masts or towers, trees, shrubs or plants (other than trees, shrubs or plants which are "stock" or are part of a vegetated roof), all except as provided in the Coverage Extensions.

**4.** When this endorsement is attached to Condominium Commercial Unit-Owners Coverage Form, Paragraph **k.(2)** is deleted and replaced by:

Radio or television antennas (including satellite dishes) and their lead-in wiring, masts or towers, trees, shrubs or plants (other than trees, shrubs or plants which are "stock" or are part of a vegetated roof), all except as provided in the Coverage Extensions.

**C.** Under **Section A.4. Additional Coverages**

In addition to the Limits Of Insurance under the Building and Personal Property Coverage Form, Condominium Association Coverage Form, or Condominium Commercial Unit-Owners Coverage Form you may extend the insurance provided by this policy to these Additional Coverages.

Unless otherwise indicated, the Limits Of Insurance provided by these Additional Coverages are in addition to **Section C. Limits Of Insurance**.

Unless otherwise indicated **Section D. Deductible** applies to these Additional Coverages.

**1.** Paragraph **4.a. Debris Removal** is deleted and replaced by:

**a. Debris Removal**

**(1)** Subject to Paragraphs **(2)**, **(3)** and **(4)**, we will pay your expense to remove debris of Covered Property and other debris that is on the described premises, when such debris is caused by or resulting from a Covered Cause of Loss that occurs during the policy period. The expenses will be paid only if they are reported to us in writing within 180 days of the date of direct physical loss or damage.

**(2)** Debris Removal does not apply to costs to:

**(a)** Remove debris of property of yours that is not insured under this policy, or property in your possession that is not Covered Property.

**(b)** Remove debris of property owned by or leased to the landlord of the building where your described premises are located, unless you have a contractual responsibility to insure such property and it is insured under this policy;

**(c)** Remove any property that is Property Not Covered, including property addressed under the Outdoor Property Coverage Extension;

**(d)** Remove property of others of a type that would not be Covered Property under this Coverage Form;

**(e)** Remove deposits of mud or earth from the grounds of the described premises;

**(f)** Extract "pollutants" from land or water; or

**(g)** Remove, restore or replace polluted land or water.

**(3)** Subject to the exceptions in Paragraph **(4)** the following provisions apply:

**(a)** The most we will pay for the total of direct physical loss or damage plus debris removal expense is the Limit of Insurance applicable to the Covered Property that has sustained loss or damage.

**(b)** Subject to **(a)** above, the amount we will pay for debris removal expense is limited to 25% of the sum of the deductible plus the amount that we pay for direct physical loss or damage to the Covered Property that has sustained loss or damage. However, if no Covered Property has sustained direct physical loss or damage, the most we will pay for removal of debris of other property (if such removal is covered under this Additional Coverage) is $5,000 at each location.

**(4)** We will pay up to the additional amount indicated in the Schedule for debris removal expense, for each location, in any one occurrence of physical loss or damage to Covered Property, if one or both of the following circumstances apply:

**(a)** The total of the actual debris removal expense plus the amount we pay for direct physical loss or damage exceeds the Limit of Insurance on the Covered Property that has sustained loss or damage.

**(b)** The actual debris removal expense exceeds 25% of the sum of the deductible plus the amount that we pay for direct physical loss or damage to the Covered Property that has sustained loss or damage.

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Therefore, if **(4)(a)** and/or **(4)(b)** apply, our total payment for direct physical loss or damage and debris removal expense may reach but will never exceed the Limit of Insurance on the Covered Property that has sustained loss or damage, plus the Limit of Insurance shown in the Schedule.

**2.** Paragraph **c. Fire Department Service Charge** is deleted and replaced by:

**c. Fire Department Service Charge**

When the fire department is called to save or protect Covered Property from a Covered Cause of Loss, we will pay up to the Limit of Insurance shown in the Schedule for service at each premises described in the Declarations, unless a higher limit is shown in the Declarations. Such limit is the most we will pay regardless of the number of responding fire departments or fire units, and regardless of the number or type of services performed.

This Additional Coverage applies to your liability for fire department service charges:

**(1)** Assumed by contract or agreement prior to loss; or

**(2)** Required by local ordinance.

**Section D. Deductible** does not apply to this Additional Coverage.

**3.** Paragraph **d. Pollutant Clean Up And Removal** is deleted and replaced by:

**d. Pollutant Clean-up And Removal**

We will pay your expense to extract "pollutants" from land or water at the described premises if the discharge, dispersal, seepage, migration, release or escape of the "pollutants" is caused by or results from a Covered Cause of Loss that occurs during the policy period. The expenses will be paid only if they are reported to us in writing within 180 days of the date on which the Covered Cause of Loss occurs.

The Additional Coverage does not apply to costs to test for, monitor or assess the existence, concentration or effects of "pollutants". But we will pay for testing which is performed in the course of extracting the "pollutants" from the land or water.

The most we will pay under this Additional Coverage for each described premises is the Limit of Insurance shown in the Schedule for the sum of all covered expenses arising out of Covered Causes of Loss occurring during each separate 12 month period of this policy.

**D.** The following coverages are added to **Section A.4. Additional Coverages:**

Unless otherwise indicated, the Limits Of Insurance provided by these Additional Coverages are in addition to **Section C. Limits Of Insurance.**

Unless otherwise indicated **Section D. Deductible** applies to these Additional Coverages**.**

**4. Additional Coverages**

**g. Business Crime**

**Coverage 1 – Computer And Funds Transfer Fraud**

We will pay up to the Limit of Insurance shown in the Schedule in any one "occurrence":

**(1)** Loss resulting directly from a fraudulent:

**(a)** Entry of "electronic data" or "computer program" into; or

**(b)** Change of "electronic data" or computer program within:

any "computer system", provided that the fraudulent entry or fraudulent change causes, with regard to Paragraphs **g.(1)(a)** and **g.(1)(b)** above:

**(i)** "Money", "securities" or "other property" to be transferred, paid or delivered to a person, entity or account beyond your control; or

**(ii)** Your account at a "financial institution" to be debited or deleted;

without your knowledge or consent.

**(2)** Loss resulting directly from a “financial institution” debiting your “transfer account” in reliance upon a “transfer instruction” purportedly issued by you directing the “financial institution” to transfer, pay or deliver “money” or “securities” from that account, but which “transfer instruction” proves to have been fraudulently issued by an imposter without your knowledge or consent.

We will not pay for:

**(1)** Loss resulting from a fraudulent:

**(a)** Entry of "electronic data" or "computer program" into; or

**(b)** Change of "electronic data" or computer program within:

any "computer system" by an “employee” or other person or entity with authorized access to that "computer system".

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**(2)** Loss resulting from the use or purported use of credit, debit, charge, access, convenience, identification, or other cards, or the information contained on such cards.

**(3)** Loss resulting from the giving or surrendering of property in any exchange or purchase.

**(4)** Loss resulting from an "employee" or other person or entity acting upon any kind of instruction to:

**(a)** Transfer, pay or deliver "money", "securities" or "other property", or

**(b)** Debit or delete your account;

which instruction proves to be fraudulent, except for a “financial institution” acting upon an instruction to debit your “transfer account” when covered under **g.(2)** above.

**(5)** Loss, or that part of any loss, the proof of which is to be existence or amount is dependent upon:

**(a)** An inventory computation; or

**(b)** A profit and loss computation.

**Coverage 2 – Identity Theft Expense**

We will reimburse any present director or officer of the named insured, for "identity theft expenses" incurred as the direct result of any "identity theft" first discovered and reported during the policy period, provided that it began to occur subsequent to the effective date of the insured's first policy with us.

The Limit of Insurance for this coverage per policy period is the Limit of Insurance shown in the Schedule.

**Section D. Deductible** does not apply.

**Coverage 3 – Kidnap Expense**

We will pay on behalf of any officer or director of the insured, reasonable fees incurred as a result of the kidnapping of them or their spouse, "domestic partner", parent or child during the policy period. Coverage will not apply to any kidnapping by or at the direction of any present or former family member of the victim.

Reasonable fees include:

**(1)** Fees and expenses of an independent negotiator or consultant retained with prior approval from us;

**(2)** Costs of travel and accommodations incurred by the named insured which become necessary due to the applicable kidnapping;

**(3)** The reward paid by the named insured, which is pre-approved by us, to an informant for information not otherwise available which leads to the arrest and conviction of persons responsible for any damages under this policy; and

**(4)** The current salary of your officer or director who is kidnapped.

Salary shall be paid for a period commencing upon abduction and ceasing upon:

**(1)** The release of the employee or discovery of the death of the employee; or

**(2)** 120 days after we receive the last credible evidence that the "employee" is still alive; or

**(3)** Twelve (12) months after the date of the kidnapping; or

**(4)** The exhaustion of the kidnap expense limit,

whichever comes first.

The Limit of Insurance for this coverage per policy period is the Limit of Insurance shown in the Schedule.

**Section D. Deductible** does not apply.

**Coverage 4 – Employee Theft**

We will pay up to the Limit of Insurance shown in the Schedule in any one "occurrence" for loss of or damage to "money", "securities" and "other property" resulting directly from "theft" committed by an "employee", whether identified or not, acting alone or in collusion with other persons.

For the purposes of this coverage, "theft" includes forgery.

**Coverage 5 – Forgery Or Alteration Of Negotiable Instruments**

We will pay up to the Limit of Insurance shown in the Schedule in any one "occurrence" for loss resulting directly from "forgery" or alteration of checks, drafts, promissory notes, or similar written promises, orders or directions to pay a sum certain in "money" that are:

**(1)** Made or drawn by or drawn upon you; or

**(2)** Made or drawn by one acting as your agent;

or that are purported to have been so made or drawn.

For the purposes of this coverage, a substitute check as defined in the Check Clearing for the 21st Century Act will be treated the same as the original it replaced.

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If you are sued for refusing to pay any instrument covered above, on the basis that it has been forged or altered, and you have our written consent to defend against the suit, we will pay for any reasonable legal expenses that you incur and pay in that defense. The amount that we will pay is in addition to the Limit of Insurance applicable to this coverage.

**Coverage 6 – Money And Securities**

We will pay up to the Limit of Insurance shown in the Schedule in any one "occurrence" for loss of "money" and "securities" inside the "premises" or "financial institution premises" resulting directly from "theft", disappearance or destruction.

We will pay up to the Limit of Insurance shown in the Schedule in any one "occurrence", for loss of "money" and "securities" outside the "premises" in the care and custody of a "messenger" or an armored motor vehicle company resulting directly from "theft", disappearance or destruction.

**Coverage 7 – Money Orders and Counterfeit Money**

We will pay up to the Limit of Insurance shown in the Schedule in any one "occurrence" for loss resulting directly from you having accepted in good faith in exchange for merchandise, "money" or services:

**(a)** Money orders issued by any post office, express company or "financial institution" that are not paid upon presentation: or

**(b)** "Counterfeit money" that is acquired during the regular course of business.

Under Business Crime **Coverage 1** – Computer And Funds Transfer Fraud, **Coverage 2** – Identity Theft Expense, **Coverage 3** – Kidnap Expense, **Coverage 4** – Employee Theft, **Coverage 5** – Forgery Or Alteration Of Negotiable Instruments, **Coverage 6** – Money And Securities and **Coverage 7** – Money Orders And Counterfeit Money we will not pay for:

**(1)** Loss resulting from "theft" or any other fraudulent or dishonest act committed by:

**(a)** You; or

**(b)** Any of your partners or "members";

whether acting alone or in collusion with other persons.

**(2)** Loss resulting from "theft" or any other fraudulent or dishonest act committed by any of your "employees", "managers", directors, trustees or authorized representatives:

**(a)** Whether acting alone or in collusion with other persons; or

**(b)** While performing services for you or otherwise;

except when covered under **Coverage 4** – Employee Theft.

**(3)** Loss that is an indirect result of an "occurrence" covered by this insurance including, but not limited to, loss resulting from:

**(a)** Your inability to realize income that you would have realized had there been no loss of or damage to "money", "securities" or "other property".

**(b)** Payment of damages of any type for which you are legally liable. But, we will pay compensatory damages arising directly from a loss covered under this insurance; or

**(c)** Payment of costs, fees or other expenses you incur in establishing either the existence or the amount of loss under this insurance.

**(4)** Fees, costs and expenses incurred by you, which are related to any legal action, except when covered under **Coverage 5** – Forgery or Alteration Of Negotiable Instruments.

**(5)** Loss involving virtual currency of any kind, by whatever name known, whether actual or fictitious including, but not limited to, digital currency, crypto currency or any other type of electronic currency.

**(6)** Loss resulting from the surrender of ransom in response to an unlawful demand including, but not limited to, an unlawful demand arising out of:

**(a)** An actual or alleged kidnap or threat to do bodily harm to any person, other than “robbery” covered under this insurance;

**(b)** A threat to do damage to any property or to contaminate, pollute or render substandard your products or goods;

**(c)** A threat to introduce a denial of service attack into an “computer system”;

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**(d)** A threat to introduce a virus or other malicious instruction into any "computer system", which would encrypt, damage, destroy or corrupt "electronic data" or "computer programs" stored within the "computer system"; or

**(e)** A threat to access, download, disseminate, divulge or utilize:

**(i)** Your information or the information of any other natural person or entity; or

**(ii)** Weaknesses in the source code within any "computer system";

except when covered under **Coverage 4 -** Employee Theft or **Coverage 5 -** Forgery Or Alteration Of Negotiable Instruments

**(7)** Loss resulting from payment of any kind in response to denial of service attack, ransomware, virus or other malicious instruction introduced into any "computer system" that denies or restricts access, encrypts, downloads or otherwise damages, destroys or corrupts any "computer system", "electronic data" or "computer program", except when covered under **Coverage 4 -** Employee Theft or **Coverage 5 -** Forgery Or Alteration Of Negotiable Instruments.

**(8)** Fees, costs and expenses incurred by you arising out of any act or event in Paragraph **(6)** or **(7)** above except when covered under **Coverage 3 -** Kidnap Expense.

Under **Coverage 4** – Employee Theft, we will not pay for:

**(1)** Loss caused by any "employee" if the "employee" had also committed "theft" or any other fraudulent or dishonest act prior to the effective date of this insurance and you or a "designated person" not in collusion with the "employee", learned of such "theft" or fraudulent or dishonest act prior to the Policy Period shown in the Declarations.

**(2)** Loss, or that part of any loss, the proof of which as to its existence or amount is dependent upon:

**(a)** An inventory computation; or

**(b)** A profit and loss computation.

However, where you establish wholly apart from such computations, that you have sustained a loss, then you may offer your inventory records and actual physical count of inventory in support of the amount of loss claimed.

**(3)** Loss resulting from trading, whether in your name or in a genuine or fictitious account.

**(4)** Loss resulting from fraudulent or dishonest signing, issuing, canceling or failing to cancel a warehouse receipt or any papers connected with it.

Under **Coverage 6** – Money & Securities we will not pay for:

**(1)** Loss resulting from accounting or arithmetical errors or omissions.

**(2)** Loss resulting from the giving or surrendering of property in any exchange or purchase.

**(3)** Loss of property contained in any money operated device unless the amount of "money" deposited in it is recorded by a continuous recording instrument in the device.

The following Conditions apply to **Business Crime** in addition to the **Common Policy Conditions** and **Commercial Property Conditions**.

**Termination Of Coverage As To Any Employee**

This insurance terminates as to any "employee" as soon as:

**(a)** A "designed person"; or

**(b)** An "employee" in your Human Resources Department or its equivalent; not in collusion with the "employee", learns of "theft" or any other fraudulent or dishonest act committed by the "employee" whether before or after becoming employed by you; or

**(c)** On the date specified in a notice mailed to the first Named Insured. That date will be at least 30 days after the date of mailing**.**

We will mail or deliver our notice to the first Named Insured's last mailing address known to us. If notice is mailed, proof of mailing will be sufficient proof of notice.

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**Extended Period To Discover Loss**

**(1)** We will pay for loss that you sustain prior to the effective date of cancellation or termination of this insurance in its entirety, as to any Insured or on any coverage, which is "discovered" by a “designated person” no later than one year from the date of that cancellation or termination.

**(2)** However, this extended period to "discover" loss terminates immediately upon the effective date of any other insurance obtained by you or that Insured, whether from us or another insurer, which replaces in whole or in part the coverage afforded under this insurance, whether or not such other insurance provides coverage for loss sustained prior to its effective date.

Subject to the conditions **Loss Sustained Partly During This Insurance And Partly During Prior Insurance; and Loss Sustained Entirely During Prior Insurance:**

We will pay if you sustain loss resulting directly from an "occurrence" taking place during the Policy Period shown in the Declarations which is "discovered" by a “designated person” during the Policy Period shown in the Declarations or during the period of time provided in the **Extended Period To Discover Loss** condition.

**Loss Sustained Partly During This Insurance And Partly During Prior Insurance**

If loss is “discovered” by a “designated person” during the Policy Period shown in the Declarations, resulting directly from an "occurrence" taking place:

**(1)** Partly during the Policy Period shown in the Declarations; and

**(2)** Partly during the policy period(s) of any prior cancelled or terminated insurance that we or any affiliate issued to you or any predecessor in interest;

and this insurance became effective at the time of cancellation or termination of the prior insurance, we will first settle the amount of loss that you sustained during this Policy Period. We will then settle the remaining amount of loss that you sustained during the policy period(s) of the prior insurance.

The most we will pay for the entire loss is the highest single Limit of Insurance applicable during the period of loss, whether such limit was written under this insurance or was written under the prior insurance issued by us.

**Loss Sustained Entirely During Prior Insurance**

If loss is “discovered” by a “designated person” during the Policy Period shown in the Declarations resulting directly from an "occurrence" taking place entirely during the policy period(s) of any prior cancelled or terminated insurance that we or any affiliate issued to you or any predecessor in interest, we will pay for the loss, provided that:

**(1)** This insurance became effective at the time of cancellation or termination of the prior insurance; and

**(2)** The loss would have been covered under this insurance had it been in effect at the time of the “occurrence”.

We will first settle the amount of loss that you sustained during the most recent prior insurance. We will then settle any remaining amount of loss that you sustained during the policy period(s) of any other prior insurance.

The most we will pay for the entire loss is the highest single Limit of Insurance applicable during the period of loss, whether such limit was written under this insurance or was written under the prior insurance issued by us.

**Records**

You must keep records of all property covered under this insurance so we can verify the amount of any loss.

**Recoveries**

**(1)** Any recoveries, whether effected before or after any payment under this insurance, whether made by us or you, will be applied net of the expense of such recovery:

**(a)** First, to you in satisfaction of your covered loss in excess of the amount paid under this insurance;

**(b)** Second, to us in satisfaction of amounts paid in settlement of your claim;

**(c)** Third, to you in satisfaction of any Deductible Amount; and

**(d)** Fourth, to you in satisfaction of any loss not covered under this insurance.

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**(2)** Recoveries do not include any recovery:

**(a)** From insurance, suretyship, reinsurance, security or indemnity taken for our benefit; or

**(b)** Of original "securities" after duplicates of them have been issued.

**Valuation – Settlement**

**(1)** We will pay for:

**(a)** Loss of "money" but only up to and including its face value. We will, at your option, pay for loss of "money" issued by any country other than the United States of America.

**(i)** At face value in the "money" issued by that country; or

**(ii)** In the United States of America dollar equivalent determined by the rate of exchange published in the Wall Street Journal on the day the loss was "discovered".

**(b)** Loss of "securities" but only up to and including their value at the close of business on the day the loss was "discovered". We may, at our option:

**(i)** Pay the value of such "securities" or replace them in kind, in which event you must assign to us all your rights, title and interest in and to those "securities"; or

**(ii)** Pay the cost of any Lost Securities Bond required in connection with issuing duplicates of the "securities". However, we will be liable only for the payment of so much of the cost of the bond as would be charged for a bond having a penalty not exceeding the lesser of the:

**(a)** Market Value of the "securities" at the close of business on the day the loss was "discovered"; or

**(b)** The Limit of Insurance applicable to the "Securities".

**(c)** Loss of or damage to property other than “money” and “securities” for the replacement cost of the property without deduction for depreciation. However, we will not pay more than the least of the following:

**(i)** The Limit of Insurance applicable to the lost or damaged property;

**(ii)** The cost to replace the lost or damaged property with property of comparable material and quality and used for the same purpose; or

**(iii)** The amount you actually spend that is necessary to repair or replace the lost or damaged property.

We will not pay on a replacement cost basis for any loss or damage covered under Paragraph **(c)** above:

**(i)** Until the lost or damaged property is actually repaired or replaced; and

**(ii)** Unless the repair or replacement is made as soon as reasonably possible after the loss or damage occurred.

If the lost or damaged property is not repaired or replaced, we will pay on an actual cash value basis.

**(2)** We will, at your option, pay for loss or damage to such property:

**(a)** In the "money" of the country in which the loss or damage occurred; or

**(b)** In the United States of America dollar equivalent of the "money" of the country in which the loss or damage was sustained, determined by the rate of exchange published in The Wall Street Journal on the day the loss was "discovered".

**(3)** Any property that we pay for or replace becomes our property.

The following Condition applies to **Coverage 4** – Employee Theft.

**Territory**

We will pay for loss caused by any "employee" while temporarily outside the territory specified in the Commercial Property Conditions for a period of not more than 90 consecutive days.

The following Condition applies to **Coverage 5** – Forgery or Alteration Of Negotiable Instruments.

**(1)** The Deductible Amount does not apply to legal expenses paid under **Coverage 5** – Forgery or Alteration Of Negotiable Instruments coverage.

**(2)** We will treat signatures that are produced or reproduced electronically, mechanically or by other means the same as handwritten signatures.

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**(3)** You must include with your proof of loss any instrument involved in that loss, or, if that is not possible, an affidavit setting forth the amount and cause of loss.

**(4)** We will cover loss you sustain resulting directly from an "occurrence" taking place within the coverage territory. We also provide coverage in a country that is not the subject of trade embargos, economic sanctions or other trade restrictions by the government of the United States of America.

The following Condition applies to **Coverage 6** – Theft of Money and Securities – Outside the Premises.

**Armored Motor Vehicle Companies**

We will only pay for the amount of loss you cannot recover:

**(1)** Under your contract with the armored motor vehicle company; and

**(2)** From any insurance or indemnity carried by, or for the benefit of customers of, the armored motor vehicle company.

The following **Definitions** apply to **Business Crime** in addition to the Definitions in the Building and Personal Property Coverage Form, Condominium Association Coverage Form, and Condominium Commercial Unit Owners Coverage Form.

**(1)** "Computer program" means a set of related electronic instructions, which direct the operation and function of a computer or devices connected to it, which enables the computer or devices to receive, process, store or send "electronic data".

**(2)** "Computer system" means:

**(a)** Any computer, including transportable or handheld devices, electronic storage devices and related peripheral components;

**(b)** Any systems and applications software; and

**(c)** Any related telecommunications networks; including the Internet, connected to or used in conjunction with such computer or devices;

which, with regard to Paragraphs **(a), (b)** and **(c)** above:

**(1)** Collects, transmits, processes, stores or retrieves “electronic data”, and

**(2)** Is:

**(i)** Owned, leased or operated by you;

**(ii)** Owned and operated by an “employee” who has agreed in writing to your personal device use policy; or

**(iii)** Operated by an authorized third party while performing services for you, but only with respect to your “electronic data”.

**(3)** "Counterfeit money" means an imitation of "money" which is intended to deceive and to be taken as genuine.

**(4)** "Designated person” means:

**(a)** Any insurance risk manager**;**

**(b)** Any partner, ”member”, “manager”, director or trustee;

**(c)** Any elected, appointed or otherwise titled officer; or

**(d)** The highest-ranking “employee” at the “premises” where such “employee” performs the majority of his or her duties;

of any Insured.

**(5)** "Discovery", “discover” or "discovered" means the time when a “designated person” first becomes aware of facts which would cause a reasonable person to assume that a loss of a type covered by this insurance has been or will be incurred, regardless of when the act or acts causing or contributing to such loss occurred, even though the exact amount or details of loss may not then be known.

"Discovery", “discover” or "discovered" also means the time when a “designated person” first receives notice of an actual or potential claim in which it is alleged that you are liable to a third party under circumstances which, if true, would constitute a loss under this insurance.

**(6)** "Electronic data" means information, facts, images or sounds stored as or on, created or used on, or transmitted to or from computer software (including systems and applications software) on data storage devices, including hard or floppy disks, CD-ROMs, tapes, drives, cells, data processing devices or any other media which are used with electronically controlled equipment.

**(7)** "Employee"

**(a)** Employee means:

**(i)** Any natural person:

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**(a)** While in your service and for the first 30 days immediately after termination of service, unless such termination is due to "theft" or any other fraudulent or dishonest act committed by the "employee";

**(b)** Whom you compensate directly by salary, wages or commissions; and

**(c)** Whom you have the right to direct and control while performing services for you;

**(ii)** Any natural person who is furnished temporarily to you:

**(a)** To substitute for a permanent "employee" defined in Paragraph **(i)** above, who is on leave; or

**(b)** To meet seasonal or short-term work load conditions;

while that person is subject to your direction and control and performing services for you;

**(iii)** Any natural person who is leased to you under a written agreement between you and a labor leasing firm to perform duties related to the conduct of your business, but does not mean a temporary "employee" defined in Paragraph **(ii)** above;

**(iv)** Any natural person who is an administrator, director, trustee, manager or, "employee", except an administrator or manager who is an independent contractor.

**(v)** Any natural person who is a former "employee", partner, "member", "manager", director or trustee retained by you as a consultant while performing services for you;

**(vi)** Any natural person who is a guest student or intern pursuing studies or duties;

**(vii)** Any natural person employed by an entity merged or consolidated with you prior to the effective date of this insurance; and

**(viii)** Any natural person who is your "manager", director or trustee while:

**(a)** Performing acts within the scope of the usual duties of an "employee"; or

**(b)** Acting as a member of any committee duly elected or appointed by resolution of your board of directors, board of trustees or functional equivalent thereof, to perform specific, as distinguished from general, directorial acts on your behalf.

**(b)** "Employee" does not mean any agent, broker, factor, commission merchant, consignee, independent contractor or representative of the same general character not specified above.

**(8)** "Financial institution" under Paragraph **g. Business Crime, Coverage 6** – Money And Securities means:

**(a)** A bank, savings bank, savings and loan association, trust company, credit union or similar depository institution; or

**(b)** An insurance company.

**(9)** "Financial institution" under Paragraph **g. Business Crime, Coverage 1** – Computer And Funds Transfer Fraud means:

**(a)** A bank, savings bank, savings and loan association, trust company, credit union or similar depository institution; or

**(b)** An insurance company; or

**(c)** A stock brokerage firm or investment company

**(10)** "Financial institution premises" means the interior of that portion of any building occupied by a "financial institution".

**(11)** "Forgery" means the signing of the name of another person or entity with intent to deceive; it does not mean a signature which consists in whole or in part of one's own name signed with or without authority, in any capacity, for any purpose.

**(12)** "Identity theft" means the act of knowingly transferring or using without lawful authority a means of identification of any Officer or Director (or spouse thereof) of the named insured with the intent to commit or to aid or abet another to commit any unlawful activity that constitutes a violation of federal law or a felony under any applicable state or local law.

**(13)** "Identity theft expenses" means:

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**(a)** Costs for notarizing fraud affidavits or similar documents for financial institutions or similar credit grantors or credit agencies that have required that such affidavits be notarized.

**(b)** Costs for certified mail to law enforcement agencies, credit agencies, financial institutions or similar credit grantors.

**(c)** Loan application fees for re-applying for loan or loans when the original application is rejected solely because the lender received incorrect credit information due to "identity theft".

**(14)** "Manager" means a natural person serving in a directional capacity for a limited liability company.

**(15)** "Member" means an owner of a limited liability company represented by its membership interest, who, If a natural person, also may serve as a "manager".

**(16)** "Messenger" means you, or your relative, or any of your partners, "members", or "employees" while having care and custody of property outside the "premises".

**(17)** "Money" means:

**(a)** Currency, coins, bank notes in current use and having a face value;

**(b)** Travelers checks, and money orders held for sale to the public; and

**(c)** Deposits in your account at any "financial institution".

**(18)** "Occurrence" means:

**(a)** As respects to **Coverage 4** – Employee Theft:

**(i)** An individual act;

**(ii)** The combined total of all separate acts, whether or not related; or

**(iii)** A series of acts, whether or not related;

committed by an "employee" acting alone or in collusion with other persons, during the Policy Period shown in the Declarations, except as provided under Paragraph **g.** Business Crime Condition **Loss Sustained During Prior Insurance Issued By Us Or Any Affiliate** or **Loss Sustained During Prior Insurance Not Issued By Us Or Any Affiliate**.

**(b)** As respects to **Coverage 5** – Forgery or Alteration Of Negotiable Instruments:

**(i)** An individual act;

**(ii)** The combined total of all separate acts, whether or not related; or

**(iii)** A series of acts, whether or not related;

committed by a person acting alone or in collusion with other persons, involving one or more instruments, during the Policy Period shown in the Declarations, except as provided under Paragraph **g.** Business Crime Condition **Loss Sustained During Prior Insurance Issued By Us Or Any Affiliate** or **Loss Sustained During Prior Insurance Not Issued By Us Or Any Affiliate**.

**(c)** As respects to **Coverage 1** – Computer and Funds Transfer Fraud, **Coverage 6** – Theft of Money and Securities Inside the Premises and Outside the Premises, and **Coverage 7** – Money Orders and Counterfeit Money

**(i)** An individual act or event;

**(ii)** The combined total of all separate acts or events, whether or not related; or

**(iii)** A series of acts or events, whether or not related;

committed by a person acting alone or in collusion with other persons, or not committed by any person, during the Policy Period shown in the Declarations, except as provided under Paragraph **g.** Business Crime Condition **Loss Sustained During Prior Insurance Issued By Us Or Any Affiliate** or **Loss Sustained During Prior Insurance Not Issued By Us Or Any Affiliate**.

**(19)** "Other property" means any tangible property other than "money" and "securities" that has intrinsic value. "Other property" does not include "computer programs", "electronic data" or any property specifically excluded under this insurance.

**(20)** "Premises" means the interior of that portion of any building you occupy in conducting your business.

**(21)** "Robbery" means the unlawful taking of property from the care and custody of a person by one who has:

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**(a)** Caused or threatened to cause that person bodily harm; or

**(b)** Committed an obviously unlawful act witnessed by that person.

**(22)** "Securities" means negotiable and nonnegotiable instruments or contracts representing either "money" or property and includes:

**(a)** Tokens, tickets, revenue and other stamps (whether represented by actual stamps or unused value in a meter) in current use; and

**(b)** Evidences of debt issued in connection with credit or charge cards, which cards are not issued by you;

But does not include "money".

**(23)** "Theft" means the unlawful taking of property to the deprivation of the Insured.

**(24)** "Transfer account" means an account maintained by you at a "financial institution" from which you can initiate the transfer payment or delivery of "money" or "securities".

**(25)** "Transfer instruction" means:

As respects to **Coverage 1** – Computer And Funds Transfer Fraud:

An instruction received by a “financial institution”, which is transmitted:

**(a)** By email, text message, instant message, telefacsimile, telephone or other electronic means; or

**(b)** In writing, other than an instrument covered under **Coverage 5 -** Forgery or Alteration Of Negotiable Instruments;

directing the “financial institution” to transfer, pay or deliver “money” or “securities” from your “transfer account” to a person, entity or account beyond your control.

**h. Business Income**

Causes of Loss – Special Form, Paragraph **B. Exclusions, 4. Special Exclusions**, Paragraphs **a.(1)** through **(5)** apply to this additional coverage.

**Business Income From Dependent Properties**

**(1)** We will pay for the actual loss of Business Income you sustain due to the necessary "suspension" of your "operations" during the "period of restoration". The "suspension" must be caused by direct physical loss or damage at the premises of a "dependent property", "secondary contributing location" or "secondary recipient location" caused by or resulting from a Covered Cause of Loss.

**(2)** However, this Additional Coverage does not apply when the only loss to "dependent property" is loss or damage to "electronic data", including destruction or corruption of "electronic data". If the "dependent property" sustains loss or damage to "electronic data" and other property, coverage under this Coverage Extension will not continue once the other property is repaired, rebuilt or replaced.

**(3)** The most we will pay under this Additional Coverage is the Limit of Insurance shown in the Schedule.

**(4)** We will reduce the amount of your Business Income loss, other than Extra Expense, to the extent you can resume "operations", in whole or in part, by using any other available:

**(a)** Source of materials; or

**(b)** Outlet for your products.

**(5)** We will reduce the amount of your Extra Expense loss to the extent you can return "operations" to normal and discontinue such Extra Expense.

**(6)** The coverage period for Business Income under this Additional Coverage:

**(a)** Begins immediately after the time of direct physical loss or damage caused by or resulting from any Covered Cause of Loss at the premises of the "dependent property", "secondary contributing location" or "secondary recipient location"; and

**(b)** Ends on the date when the property at the premises of the "dependent property", "secondary contributing location" or "secondary recipient location" should be repaired, rebuilt or replaced with reasonable speed and similar quality.

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**(7)** The Business Income coverage period, as stated in Paragraph **(6),** does not include any increased period required due to the enforcement of or compliance with any ordinance or law that:

**(a)** Regulates the construction, use or repair, or requires the tearing down, of any property; or

**(b)** Requires any insured or others to test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to or assess the effects of "pollutants".

The expiration date of this policy will reduce the Business Income coverage period.

The following **Definitions** apply to Business Income From Dependent Properties in addition to the Building and Personal Property Coverage Form, Condominium Association Coverage Form and Condominium Commercial Unit Owners Coverage Form definitions.

**(1)** "Dependent property" means property operated by others whom you depend on to:

**(a)** Deliver materials or services to you, or to others for your account (Contributing Locations). But any property which delivers any of the following services is not a Contributing Location with respect to such services:

**(i)** Water Supply Services;

**(ii)** Power supply services;

**(iii)** Wastewater removal services; or

**(iv)** Communication supply services, including services relating to Internet access or access to any electronic network;

**(b)** Accept your products or services (Recipient Locations);

**(c)** Manufacture products for deliver to your customers under contract of sale (Manufacturing Locations); or

**(d)** Attract customers to your business (Leader Locations).

**(2)** "Secondary contributing location" is an entity which:

**(a)** Is not owned or operated by the Contributing Location; and

**(b)** Delivers materials or services to the Contributing Location which in turn are used by that Contributing Location in providing materials or services to you.

A road, bridge, tunnel, waterway, airfield, pipeline or any other similar area or structure is not a "secondary contributing location".

Any property which delivers any of the following services is not a "secondary contributing location" with respect to such services:

**(a)** Water Supply Services:

**(b)** Power supply services:

**(c)** Wastewater removal services; or

**(d)** Communication supply services, including services relating to Internet access or access to any electronic network.

**(3)** "Secondary recipient location" is an entity which:

**(a)** Is not owned or operated by the Recipient Location; and

**(b)** Accepts materials or services to the Recipient Location which in turn accepts your materials or services.

A road, bridge, tunnel, waterway, airfield, pipeline or any other similar area or structure is not a "secondary recipient location".

The "dependent property", "secondary contributing location" or "secondary recipient location" must be located in the coverage territory of this policy.

**(4)** "Period of restoration" means the period of time that:

**(a)** Begins immediately after the time of direct physical loss or damage caused by or resulting from any Covered Cause of Loss at the premises of the "dependent property" (or "secondary contributing location" or "secondary recipient location"); and

**(b)** Ends on the date when the property at the described premises of the "dependent property" or "secondary contributing location" or secondary recipient location" should be repaired, rebuilt or replaced with reasonable speed and similar quality; or

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"Period of restoration" does not include any increased period required due to the enforcement of or compliance with any ordinance or law that:

**(a)** Regulates the construction, use or repair, or requires the tearing down of any property; or

**(b)** Requires any insured or others to test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of "pollutants".

The expiration date of this policy will not cut short the "period of restoration".

**(5)** Suspension" means the slowdown or cessation of your business activities.

**Section D. Deductible** does not apply.

**Business Income and Extra Expense**

We will pay the actual loss of Business Income and necessary Extra Expense you sustain due to the necessary "suspension" of your "operations" during the "period of restoration". The "suspension" must be caused by a direct physical loss of or damage to property at premises which are described in the Declarations. The loss or damage must be caused by or result from a Covered Cause of Loss. With respect to loss of or damage to personal property in the open or personal property in a vehicle, the described premises include the area within 1,000 feet of such premises.

With respect to the requirements set forth in the preceding Paragraph, if you occupy only part of a building, your premises means:

**(1)** The portion of the building which you rent, lease or occupy;

**(2)** The area within 1,000 feet of the building or within 1,000 feet of the premises described in the Declarations, whichever distance is greater (with respect to loss of or damage to personal property in the open or personal property in a vehicle); and

**(3)** Any area within the building or at the described premises, if that area services, or is used to gain access to, the portion of the building which you rent, lease or occupy.

Extra Expense means necessary expenses you incur during the "period of restoration" that you would not have incurred if there had been no direct physical loss or damage to property caused by or resulting from a Covered Cause of Loss.

We will pay Extra Expense (other than the expense to repair or replace property) to:

**(1)** Avoid or minimize the "suspension" of business and to continue your "operations" at the described premises or at replacement premises or temporary locations, including relocation expenses and costs to equip and operate the replacement location or temporary location.

**(2)** Minimize the "suspension" of business if you cannot continue your operations.

**(3)** To research, replace, or restore the information on damaged valuable papers and records, but only if those expenses reduce the amounts otherwise payable in this Endorsement.

We will also pay Extra Expense to repair or replace property, but only to the extent it reduces the amount of loss that otherwise would have been payable under this coverage extension.

The amount of Business Income loss will be determined based on:

**(1)** The Net Income of the business before the direct physical loss or damage occurred;

**(2)** The likely Net Income of the business if no physical loss or damage had occurred, but not including any Net Income that would likely have been earned as a result of an increase in the volume of business due to favorable business conditions caused by the impact of the Covered Cause of Loss on customers or on other businesses;

**(3)** The operating expenses, including payroll expenses, necessary to resume "operations" with the same quality of service that existed just before the direct physical loss or damage; and

**(4)** Other relevant sources of information, including:

**(a)** Your financial records and accounting procedures;

**(b)** Bills, invoices and other vouchers; and

**(c)** Deeds, liens or contracts.

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The amount of Extra Expense will be determined based on:

**(1)** All expenses that exceed the normal operating expenses that would have been incurred by "operations" during the "period of restoration" if no direct physical loss or damage had occurred. We will deduct from the total of such expenses:

**(a)** The salvage value that remains of any property bought for temporary use during the "period of restoration", once "operations" are resumed; and

**(b)** Any Extra Expense that is paid for by other insurance, except for insurance that is written subject to the same plan, terms, conditions and provisions as this insurance; and

**(2)** Necessary expenses that reduce the Business Income otherwise incurred.

We will reduce the amount of your Business Income loss, to the extent you can resume your "operations", in whole or in part, by using damaged or undamaged property (including merchandise or stock) at the described premises or elsewhere.

If you do not resume "operations", or do not resume "operations" as quickly as possible, we will pay based on the length of time it would have taken to resume "operations" as quickly as possible.

The following **Definitions** apply to Business Income and Extra Expense in addition to the Definitions in the Building and Personal Property Coverage Form, Condominium Association Coverage Form, and Condominium Commercial Unit-Owners Coverage Form.

**(1)** "Business Income" means the:

**(a)** Net Income (Net Profit or Loss before income taxes) that would have been earned or incurred; and

**(b)** Continuing normal operating expenses incurred, including payroll.

For manufacturing risks, Net Income includes the net sales value of production.

**(2)** "Operations" means:

Your business activities occurring at the described premises.

**(3)** **"**Period of restoration" means the period of time that:

**(a)** Begins with the date of direct physical loss or damage caused by or resulting from any Covered Cause of Loss at the described premises; and

**(b)** Ends on the earlier of:

**(i)** The date when the property at the described premises should be repaired, rebuilt or replaced with reasonable speed and similar quality; or

**(ii)** The date when business is resumed at a new permanent location.

"Period of restoration" does not include any increased period required due to the enforcement of or compliance with any ordinance or law that:

**(a)** Regulates the construction, use or repair, or requires the tearing down of any property; or

**(b)** Requires any insured or others to test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of "pollutants".

The expiration date of this policy will not cut short the "period of restoration".

**(4)** "Suspension" means the slowdown or cessation of your business activities.

The most we will pay for loss or damage under this Additional Coverage at each described premises is the Limit of Insurance shown in the Schedule.

**Section D. Deductible** does not apply.

**Civil Authority**

We will extend this coverage to apply to actual loss of Business Income you sustain caused by action of civil authority that prohibits access to the described premises, provided that both of the following apply:

**(1)** Access to the area immediately, surrounding the damaged property is prohibited by civil authority as a result of the damage and the described premises are within that area but are not more than one mile from the damaged property; and

**(2)** The action of civil authority is taken in response to dangerous physical conditions resulting from the damage or continuation of the Covered Cause of Loss that caused the damage, or the action is taken to enable a civil authority to have unimpeded access to the damaged property.

Civil Authority Coverage will apply for a period of up to 72 hours after the time of the first action of civil authority that prohibits access to the described premises.

**Section D. Deductible** does not apply.

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**Lost Lease Protection**

We will pay for Business Income and Extra Expense costs you incur for "lost lease interest" due to cancellation of lease contracts by your tenants. Cancellation must result from a direct physical loss by a Covered Cause of Loss to covered real property during the policy period.

"Lost lease interest" means:

The difference between the rent payments you were collecting prior to a covered loss and the total anticipated rental income including any tenant obligations you may be responsible for after the loss or damage has been repaired or rebuilt.

"Lost lease interest" does not include refunds or rebates for prepaid rent payments made on your behalf by tenants, or deposits of any kind made by tenants to a landlord or lessor of other premises.

Coverage begins with the date of direct physical loss and ends on the date when the property should be repaired, rebuilt or replaced with reasonable speed and similar quality.

The most we will pay under this Additional Coverage is the Limit of Insurance shown in the Schedule.

**Section D. Deductible** does not apply.

**i. Business Travel Accidental Death Benefit**

We will pay a Business Travel Accidental Death Benefit for any expenses incurred by the named insured if a director or officer suffers an "injury" resulting in death or loss of limbs, sight, speech or hearing as described in Paragraph **(2)** below, while traveling on a common carrier for business purposes during the policy period.

**(1)** There will be no coverage if the cause of the "injury" that resulted in loss was:

**(a)** an intentional act by the insured**;**

**(b)** an act of suicide or attempted suicide, whether or not the deceased was sane or insane at the time of the attempted suicide;

**(c)** an act of war; or

**(d)** a disease process.

**(2)** For the purpose of this additional coverage, we will pay the Business Travel Accident Benefit amount if the "injury" resulted in:

**(a)** Physical damage to the body caused by violence, fracture, or an accident during the policy term that results in loss of life not later than 180 days after the policy expiration, the date of cancellation or the date of non-renewal;

**(b)** Accidental loss of limbs or multiple fingers;

**(c)** Total loss of sight, speech or hearing.

"Injury" means any physical damage to the body caused by accident, violence, sickness or disease sustained by a person, including death resulting from any of these at any time.

The Limit of Insurance provided by this Additional Coverage per policy period is the Limit of Insurance shown in the Schedule.

**Section D. Deductible** does not apply.

**j. Conference Cancellation**

We will reimburse the insured for any business-related expenses, paid by the insured and not otherwise reimbursed, for a canceled conference that an employee was scheduled to attend.

With respect to this coverage:

**(1)** The insured employee must have registered for the conference at least 30 days prior to the cancellation; and

**(2)** The cancellation must be ordered by a local, state or federal Board of Health or other governmental authority having jurisdiction over the location of the conference.

The limit of insurance provided by this Additional Coverage per policy period is the Limit of Insurance shown in the Schedule.

**Section D. Deductible** does not apply.

**k. Donation Assurance**

We will reimburse you for "failed donation claim(s)".

**(1)** With respect to any "failed donation claim":

**(a)** The donor must never have been in bankruptcy, nor have filed for bankruptcy/reorganization prior to the time said pledge was made to the insured;

**(b)** For non-cash donations, payment will be based on the fair market value of said non-cash donation at the time of the "failed donation claim";

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**(c)** In the case of unemployment incapacitation of a donor and as a condition of payment of the "failed donation claim";

**(i)** neither you nor the donor shall have had reason to believe the donor would become unemployed or incapacitated subsequent to the donation date and;

**(ii)** the donor shall be unemployed for at least 60 days prior to us making payment;

**(d)** No coverage shall be afforded for a written pledge of funds or other measurable tangible property to you dated prior to the policy period;

**(e)** A donation amount which is to be collected over more than a 12 month period shall be deemed a single donation.

**(2)** "Failed donation claim" means written notice to the Insured during the Policy Period of:

**(a)** the bankruptcy or reorganization of any donor whereby such bankruptcy or reorganization prevents the donor from honoring a prior written pledge of funds or other measurable tangible property to the Insured; or

**(b)** the unemployment or incapacitation of a natural person donor preventing him/her from honoring a prior written pledge of funds or other measurable tangible property to the Insured.

The limit provided by this Additional Coverage per policy period is the Limit of Insurance shown in the Schedule.

**Section D. Deductible** does not apply.

**l. Emergency Real Estate Consulting Fee**

We will reimburse you for any realtor's fee or real estate consultant's fee you incur resulting from your need to relocate due to the "unforeseeable destruction" of your principal location as shown on the declarations.

"Unforeseeable destruction" means damage resulting from a "Certified Act of Terrorism", fire, crash or collapse which renders all of the Insured's primary location completely unusable.

The limit provided by this Additional Coverage per policy period is the Limit of Insurance shown in the Schedule.

**Section D. Deductible** does not apply.

**m. Fire Extinguisher Systems Recharge Expense**

We will pay:

The cost of recharging or replacing, whichever is less, your fire extinguishers and fire extinguishing systems (including hydrostatic testing if needed) if they are discharged on or within 1,000 feet of the described premises; and

For loss or damage to Covered Property if such loss or damage is the result of an accidental discharge of chemicals from a fire extinguisher or fire extinguishing system.

No coverage will apply if the fire extinguishing system is discharged during installation or testing.

**Section D. Deductible** does not apply.

**n. Fundraising Event Blackout**

We will reimburse the insured for fundraising event expenses that are incurred due to the cancellation of a fundraising event caused by the lack of electric supply resulting in a power outage, provided the fundraising event is not re-scheduled. The fundraising event must have been planned at least 30 days prior to the power outage.

The limit provided by this Additional Coverage per policy period is the Limit of Insurance shown in the Schedule.

**Section D. Deductible** does not apply.

**o. Image Restoration Counseling**

We will reimburse you for expenses incurred for image restoration and counseling arising out of "improper acts" by any Insured. Covered expenses are limited to:

**(1)** The costs of rehabilitation and counseling for the accused Insured provided the Insured is not ultimately found guilty of criminal conduct, said reimbursement to occur after acquittal of the Insured;

**(2)** The costs, charged by a recruiter or expended on advertising, of replacing an officer as a result of "improper acts"; and

**(3)** Up to $10,000 for the costs of restoring the Named Insured's reputation and consumer confidence through image consulting.

"Improper acts" means any actual or alleged act of:

**(a)** Sexual abuse;

**(b)** Sexual intimacy;

**(c)** Sexual molestation; and/or

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**(d)** Sexual assault;

committed by an Insured against any natural person who is not an Insured. Such "improper acts" must have been committed by the Insured while in his or her capacity as an insured.

The limit provided by this Additional Coverage per policy period is the Limit of Insurance shown in the Schedule.

**Section D. Deductible** does not apply.

**p. Officers Or Directors Replacement Expenses**

We will pay "Officers or Directors Replacement Expenses" if the executive officer or director suffers an "injury" while in the course of employment during the policy period which results in the loss of life during the policy period.

"Officers or Directors Replacement Expenses" means:

**(1)** Costs of advertising the employment position opening;

**(2)** Travel, lodging, meal and entertainment expenses incurred in interviewing job applicants for the employment position opening; and

**(3)** Miscellaneous extra expenses incurred in finding, interviewing and negotiating with the job applicants, including, but not limited to, overtime pay, costs to verify the background and references of the applicants and legal expenses incurred to draw up employment contracts.

The limit provided by this Additional Coverage per policy period is the Limit of Insurance shown in the Schedule.

**Section D. Deductible** does not apply.

**q. Political Unrest Coverage**

We will reimburse any present director, officer, employee or volunteer of the named insured while traveling outside the United States of America for "emergency evacuation expenses" that are incurred as a result of an incident of "political unrest". This "political unrest" must occur during the policy period. No coverage is granted for travel to countries in a state of "political unrest" at the time of departure of the travel.

**(1)** "Emergency Evacuation Expense" means:

**(a)** Additional lodging expenses;

**(b)** Additional transportation expenses;

**(c)** The cost of obtaining replacements of lost or stolen travel documents necessary for evacuation from the area of "political unrest"; and

**(d)** Translation services, message transmittals and other communication expenses;

provided these expenses are not otherwise reimbursable.

**(2)** "Political Unrest" means"

**(a)** A short-term condition of disturbance, turmoil or agitation within a foreign country that poses imminent risk to the security of citizens of the United States;

**(b)** A long-term condition of disturbance, turmoil or agitation that makes a foreign country dangerous or unstable for citizens of the United States; or

**(c)** A condition of disturbance, turmoil or agitation within a foreign country that constrains the United States Government's ability to assist citizens of the United States, due to the closure or inaccessibility of an embassy or consulate or because of a reduction of its staff;

for which either an alert of travel warning has been issued by the United States Department of State.

The limit provided by this Additional Coverage per policy period is the Limit of Insurance shown in the Schedule.

**Section D. Deductible** does not apply.

**r. Temporary Meeting Space Rental**

We will reimburse you for the rental of meeting space which is necessitated by the temporary unavailability of your primary office space due to the failure of a climate control system, or leakage of a hot water heater during the policy period. Coverage will exist only for the renting of temporary meeting space required for meeting with parties who are not insured under this policy.

The limit provided by this Additional Coverage per policy period is the Limit of Insurance shown in the Schedule.

**Section D. Deductible** does not apply.

**s. Terrorism Travel Reimbursement**

We will reimburse any of your present directors or officers in the event of a "Certified Act of Terrorism" during the policy period which necessitates that he/she incurs "Emergency Travel Expenses".

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"Emergency Travel Expenses" means:

**(1)** Hotel expenses incurred which directly result from the cancellation of a scheduled transport by a common carrier resulting directly from and within forty-eight hours of a "Certified Act of Terrorism"; and

**(2)** The increased amount incurred in air or train fare which may result from rescheduling comparable transport, to replace a similarly scheduled transport canceled by a common carrier in direct response to a "Certified Act of Terrorism".

The limit provided by this Additional Coverage per policy period is the Limit of Insurance shown in the Schedule.

**Section D. Deductible** does not apply.

**t. Travel Delay Reimbursement**

We will reimburse any of your present directors or officers for any non-reimbursable expenses they incur as a result of the cancellation of any regularly scheduled business travel on a common carrier.

The limit provided by this Additional Coverage per policy period is the Limit of Insurance shown in the Schedule.

A 72 hour waiting period deductible applies to this Additional Coverage.

**u. Workplace Violence Counseling**

In the event that an incidence of "workplace violence" occurs we will pay for the actual loss of Business Income you sustain and necessary Extra Expense caused by this "workplace violence".

Extra Expense is extended to include the cost of mental health counseling for "employees" following an incident of "workplace violence".

"Workplace violence" means any intentional use of or threat to use deadly force with intent to cause harm and that results in bodily "injury" or death of an insured, and insured's employee or any other person while on your premises.

"Injury" means any physical damage to the body caused by an accident, violence, sickness or disease sustained by a person, including death resulting from any of these at any time.

The limit provided by this Additional Coverage per policy period is the Limit of Insurance shown in the Schedule.

**Section D. Deductible** does not apply.

**E. Coverage Extensions**

**1.** When this endorsement is attached to Building and Personal Property Coverage Form or Condominium Association Coverage Form, under **Section A. Coverage Extensions,** Paragraph **5.a. Newly Acquired or Constructed Property** is deleted and replaced by:

**a. Newly Acquired or Constructed Property**

**(1) Buildings** – if this policy covers Building, you may extend that insurance to apply to:

**(a)** Your new buildings while being built on the described premises; and

**(b)** Buildings you acquire at locations, other than the described premises, intended for:

**(i)** Similar use as the building described in the Declarations; or

**(ii)** Use as a warehouse.

The most we will pay for loss or damage under this Coverage Extension at each building is the Limit of Insurance shown in the Schedule.

**(2) Your Business Personal Property**

**(a)** If this policy covers Your Business Personal Property, you may extend that insurance to apply to:

**(i)** Business personal property, including such property that you newly acquire, at any location you acquire other than at fairs, trade shows or exhibitions; or

**(ii)** Business personal property, including such property that you newly acquire, located at your newly constructed or acquired buildings at the location described in the Declarations.

The most we will pay for loss or damage under this Extension at each building is the Limit of Insurance shown in the Schedule.

**(b)** This Extension does not apply to:

**(i)** Personal property of others that is temporarily in your possession in the course of installing or performing work on such property; or

**(ii)** Personal property of others that is temporarily in your possession in the course of your manufacturing or wholesaling activities.

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**(3) Period of Coverage**

With respect to insurance provided under this Coverage Extension for Newly Acquired Or Constructed Property, coverage will end when any of the following first occurs:

**(a)** This policy expires;

**(b)** The number of days shown in the Schedule expire after you acquire the property or begin construction of that part of the building that would qualify as covered property; or

**(c)** You report values to us.

We will charge you additional premium for values reported from the date you acquire the property or begin construction of that part of the building that would qualify as covered property.

The limit of insurance provided for this Coverage Extension is in addition to **Section C. Limits Of Insurance**.

**Section D. Deductible** applies to this Coverage Extension.

**2.** When this endorsement is attached to Condominium Commercial Unit-Owners Coverage Form under **Section A.5 Coverage Extensions,** Paragraph **a. Newly Acquired Property** is deleted and replaced by:

**a. Newly Acquired Property**

**(1)** You may extend the insurance that applies to Your Business Personal Property to apply to:

**(a)** Business personal property, including such property that you newly acquire, at any location you acquire other than at fairs, trade shows or exhibitions; or

**(b)** Business personal property including such property that you newly acquire, located at your newly constructed or acquired buildings at the location described in the Declaration; or

The most we will pay for loss or damage under this Coverage Extension at each building is the Limit of Insurance shown in the Schedule.

**(2)** This Extension does not apply to:

**(a)** Personal property of others that is temporarily in your possession in the course of installing or performing work on such property; or

**(b)** Personal property of others that is temporarily in your possession in the course of your manufacturing or wholesaling activities.

**(3) Period of Coverage**

With respect to insurance provided under this Coverage Extension for Newly Acquired Property, coverage will end when any of the following first occurs:

**(a)** This policy expires;

**(b)** The number of days shown in the Schedule expire after you acquire the property or begin construction of that part of the building that would qualify as covered property; or

**(c)** You report values to us.

We will charge you additional premium for values reported from the date you acquire the property or begin construction of that part of the building that would qualify as covered property.

The limit of insurance provided for this Coverage Extension is in addition to **Section C. Limits Of Insurance**.

**Section D. Deductible** applies to this Coverage Extension.

**3.** Paragraph **b. Personal Effects and Property Of Others** is deleted and replaced by:

**b. Personal Effects and Property Of Others**

You may extend the insurance that applies to Your Business Personal Property to apply to:

**(1)** Personal Effects owned by you, your officers, your partners or members, your managers or your employees. This Extension does not apply to loss or damage by theft.

The most we will pay for loss or damage to Personal Effects under this Coverage Extension at each described premises is the Limit of Insurance shown in the Schedule, subject to the separate Employee Tools Maximum Limit of Insurance applicable at each described premises.

**(2)** Personal Property of Others in your care, custody or control. The most we will pay for loss or damage to Personal Property of Others under this Coverage Extension at each described premises is the Limit of Insurance shown in the Schedule, subject to the separate Employee Tools Maximum Limit of Insurance applicable at each described premises. Coverage applies on a Replacement Cost basis when Business Personal Property valuation is Replacement Cost.

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If an item(s) of personal property of others is subject to a written contract which governs your liability for loss or damage to that item(s), then valuation of that item(s) will be based on the amount for which you are liable under such contract, but not to exceed the lessor of the replacement cost of the property or the applicable Limit of Insurance.

The limit of insurance provided for this Coverage Extension is in addition to **Section C. Limits Of Insurance**.

**Section D. Deductible** does not apply to this Coverage Extension.

**4.** Paragraph **c. Valuable Papers and Records – (Other Than Electronic Data)** is deleted and replaced by:

**c. Valuable Papers And Records**

You may extend the insurance that applies to Your Business Personal Property to apply to the cost to replace or restore the lost information on valuable papers and records, including those which exist as electronic data, for which duplicates do not exist.

We do not pay for loss caused by electrical or magnetic damage, disturbance, or erasure of electronic recordings. But we do cover loss or damage, disturbance, or erasure caused by lightning.

We do not pay for loss caused by errors or omissions in processing, duplicating, or copying. But if errors or omissions result in a fire or explosion, we do cover the loss or damage caused by the fire or explosion.

The most we will pay for loss or damage under this Coverage Extension at each described premises and for "valuable papers and records" not at the described premises are the Limits of Insurance shown in the Schedule.

The limit of insurance provided for this Coverage Extension is in addition to **Section C. Limits Of Insurance**.

**Section D. Deductible** does not apply to this Coverage Extension.

**5.** Paragraph **d. Property Off-Premises** is deleted and replaced by:

**d. Property Off-Premises**

You may extend the insurance provided by this Coverage Form to apply to your Covered Property while it is away from the described premises, if it is:

**(1)** Temporarily at a location you do not own, lease or operate; or

**(2)** In storage at a location you lease, provided the lease was executed after the beginning of the current policy term.

This Coverage Extension does not apply to Covered Property:

**(1)** In or on a vehicle;

**(2)** In the care, custody or control of your salesperson;

**(3)** At any fair or exhibition;

**(4)** Owned by you, or for which you are legally liable, that is to be installed by you or at your direction, while the property is at a jobsite location.

**(5)** Money and securities;

**(6)** Contractors equipment or tools used to conduct your operations away from the described premises;

**(7)** Accounts receivable; or

**(8)** Valuable papers.

The most we will pay for loss or damage under this Coverage Extension is the Limit of Insurance shown in the Schedule. Insurance under this Coverage Extension will end when any of the following first occurs:

**(1)** This policy expires, or

**(2)** 90 days expire after your Covered Property is temporarily at a location you do not own, lease or operate.

The limit of insurance provided for this Coverage Extension is in addition to **Section C. Limits Of Insurance**.

**Section D. Deductible** does not apply to this Coverage Extension.

**6.** Paragraph **e. Outdoor Property** is deleted and replaced by:

**e. Outdoor Property**

You may extend the insurance provided by this Coverage Form to apply to your radio and television antennas (including satellite dishes), trees, shrubs and plants (other than trees, shrubs or plants which are "stock" or are part of a vegetated roof), including debris removal expense, caused by or resulting from the following causes of loss if they are Covered Causes of Loss:

**(1)** Fire;

**(2)** Lightning;

**(3)** Explosion;

**(4)** Riot or Civil Commotion; or

**(5)** Aircraft.

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The most we will pay for loss or damage under this Coverage Extension is the Maximum Limit of Insurance for all items, subject to the separate Maximum Limit of Insurance applicable to each tree, shrub or plant, shown in the Schedule. These limits apply to any one occurrence, regardless of the types or number of items lost or damaged in that occurrence.

Subject to all aforementioned terms and limitations of coverage, this Coverage Extension includes the expense of removing from the described premises the debris of trees, shrubs and plants which are the property of others, except in the situation in which you are a tenant and such property is owned by the landlord of the described premises.

The limit of insurance provided for this Coverage Extension is in addition to **Section C. Limits Of Insurance**.

**Section D. Deductible** does not apply to this Coverage Extension.

**F.** The following coverages are added to **Section A.5. Coverage Extensions:**

**5. Coverage Extensions**

In addition to the Limits Of Insurance under the Building and Personal Property Coverage Form, Condominium Association Coverage Form, or Condominium Commercial Unit-Owners Coverage Form you may extend the insurance provided by this policy to these Coverage Extensions.

Unless otherwise indicated, the Limits Of Insurance provided by these Coverage Extensions are in addition to **Section C. Limits Of Insurance**.

Unless otherwise indicated **Section D. Deductible** applies to these Coverage Extensions.

**h. Building Material Theft**

We will pay for loss or damage by theft or attempted theft of building materials and supplies not attached as part of the building or structure located either on or off premises owned by you.

The most we will pay under this Coverage Extension is the Limit of Insurance shown in the Schedule.

**i. Accounts Receivable**

You may extend the insurance that applies to Your Business Personal Property to apply to your accounts receivable records.

In the event of a loss to your accounts receivable records caused by a covered peril, we cover:

**(1)** The sums that are due and that you cannot collect from your customers because of the loss;

**(2)** The interest charge on a loan if that loan is used to offset those sums that cannot be collected, pending our payment of those sums;

**(3)** Collection costs that result from a loss which are above your normal collection costs; and

**(4)** The reasonable cost to reconstruct your accounts receivable records.

We do not pay for loss that results from electrical or magnetic damage, disturbance or erasure of electronic data or records that is caused by:

**(1)** Erroneous programming or faulty equipment instructions;

**(2)** Faulty or inadequate installation or maintenance of data processing equipment.

But we do cover loss or damage caused by lightning.

We do not pay for loss caused by bookkeeping, accounting, or billing errors or omissions.

If a loss occurs and you cannot establish the actual accounts receivable amount due, it will be determined as follows:

**(1)** We will determine the average monthly accounts receivable for the 12-month period that directly precedes the month in which the loss occurred; and

**(2)** We will adjust this average amount for any verifiable variance in the accounts receivable amount for the month in which the loss occurred.

We do not cover more than your insurable interest in any property.

We will pay the lesser of:

**(1)** The total sum of accounts receivable due. From this total we will deduct:

**(a)** All amounts due from the accounts receivable records that are not lost;

**(b)** All amounts due that can be established by other means;

**(c)** All amounts due that you have collected from the records that are lost;

**(d)** All unearned interest and service charges; and

**(e)** An amount to allow for bad debts.

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**(2)** The reasonable cost to reconstruct your accounts receivable.

The most we will pay for loss or damage under this Coverage Extension at each described premises, and for accounts receivable not at the described premises are the Limits of Insurance shown in the Schedule.

**j. Increase In Rebuilding Expenses Following Disaster**

When this endorsement is attached to Building and Personal Property Coverage Form or Condominium Association Coverage Form:

If this policy covers building, we will pay under this Coverage Extension for increased expenses actually incurred from a covered cause of loss to a covered building if all of the following conditions are met.

**(1)** The event that caused the covered loss:

**(a)** Results in declaration of a state of disaster by federal or state authorities; or

**(b)** Occurs in close temporal proximity to the event that results in the declaration of disaster by federal or state authorities;

**(2)** Expenses for labor and/or building materials for repair or replacement of the damaged property increase as a result of the disaster and the total cost of repair or replacement exceeds the applicable Limit of Insurance due to such increase in expenses.

**(3)** You elect to repair or replace the damage building; and

**(4)** You notified us, within 30 days of completion, of any improvements, alterations or additions to the building which increase the replacement cost of the building by 5% or more and allowed us to adjust the Limit o Insurance, if necessary, to maintain the required insurance-to-value.

The Additional Expense Coverage available for the extra expense of repair or replacement of a covered building is determined as follows:

Apply the percentage indicated in the Schedule to:

**(a)** The Limit Of Insurance shown in the Declarations as applicable to the building when such limit covers only that building (exclusive of contents); or

**(b)** The value of the building when insurance is written on a blanket basis.

However, if the building is subject to a lower Limit of Insurance (sub-limit) for the Covered Cause of Loss that caused the loss, then the applicable percentage indicated in the Schedule will be applied to that sub-limit.

**(5)** If a Coinsurance penalty or similar penalty for inadequate insurance applies to the covered loss to the building in accordance with the terms of this policy, then the maximum amount of Additional Expense Coverage will be decreased in the same proportion. (In determining compliance with the policy's Coinsurance or similar requirement, the increase in expenses attributable to the disaster will be disregarded.)

When payments reach the maximum amount of Additional Expense Coverage, such coverage will not apply to a subsequent event which occurs in the same annual policy term.

In determining the expenses payable, we will deduct any expenses recovered under any Business Income and/or Extra Expense Coverage Forms or this endorsement.

**k. Rewards**

We will pay, up to the Limit of Insurance shown in the Schedule for information which leads to the arrest and conviction of the person(s) who caused the loss covered under this coverage part. Regardless of the number of persons involved in providing information our liability under this Coverage Extension will not be increased.

This Coverage Extension does not apply to:

**(1)** you;

**(2)** your family members; or

**(3)** your employees, volunteers or independent contractors.

**Section D. Deductible** does not apply to this Coverage Extension.

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**l. Outdoor Signs**

**(1) Detached Outdoor Signs**

**(a)** When this endorsement is attached to Building and Personal Property Coverage Form or Condominium Association Coverage Form detached signs are added as Covered Property – Building (**Section A.1.a.**) or Covered Property – Business Personal Property (**Section A.1.b.**).

**(b)** When this endorsement is attached to Condominium Commercial Unit-Owners Coverage Form detached signs are added as Covered Property Business Personal Property (**Section A.1.a.**).

The provision in the Limits Of Insurance section which pertains to outdoor signs does not apply. The most we will pay for loss or damage under this Coverage Extension for Detached Outdoor Signs at each described premises is the Limit of Insurance shown in the Schedule.

**(2) Attached Outdoor Signs**

**(a)** When this endorsement is attached to Building and Personal Property Coverage Form or Condominium Association Coverage Form attached signs are added as Covered Property – Buildings (**Section A.1.a.**) or Covered Property – Business Personal Property (**Section A.1.b.**).

**(b)** When this endorsement is attached to Condominium Commercial Unit-Owners Coverage Form attached signs are added as Covered Property – Business Personal Property (**Section A.1.a.**).

The provision in the Limits Of Insurance section which pertains to outdoor signs does not apply.

**m. Outdoor Fences**

**(1)** When this endorsement is attached to Building and Personal Property Coverage Form or Condominium Association Coverage Form outdoor fences are added as Covered Property – Building (**Section A.1.a.**) or Covered Property – Business Personal Property (**Section A.1.b.**).

**(2)** When this endorsement is attached to Condominium Commercial Unit-Owners Coverage Form outdoor fences are added as Covered Property – Business Personal Property (**Section A.1.a.**).

**n. Fine Arts**

You may extend the insurance that applies to your Business Personal Property to apply to your "fine arts".

"Fine arts" means paintings; etchings; pictures; tapestries; rare or art glass; art glass windows; valuable rugs; statuary; sculptures; "antique" furniture; "antique" jewelry; bric-a-brac; porcelains; and similar property of rarity, historical value, or artistic merit.

"Antique" means an object having value because its:

**(1)** Craftsmanship is in the style or fashion of former times; and

**(2)** Age is 100 years old or older.

We will not pay for loss or damage caused by processing of or work upon the covered property including repairs or restoration.

In the event of a total loss to "fine arts", the value will be based on the lessor of:

**(1)** The market value at the time of the covered loss or damage;

**(2)** The cost to repair or restore the covered "fine arts" to the condition immediately before the loss or damage; or

**(3)** The cost of a replacement with substantially identical property.

In the event of a partial loss or damage to "fine arts", the value will be based on:

**(1)** The cost to repair or restore the covered "fine arts" to the condition immediately before the loss or damage; or

**(2)** The difference between the value of the pair or set before and after the covered loss or damage.

The cost to repair or restore will not exceed the value the pair or set had prior to the loss.

If a covered loss to "fine arts" involves a pair or set and part of the pair or set is undamaged:

**(1)** You may surrender the undamaged part of the pair or set to us, and the covered loss will be valued on the basis of a total loss to the entire pair or set; or

**(2)** You may keep the undamaged part of the pair or set, and the covered loss will be valued on the basis of a partial loss to the entire pair or set.

You must take all reasonable steps to protect covered property at and after an insured loss to avoid further loss.

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The most we will pay for loss or damage under this Coverage Extension at each described premises is the Limit of Insurance shown in the Schedule.

**o. Property At Fairs Or On Exhibition**

You may extend the insurance provided by this policy to apply to your Covered Property and Personal Property of Others while at any fair or exhibition not located within 1,000 feet of the premises described in the Declarations. This Extension does not apply to fine arts or your salespersons samples.

The most we will pay for loss or damage under this Coverage Extension is the Limit of Insurance shown in the Schedule.

**p. Property In The Custody Of Sales Representatives**

You may extend the insurance provided by this policy to apply to your Covered Property in the care, custody or control of a sales representative and not located within 1,000 feet of the premises described in the Declarations.

The most we will pay for loss or damage under this Coverage Extension is the Limit of Insurance shown in the Schedule.

**q. Property In Transit**

If the Causes of Loss – Special Form is attached, the Additional Coverage Extension **F.1. Property in Transit** is deleted.

We will pay for loss of or damage to Covered Property while in transit.

Coverage is provided while the property is in or on a motor vehicle you own, lease or operate while between points in the coverage territory.

The most we will pay for loss or damage under this Coverage Extension is:

**(1)** $5,000 on Fine Arts;

**(2)** $5,000 on Personal Computers and EDP Equipment;

**(3)** $5,000 on Data and Media; $25,000 on All Other Property except as noted below.

This Coverage Extension does not apply to:

**(1)** Money and Securities;

**(2)** Covered Property owned by you, or for which you are legally liable, that is to be installed by you or at your direction, while the property is at a jobsite location;

**(3)** Property in the care, custody or control of your salesperson;

**(4)** Accounts Receivable;

**(5)** Valuable Papers; or

**(6)** Property of others for which you are responsible as a carrier for hire or car loader, consolidator, broker, freight forwarder, shipping association, or other arranger of transportation.

**r. Ordinance Or Law Coverage – Building Or Tenants Improvements and Betterments**

If the Replacement Cost option is indicated in the Declarations for a covered Building or covered Tenant's Improvements and Betterments damaged by a covered cause of loss, we will pay:

**Coverage A – Coverage for Loss to the Undamaged Portion of the Building or Undamaged Tenant's Improvements And Betterments**

With respect to the Building or covered Tenant's Improvements and Betterments that has sustained covered direct physical damage, we will pay under **Coverage A** for the loss in value of the undamaged portion of the building or improvements and betterments as a consequence of a requirement to comply with an ordinance or law that requires demolition of undamaged parts of the same building or improvements and betterments.

We will not pay under **Coverage A** for undamaged improvements and betterments that could be removed from the building, without incurring damage to such improvements and betterments, prior to demolition or repair of the building. Coinsurance Additional Condition applies to coverage for Loss to the Undamaged Portion of the Building.

**Coverage B – Demolition Cost Coverage**

With respect to the building that has sustained covered direct physical damage, we will pay the cost to demolish and clear the site of undamaged parts of the same building or improvements and betterments as a consequence of a requirement to comply with an ordinance or law that requires demolition of such undamaged property.

We will pay the cost to demolish and clear the undamaged parts of the improvements and betterments, provided that such cost is distinguishable from the cost of demolishing the building and you are responsible for the cost of demolition of the improvements and betterments.

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We will not pay under **Coverage B** for demolition of undamaged improvements and betterments that could be removed from the building, without incurring damage to such improvements and betterments, prior to demolition or repair of the building.

The Coinsurance Additional Condition does not apply to Demolition Cost Coverage.

**Coverage C – Increased Cost of Construction Coverage**

**(1)** With respect to the building that has sustained covered direct physical damage, we will pay the increased cost to:

**(a)** Repair or reconstruct damaged portions of that building or improvements and betterments; or

**(b)** Reconstruct or remodel undamaged portions of that building or improvements and betterments, whether or not demolition is required;

when the increased cost is a consequence of a requirement to comply with the minimum standards of the ordinance or law.

However:

**(a)** This coverage applies only if the restored or remodeled property is intended for similar occupancy as the current property, unless such occupancy is not permitted by zoning or land use ordinance or law.

**(b)** We will not pay for the increased cost of construction if the building or improvements and betterments are not repaired, reconstructed or remodeled.

The Coinsurance Additional Condition does not apply to Increased Cost of Construction Coverage.

**(2)** When a building is damaged or destroyed and **Coverage C** applies to that building in accordance with **(1)** above, coverage for the increased cost of construction also applies to repair or reconstruction of the following, subject to the same conditions stated in **(1)**:

**(a)** The cost of excavations, grading, backfilling and filling;

**(b)** Foundation of the building;

**(c)** Pilings; and

**(d)** Underground pipes, flues and drains.

The items listed in **(2)(a)** through **(2)(d)** above are deleted from Property Not Covered, but only with respect to the coverage described in this provision **(2)**.

**Loss Payment**

All following loss payment provisions are subject to the apportionment procedures set forth in Paragraph **(3)** under **Application of Coverage(s)**.

**Coverage A – Coverage for Loss to the Undamaged Portion of the Building or Undamaged Portion of the Tenants Improvements and Betterments**

When there is a loss in value of an undamaged portion of a building or undamaged improvements and betterments, the loss payment for that building or improvements and betterments, including damaged and undamaged portions, will be determined as follows:

**(1)** If the property is being repaired or replaced on the same or another premises, we will not pay more than the lesser of:

**(a)** The amount you would actually spend to repair, rebuild, or reconstruct the property, but not for more than the amount it would cost to restore the property on the same premises and to the same height, floor area, style and comparable quality of the original property insured; or

**(b)** The Limit of Insurance shown in the Declarations as applicable to the covered building or improvements and betterments.

**(2)** If the property is not repaired or replaced we will not pay more than the lesser of:

**(a)** The actual cash value of the property at the time of loss; or

**(b)** The Limit Of Insurance shown in the Declarations as applicable to the covered building or improvements and betterments.

The insurance provided by **Coverage A** does not increase **Section C. Limits Of Insurance**.

**Coverage B – Demolition Cost Coverage** and **Coverage C – Increased Cost of Construction Coverage Combined**

The most we will pay for the total of all covered losses for Demolition Cost and Increased Cost of Construction, is the lessor of the Combined Limit of Insurance of:

**(1)** The amount shown in the Schedule; or

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**(2)** The percentage indicated in the Schedule applied to the covered building(s) or improvements and betterments Limit of Insurance.

Loss payment under Combined Coverage **B – Demolition Cost Coverage** and **Coverage C – Increased Cost of Construction** will be determined as follows:

For Demolition Cost we will not pay more than the amount you actually spend to demolish and clear the site of the described premises.

With respect to the **Increased Cost of Construction Coverage**:

**(1)** We will not pay for the increased cost of construction:

**(a)** Until the property is actually repaired or replaced at the same or another premises; and

**(b)** Unless the repair or replacement is made as soon as reasonably possible after the loss or damage, not to exceed two years. We may extend this period in writing during the two years.

**(2)** If the building is repaired or replaced at the same premises, or if you elect to rebuild at another premises, the most we will pay for the increased cost of construction is the increased cost of construction at the same premises.

**(3)** If the ordinance or law requires relocation to another premises, the most we will pay for the increased cost of construction is the increased cost of construction at the new premises.

The insurance provided by Combined **Coverage B** and **Coverage C** does not increase **Section C. Limits of Insurance**.

The terms of this coverage apply separately to each building to which this coverage applies.

Under this coverage, we will not pay for loss due to any ordinance or law that:

**(1)** You were required to comply with before the loss, even if the building was undamaged; and

**(2)** You failed to comply with.

**(3)** We will not pay under this Coverage Extension for enforcement of or compliance with any ordinance or law which requires the demolition, repair, replacement, reconstruction, remodeling or remediation of property due to contamination by "pollutants" or due to the presence, growth, proliferation, spread or any activity of "fungus" wet or dry rot or bacteria; or

The costs associated with the enforcement of or compliance with any ordinance or law which requires any insured or others to test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of "pollutants", "fungus", wet or dry rot or bacteria.

**Application of Coverage(s)**

**Coverages A, B** and/or **C** apply only if both **(1)** and **(2)** are satisfied and are then subject to the qualifications set forth in **(3)**.

**(1)** The ordinance or law:

**(a)** Regulates the demolition, construction or repair of buildings, or establishes zoning or land use requirements at the described premises; and

**(b)** Is in force at the time of loss or the ordinance or law is promulgated or revised after the loss but prior to the commencement of reconstruction or repair and provided that such ordinance or law requires compliance as a condition precedent to obtaining a building permit or certificate of occupancy.

But coverage under this Coverage Extension applies only in response to the minimum requirements of the ordinance or law. Losses and costs incurred in complying with recommended actions or standards that exceed actual requirements are not covered under this Coverage Extension.

**(2) (a)** The building or improvements or betterments sustains direct physical damage that is covered under this policy and as a result of such damage you are required to comply with the ordinance or law; or

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**(b)** The building sustains both direct physical damage that is covered under this policy and direct physical damage that is not covered under this policy, and as a result of the building or improvements and betterments damage in its entirety you are required to comply with the ordinance or law.

**(c)** But if the building sustains direct physical damage that is not covered under this policy, and such damage is the subject of the ordinance or law, then there is no coverage under this Coverage Extension even if the building or improvements or betterments has also sustained covered direct physical damage.

**(3)** In the situation described in **(2)(b)** above, we will not pay the full amount of loss otherwise payable under the terms of **Coverages A, B** and/or **C** of this Coverage Extension. Instead, we will pay a proportion of such loss; meaning the proportion that the covered direct physical damage bears to the total direct physical damage.

However, if the covered direct physical damage, alone, would have resulted in a requirement to comply with the ordinance or law, then we will pay the full amount of loss otherwise payable under the terms of **Coverages A, B** and/or **C** of this Coverage Extension.

To the extent that the Ordinance Or Law Exclusion might conflict with the coverage provided under this endorsement, the Ordinance Or Law Exclusion does not apply to such coverage.

**s. Portable Tools**

We cover your portable tools and equipment and those of your employees. This includes their containers, spare parts and accessories. We also cover similar property that belongs to others and for which you are liable. Coverage is provided while tools are on or off premises.

We do not cover:

**(1)** Property that is held for sale.

**(2)** Property that you rent to others.

**(3)** Building materials or other materials and supplies.

**(4)** Plans, blueprints, designs or specifications.

We will pay in any one occurrence for loss or damage to portable tools, the Maximum Limit of Insurance shown in the Schedule, subject to the separate Maximum Limit of Insurance applicable to you or any employee. Coverage is provided on an Actual Cash Value basis.

If the Cause of Loss – Special Form applies, **Section C. Limitations** Paragraph **2.c.** is deleted and replaced by:

**c.** Builders' machinery provided such property is Covered Property. However, this limitation does not apply:

**(1)** If the property is located on or within 1,000 feet of the described premises, unless the premises is insured under the Builders Risk Coverage Form; or

**(2)** To Business Income Coverage or to Extra Expense Coverage.

The limit provided is the only limit available for the described coverage and cannot be combined or added to any other coverage extension under this endorsement.

**t. Spoilage**

We will pay for loss of or damage to "perishable stock" at the described premises. "Perishable stock" means personal property maintained under controlled conditions for its preservation and susceptible to loss or damage if the controlled conditions change. We will not cover property located on buildings, in the open, or in vehicles.

We will pay for loss or damage to "perishable stock" caused by breakdown or contamination or power outage. Breakdown or contamination means change in temperature or humidity resulting from mechanical breakdown or mechanical failure of refrigerating, cooling, or humidity control apparatus or equipment only while such equipment or apparatus is at the described premises. Breakdown or contamination includes contamination by the refrigerant. Power outage means change in temperature or humidity resulting from complete or partial interruption of electrical power, either on or off the described premises, due to conditions beyond your control.

We will not pay for loss or damage caused by or resulting from:

**(1)** The disconnection of any refrigerating, cooling, or humidity control system from the source of power.

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**(2)** The deactivation of electrical power caused by the manipulation of any switch or other devise used to control the flow of electrical power or current.

**(3)** The inability of an Electrical Utility Company or other power source to provide sufficient power due to:

**(a)** Lack of fuel; or

**(b)** Governmental order.

**(4)** The inability of a power source at the described premises to provide sufficient power due to lack of generating capacity to meet demand.

**(5)** Breaking of any glass that is a permanent part of any refrigerating, cooling, or humidity control unit.

The most we will pay for loss or damage under this Coverage Extension at each described premises is the Limit of Insurance shown in the Schedule.

**Section D. Deductible** does not apply to this Coverage Extension.

**u. Lock And Key Replacement**

We will pay to re-key, repair or replace locks when there has been direct physical loss or damage to the corresponding "keys" by a Covered Cause of Loss.

This coverage does not apply to:

**(1)** Keys to motor vehicles, trailers or any motorized land conveyances whether or not subject to motor vehicle registration.

**(2)** Direct physical loss or damage to keys entrusted to any person who is not an insured.

**(3)** Wear and tear.

"Keys" means master key, grand master key or key-card.

We will pay for direct physical loss or damage to alternative locking systems including card programmers, card readers, computers, related alarms, trans-receivers, power supplies, and electronic or mechanical apparatus required to make such locking systems operate. We will also pay for reprogramming such locking systems as a result of a Covered Cause of Loss.

The most we will pay under this Coverage Extension in any one occurrence is the Limit of Insurance shown in the Schedule.

**Section D. Deductible** does not apply to this Coverage Extension.

**v. Electronic Data Processing Equipment And Software**

You may extend the insurance that applies to Your Business Personal Property to apply to your electronic data processing equipment and "software".

We cover direct physical loss or damage caused by a Covered Cause Of Loss to the following property:

**(1)** "Hardware".

**(2)** "Software".

We cover the cost of research or other expenses necessary to reproduce, replace, or restore lost files or codes on lost or damaged "data records" only if the cost of research or other expenses necessary to reproduce, replace or restore lost files or codes are incurred due to a direct physical loss caused by a Covered Cause Of Loss to "data records".

**(3)** "Telecommunications equipment".

**(4)** "Reproduction equipment".

**Electrical and Power Supply Disturbance**

We cover direct physical loss to covered property caused by "electrical disturbance", or "power supply disturbance".

**Mechanical Breakdown Coverage**

We pay for loss to covered property caused by "mechanical breakdown".

**Foreign Transit And Location Coverage**

We cover direct physical loss to your "portable computers" including preinstalled "programs and applications" while temporarily at a foreign location or in transit to or from a temporary foreign location outside the coverage territory.

We do not cover your "portable computers" or preinstalled "programs or applications" that are:

**(a)** Shipped via mail;

**(b)** You are required to provide a negotiable ocean cargo policy or certificate to any seller, buyer, or bank; or

**(c)** The property is shipped to or is located in a country that is the subject of a trade embargo, economic sanctions, or other trade restrictions by the government of the United States of America.

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The most we pay for loss to portable computers described above in any one occurrence while overseas is $5,000. This limit is separate from, and not part of, the Electronic Data Processing Equipment And Software Coverage Extension Limit.

**Valuation**

**(1)** The value of "hardware" that is replaced will be based on the cost of replacing the "hardware" with new equipment that is functionally comparable to the "hardware" that is being replaced. The value of "hardware" that is not repaired or replaced will be based on the actual cash value at the time of the loss (with a deduction for depreciation). In no event will we pay more than the reasonable cost of restoring partially damaged "hardware" to its condition directly prior to the damage.

**(2)** The value of "programs and applications" will be based on the cost to reinstall the "programs or applications" from the licensed discs that were originally used to install the programs or applications. If the original licensed discs are lost, damaged, or can no longer be obtained, the value of "programs and applications" will be based on the cost of the most current version of the "programs or applications".

**(3)** The value of "data records" will be based on the cost of reproduction from duplicate copies. The cost of reproduction includes, but is not limited to, the cost of labor to copy or transcribe from duplicate copies. If duplicate copies do not exist, the value of "data records" will be based on the cost of research or other expenses necessary to reproduce, replace, or restore lost files, documents, or records.

**(4)** The value of "media" will be based on the cost to repair or replace the "media" with material of the same kind or quality.

**(5)** The value of "telecommunications equipment" and "reproduction equipment" will be based on the replacement cost without any deduction for depreciation.

The following **Definitions** apply to Electronic Data Processing Equipment Coverage in addition to the Building and Personal Property Coverage Form, Condominium Association Coverage Form and Condominium Commercial Unit Owners Coverage Form definitions:

**(1)** "Computer hacking" means an unauthorized intrusion:

**(a)** By an individual or group of individuals, whether employed by you or not, into "hardware", "software", or a computer network; and

**(b)** That results in but is not limited to:

**(i)** Deletion, destruction, generation, or modification of "software";

**(ii)** Alteration, contamination, corruption, degradation, or destruction of the integrity, quality, or performance of "software";

**(iii)** Observation, scanning, or copying of "data records", "programs and applications", and proprietary programs;

**(iv)** Damage, destruction, inadequacy, malfunction, degradation, or corruption of any "hardware", Web site server, or "media" used with "hardware" or Web site server, or

**(v)** Denial of access to or denial of services from your "hardware", Web site server or your computer network.

**(2)** "Computer virus" means the introduction of any malicious, self-replicating electronic data processing code or other code:

**(a)** Into "hardware", "software" or Web site server; and

**(b)** That is intended to result in, but is not limited to:

**(i)** Deletion, destruction, generation, or modification of "software";

**(ii)** Alteration, contamination, corruption, degradation or destruction of the integrity, quality or performance of "software";

**(iii)** Damage, destruction, inadequacy, malfunction, degradation or corruption of any "hardware", Web site server or "media" used with "hardware" or Web site server; or

**(iv)** Denial of access to or denial of services from your "hardware", Web site server or your computer network.

**(3)** "Data records" means files, documents, and information in an electronic format and that are stored on "media".

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**(4)** "Electrical disturbance" means electrical or magnetic damage, disturbance of electronic recordings or erasure of electronic recordings.

**(5)** "Hardware" means a network of electronic machine components (microprocessors) capable of accepting instructions and information, processing the information according to the instructions and producing desired results.

**(a)** "Hardware" includes but is not limited to:

**(i)** Personal computers and work stations:

**(ii)** Laptops, palmtops, notebook PCs, other portable computer devices and accessories including, but not limited to, multimedia projectors; and

**(iii)** Peripheral data processing equipment, including but not limited to, printers, keyboards, monitors and modems.

**(b)** "Hardware" does not include:

**(i)** "Software",

**(ii)** "Telecommunications equipment"; and

**(iii)** **"**Reproduction equipment".

**(6)** "Mechanical breakdown" means the malfunction or failure of moving or electronic parts, component failure, faulty installation or blowout.

**(7)** "Media" means processing, recording, or storage media used with "hardware". This includes but is not limited to films, tapes, cards, discs, drums, cartridges or cells.

**(8)** "Portable computers" means laptops, palmtops, notebook PCs, other portable computer devices and accessories including but not limited to, multimedia projectors.

**(9)** "Power supply disturbance" means interruption of power supply, power surge, blackout, or brownout.

**(10)** "Programs and applications" means operating programs and applications that you purchase and that are:

**(a)** Stored on "media"; or

**(b)** Pre-installed and stored in "hardware".

**(11)** "Reproduction equipment" means a network of equipment and software designed for the scanning, copying, storage, and retrieval of paper documents.

**(12)** "Software" means "media", "data records", "programs and applications". "Software" does not mean Web site software.

**(13)** "Telecommunications equipment" means telephone components and equipment used for the transmission of communications.

"Telecommunications equipment" includes but is not limited to:

**(a)** Telephone switchgear (including PBX systems);

**(b)** Telephone operating programs, related software;

**(c)** Facsimile transmission equipment;

**(d)** Video conferencing equipment; and

**(e)** Other related hardware (including computers dedicated to voice mail).

We do not pay for loss or damage that is caused by or results from any direct or indirect loss or damage; or loss of access, loss of use or loss of functionality caused by a "computer virus" or by "computer hacking".

The most we will pay for loss or damage under this Coverage Extension at each described premises is the Limit of Insurance shown in the Schedule.

**w. Water Back Up, Sump Pump Overflow**

**(1)** We will pay for direct physical loss or damage, not caused by your negligence, to covered Building and Business Personal Property caused by or resulting from:

**(a)** water or waterborne material which backs up through or overflows from a sewer or drain; or

**(b)** water or waterborne material which overflows or is otherwise discharged from a sump, sump pump or related equipment even if the overflow or discharge results from mechanical breakdown of a sump pump, or its related equipment.

The term drain includes a roof drain and related fixtures.

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**(2)** We will not pay for direct loss or damage caused by:

**(a)** Flood, surface water, waves (including tidal wave and tsunami), tides, tidal water, overflow of an body of water, or spray from any of these, all whether driven by wind (including storm surge);

**(b)** Mudslide or mudflow; or

**(c)** Water under the ground surface pressing on, or flowing or seeping through:

**(i)** Foundations, walls, floors or paved surfaces;

**(ii)** Basements, whether paved or not;

**(iii)** Doors, windows or other openings; or

**(d)** Waterborne material carried or otherwise moved by any of the water referred to in Paragraph **a.** or **c**., or material carried or otherwise moved by mudslide or mudflow.

But if any of the above, in Paragraphs **(a)** through **(d)**, results in fire, explosion or sprinkler leakage, we will pay for the loss or damaged caused by that fire, explosion or sprinkler leakage.

We will pay for business income loss and extra expense in accordance with the terms of the coverage applicable to such premises under your policy, when such loss or expense arises out of the direct physical loss or damage described in Paragraph **w.(1)**.

The most we will pay under this Coverage Extension for the total of all direct loss or damage and business income and/or extra expense occurring during the policy term is the Policy Limit of Insurance shown in the Schedule. This limit does not apply separately to each location.

The most we will pay under this Coverage Extension for the total of all direct physical loss or damage sustained and business income and/or extra expense caused by all occurrences in a 12-month period (starting with the beginning of the present annual policy period), regardless of the number of occurrences during that period of time, is the Policy Limit Of Insurance shown in the Schedule.

**Section D. Deductible** applies to this Coverage Extension.

**F.** Under **Section B. Exclusions and Limitations** the following changes apply to **Section B. Exclusions** of the applicable covered Causes of Loss Form:

**1.** Exclusion **1.e. Utility Services** is deleted and replaced by:

**e. Utility Services**

The failure of power, communication, water, or other utility service supplied to the described premises, however caused, if the failure:

**(1)** Originates away from the described premises: or

**(2)** Originates at the described premises, but only if such failure involves equipment used to supply the utility service to the described premises from a source away from the described premises.

Failure of any utility service includes lack of sufficient capacity and reduction in supply.

Loss or damage caused by a surge of power is also excluded, if the surge would not have occurred but for an event causing a failure of power.

But if the failure or surge of power, or the failure of communications, water or other utility service, results in a Covered Cause of Loss, we will pay for the loss or damage caused by that Covered Cause of Loss. We will also pay for loss or damage resulting from direct physical loss or damage by a covered cause of loss to water supply services, communication supply services, or power supply services, other than overhead transmission, subtransmission, distribution or communication lines not on the described premises.

Communication services include but are not limited to service relating to Internet access or access to any electronic, cellular or satellite network.

For purposes of this provision:

**(1)** Water Supply Services, meaning the following types of property supplying water to the described premises:

**(a)** Pumping stations; and

**(b)** Water mains.

**(2)** Communication Supply Services**,** meaning property supplying communication services, including telephone, radio, microwave or television services, to the described premises, such as:

**(a)** Communication transmission lines, including optic fiber transmission lines;

**(b)** Coaxial cables; and

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**(c)** Microwave radio relays except satellites.

**(3)** Power Supply Services, meaning the following types of property supplying electricity, steam or gas to the described premises:

**(a)** Utility generating plants;

**(b)** Switching stations;

**(c)** Substations;

**(d)** Transformers; and

**(e)** Transmission lines.

Transmission lines includes all lines which serve to transmit communication service or power, including lines which may be identified as distribution lines.

The insurance provided by this coverage does not increase **Section C. Limits of Insurance.**

**Section D. Deductible** applies to this coverage.

**2.** Exclusion **1.g.(3)** does not apply to loss of or damage to Accounts Receivable, Fine Arts and Valuable Papers.

**3.** Exclusion **1.g.(4)** does not apply to loss of or damage to Accounts Receivable, Fine Arts and Valuable Papers.

**4.** If The Causes of Loss – Basic Form is attached, exclusions **2.b., 2.c.** and **2.d.** do not apply to loss of or damage to Accounts Receivable, Fine Arts and Valuable Papers.

**5.** If the Causes of Loss – Broad Form is attached, exclusion **2.b.** does not apply to loss of or damage to Accounts Receivable, Fine Arts and Valuable Papers.

**6.** If the Causes of Loss – Special Form is attached, exclusions **2.e., 2.f.** and **2.g.** do not apply to loss of or damage to Accounts Receivable, Fine Arts and Valuable Papers.

**G.** Under **Section C. LIMITS OF INSURANCE:**

The following is added:

**Peak Season**

You may increase the insurance that applies to Your Business Personal Property or Stock by the percentage shown in the Schedule to provide for seasonal variations if the Limit Of Insurance shown in the Declarations is 80% or more of the insured's average monthly values for the 12 months immediately preceding the date of loss or damage occurs, or the period of time you have been in business as of the date of the loss or damage occurs.

This section does not apply to property covered under a value reporting form or on a blanket basis.

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**THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.**

# EQUIPMENT BREAKDOWN COVERAGE ENDORSEMENT (INCLUDING ELECTRONIC CIRCUITRY IMPAIRMENT)

This endorsement modifies insurance provided under the following:

BUILDING AND PERSONAL PROPERTY COVERAGE FORM
CONDOMINIUM ASSOCIATION COVERAGE FORM
CONDOMINIUM COMMERCIAL UNIT-OWNERS COVERAGE FORM
CAUSES OF LOSS – BASIC FORM
CAUSES OF LOSS – BROAD FORM
CAUSES OF LOSS – SPECIAL FORM

**EQUIPMENT BREAKDOWN COVERAGE SCHEDULE**

| **Coverage** | **Limit** |
|---|---|
| Spoilage and Consequential Damage Limit | $50,000 |
| Refrigerant Contamination – Coverage Options (check one) | |
| | X Included in Spoilage and Consequential Damage Limit |
| | $ |
| **Deductibles** | |
| Combined, All Coverages | $ |
| Direct Coverages | $ (*other conditions, if required, will be shown below) |
| Indirect Coverages | $ |
| | or hours (*other conditions, if required, will be shown below) |
| | or Times Average Daily Value |
| Spoilage and Consequential Damage | $ |
| | or % of loss, $ minimum |
| **Other Conditions** | |
| | |

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## PART I – EQUIPMENT BREAKDOWN COVERAGE

**A.** The following is added to **A.4. Additional Coverages** of the **Building And Personal Property Coverage Form, Condominium Association Coverage Form** and **Condominium Commercial Unit-Owners Coverage Form:**

**Additional Coverage – Equipment Breakdown**

Additional Coverage Equipment Breakdown as described and limited below. Without an "accident" or "electronic circuitry impairment", there is no Equipment Breakdown Coverage.

**1.** We will pay for direct physical damage to Covered Property that is the direct result of an "accident" or "electronic circuitry impairment". We will consider "electronic circuitry impairment" to be physical damage to "covered equipment".

**2.** The following coverages also apply to the direct result of an "accident" or "electronic circuitry impairment", unless otherwise shown in the "Schedule". These coverages do not provide additional amounts of insurance.

**a. Business Income and Extra Expense**

**(1)** Any insurance provided under the coverage part for Business Income or Extra Expense is extended to the coverage provided by this endorsement. However, if a deductible is shown in the "schedule" above, then with respect to this endorsement only, the "period of restoration" will begin immediately after the "accident" or "electronic circuitry impairment" and the deductible shown in the "schedule" will apply.

**(2)** The most we will pay under this Business Income and Extra Expense coverage is the applicable limit for Business Income and Extra Expense.

**b. Data Restoration**

**(1)** We will pay for your reasonable and necessary cost to research, replace and restore lost "data".

**(2)** The most we will pay under this Data Restoration coverage is $25,000. This amount includes the actual loss of Business Income you sustain and necessary Extra Expense you incur, if shown as covered.

**c. Expediting Expenses**

**(1)** With respect to your damaged Covered Property, we will pay the reasonable and necessary extra cost to:

**(a)** Make temporary repairs; and

**(b)** Expedite permanent repairs or replacement.

**(2)** The most we will pay under this Expediting Expenses coverage is $25,000.

**d. Future Loss Avoidance**

**(1)** This coverage only applies if you have received payment under this Equipment Breakdown Coverage for an "accident" or "electronic circuitry impairment" that occurred on the premises of a covered location.

**(2)** We will pay your costs to purchase and install protective equipment at the location of the loss as follows:

**(a)** Electrical surge protection or single-phase protective equipment; or

**(b)** Other protective equipment if we agree that such equipment would reasonably reduce the likelihood of a future "accident" or "electronic circuitry impairment" similar to the one for which you have received payment from us. We will not unreasonably withhold such agreement.

**(3)** As used in this coverage, protective equipment means a permanently installed physical device with the principal function of safeguarding one or more pieces of "covered equipment" from physical damage.

**(4)** We must receive your invoices for any purchase and installation costs no later than 180 days after the date you receive the payment for the loss from us.

**(5)** With respect to any "one equipment breakdown", the most we will pay is the lesser of the following:

**(a)** 10% of our Eligible Payment to you prior to any payment under this Future Loss Avoidance coverage; or

**(b)** $10,000.

**(6)** As used in this coverage, Eligible Payment means our total payment to you not including the following:

**(a)** Any deductible or coinsurance amount; or

**(b)** Any payment made after this policy has been cancelled or non-renewed.

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**e. Green**

**(1)** With respect to Covered Property, we will pay your additional cost to:

**(a)** Repair damaged property using equipment, materials and service firms required or recommended by a "recognized environmental standards program", if repair is the least expensive option;

**(b)** Replace damaged property using equipment, materials and service firms required or recommended by a "recognized environmental standards program", if replacement is the least expensive option;

**(c)** Dispose of damaged property or equipment, if practicable, through a recycling process; and

**(d)** Flush out reconstructed space with up to 100% outside air using new filtration media.

**(2)** With respect to any building that is Covered Property and was, at the time of the "accident" or "electronic circuitry impairment" certified by a "recognized environmental standards program", we will pay your additional cost:

**(a)** To prevent a lapse of such certification;

**(b)** To reinstate the certification or replace it with an equivalent certification;

**(c)** For an engineer authorized by a "recognized environmental standards program" to oversee the repair or replacement of the damaged Covered Property; and

**(d)** For a Professional Engineer to commission or recommission your damaged mechanical, electrical or electronic building systems.

**(3)** As used in this coverage, additional costs mean those beyond what would have been payable under this Equipment Breakdown Coverage in the absence of this Green coverage.

**(4)** This Green coverage is subject to the following provisions:

**(a)** This coverage applies in addition to any coverage that may apply under the Environmental, Safety and Efficiency Improvements condition of this endorsement or any other applicable coverage.

**(b)** This coverage only applies to Covered Property that must be repaired or replaced as a direct result of an "accident" or "electronic circuitry impairment".

**(c)** This coverage does not apply to any Covered Property to which "actual cash value" applies.

**(5)** The most we will pay under this Green coverage is $25,000. This amount includes the actual loss of Business Income you sustain and necessary Extra Expense you incur, if shown as covered.

**f. Hazardous Substances**

**(1)** We will pay your additional cost to repair or replace Covered Property because of contamination by a "hazardous substance". This includes the additional expenses to clean up or dispose of such property. As used in this coverage, additional costs mean those beyond what would have been payable under this Equipment Breakdown Coverage had no "hazardous substance" been involved.

**(2)** This coverage does not apply to testing, clean up or disposal of land, water or any other property that is not Covered Property.

**(3)** This does not include contamination of "perishable goods" by refrigerant, including, but not limited to, ammonia, which is addressed in Refrigerant Contamination, 2.n.(2) below.

**(4)** The most we will pay under this Hazardous Substances coverage is $25,000. This amount includes the actual loss of Business Income you sustain and necessary Extra Expense you incur, if shown as covered.

**g. Mobile Robots**

**(1)** We will pay for physical damage to Covered Property from an "accident" or "electronic circuitry impairment" when the "covered equipment" is a "mobile robot".

**(2)** The most we will pay under this Mobile Robots coverage is $50,000. This amount includes Spoilage and Consequential Damage, Data Restoration, and the actual loss of Business Income you sustain and necessary Extra Expense you incur, if shown as covered.

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**h. Mold**

**(1)** We will pay for the additional cost to repair or replace Covered Property because of contamination by mold, fungus, mildew or yeast, including any spores or toxins created or produced by or emanating from such mold, fungus, mildew or yeast, resulting from an "accident" or "electronic circuitry impairment". This includes the additional costs to clean up or dispose of such property. This does not include "spoilage and consequential damage" of personal property that is "perishable goods" to the extent that such "spoilage and consequential damage" is covered under Spoilage and Consequential Damage coverage.

**(2)** As used in this coverage, additional costs mean those beyond what would have been payable under this Equipment Breakdown Coverage had no mold, fungus, mildew, yeast, spores or toxins been involved.

**(3)** We will also pay the cost of testing performed after repair or replacement of the damaged Covered Property is completed only to the extent that there is a reason to believe there is the presence of mold, fungus, mildew, yeast, spores or toxins.

**(4)** This coverage does not apply to lawns, trees, shrubs, or plants which are part of a vegetated roof.

**(5)** As described in **B.1.b.** below, the most we will pay under this Mold coverage is $15,000. This amount includes the actual loss of Business Income you sustain and necessary Extra Expense you incur, if shown as covered.

**i. Off Premises Equipment Breakdown**

**(1)** We will pay for physical damage to portable "covered equipment" that, at the time of the "accident" or "electronic circuitry impairment", is not at a covered location.

**(2)** We will also pay for your reasonable and necessary cost to research, replace and restore lost "data" contained within portable "covered equipment" as described in **(1)** above. This amount may not exceed the limit applicable to Data Restoration coverage.

**(3)** With respect to this Off Premises Equipment Breakdown coverage only, the "accident" or "electronic circuitry impairment" may occur anywhere in the world except within any country on which the United States has imposed sanctions, embargoes or similar restrictions on the provision of insurance.

**(4)** The most we will pay under this Off Premises Equipment Breakdown coverage is the Property Off Premises limit shown in your policy. Our payment under this coverage includes:

**(a)** The actual loss of Business Income you sustain and necessary Extra Expense you incur, if shown as covered; and

**(b)** Data Restoration as described in (2) above.

**j. Public Relations**

**(1)** This coverage only applies if you have sustained an actual loss of Business Income covered under this endorsement.

**(2)** We will pay for your reasonable costs for professional services to create and disseminate communications, when the need for such communications arises directly from the interruption of your business. This communication must be directed to one or more of the following:

**(a)** The media;

**(b)** The public; or

**(c)** Your customers, clients or members.

**(3)** Such costs must be incurred during the "period of restoration" or up to 30 days after the "period of restoration" has ended.

**(4)** The most we will pay under this Public Relations coverage is $25,000.

**k. Resultant Damage to Animals**

**(1)** Any insurance provided under the coverage part to which this Equipment Breakdown Coverage endorsement is attached for "animals' is extended to the coverage provided by this endorsement.

**(2)** The most we will pay under this Resultant Damage to Animals coverage is $25,000. This amount includes the actual loss of Business Income and necessary Extra Expense you incur, if shown as covered.

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**l. Resultant Loss from a Cyber Event**

Coverage is extended to an "accident or "electronic circuitry impairment" caused by or resulting from a "cyber event" that causes direct physical damage to "covered equipment" at a covered location.

**m. Service Interruption**

**(1)** Any insurance provided for Business Income, Extra Expense, Data Restoration or Spoilage and Consequential Damage is extended to apply to your loss, damage or expense caused by a failure or disruption of service. The failure or disruption of service must be caused by an "accident" or "electronic circuitry impairment" to equipment, including overhead transmission lines, that is owned by a utility, landlord, a landlord's utility or other supplier who provides you with any of the following services: electrical power, waste disposal, air conditioning, refrigeration, heating, natural gas, compressed air, water, steam, Internet access, telecommunications service, "cloud or outsourced computing services", wide area networks, data transmission, elevator services or Equipment as a Service. The equipment must meet the definition of "covered equipment" except that it is not Covered Property. As used in this coverage, Equipment as a Service means any service that you pay for on a usage basis when the service is provided to you by equipment that is located on your premises that is neither owned, leased or operated by you.

**(2)** "Cloud or outsourced computing services" must be provided by a professional provider with whom you have a contract. With respect to this Service Interruption coverage only, the "accident" or "electronic circuitry impairment" to the equipment of a provider of "cloud or outsourced computing services" may occur anywhere in the world except within any country on which the United States has imposed sanctions, embargoes or similar restrictions on the provision of insurance.

**(3)** With respect to the Data Restoration portion of this Service Interruption coverage, coverage will also apply to "data" stored in the equipment of a provider of "cloud or outsourced computing services".

**(4)** Service Interruption coverage will not apply unless the failure or disruption of service exceeds 24 hours immediately following the "accident" or "electronic circuitry impairment". If the interruption exceeds 24 hours, coverage will begin at the time of the interruption, and the applicable deductible will apply.

**(5)** The most we will pay in any "one equipment breakdown" under this Service Interruption coverage is the applicable limit for Business Income, Extra Expense, Data Restoration or Spoilage and Consequential Damage.

**n. Spoilage and Consequential Damage**

**(1)** We will pay for "physical damage to "perishable goods" due to "spoilage and consequential damage".

**(2)** Refrigerant Contamination

We will also pay for physical damage to "perishable goods" due to contamination from the release of refrigerant, including but not limited to ammonia. If a separate limit is indicated for Refrigerant Contamination, this amount is part of, and not in addition to, your Spoilage and Consequential Damage limit.

**(3)** We will also pay any necessary expenses you incur to reduce the amount of loss under this Spoilage and Consequential Damage coverage. However, we will not pay more than the amount that would otherwise have been payable under this Spoilage and Consequential Damage coverage.

**(4)** The most we will pay under this Spoilage and Consequential Damage coverage is $50,000, unless otherwise shown in the "schedule".

**3. Equipment Breakdown Exclusions**

All exclusions in the applicable Causes of Loss form apply except as modified below and to the extent that coverage is specifically provided by this endorsement. Exclusions listed in this endorsement apply regardless of cause.

If any cyber incident exclusion is made a part of this policy, such exclusion will not apply to the extent coverage is provided in **A.2.1**. Resultant Loss From a Cyber Event.

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**a.** With respect to coverage under this endorsement, the following exclusions are modified:

**(1)** If the Causes of Loss – Basic Form or Causes of Loss – Broad Form applies, the following is added to Exclusion **B.2**.:

Wear and tear, corrosion, depletion, deterioration, erosion, settling, or other gradually developing conditions. However, if an "accident" or "electronic circuitry impairment" results, we will pay for the resulting loss, damage or expense caused by that "accident" or "electronic circuitry impairment".

**(2)** If the Causes of Loss – Special Form applies, with respect to this endorsement only, the last paragraph of Exclusion **B.2.d.** is deleted and replaced with the following:

But if a cause of loss that is excluded and listed in **B.2.d.(1)** through **(7)** results in an "accident" or "electronic circuitry impairment", we will pay for the resulting loss, damage or expense caused by that "accident" or "electronic circuitry impairment".

**b.** With respect to coverage under this endorsement, the following exclusions are added:

**(1)** We will not pay for loss, damage or expense caused by any of the following causes of loss, whether directly or indirectly. This exclusion applies even if the excluded cause of loss was the result of an "accident" or "electronic circuitry impairment":

**(a)** Fire, including smoke from a fire.

**(b)** Explosion of gas or unconsumed fuel within the furnace of any boiler or fired vessel or within the passages from that furnace to the atmosphere.

**(c)** Any other explosion, except as specifically covered under this endorsement.

**(d)** Any earth movement. This includes, but is not limited to, earthquake, earth sinking, landslide, sinkhole collapse, subsidence, tsunami or volcanic action.

**(e)** Flood; surface water, waves, tides, tidal waves, overflow of any body of water, storm surge, or their spray, all whether driven by wind or not; mudslide or mudflow; or water that discharges, backs up or overflows from a sewer, drain or sump. However, if electrical "covered equipment" requires drying out because of the above, we will pay for the amount you actually expend to dry out such equipment, subject to the applicable Limit of Insurance and deductible for Building or Business Personal Property, whichever applies. We will not pay more than the "actual cash value" of the affected electrical "covered equipment". We will not pay to replace such equipment or for any other direct or indirect loss, damage or expense**.**

**(f)** Vandalism, meaning a malicious act that causes damage or destruction. However, this exclusion does not apply to a "cyber event" to the extent coverage is provided in **A.2.1.** (Resultant Loss from a Cyber Event coverage).

**(g)** Any "cyber event", except as specifically provided in **A.2.1.** (Resultant Loss from a Cyber Event coverage).

**(h)** Your failure to use all reasonable means to protect Covered Property from damage following an "accident" or "electronic circuitry impairment".

**(i)** Freeze caused by cold weather, except as specifically provided under **A.2.n.** Spoilage and Consequential Damage coverage.

**(j)** Discharge of molten material from equipment, including the heat from such discharged material.

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**(2)** We will not pay for loss, damage or expense caused directly or indirectly by any condition or event listed in (a) through (e) below, without regard to whether such condition or event is normal and expected or unusual and unexpected. However, if a condition or event that is listed in (a) through (e) below results in an "accident" or "electronic circuitry impairment" and no other exclusion applies, we will pay only for the loss, damage or expense that is a direct result of and solely attributable to the "accident" or "electronic circuitry impairment".

**(a)** Any defect, error or shortcoming in design or installation;

**(b)** Any undercapacity, underperformance, failure to perform as expected or failure to perform as designed;

**(c)** Any defect, programming error, programming limitation, loss of "data", loss of access, loss of use, loss of functionality or other condition within or involving "data" or "media" of any kind;

**(d)** Contamination by a "hazardous substance";

**(e)** Any condition, including, but not limited to, misalignment, miscalibration or tripping off-line, which can be corrected by:

**(i)** Resetting, tightening, adjusting or cleaning;

**(ii)** Normal maintenance, including, but not limited, to replacing expendable parts, recharging batteries or cleaning;

**(iii)** Rebooting, reloading or updating software or firmware; or

**(iv)** Providing necessary power or supply.

**(3)** We will not pay for an "accident" or "electronic circuitry impairment" caused by or resulting from any of the following causes of loss:

**(a)** Lightning.

**(b)** Windstorm or hail. However, this exclusion does not apply when:

**(i)** "Covered equipment" located within a structure or building suffers an "accident" or "electronic circuitry impairment" that results from wind-blown dust, rain, sand or snow and

**(ii)** The structure or building did not first sustain wind or hail damage to its roof or walls through which the dust, rain, sand or snow entered.

**(c)** Collision or any physical contact caused by or involving a "vehicle" or "mobile robot".

**(d)** Smoke; riot or civil commotion; sprinkler leakage or elevator collision.

**(e)** Weight of snow, ice or sleet.

**(f)** Collapse.

**(g)** Falling objects. However, this exclusion does not apply to:

**(i)** Property located outside the walls of a structure or building; or

**(ii)** Loss or damage to property located within a structure or building, unless a falling object first damages the roof or exterior wall of the structure or building.

**(h)** A hydrostatic, pneumatic or gas pressure test of any boiler or pressure vessel, or an electrical insulation breakdown test of any type of electrical equipment.

**(i)** Any means, whether or not successful, intended to extinguish a fire. This includes, but is not limited to, the spraying of water.

**(4)** With respect to Business Income, Extra Expense and Service Interruption coverages, we will also not pay for:

**(a)** Loss caused by your failure to use due diligence and dispatch and any and all reasonable means to resume business; or

**(b)** Any increase in loss resulting from an agreement between you and your customer, supplier or contractor.

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**(5)** Except as specifically provided under **A.2.h.** Mold coverage, we will not pay for loss, damage or expense caused directly or indirectly by the following, whether or not caused by or resulting from an "accident" or "electronic circuitry impairment": Any mold, fungus, mildew or yeast, including any spores or toxins created or produced by or emanating from such mold, fungus, mildew or yeast. This includes, but is not limited to, costs arising from clean-up, remediation, containment, removal, or abatement of such mold, fungus, mildew, yeast, spores or toxins. However, this exclusion does not apply to "spoilage and consequential damage" of personal property that is "perishable goods", to the extent that such "spoilage and consequential damage" is covered under Spoilage and Consequential Damage coverage.

**(6)** Except as specifically provided under **A.2.b. Data Restoration** or **A.2.k. Resultant Damage to Animals**, we will not pay for loss, damage or expense caused directly or indirectly by the following, whether or not caused by or resulting from an "accident" or "electronic circuitry impairment":

**(a)** Physical loss or damage to "animals";

**(b)** Loss, interruption or compromise of any research, test or study involving "animals"; or

**(c)** Loss of income or extra expense resulting from **(a)** or **(b)** above.

**(7)** We will not pay for loss or damage to any of the following, whether or not caused by an "accident" or "electronic circuitry impairment"

**(a)** Catalysts or molecular sieves;

**(b)** Artifacts, fossils, relics or any rare items of cultural, historical or scientific interest; or

**(c)** Biological samples or materials, including, but not limited to, organs, tissues or blood.

**(8)** We will not pay for "spoilage and consequential damage" to any "perishable goods" with respect to Off Premises Equipment Breakdown coverage.

**(9)** With respect to Off Premises Equipment Breakdown and Service Interruption coverage provided by this endorsement, and any Dependent Properties or Civil Authority coverages provided by the policy, we will not pay for any direct or indirect loss, damage or expense caused by or resulting from a "cyber event".

**c.** Exclusions **b.(3)(a**) through **(g)** above do not apply if:

**(1)** The excluded cause of loss occurs away from any covered location and causes an electrical surge or other electrical disturbance.

**(2)** Such surge or disturbance is transmitted through utility service transmission lines to the covered location and results in an "accident" or "electronic circuitry impairment"; and

**(3)** The loss, damage or expense caused by such surge or disturbance is not covered elsewhere under the policy.

**d.** Any cause of loss set forth in exclusion **b.(3)(e)** through **(g)** above that is not a Covered Cause of Loss in this coverage part will be excluded only as respects Service Interruption coverage.

**4. Equipment Breakdown Definitions**

The following definitions are added with respect to this endorsement only:

**a.** "Accident" means a fortuitous event that causes direct physical damage to "covered equipment". The event must be one of the following:

**(1)** Mechanical breakdown, including physical damage caused by centrifugal force. As used in this definition, Mechanical Breakdown means an occurrence involving one or more moving parts of machinery that causes such machinery to operate improperly or to cease operating.

**(2)** Artificially generated electrical current, including electrical arcing that damages electrical devices, appliances or wires;

**(3)** Explosion, other than combustion explosion, of steam boilers, steam engines, steam piping or steam turbines.

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**(4)** Sudden physical damage not otherwise excluded occurring inside:

**(a)** Steam boilers, steam engines, steam piping or steam turbines; or

**(b)** Hot water boilers or other equipment used to heat water.

**(5)** Bursting, cracking or splitting. However, this does not include any bursting, cracking or splitting associated with an explosion, unless such explosion is an "accident" as defined in (3) above.

**b.** "Actual cash value" means the replacement cost for parts, equipment or other property, less Depreciation. However, the "actual cash value" will not be less than 25% of the actual replacement cost.

As used in this definition, Depreciation means the ratio of the age of the property at the time of loss to its expected useful life.

Depreciation will not be applied to labor or other costs necessary to complete the repair or replacement.

**c.** "Animal" means any creature of the kingdom Animalia. This includes, but is not limited to amphibians, birds, fish, insects, mammals, reptiles, and worms.

**d.** "Boilers and vessels" means:

**(1)** Boilers;

**(2)** Piping, valves or fittings that:

**(a)** Convey steam; or

**(b)** Are part of a closed loop system connected to a boiler.

**(3)** Condensate tanks; and

**(4)** Fired or unfired vessels which, during normal usage, operate under vacuum or pressure, other than the weight of contents.

This term does not appear elsewhere in this endorsement, but may appear in the "schedule".

**e.** "Building Utilities" means "covered equipment" permanently mounted on or in a building and used to provide any of the following services with the building: heating, ventilating, air conditioning, electrical power, hot water, elevator or escalator services, central vacuum, natural gas service or communications.

"Building utilities" does not include personal property or equipment used in manufacturing or processing.

**f.** "Buried vessels or piping"

**(1)** "Buried vessels or piping" means any piping, valve, fitting or vessel that is buried or encased in the earth, concrete or other material, whether above or below grade, or in an enclosure which does not allow access for inspection and repair. Such equipment will be considered "buried vessels or piping" if any portion is buried or encased, whether or not the entire piece of equipment is buried or encased and whether or not the equipment is connected to other equipment that is not buried or encased.

**(2)** None of the following are "buried vessels or piping":

**(a)** Any piping, valve, fitting, or vessel within a building. However, such equipment will not be considered within a building if it is partly or entirely beneath the building's foundation.

**(b)** Any piping, valve, fitting, or vessel within a tunnel through which people can pass and that connects two or more buildings.

**(c)** Any piping, valve or fitting that is part of a closed loop geothermal system.

**(d)** A pressure vessel used as the cylinder of a hydraulic elevator.

**g.** "Cloud or outsourced computing services" means professional, on-demand, self-service data storage or data processing services provided through the Internet or over telecommunications lines. This includes services known as IaaS (infrastructure as a service), PaaS (platform as a service), SaaS (software as a service) and NaaS (network as a service). This includes business models known as public clouds, community clouds and hybrid clouds. "Cloud or outsourced computing services" include private clouds if such services are owned and operated by a third party.

**h.** "Covered equipment"

**(1)** Unless otherwise shown in the "schedule", "covered equipment means, Covered Property:

**(a)** That generates, transmits or utilizes energy; or

**(b)** Which, during normal usage, operates under vacuum or pressure, other than the weight of its contents.

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"Covered equipment" may utilize conventional design and technology or new or newly commercialized design and technology.

**(2)** Except as specifically provided for under A.2.m. Service Interruption and A.2.n (part of Spoilage and Consequential Damage coverage), such equipment must be owned or leased by you, or operated under your control.

**(3)** None of the following is "covered equipment":

**(a)** Structures, including, but not limited to, the structural portions of buildings, towers or scaffolding.

**(b)** Foundations.

**(c)** Cabinets, compartments, conduits or ductwork.

**(d)** Insulating or refractory materials or glass linings.

**(e)** Dies, patterns or forms.

**(f)** "Buried vessels or piping".

**(g)** Waste drainage or sewer piping.

**(h)** Piping, valves or fittings forming a part of a sprinkler or fire suppression system;

**(i)** Piping, valves or fittings used to convey water. However, the following is "covered equipment":

**(i)** Piping, valves or fittings that are part of a closed loop connected to a boiler or a refrigeration or air conditioning system; and

**(ii)** Valve actuators

**(j)** "Vehicle" or any equipment mounted on a "vehicle".

**(k)** Satellites, spacecraft or any equipment mounted on a satellite or spacecraft;

**(l)** Draglines, excavation or construction equipment.

**(m)** Equipment manufactured by you for sale.

**(n)** Equipment of others that you modify, maintain or test as a professional service.

**(o)** "Data".

**i.** "Cyber event" means a hostile, illegal or transgressive act committed through electronic systems. This includes, but is not limited to, hacking, a denial of service attack or the deployment of malware. However, this does not include any such act committed as an act of war, whether or not officially declared.

**j.** "Data" means information or instructions stored in digital code capable of being processed by machinery.

**k.** "Electrical distribution equipment"

**(1)** "Electrical distribution equipment" means the following "covered equipment" when used to distribute electricity to connected equipment:

**(a)** Electrical wires, cables, busbars and busways;

**(b)** Electrical connectors, breakers, fuses, switches and motor control centers;

**(c)** Electrical usage monitors and power quality devices; and

**(d)** Electrical transformers.

**(2)** None of the following is "electrical distribution equipment": equipment that is part of or within a machine or apparatus, if such machine or apparatus is serving a function other than the distribution of electricity.

This term does not appear elsewhere in this endorsement, but may appear in the "schedule".

**l.** "Electrical distribution equipment other than transformers"

**(1)** "Electrical distribution equipment other than transformers" means the following "covered equipment" when used to distribute electricity to connected equipment:

**(a)** Electrical wires, cables, busbars and busways;

**(b)** Electrical connectors, breakers, fuses, switches and motor control centers; and

**(c)** Electrical usage monitors and power quality devices.

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**(2)** None of the following is "electrical distribution equipment other than transformers":

**(a)** Equipment that is part of or within a machine or apparatus, if such machine or apparatus is serving a function other than the distribution of electricity; or

**(b)** Electrical transformers.

This term does not appear elsewhere in this endorsement, but may appear in the "schedule".

**m.** "Electrical generating equipment"

**(1)** "Electrical generating equipment" means equipment which converts any other form of energy into electricity. This includes, but is not limited to, the following:

**(a)** Boilers used primarily to provide steam for one or more turbine-generator units;

**(b)** Turbine-generators (including steam, gas, water or wind turbines)

**(c)** Engine-generators;

**(d)** Fuel cells or other alternative electrical generating equipment;

**(e)** Electrical transformers, switchgear and power lines used to convey the generated electricity; and

**(f)** Associated equipment necessary for the operation of any of the equipment listed in (a) through (e) above.

**(2)** None of the following is "Electrical generating equipment":

**(a)** Elevator or hoist motors that generate electricity when releasing cable; or

**(b)** Equipment intended to generate electricity solely on an emergency, back-up basis.

This term does not appear elsewhere in this endorsement, but may appear in the "schedule".

**n.** "Electronic circuitry impairment"

**(1)** "Electronic circuitry impairment" means a fortuitous event involving "Electronic Circuitry" within "covered equipment" that causes the "covered equipment" to suddenly lose its ability to function as it had been functioning immediately before such event. This definition is subject to the conditions specified in **(2)** and **(3)** below.

**(2)** We will determine that the reasonable and appropriate remedy to restore such "covered equipment's" ability to function is the replacement of one or more "Electronic Circuitry" components of the "covered equipment".

**(3)** None of the following is an "electronic circuitry impairment":

**(a)** Any condition caused by or related to:

**(i)** Incompatibility of the "covered equipment" with any software or equipment installed, introduced or networked within the prior 30 days; or

**(ii)** Insufficient size, capability or capacity of the "covered equipment".

**(b)** Exposure to adverse environmental conditions, including, but not limited to, change in temperature or humidity, unless such conditions result in an observable loss of functionality. Loss of warranty will not be considered an observable loss of functionality.

**(4)** As used in this definition, Electronic Circuitry means microelectronic components, including, but not limited to, circuit boards, integrated circuits, computer chips and disk drives.

**o.** "Excavation costs"

**(1)** "Excavation costs" means the additional cost to repair or replace Covered Property because of the need to dig a hole, trench or tunnel. This includes the costs to dig and refill the hole, trench or tunnel. This also includes the costs to repair damage to roads, walkways, landscaping or other property caused by such excavation.

**(2)** "Excavation costs" include the actual loss of Business Income you sustain and necessary Extra Expense you incur, if shown as covered.

This term does not appear elsewhere in this endorsement, but may appear in the "schedule".

**p.** "Hazardous substance" means any substance that is dangerous or harmful to health or has been declared by a governmental agency to be dangerous or harmful to health.

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**q.** "Media" means material on which "data" is recorded, such as flash drives, hard disks, magnetic tapes, optical disks, or solid-state drives.

**r.** "Medical equipment" means the following equipment when used for any medical specialty, including veterinary services:

**(1)** "Medical imaging equipment";

**(2)** Laboratory or therapeutic equipment; and

**(3)** Any other equipment used to;

**(a)** Cure, diagnose, mitigate, monitor, prevent or treat disease; or

**(b)** Affect the structure or appearance of the body.

This term does not appear elsewhere in this endorsement, but may appear in the "schedule".

**s.** "Medical imaging equipment" means scanning or imaging equipment used to diagnose or monitor disease or other conditions. This includes, but is not limited to, CT, MRI, PET, ultrasound and x-ray devices. This includes such equipment used for all medical specialties, including veterinary services.

This term does not appear elsewhere in this endorsement, but may appear in the "schedule".

**t.** "Mobile Robot"

**(1)** "Mobile robot" means "covered equipment" that is:

**(a)** Able to move about under its own power; and

**(b)** Used solely within a structure or building.

**(2)** "Mobile robot" does not mean any equipment that is

**(a)** Directed or steered by a human driver who is on or in such equipment;

**(b)** Used to transport people;

**(c)** Used in or under water or other liquid;

**(d)** Used within tanks or piping; or

**(e)** A drone or other airborne device.

**u.** "One equipment breakdown" means all "accidents" and "electronic circuitry impairments" occurring at the same time from the same event. If an "accident" or "electronic circuitry impairment" causes other "accidents" or "electronic circuitry impairments" all will be considered "one equipment breakdown".

**v.** "Perishable goods" means any Covered Property that is personal property, other than "animals", subject to deterioration or impairment as a result of a change in conditions, including, but not limited to temperature, humidity or pressure.

**w.** "Production machinery" means any machine or apparatus that processes or produces a product intended for eventual sale. This includes all component parts of such machine or apparatus and any other equipment used exclusively with such machine or apparatus. However, "production machinery" does not mean any boiler, or fired or unfired pressure vessel.

This term does not appear elsewhere in this endorsement, but may appear in the schedule.

**x.** "Recognized environmental standards program" means one of the following:

**(1)** The United States Environmental Protection Agency ENERGY STAR® program;

**(2)** The U.S. Green Building Council LEED® program;

**(3)** The Green Building Initiative GREEN GLOBES® program; or

**(4)** Any nationally or internationally recognized environmental standards program designed to achieve energy savings and related objectives of the type included in the programs listed above.

**y.** "Schedule" means the Equipment Breakdown Coverage Schedule.

**z.** "Spoilage and consequential damage" means any detrimental change in physical state. This includes, but is not limited to:

**(1)** Thawing of frozen goods;

**(2)** Warming of refrigerated goods;

**(3)** Freezing of fresh goods;

**(4)** Solidification of liquid or molten material; and

**(5)** Chemical reactions to material in process.

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**aa.** "Vehicle"

**(1)** "Vehicle" means, with respect to this endorsement only, any machine or apparatus that is used for transportation or is able to move about under its own power, even if it is solely used within a structure or building. "Vehicle" includes, but is not limited to, any car, truck, bus, trailer, train, aircraft, drone, watercraft, forklift, bulldozer, tractor or harvester.

**(2)** None of the following is a "vehicle":

**(a)** Any property at a covered location that, for at least 24 consecutive hours has been stationary, installed and receiving electrical power from a power source that is external to such property. However, a battery-propelled machine or apparatus that requires periodic recharging is considered a "vehicle" and not subject to this exception.

**(b)** Any "mobile robot".

**B.** With respect to this endorsement only, the Building and Personal Property Coverage Form, Condominium Association Coverage Form and Condominium Commercial Unit-Owners Coverage Form are modified as follows.

**1. Equipment Breakdown Limits of Insurance**

Any payment made under this Equipment Breakdown Coverage will not be increased if multiple insureds are shown in the Declarations or if you are comprised of more than one legal entity.

**a.** The most we will pay for loss, damage or expense arising from any "one equipment breakdown" is the applicable Limit of Insurance in the Declarations. Coverage provided under this endorsement does not provide an additional amount of insurance.

**b.** Loss arising from any "one equipment breakdown" may continue to be present or recur in a later policy period. This includes, but is not limited to, loss arising from mold, fungus, mildew or yeast as covered under Mold coverage. In such a case, the most we will pay for all loss, damage or expense arising out of any "one equipment breakdown" is the coverage limit at the time of the "accident" or "electronic circuitry impairment".

**c.** If two or more coverage limits apply to the same loss or portion of a loss, we will pay only the smallest of the applicable limits for that loss or portion of that loss.

**2. Equipment Breakdown Deductible**

The deductible in the Declarations applies unless a separate Equipment Breakdown deductible is shown in the "schedule". If a separate Equipment Breakdown deductible is shown, the following applies.

Only as regards Equipment Breakdown Coverage, provision **D. Deductible** is deleted and replaced with the following:

**a. Deductibles for Each Coverage**

**(1)** Unless the "schedule" indicates that your deductible is combined for all coverages, multiple deductibles may apply to any "one equipment breakdown".

**(2)** We will not pay for loss, damage or expense under any coverage until the amount of the covered loss, damage or expense exceeds the deductible amount indicated for that coverage in the "schedule". We will then pay the amount of loss, damage or expense in excess of the applicable deductible amount, subject to the applicable limit.

**(3)** If deductibles vary by type of "covered equipment" and more than one type of "covered equipment" is involved in any "one equipment breakdown", only the highest deductible for each coverage will apply.

**b. Direct and Indirect Coverages**

**(1)** Direct Coverages Deductibles and Indirect Coverages Deductibles may be indicated in the "schedule".

**(2)** Unless more specifically indicated in the "schedule":

**(a)** Direct Coverages Deductibles apply to all loss, damage or expense covered by this Equipment Breakdown Coverage with the exception of Business Income and Extra Expense loss, regardless of where such Business Income and Extra Expense coverage is provided in this Equipment Breakdown Coverage; and

**(b)** Indirect Coverages Deductibles apply to Business Income and Extra Expense loss, regardless of where such coverage is provided in this Equipment Breakdown Coverage.

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**c. Application of Deductibles**

**(1) Dollar Deductibles**

We will not pay for loss, damage or expense resulting from any "one equipment breakdown" until the amount of loss, damage or expense exceeds the applicable deductible shown in the "schedule". We will then pay the amount of loss, damage or expense in excess of the applicable deductible or deductibles, up to the applicable Limit of Insurance.

**(2) Time Deductible**

If a time deductible is shown in the "schedule", we will not be liable for any loss occurring during the specified number of hours or days immediately following the "accident" or "electronic circuitry impairment". If a time deductible is expressed in days, each day will mean twenty-four consecutive hours.

**(3) Multiple of Average Daily Value (ADV)**

If a deductible is expressed as a number times ADV, that amount will be calculated as follows:

The ADV (Average Daily Value) will be the Business Income (as defined in any Business Income coverage that is part of this policy) that would have been earned during the period of interruption of business had no "accident" or "electronic circuitry impairment" occurred, divided by the number of working days in that period. No reduction will be made for the Business Income not being earned, or in the number of working days, because of the "accident" or "electronic circuitry impairment" or any other scheduled or unscheduled shutdowns during the period of interruption. The ADV applies to the Business Income value of the entire location, whether or not the loss affects the entire location. If more than one location is included in the valuation of the loss, the ADV will be the combined value of all affected locations. For purposes of this calculation, the period of interruption may not extend beyond the "period of restoration". The number indicated in the "schedule" will be multiplied by the ADV as determined above. The result will be used as the applicable deductible.

**(4) Percentage of Loss Deductibles**

If a deductible is expressed as a percentage of loss, we will not be liable for the indicated percentage of the gross amount of loss, damage or expense (prior to any applicable deductible) insured under the coverage that is applicable. If the dollar amount of such percentage is less than the indicated minimum deductible, the minimum deductible will be the applicable deductible.

**(5) Horsepower Deductibles**

If a deductible is expressed as a function of horsepower, the indicated amount per horsepower will be multiplied by the horsepower rating of the applicable "covered equipment". The resulting amount will apply as a Dollar Deductible. If the resulting amount is less than the indicated Minimum Deductible, the Minimum Deductible will be the applicable deductible. If the "covered equipment" is an air conditioning or refrigeration system, the indicated amount per horsepower will be multiplied by the horsepower rating of the system's largest motor or compressor. If systems or components are rated in tonnage of cooling capacity, each ton of rated capacity will be converted to horsepower in accordance with the following chart:

| Horsepower Equivalent Per One Ton of Rated Cooling Capacity | |
|---|---|
| Centrifugal Compressor System | 0.7hp |
| Hermetic Scroll Compressor System | 1.0hp |
| Reciprocating Compressor System | 1.5hp |
| Screw Compressor System | 1.5hp |
| All Other Systems | 4.7hp |

**3. Equipment Breakdown Conditions**

**a.** The following conditions are in addition to the Conditions in the Building and Personal Property Coverage Form, the Condominium Association Coverage Form, the Condominium Commercial Unit-Owners Coverage Form, the Commercial Property Conditions and the Common Policy Conditions.

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**(1) Jurisdictional Inspections**

If any property that is "covered equipment" under this endorsement requires inspection to comply with state or municipal boiler and pressure vessel regulations, we agree to perform such inspection on your behalf. We do not warrant that conditions are safe or healthful.

**(2) Suspension**

Any of our representatives may immediately suspend the insurance against loss from an "accident" or "electronic circuitry impairment" to any "covered equipment." that is found to be in a dangerous condition or exposed to a dangerous condition. They may do this by mailing or delivering a written notice of suspension to:

**(a)** Your address most recently known to us; or

**(b)** The address where the applicable "covered equipment" is located.

The only way we may reinstate insurance is by issuing an endorsement for that "covered equipment". We will refund the premium applicable to the suspended "covered equipment", prorated for the period of suspension. However, the suspension will be effective immediately even if we have not yet offered or made a refund.

**b.** With respect to this endorsement only, the Valuation Condition in the Building and Personal Property Coverage Form, the Condominium Association Coverage Form and the Condominium Commercial Unit-Owners Coverage Form is deleted and replaced with the following:

**Valuation**

We will determine the value of Covered Property as follows:

**(1)** Except as specified otherwise, our payment for damaged Covered Property will be the least expensive of:

**(a)** The cost to repair the damaged property;

**(b)** The cost to replace the damaged property on the same site; or

**(c)** The amount you actually spend that is necessary to replace or repair the damaged property.

**(2)** The amount of our payment will be based on the most cost-effective means to replace the function, capacity and remaining useful life of the damaged property. This may include the use of generic, used or reconditioned parts, equipment or property. This will not include costs to research or correct defects, errors or shortcomings in the design or installation of the Covered Property.

**(3)** Except as described in **(4)** below, you must pay the extra cost of replacing damaged property with property of a better kind or quality or of a different size or capacity.

**(4)** Environmental, Safety and Efficiency Improvements

If "covered equipment" or its component part(s) requires replacement due to an "accident" or "electronic circuitry impairment", we will pay your additional cost to replace with equipment that we agree is better for the environment, safer for people or more energy or water efficient than the equipment being replaced subject to B.3. Equipment Breakdown Condition, b. Valuation. However, we will not pay to increase the size or capacity of the equipment and we will not pay more than 150% of what the cost would have been to replace with like kind and quality. This provision does not apply to any property to which "actual cash value" applies and does not increase any of the applicable limits.

**(5)** Consequential Loss to Undamaged Stock

Our payment for damaged Covered Property will include compensation for undamaged stock that loses market value or requires additional expense because of the damage to the Covered Property.

**(6)** The following property will be valued on an "actual cash value" basis:

**(a)** Any property that does not currently serve a useful or necessary function for you;

**(b)** Any Covered Property that you do not repair or replace within 24 months after the date of the "accident" or "electronic circuitry impairment"; and

**(c)** Any Covered Property for which "actual cash value" coverage is specified in the "schedule".

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**(7)** If any one of the following conditions is met, property held for sale by you will be valued at the sales price as if no loss or damage had occurred, less any discounts and expenses that otherwise would have applied:

**(a)** The property was manufactured by you;

**(b)** The sales price of the property is less than the replacement cost of the property; or

**(c)** You are unable to replace the property before its anticipated sale.

**(8)** Except as specifically provided for under Data Restoration coverage, "data" and "media" will be valued on the following basis:

**(a)** For mass-produced and commercially available software, at the replacement cost.

**(b)** For all other "data" and "media", at the cost of blank "media" for reproducing the records. We will not pay for "data" representing financial records based on the face value of such records.

**PART II – AlertASSIST™ EQUIPMENT ALERT RESPONSE COVERAGE**

The following coverage is added, subject to the terms of this Equipment Breakdown Coverage endorsement and the terms of your policy.

**A. AlertAssist™ Equipment Alert Response Coverage**

**1.** Coverage under this AlertAssist™ Equipment Alert Response Coverage applies only if:

**a.** Your "covered equipment" triggers an "alert";

**b.** Within 30 days of first receiving the "alert", a "troubleshooting analysis" is performed on the "covered equipment"; and

**c.** Within 180 days of first receiving the "alert", you submit to us documentation of the "alert" and the "alert response costs" you have incurred as a direct result of the "alert".

**2.** If the conditions listed in 1. above have been met, we will pay 50% of your "alert response costs".

**3.** There is no coverage under this endorsement if the "alert" arose from an "accident" or "electronic circuitry impairment". In such case, coverage for the "accident" or "electronic circuitry impairment" will apply as normal under the Equipment Breakdown Coverage in PART I of this endorsement.

**B. Additional Exclusions**

We will not pay for any excluded loss, damage, or expense, even though any other cause or event concurrently or in any sequence contribute to the loss, damage or expense. Coverage under this AlertAssist™ Equipment Alert Response Coverage is subject to the exclusions in the policy and also the following additional exclusions:

**1.** Loss of Business Income, Extra Expense, "spoilage and consequential damage" or any other loss, damage or expense other than "alert response costs".

**2.** Labor costs of your employees.

**3.** Maintenance costs, except as specifically described in paragraph **G.5.b**. **Additional Definitions.**

**4.** Costs to troubleshoot, service or replace "covered equipment" that has not triggered an "alert", even if such equipment is similar to "covered equipment" that has triggered an "alert" or has been the subject of an advisory such as a recall, technical bulletin or manufacturer's recommendation.

**5.** Additional costs to increase the size, capability or capacity of the "covered equipment".

**C. Limit Of Insurance**

The most we will pay for all "alert response costs" arising from any "one alert" under this coverage is $10,000. This limit is part of, and not in addition to, the Equipment Breakdown Limit.

The most we will pay for all "alert response costs" arising from all "alerts" under this coverage that occur during any one policy period is $25,000.

**D. Minimum Claim Amount**

The minimum amount of loss for which a claim may be submitted under this endorsement is $500. The Alert Response Minimum Claim applies with respect to the share of your "alert response costs" that would be covered in accordance with Section A. above.

**E. Deductible**

No deductible applies to this coverage.

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**F. Data**

In the event of a potential covered loss event, you agree to provide us ready access to all available physical and electronic evidence relating to the potential covered loss event. This includes, but is not limited to, electronic records of the "alert" and readings from the "electronic machine health monitoring system" prior to and following the "alert".

**G. Additional Definitions**

**1.** "Alert"

**a.** "Alert" means an alarm, fault code, machine score or other signal generated by an "electronic machine health monitoring system" that indicates a sudden and unexpected increase in the risk that the monitored "covered equipment" will suffer a mechanical or electrical failure.

**b.** "Alert" does not mean any alarm, fault code, machine score or other signal:

**(1)** Triggered in the course of normal and gradual equipment deterioration;

**(2)** Based solely on the time or usage since previous maintenance; or

**(3)** With respect to "covered equipment" that is being used in an application that it was not designed for.

**2.** "Alert Response Costs" means the reasonable and necessary costs for "troubleshooting analysis" and "preemptive repairs" incurred with respect to the "covered equipment" that triggered the "alert".

**3.** "Electronic Machine Health Monitoring System" means an electronic system that monitors "covered equipment" as follows:

**a.** The system uses one or more sensors to collect data on one or more critical parameters of the equipment's operating condition, such as temperature, pressure or vibration;

**b.** The system collects data from the sensors continuously or at intervals no longer than one hour;

**c.** The system analyzes the data using logic, algorithms or machine learning to determine when to generate an "alert"; and

**d.** The system was either:

**(1)** Installed by the manufacturer of the "covered equipment"; or

**(2)** Operational and in service monitoring the "covered equipment" for at least 45 days prior to the "alert".

**e.** "Electronic machine health monitoring system" only means a system that directly monitors "covered equipment". It does not, for example, mean a system that monitors the temperature of an enclosure or the characteristics of finished products, even if such temperature or characteristics depend on the functioning of "covered equipment".

**4.** "One Alert" means all "alerts" generated with respect to the same piece of "covered equipment" until the "covered equipment" has been serviced and successfully returned to operation without triggering a subsequent "alert" for at least 14 days.

**5.** "Preemptive Repairs" means the following with respect to the "covered equipment" that triggered the "alert":

**a.** The cost to improve the condition of the "covered equipment" so that it can operate without triggering an "alert".

**b.** The cost to perform normal maintenance due within six months, if there is a cost or logistical advantage to having such work performed at the same time as the costs covered under a. above.

**c.** Only if it is less than the cost of a. above, "preemptive repairs" means the reasonable and necessary costs for replacement equipment that will serve the same purpose as the "covered equipment".

**6.** "Troubleshooting Analysis" means the following when performed by an appropriately trained technician:

**a.** Examination and assessment of the health of the "covered equipment";

**b.** Review of the "alert" and determination of the probable reason for the "alert"; and

**c.** Explanation of options regarding "preemptive repairs".

All other provisions of this policy apply.

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**THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.**

# YOUR BUSINESS PERSONAL PROPERTY AMENDMENT TENANT GLASS

This endorsement modifies insurance provided under the following:

COMMERCIAL PROPERTY COVERAGE PART

Coverage provided by this endorsement is subject to the Cause of Loss Form attached to this policy and policy's Deductible.

Coverages provided by this endorsement are in excess of any other specific coverages that are provided in other coverage Parts or other Policies.

**A.** The following is added to paragraph **A.1.b. Your Business Personal Property**:

**(8)** Exterior and/or interior Glass will be considered part of your Business Personal Property if:

**(a)** You are a tenant;

**(b)** You have a contractual responsibility to insure such property or to pay for damage to it and

**(c)** This policy does not insure the building or structure.

**B.** Paragraph **A.1.c. Personal Property of Others** is replaced by the following:

**1. Covered Property**

**c. Personal Property of Others**

**(1)** Personal property of others that is:

**(a)** In your care, custody or control; and

**(b)** Located in or on the building or structure described in the Declarations or in the open (or in a vehicle) within 100 feet of the building or structure or within 100 feet of the premises described in the Declarations, whichever distance is greater.

**(2)** Personal Property of Others includes exterior and/or interior glass that is part of the building or structure described in the Declaration only if:

**(a)** You are a tenant;

**(b)** You have a contractual responsibility to insure such property or to pay for damage to it; and

**(c)** This policy does not insure the building or structure.

**(3)** Our payment for loss of or damage to property covered under Personal Property of Others will only be for the account of the owner of the property.

**(4)** If you are contractually liable for a specific amount, we will pay the least of the following:

**(a)** The amount for which you are contractually liable;

**(b)** The amount determined in accordance with the applicable Valuation Condition or any provision which replaces it; or

**(c)** The Limit of Insurance.

**THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.**

# WISCONSIN CHANGES

This endorsement modifies insurance provided under the following:

COMMERCIAL PROPERTY COVERAGE PART

**A.** The **Concealment, Misrepresentation Or Fraud Commercial Property** Condition is replaced by the following:

**CONCEALMENT, MISREPRESENTATION OR FRAUD**

**1.** No misrepresentation and no breach of affirmative warranty made by you or on your behalf in the negotiation for or procurement of this Coverage Part affects our obligations unless, if a misrepresentation, the person knew or should have known that the representation was false, and unless:

**a.** We rely on the misrepresentation or affirmative warranty and the misrepresentation or affirmative warranty is either material or made with intent to deceive; or

**b.** The facts misrepresented or falsely warranted contribute to the loss.

**2.** No failure of a condition before a loss and no breach of a promissory warranty affects our obligation under this Coverage Part unless such failure or breach exists at the time of loss and either:

**a.** Increases the risk at the time of loss; or

**b.** Contributes to the loss.

**B. Legal Action Against Us**

**1.** The **Legal Action Against Us** Commercial Property Condition is replaced by the following:

**LEGAL ACTION AGAINST US**

No one may bring a legal action against us under this Coverage Part unless the action is brought within 2 years after the date on which the direct physical loss or damage occurred.

**2.** Paragraph **(1)** of Additional Condition **F.4.e. Legal Action Against Us** in the Mortgageholders Errors And Omissions Coverage Form is replaced by the following:

No one may bring a legal action against us under Coverages **A** and **B** unless the action is brought within 2 years after you discover the error or accidental omission.

**3.** The following are deleted:

**a.** The Legal Action Against Us Loss Condition in the Legal Liability Coverage Form; and

**b.** Paragraph **(2)** of Additional Condition **F.4.e.** Legal Action Against Us in the Mortgageholders Errors And Omissions Coverage Form.

**C.** The following exclusion and related provisions are added to Paragraph **B.2. Exclusions** in the Causes Of Loss Forms and to any Coverage Form or policy to which a Causes Of Loss Form is not attached:

**1.** We will not pay for loss or damage arising out of any act committed:

**a.** By or at the direction of any insured; and

**b.** With the intent to cause a loss.

**2.** However, this exclusion will not apply to deny coverage to an insured who did not cooperate in or contribute to the creation of the loss, provided the loss is otherwise covered under this Coverage Part and:

**a.** The loss arose out of an act or pattern of abuse or domestic abuse; and

**b.** The perpetrator of the loss is criminally prosecuted for the act or acts causing the loss.

**3.** If we pay a claim pursuant to Paragraph **C.2.,** our payment to the innocent insured is limited to that insured's ownership interest in the property less any payments we first made to a mortgagee or other party with a legal secured interest in the property. In no event will we pay more than the Limit of Insurance.

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**D.** The following is added to the **Transfer Of Rights Of Recovery Against Others To Us** Commercial Property Condition:

If we pay an insured for a loss described in Paragraph **C.2.,** the rights of the insured to recover damages from the perpetrator are transferred to us to the extent of our payment. Following the loss, the insured may not waive such rights to recover against the perpetrator.

We will be entitled to a recovery only after you have been fully compensated for damages.

**E.** The following are added:

**1. Knowledge And Acts Of Agents**

**a.** If any of our agents knows any fact that breaches a condition of this policy, we will be considered to know it also if that fact:

**(1)** Is known to the agent at the time the policy is issued or an application made; or

**(2)** Later becomes known to the agent in the course of his or her dealings as an agent with you.

**b.** Any fact that breaches a condition of this policy and is known to the agent before the loss will not:

**(1)** Void this policy; or

**(2)** Prevent a recovery in the event of loss.

**2.** The **Ordinance Or Law** Exclusion in the Basic, Broad and Special – Causes Of Loss Forms, or in any endorsement, does not apply to dwelling properties occupied as a residence by you.

**3. Conformity To Statute Or Rule**

Any provision of this Coverage Part (including endorsements which modify the Coverage Part) that is in conflict with a Wisconsin statute or rule is hereby amended to conform to that statute or rule.

The term rule means a valid rule promulgated by the Commissioner of Insurance in accordance with the rule-making authority conferred under Wis. Stat. Ann. s. 227.11(2) and published in the Wisconsin Administrative Code.

**F.** The following is added to the **Loss Payment** Loss Condition in the Commercial Property Coverage Part:

If a municipality, which is a first class city, has elected to apply the provisions of Wis. Stat. Ann. Secs. 632.10 through 632.104, a part of our payment for fire or explosion loss or damage to your covered real property in that municipality will be withheld if the loss or damage is subject to the aforementioned provisions.

**1.** The withheld amount will be paid in accordance with the law, to the following:

**a.** The municipality where the covered property is located;

**b.** You and any other interest named in the Declarations; or

**c.** The mortgageholder, if any.

However, we will not pay more than the amount of loss payable under this policy.

**2.** Within 10 days after withholding the required amount, we will give written notice of the withholding to the following:

**a.** The building inspection official of the municipality where the covered property is located;

**b.** You;

**c.** Any mortgageholder and any other lienholder who has an existing lien against the property and is named in the Declarations; and

**d.** The court in which judgment was entered if the final settlement was determined by judgment.

**3.** We will not be liable in any cause of action, nor may any liability be imposed on us, arising from the payment, withholding or transferring of all or any portion of a final settlement in accordance with Wis. Stat. Ann. Secs. 632.10 through 632.104.


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**G.** The following is added to the **Valuation** Loss Condition:

**1.** When this Coverage Part insures real property in Wisconsin which is owned and occupied by you primarily as a dwelling, and the property is wholly destroyed, we will pay the limit of insurance that applies to such property, subject to the exceptions and conditions in Paragraphs **G.2.** and **G.3.** below.

**2.** Builders Risk policies of insurance covering property in the process of being constructed shall be valued and settled according to the actual value of that portion of the construction completed at the time of the loss. The Limit of Insurance on a Builders Risk policy represents the value of the building when it is completed.

**3.** The Valued Policy Provision, Paragraph **G.1.** above, does not apply to any claim for loss to any building which is insured under a blanket form or endorsement with one Limit of Insurance applicable to two or more buildings. When a building, owned and occupied by you primarily as a dwelling, is wholly destroyed, the loss will be settled at the value stated in the most recent Statement of Values on file with us.

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West Bend Insurance Company
1900 S. 18th Ave. | West Bend, WI 53095

Renewal

## Commercial General Liability Coverage Declarations

**Customer Number:** 0110116385
**Policy Number:** A848246 05

**Policy Period:** 01/01/2026 to 01/01/2027
at 12:01 AM Standard Time at Your Mailing Address Shown Below

**Named Insured and Address:**
Locksley, Inc
DBA Paul Davis Restoration of South Central WI
3432A County Rd N
Cottage Grove, WI 53527-9508

**Agency Name and Address:** 48508
R & R INSURANCE SERVICES INC
N14W23900 STONE RIDGE DR
WAUKESHA, WI 53188
262-574-7000

Insured is a(n) LLC and Corporation

**Limits of Insurance**

| | |
|---|---|
| General Aggregate Limit (other than Products/Completed Operations) | $2,000,000 |
| Products/Completed Operations Aggregate Limit | $2,000,000 |
| Each Occurrence Limit | $1,000,000 |
| Personal and Advertising Injury Limit | $1,000,000 |
| Damage to Premises Rented to You Limit | $300,000 |
| Medical Expense Limit, Any One Person | $10,000 |

See attached Forms Schedule for forms and endorsements applicable to this coverage.

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West Bend Insurance Company
1900 S. 18th Ave. | West Bend, WI 53095

Renewal

## Commercial General Liability Classification Schedule

**Customer Number:** 0110116385
**Policy Number:** A848246 05

**Policy Period:** 01/01/2026 to 01/01/2027
at 12:01 AM Standard Time at Your Mailing Address Shown Below

**Named Insured and Address:**
Locksley, Inc
DBA Paul Davis Restoration of South Central WI
3432A County Rd N
Cottage Grove, WI 53527-9508

**Agency Name and Address:** 48508
R & R INSURANCE SERVICES INC
N14W23900 STONE RIDGE DR
WAUKESHA, WI 53188
262-574-7000

### Commercial General Liability Classifications

| Loc | Class Code | Description | Exposure | Premium Basis | Rate | Premium | Coverage |
|---|---|---|---|---|---|---|---|
| 1 | 91340 | Carpentry - construction of residential property not exceeding three stories in height | 408,179 | Payroll | 5.536<br>9.315 | $2,260<br>$3,802 | Prem/Ops<br>Prod/Co |
| 1 | 91341 | Carpentry - interior | 0 | Payroll | 5.898<br>4.848 | $0<br>$0 | Prem/Ops<br>Prod/Co |
| 1 | 91342 | Carpentry | 0 | Payroll | 5.526<br>4.467 | $0<br>$0 | Prem/Ops<br>Prod/Co |
| 1 | 91580 | Contractors - Executive Supervisors or Executive Superintendents | 1,505,731 | Payroll | 7.532<br>Included | $11,342<br>Included | Prem/Ops<br>Prod/Co |
| 1 | 91585 | Contractors - subcontracted work - in connection with construction, reconstruction, repair or erection of buildings | 8,625,000 | Total Cost | 0.917<br>0.907 | $7,909<br>$7,823 | Prem/Ops<br>Prod/Co |
| 1 | 95647 | Heating or Combined Heating and Air Conditioning Systems or Equipment - dealers or distributors and installation, servicing or repair - no liquefied petroleum gas (LPG) equipment sales or work | 65,505 | Payroll | 3.422<br>6.054 | $225<br>$397 | Prem/Ops<br>Prod/Co |
| 1 | 96816 | Janitorial Services | 1,173,058 | Payroll | 4.986<br>Included | $5,849<br>Included | Prem/Ops<br>Prod/Co |

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### Commercial General Liability Classifications

| Loc | Class Code | Description | Exposure | Premium Basis | Rate | Premium | Coverage |
|---|---|---|---|---|---|---|---|
| 1 | 98304 | Painting - exterior - buildings or structures - three stories or less in height | 216,032 | Payroll | 6.587<br>4.105 | $1,423<br>$887 | Prem/Ops<br>Prod/Co |

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## Commercial General Liability Endorsements and Miscellaneous Premiums

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### Additional Insureds

| Description | Form Number | Premium |
|---|---|---|
| Contractor's Blanket (Broad Form) | WB1482Y | $5,306 |
| Leased Equipment Automatic | CG2034 | $50 |

### Endorsements

| Description | Form Number | Premium |
|---|---|---|
| Voluntary Property Damage Coverage | WB144 | $250 |
| Amendment - Who Is An Insured | WB1460 | Included |
| Employee Benefits Liability | CG0435 | $155 |
| Employment Practices Liability Insurance | WB516GL | $1,566 |
| Designated Construction Project(s) General Aggregate Limit | CG2503 | $580 |
| Designated Locations General Aggregate Limit | CG2504 | $580 |
| Plus Pak - Liability | WB2000GL | $50 |

### Miscellaneous Premiums

| Description | Form Number | Premium |
|---|---|---|
| Terrorism Risk Insurance Act | | $264 |

Total General Liability Premium: $50,718

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## Commercial General Liability Forms Schedule

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### Forms Schedule

| Number | Edition | Description |
|---|---|---|
| CG0001 | 0413 | COMMERCIAL GENERAL LIABILITY COVERAGE FORM |
| CG0300 | 0196 | DEDUCTIBLE LIABILITY INSURANCE |
| CG0435 | 1207 | EMPLOYEE BENEFITS LIABILITY COVERAGE (CLAIMS-MADE) |
| CG2011 | 1219 | ADDITIONAL INSURED - MANAGERS OR LESSORS OF PREMISES |
| CG2034 | 1219 | ADDITIONAL INSURED - LESSOR OF LEASED EQUIPMENT - AUTOMATIC STATUS WHEN REQUIRED IN LEASE AGREEMENT WITH YOU |
| CG2106 | 1223 | EXCLUSION - ACCESS OR DISCLOSURE OF CONFIDENTIAL OR PERSONAL MATERIAL OR INFORMATION |
| CG2109 | 0615 | EXCLUSION UNMANNED AIRCRAFT |
| CG2147 | 1207 | EMPLOYMENT-RELATED PRACTICES EXCLUSION |
| CG2149 | 0999 | TOTAL POLLUTION EXCLUSION ENDORSEMENT |
| CG2162 | 0998 | EXCLUSION - YEAR 2000 COMPUTER-RELATED AND OTHER ELECTRONIC PROBLEMS - WITH EXCEPTION FOR BODILY INJURY ON YOUR PREMISES |
| CG2167 | 1204 | FUNGI OR BACTERIA EXCLUSION |
| CG2170 | 0115 | CAP ON LOSSES FROM CERTIFIED ACTS OF TERRORISM |
| CG2196 | 0305 | SILICA OR SILICA-RELATED DUST EXCLUSION |
| CG2453 | 1219 | WAIVER OF TRANSFER OF RIGHTS OF RECOVERY AGAINST OTHERS TO US (WAIVER OF SUBROGATION) - AUTOMATIC |
| CG2503 | 0509 | DESIGNATED CONSTRUCTION PROJECT(S) GENERAL AGGREGATE LIMIT |

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## Commercial General Liability Forms Schedule

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### Forms Schedule

| Number | Edition | Description |
|---|---|---|
| CG2504 | 0509 | DESIGNATED LOCATION(S) GENERAL AGGREGATE LIMIT |
| CG4009Y | 1219 | AMENDMENT OF LIQUOR LIABILITY EXCLUSION - LIMITED EXCEPTION FOR BRING YOUR OWN ALCOHOL |
| CG4028 | 0922 | BROAD ABUSE OR MOLESTATION EXCLUSION |
| CG4032 | 0523 | EXCLUSION - PERFLUOROALKYL AND POLYFLUOROALKYL SUBSTANCES (PFAS) |
| CG4035 | 1223 | EXCLUSION - CYBER INCIDENT |
| WB144 | 0525 | VOLUNTARY PROPERTY DAMAGE COVERAGE |
| WB1460 | 0525 | AMENDMENT - WHO IS AN INSURED |
| WB1468GL | 0525 | EXCLUSION - ASBESTOS OR ASBESTOS PRODUCTS |
| WB1482Y | 0606 | ADDITIONAL INSURED - CONTRACTOR'S BLANKET (BROAD FORM) |
| WB1958GL | 0525 | EXCLUSION - LEAD LIABILITY |
| WB2000GL | 0525 | PLUS PAK - LIABILITY |
| WB213GL | 0525 | EARLIER NOTICE OF CANCELLATION AND/OR NONRENEWAL |
| WB307GL | 0525 | EXCLUSION - EXTERIOR INSULATION, FINISH OR COATINGS BY OR ON BEHALF OF THE INSURED |
| WB516GL | 0225 | EMPLOYMENT PRACTICES LIABILITY ENDORSEMENT (CLAIMS-MADE) |
| WB1392GL | 0525 | EXCLUSION - BIOMETRIC IDENTIFIERS OR BIOMETRIC DATA |

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### Forms Schedule

| Number | Edition | Description |
|---|---|---|
| WB39GL | 0225 | EXCLUSION – HUMAN TRAFFICKING |
| CG0124 | 0193 | WISCONSIN CHANGES - AMENDMENT OF POLICY CONDITIONS |

# COMMERCIAL GENERAL LIABILITY COVERAGE FORM

Various provisions in this policy restrict coverage. Read the entire policy carefully to determine rights, duties and what is and is not covered.

Throughout this policy the words "you" and "your" refer to the Named Insured shown in the Declarations, and any other person or organization qualifying as a Named Insured under this policy. The words "we", "us" and "our" refer to the company providing this insurance.

The word "insured" means any person or organization qualifying as such under Section **II** – Who Is An Insured.

Other words and phrases that appear in quotation marks have special meaning. Refer to Section **V** – Definitions.

**SECTION I – COVERAGES**

**COVERAGE A – BODILY INJURY AND PROPERTY DAMAGE LIABILITY**

**1. Insuring Agreement**

**a.** We will pay those sums that the insured becomes legally obligated to pay as damages because of "bodily injury" or "property damage" to which this insurance applies. We will have the right and duty to defend the insured against any "suit" seeking those damages. However, we will have no duty to defend the insured against any "suit" seeking damages for "bodily injury" or "property damage" to which this insurance does not apply. We may, at our discretion, investigate any "occurrence" and settle any claim or "suit" that may result. But:

**(1)** The amount we will pay for damages is limited as described in Section **III** – Limits Of Insurance; and

**(2)** Our right and duty to defend ends when we have used up the applicable limit of insurance in the payment of judgments or settlements under Coverages **A** or **B** or medical expenses under Coverage **C.**

No other obligation or liability to pay sums or perform acts or services is covered unless explicitly provided for under Supplementary Payments – Coverages **A** and **B.**

**b.** This insurance applies to "bodily injury" and "property damage" only if:

**(1)** The "bodily injury" or "property damage" is caused by an "occurrence" that takes place in the "coverage territory";

**(2)** The "bodily injury" or "property damage" occurs during the policy period; and

**(3)** Prior to the policy period, no insured listed under Paragraph **1.** of Section **II** – Who Is An Insured and no "employee" authorized by you to give or receive notice of an "occurrence" or claim, knew that the "bodily injury" or "property damage" had occurred, in whole or in part. If such a listed insured or authorized "employee" knew, prior to the policy period, that the "bodily injury" or "property damage" occurred, then any continuation, change or resumption of such "bodily injury" or "property damage" during or after the policy period will be deemed to have been known prior to the policy period.

**c.** "Bodily injury" or "property damage" which occurs during the policy period and was not, prior to the policy period, known to have occurred by any insured listed under Paragraph **1.** of Section **II** – Who Is An Insured or any "employee" authorized by you to give or receive notice of an "occurrence" or claim, includes any continuation, change or resumption of that "bodily injury" or "property damage" after the end of the policy period.

**d.** "Bodily injury" or "property damage" will be deemed to have been known to have occurred at the earliest time when any insured listed under Paragraph **1.** of Section **II** – Who Is An Insured or any "employee" authorized by you to give or receive notice of an "occurrence" or claim:

**(1)** Reports all, or any part, of the "bodily injury" or "property damage" to us or any other insurer;

**(2)** Receives a written or verbal demand or claim for damages because of the "bodily injury" or "property damage"; or

**(3)** Becomes aware by any other means that "bodily injury" or "property damage" has occurred or has begun to occur.

**e.** Damages because of "bodily injury" include damages claimed by any person or organization for care, loss of services or death resulting at any time from the "bodily injury".

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**2. Exclusions**

This insurance does not apply to:

**a. Expected Or Intended Injury**

"Bodily injury" or "property damage" expected or intended from the standpoint of the insured. This exclusion does not apply to "bodily injury" resulting from the use of reasonable force to protect persons or property.

**b. Contractual Liability**

"Bodily injury" or "property damage" for which the insured is obligated to pay damages by reason of the assumption of liability in a contract or agreement. This exclusion does not apply to liability for damages:

**(1)** That the insured would have in the absence of the contract or agreement; or

**(2)** Assumed in a contract or agreement that is an "insured contract", provided the "bodily injury" or "property damage" occurs subsequent to the execution of the contract or agreement. Solely for the purposes of liability assumed in an "insured contract", reasonable attorneys' fees and necessary litigation expenses incurred by or for a party other than an insured are deemed to be damages because of "bodily injury" or "property damage", provided:

**(a)** Liability to such party for, or for the cost of, that party's defense has also been assumed in the same "insured contract"; and

**(b)** Such attorneys' fees and litigation expenses are for defense of that party against a civil or alternative dispute resolution proceeding in which damages to which this insurance applies are alleged.

**c. Liquor Liability**

"Bodily injury" or "property damage" for which any insured may be held liable by reason of:

**(1)** Causing or contributing to the intoxication of any person;

**(2)** The furnishing of alcoholic beverages to a person under the legal drinking age or under the influence of alcohol; or

**(3)** Any statute, ordinance or regulation relating to the sale, gift, distribution or use of alcoholic beverages.

This exclusion applies even if the claims against any insured allege negligence or other wrongdoing in:

**(a)** The supervision, hiring, employment, training or monitoring of others by that insured; or

**(b)** Providing or failing to provide transportation with respect to any person that may be under the influence of alcohol;

if the "occurrence" which caused the "bodily injury" or "property damage", involved that which is described in Paragraph **(1), (2)** or **(3)** above.

However, this exclusion applies only if you are in the business of manufacturing, distributing, selling, serving or furnishing alcoholic beverages. For the purposes of this exclusion, permitting a person to bring alcoholic beverages on your premises, for consumption on your premises, whether or not a fee is charged or a license is required for such activity, is not by itself considered the business of selling, serving or furnishing alcoholic beverages.

**d. Workers' Compensation And Similar Laws**

Any obligation of the insured under a workers' compensation, disability benefits or unemployment compensation law or any similar law.

**e. Employer's Liability**

"Bodily injury" to:

**(1)** An "employee" of the insured arising out of and in the course of:

**(a)** Employment by the insured; or

**(b)** Performing duties related to the conduct of the insured's business; or

**(2)** The spouse, child, parent, brother or sister of that "employee" as a consequence of Paragraph **(1)** above.

This exclusion applies whether the insured may be liable as an employer or in any other capacity and to any obligation to share damages with or repay someone else who must pay damages because of the injury.

This exclusion does not apply to liability assumed by the insured under an "insured contract".

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**f. Pollution**

**(1)** "Bodily injury" or "property damage" arising out of the actual, alleged or threatened discharge, dispersal, seepage, migration, release or escape of "pollutants":

**(a)** At or from any premises, site or location which is or was at any time owned or occupied by, or rented or loaned to, any insured. However, this subparagraph does not apply to:

**(i)** "Bodily injury" if sustained within a building and caused by smoke, fumes, vapor or soot produced by or originating from equipment that is used to heat, cool or dehumidify the building, or equipment that is used to heat water for personal use, by the building's occupants or their guests;

**(ii)** "Bodily injury" or "property damage" for which you may be held liable, if you are a contractor and the owner or lessee of such premises, site or location has been added to your policy as an additional insured with respect to your ongoing operations performed for that additional insured at that premises, site or location and such premises, site or location is not and never was owned or occupied by, or rented or loaned to, any insured, other than that additional insured; or

**(iii)** "Bodily injury" or "property damage" arising out of heat, smoke or fumes from a "hostile fire";

**(b)** At or from any premises, site or location which is or was at any time used by or for any insured or others for the handling, storage, disposal, processing or treatment of waste;

**(c)** Which are or were at any time transported, handled, stored, treated, disposed of, or processed as waste by or for:

**(i)** Any insured; or

**(ii)** Any person or organization for whom you may be legally responsible; or

**(d)** At or from any premises, site or location on which any insured or any contractors or subcontractors working directly or indirectly on any insured's behalf are performing operations if the "pollutants" are brought on or to the premises, site or location in connection with such operations by such insured, contractor or subcontractor. However, this subparagraph does not apply to:

**(i)** "Bodily injury" or "property damage" arising out of the escape of fuels, lubricants or other operating fluids which are needed to perform the normal electrical, hydraulic or mechanical functions necessary for the operation of "mobile equipment" or its parts, if such fuels, lubricants or other operating fluids escape from a vehicle part designed to hold, store or receive them. This exception does not apply if the "bodily injury" or "property damage" arises out of the intentional discharge, dispersal or release of the fuels, lubricants or other operating fluids, or if such fuels, lubricants or other operating fluids are brought on or to the premises, site or location with the intent that they be discharged, dispersed or released as part of the operations being performed by such insured, contractor or subcontractor;

**(ii)** "Bodily injury" or "property damage" sustained within a building and caused by the release of gases, fumes or vapors from materials brought into that building in connection with operations being performed by you or on your behalf by a contractor or subcontractor; or

**(iii)** "Bodily injury" or "property damage" arising out of heat, smoke or fumes from a "hostile fire".

**(e)** At or from any premises, site or location on which any insured or any contractors or subcontractors working directly or indirectly on any insured's behalf are performing operations if the operations are to test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of, "pollutants".

**(2)** Any loss, cost or expense arising out of any:

**(a)** Request, demand, order or statutory or regulatory requirement that any insured or others test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of, "pollutants"; or

**(b)** Claim or suit by or on behalf of a governmental authority for damages because of testing for, monitoring, cleaning up, removing, containing, treating, detoxifying or neutralizing, or in any way responding to, or assessing the effects of, "pollutants".

However, this paragraph does not apply to liability for damages because of "property damage" that the insured would have in the absence of such request, demand, order or statutory or regulatory requirement, or such claim or "suit" by or on behalf of a governmental authority.

**g. Aircraft, Auto Or Watercraft**

"Bodily injury" or "property damage" arising out of the ownership, maintenance, use or entrustment to others of any aircraft, "auto" or watercraft owned or operated by or rented or loaned to any insured. Use includes operation and "loading or unloading".

This exclusion applies even if the claims against any insured allege negligence or other wrongdoing in the supervision, hiring, employment, training or monitoring of others by that insured, if the "occurrence" which caused the "bodily injury" or "property damage" involved the ownership, maintenance, use or entrustment to others of any aircraft, "auto" or watercraft that is owned or operated by or rented or loaned to any insured.

This exclusion does not apply to:

**(1)** A watercraft while ashore on premises you own or rent;

**(2)** A watercraft you do not own that is:

**(a)** Less than 26 feet long; and

**(b)** Not being used to carry persons or property for a charge;

**(3)** Parking an "auto" on, or on the ways next to, premises you own or rent, provided the "auto" is not owned by or rented or loaned to you or the insured;

**(4)** Liability assumed under any "insured contract" for the ownership, maintenance or use of aircraft or watercraft; or

**(5)** "Bodily injury" or "property damage" arising out of:

**(a)** The operation of machinery or equipment that is attached to, or part of, a land vehicle that would qualify under the definition of "mobile equipment" if it were not subject to a compulsory or financial responsibility law or other motor vehicle insurance law where it is licensed or principally garaged; or

**(b)** The operation of any of the machinery or equipment listed in Paragraph **f.(2)** or **f.(3)** of the definition of "mobile equipment".

**h. Mobile Equipment**

"Bodily injury" or "property damage" arising out of:

**(1)** The transportation of "mobile equipment" by an "auto" owned or operated by or rented or loaned to any insured; or

**(2)** The use of "mobile equipment" in, or while in practice for, or while being prepared for, any prearranged racing, speed, demolition, or stunting activity.

**i. War**

"Bodily injury" or "property damage", however caused, arising, directly or indirectly, out of:

**(1)** War, including undeclared or civil war;

**(2)** Warlike action by a military force, including action in hindering or defending against an actual or expected attack, by any government, sovereign or other authority using military personnel or other agents; or

**(3)** Insurrection, rebellion, revolution, usurped power, or action taken by governmental authority in hindering or defending against any of these.

**j. Damage To Property**

"Property damage" to:

**(1)** Property you own, rent, or occupy, including any costs or expenses incurred by you, or any other person, organization or entity, for repair, replacement, enhancement, restoration or maintenance of such property for any reason, including prevention of injury to a person or damage to another's property;

**(2)** Premises you sell, give away or abandon, if the "property damage" arises out of any part of those premises;

**(3)** Property loaned to you;

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**(4)** Personal property in the care, custody or control of the insured;

**(5)** That particular part of real property on which you or any contractors or subcontractors working directly or indirectly on your behalf are performing operations, if the "property damage" arises out of those operations; or

**(6)** That particular part of any property that must be restored, repaired or replaced because "your work" was incorrectly performed on it.

Paragraphs **(1), (3)** and **(4)** of this exclusion do not apply to "property damage" (other than damage by fire) to premises, including the contents of such premises, rented to you for a period of seven or fewer consecutive days. A separate limit of insurance applies to Damage To Premises Rented To You as described in Section **III** – Limits Of Insurance.

Paragraph **(2)** of this exclusion does not apply if the premises are "your work" and were never occupied, rented or held for rental by you.

Paragraphs **(3), (4), (5)** and **(6)** of this exclusion do not apply to liability assumed under a sidetrack agreement.

Paragraph **(6)** of this exclusion does not apply to "property damage" included in the "products-completed operations hazard".

**k. Damage To Your Product**

"Property damage" to "your product" arising out of it or any part of it.

**l. Damage To Your Work**

"Property damage" to "your work" arising out of it or any part of it and included in the "products-completed operations hazard".

This exclusion does not apply if the damaged work or the work out of which the damage arises was performed on your behalf by a subcontractor.

**m. Damage To Impaired Property Or Property Not Physically Injured**

"Property damage" to "impaired property" or property that has not been physically injured, arising out of:

**(1)** A defect, deficiency, inadequacy or dangerous condition in "your product" or "your work"; or

**(2)** A delay or failure by you or anyone acting on your behalf to perform a contract or agreement in accordance with its terms.

This exclusion does not apply to the loss of use of other property arising out of sudden and accidental physical injury to "your product" or "your work" after it has been put to its intended use.

**n. Recall Of Products, Work Or Impaired Property**

Damages claimed for any loss, cost or expense incurred by you or others for the loss of use, withdrawal, recall, inspection, repair, replacement, adjustment, removal or disposal of:

**(1)** "Your product";

**(2)** "Your work"; or

**(3)** "Impaired property";

if such product, work, or property is withdrawn or recalled from the market or from use by any person or organization because of a known or suspected defect, deficiency, inadequacy or dangerous condition in it.

**o. Personal And Advertising Injury**

"Bodily injury" arising out of "personal and advertising injury".

**p. Electronic Data**

Damages arising out of the loss of, loss of use of, damage to, corruption of, inability to access, or inability to manipulate electronic data.

However, this exclusion does not apply to liability for damages because of "bodily injury".

As used in this exclusion, electronic data means information, facts or programs stored as or on, created or used on, or transmitted to or from computer software, including systems and applications software, hard or floppy disks, CD-ROMs, tapes, drives, cells, data processing devices or any other media which are used with electronically controlled equipment.

**q. Recording And Distribution Of Material Or Information In Violation Of Law**

"Bodily injury" or "property damage" arising directly or indirectly out of any action or omission that violates or is alleged to violate:

**(1)** The Telephone Consumer Protection Act (TCPA), including any amendment of or addition to such law;

**(2)** The CAN-SPAM Act of 2003, including any amendment of or addition to such law;

**(3)** The Fair Credit Reporting Act (FCRA), and any amendment of or addition to such law, including the Fair and Accurate Credit Transactions Act (FACTA); or

**(4)** Any federal, state or local statute, ordinance or regulation, other than the TCPA, CAN-SPAM Act of 2003 or FCRA and their amendments and additions, that addresses, prohibits, or limits the printing, dissemination, disposal, collecting, recording, sending, transmitting, communicating or distribution of material or information.

Exclusions **c.** through **n.** do not apply to damage by fire to premises while rented to you or temporarily occupied by you with permission of the owner. A separate limit of insurance applies to this coverage as described in Section **III** – Limits Of Insurance.

**COVERAGE B – PERSONAL AND ADVERTISING INJURY LIABILITY**

**1. Insuring Agreement**

**a.** We will pay those sums that the insured becomes legally obligated to pay as damages because of "personal and advertising injury" to which this insurance applies. We will have the right and duty to defend the insured against any "suit" seeking those damages. However, we will have no duty to defend the insured against any "suit" seeking damages for "personal and advertising injury" to which this insurance does not apply. We may, at our discretion, investigate any offense and settle any claim or "suit" that may result. But:

**(1)** The amount we will pay for damages is limited as described in Section **III** – Limits Of Insurance; and

**(2)** Our right and duty to defend end when we have used up the applicable limit of insurance in the payment of judgments or settlements under Coverages **A** or **B** or medical expenses under Coverage **C.**

No other obligation or liability to pay sums or perform acts or services is covered unless explicitly provided for under Supplementary Payments – Coverages **A** and **B.**

**b.** This insurance applies to "personal and advertising injury" caused by an offense arising out of your business but only if the offense was committed in the "coverage territory" during the policy period.

**2. Exclusions**

This insurance does not apply to:

**a. Knowing Violation Of Rights Of Another**

"Personal and advertising injury" caused by or at the direction of the insured with the knowledge that the act would violate the rights of another and would inflict "personal and advertising injury".

**b. Material Published With Knowledge Of Falsity**

"Personal and advertising injury" arising out of oral or written publication, in any manner, of material, if done by or at the direction of the insured with knowledge of its falsity.

**c. Material Published Prior To Policy Period**

"Personal and advertising injury" arising out of oral or written publication, in any manner, of material whose first publication took place before the beginning of the policy period.

**d. Criminal Acts**

"Personal and advertising injury" arising out of a criminal act committed by or at the direction of the insured.

**e. Contractual Liability**

"Personal and advertising injury" for which the insured has assumed liability in a contract or agreement. This exclusion does not apply to liability for damages that the insured would have in the absence of the contract or agreement.

**f. Breach Of Contract**

"Personal and advertising injury" arising out of a breach of contract, except an implied contract to use another's advertising idea in your "advertisement".

**g. Quality Or Performance Of Goods – Failure To Conform To Statements**

"Personal and advertising injury" arising out of the failure of goods, products or services to conform with any statement of quality or performance made in your "advertisement".

**h. Wrong Description Of Prices**

"Personal and advertising injury" arising out of the wrong description of the price of goods, products or services stated in your "advertisement".

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**i. Infringement Of Copyright, Patent, Trademark Or Trade Secret**

"Personal and advertising injury" arising out of the infringement of copyright, patent, trademark, trade secret or other intellectual property rights. Under this exclusion, such other intellectual property rights do not include the use of another's advertising idea in your "advertisement".

However, this exclusion does not apply to infringement, in your "advertisement", of copyright, trade dress or slogan.

**j. Insureds In Media And Internet Type Businesses**

"Personal and advertising injury" committed by an insured whose business is:

**(1)** Advertising, broadcasting, publishing or telecasting;

**(2)** Designing or determining content of web sites for others; or

**(3)** An Internet search, access, content or service provider.

However, this exclusion does not apply to Paragraphs **14.a., b.** and **c.** of "personal and advertising injury" under the Definitions section.

For the purposes of this exclusion, the placing of frames, borders or links, or advertising, for you or others anywhere on the Internet, is not by itself, considered the business of advertising, broadcasting, publishing or telecasting.

**k. Electronic Chatrooms Or Bulletin Boards**

"Personal and advertising injury" arising out of an electronic chatroom or bulletin board the insured hosts, owns, or over which the insured exercises control.

**l. Unauthorized Use Of Another's Name Or Product**

"Personal and advertising injury" arising out of the unauthorized use of another's name or product in your e-mail address, domain name or metatag, or any other similar tactics to mislead another's potential customers.

**m. Pollution**

"Personal and advertising injury" arising out of the actual, alleged or threatened discharge, dispersal, seepage, migration, release or escape of "pollutants" at any time.

**n. Pollution-related**

Any loss, cost or expense arising out of any:

**(1)** Request, demand, order or statutory or regulatory requirement that any insured or others test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of, "pollutants"; or

**(2)** Claim or suit by or on behalf of a governmental authority for damages because of testing for, monitoring, cleaning up, removing, containing, treating, detoxifying or neutralizing, or in any way responding to, or assessing the effects of, "pollutants".

**o. War**

"Personal and advertising injury", however caused, arising, directly or indirectly, out of:

**(1)** War, including undeclared or civil war;

**(2)** Warlike action by a military force, including action in hindering or defending against an actual or expected attack, by any government, sovereign or other authority using military personnel or other agents; or

**(3)** Insurrection, rebellion, revolution, usurped power, or action taken by governmental authority in hindering or defending against any of these.

**p. Recording And Distribution Of Material Or Information In Violation Of Law**

"Personal and advertising injury" arising directly or indirectly out of any action or omission that violates or is alleged to violate:

**(1)** The Telephone Consumer Protection Act (TCPA), including any amendment of or addition to such law;

**(2)** The CAN-SPAM Act of 2003, including any amendment of or addition to such law;

**(3)** The Fair Credit Reporting Act (FCRA), and any amendment of or addition to such law, including the Fair and Accurate Credit Transactions Act (FACTA); or

**(4)** Any federal, state or local statute, ordinance or regulation, other than the TCPA, CAN-SPAM Act of 2003 or FCRA and their amendments and additions, that addresses, prohibits, or limits the printing, dissemination, disposal, collecting, recording, sending, transmitting, communicating or distribution of material or information.

**COVERAGE C – MEDICAL PAYMENTS**

**1. Insuring Agreement**

**a.** We will pay medical expenses as described below for "bodily injury" caused by an accident:

**(1)** On premises you own or rent;

**(2)** On ways next to premises you own or rent; or

**(3)** Because of your operations;

provided that:

**(a)** The accident takes place in the "coverage territory" and during the policy period;

**(b)** The expenses are incurred and reported to us within one year of the date of the accident; and

**(c)** The injured person submits to examination, at our expense, by physicians of our choice as often as we reasonably require.

**b.** We will make these payments regardless of fault. These payments will not exceed the applicable limit of insurance. We will pay reasonable expenses for:

**(1)** First aid administered at the time of an accident;

**(2)** Necessary medical, surgical, X-ray and dental services, including prosthetic devices; and

**(3)** Necessary ambulance, hospital, professional nursing and funeral services.

**2. Exclusions**

We will not pay expenses for "bodily injury":

**a. Any Insured**

To any insured, except "volunteer workers".

**b. Hired Person**

To a person hired to do work for or on behalf of any insured or a tenant of any insured.

**c. Injury On Normally Occupied Premises**

To a person injured on that part of premises you own or rent that the person normally occupies.

**d. Workers' Compensation And Similar Laws**

To a person, whether or not an "employee" of any insured, if benefits for the "bodily injury" are payable or must be provided under a workers' compensation or disability benefits law or a similar law.

**e. Athletics Activities**

To a person injured while practicing, instructing or participating in any physical exercises or games, sports, or athletic contests.

**f. Products-Completed Operations Hazard**

Included within the "products-completed operations hazard".

**g. Coverage A Exclusions**

Excluded under Coverage **A.**

**SUPPLEMENTARY PAYMENTS – COVERAGES A AND B**

**1.** We will pay, with respect to any claim we investigate or settle, or any "suit" against an insured we defend:

**a.** All expenses we incur.

**b.** Up to $250 for cost of bail bonds required because of accidents or traffic law violations arising out of the use of any vehicle to which the Bodily Injury Liability Coverage applies. We do not have to furnish these bonds.

**c.** The cost of bonds to release attachments, but only for bond amounts within the applicable limit of insurance. We do not have to furnish these bonds.

**d.** All reasonable expenses incurred by the insured at our request to assist us in the investigation or defense of the claim or "suit", including actual loss of earnings up to $250 a day because of time off from work.

**e.** All court costs taxed against the insured in the "suit". However, these payments do not include attorneys' fees or attorneys' expenses taxed against the insured.

**f.** Prejudgment interest awarded against the insured on that part of the judgment we pay. If we make an offer to pay the applicable limit of insurance, we will not pay any prejudgment interest based on that period of time after the offer.

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**g.** All interest on the full amount of any judgment that accrues after entry of the judgment and before we have paid, offered to pay, or deposited in court the part of the judgment that is within the applicable limit of insurance.

These payments will not reduce the limits of insurance.

**2.** If we defend an insured against a "suit" and an indemnitee of the insured is also named as a party to the "suit", we will defend that indemnitee if all of the following conditions are met:

**a.** The "suit" against the indemnitee seeks damages for which the insured has assumed the liability of the indemnitee in a contract or agreement that is an "insured contract";

**b.** This insurance applies to such liability assumed by the insured;

**c.** The obligation to defend, or the cost of the defense of, that indemnitee, has also been assumed by the insured in the same "insured contract";

**d.** The allegations in the "suit" and the information we know about the "occurrence" are such that no conflict appears to exist between the interests of the insured and the interests of the indemnitee;

**e.** The indemnitee and the insured ask us to conduct and control the defense of that indemnitee against such "suit" and agree that we can assign the same counsel to defend the insured and the indemnitee; and

**f.** The indemnitee:

**(1)** Agrees in writing to:

**(a)** Cooperate with us in the investigation, settlement or defense of the "suit";

**(b)** Immediately send us copies of any demands, notices, summonses or legal papers received in connection with the "suit";

**(c)** Notify any other insurer whose coverage is available to the indemnitee; and

**(d)** Cooperate with us with respect to coordinating other applicable insurance available to the indemnitee; and

**(2)** Provides us with written authorization to:

**(a)** Obtain records and other information related to the "suit"; and

**(b)** Conduct and control the defense of the indemnitee in such "suit".

So long as the above conditions are met, attorneys' fees incurred by us in the defense of that indemnitee, necessary litigation expenses incurred by us and necessary litigation expenses incurred by the indemnitee at our request will be paid as Supplementary Payments. Notwithstanding the provisions of Paragraph **2.b.(2)** of Section **I** – Coverage **A** – Bodily Injury And Property Damage Liability, such payments will not be deemed to be damages for "bodily injury" and "property damage" and will not reduce the limits of insurance.

Our obligation to defend an insured's indemnitee and to pay for attorneys' fees and necessary litigation expenses as Supplementary Payments ends when we have used up the applicable limit of insurance in the payment of judgments or settlements or the conditions set forth above, or the terms of the agreement described in Paragraph **f.** above, are no longer met.

**SECTION II – WHO IS AN INSURED**

**1.** If you are designated in the Declarations as:

**a.** An individual, you and your spouse are insureds, but only with respect to the conduct of a business of which you are the sole owner.

**b.** A partnership or joint venture, you are an insured. Your members, your partners, and their spouses are also insureds, but only with respect to the conduct of your business.

**c.** A limited liability company, you are an insured. Your members are also insureds, but only with respect to the conduct of your business. Your managers are insureds, but only with respect to their duties as your managers.

**d.** An organization other than a partnership, joint venture or limited liability company, you are an insured. Your "executive officers" and directors are insureds, but only with respect to their duties as your officers or directors. Your stockholders are also insureds, but only with respect to their liability as stockholders.

**e.** A trust, you are an insured. Your trustees are also insureds, but only with respect to their duties as trustees.

**2.** Each of the following is also an insured:

**a.** Your "volunteer workers" only while performing duties related to the conduct of your business, or your "employees", other than either your "executive officers" (if you are an organization other than a partnership, joint venture or limited liability company) or your managers (if you are a limited liability company), but only for acts within the scope of their employment by you or while performing duties related to the conduct of your business. However, none of these "employees" or "volunteer workers" are insureds for:

**(1)** "Bodily injury" or "personal and advertising injury":

**(a)** To you, to your partners or members (if you are a partnership or joint venture), to your members (if you are a limited liability company), to a co-"employee" while in the course of his or her employment or performing duties related to the conduct of your business, or to your other "volunteer workers" while performing duties related to the conduct of your business;

**(b)** To the spouse, child, parent, brother or sister of that co-"employee" or "volunteer worker" as a consequence of Paragraph **(1)(a)** above;

**(c)** For which there is any obligation to share damages with or repay someone else who must pay damages because of the injury described in Paragraph **(1)(a)** or **(b)** above; or

**(d)** Arising out of his or her providing or failing to provide professional health care services.

**(2)** "Property damage" to property:

**(a)** Owned, occupied or used by;

**(b)** Rented to, in the care, custody or control of, or over which physical control is being exercised for any purpose by;

you, any of your "employees", "volunteer workers", any partner or member (if you are a partnership or joint venture), or any member (if you are a limited liability company).

**b.** Any person (other than your "employee" or "volunteer worker"), or any organization while acting as your real estate manager.

**c.** Any person or organization having proper temporary custody of your property if you die, but only:

**(1)** With respect to liability arising out of the maintenance or use of that property; and

**(2)** Until your legal representative has been appointed.

**d.** Your legal representative if you die, but only with respect to duties as such. That representative will have all your rights and duties under this Coverage Part.

**3.** Any organization you newly acquire or form, other than a partnership, joint venture or limited liability company, and over which you maintain ownership or majority interest, will qualify as a Named Insured if there is no other similar insurance available to that organization. However:

**a.** Coverage under this provision is afforded only until the 90th day after you acquire or form the organization or the end of the policy period, whichever is earlier;

**b.** Coverage **A** does not apply to "bodily injury" or "property damage" that occurred before you acquired or formed the organization; and

**c.** Coverage **B** does not apply to "personal and advertising injury" arising out of an offense committed before you acquired or formed the organization.

No person or organization is an insured with respect to the conduct of any current or past partnership, joint venture or limited liability company that is not shown as a Named Insured in the Declarations.

**SECTION III – LIMITS OF INSURANCE**

**1.** The Limits of Insurance shown in the Declarations and the rules below fix the most we will pay regardless of the number of:

**a.** Insureds;

**b.** Claims made or "suits" brought; or

**c.** Persons or organizations making claims or bringing "suits".

**2.** The General Aggregate Limit is the most we will pay for the sum of:

**a.** Medical expenses under Coverage **C;**

**b.** Damages under Coverage **A,** except damages because of "bodily injury" or "property damage" included in the "products-completed operations hazard"; and

**c.** Damages under Coverage **B.**

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**3.** The Products-Completed Operations Aggregate Limit is the most we will pay under Coverage **A** for damages because of "bodily injury" and "property damage" included in the "products-completed operations hazard".

**4.** Subject to Paragraph **2.** above, the Personal And Advertising Injury Limit is the most we will pay under Coverage **B** for the sum of all damages because of all "personal and advertising injury" sustained by any one person or organization.

**5.** Subject to Paragraph **2.** or **3.** above, whichever applies, the Each Occurrence Limit is the most we will pay for the sum of:

**a.** Damages under Coverage **A;** and

**b.** Medical expenses under Coverage **C**

because of all "bodily injury" and "property damage" arising out of any one "occurrence".

**6.** Subject to Paragraph **5.** above, the Damage To Premises Rented To You Limit is the most we will pay under Coverage **A** for damages because of "property damage" to any one premises, while rented to you, or in the case of damage by fire, while rented to you or temporarily occupied by you with permission of the owner.

**7.** Subject to Paragraph **5.** above, the Medical Expense Limit is the most we will pay under Coverage **C** for all medical expenses because of "bodily injury" sustained by any one person.

The Limits of Insurance of this Coverage Part apply separately to each consecutive annual period and to any remaining period of less than 12 months, starting with the beginning of the policy period shown in the Declarations, unless the policy period is extended after issuance for an additional period of less than 12 months. In that case, the additional period will be deemed part of the last preceding period for purposes of determining the Limits of Insurance.

**SECTION IV – COMMERCIAL GENERAL LIABILITY CONDITIONS**

**1. Bankruptcy**

Bankruptcy or insolvency of the insured or of the insured's estate will not relieve us of our obligations under this Coverage Part.

**2. Duties In The Event Of Occurrence, Offense, Claim Or Suit**

**a.** You must see to it that we are notified as soon as practicable of an "occurrence" or an offense which may result in a claim. To the extent possible, notice should include:

**(1)** How, when and where the "occurrence" or offense took place;

**(2)** The names and addresses of any injured persons and witnesses; and

**(3)** The nature and location of any injury or damage arising out of the "occurrence" or offense.

**b.** If a claim is made or "suit" is brought against any insured, you must:

**(1)** Immediately record the specifics of the claim or "suit" and the date received; and

**(2)** Notify us as soon as practicable.

You must see to it that we receive written notice of the claim or "suit" as soon as practicable.

**c.** You and any other involved insured must:

**(1)** Immediately send us copies of any demands, notices, summonses or legal papers received in connection with the claim or "suit";

**(2)** Authorize us to obtain records and other information;

**(3)** Cooperate with us in the investigation or settlement of the claim or defense against the "suit"; and

**(4)** Assist us, upon our request, in the enforcement of any right against any person or organization which may be liable to the insured because of injury or damage to which this insurance may also apply.

**d.** No insured will, except at that insured's own cost, voluntarily make a payment, assume any obligation, or incur any expense, other than for first aid, without our consent.

**3. Legal Action Against Us**

No person or organization has a right under this Coverage Part:

**a.** To join us as a party or otherwise bring us into a "suit" asking for damages from an insured; or

**b.** To sue us on this Coverage Part unless all of its terms have been fully complied with.

A person or organization may sue us to recover on an agreed settlement or on a final judgment against an insured; but we will not be liable for damages that are not payable under the terms of this Coverage Part or that are in excess of the applicable limit of insurance. An agreed settlement means a settlement and release of liability signed by us, the insured and the claimant or the claimant's legal representative.

**4. Other Insurance**

If other valid and collectible insurance is available to the insured for a loss we cover under Coverages **A** or **B** of this Coverage Part, our obligations are limited as follows:

**a. Primary Insurance**

This insurance is primary except when Paragraph **b.** below applies. If this insurance is primary, our obligations are not affected unless any of the other insurance is also primary. Then, we will share with all that other insurance by the method described in Paragraph **c.** below.

**b. Excess Insurance**

**(1)** This insurance is excess over:

**(a)** Any of the other insurance, whether primary, excess, contingent or on any other basis:

**(i)** That is Fire, Extended Coverage, Builder's Risk, Installation Risk or similar coverage for "your work";

**(ii)** That is Fire insurance for premises rented to you or temporarily occupied by you with permission of the owner;

**(iii)** That is insurance purchased by you to cover your liability as a tenant for "property damage" to premises rented to you or temporarily occupied by you with permission of the owner; or

**(iv)** If the loss arises out of the maintenance or use of aircraft, "autos" or watercraft to the extent not subject to Exclusion **g.** of Section **I** – Coverage **A** – Bodily Injury And Property Damage Liability.

**(b)** Any other primary insurance available to you covering liability for damages arising out of the premises or operations, or the products and completed operations, for which you have been added as an additional insured.

**(2)** When this insurance is excess, we will have no duty under Coverages **A** or **B** to defend the insured against any "suit" if any other insurer has a duty to defend the insured against that "suit". If no other insurer defends, we will undertake to do so, but we will be entitled to the insured's rights against all those other insurers.

**(3)** When this insurance is excess over other insurance, we will pay only our share of the amount of the loss, if any, that exceeds the sum of:

**(a)** The total amount that all such other insurance would pay for the loss in the absence of this insurance; and

**(b)** The total of all deductible and self-insured amounts under all that other insurance.

**(4)** We will share the remaining loss, if any, with any other insurance that is not described in this Excess Insurance provision and was not bought specifically to apply in excess of the Limits of Insurance shown in the Declarations of this Coverage Part.

**c. Method Of Sharing**

If all of the other insurance permits contribution by equal shares, we will follow this method also. Under this approach each insurer contributes equal amounts until it has paid its applicable limit of insurance or none of the loss remains, whichever comes first.

If any of the other insurance does not permit contribution by equal shares, we will contribute by limits. Under this method, each insurer's share is based on the ratio of its applicable limit of insurance to the total applicable limits of insurance of all insurers.

**5. Premium Audit**

**a.** We will compute all premiums for this Coverage Part in accordance with our rules and rates.

**b.** Premium shown in this Coverage Part as advance premium is a deposit premium only. At the close of each audit period we will compute the earned premium for that period and send notice to the first Named Insured. The due date for audit and retrospective premiums is the date shown as the due date on the bill. If the sum of the advance and audit premiums paid for the policy period is greater than the earned premium, we will return the excess to the first Named Insured.

**c.** The first Named Insured must keep records of the information we need for premium computation, and send us copies at such times as we may request.

**6. Representations**

By accepting this policy, you agree:

**a.** The statements in the Declarations are accurate and complete;

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**b.** Those statements are based upon representations you made to us; and

**c.** We have issued this policy in reliance upon your representations.

**7. Separation Of Insureds**

Except with respect to the Limits of Insurance, and any rights or duties specifically assigned in this Coverage Part to the first Named Insured, this insurance applies:

**a.** As if each Named Insured were the only Named Insured; and

**b.** Separately to each insured against whom claim is made or "suit" is brought.

**8. Transfer Of Rights Of Recovery Against Others To Us**

If the insured has rights to recover all or part of any payment we have made under this Coverage Part, those rights are transferred to us. The insured must do nothing after loss to impair them. At our request, the insured will bring "suit" or transfer those rights to us and help us enforce them.

**9. When We Do Not Renew**

If we decide not to renew this Coverage Part, we will mail or deliver to the first Named Insured shown in the Declarations written notice of the nonrenewal not less than 30 days before the expiration date.

If notice is mailed, proof of mailing will be sufficient proof of notice.

**SECTION V – DEFINITIONS**

**1.** "Advertisement" means a notice that is broadcast or published to the general public or specific market segments about your goods, products or services for the purpose of attracting customers or supporters. For the purposes of this definition:

**a.** Notices that are published include material placed on the Internet or on similar electronic means of communication; and

**b.** Regarding web sites, only that part of a web site that is about your goods, products or services for the purposes of attracting customers or supporters is considered an advertisement.

**2.** "Auto" means:

**a.** A land motor vehicle, trailer or semitrailer designed for travel on public roads, including any attached machinery or equipment; or

**b.** Any other land vehicle that is subject to a compulsory or financial responsibility law or other motor vehicle insurance law where it is licensed or principally garaged.

However, "auto" does not include "mobile equipment".

**3.** "Bodily injury" means bodily injury, sickness or disease sustained by a person, including death resulting from any of these at any time.

**4.** "Coverage territory" means:

**a.** The United States of America (including its territories and possessions), Puerto Rico and Canada;

**b.** International waters or airspace, but only if the injury or damage occurs in the course of travel or transportation between any places included in Paragraph **a.** above; or

**c.** All other parts of the world if the injury or damage arises out of:

**(1)** Goods or products made or sold by you in the territory described in Paragraph **a.** above;

**(2)** The activities of a person whose home is in the territory described in Paragraph **a.** above, but is away for a short time on your business; or

**(3)** "Personal and advertising injury" offenses that take place through the Internet or similar electronic means of communication;

provided the insured's responsibility to pay damages is determined in a "suit" on the merits, in the territory described in Paragraph **a.** above or in a settlement we agree to.

**5.** "Employee" includes a "leased worker". "Employee" does not include a "temporary worker".

**6.** "Executive officer" means a person holding any of the officer positions created by your charter, constitution, bylaws or any other similar governing document.

**7.** "Hostile fire" means one which becomes uncontrollable or breaks out from where it was intended to be.

**8.** "Impaired property" means tangible property, other than "your product" or "your work", that cannot be used or is less useful because:

**a.** It incorporates "your product" or "your work" that is known or thought to be defective, deficient, inadequate or dangerous; or

**b.** You have failed to fulfill the terms of a contract or agreement;

if such property can be restored to use by the repair, replacement, adjustment or removal of "your product" or "your work" or your fulfilling the terms of the contract or agreement.

**9.** "Insured contract" means:

**a.** A contract for a lease of premises. However, that portion of the contract for a lease of premises that indemnifies any person or organization for damage by fire to premises while rented to you or temporarily occupied by you with permission of the owner is not an "insured contract";

**b.** A sidetrack agreement;

**c.** Any easement or license agreement, except in connection with construction or demolition operations on or within 50 feet of a railroad;

**d.** An obligation, as required by ordinance, to indemnify a municipality, except in connection with work for a municipality;

**e.** An elevator maintenance agreement;

**f.** That part of any other contract or agreement pertaining to your business (including an indemnification of a municipality in connection with work performed for a municipality) under which you assume the tort liability of another party to pay for "bodily injury" or "property damage" to a third person or organization. Tort liability means a liability that would be imposed by law in the absence of any contract or agreement.

Paragraph **f.** does not include that part of any contract or agreement:

**(1)** That indemnifies a railroad for "bodily injury" or "property damage" arising out of construction or demolition operations, within 50 feet of any railroad property and affecting any railroad bridge or trestle, tracks, road-beds, tunnel, underpass or crossing;

**(2)** That indemnifies an architect, engineer or surveyor for injury or damage arising out of:

**(a)** Preparing, approving, or failing to prepare or approve, maps, shop drawings, opinions, reports, surveys, field orders, change orders or drawings and specifications; or

**(b)** Giving directions or instructions, or failing to give them, if that is the primary cause of the injury or damage; or

**(3)** Under which the insured, if an architect, engineer or surveyor, assumes liability for an injury or damage arising out of the insured's rendering or failure to render professional services, including those listed in **(2)** above and supervisory, inspection, architectural or engineering activities.

**10.** "Leased worker" means a person leased to you by a labor leasing firm under an agreement between you and the labor leasing firm, to perform duties related to the conduct of your business. "Leased worker" does not include a "temporary worker".

**11.** "Loading or unloading" means the handling of property:

**a.** After it is moved from the place where it is accepted for movement into or onto an aircraft, watercraft or "auto";

**b.** While it is in or on an aircraft, watercraft or "auto"; or

**c.** While it is being moved from an aircraft, watercraft or "auto" to the place where it is finally delivered;

but "loading or unloading" does not include the movement of property by means of a mechanical device, other than a hand truck, that is not attached to the aircraft, watercraft or "auto".

**12.** "Mobile equipment" means any of the following types of land vehicles, including any attached machinery or equipment:

**a.** Bulldozers, farm machinery, forklifts and other vehicles designed for use principally off public roads;

**b.** Vehicles maintained for use solely on or next to premises you own or rent;

**c.** Vehicles that travel on crawler treads;

**d.** Vehicles, whether self-propelled or not, maintained primarily to provide mobility to permanently mounted:

**(1)** Power cranes, shovels, loaders, diggers or drills; or

**(2)** Road construction or resurfacing equipment such as graders, scrapers or rollers;

**e.** Vehicles not described in Paragraph **a., b., c.** or **d.** above that are not self-propelled and are maintained primarily to provide mobility to permanently attached equipment of the following types:

**(1)** Air compressors, pumps and generators, including spraying, welding, building cleaning, geophysical exploration, lighting and well servicing equipment; or

**(2)** Cherry pickers and similar devices used to raise or lower workers;

**f.** Vehicles not described in Paragraph **a., b., c.** or **d.** above maintained primarily for purposes other than the transportation of persons or cargo.

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However, self-propelled vehicles with the following types of permanently attached equipment are not "mobile equipment" but will be considered "autos":

**(1)** Equipment designed primarily for:

**(a)** Snow removal;

**(b)** Road maintenance, but not construction or resurfacing; or

**(c)** Street cleaning;

**(2)** Cherry pickers and similar devices mounted on automobile or truck chassis and used to raise or lower workers; and

**(3)** Air compressors, pumps and generators, including spraying, welding, building cleaning, geophysical exploration, lighting and well servicing equipment.

However, "mobile equipment" does not include any land vehicles that are subject to a compulsory or financial responsibility law or other motor vehicle insurance law where it is licensed or principally garaged. Land vehicles subject to a compulsory or financial responsibility law or other motor vehicle insurance law are considered "autos".

**13.** "Occurrence" means an accident, including continuous or repeated exposure to substantially the same general harmful conditions.

**14.** "Personal and advertising injury" means injury, including consequential "bodily injury", arising out of one or more of the following offenses:

**a.** False arrest, detention or imprisonment;

**b.** Malicious prosecution;

**c.** The wrongful eviction from, wrongful entry into, or invasion of the right of private occupancy of a room, dwelling or premises that a person occupies, committed by or on behalf of its owner, landlord or lessor;

**d.** Oral or written publication, in any manner, of material that slanders or libels a person or organization or disparages a person's or organization's goods, products or services;

**e.** Oral or written publication, in any manner, of material that violates a person's right of privacy;

**f.** The use of another's advertising idea in your "advertisement"; or

**g.** Infringing upon another's copyright, trade dress or slogan in your "advertisement".

**15.** "Pollutants" mean any solid, liquid, gaseous or thermal irritant or contaminant, including smoke, vapor, soot, fumes, acids, alkalis, chemicals and waste. Waste includes materials to be recycled, reconditioned or reclaimed.

**16.** "Products-completed operations hazard":

**a.** Includes all "bodily injury" and "property damage" occurring away from premises you own or rent and arising out of "your product" or "your work" except:

**(1)** Products that are still in your physical possession; or

**(2)** Work that has not yet been completed or abandoned. However, "your work" will be deemed completed at the earliest of the following times:

**(a)** When all of the work called for in your contract has been completed.

**(b)** When all of the work to be done at the job site has been completed if your contract calls for work at more than one job site.

**(c)** When that part of the work done at a job site has been put to its intended use by any person or organization other than another contractor or subcontractor working on the same project.

Work that may need service, maintenance, correction, repair or replacement, but which is otherwise complete, will be treated as completed.

**b.** Does not include "bodily injury" or "property damage" arising out of:

**(1)** The transportation of property, unless the injury or damage arises out of a condition in or on a vehicle not owned or operated by you, and that condition was created by the "loading or unloading" of that vehicle by any insured;

**(2)** The existence of tools, uninstalled equipment or abandoned or unused materials; or

**(3)** Products or operations for which the classification, listed in the Declarations or in a policy Schedule, states that products-completed operations are subject to the General Aggregate Limit.

**17.** "Property damage" means:

**a.** Physical injury to tangible property, including all resulting loss of use of that property. All such loss of use shall be deemed to occur at the time of the physical injury that caused it; or

**b.** Loss of use of tangible property that is not physically injured. All such loss of use shall be deemed to occur at the time of the "occurrence" that caused it.

For the purposes of this insurance, electronic data is not tangible property.

As used in this definition, electronic data means information, facts or programs stored as or on, created or used on, or transmitted to or from computer software, including systems and applications software, hard or floppy disks, CD-ROMs, tapes, drives, cells, data processing devices or any other media which are used with electronically controlled equipment.

**18.** "Suit" means a civil proceeding in which damages because of "bodily injury", "property damage" or "personal and advertising injury" to which this insurance applies are alleged. "Suit" includes:

**a.** An arbitration proceeding in which such damages are claimed and to which the insured must submit or does submit with our consent; or

**b.** Any other alternative dispute resolution proceeding in which such damages are claimed and to which the insured submits with our consent.

**19.** "Temporary worker" means a person who is furnished to you to substitute for a permanent "employee" on leave or to meet seasonal or short-term workload conditions.

**20.** "Volunteer worker" means a person who is not your "employee", and who donates his or her work and acts at the direction of and within the scope of duties determined by you, and is not paid a fee, salary or other compensation by you or anyone else for their work performed for you.

**21.** "Your product":

**a.** Means:

**(1)** Any goods or products, other than real property, manufactured, sold, handled, distributed or disposed of by:

**(a)** You;

**(b)** Others trading under your name; or

**(c)** A person or organization whose business or assets you have acquired; and

**(2)** Containers (other than vehicles), materials, parts or equipment furnished in connection with such goods or products.

**b.** Includes:

**(1)** Warranties or representations made at any time with respect to the fitness, quality, durability, performance or use of "your product"; and

**(2)** The providing of or failure to provide warnings or instructions.

**c.** Does not include vending machines or other property rented to or located for the use of others but not sold.

**22.** "Your work":

**a.** Means:

**(1)** Work or operations performed by you or on your behalf; and

**(2)** Materials, parts or equipment furnished in connection with such work or operations.

**b.** Includes:

**(1)** Warranties or representations made at any time with respect to the fitness, quality, durability, performance or use of "your work"; and

**(2)** The providing of or failure to provide warnings or instructions.

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**THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.**

# DEDUCTIBLE LIABILITY INSURANCE

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART
PRODUCTS/COMPLETED OPERATIONS LIABILITY COVERAGE PART

**SCHEDULE**

| **Coverage** | **Amount and Basis of Deductible** | | |
|---|---|---|---|
| | **PER CLAIM** | **or** | **PER OCCURRENCE** |
| Bodily Injury Liability | $ | | $ |
| OR | | | |
| Property Damage Liability | $ 1,000 | | $ |
| OR | | | |
| Bodily Injury Liability and/or Property Damage Liability Combined | $ | | $ |

(If no entry appears above, information required to complete this endorsement will be shown in the Declarations as applicable to this endorsement.)

**APPLICATION OF ENDORSEMENT** (Enter below any limitations on the application of this endorsement. If no limitation is entered, the deductibles apply to damages for all "bodily injury" and "property damage", however caused):
The above deductible applies to operations under a selected classification.
Class Code(s) with Deductible:

| | |
|---|---|
| 96816 | Janitorial Services |
| 91342 | Carpentry |
| 91585 | Contractors - subcontracted work - in connection with construction, reconstruction, repair or erecti.. |

**A.** Our obligation under the Bodily Injury Liability and Property Damage Liability Coverages to pay damages on your behalf applies only to the amount of damages in excess of any deductible amounts stated in the Schedule above as applicable to such coverages.

**B.** You may select a deductible amount on either a per claim or a per "occurrence" basis. Your selected deductible applies to the coverage option and to the basis of the deductible indicated by the placement of the deductible amount in the Schedule above. The deductible amount stated in the Schedule above applies as follows:

**1. PER CLAIM BASIS.** If the deductible amount indicated in the Schedule above is on a per claim basis, that deductible applies as follows:

**a.** Under Bodily Injury Liability Coverage, to all damages sustained by any one person because of "bodily injury";

**b.** Under Property Damage Liability Coverage, to all damages sustained by any one person because of "property damage"; or

**c.** Under Bodily Injury Liability and/or Property Damage Liability Coverage Combined, to all damages sustained by any one person because of:

**(1)** "Bodily injury";

**(2)** "Property damage"; or

**(3)** "Bodily injury" and "property damage" combined

as the result of any one "occurrence".

If damages are claimed for care, loss of services or death resulting at any time from "bodily injury", a separate deductible amount will be applied to each person making a claim for such damages.

With respect to "property damage", person includes an organization.

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**2. PER OCCURRENCE BASIS.** If the deductible amount indicated in the Schedule above is on a "per occurrence" basis, that deductible amount applies as follows:

**a.** Under Bodily Injury Liability Coverage, to all damages because of "bodily injury";

**b.** Under Property Damage Liability Coverage, to all damages because of "property damage"; or

**c.** Under Bodily Injury Liability and/or Property Damage Liability Coverage Combined, to all damages because of:

**(1)** "Bodily injury";

**(2)** "Property damage"; or

**(3)** "Bodily injury" and "property damage" combined

as the result of any one "occurrence", regardless of the number of persons or organizations who sustain damages because of that "occurrence".

**C.** The terms of this insurance, including those with respect to:

**1.** Our right and duty to defend the insured against any "suits" seeking those damages; and

**2.** Your duties in the event of an "occurrence", claim, or "suit"

apply irrespective of the application of the deductible amount.

**D.** We may pay any part or all of the deductible amount to effect settlement of any claim or "suit" and, upon notification of the action taken, you shall promptly reimburse us for such part of the deductible amount as has been paid by us.


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**THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.**

# DEDUCTIBLE LIABILITY INSURANCE

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART
PRODUCTS/COMPLETED OPERATIONS LIABILITY COVERAGE PART

**SCHEDULE**

| **Coverage** | **Amount and Basis of Deductible** | | |
|---|---|---|---|
| | **PER CLAIM** | **or** | **PER OCCURRENCE** |
| Bodily Injury Liability | $ | | $ |
| OR | | | |
| Property Damage Liability | $ 1,000 | | $ |
| OR | | | |
| Bodily Injury Liability and/or Property Damage Liability Combined | $ | | $ |

(If no entry appears above, information required to complete this endorsement will be shown in the Declarations as applicable to this endorsement.)

**APPLICATION OF ENDORSEMENT** (Enter below any limitations on the application of this endorsement. If no limitation is entered, the deductibles apply to damages for all "bodily injury" and "property damage", however caused):
The above deductible applies to operations under a selected classification.
Class Code(s) with Deductible:

| | |
|---|---|
| 98304 | Painting - exterior - buildings or structures - three stories or less in height |
| 91580 | Contractors - Executive Supervisors or Executive Superintendents |
| 95647 | Heating or Combined Heating and Air Conditioning Systems or Equipment - dealers or distributors |

**A.** Our obligation under the Bodily Injury Liability and Property Damage Liability Coverages to pay damages on your behalf applies only to the amount of damages in excess of any deductible amounts stated in the Schedule above as applicable to such coverages.

**B.** You may select a deductible amount on either a per claim or a per "occurrence" basis. Your selected deductible applies to the coverage option and to the basis of the deductible indicated by the placement of the deductible amount in the Schedule above. The deductible amount stated in the Schedule above applies as follows:

**1. PER CLAIM BASIS.** If the deductible amount indicated in the Schedule above is on a per claim basis, that deductible applies as follows:

**a.** Under Bodily Injury Liability Coverage, to all damages sustained by any one person because of "bodily injury";

**b.** Under Property Damage Liability Coverage, to all damages sustained by any one person because of "property damage"; or

**c.** Under Bodily Injury Liability and/or Property Damage Liability Coverage Combined, to all damages sustained by any one person because of:

**(1)** "Bodily injury";

**(2)** "Property damage"; or

**(3)** "Bodily injury" and "property damage" combined

as the result of any one "occurrence".

If damages are claimed for care, loss of services or death resulting at any time from "bodily injury", a separate deductible amount will be applied to each person making a claim for such damages.

With respect to "property damage", person includes an organization.

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**2. PER OCCURRENCE BASIS.** If the deductible amount indicated in the Schedule above is on a "per occurrence" basis, that deductible amount applies as follows:

**a.** Under Bodily Injury Liability Coverage, to all damages because of "bodily injury";

**b.** Under Property Damage Liability Coverage, to all damages because of "property damage"; or

**c.** Under Bodily Injury Liability and/or Property Damage Liability Coverage Combined, to all damages because of:

**(1)** "Bodily injury";

**(2)** "Property damage"; or

**(3)** "Bodily injury" and "property damage" combined

as the result of any one "occurrence", regardless of the number of persons or organizations who sustain damages because of that "occurrence".

**C.** The terms of this insurance, including those with respect to:

**1.** Our right and duty to defend the insured against any "suits" seeking those damages; and

**2.** Your duties in the event of an "occurrence", claim, or "suit"

apply irrespective of the application of the deductible amount.

**D.** We may pay any part or all of the deductible amount to effect settlement of any claim or "suit" and, upon notification of the action taken, you shall promptly reimburse us for such part of the deductible amount as has been paid by us.


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**THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.**

# DEDUCTIBLE LIABILITY INSURANCE

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART
PRODUCTS/COMPLETED OPERATIONS LIABILITY COVERAGE PART

**SCHEDULE**

| **Coverage** | **Amount and Basis of Deductible** | | |
|---|---|---|---|
| | **PER CLAIM** | **or** | **PER OCCURRENCE** |
| Bodily Injury Liability | $ | | $ |
| OR | | | |
| Property Damage Liability | $ 1,000 | | $ |
| OR | | | |
| Bodily Injury Liability and/or Property Damage Liability Combined | $ | | $ |

(If no entry appears above, information required to complete this endorsement will be shown in the Declarations as applicable to this endorsement.)

**APPLICATION OF ENDORSEMENT** (Enter below any limitations on the application of this endorsement. If no limitation is entered, the deductibles apply to damages for all "bodily injury" and "property damage", however caused):
The above deductible applies to operations under a selected classification.
Class Code(s) with Deductible:

| | |
|---|---|
| 91340 | Carpentry - construction of residential property not exceeding three stories in height |
| 91341 | Carpentry - interior |

**A.** Our obligation under the Bodily Injury Liability and Property Damage Liability Coverages to pay damages on your behalf applies only to the amount of damages in excess of any deductible amounts stated in the Schedule above as applicable to such coverages.

**B.** You may select a deductible amount on either a per claim or a per "occurrence" basis. Your selected deductible applies to the coverage option and to the basis of the deductible indicated by the placement of the deductible amount in the Schedule above. The deductible amount stated in the Schedule above applies as follows:

**1. PER CLAIM BASIS.** If the deductible amount indicated in the Schedule above is on a per claim basis, that deductible applies as follows:

**a.** Under Bodily Injury Liability Coverage, to all damages sustained by any one person because of "bodily injury";

**b.** Under Property Damage Liability Coverage, to all damages sustained by any one person because of "property damage"; or

**c.** Under Bodily Injury Liability and/or Property Damage Liability Coverage Combined, to all damages sustained by any one person because of:

**(1)** "Bodily injury";

**(2)** "Property damage"; or

**(3)** "Bodily injury" and "property damage" combined

as the result of any one "occurrence".

If damages are claimed for care, loss of services or death resulting at any time from "bodily injury", a separate deductible amount will be applied to each person making a claim for such damages.

With respect to "property damage", person includes an organization.

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**2. PER OCCURRENCE BASIS.** If the deductible amount indicated in the Schedule above is on a "per occurrence" basis, that deductible amount applies as follows:

**a.** Under Bodily Injury Liability Coverage, to all damages because of "bodily injury";

**b.** Under Property Damage Liability Coverage, to all damages because of "property damage"; or

**c.** Under Bodily Injury Liability and/or Property Damage Liability Coverage Combined, to all damages because of:

**(1)** "Bodily injury";

**(2)** "Property damage"; or

**(3)** "Bodily injury" and "property damage" combined

as the result of any one "occurrence", regardless of the number of persons or organizations who sustain damages because of that "occurrence".

**C.** The terms of this insurance, including those with respect to:

**1.** Our right and duty to defend the insured against any "suits" seeking those damages; and

**2.** Your duties in the event of an "occurrence", claim, or "suit"

apply irrespective of the application of the deductible amount.

**D.** We may pay any part or all of the deductible amount to effect settlement of any claim or "suit" and, upon notification of the action taken, you shall promptly reimburse us for such part of the deductible amount as has been paid by us.


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**THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.**

# EMPLOYEE BENEFITS LIABILITY COVERAGE

**THIS ENDORSEMENT PROVIDES CLAIMS-MADE COVERAGE.**
**PLEASE READ THE ENTIRE ENDORSEMENT CAREFULLY.**

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART

**SCHEDULE**

| Coverage | Limit Of Insurance | | Each Employee Deductible | Premium |
|---|---|---|---|---|
| **Employee Benefits Programs** | **$** 1,000,000 | **each employee** | **$** 1,000 | **$** 155 |
| | **$** 1,000,000 | **aggregate** | | |
| **Retroactive Date:** | 01-01-2008 | | | |
| Information required to complete this Schedule, if not shown above, will be shown in the Declarations. | | | | |

**A.** The following is added to **Section I – Coverages:**

**COVERAGE – EMPLOYEE BENEFITS LIABILITY**

**1. Insuring Agreement**

**a.** We will pay those sums that the insured becomes legally obligated to pay as damages because of any act, error or omission, of the insured, or of any other person for whose acts the insured is legally liable, to which this insurance applies. We will have the right and duty to defend the insured against any "suit" seeking those damages. However, we will have no duty to defend the insured against any "suit" seeking damages to which this insurance does not apply. We may, at our discretion, investigate any report of an act, error or omission and settle any "claim" or "suit" that may result. But:

**(1)** The amount we will pay for damages is limited as described in Paragraph **D.** (Section **III** – Limits Of Insurance); and

**(2)** Our right and duty to defend ends when we have used up the applicable limit of insurance in the payment of judgments or settlements.

No other obligation or liability to pay sums or perform acts or services is covered unless explicitly provided for under Supplementary Payments.

**b.** This insurance applies to damages only if:

**(1)** The act, error or omission, is negligently committed in the "administration" of your "employee benefit program";

**(2)** The act, error or omission, did not take place before the Retroactive Date, if any, shown in the Schedule nor after the end of the policy period; and

**(3)** A "claim" for damages, because of an act, error or omission, is first made against any insured, in accordance with Paragraph **c.** below, during the policy period or an Extended Reporting Period we provide under Paragraph **F.** of this endorsement.

**c.** A "claim" seeking damages will be deemed to have been made at the earlier of the following times:

**(1)** When notice of such "claim" is received and recorded by any insured or by us, whichever comes first; or


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**(2)** When we make settlement in accordance with Paragraph **a.** above.

A "claim" received and recorded by the insured within 60 days after the end of the policy period will be considered to have been received within the policy period, if no subsequent policy is available to cover the claim.

**d.** All "claims" for damages made by an "employee" because of any act, error or omission, or a series of related acts, errors or omissions, including damages claimed by such "employee's" dependents and beneficiaries, will be deemed to have been made at the time the first of those "claims" is made against any insured.

**2. Exclusions**

This insurance does not apply to:

**a. Dishonest, Fraudulent, Criminal Or Malicious Act**

Damages arising out of any intentional, dishonest, fraudulent, criminal or malicious act, error or omission, committed by any insured, including the willful or reckless violation of any statute.

**b. Bodily Injury, Property Damage, Or Personal And Advertising Injury**

"Bodily injury", "property damage" or "personal and advertising injury".

**c. Failure To Perform A Contract**

Damages arising out of failure of performance of contract by any insurer.

**d. Insufficiency Of Funds**

Damages arising out of an insufficiency of funds to meet any obligations under any plan included in the "employee benefit program".

**e. Inadequacy Of Performance Of Investment/Advice Given With Respect To Participation**

Any "claim" based upon:

**(1)** Failure of any investment to perform;

**(2)** Errors in providing information on past performance of investment vehicles; or

**(3)** Advice given to any person with respect to that person's decision to participate or not to participate in any plan included in the "employee benefit program".

**f. Workers' Compensation And Similar Laws**

Any "claim" arising out of your failure to comply with the mandatory provisions of any workers' compensation, unemployment compensation insurance, social security or disability benefits law or any similar law.

**g. ERISA**

Damages for which any insured is liable because of liability imposed on a fiduciary by the Employee Retirement Income Security Act of 1974, as now or hereafter amended, or by any similar federal, state or local laws.

**h. Available Benefits**

Any "claim" for benefits to the extent that such benefits are available, with reasonable effort and cooperation of the insured, from the applicable funds accrued or other collectible insurance.

**i. Taxes, Fines Or Penalties**

Taxes, fines or penalties, including those imposed under the Internal Revenue Code or any similar state or local law.

**j. Employment-Related Practices**

Damages arising out of wrongful termination of employment, discrimination, or other employment-related practices.

**B.** For the purposes of the coverage provided by this endorsement:

**1.** All references to Supplementary Payments – Coverages **A** and **B** are replaced by Supplementary Payments – Coverages **A, B** and **Employee Benefits Liability.**

**2.** Paragraphs **1.b.** and **2.** of the Supplementary Payments provision do not apply.

**C.** For the purposes of the coverage provided by this endorsement, Paragraphs **2.** and **3.** of **Section II – Who Is An Insured** are replaced by the following:

**2.** Each of the following is also an insured:

**a.** Each of your "employees" who is or was authorized to administer your "employee benefit program".

**b.** Any persons, organizations or "employees" having proper temporary authorization to administer your "employee benefit program" if you die, but only until your legal representative is appointed.


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**c.** Your legal representative if you die, but only with respect to duties as such. That representative will have all your rights and duties under this Endorsement.

**3.** Any organization you newly acquire or form, other than a partnership, joint venture or limited liability company, and over which you maintain ownership or majority interest, will qualify as a Named Insured if no other similar insurance applies to that organization. However:

**a.** Coverage under this provision is afforded only until the 90th day after you acquire or form the organization or the end of the policy period, whichever is earlier.

**b.** Coverage under this provision does not apply to any act, error or omission that was committed before you acquired or formed the organization.

**D.** For the purposes of the coverage provided by this endorsement, **Section III – Limits Of Insurance** is replaced by the following:

**1. Limits Of Insurance**

**a.** The Limits of Insurance shown in the Schedule and the rules below fix the most we will pay regardless of the number of:

**(1)** Insureds;

**(2)** "Claims" made or "suits" brought;

**(3)** Persons or organizations making "claims" or bringing "suits";

**(4)** Acts, errors or omissions; or

**(5)** Benefits included in your "employee benefit program".

**b.** The Aggregate Limit is the most we will pay for all damages because of acts, errors or omissions negligently committed in the "administration" of your "employee benefit program".

**c.** Subject to the Aggregate Limit, the Each Employee Limit is the most we will pay for all damages sustained by any one "employee", including damages sustained by such "employee's" dependents and beneficiaries, as a result of:

**(1)** An act, error or omission; or

**(2)** A series of related acts, errors or omissions

negligently committed in the "administration" of your "employee benefit program".

However, the amount paid under this endorsement shall not exceed, and will be subject to, the limits and restrictions that apply to the payment of benefits in any plan included in the "employee benefit program".

The Limits of Insurance of this endorsement apply separately to each consecutive annual period and to any remaining period of less than 12 months, starting with the beginning of the policy period shown in the Declarations of the policy to which this endorsement is attached, unless the policy period is extended after issuance for an additional period of less than 12 months. In that case, the additional period will be deemed part of the last preceding period for purposes of determining the Limits Of Insurance.

**2. Deductible**

**a.** Our obligation to pay damages on behalf of the insured applies only to the amount of damages in excess of the deductible amount stated in the Schedule as applicable to Each Employee. The limits of insurance shall not be reduced by the amount of this deductible.

**b.** The deductible amount stated in the Schedule applies to all damages sustained by any one "employee", including such "employee's" dependents and beneficiaries, because of all acts, errors or omissions to which this insurance applies.

**c.** The terms of this insurance, including those with respect to:

**(1)** Our right and duty to defend any "suits" seeking those damages; and

**(2)** Your duties, and the duties of any other involved insured, in the event of an act, error or omission, or "claim"

apply irrespective of the application of the deductible amount.

**d.** We may pay any part or all of the deductible amount to effect settlement of any "claim" or "suit" and, upon notification of the action taken, you shall promptly reimburse us for such part of the deductible amount as we have paid.

**E.** For the purposes of the coverage provided by this endorsement, Conditions **2.** and **4.** of **Section IV – Commercial General Liability Conditions** are replaced by the following:

**2. Duties In The Event Of An Act, Error Or Omission, Or "Claim" Or "Suit"**

**a.** You must see to it that we are notified as soon as practicable of an act, error or omission which may result in a "claim". To the extent possible, notice should include:

**(1)** What the act, error or omission was and when it occurred; and


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**(2)** The names and addresses of anyone who may suffer damages as a result of the act, error or omission.

**b.** If a "claim" is made or "suit" is brought against any insured, you must:

**(1)** Immediately record the specifics of the "claim" or "suit" and the date received; and

**(2)** Notify us as soon as practicable.

You must see to it that we receive written notice of the "claim" or "suit" as soon as practicable.

**c.** You and any other involved insured must:

**(1)** Immediately send us copies of any demands, notices, summonses or legal papers received in connection with the "claim" or "suit";

**(2)** Authorize us to obtain records and other information;

**(3)** Cooperate with us in the investigation or settlement of the "claim" or defense against the "suit"; and

**(4)** Assist us, upon our request, in the enforcement of any right against any person or organization which may be liable to the insured because of an act, error or omission to which this insurance may also apply.

**d.** No insured will, except at that insured's own cost, voluntarily make a payment, assume any obligation or incur any expense without our consent.

**4. Other Insurance**

If other valid and collectible insurance is available to the insured for a loss we cover under this endorsement, our obligations are limited as follows:

**a. Primary Insurance**

This insurance is primary except when Paragraph **b.** below applies. If this insurance is primary, our obligations are not affected unless any of the other insurance is also primary. Then, we will share with all that other insurance by the method described in Paragraph **c.** below.

**b. Excess Insurance**

**(1)** This insurance is excess over any of the other insurance, whether primary, excess, contingent or on any other basis that is effective prior to the beginning of the policy period shown in the Schedule of this insurance and that applies to an act, error or omission on other than a claims-made basis, if:

**(a)** No Retroactive Date is shown in the Schedule of this insurance; or

**(b)** The other insurance has a policy period which continues after the Retroactive Date shown in the Schedule of this insurance.

**(2)** When this insurance is excess, we will have no duty to defend the insured against any "suit" if any other insurer has a duty to defend the insured against that "suit". If no other insurer defends, we will undertake to do so, but we will be entitled to the insured's rights against all those other insurers.

**(3)** When this insurance is excess over other insurance, we will pay only our share of the amount of the loss, if any, that exceeds the sum of the total amount that all such other insurance would pay for the loss in absence of this insurance; and the total of all deductible and self-insured amounts under all that other insurance.

**(4)** We will share the remaining loss, if any, with any other insurance that is not described in this Excess Insurance provision and was not bought specifically to apply in excess of the Limits of Insurance shown in the Schedule of this endorsement.

**c. Method Of Sharing**

If all of the other insurance permits contribution by equal shares, we will follow this method also. Under this approach each insurer contributes equal amounts until it has paid its applicable limit of insurance or none of the loss remains, whichever comes first.

If any of the other insurance does not permit contribution by equal shares, we will contribute by limits. Under this method, each insurer's share is based on the ratio of its applicable limits of insurance to the total applicable limits of insurance of all insurers.


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**F.** For the purposes of the coverage provided by this endorsement, the following Extended Reporting Period provisions are added, or, if this endorsement is attached to a claims-made Coverage Part, replaces any similar Section in that Coverage Part:

**EXTENDED REPORTING PERIOD**

**1.** You will have the right to purchase an Extended Reporting Period, as described below, if:

**a.** This endorsement is canceled or not renewed; or

**b.** We renew or replace this endorsement with insurance that:

**(1)** Has a Retroactive Date later than the date shown in the Schedule of this endorsement; or

**(2)** Does not apply to an act, error or omission on a claims-made basis.

**2.** The Extended Reporting Period does not extend the policy period or change the scope of coverage provided. It applies only to "claims" for acts, errors or omissions that were first committed before the end of the policy period but not before the Retroactive Date, if any, shown in the Schedule. Once in effect, the Extended Reporting Period may not be canceled.

**3.** An Extended Reporting Period of five years is available, but only by an endorsement and for an extra charge.

You must give us a written request for the endorsement within 60 days after the end of the policy period. The Extended Reporting Period will not go into effect unless you pay the additional premium promptly when due.

We will determine the additional premium in accordance with our rules and rates. In doing so, we may take into account the following:

**a.** The "employee benefit programs" insured;

**b.** Previous types and amounts of insurance;

**c.** Limits of insurance available under this endorsement for future payment of damages; and

**d.** Other related factors.

The additional premium will not exceed 100% of the annual premium for this endorsement.

The Extended Reporting Period endorsement applicable to this coverage shall set forth the terms, not inconsistent with this Section, applicable to the Extended Reporting Period, including a provision to the effect that the insurance afforded for "claims" first received during such period is excess over any other valid and collectible insurance available under policies in force after the Extended Reporting Period starts.

**4.** If the Extended Reporting Period is in effect, we will provide an extended reporting period aggregate limit of insurance described below, but only for claims first received and recorded during the Extended Reporting Period.

The extended reporting period aggregate limit of insurance will be equal to the dollar amount shown in the Schedule of this endorsement under Limits of Insurance.

Paragraph **D.1.b.** of this endorsement will be amended accordingly. The Each Employee Limit shown in the Schedule will then continue to apply as set forth in Paragraph **D.1.c.**

**G.** For the purposes of the coverage provided by this endorsement, the following definitions are added to the **Definitions** Section:

**1.** "Administration" means:

**a.** Providing information to "employees", including their dependents and beneficiaries, with respect to eligibility for or scope of "employee benefit programs";

**b.** Handling records in connection with the "employee benefit program"; or

**c.** Effecting, continuing or terminating any "employee's" participation in any benefit included in the "employee benefit program".

However, "administration" does not include handling payroll deductions.

**2.** "Cafeteria plans" means plans authorized by applicable law to allow employees to elect to pay for certain benefits with pre-tax dollars.

**3.** "Claim" means any demand, or "suit", made by an "employee" or an "employee's" dependents and beneficiaries, for damages as the result of an act, error or omission.


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**4.** "Employee benefit program" means a program providing some or all of the following benefits to "employees", whether provided through a "cafeteria plan" or otherwise:

**a.** Group life insurance, group accident or health insurance, dental, vision and hearing plans, and flexible spending accounts, provided that no one other than an "employee" may subscribe to such benefits and such benefits are made generally available to those "employees" who satisfy the plan's eligibility requirements;

**b.** Profit sharing plans, employee savings plans, employee stock ownership plans, pension plans and stock subscription plans, provided that no one other than an "employee" may subscribe to such benefits and such benefits are made generally available to all "employees" who are eligible under the plan for such benefits;

**c.** Unemployment insurance, social security benefits, workers' compensation and disability benefits;

**d.** Vacation plans, including buy and sell programs; leave of absence programs, including military, maternity, family, and civil leave; tuition assistance plans; transportation and health club subsidies; and

**e.** Any other similar benefits designated in the Schedule or added thereto by endorsement.

**H.** For the purposes of the coverage provided by this endorsement, Definitions **5.** and **18.** in the **Definitions** Section are replaced by the following:

**5.** "Employee" means a person actively employed, formerly employed, on leave of absence or disabled, or retired. "Employee" includes a "leased worker". "Employee" does not include a "temporary worker".

**18.** "Suit" means a civil proceeding in which damages because of an act, error or omission to which this insurance applies are alleged. "Suit" includes:

**a.** An arbitration proceeding in which such damages are claimed and to which the insured must submit or does submit with our consent; or

**b.** Any other alternative dispute resolution proceeding in which such damages are claimed and to which the insured submits with our consent.


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# ADDITIONAL INSURED – MANAGERS OR LESSORS OF PREMISES

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART

**SCHEDULE**

| |
|---|
| **Designation Of Premises (Part Leased To You):**<br>120 N Parker Dr , Janesville, WI, 53545-3086 |
| **Name Of Person(s) Or Organization(s) (Additional Insured):**<br>Kono Properties, LLC<br>PO Box 151, Portage, WI 53901 |
| **Additional Premium:** **$** 0 |
| Information required to complete this Schedule, if not shown above, will be shown in the Declarations. |

**A. Section II – Who Is An Insured** is amended to include as an additional insured the person(s) or organization(s) shown in the Schedule, but only with respect to liability for "bodily injury", "property damage" or "personal and advertising injury" caused, in whole or in part, by you or those acting on your behalf in connection with the ownership, maintenance or use of that part of the premises leased to you and shown in the Schedule and subject to the following additional exclusions:

This insurance does not apply to:

1. Any "occurrence" which takes place after you cease to be a tenant in that premises.
2. Structural alterations, new construction or demolition operations performed by or on behalf of the person(s) or organization(s) shown in the Schedule.

However:

1. The insurance afforded to such additional insured only applies to the extent permitted by law; and
2. If coverage provided to the additional insured is required by a contract or agreement, the insurance afforded to such additional insured will not be broader than that which you are required by the contract or agreement to provide for such additional insured.

**B.** With respect to the insurance afforded to these additional insureds, the following is added to **Section III – Limits Of Insurance:**

If coverage provided to the additional insured is required by a contract or agreement, the most we will pay on behalf of the additional insured is the amount of insurance:

1. Required by the contract or agreement; or
2. Available under the applicable limits of insurance;

whichever is less.

This endorsement shall not increase the applicable limits of insurance.

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# ADDITIONAL INSURED – LESSOR OF LEASED EQUIPMENT – AUTOMATIC STATUS WHEN REQUIRED IN LEASE AGREEMENT WITH YOU

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART

**A.** **Section II – Who Is An Insured** is amended to include as an additional insured any person(s) or organization(s) from whom you lease equipment when you and such person(s) or organization(s) have agreed in writing in a contract or agreement that such person(s) or organization(s) be added as an additional insured on your policy. Such person(s) or organization(s) is an insured only with respect to liability for "bodily injury", "property damage" or "personal and advertising injury" caused, in whole or in part, by your maintenance, operation or use of equipment leased to you by such person(s) or organization(s).

However, the insurance afforded to such additional insured:

**1.** Only applies to the extent permitted by law; and

**2.** Will not be broader than that which you are required by the contract or agreement to provide for such additional insured.

A person's or organization's status as an additional insured under this endorsement ends when their contract or agreement with you for such leased equipment ends.

**B.** With respect to the insurance afforded to these additional insureds, this insurance does not apply to any "occurrence" which takes place after the equipment lease expires.

**C.** With respect to the insurance afforded to these additional insureds, the following is added to **Section III – Limits Of Insurance:**

The most we will pay on behalf of the additional insured is the amount of insurance:

**1.** Required by the contract or agreement you have entered into with the additional insured; or

**2.** Available under the applicable limits of insurance;

whichever is less.

This endorsement shall not increase the applicable limits of insurance.

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# EXCLUSION – ACCESS OR DISCLOSURE OF CONFIDENTIAL OR PERSONAL MATERIAL OR INFORMATION

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART

**A.** The following is added to Paragraph **2. Exclusions** of **Section I – Coverage A – Bodily Injury And Property Damage Liability:**

**2. Exclusions**

This insurance does not apply to:

**Access Or Disclosure Of Confidential Or Personal Material Or Information**

"Bodily injury" or "property damage" arising out of any access to or disclosure of any person's or organization's confidential or personal material or information, including:

**a.** Patents, trade secrets, processing methods, customer lists;

**b.** Financial information, credit card information;

**c.** Health information, biometric information; or

**d.** Any other type of nonpublic material or information.

This exclusion applies even if damages are claimed for notification costs, credit or identity monitoring expenses, forensic expenses, public relations expenses, data restoration expenses, extortion expenses or any other loss, cost or expense incurred by you or others arising out of any access to or disclosure of any person's or organization's confidential or personal material or information.

**B.** The following is added to Paragraph **2. Exclusions** of **Section I – Coverage B – Personal And Advertising Injury Liability:**

**2. Exclusions**

This insurance does not apply to:

**Access Or Disclosure Of Confidential Or Personal Material Or Information**

"Personal and advertising injury" arising out of any access to or disclosure of any person's or organization's confidential or personal material or information, including:

**a.** Patents, trade secrets, processing methods, customer lists;

**b.** Financial information, credit card information;

**c.** Health information, biometric information; or

**d.** Any other type of nonpublic material or information.

This exclusion applies even if damages are claimed for notification costs, credit or identity monitoring expenses, forensic expenses, public relations expenses, data restoration expenses, extortion expenses or any other loss, cost or expense incurred by you or others arising out of any access to or disclosure of any person's or organization's confidential or personal material or information.

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# EXCLUSION – UNMANNED AIRCRAFT

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART

**A.** Exclusion **2.g. Aircraft, Auto Or Watercraft** under **Section I – Coverage A – Bodily Injury And Property Damage Liability** is replaced by the following:

**2. Exclusions**

This insurance does not apply to:

**g. Aircraft, Auto Or Watercraft**

**(1) Unmanned Aircraft**

"Bodily injury" or "property damage" arising out of the ownership, maintenance, use or entrustment to others of any aircraft that is an "unmanned aircraft". Use includes operation and "loading or unloading".

This Paragraph **g.(1)** applies even if the claims against any insured allege negligence or other wrongdoing in the supervision, hiring, employment, training or monitoring of others by that insured, if the "occurrence" which caused the "bodily injury" or "property damage" involved the ownership, maintenance, use or entrustment to others of any aircraft that is an "unmanned aircraft".

**(2) Aircraft (Other Than Unmanned Aircraft), Auto Or Watercraft**

"Bodily injury" or "property damage" arising out of the ownership, maintenance, use or entrustment to others of any aircraft (other than "unmanned aircraft"), "auto" or watercraft owned or operated by or rented or loaned to any insured. Use includes operation and "loading or unloading".

This Paragraph **g.(2)** applies even if the claims against any insured allege negligence or other wrongdoing in the supervision, hiring, employment, training or monitoring of others by that insured, if the "occurrence" which caused the "bodily injury" or "property damage" involved the ownership, maintenance, use or entrustment to others of any aircraft (other than "unmanned aircraft"), "auto" or watercraft that is owned or operated by or rented or loaned to any insured.

This Paragraph **g.(2)** does not apply to:

**(a)** A watercraft while ashore on premises you own or rent;

**(b)** A watercraft you do not own that is:

**(i)** Less than 26 feet long; and

**(ii)** Not being used to carry persons or property for a charge;

**(c)** Parking an "auto" on, or on the ways next to, premises you own or rent, provided the "auto" is not owned by or rented or loaned to you or the insured;

**(d)** Liability assumed under any "insured contract" for the ownership, maintenance or use of aircraft or watercraft; or

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**(e)** "Bodily injury" or "property damage" arising out of:

**(i)** The operation of machinery or equipment that is attached to, or part of, a land vehicle that would qualify under the definition of "mobile equipment" if it were not subject to a compulsory or financial responsibility law or other motor vehicle insurance law where it is licensed or principally garaged; or

**(ii)** The operation of any of the machinery or equipment listed in Paragraph **f.(2)** or **f.(3)** of the definition of "mobile equipment".

**B.** The following exclusion is added to Paragraph **2. Exclusions** of **Coverage B – Personal And Advertising Injury Liability:**

**2. Exclusions**

This insurance does not apply to:

**Unmanned Aircraft**

"Personal and advertising injury" arising out of the ownership, maintenance, use or entrustment to others of any aircraft that is an "unmanned aircraft". Use includes operation and "loading or unloading".

This exclusion applies even if the claims against any insured allege negligence or other wrongdoing in the supervision, hiring, employment, training or monitoring of others by that insured, if the offense which caused the "personal and advertising injury" involved the ownership, maintenance, use or entrustment to others of any aircraft that is an "unmanned aircraft".

This exclusion does not apply to:

**a.** The use of another's advertising idea in your "advertisement"; or

**b.** Infringing upon another's copyright, trade dress or slogan in your "advertisement".

**C.** The following definition is added to the **Definitions** section:

"Unmanned aircraft" means an aircraft that is not:

**1.** Designed;

**2.** Manufactured; or

**3.** Modified after manufacture;

to be controlled directly by a person from within or on the aircraft.

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# EMPLOYMENT-RELATED PRACTICES EXCLUSION

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART

**A.** The following exclusion is added to Paragraph **2., Exclusions** of Section **I – Coverage A – Bodily Injury And Property Damage Liability:**

This insurance does not apply to:

"Bodily injury" to:

**(1)** A person arising out of any:

**(a)** Refusal to employ that person;

**(b)** Termination of that person's employment; or

**(c)** Employment-related practices, policies, acts or omissions, such as coercion, demotion, evaluation, reassignment, discipline, defamation, harassment, humiliation, discrimination or malicious prosecution directed at that person; or

**(2)** The spouse, child, parent, brother or sister of that person as a consequence of "bodily injury" to that person at whom any of the employment-related practices described in Paragraphs **(a), (b),** or **(c)** above is directed.

This exclusion applies:

**(1)** Whether the injury-causing event described in Paragraphs **(a), (b)** or **(c)** above occurs before employment, during employment or after employment of that person;

**(2)** Whether the insured may be liable as an employer or in any other capacity; and

**(3)** To any obligation to share damages with or repay someone else who must pay damages because of the injury.

**B.** The following exclusion is added to Paragraph **2., Exclusions** of Section **I – Coverage B – Personal And Advertising Injury Liability:**

This insurance does not apply to:

"Personal and advertising injury" to:

**(1)** A person arising out of any:

**(a)** Refusal to employ that person;

**(b)** Termination of that person's employment; or

**(c)** Employment-related practices, policies, acts or omissions, such as coercion, demotion, evaluation, reassignment, discipline, defamation, harassment, humiliation, discrimination or malicious prosecution directed at that person; or

**(2)** The spouse, child, parent, brother or sister of that person as a consequence of "personal and advertising injury" to that person at whom any of the employment-related practices described in Paragraphs **(a), (b),** or **(c)** above is directed.

This exclusion applies:

**(1)** Whether the injury-causing event described in Paragraphs **(a), (b)** or **(c)** above occurs before employment, during employment or after employment of that person;

**(2)** Whether the insured may be liable as an employer or in any other capacity; and

**(3)** To any obligation to share damages with or repay someone else who must pay damages because of the injury.

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# TOTAL POLLUTION EXCLUSION ENDORSEMENT

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART

Exclusion **f.** under Paragraph **2., Exclusions** of **Section I – Coverage A – Bodily Injury And Property Damage Liability** is replaced by the following:

This insurance does not apply to:

**f. Pollution**

**(1)** "Bodily injury" or "property damage" which would not have occurred in whole or part but for the actual, alleged or threatened discharge, dispersal, seepage, migration, release or escape of "pollutants" at any time.

**(2)** Any loss, cost or expense arising out of any:

**(a)** Request, demand, order or statutory or regulatory requirement that any insured or others test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of "pollutants"; or

**(b)** Claim or suit by or on behalf of a governmental authority for damages because of testing for, monitoring, cleaning up, removing, containing, treating, detoxifying or neutralizing, or in any way responding to, or assessing the effects of, "pollutants".

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# EXCLUSION – YEAR 2000 COMPUTER-RELATED AND OTHER ELECTRONIC PROBLEMS – WITH EXCEPTION FOR BODILY INJURY ON YOUR PREMISES

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART

The following exclusion is added to Paragraph **2., Exclusions** of **Section I – Coverage A – Bodily Injury And Property Damage Liability** and Paragraph **2., Exclusions** of **Section I – Coverage B – Personal And Advertising Injury Liability:**

**2. Exclusions**

This insurance does not apply to "bodily injury", "property damage", "personal injury" or "advertising injury" (or "personal and advertising injury" if defined as such in your policy) arising directly or indirectly out of:

**a.** Any actual or alleged failure, malfunction or inadequacy of:

**(1)** Any of the following, whether belonging to any insured or to others:

**(a)** Computer hardware, including microprocessors;

**(b)** Computer application software;

**(c)** Computer operating systems and related software;

**(d)** Computer networks;

**(e)** Microprocessors (computer chips) not part of any computer system; or

**(f)** Any other computerized or electronic equipment or components; or

**(2)** Any other products, and any services, data or functions that directly or indirectly use or rely upon, in any manner, any of the items listed in Paragraph **2.a.(1)** of this endorsement

due to the inability to correctly recognize, process, distinguish, interpret or accept the year 2000 and beyond.

**b.** Any advice, consultation, design, evaluation, inspection, installation, maintenance, repair, replacement or supervision provided or done by you or for you to determine, rectify or test for, any potential or actual problems described in Paragraph **2.a.** of this endorsement.

This exclusion does not apply to "bodily injury" occurring on any premises owned by or rented to you.


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# FUNGI OR BACTERIA EXCLUSION

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART

**A.** The following exclusion is added to Paragraph **2. Exclusions** of **Section I – Coverage A – Bodily Injury And Property Damage Liability:**

**2. Exclusions**

This insurance does not apply to:

**Fungi Or Bacteria**

**a.** "Bodily injury" or "property damage" which would not have occurred, in whole or in part, but for the actual, alleged or threatened inhalation of, ingestion of, contact with, exposure to, existence of, or presence of, any "fungi" or bacteria on or within a building or structure, including its contents, regardless of whether any other cause, event, material or product contributed concurrently or in any sequence to such injury or damage.

**b.** Any loss, cost or expenses arising out of the abating, testing for, monitoring, cleaning up, removing, containing, treating, detoxifying, neutralizing, remediating or disposing of, or in any way responding to, or assessing the effects of, "fungi" or bacteria, by any insured or by any other person or entity.

This exclusion does not apply to any "fungi" or bacteria that are, are on, or are contained in, a good or product intended for bodily consumption.

**B.** The following exclusion is added to Paragraph **2. Exclusions** of **Section I – Coverage B – Personal And Advertising Injury Liability:**

**2. Exclusions**

This insurance does not apply to:

**Fungi Or Bacteria**

**a.** "Personal and advertising injury" which would not have taken place, in whole or in part, but for the actual, alleged or threatened inhalation of, ingestion of, contact with, exposure to, existence of, or presence of any "fungi" or bacteria on or within a building or structure, including its contents, regardless of whether any other cause, event, material or product contributed concurrently or in any sequence to such injury.

**b.** Any loss, cost or expense arising out of the abating, testing for, monitoring, cleaning up, removing, containing, treating, detoxifying, neutralizing, remediating or disposing of, or in any way responding to, or assessing the effects of, "fungi" or bacteria, by any insured or by any other person or entity.

**C.** The following definition is added to the **Definitions** Section:

"Fungi" means any type or form of fungus, including mold or mildew and any mycotoxins, spores, scents or byproducts produced or released by fungi.

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# CAP ON LOSSES FROM CERTIFIED ACTS OF TERRORISM

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART
LIQUOR LIABILITY COVERAGE PART
OWNERS AND CONTRACTORS PROTECTIVE LIABILITY COVERAGE PART
POLLUTION LIABILITY COVERAGE PART
PRODUCTS/COMPLETED OPERATIONS LIABILITY COVERAGE PART
RAILROAD PROTECTIVE LIABILITY COVERAGE PART
UNDERGROUND STORAGE TANK POLICY

**A.** If aggregate insured losses attributable to terrorist acts certified under the federal Terrorism Risk Insurance Act exceed $100 billion in a calendar year and we have met our insurer deductible under the Terrorism Risk Insurance Act, we shall not be liable for the payment of any portion of the amount of such losses that exceeds $100 billion, and in such case insured losses up to that amount are subject to pro rata allocation in accordance with procedures established by the Secretary of the Treasury.

"Certified act of terrorism" means an act that is certified by the Secretary of the Treasury, in accordance with the provisions of the federal Terrorism Risk Insurance Act, to be an act of terrorism pursuant to such Act. The criteria contained in the Terrorism Risk Insurance Act for a "certified act of terrorism" include the following:

**1.** The act resulted in insured losses in excess of $5 million in the aggregate, attributable to all types of insurance subject to the Terrorism Risk Insurance Act; and

**2.** The act is a violent act or an act that is dangerous to human life, property or infrastructure and is committed by an individual or individuals as part of an effort to coerce the civilian population of the United States or to influence the policy or affect the conduct of the United States Government by coercion.

**B.** The terms and limitations of any terrorism exclusion, or the inapplicability or omission of a terrorism exclusion, do not serve to create coverage for injury or damage that is otherwise excluded under this Coverage Part.

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# SILICA OR SILICA-RELATED DUST EXCLUSION

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART

**A.** The following exclusion is added to Paragraph **2., Exclusions** of **Section I – Coverage A – Bodily Injury And Property Damage Liability:**

**2. Exclusions**

This insurance does not apply to:

**Silica Or Silica-Related Dust**

**a.** "Bodily injury" arising, in whole or in part, out of the actual, alleged, threatened or suspected inhalation of, or ingestion of, "silica" or "silica-related dust".

**b.** "Property damage" arising, in whole or in part, out of the actual, alleged, threatened or suspected contact with, exposure to, existence of, or presence of, "silica" or "silica-related dust".

**c.** Any loss, cost or expense arising, in whole or in part, out of the abating, testing for, monitoring, cleaning up, removing, containing, treating, detoxifying, neutralizing, remediating or disposing of, or in any way responding to or assessing the effects of, "silica" or "silica-related dust", by any insured or by any other person or entity.

**B.** The following exclusion is added to Paragraph **2., Exclusions** of **Section I – Coverage B – Personal And Advertising Injury Liability:**

**2. Exclusions**

This insurance does not apply to:

**Silica Or Silica-Related Dust**

**a.** "Personal and advertising injury" arising, in whole or in part, out of the actual, alleged, threatened or suspected inhalation of, ingestion of, contact with, exposure to, existence of, or presence of, "silica" or "silica-related dust".

**b.** Any loss, cost or expense arising, in whole or in part, out of the abating, testing for, monitoring, cleaning up, removing, containing, treating, detoxifying, neutralizing, remediating or disposing of, or in any way responding to or assessing the effects of, "silica" or "silica-related dust", by any insured or by any other person or entity.

**C.** The following definitions are added to the **Definitions** Section:

**1.** "Silica" means silicon dioxide (occurring in crystalline, amorphous and impure forms), silica particles, silica dust or silica compounds.

**2.** "Silica-related dust" means a mixture or combination of silica and other dust or particles.

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# WAIVER OF TRANSFER OF RIGHTS OF RECOVERY AGAINST OTHERS TO US (WAIVER OF SUBROGATION) – AUTOMATIC

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART
ELECTRONIC DATA LIABILITY COVERAGE PART
LIQUOR LIABILITY COVERAGE PART
POLLUTION LIABILITY COVERAGE PART DESIGNATED SITES
POLLUTION LIABILITY LIMITED COVERAGE PART DESIGNATED SITES
PRODUCTS/COMPLETED OPERATIONS LIABILITY COVERAGE PART
RAILROAD PROTECTIVE LIABILITY COVERAGE PART
UNDERGROUND STORAGE TANK POLICY DESIGNATED TANKS

The following is added to Paragraph **8. Transfer Of Rights Of Recovery Against Others To Us** of **Section IV – Conditions:**

We waive any right of recovery against any person or organization, because of any payment we make under this Coverage Part, to whom the insured has waived its right of recovery in a written contract or agreement. Such waiver by us applies only to the extent that the insured has waived its right of recovery against such person or organization prior to loss.

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# DESIGNATED CONSTRUCTION PROJECT(S) GENERAL AGGREGATE LIMIT

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART

**SCHEDULE**

| **Designated Construction Project(s):** |
|---|
| Your projects away from premises owned or rented by you |
| Information required to complete this Schedule, if not shown above, will be shown in the Declarations. |

**A.** For all sums which the insured becomes legally obligated to pay as damages caused by "occurrences" under Section **I** – Coverage **A,** and for all medical expenses caused by accidents under Section **I** – Coverage **C,** which can be attributed only to ongoing operations at a single designated construction project shown in the Schedule above:

**1.** A separate Designated Construction Project General Aggregate Limit applies to each designated construction project, and that limit is equal to the amount of the General Aggregate Limit shown in the Declarations.

**2.** The Designated Construction Project General Aggregate Limit is the most we will pay for the sum of all damages under Coverage **A,** except damages because of "bodily injury" or "property damage" included in the "products-completed operations hazard", and for medical expenses under Coverage **C** regardless of the number of:

**a.** Insureds;

**b.** Claims made or "suits" brought; or

**c.** Persons or organizations making claims or bringing "suits".

**3.** Any payments made under Coverage **A** for damages or under Coverage **C** for medical expenses shall reduce the Designated Construction Project General Aggregate Limit for that designated construction project. Such payments shall not reduce the General Aggregate Limit shown in the Declarations nor shall they reduce any other Designated Construction Project General Aggregate Limit for any other designated construction project shown in the Schedule above.

**4.** The limits shown in the Declarations for Each Occurrence, Damage To Premises Rented To You and Medical Expense continue to apply. However, instead of being subject to the General Aggregate Limit shown in the Declarations, such limits will be subject to the applicable Designated Construction Project General Aggregate Limit.


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**B.** For all sums which the insured becomes legally obligated to pay as damages caused by "occurrences" under Section **I** – Coverage **A,** and for all medical expenses caused by accidents under Section **I** – Coverage **C,** which cannot be attributed only to ongoing operations at a single designated construction project shown in the Schedule above:

**1.** Any payments made under Coverage **A** for damages or under Coverage **C** for medical expenses shall reduce the amount available under the General Aggregate Limit or the Products-completed Operations Aggregate Limit, whichever is applicable; and

**2.** Such payments shall not reduce any Designated Construction Project General Aggregate Limit.

**C.** When coverage for liability arising out of the "products-completed operations hazard" is provided, any payments for damages because of "bodily injury" or "property damage" included in the "products-completed operations hazard" will reduce the Products-completed Operations Aggregate Limit, and not reduce the General Aggregate Limit nor the Designated Construction Project General Aggregate Limit.

**D.** If the applicable designated construction project has been abandoned, delayed, or abandoned and then restarted, or if the authorized contracting parties deviate from plans, blueprints, designs, specifications or timetables, the project will still be deemed to be the same construction project.

**E.** The provisions of Section **III** – Limits Of Insurance not otherwise modified by this endorsement shall continue to apply as stipulated.


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# DESIGNATED LOCATION(S) GENERAL AGGREGATE LIMIT

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART

**SCHEDULE**

| **Designated Location(s):**<br>All locations shown on the declarations |
|---|
| Information required to complete this Schedule, if not shown above, will be shown in the Declarations. |

**A.** For all sums which the insured becomes legally obligated to pay as damages caused by "occurrences" under Section **I** – Coverage **A,** and for all medical expenses caused by accidents under Section **I** – Coverage **C,** which can be attributed only to operations at a single designated "location" shown in the Schedule above:

**1.** A separate Designated Location General Aggregate Limit applies to each designated "location", and that limit is equal to the amount of the General Aggregate Limit shown in the Declarations.

**2.** The Designated Location General Aggregate Limit is the most we will pay for the sum of all damages under Coverage **A,** except damages because of "bodily injury" or "property damage" included in the "products-completed operations hazard", and for medical expenses under Coverage **C** regardless of the number of:

**a.** Insureds;

**b.** Claims made or "suits" brought; or

**c.** Persons or organizations making claims or bringing "suits".

**3.** Any payments made under Coverage **A** for damages or under Coverage **C** for medical expenses shall reduce the Designated Location General Aggregate Limit for that designated "location". Such payments shall not reduce the General Aggregate Limit shown in the Declarations nor shall they reduce any other Designated Location General Aggregate Limit for any other designated "location" shown in the Schedule above.

**4.** The limits shown in the Declarations for Each Occurrence, Damage To Premises Rented To You and Medical Expense continue to apply. However, instead of being subject to the General Aggregate Limit shown in the Declarations, such limits will be subject to the applicable Designated Location General Aggregate Limit.


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**B.** For all sums which the insured becomes legally obligated to pay as damages caused by "occurrences" under Section **I** – Coverage **A,** and for all medical expenses caused by accidents under Section **I** – Coverage **C,** which cannot be attributed only to operations at a single designated "location" shown in the Schedule above:

**1.** Any payments made under Coverage **A** for damages or under Coverage **C** for medical expenses shall reduce the amount available under the General Aggregate Limit or the Products-completed Operations Aggregate Limit, whichever is applicable; and

**2.** Such payments shall not reduce any Designated Location General Aggregate Limit.

**C.** When coverage for liability arising out of the "products-completed operations hazard" is provided, any payments for damages because of "bodily injury" or "property damage" included in the "products-completed operations hazard" will reduce the Products-completed Operations Aggregate Limit, and not reduce the General Aggregate Limit nor the Designated Location General Aggregate Limit.

**D.** For the purposes of this endorsement, the **Definitions** Section is amended by the addition of the following definition:

"Location" means premises involving the same or connecting lots, or premises whose connection is interrupted only by a street, roadway, waterway or right-of-way of a railroad.

**E.** The provisions of Section **III** – Limits Of Insurance not otherwise modified by this endorsement shall continue to apply as stipulated.


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# AMENDMENT OF LIQUOR LIABILITY EXCLUSION – LIMITED EXCEPTION FOR BRING YOUR OWN ALCOHOL

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART

The following replaces Exclusion **c.** under Paragraph **2. Exclusions** of **Section I – Coverage A – Bodily Injury And Property Damage Liability:**

This insurance does not apply to:

**c. Liquor Liability**

"Bodily injury" or "property damage" for which any insured may be held liable by reason of:

**(1)** Causing or contributing to the intoxication of any person;

**(2)** The furnishing of alcoholic beverages to a person under the legal drinking age or under the influence of alcohol; or

**(3)** Any statute, ordinance or regulation relating to the sale, gift, distribution or use of alcoholic beverages.

This exclusion applies even if the claims against any insured allege negligence or other wrongdoing in:

**(a)** The supervision, hiring, employment, training or monitoring of others by that insured; or

**(b)** Providing or failing to provide transportation with respect to any person that may be under the influence of alcohol;

if the "occurrence" which caused the "bodily injury" or "property damage", involved that which is described in Paragraph **(1), (2)** or **(3)** above.

This exclusion applies only if you:

**(1)** Manufacture, sell or distribute alcoholic beverages; or

**(2)** Serve or furnish alcoholic beverages for a charge whether or not such activity:

**(a)** Requires a license;

**(b)** Is for the purpose of financial gain or livelihood

For the purposes of this exclusion, permitting a person to bring alcoholic beverages on your premises, for consumption on your premises, whether or not a fee is charged or a license is required for such activity, is not by itself considered selling, serving or furnishing alcoholic beverages.

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# BROAD ABUSE OR MOLESTATION EXCLUSION

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART

The following exclusion is added to Paragraph **2. Exclusions** of **Section I – Coverage A – Bodily Injury And Property Damage Liability** and **Section I – Coverage B – Personal And Advertising Injury Liability:**

This insurance does not apply to damages arising out of:

**1.** The actual, alleged or threatened abuse or molestation, including but not limited to sexual abuse or sexual molestation, of any person committed by anyone; or

**2.** The negligent:

**a.** Employment;

**b.** Investigation;

**c.** Supervision;

**d.** Reporting to the proper authorities, or failure to so report; or

**e.** Retention;

of a person for whom any insured is or ever was legally responsible and whose conduct would be excluded by Paragraph **1.** above.


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# EXCLUSION – PERFLUOROALKYL AND POLYFLUOROALKYL SUBSTANCES (PFAS)

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART

**A.** The following exclusion is added to Paragraph **2. Exclusions** of **Section I – Coverage A – Bodily Injury And Property Damage Liability:**

**2. Exclusions**

This insurance does not apply to:

**Perfluoroalkyl And Polyfluoroalkyl Substances**

**a.** "Bodily injury" or "property damage" which would not have occurred, in whole or in part, but for the actual, alleged, threatened or suspected inhalation, ingestion, absorption, consumption, discharge, dispersal, seepage, migration, release or escape of, contact with, exposure to, existence of, or presence of, any "perfluoroalkyl or polyfluoroalkyl substances".

**b.** Any loss, cost or expense arising, in whole or in part, out of the abating, testing for, monitoring, cleaning up, removing, containing, treating, detoxifying, neutralizing, remediating or disposing of, or in any way responding to or assessing the effects of, "perfluoroalkyl or polyfluoroalkyl substances", by any insured or by any other person or entity.

**B.** The following exclusion is added to Paragraph **2. Exclusions** of **Section I – Coverage B – Personal And Advertising Injury Liability:**

**2. Exclusions**

This insurance does not apply to:

**Perfluoroalkyl And Polyfluoroalkyl Substances**

**a.** "Personal and advertising injury" which would not have taken place, in whole or in part, but for the actual, alleged, threatened or suspected inhalation, ingestion, absorption, consumption, discharge, dispersal, seepage, migration, release or escape of, contact with, exposure to, existence of, or presence of, any "perfluoroalkyl or polyfluoroalkyl substances".

**b.** Any loss, cost or expense arising, in whole or in part, out of the abating, testing for, monitoring, cleaning up, removing, containing, treating, detoxifying, neutralizing, remediating or disposing of, or in any way responding to or assessing the effects of, "perfluoroalkyl or polyfluoroalkyl substances", by any insured or by any other person or entity.


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**C.** The following definition is added to the **Definitions** Section:

"Perfluoroalkyl or polyfluoroalkyl substances" means any:

**1.** Chemical or substance that contains one or more alkyl carbons on which hydrogen atoms have been partially or completely replaced by fluorine atoms, including but not limited to:

**a.** Polymer, oligomer, monomer or nonpolymer chemicals and their homologues, isomers, telomers, salts, derivatives, precursor chemicals, degradation products or by-products;

**b.** Perfluoroalkyl acids (PFAA), such as perfluorooctanoic acid (PFOA) and its salts, or perfluorooctane sulfonic acid (PFOS) and its salts;

**c.** Perfluoropolyethers (PFPE);

**d.** Fluorotelomer-based substances; or

**e.** Side-chain fluorinated polymers; or

**2.** Good or product, including containers, materials, parts or equipment furnished in connection with such goods or products, that consists of or contains any chemical or substance described in Paragraph **C.1.**


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# EXCLUSION – CYBER INCIDENT

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART

**A.** The following is added to Paragraph **2. Exclusions** of **Section I – Coverage A – Bodily Injury And Property Damage Liability:**

**2. Exclusions**

This insurance does not apply to:

**Cyber Incident**

"Bodily injury" or "property damage" arising out of a "cyber incident".

This exclusion applies even if damages are claimed for notification costs, credit or identity monitoring expenses, forensic expenses, public relations expenses, data restoration expenses, extortion expenses or any other similar cost or expense incurred by you or others arising out of a "cyber incident".

**B.** The following is added to Paragraph **2. Exclusions** of **Section I – Coverage B – Personal And Advertising Injury Liability:**

**2. Exclusions**

This insurance does not apply to:

**Cyber Incident**

"Personal and advertising injury" arising out of a "cyber incident".

This exclusion applies even if damages are claimed for notification costs, credit or identity monitoring expenses, forensic expenses, public relations expenses, data restoration expenses, extortion expenses or any other similar cost or expense incurred by you or others arising out of a "cyber incident".

**C.** For the purposes of this endorsement, the following definition is added to the **Definitions** Section:

"Cyber incident" means any:

**1.** Unauthorized access to or use of any computer system.

**2.** Malicious code, virus or any other harmful code that is directed at, enacted upon or introduced into any computer system and is designed to access, alter, corrupt, damage, delete, destroy, disrupt, encrypt, exploit, use or prevent or restrict access to or the use of any part of any computer system or otherwise disrupt its normal functioning or operation.

**3.** Denial of service attack which disrupts, prevents or restricts access to or use of any computer system, or otherwise disrupts its normal functioning or operation.


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# VOLUNTARY PROPERTY DAMAGE COVERAGE

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART

**SCHEDULE**

| COVERAGE | LIMITS OF LIABILITY | | DEDUCTIBLE | |
|---|---|---|---|---|
| Property Damage | $10,000 | Each Occurrence | $1,000 | Each Claim |
| | $10,000 | Aggregate | | |

(If no entry appears above, information required to complete this endorsement will be shown in the Declarations as applicable to this endorsement.)

Unless specifically modified or deleted, all exclusions listed in COVERAGE A BODILY INJURY AND PROPERTY DAMAGE LIABILITY section of the COMMERCIAL GENERAL LIABILITY COVERAGE apply to the coverage provided by this endorsement.

**1. Insuring Agreement.**

We will pay, at the request of the insured, for "property damage" to property of others in the insured's care, custody or control. The "property damage" must be caused by an "occurrence" and result from operations which take place away from any premises the insured rents, owns or occupies and which are a part of your business. That business must be afforded coverage under the Commercial General Liability Policy to which this endorsement is attached.

However, we shall have no duty whatsoever to defend claims and/or lawsuits for which the only coverage provided is under this endorsement.

**2. Exclusion.**

This insurance does not apply to "property damage" caused by or arising out of work performed for you or on your behalf by a subcontractor.

**3. Limits of Insurance.**

**a.** The Limits of Insurance shown in the Schedule above and the rules below fix the most we will pay regardless of the number of:

**(1)** Insureds;

**(2)** Claims made or "suits" brought; or

**(3)** Persons or organizations making claims or bringing "suits".

**b.** The Aggregate Limit is the most we will pay for the sum of all damages under this endorsement;

**c.** Subject to b. above, the Each Occurrence Limit is the most we will pay because of all "property damage" arising out of any one "occurrence".

The limits of this endorsement apply separately to each consecutive annual period and to any remaining period of less than 12 months, starting with the beginning of the policy period shown in the Declarations, unless the policy period is extended after issuance for an additional period of less than 12 months. In that case, the additional period will be deemed part of the last preceding period for purposes of determining the Limits of Insurance.

**4. Deductible.**

We will not pay for loss or damage for any claim until the amount of loss or damage exceeds the Deductible shown in the Declarations. We will then pay the amount of loss or damage in excess of the Deductible up to the applicable Limit of Liability.

The terms of this insurance apply irrespective of the application of the deductible amount.

We may pay any part or all of the deductible amount to effect settlement of any claim or "suit" and, upon notification of the action taken, you shall promptly reimburse us for such part of the deductible amount as has been paid by us.

**5. Conditions.**

**a. Additional Duties In The Event Of An Occurrence, Claim or Suit.**

In the event of loss, at our request you shall replace the property or furnish the labor and materials necessary for repairs at your actual cost, excluding any profit or overhead charges. Any property so paid for or replaced shall become our property. Payment under this endorsement shall not constitute an admission of liability of the insured or, except for this endorsement, us.

**b. Other Insurance.**

If other valid and collectible insurance is available to the insured for a loss we cover under this endorsement, then the insurance provided by this endorsement is excess. We will pay only our share of the amount of the loss, if any, that exceeds the sum of:

**(1)** The total amount that all such other insurance would pay for the loss in the absence of this insurance; and

**(2)** The total of all deductible and self-insured amounts under all that other insurance.

**THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.**

# AMENDMENT – WHO IS AN INSURED

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE FORM

**SCHEDULE**

| **State(s)** |
|---|
| Wisconsin |
| Information required to complete this Schedule, if not shown above, will be shown in the Declarations. |

The following provisions apply to the state(s) indicated in the Schedule:

With respect to your "employees", paragraph **2.a.(1)** of **Section II – Who Is An Insured** of the Commercial General Liability Coverage Form is amended as follows:

**(1)** "Bodily injury" or "personal injury" (or "personal and advertising injury" if defined as such in your policy):

**a.** To you, or your partners or members (if you are a partnership or joint venture), or to your members (if you are a limited liability company); or to your "volunteer workers" while performing duties related to the conduct of your business.

**b.** For which there is any obligation to share damages with or repay someone else who must pay damages because of the injury described in paragraph (1)(a) above; or

**c.** Arising out of his or her providing or failing to provide professional health care services.

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# EXCLUSION – ASBESTOS OR ASBESTOS PRODUCTS

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART
OWNERS AND CONTRACTORS PROTECTIVE LIABILITY COVERAGE PART
PRODUCTS/COMPLETED OPERATIONS LIABILITY COVERAGE PART
RAILROAD PROTECTIVE LIABILITY COVERAGE PART

**A.** The following exclusion is added to Paragraph **2. Exclusions** of **Section I – Coverage A – Bodily Injury And Property Damage Liability** and Paragraph **2. Exclusions** of **Section I – Coverage B – Personal And Advertising Injury Liability** in the Commercial General Liability Coverage Form:

**2. Exclusions**

This insurance does not apply to:

**Asbestos**

**a.** "Bodily injury", "property damage", or “personal and advertising injury” arising, in whole or in part, out of the actual, alleged, threatened, or suspected inhalation of, ingestion of, contact with, exposure to, existence of, or presence of asbestos in any form including, but not limited to, asbestos dust, asbestos fibers, or products containing asbestos.

**b.** Any loss, cost or expense arising, in whole or in part, out of the abating, testing for, monitoring, cleaning up, removing, containing, treating, detoxifying, neutralizing, remediating or disposing of, or in any way responding to or assessing the effects of asbestos in any form including, but not limited to, asbestos dust, asbestos fibers, or products containing asbestos, by any insured or by any other person or entity.

**B.** The following exclusion is added to Paragraph **2. Exclusions** of **Section I – Coverage A – Bodily Injury And Property Damage Liability** in the Railroad Protective Liability Coverage Form, and Paragraph **2. Exclusions** of **Section I – Bodily Injury And Property Damage Liability** in the Owners and Contractors Protective Liability Coverage Form – Coverage for Operations of Designated Contractors and in the Products/Completed Operations Liability Coverage Form:

**2. Exclusions**

This insurance does not apply to:

**Asbestos**

**a.** "Bodily injury" or "property damage" arising, in whole or in part, out of the actual, alleged, threatened, or suspected inhalation of, ingestion of, contact with, exposure to, existence of, or presence of asbestos in any form including, but not limited to, asbestos dust, asbestos fibers, or products containing asbestos.

**b.** Any loss, cost or expense arising, in whole or in part, out of the abating, testing for, monitoring, cleaning up, removing, containing, treating, detoxifying, neutralizing, remediating or disposing of, or in any way responding to or assessing the effects of asbestos in any form including, but not limited to, asbestos dust, asbestos fibers, or products containing asbestos, by any insured or by any other person or entity.

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# ADDITIONAL INSURED – CONTRACTOR'S BLANKET (BROAD FORM)

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART

**A. WHO IS AN INSURED (Section II)** is amended to include as an additional insured any person or organization whom you are required to add as an additional insured on this policy under a written contract or written agreement.

The written contract or written agreement must be:

**1.** Currently in effect or becoming effective during the term of this policy; and

**2.** Executed prior to the "bodily injury," "property damage," "personal injury and advertising injury."

**B.** The insurance provided to the additional insured is limited as follows:

**1.** That person or organization is only an additional insured with respect to liability arising out of:

**a.** Your premises;

**b.** "Your work" for that additional insured; or

**c**. Acts or omissions of the additional insured in connection with the general supervision of "your work."

**2.** The Limits of Insurance applicable to the additional insured are those specified in the written contract or written agreement or in the Declarations for this policy, whichever is less. These Limits of Insurance are inclusive and not in addition to the Limits of Insurance shown in the Declarations.

**3.** Except when required by written contract or written agreement, the coverage provided to the additional insured by this endorsement does not apply to:

**a.** "Bodily injury" or "property damage" occurring after:

**(1**) All work on the project (other than service, maintenance or repairs) to be performed by or on behalf of the additional insured at the site of the covered operations has been completed; or

**(2)** That portion of "your work" out of which the injury or damage arises has been put to its intended use by any person or organization other than another contractor or subcontractor engaged in performing operations for a principal as part of the same project.

**b.** "Bodily injury" or "property damage" arising out of acts or omissions of the additional insured other than in connection with the general supervision of "your work."

**4.** The insurance provided to the additional insured does not apply to "bodily injury," "property damage," "personal injury and advertising injury" arising out of an architect's, engineer's, or surveyor's rendering of or failure to render any professional services including;

**a.** The preparing, approving, or failing to prepare or approve maps, shop drawings, opinions, reports, surveys, field orders, change orders or drawings and specifications; and

**b.** Supervisory, or inspection activities performed as part of any related architectural or engineering activities.

**C.** As respects the coverage provided under this endorsement, Paragraph **4.b. SECTION IV - COMMERCIAL GENERAL LIABILITY CONDITIONS** is amended with the addition of the following:

**4. Other insurance**

**b.** Excess insurance

This insurance is excess over:

Any other valid and collectible insurance available to the additional insured whether primary, excess, contingent or on any other basis unless a written contract specifically requires that this insurance be either primary or primary and noncontributing. Where required by written contract, we will consider any other insurance maintained by the additional insured for injury or damage covered by this endorsement to be excess and noncontributing with this insurance.

When this insurance is excess, as a condition of coverage, the additional insured shall be obligated to tender the defense and indemnity of every claim or suit to all other insurers that may provide coverage to the additional insured, whether on a contingent, excess or primary basis.

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# EXCLUSION – LEAD LIABILITY

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART

This insurance does not apply to:

1. actual or alleged "bodily injury" arising out of the ingestion, inhalation, or absorption of lead in any form;
2. actual or alleged "property damage" (or "personal and advertising injury", if provided by this coverage part) arising out of any form of lead;
3. any loss, cost, or expense arising out of any request, demand, or order that any "insured" or others test for, monitor, clean up, remove, contain, treat, detoxify, or neutralize, or in any way respond to or assess the effects of lead; or
4. any loss, cost, or expense arising out of any claim or suit by or on behalf of any governmental authority for damages resulting from testing for, monitoring, cleaning up, removing, containing, treating, detoxifying, or neutralizing, or in any way responding to or assessing the effects of lead.

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# PLUS PAK – LIABILITY

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART

**A.** The following is added to Paragraph **1. Insuring Agreement** of **Section I – Coverage A – Bodily Injury and Property Damage Liability:**

**f.** Knowledge that "Bodily Injury" or "Property Damage" has occurred or knowledge of a claim or suit by an agent or employee of any insured shall not in itself constitute knowledge of the insured unless your partners, executive officers, directors, managers, members or a person, who has been designated by them to receive reports of occurrences, offenses, claims or suits shall have received such notice from the agent or employee.

**B.** The following exception is added to Paragraph **2.e. Exclusions** of **Section I – Coverage A – Bodily Injury and Property Damage Liability:**

**Stop Gap Liability**

This exclusion does not apply to “bodily injury” to an "employee" of the insured arising out of and in the course of employment by the insured, provided such "employee" is reported and declared under the Workers’ Compensation Fund of the State(s) of North Dakota, Ohio, Washington, or Wyoming, whichever is applicable as respects such injured "employee".

The insurance provided by this coverage extension does not apply to:

**1.** Punitive or exemplary damage because of “bodily injury” to an "employee" employed in violation of law;

**2.** “Bodily injury” to an "employee" while employed in violation of law with your actual knowledge or the actual knowledge of any of your executive officers;

**3.** Damages arising out of the discharge of, coercion of, or discrimination against any "employee" in violation of law.

**C.** Paragraph **2.g.(2)(a) Exclusions** of **Section I – Coverage A – Bodily Injury and Property Damage Liability** is replaced by:

**(a)** less than 51 feet long; and

**D.** Paragraphs **1.b.** and **1.d.** of **Supplementary Payments – Coverages A And B** of **Section I – Coverages** are replaced by:

**b.** Up to $1,000 for cost of bail bonds required because of accidents or traffic law violations arising out of the use of any vehicle to which the Bodily Injury Liability Coverage applies. We do not have to furnish these bonds.

**d.** All reasonable expenses incurred by the insured at our request to assist us in the investigation or defense of the claim or "suit", including actual loss of earnings up to $300 a day because of time off work.

**E.** Paragraph **3.a.** of **Section II – Who Is An Insured** is replaced by:

**a**. Coverage under this provision is afforded only until the 180th day after you acquire or form the organization or the end of the policy period, whichever is earlier;

**F.** The following is added to **Section IV – Commercial General Liability Conditions:**

**10. Unintentional Failure to Disclose Hazards**

Based on our dependence upon your representation as to existing hazards, if unintentionally you should fail to disclose all such hazards at the inception date of your policy, we will not reject liability coverage under this policy based solely on such failure.

**11. Liberalization**

If we adopt any revision that would broaden the coverage under this endorsement without additional premium, the broadened coverage will apply as of the day the revision is effective in your state.

**G.** Paragraph **3.** under **Section V – Definitions** is replaced by:

**3.** "Bodily Injury" means bodily injury, sickness or disease sustained by a person. This includes mental anguish or death resulting from bodily injury, sickness or disease.

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# EARLIER NOTICE OF CANCELLATION AND/OR NONRENEWAL

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS COVERAGE PART
COMMERCIAL GENERAL LIABILITY COVERAGE PART
RAILROAD PROTECTIVE LIABILITY COVERAGE PART

**Notice of Cancellation and/or Nonrenewal to other Person(s) or Organization(s)**

**SCHEDULE**

| **Name of Person(s) or Organization(s):** | | |
|---|---|---|
| City of Sun Prairie<br><br>300 E Main St<br><br>Sun Prairie, WI, 53590-2227 | | |
| Notice of Cancellation Other Than Nonpayment | Number of Days Notice | 30 |
| Notice of Cancellation Nonpayment of Premium | Number of Days Notice | 0 |
| Notice of Nonrenewal | Number of Days Notice | |
| Information required to complete this Schedule, if not shown above, will be shown in the Declarations. | | |

As indicated in the Schedule above, we will mail or deliver written Notice of Cancellation for a statutorily permitted reason and/or Notice of Nonrenewal to the person(s) or organization(s) shown.

Unless a specified number of Days Notice is shown above, the Notice of Cancellation and/or Notice of Nonrenewal does not apply.

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# EARLIER NOTICE OF CANCELLATION AND/OR NONRENEWAL

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS COVERAGE PART
COMMERCIAL GENERAL LIABILITY COVERAGE PART
RAILROAD PROTECTIVE LIABILITY COVERAGE PART

**Notice of Cancellation and/or Nonrenewal to other Person(s) or Organization(s)**

**SCHEDULE**

| **Name of Person(s) or Organization(s):** | | |
|---|---|---|
| Hovde Properties, LLC<br><br>122 W Washington Ave<br>Ste 350<br>Madison, WI, 53703-2718 | | |
| Notice of Cancellation Other Than Nonpayment | Number of Days Notice | 30 |
| Notice of Cancellation Nonpayment of Premium | Number of Days Notice | 0 |
| Notice of Nonrenewal | Number of Days Notice | |
| Information required to complete this Schedule, if not shown above, will be shown in the Declarations. | | |

As indicated in the Schedule above, we will mail or deliver written Notice of Cancellation for a statutorily permitted reason and/or Notice of Nonrenewal to the person(s) or organization(s) shown.

Unless a specified number of Days Notice is shown above, the Notice of Cancellation and/or Notice of Nonrenewal does not apply.

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# EARLIER NOTICE OF CANCELLATION AND/OR NONRENEWAL

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS COVERAGE PART
COMMERCIAL GENERAL LIABILITY COVERAGE PART
RAILROAD PROTECTIVE LIABILITY COVERAGE PART

**Notice of Cancellation and/or Nonrenewal to other Person(s) or Organization(s)**

**SCHEDULE**

| **Name of Person(s) or Organization(s):** | | |
|---|---|---|
| Paul Davis Restoration, Inc.<br><br>7251 Salisbury Rd<br>Suite 6<br>Jacksonville, FL, 32256-8076 | | |
| Notice of Cancellation Other Than Nonpayment | Number of Days Notice | 30 |
| Notice of Cancellation Nonpayment of Premium | Number of Days Notice | 10 |
| Notice of Nonrenewal | Number of Days Notice | 60 |
| Information required to complete this Schedule, if not shown above, will be shown in the Declarations. | | |

As indicated in the Schedule above, we will mail or deliver written Notice of Cancellation for a statutorily permitted reason and/or Notice of Nonrenewal to the person(s) or organization(s) shown.

Unless a specified number of Days Notice is shown above, the Notice of Cancellation and/or Notice of Nonrenewal does not apply.

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# EARLIER NOTICE OF CANCELLATION AND/OR NONRENEWAL

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS COVERAGE PART
COMMERCIAL GENERAL LIABILITY COVERAGE PART
RAILROAD PROTECTIVE LIABILITY COVERAGE PART

**Notice of Cancellation and/or Nonrenewal to other Person(s) or Organization(s)**

**SCHEDULE**

| **Name of Person(s) or Organization(s):** | | |
|---|---|---|
| Dave Jones Inc.<br><br>2225 Kilgust Rd<br><br>Monona, WI, 53713-4847 | | |
| Notice of Cancellation Other Than Nonpayment | Number of Days Notice | 30 |
| Notice of Cancellation Nonpayment of Premium | Number of Days Notice | 10 |
| Notice of Nonrenewal | Number of Days Notice | 60 |
| Information required to complete this Schedule, if not shown above, will be shown in the Declarations. | | |

As indicated in the Schedule above, we will mail or deliver written Notice of Cancellation for a statutorily permitted reason and/or Notice of Nonrenewal to the person(s) or organization(s) shown.

Unless a specified number of Days Notice is shown above, the Notice of Cancellation and/or Notice of Nonrenewal does not apply.

Includes copyrighted material of Insurance Services Office, Inc., with its permission.

**THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.**

# EARLIER NOTICE OF CANCELLATION AND/OR NONRENEWAL

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS COVERAGE PART
COMMERCIAL GENERAL LIABILITY COVERAGE PART
RAILROAD PROTECTIVE LIABILITY COVERAGE PART

**Notice of Cancellation and/or Nonrenewal to other Person(s) or Organization(s)**

**SCHEDULE**

| **Name of Person(s) or Organization(s):** | | |
|---|---|---|
| Lithia Motors, Inc<br><br>150 N Bartlett St<br><br>Medford, OR, 97501-6032 | | |
| Notice of Cancellation Other Than Nonpayment | Number of Days Notice | 30 |
| Notice of Cancellation Nonpayment of Premium | Number of Days Notice | 10 |
| Notice of Nonrenewal | Number of Days Notice | 60 |
| Information required to complete this Schedule, if not shown above, will be shown in the Declarations. | | |

As indicated in the Schedule above, we will mail or deliver written Notice of Cancellation for a statutorily permitted reason and/or Notice of Nonrenewal to the person(s) or organization(s) shown.

Unless a specified number of Days Notice is shown above, the Notice of Cancellation and/or Notice of Nonrenewal does not apply.

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**THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.**

# EARLIER NOTICE OF CANCELLATION AND/OR NONRENEWAL

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS COVERAGE PART
COMMERCIAL GENERAL LIABILITY COVERAGE PART
RAILROAD PROTECTIVE LIABILITY COVERAGE PART

**Notice of Cancellation and/or Nonrenewal to other Person(s) or Organization(s)**

**SCHEDULE**

| **Name of Person(s) or Organization(s):** | | |
|---|---|---|
| City of Madison<br><br>210 Martin Luther King Jr Blvd<br>Room 406<br>Madison, WI, 53703-3340 | | |
| Notice of Cancellation Other Than Nonpayment | Number of Days Notice | 30 |
| Notice of Cancellation Nonpayment of Premium | Number of Days Notice | 10 |
| Notice of Nonrenewal | Number of Days Notice | 60 |
| Information required to complete this Schedule, if not shown above, will be shown in the Declarations. | | |

As indicated in the Schedule above, we will mail or deliver written Notice of Cancellation for a statutorily permitted reason and/or Notice of Nonrenewal to the person(s) or organization(s) shown.

Unless a specified number of Days Notice is shown above, the Notice of Cancellation and/or Notice of Nonrenewal does not apply.

Includes copyrighted material of Insurance Services Office, Inc., with its permission.

**THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.**

# EXCLUSION – EXTERIOR INSULATION, FINISH OR COATINGS BY OR ON BEHALF OF THE INSURED

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART
PRODUCTS/COMPLETED OPERATIONS LIABILITY COVERAGE PART
OWNERS AND CONTRACTORS PROTECTIVE LIABILITY COVERAGE PART

This insurance does not apply to "bodily injury" or "property damage" arising in any manner from the design, manufacture, construction, fabrication, preparation, installation, application, maintenance, repair, inspection or use of stucco, synthetic stucco, EIFS (Exterior Insulation and Finish System), or any other exterior insulation, finish or coating product or system, by the insured or any subcontractor of the insured.

**THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.**

# EMPLOYMENT PRACTICES LIABILITY ENDORSEMENT

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART
BUSINESSOWNERS COVERAGE PART

**THIS ENDORSEMENT PROVIDES CLAIMS MADE AND REPORTED COVERAGE. DEFENSE COSTS APPLY AGAINST THE LIMITS OF INSURANCE AND ARE SUBJECT TO THE DEDUCTIBLE.**

**PLEASE READ THE ENTIRE FORM CAREFULLY**

**SCHEDULE**

| LIMITS OF LIABILITY | | DEDUCTIBLE | COINSURANCE FOR PAYMENT OF "DAMAGES" |
|---|---|---|---|
| Each Related Wrongful Employment Practice | Total Aggregate Limit | Each Related Wrongful Employment Practice | |
| 100,000 | 100,000 | $5,000 | Does Not Apply |

**RETROACTIVE DATE**

This insurance does not apply to a "Wrongful Employment Practice" that happens before the Retroactive Date shown here: 01/01/2000

*Information required to complete this schedule, if not shown on this endorsement, will be shown on the Declaration.

THERE IS A SEPARATE DEDUCTIBLE PROVISION APPLICABLE TO ALL PAYMENTS FOR “DAMAGES".

PLEASE READ THIS ENDORSEMENT CAREFULLY TO DETERMINE RIGHTS, DUTIES, COVERAGE AND COVERAGE RESTRICTIONS.

WE HAVE NO DUTY TO PROVIDE COVERAGE UNLESS THERE HAS BEEN FULL COMPLIANCE WITH ALL THE CONDITIONS (SECTION VI) OF THIS ENDORSEMENT.

Throughout this endorsement the words "you" and "your" refer to the Named Insured shown in the Declarations, and any other person or organization qualifying as a Named Insured under this endorsement. The words "we", "us" and "our" refer to the Company providing this insurance. The word "insured" means any person or organization qualifying as such under WHO IS AN INSURED (Section II) of this endorsement.

All words and phrases that appear in quotation marks have special meaning. Refer to DEFINITIONS (Section VIII).

**SECTION I - COVERAGE: EMPLOYMENT PRACTICES LIABILITY**

In consideration of the payment of premium and in reliance upon representations you made to us in applying for this insurance and subject to the Limits of Insurance shown in the Schedule, and all the exclusions, terms and conditions of this endorsement, we agree with you as follows:

**A. INSURING AGREEMENT**

**1.** We will pay on behalf of the insured for “damages” in excess of the Deductible arising out of any "employment practices" to which this insurance applies.

We have no obligation under this insurance to make payments or perform acts or services except as provided for in this paragraph and in Item 2. below.

**2.** This insurance applies to such “damages” only if:

**a.** The “damages” result from "claims" made by "employees", “leased workers”, “temporary workers”, former "employees" or applicants for employment with you;

**b.** The "employment practices" take place in the "coverage territory";

**c.** Such "employment practices" occurred after the Retroactive Date shown in the Schedule and before the end of the policy period; and

**d.** A "claim" is both:

**(i)** First made against any insured, in accordance with paragraph 3. below, during the policy period or any Extended Reporting Period we provide under Section VII - EXTENDED REPORTING PERIODS; and

**(ii)** Reported to us either (i) during the policy period or within thirty (30) days thereafter, or (ii) with respect to any “claim” first made during any Extended Reporting Period we provide under Section VII - EXTENDED REPORTING PERIODS, during such Extended Reporting Period.

**3.** A "claim" will be deemed to have been made at the earlier of the following times:

**a.** When notice of such "claim" is received and recorded by you or by us, whichever comes first; or

**b.** When we make settlement in accordance with paragraph B.1. below.

**4.** All "claims" for “damages” based on or arising out of:

**a.** One "employment practice"; or

**b.** An interrelated series of "employment practices"

by one or more insureds shall be deemed to be one “claim” and to have been made at the time the first of those "claims" is made against any insured(s).

Each payment we make for “damages” or "defense expense" reduces the Amount of Insurance available, as provided under SECTION III - LIMITS OF INSURANCE of this endorsement.

**B. DEFENSE OF CLAIMS. ADMINISTRATIVE HEARINGS & SETTLEMENT AUTHORITY**

**1.** We have the right and duty to defend "claims" against the insured seeking “damages” to which this insurance applies and to pay for related "defense expense". However, we have no duty to (i) defend "claims" against the insured seeking “damages” or (ii) pay for related "defense expense” when this insurance does not apply. We may:

**a.** At our sole discretion, investigate any "employment practice" that may result in “damages”; and

**b.** Settle any “claim” which may result, provided:

**(i)** We have your written consent to settle; and

**(ii)** The settlement is within the applicable Limit of Insurance available.

Our liability will be limited as described below if:

**(i)** you refuse to consent to any settlement we recommend, and

**(ii)** such recommended settlement is also acceptable to the claimant.

When this happens, our liability under this endorsement for such "claim" shall not exceed the amount we would have paid for "damages" and "defense expense" if you had consented at the time of our recommendation. You shall thereafter negotiate and defend that "claim" at your own cost and without our involvement.

**2.** Our right and duty to defend such "claims" end when we have used up the Limit of Insurance available, as provided under SECTION III - LIMITS OF INSURANCE of this endorsement. This applies both to "claims" pending at that time and those filed thereafter.

**3.** When we control defense of a "claim", we will pay associated "defense expense" and choose a counsel of our choice from the panel of attorneys we have selected to deal with "employment practices" “claims”. If you give us a specific written request at the time a “claim” is first made:

**a.** You may select one of our panel of employment law attorneys; or

**b.** You may ask us to consider the approval of a defense attorney of your choice that is not on our panel.

**4.** We will use the panel attorney you selected in (a.) above, or consider your request in (b.) above, when we deem it appropriate to engage counsel for such “claim”.

**5.** If by mutual agreement or court order the insured assumes control of such defense before the applicable Limit of Insurance is used up, we will reimburse the insured for reasonable "defense expense", subject to item 6. immediately below.

6. If we defend you under a reservation of rights, both your and our counsel(s) will be required to maintain records pertinent to your "defense expenses". These records will be used to determine the allocation of any "defense expenses" for which you may be solely responsible, including defense of an allegation not covered by this insurance.

In any case, however, we only pay amounts in excess of the Deductible and such payments will reduce the Limit of Insurance available, as provided under SECTION III - LIMITS OF INSURANCE in this endorsement.

7. Upon prior notice to us and our approval, the first Named Insured is authorized to act on behalf of all insureds with respect to the payment of “damages” in settlement of any Administrative Hearing or other non-judicial proceeding before the Federal Equal Employment Opportunity Commission, or any similar Federal, state or local body or commission. This authorization is limited to (i) “damages” covered by this endorsement, (ii) “defense expenses” under part 4. of the Definition of “defense expenses” and (iii) amounts not in excess of two times the amount of the Deductible stated in the Schedule.

**C. EXCLUSIONS**

This insurance does not apply to "claims" arising directly or indirectly from any:

1. **a.** "Employment practices” which were the subject of any demand, suit or other proceeding which was initiated against any insured; or

   **b.** Facts and circumstances, which would cause a reasonable person to believe a “claim” would be made and which were known to any insured,

   prior to the effective date of the earlier of (i) the first endorsement of this type that we issued to you of which this endorsement was an uninterrupted renewal of this type of coverage, or (ii) this endorsement.

2. Breach of any express contract of employment or any express obligation to make payments in the event of termination of employment.

3. Obligation to pay “damages” by reason of the assumption of liability in any contract or agreement. This exclusion does not apply to liability for “damages” that the insured would have in the absence of the contract or agreement.

4. Of the following laws:

   **a.** Any workers compensation, disability benefits or unemployment compensation law, or any similar law, provided however, this exclusion shall not apply to any "claim" based upon, arising from, or in consequence of any actual or alleged retaliatory treatment of the claimant by the Insured on account of the claimant's exercise of rights pursuant to any such law;

   **b.** Employees' Retirement Income Security Act of 1974, Public Law 93-406, (E.R.I.S.A.) as now or hereafter amended, or any similar state or other governmental law. This includes fiduciary liability, liability arising out of the administration of any employee benefit plan and any other liability under any such laws;

   **c.** The Fair Labor Standards Act, the National Labor Relations Act of 1938, the Worker Adjustment and Retraining Notification Act (Public Law 100-37991988), the Consolidated Omnibus Budget Reconciliation Act of 1985, or the Occupational Safety and Health Act. This exclusion also applies to any rules or regulations promulgated under any of the foregoing and amendments thereto or any similar provisions of any federal, state or local law, and to that part of any “damages” awarded for the cost or replacement of any insurance benefits due or alleged to be due to any current or former "employee".

5. Oral or written publication of material, if such material:

   **a.** Was published by or at the direction of the insured with knowledge of the material's falsity; or

   **b.** Was first published before the Retroactive Date shown in the Schedule.

6. Dishonest, criminal or fraudulent acts of the insured or the willful failure by the insured or with the insured’s consent to comply with any law or any governmental or administrative order or regulation relating to employment practices. Willful means acting with intentional or reckless disregard for such employment related laws, orders or regulations.

   The enforcement of this exclusion against any insured under this endorsement shall not be imputed to any other insured.

7. "Bodily injury".

8. "Employment practices" which occur when or after:

   **a.** You file for or are placed in any bankruptcy, receivership, liquidation or reorganization proceeding; or

**b.** Any other business entity acquires an ownership interest in you, which is greater than fifty percent.

**9.** Costs of complying with physical modifications to your premises or any changes to your usual business operations as mandated by the Americans with Disabilities Act of 1990 including any amendment thereto, or any similar federal, state or local law.

**10.** Lockout, strike, picket line, related worker replacement(s) or other similar actions resulting from labor disputes or labor negotiations.

**SECTION II - WHO IS AN INSURED**

**A.** If you are designated in the Declarations as:

**1.** An individual, you and your spouse are insureds, but only with respect to the conduct of a business of which you are the sole owner.

**2.** A partnership or joint venture, you are an insured. Your current or former members, your partners, and their spouses are also insureds, but only with respect to the conduct of your business.

**3.** A limited liability company, you are an insured. Your current or former members are also insureds, but only with respect to the conduct of your business. Your current or former managers are insureds, but only with respect to their duties as your managers.

**4.** An organization other than a partnership or joint venture, you are an insured. Your current or former directors are insureds, but only with respect to their duties as your directors.

**B.** Each of the following is also an insured:

**1.** Your current or former "employees" but only for acts within the scope of their employment by you or while performing duties related to the conduct of your business.

**2.** Your legal representative if you die, but only with respect to duties as such. That representative will have all your rights and duties under this endorsement.

**C.** Any heirs, executors, administrators, assignees or legal representatives of any individual insured above, in the event of the death, bankruptcy or incapacity of such insured, but only to the extent this insurance would have been available to such insured.

**D.** Any organization you newly acquire or form, other than a partnership or joint venture, and over which you maintain ownership or majority interest, will qualify as a Named Insured if there is no other similar insurance available to that organization. However:

**1.** You must provide us notice of such acquisition or formation within 30 days of the effective date of your acquisition or formation;

**2.** Coverage under this provision is afforded only until the 90th day after you acquire or form the organization or the end of the policy period, whichever is earlier;

**3.** Coverage does not apply to any "employment practices" that occurred before you acquired or formed the organization; and

**4.** You must pay us any additional premium due as a condition precedent to the enforceability of this additional extension of coverage.

This part D. does not apply to any organization after it is shown in the Declarations or added to this policy by endorsement.

No person or organization is an insured with respect to the conduct of any current or past partnership, joint venture or limited liability company that is not shown as a Named Insured in the Declarations.

**SECTION III - LIMITS OF INSURANCE**

**A.** The Amount of Insurance stated as Total Aggregate Limit is the most we will pay for the sum of:

**1.** All “damages” for all “claims” arising out of any actual or alleged “employment practices” covered by this insurance; and

**2.** All “defense expense” for all “claims” seeking “damages” payable under paragraph 1. above.

Each payment we make for such “damages” or “defense expenses” reduces the Total Aggregate Limit by the amount of the payment. This reduced limit will then be the Amount of Insurance available for further “damages” and "defense expenses” under this endorsement.

**B.** Subject to A. above, the Amount of Insurance stated as the Each “Claim” Limit of Insurance is the most we will pay in excess of the Deductible as further described in SECTION IV - DEDUCTIBLE of this endorsement for the sum of:

**1.** All “damages” for injury arising from “employment practices” covered by this insurance arising out of one “claim” whether such “claim” is brought by one or more claimants: and

**2.** All “defense expense” associated with that specific “claim” in item B.1. immediately preceding.

**C.** In addition to the payments for “damages” and “defense expense” in paragraphs A. and B. above, we will also pay all interest on the full amount of any judgment that accrues after entry of the judgment and before we have paid, offered to pay, or deposited in court the amount available for the judgment under the provisions of paragraphs A. and B. above.

The Limits of Insurance of this endorsement apply separately to each consecutive annual period and to any remaining period of less than 12 months, starting with the beginning of the policy period shown in the Declarations, unless the policy period is extended after issuance for an additional period of less than 12 months. In that case, the additional period will be deemed part of the last preceding period for purposes of determining the Limits of Insurance.

**SECTION IV - DEDUCTIBLE**

**A.** A deductible applies to all “damages” for injury arising from "employment practices" and any "defense expense" however caused.

**B.** Our obligation under this Employment Practices Liability to pay “damages” and "defense expense" on behalf of any insured applies only to the sum of the amount of “damages” and "defense expense" each "claim" which are in excess of the deductible amount stated in the Schedule.

**C.** Your obligation is to pay that deductible which is applicable to each "claim" made against this insurance. That deductible applies to the sum of all “damages” because of injury arising from "employment practices" paid for each "claim" and applicable "defense expense" associated therewith. If there should be no “damages” paid for a "claim", you are still obligated to pay the applicable deductible for any "defense expense" incurred by us in connection with that "claim".

**D.** The terms of this insurance apply irrespective of the application of the deductible, including those with respect to:

**1.** Our right and duty to defend any "claims" seeking those “damages”; and

**2.** Your duties in the event of a "claim".

**E.** We may, but are not required to, pay any part or all of the deductible to effect settlement of any "claim" and, upon notification of the action taken, you shall promptly reimburse us for such part of the deductible as we may have paid for “damages” or "defense expense".

**F.** The application of the deductible does not erode the Limits of Insurance provided.

**SECTION V – COINSURANCE FOR PAYMENT OF “DAMAGES”**

**A.** With respect to any “claim” for which we pay “damages” under this insurance, you will be responsible for your share of such “damages”, in excess of the applicable deductible, at the percentage shown in the Schedule as coinsurance participation. We will be responsible for the remaining percentage of “damages” payable under this endorsement subject to the applicable Limits of Insurance.

**B.** Your coinsurance participation is limited as shown in the Schedule to a maximum amount per “claim”.

**C.** Subject to the provisions of this section we may make payments for “damages” and then request you to pay us your percentage share. You agree to reimburse us for your share. By making such payments for “damages”, we do not waive our right to recover your share of such payment(s).

**D.** The application of this coinsurance provision does not erode the Limits of Insurance provided.

**SECTION VI - CONDITIONS**

**A. Bankruptcy**

Subject to the exclusion in Section I, item C.8., the bankruptcy or insolvency of the insured or of the insured's estate will not relieve us of our obligations under this endorsement.

**B. Changes**

This policy contains all agreements between you and us concerning the insurance afforded. The first Named Insured shown in the Declarations is authorized to make changes in the terms of this policy with our consent. This policy's terms can be amended or waived only by endorsement issued by us and made a part of this policy.

**C. Duties in Event of "Employment Practices" or "Claims"**

**1.** You must see to it that we are notified as soon as practicable of any specific "employment practices" which you believe may result in an actual "claim". Your belief must be reasonably certain as the result of specific allegations made by a potential claimant or such potential claimant's representative, or as the result of specifically identifiable injury sustained by a potential claimant. To the extent possible, notice should include:

**a.** How, when and where such "employment practices" took place;

**b.** The names and addresses of any potential claimants and witnesses; and

**c.** The nature of any injury arising out of such "employment practices".

Notice of such "employment practices" is not notice of a "claim", but preserves any insured's rights to future coverage for subsequent "claims" arising out of such "employment practices" as described in the Basic Extended Reporting Period of Section VII - EXTENDED REPORTING PERIODS.

**2.** If a "claim" is received by any insured:

**a.** You must immediately record the specifics of the "claim" and the date received;

**b.** You and any other involved insured must see to it that we receive written notice of the "claim", as soon as practicable, but in any event we must receive notice either:

**(i)** During the policy period or within 30 days thereafter; or

**(ii)** With respect to any “claim” first made during any Extended Reporting Period we provide under Section VII -EXTENDED REPORTING PERIODS, during such Extended Reporting Period, as a condition precedent for coverage under this insurance. Such notice must provide us with the same information as is required in item (a.) immediately preceding; and

**c.** You and any other involved insured must:

**(i)** Immediately send us copies of any demands, notices, summonses or legal papers received in connection with the "claim";

**(ii)** Authorize us to obtain records and other information;

**(iii)** Cooperate with us in the investigation, settlement or defense of the "claim"; and

**(iv)** Assist us, upon our request, in the enforcement of any right against any person or organization, which may be liable to the insured because of injury or damage to which this insurance may also apply.

**3.** No insureds will, except at their own cost, voluntarily make a payment, assume any obligation, or incur any expense without our consent, other than those specific payments authorized under Section I, item B.7. - DEFENSE OF CLAIMS, ADMINISTRATIVE HEARINGS & SETTLEMENT AUTHORITY, in this endorsement.

**D. Examination of Your Books and Records**

We may examine and audit your books and records as they relate to this endorsement at any time during the endorsement period and up to three years afterward.

**E. Inspections and Surveys**

We have the right but are not obligated to:

**1.** Make inspections and surveys at any time;

**2.** Give you reports on the employment conditions we find; and

**3.** Recommend procedures, guidelines and changes.

Any inspections, surveys, reports or recommendations relate only to insurability and the premiums to be charged. We do not undertake to perform the duty of any person or organization to provide for the health or safety of, or lawful practices with your workers or the public. We do not warrant that conditions:

**a.** Are safe or healthful; or

**b.** Comply with laws, regulations, codes or standards as they relate to the purpose of this or any other insurance.

This condition applies not only to us, but also to any rating, advisory, rate service or similar organization, which makes insurance inspections, surveys, reports or recommendations on our behalf.

**F.Legal Action Against Us**

No person or organization has a right under this endorsement:

**1.** To join us as a party or otherwise bring us into a "claim" seeking “damages” from any insured; or

**2.** To sue us on this coverage part unless all of its terms have been fully complied with.

A person or organization may sue us to recover on an agreed settlement or on a final judgment against an insured obtained after an actual trial; but we will not be liable for “damages” that are not payable under the terms of this endorsement or that are in excess of the applicable limit of insurance. An agreed settlement means a settlement and release of liability signed by us, the insured and the claimant or the claimant's legal representative.

**G. Other Insurance**

If other valid and collectible insurance is available to the insured for “damages” or “defense expense” we cover under this endorsement, our obligations are limited as follows:

1. As this insurance is the primary insurance, our obligations are not affected unless any of the other insurance is also primary. Then, we will share with all that other insurance by the method described in 2. below.
2. If all of the other insurance permits contribution by equal shares, we will follow this method also. Under this approach each insurer contributes equal amounts until it has paid its applicable limit of insurance or none of the loss remains, whichever comes first.

If any of the other insurance does not permit contribution by equal shares, we will contribute by limits. Under this method, each insurer's share is based on the ratio of its applicable limit of insurance to the total applicable limits of insurance of all insurers.

**H. Payment of Premiums, Deductibles and Coinsurance Amounts**

1. We will compute all premiums for this insurance in accordance with our rules and rates; and
2. The first Named Insured shown in the Declarations is responsible for the payment of all premiums, deductibles and coinsurance payments due and will be the payee for any return premiums we pay.

**I. Representations**

By accepting this policy, you agree:

1. The statements in the Declarations are accurate and complete;
2. Those statements are based upon representations you made to us in your application for this insurance; and
3. Since we have issued this policy in reliance upon your representations, this policy is voidable if any material fact or circumstance relating to the subject of this insurance is omitted or misrepresented in your application.

**J. Separation Of Insureds**

Except with respect to the Limits of Insurance, and any rights or duties specifically assigned in this endorsement to the first Named Insured, this insurance applies:

1. As if each Named Insured were the only Named Insured; and
2. Separately to each insured against whom "claim" is made.

**K. Sole Agent**

The first Named Insured is authorized to act on behalf of all insureds as respects the giving or receiving of notice of cancellation or nonrenewal, receiving premium refunds, requesting any Supplemental Extended Reporting Period and agreeing to any changes in this policy.

**L. Transfer Of Rights Of Recovery Against Others To Us**

If the insured has rights to recover all or part of any payment we have made under this endorsement, those rights are transferred to us. The insured must do nothing after loss to impair them. At our request, the insured will sue those responsible or transfer those rights to us and help us enforce them.

**M. Transfer of Your Rights and Duties Under This Policy**

Your rights and duties under this endorsement may not be transferred without our written consent.

**SECTION VII - EXTENDED REPORTING PERIODS**

**A.** We will provide Extended Reporting Periods, as described below, if:

1. This endorsement is cancelled or not renewed; or
2. We renew or replace this endorsement with insurance that:
   - **a.** Has a Retroactive Date later than the date shown in the Schedule of this endorsement; or
   - **b.** Does not apply on a claims-made basis.

**B.** Extended Reporting Periods do not extend the policy period or change the scope of coverage provided. They apply only to "claims" as the result of "employment practices" which occurred after the Retroactive Date shown in the Schedule and before the end of the policy period. Once in effect, Extended Reporting Periods may not be cancelled.

**C.** Extended Reporting Periods do not reinstate or increase the Limits of Insurance.

**D.** A Basic Extended Reporting Period is automatically provided without additional charge. This period starts with the end of the policy period and lasts for:

1. Five years with respect to "claims" arising out of "employment practices" which had been properly reported to us during the policy period in accordance with paragraph D.1. of Duties in the Event of "Employment Practices" or "Claims", in CONDITIONS (Section VI) of this endorsement; and

**2.** Thirty (30) days with respect to "claims" arising from "employment practices" not previously reported to us.

The Basic Extended Reporting Period does not apply to "claims" that are covered under any subsequent insurance you purchase, or that would be covered but for exhaustion of the amount of insurance applicable to such claims.

**E.** A Supplemental Extended Reporting Period of either twelve (12) months or thirty-six (36) months duration is available, but only by an endorsement and for an extra charge. This supplemental period starts when the Basic Extended Reporting Period, set forth in paragraph D.2. above, ends. You must give us a written request for the endorsement, and its length, within 30 days after the end of the policy period. The Supplemental Extended Reporting Period will not go into effect unless you pay the additional premium when due. We will determine the additional premium in accordance with our rules and rates. In doing so, we may take into account the following:

**1.** The exposures insured;

**2.** Previous types and amounts of insurance;

**3.** Limits of Insurance available under this endorsement for future payment of “damages” or “defense expense”; and

**4.** Other related factors.

The additional premium will not exceed 200% of the annual premium for this endorsement.

**F.** The Supplemental Extended Reporting Period Endorsement we issue shall set forth the terms, not inconsistent with this Section, applicable to the Supplemental Extended Reporting Period, including a provision to the effect that the insurance afforded for "claims" first received during such period is excess over any other valid and collectible insurance available under policies in force after the Supplemental Extended Reporting Period begins.

**SECTION VIII - DEFINITIONS**

**A. "Bodily injury"** means physical injury to the body, sickness or disease sustained by a person as the result of direct physical injury to the body, including death resulting from any of these at any time. “Bodily injury” does not include mental anguish or emotional distress that results from an “employment practice”.

**B. "Claim"** means written or oral notice presented by:

**1.** Any "employee", “leased worker”, “temporary worker”, former "employee" or applicant for employment by you; or

**2.** The EEOC or any other Federal, state or local administrative or regulatory agency on behalf of such person in item 1. immediately preceding, that the insured is responsible for “damages” as a result of injury arising out of any "employment practices".

"Claim" includes any civil proceeding in which either “damages” are alleged or fact finding will take place, when either is the actual or alleged result of any “employment practice” to which this insurance applies. This includes:

**a.** An arbitration proceeding in which such “damages” are claimed and to which the insured submits with our consent;

**b.** Any other alternative dispute resolution proceeding in which such “damages” are claimed and to which the insured submits with our consent; or

**c.** Any administrative proceedings established under applicable federal, state or local laws as may be applicable to "employment practices" covered under this insurance.

**C. "Coverage territory"** means:

**1.** The United States of America (including its territories and possessions) and Puerto Rico; or

**2.** Anywhere in the world with respect to the activities of a person whose place of employment is in the territory described in 1. above, while he or she is away for a short time on your business;

provided that the insured’s responsibility to pay “damages” is determined in a suit (or in any other type of civil proceeding as described under the definition of “claim”) on the merits in, and under the substantive law of, the United States of America (including its territories and possessions) or Puerto Rico.

**D. "Damages"** means monetary amounts to which this insurance applies and which the insured is legally obligated to pay as judgments or awards, or as settlements to which we have agreed in writing. “Damages” include (i) "pre-judgment interest" awarded against the insured on that part of the judgment we pay, (ii) to the extent allowed by law, any portion of a judgment or award that represents a multiple of the compensatory amounts or punitive or exemplary damages, and (iii) statutory attorney fees.

"Damages" do not include:

**1.** Civil, criminal, administrative or other fines or penalties;

2. Equitable relief, injunctive relief, declarative relief or any other relief or recovery other than monetary amounts; or

3. Judgments or awards because of acts deemed uninsurable by law.

**E. "Defense expense"** means payments allocated to a specific "claim" for its investigation, settlement, or defense, including:

1. Attorney fees and all other litigation expenses.

2. The cost of bonds to appeal a judgment or award in any "claim" we defend. We do not have to furnish these bonds.

3. The cost of bonds to release attachments, but only for bond amounts within the Amount of Insurance available. We do not have to furnish these bonds.

4. Reasonable expenses incurred by the insured at our request to assist us in the investigation or defense of any "claim", including actual loss of earnings up to $250 a day because of time off from work.

5. Costs taxed against the insured in the "claim".

"Defense expense" does not include:

a. Salaries and expenses of our employees or your "employees", other than:

(i) That portion of our employed attorneys' fees, salaries and expenses allocated to a specific claim" for the defense of the insured; and

(ii) The expenses described in 4. above;

b. Interest on the full amount of any judgement that accrues after entry of the judgement and before we have paid, offered to pay, or deposited in court the amount available for the judgement under the provisions of SECTION III – LIMITS OF INSURANCE.

**F. "Employee"** means a person (i) employed by you for wages or salary, or (ii) who is a current or former member of your board of directors. But "employee" does not include any independent contractor, any employees of any independent contractor while acting within the scope of their employment, any "leased worker" or any "temporary worker".

**G. "Employment Practices"** means any of the following actual or alleged practices (i) which are directed against any of your "employees", “leased workers”, “temporary workers”, former "employees" or any applicant for employment by you, and (ii) for which remedy is sought under any federal, state or local statutory or common civil employment law:

1. Wrongful refusal to employ a qualified applicant for employment;

2. Wrongful failure to promote, or wrongful deprivation of career opportunity;

3. Wrongful demotion, negligent evaluation, negligent reassignment or wrongful discipline;

4. Wrongful termination of employment, including retaliatory or constructive discharge;

5. Employment related misrepresentation;

6. Harassment, coercion, discrimination or humiliation as a consequence of race, color, creed, national origin, marital status, medical condition, gender, age, physical appearance, physical and/or mental impairments, pregnancy, sexual orientation or sexual preference or any other protected class or characteristic established by any applicable federal, state, or local statute; or

7. Oral or written publication of material that slanders, defames, libels, violates, or invades a right of privacy.

**H. "Leased worker"** means a person leased to you by a labor leasing firm under an agreement between you and the labor leasing firm, to perform duties related to the conduct of your business. "Leased worker" does not include a "temporary worker".

**I. "Pre-judgment interest"** means interest added to a settlement, verdict, award or judgment based on the amount of time prior to the settlement, verdict, award or judgment, whether or not made part of the settlement, verdict, award or judgment.

**J. "Temporary worker"** means a person who is furnished to you to substitute for a permanent "employee" on leave or to meet seasonal or short-term workload conditions.

**THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.**

# EXCLUSION – BIOMETRIC IDENTIFIERS OR BIOMETRIC DATA

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART

**A.** The following exclusion is added to Paragraph **2. Exclusions** of **Section I – Coverage A – Bodily Injury and Property Damage Liability** and Paragraph **2. Exclusions** of **Section I – Coverage B – Personal and Advertising Injury Liability**:

This insurance does not apply to "bodily injury," "property damage", “personal and advertising injury” damages, injury, or any other loss of any kind, cost, or expense arising out of one or more of actual or alleged access to, retention or possession of, disclosure of, and/or failure to obtain consent to, failure to destroy, and/or failure to create or develop any policy (written or otherwise) related to the: capture, scanning, retrieval, collection, protection, obtainment, storage, conversion, transfer, sale, sharing, or dissemination of any kind of an individual’s “biometric identifiers” or “biometric data”, regardless of how such “biometric identifiers” or “biometric data” are captured, scanned, retrieved, collected, protected, obtained, stored, converted, transferred, sold, shared, or disseminated by any insured or any third party acting by, on behalf of or at the direction of the insured.

**B.** The following definitions are added to **Section V – Definitions**:

“Biometric identifiers" means DNA, written signature, computer navigation (mouse or touchpad) pattern, keystroke pattern, behavioral pattern, retinal scan, eyeball scan, iris scan, fingerprint, footprint, voiceprint, vascular scan, hand geometry scan, face geometry scan, or any other personally identifiable measurable biological characteristic of a natural person. “Biometric identifiers” includes any similarly-defined term(s) included in any state or federal statute that includes any of the “biometric identifiers,” or similar term(s), set out above.

"Biometric data" means any information, regardless of how it is captured, scanned, retrieved, collected, protected, obtained, stored, converted, transferred, sold, shared, or disseminated, based on an individual's “biometric identifier” used to identify an individual. “Biometric data” includes personal data relating to the physical, physiological, or behavioral characteristics of a natural person which allow or confirm the unique identification of that natural person.

**THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.**

# EXCLUSION – HUMAN TRAFFICKING

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART

**A.** The following exclusion is added to **Paragraph 2. Exclusions** of **Section I – Coverage A – Bodily Injury And Property Damage Liability** and **Paragraph 2. Exclusions** of **Section I – Coverage B – Personal And Advertising Injury Liability** in the **Commercial General Liability Coverage Form:**

**2. Exclusions**

This insurance does not apply to:

**Human Trafficking**

**"**Bodily injury**"**, **"**property damage**"**, **"**personal and advertising injury**"**, or any other liability arising directly or indirectly out of any actual or alleged:

**a.** "Human trafficking";

**b.** Failure to detect, recognize, protect against, suppress or prevent, investigate, intervene, report or take action in connection with "human trafficking";

**c.** Failure to warn of the dangers of the environment which could contribute to any event of "human trafficking";

**d.** Loss, cost or expense(s) responding to "human trafficking" in any way;

**e.** Failure to render or secure medical treatment or care necessitated by any event, or perceived event, of "human trafficking";

**f.** Conduct, acts or omissions prohibited by, in violation of, or for which penalties are provided within, the Trafficking Victims Protection Act of 2000, as amended, or under any local, state, federal law; or

**g.** Death, including any allegations of wrongful death, arising out of items **a.** through **f.**

Any such **"**bodily injury**"**, **"**property damage**"**, **"**personal and advertising injury**"**, or any other liability is excluded regardless of any other cause or event that contributes concurrently or in any sequence to the loss.

This exclusion applies even if the claims against any insured allege negligence or other wrongdoing including, but not limited to, the supervision, hiring, employment, training or monitoring of others by that insured, if the "bodily injury", "property damage", "personal and advertising injury", or any other liability, is in any way related to anything described in Paragraphs **a.** through **g.** above**.**

**B.** The following definition is added to **Section V – Definitions** in the **Commercial General Liability Coverage Form**:

**"**Human trafficking**"** means the illegal recruitment, enticement, grooming, exploitation, advertisement, transportation, facilitation, detention, provision, or harboring of a person or persons, including, but not limited to:

**a.** By force, fraud or coercion in exchange for labor, services, or a sex act;

**b.** Under legal age of adulthood or consent induced to perform a sex act;

**c.** In connection with migratory smuggling;

**d.** For organ harvesting or donation;

**e.** Marriage;

**f.** Smuggling;

**g.** Slavery;

**h.** Peonage or debt bondage; or

**i.** Forced criminality or violence of any kind.

**"**Human trafficking**"** also includes benefiting financially or receiving anything of value as a result of **"**human trafficking**"**.

All other terms, conditions and exclusions shall remain unchanged.

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**THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.**

# WISCONSIN CHANGES – AMENDMENT OF POLICY CONDITIONS

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART
LIQUOR LIABILITY COVERAGE PART
POLLUTION LIABILITY COVERAGE PART
PRODUCTS/COMPLETED OPERATIONS LIABILITY COVERAGE PART

**1.** The following is added to CHANGES (Common Policy Conditions):

If one of our agents knows of a fact that breaches a condition of this Coverage Part, we will be considered to have knowledge of this same fact if:

**a.** The agent knows of this fact at the time the Coverage Part is issued or an application is made; or

**b.** The agent later learns of this fact in the course of his dealings as an agent with you.

Any fact that breaches a condition of this Coverage Part and is known to the agent prior to loss shall not void the Coverage Part or prevent a recovery in the event of loss.

**2.** The LEGAL ACTION AGAINST US Condition (Section **IV**) does not apply.

**3.** The following is added to Condition **6.** REPRESENTATIONS (Section **IV**):

No misrepresentation or breach of affirmative warranty made by you or on your behalf in the negotiation of this Coverage Part affects our obligation under this Coverage Part unless:

**a.** We rely on it and it is either material or made with intent to deceive; or

**b.** The facts misrepresented or falsely warranted contribute to the loss.

No failure of a condition before the loss and no breach of a promissory warranty affects our obligation under this Coverage Part unless such failure or breach:

**a.** Exists at the time of the loss; and

**b.** Either increases the risk at the time of the loss or contributes to the loss.

The provisions of this condition do not apply to nonpayment of premium.

**4.** Condition **8.** TRANSFER OF RIGHTS OF RECOVERY AGAINST OTHERS TO US (Section **IV**) is replaced by the following:

In the event of any payment under this Coverage Part, we will be entitled to the insured's rights of recovery against any person or organization and the insured will do whatever is necessary to secure such rights. We will be entitled to a recovery only after the insured has been fully compensated for damages.

**5. CONFORMITY TO STATUTE OR RULE**

Any provision of this policy (including endorsements which modify the policy) that is in conflict with a Wisconsin statute or rule is hereby amended to conform to that statute or rule.

The term rule means a valid rule promulgated by the Commissioner of Insurance in accordance with the rule-making authority conferred under Wis. Stat. Ann. Section 227.11(2) and published in the Wisconsin Administrative Code.

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WEST BEND®
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Renewal

## Business Auto Coverage Declarations

**Customer Number:** 0110116385
**Policy Number:** A848246 05

**Policy Period:** 01/01/2026 to 01/01/2027
at 12:01 AM Standard Time at Your Mailing Address Shown Below

**Named Insured and Address:**
Locksley, Inc
DBA Paul Davis Restoration of South Central WI
3432A County Rd N
Cottage Grove, WI 53527

**Agency Name and Address:** 48508
R & R INSURANCE SERVICES INC
N14W23900 STONE RIDGE DR
WAUKESHA, WI 53188
262-574-7000

**Form of Business:**
LLC and Corporation

In return for the payment of the premium, and subject to all the terms of this Policy, we agree with you to provide the insurance as stated in this Policy.

### ITEM TWO: Schedule Of Coverages And Covered Autos

This Policy provides only those coverages where a charge is shown in the premium column below. Each of these coverages will apply only to those "autos" shown as covered "autos". "Autos" are shown as covered "autos" for a particular coverage by the entry of one or more of the symbols from the Covered Autos Section of the Business Auto Coverage Form next to the name of the coverage.

| Coverages | Covered Autos | Limit Or Deductible | Premium |
|---|---|---|---|
| Covered Autos Liability | 1 | $1,000,000 Each Accident | $45,446 |
| Auto Medical Payments | 2, 8, 9 | $10,000 Each Insured | $1,035 |
| Uninsured Motorist | 2, 8, 9 | Separately Stated In Each State Specific Endorsement | $540 |
| Underinsured Motorist | 2, 8, 9 | Separately Stated In Each State Specific Endorsement | $2,869 |
| Wisconsin garaged vehicles or if indicated in the garaging state's underinsured motorists coverage: Your limit of Underinsured motorist coverage is your maximum level of recovery from all sources, including amounts paid by or on behalf of any person or organization that may be legally responsible, amounts paid or payable under Workers' Compensation and amounts paid or payable under disability benefits law. | | | |
| Physical Damage Comprehensive Coverage | 2, 8 | See ITEM THREE For Deductible For Each Covered Auto.<br>See ITEM FOUR For Hired OR Borrowed Autos. | $7,680 |
| Physical Damage Collision Coverage | 2, 8 | See ITEM THREE For Deductible For Each Covered Auto.<br>See ITEM FOUR For Hired OR Borrowed Autos. | $17,458 |

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262-574-7000

| | |
|---|---|
| Endorsements and Miscellaneous Premiums (See Endorsement and Miscellaneous Schedule): | $770 |
| Total Commercial Auto Premium: | $75,798 |

See attached Forms Schedule for forms and endorsements applicable to this coverage.

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## Business Auto Coverage Schedule

**Customer Number:** 0110116385
**Policy Number:** A848246 05

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at 12:01 AM Standard Time at Your Mailing Address Shown Below

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**Agency Name and Address:** 48508
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WAUKESHA, WI 53188
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### ITEM THREE: Schedule Of Covered Autos You Own

| Veh No. | Description<br>Year, Make, Model,<br>Vehicle Identification Number (VIN) | Original Cost New | Stated Amount | Total Vehicle Premium |
|---|---|---|---|---|
| 1 | 2011 GMC\CHEVY 4x2 3500 Savana, Express Cutaway Va<br>1GD373CG3B1109516 | $27,195 | | $1,033 |
| 2 | 2012 GMC\CHEVY 4x2 3500 Savana, Express Cutaway Va<br>1GB0G2CG0C1172399 | $36,989 | | $1,106 |
| 3 | 2013 NISSAN 4x2 NV High Roof Van, w/ABS hyd brakes<br>1N6BF0LXXDN105358 | $30,610 | | $1,097 |
| 4 | 2013 Legend Trailer<br>1L9714LD3E1317834 | $8,000 | | $119 |
| 5 | 2014 GMC\CHEVY 4x2 3500 Savana, Express Cutaway Va<br>1GB0G2CG1E1185195 | $28,205 | | $1,060 |

| Veh No. | Classification | | | | Territory | Class Code |
|---|---|---|---|---|---|---|
| | Radius Of Operation | Use | Size | Seating Capacity | Garaging Location | |
| 1 | Local | Service | Medium | | Cottage Grove, WI 53527-9508 | 21489 |
| 2 | Local | Service | Light | | Cottage Grove, WI 53527-9508 | 01489 |
| 3 | Local | Service | Light | | Cottage Grove, WI 53527-9508 | 01489 |
| 4 | Local | | | | Cottage Grove, WI 53527-9508 | 68489 |
| 5 | Local | Service | Light | | Cottage Grove, WI 53527-9508 | 01489 |

| Veh No. | Covered Autos Liability | | Personal Injury Protection (See state specific PIP endorsement for limits) | | | |
|---|---|---|---|---|---|---|
| | | | | | Michigan Only | |
| | CSL | Premium | Deductible | Premium | Property Protection | Property Protection Deductible |
| 1 | $1,000,000 | $769 | | | | |
| 2 | $1,000,000 | $757 | | | | |
| 3 | $1,000,000 | $760 | | | | |
| 4 | $1,000,000 | $71 | | | | |
| 5 | $1,000,000 | $746 | | | | |

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## Business Auto Coverage Schedule

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Cottage Grove, WI 53527

**Agency Name and Address:** 48508
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| Veh No. | Auto Medical Payments | | Medical Expense And/Or Income Loss Benefits (Virginia Only) Limit stated in the Medical Expense And Income Loss Endorsement | |
|---|---|---|---|---|
| | Limit | Premium | Medical Expense Premium | Income Loss Premium |
| 1 | $10,000 | $20 | | |
| 2 | $10,000 | $20 | | |
| 3 | $10,000 | $20 | | |
| 4 | $10,000 | $2 | | |
| 5 | $10,000 | $20 | | |

| Veh No. | Uninsured Motorist | | | Underinsured Motorist | | Defensive Driver Credit | Dual Control | AntiTheft Discount |
|---|---|---|---|---|---|---|---|---|
| | CSL | PD Limit | Premium | CSL | Premium | | | |
| 1 | $1,000,000 | | $9 | $1,000,000 | $52 | | | |
| 2 | $1,000,000 | | $9 | $1,000,000 | $52 | | | |
| 3 | $1,000,000 | | $9 | $1,000,000 | $52 | | | |
| 4 | | | | | | | | |
| 5 | $1,000,000 | | $9 | $1,000,000 | $52 | | | |

| Veh No. | Comprehensive | | | Specified Causes of Loss | | |
|---|---|---|---|---|---|---|
| | Deductible For Loss Caused By Theft Or Mischief Or Vandalism* | Deductible For All Perils* | Premium | Type | Deductible For All Perils* | Premium |
| 1 | | $1,000 | $78 | | | |
| 2 | | $1,000 | $99 | | | |
| 3 | | $1,000 | $93 | | | |
| 4 | | $1,000 | $26 | | | |
| 5 | | $1,000 | $88 | | | |

* A maximum deductible may also apply. Refer to Coverage Form for details.

| Veh No. | Collision | | | Towing And Labor | | Audio/Visual/Data Electronic Equipment | | Tapes |
|---|---|---|---|---|---|---|---|---|
| | Type (MI Only) | Deductible | Premium | Limit | Premium | Limit | Premium | Premium |
| 1 | | $1,000 | $105 | | | | | |
| 2 | | $1,000 | $169 | | | | | |
| 3 | | $1,000 | $163 | | | | | |
| 4 | | $1,000 | $20 | | | | | |
| 5 | | $1,000 | $145 | | | | | |

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## Business Auto Coverage Schedule

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R & R INSURANCE SERVICES INC
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WAUKESHA, WI 53188
262-574-7000

| Veh No. | Description<br>Year, Make, Model,<br>Vehicle Identification Number (VIN) | Original Cost New | Stated Amount | Total Vehicle Premium |
|---|---|---|---|---|
| 6 | 2015 FORD E350 Econoline Commercial Cutaway 4x2 C<br>1FDWE3FL5FDA00071 | $28,390 | | $1,141 |
| 7 | 2015 TOYOTA PRIUS<br>JTDKN3DU6F0453380 | $24,200 | | $947 |
| 8 | 2015 TOYOTA PRIUS<br>JTDKN3DU8F0470004 | $24,200 | | $947 |
| 9 | 2015 TOYOTA PRIUS<br>JTDKN3DUXF0434220 | $24,200 | | $947 |
| 10 | 2015 TOYOTA PRIUS C<br>JTDKDTB36F1097181 | $20,340 | | $947 |

| Veh No. | Classification | | | | Territory | Class Code |
|---|---|---|---|---|---|---|
| | Radius Of Operation | Use | Size | Seating Capacity | Garaging Location | |
| 6 | Local | Service | Medium | | Cottage Grove, WI 53527-9508 | 21489 |
| 7 | | Business | | | Cottage Grove, WI 53527-9508 | 7398 |
| 8 | | Business | | | Cottage Grove, WI 53527-9508 | 7398 |
| 9 | | Business | | | Cottage Grove, WI 53527-9508 | 7398 |
| 10 | | Business | | | Cottage Grove, WI 53527-9508 | 7398 |

| Veh No. | Covered Autos Liability | | Personal Injury Protection (See state specific PIP endorsement for limits) | | | |
|---|---|---|---|---|---|---|
| | | | | | Michigan Only | |
| | CSL | Premium | Deductible | Premium | Property Protection | Property Protection Deductible |
| 6 | $1,000,000 | $822 | | | | |
| 7 | $1,000,000 | $655 | | | | |
| 8 | $1,000,000 | $655 | | | | |
| 9 | $1,000,000 | $655 | | | | |
| 10 | $1,000,000 | $655 | | | | |

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**Agency Name and Address:** 48508
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262-574-7000

| Veh No. | Auto Medical Payments | | Medical Expense And/Or Income Loss Benefits (Virginia Only) Limit stated in the Medical Expense And Income Loss Endorsement | |
|---|---|---|---|---|
| | Limit | Premium | Medical Expense Premium | Income Loss Premium |
| 6 | $10,000 | $20 | | |
| 7 | $10,000 | $18 | | |
| 8 | $10,000 | $18 | | |
| 9 | $10,000 | $18 | | |
| 10 | $10,000 | $18 | | |

| Veh No. | Uninsured Motorist | | | Underinsured Motorist | | Defensive Driver Credit | Dual Control | AntiTheft Discount |
|---|---|---|---|---|---|---|---|---|
| | CSL | PD Limit | Premium | CSL | Premium | | | |
| 6 | $1,000,000 | | $9 | $1,000,000 | $52 | | | |
| 7 | $1,000,000 | | $14 | $1,000,000 | $64 | | | |
| 8 | $1,000,000 | | $14 | $1,000,000 | $64 | | | |
| 9 | $1,000,000 | | $14 | $1,000,000 | $64 | | | |
| 10 | $1,000,000 | | $14 | $1,000,000 | $64 | | | |

| Veh No. | Comprehensive | | | Specified Causes of Loss | | |
|---|---|---|---|---|---|---|
| | Deductible For Loss Caused By Theft Or Mischief Or Vandalism* | Deductible For All Perils* | Premium | Type | Deductible For All Perils* | Premium |
| 6 | | $1,000 | $94 | | | |
| 7 | | $1,000 | $85 | | | |
| 8 | | $1,000 | $85 | | | |
| 9 | | $1,000 | $85 | | | |
| 10 | | $1,000 | $85 | | | |

* A maximum deductible may also apply. Refer to Coverage Form for details.

| Veh No. | Collision | | | Towing And Labor | | Audio/Visual/Data Electronic Equipment | | Tapes |
|---|---|---|---|---|---|---|---|---|
| | Type (MI Only) | Deductible | Premium | Limit | Premium | Limit | Premium | Premium |
| 6 | | $1,000 | $144 | | | | | |
| 7 | | $1,000 | $111 | | | | | |
| 8 | | $1,000 | $111 | | | | | |
| 9 | | $1,000 | $111 | | | | | |
| 10 | | $1,000 | $111 | | | | | |

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## Business Auto Coverage Schedule

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**Named Insured and Address:**
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Cottage Grove, WI 53527

**Agency Name and Address:** 48508
R & R INSURANCE SERVICES INC
N14W23900 STONE RIDGE DR
WAUKESHA, WI 53188
262-574-7000

| Veh No. | Description<br>Year, Make, Model,<br>Vehicle Identification Number (VIN) | Original Cost New | Stated Amount | Total Vehicle Premium |
|---|---|---|---|---|
| 11 | 2014 CHEVROLET EXPRESS 3500<br>1GAZG1FG5E1109674 | $38,430 | | $1,166 |
| 12 | 2014 TOYOTA TUNDRA 4X4 CREWMAX<br>5TFDW5F19EX413613 | $36,375 | | $1,166 |
| 13 | 2014 HONDA RIDGELINE<br>5FPYK1F64EB008388 | $37,505 | | $1,166 |
| 14 | 2018 CHEVROLET EXPRESS 3500<br>1GCZGHFG9J1174294 | $35,500 | | $1,347 |
| 15 | 2015 GMC\CHEVY 4x2 3500 Savana, Express Cutaway Va<br>1GB0G2CG1F1132210 | $28,750 | | $1,092 |

| Veh No. | Classification | | | | Territory | Class Code |
|---|---|---|---|---|---|---|
| | Radius Of Operation | Use | Size | Seating Capacity | Garaging Location | |
| 11 | Local | Service | Light | | Cottage Grove, WI 53527-9508 | 01489 |
| 12 | Local | Service | Light | | Cottage Grove, WI 53527-9508 | 01489 |
| 13 | Local | Service | Light | | Cottage Grove, WI 53527-9508 | 01489 |
| 14 | Local | Service | Light | | Cottage Grove, WI 53527-9508 | 01489 |
| 15 | Local | Service | Light | | Cottage Grove, WI 53527-9508 | 01489 |

| Veh No. | Covered Autos Liability | | Personal Injury Protection (See state specific PIP endorsement for limits) | | | |
|---|---|---|---|---|---|---|
| | | | | | Michigan Only | |
| | CSL | Premium | Deductible | Premium | Property Protection | Property Protection Deductible |
| 11 | $1,000,000 | $783 | | | | |
| 12 | $1,000,000 | $783 | | | | |
| 13 | $1,000,000 | $783 | | | | |
| 14 | $1,000,000 | $852 | | | | |
| 15 | $1,000,000 | $762 | | | | |

WEST BEND®
West Bend Insurance Company
1900 S. 18th Ave. | West Bend, WI 53095

Renewal

## Business Auto Coverage Schedule

**Customer Number:** 0110116385
**Policy Number:** A848246 05

**Policy Period:** 01/01/2026 to 01/01/2027
at 12:01 AM Standard Time at Your Mailing Address Shown Below

**Named Insured and Address:**
Locksley, Inc
DBA Paul Davis Restoration of South Central WI
3432A County Rd N
Cottage Grove, WI 53527

**Agency Name and Address:** 48508
R & R INSURANCE SERVICES INC
N14W23900 STONE RIDGE DR
WAUKESHA, WI 53188
262-574-7000

| Veh No. | Auto Medical Payments | | Medical Expense And/Or Income Loss Benefits (Virginia Only) Limit stated in the Medical Expense And Income Loss Endorsement | |
|---|---|---|---|---|
| | Limit | Premium | Medical Expense Premium | Income Loss Premium |
| 11 | $10,000 | $20 | | |
| 12 | $10,000 | $20 | | |
| 13 | $10,000 | $20 | | |
| 14 | $10,000 | $20 | | |
| 15 | $10,000 | $20 | | |

| Veh No. | Uninsured Motorist | | | Underinsured Motorist | | Defensive Driver Credit | Dual Control | AntiTheft Discount |
|---|---|---|---|---|---|---|---|---|
| | CSL | PD Limit | Premium | CSL | Premium | | | |
| 11 | $1,000,000 | | $9 | $1,000,000 | $52 | | | |
| 12 | $1,000,000 | | $9 | $1,000,000 | $52 | | | |
| 13 | $1,000,000 | | $9 | $1,000,000 | $52 | | | |
| 14 | $1,000,000 | | $9 | $1,000,000 | $52 | | | |
| 15 | $1,000,000 | | $9 | $1,000,000 | $52 | | | |

| Veh No. | Comprehensive | | | Specified Causes of Loss | | |
|---|---|---|---|---|---|---|
| | Deductible For Loss Caused By Theft Or Mischief Or Vandalism* | Deductible For All Perils* | Premium | Type | Deductible For All Perils* | Premium |
| 11 | | $1,000 | $109 | | | |
| 12 | | $1,000 | $109 | | | |
| 13 | | $1,000 | $109 | | | |
| 14 | | $1,000 | $136 | | | |
| 15 | | $1,000 | $92 | | | |

* A maximum deductible may also apply. Refer to Coverage Form for details.

| Veh No. | Collision | | | Towing And Labor | | Audio/Visual/Data Electronic Equipment | | Tapes |
|---|---|---|---|---|---|---|---|---|
| | Type (MI Only) | Deductible | Premium | Limit | Premium | Limit | Premium | Premium |
| 11 | | $1,000 | $193 | | | | | |
| 12 | | $1,000 | $193 | | | | | |
| 13 | | $1,000 | $193 | | | | | |
| 14 | | $1,000 | $278 | | | | | |
| 15 | | $1,000 | $157 | | | | | |

WEST BEND®
West Bend Insurance Company
1900 S. 18th Ave. | West Bend, WI 53095

Renewal

## Business Auto Coverage Schedule

**Customer Number:** 0110116385
**Policy Number:** A848246 05

**Policy Period:** 01/01/2026 to 01/01/2027
at 12:01 AM Standard Time at Your Mailing Address Shown Below

**Named Insured and Address:**
Locksley, Inc
DBA Paul Davis Restoration of South Central WI
3432A County Rd N
Cottage Grove, WI 53527

**Agency Name and Address:** 48508
R & R INSURANCE SERVICES INC
N14W23900 STONE RIDGE DR
WAUKESHA, WI 53188
262-574-7000

| Veh No. | Description<br>Year, Make, Model,<br>Vehicle Identification Number (VIN) | Original Cost New | Stated Amount | Total Vehicle Premium |
|---|---|---|---|---|
| 16 | 2014 TOYOTA TACOMA 4X4<br>5TFUU4EN2EX104778 | $25,905 | | $1,060 |
| 17 | 2015 TOYOTA PRIUS<br>JTDKN3DU3F1989505 | $24,200 | | $947 |
| 18 | 2019 GMC\CHEVY 4x2 Express 3500 Cutaway Van Short<br>1GB0GRFG4K1192156 | $49,396 | | $1,509 |
| 19 | 2019 HONDA RIDGELINE<br>5FPYK3F6XKB005468 | $38,900 | | $1,416 |
| 20 | 2002 KZ Kargo Trailer<br>5JXCT14262S030168 | $7,000 | | $88 |

| Veh No. | Classification | | | | Territory | Class Code |
|---|---|---|---|---|---|---|
| | Radius Of Operation | Use | Size | Seating Capacity | Garaging Location | |
| 16 | Local | Service | Light | | Cottage Grove, WI 53527-9508 | 01489 |
| 17 | | Business | | | Cottage Grove, WI 53527-9508 | 7398 |
| 18 | Local | Service | Light | | Cottage Grove, WI 53527-9508 | 01489 |
| 19 | Local | Service | Light | | Cottage Grove, WI 53527-9508 | 01489 |
| 20 | Local | | | | Cottage Grove, WI 53527-9508 | 68489 |

| Veh No. | Covered Autos Liability | | Personal Injury Protection (See state specific PIP endorsement for limits) | | | |
|---|---|---|---|---|---|---|
| | | | | | Michigan Only | |
| | CSL | Premium | Deductible | Premium | Property Protection | Property Protection Deductible |
| 16 | $1,000,000 | $746 | | | | |
| 17 | $1,000,000 | $655 | | | | |
| 18 | $1,000,000 | $911 | | | | |
| 19 | $1,000,000 | $878 | | | | |
| 20 | $1,000,000 | $53 | | | | |

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## Business Auto Coverage Schedule

**Customer Number:** 0110116385
**Policy Number:** A848246 05

**Policy Period:** 01/01/2026 to 01/01/2027
at 12:01 AM Standard Time at Your Mailing Address Shown Below

**Named Insured and Address:**
Locksley, Inc
DBA Paul Davis Restoration of South Central WI
3432A County Rd N
Cottage Grove, WI 53527

**Agency Name and Address:** 48508
R & R INSURANCE SERVICES INC
N14W23900 STONE RIDGE DR
WAUKESHA, WI 53188
262-574-7000

| Veh No. | Auto Medical Payments | | Medical Expense And/Or Income Loss Benefits (Virginia Only) Limit stated in the Medical Expense And Income Loss Endorsement | |
|---|---|---|---|---|
| | Limit | Premium | Medical Expense Premium | Income Loss Premium |
| 16 | $10,000 | $20 | | |
| 17 | $10,000 | $18 | | |
| 18 | $10,000 | $20 | | |
| 19 | $10,000 | $20 | | |
| 20 | $10,000 | $2 | | |

| Veh No. | Uninsured Motorist | | | Underinsured Motorist | | Defensive Driver Credit | Dual Control | AntiTheft Discount |
|---|---|---|---|---|---|---|---|---|
| | CSL | PD Limit | Premium | CSL | Premium | | | |
| 16 | $1,000,000 | | $9 | $1,000,000 | $52 | | | |
| 17 | $1,000,000 | | $14 | $1,000,000 | $64 | | | |
| 18 | $1,000,000 | | $9 | $1,000,000 | $52 | | | |
| 19 | $1,000,000 | | $9 | $1,000,000 | $52 | | | |
| 20 | | | | | | | | |

| Veh No. | Comprehensive | | | Specified Causes of Loss | | |
|---|---|---|---|---|---|---|
| | Deductible For Loss Caused By Theft Or Mischief Or Vandalism* | Deductible For All Perils* | Premium | Type | Deductible For All Perils* | Premium |
| 16 | | $1,000 | $88 | | | |
| 17 | | $1,000 | $85 | | | |
| 18 | | $1,000 | $161 | | | |
| 19 | | $1,000 | $143 | | | |
| 20 | | $1,000 | $13 | | | |

* A maximum deductible may also apply. Refer to Coverage Form for details.

| Veh No. | Collision | | | Towing And Labor | | Audio/Visual/Data Electronic Equipment | | Tapes |
|---|---|---|---|---|---|---|---|---|
| | Type (MI Only) | Deductible | Premium | Limit | Premium | Limit | Premium | Premium |
| 16 | | $1,000 | $145 | | | | | |
| 17 | | $1,000 | $111 | | | | | |
| 18 | | $1,000 | $356 | | | | | |
| 19 | | $1,000 | $314 | | | | | |
| 20 | | $1,000 | $20 | | | | | |

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Renewal

## Business Auto Coverage Schedule

**Customer Number:** 0110116385
**Policy Number:** A848246 05

**Policy Period:** 01/01/2026 to 01/01/2027
at 12:01 AM Standard Time at Your Mailing Address Shown Below

**Named Insured and Address:**
Locksley, Inc
DBA Paul Davis Restoration of South Central WI
3432A County Rd N
Cottage Grove, WI 53527

**Agency Name and Address:** 48508
R & R INSURANCE SERVICES INC
N14W23900 STONE RIDGE DR
WAUKESHA, WI 53188
262-574-7000

| Veh No. | Description<br>Year, Make, Model,<br>Vehicle Identification Number (VIN) | Original Cost New | Stated Amount | Total Vehicle Premium |
|---|---|---|---|---|
| 21 | 2018 Midsota Manufacturing Trailer<br>57MBD1425JA002177 | $7,000 | | $125 |
| 22 | 2017 TOYOTA PRIUS<br>JTDKARFU4H3040838 | $30,015 | | $1,076 |
| 23 | 2008 FORD F350 4x4 Chs & Cab Conventional Super Du<br>1FDSF35558EB86769 | $25,800 | | $909 |
| 24 | 2021 TOYOTA PRIUS<br>JTDKAMFU5M3128312 | $32,650 | | $1,347 |
| 25 | 2019 GMC\CHEVY 4x2 Express 3500 Cutaway Van Short<br>1GB0GRFG0K1250618 | $31,100 | | $1,363 |

| Veh No. | Classification | | | | Territory | Class Code |
|---|---|---|---|---|---|---|
| | Radius Of Operation | Use | Size | Seating Capacity | Garaging Location | |
| 21 | Local | | | | Cottage Grove, WI 53527-9508 | 68489 |
| 22 | | Business | | | Cottage Grove, WI 53527-9508 | 7398 |
| 23 | Local | Service | Light | | Cottage Grove, WI 53527-9508 | 01489 |
| 24 | | Business | | | Cottage Grove, WI 53527-9508 | 7398 |
| 25 | Local | Service | Light | | Cottage Grove, WI 53527-9508 | 01489 |

| Veh No. | Covered Autos Liability | | Personal Injury Protection (See state specific PIP endorsement for limits) | | | |
|---|---|---|---|---|---|---|
| | | | | | Michigan Only | |
| | CSL | Premium | Deductible | Premium | Property Protection | Property Protection Deductible |
| 21 | $1,000,000 | $71 | | | | |
| 22 | $1,000,000 | $662 | | | | |
| 23 | $1,000,000 | $672 | | | | |
| 24 | $1,000,000 | $731 | | | | |
| 25 | $1,000,000 | $861 | | | | |

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## Business Auto Coverage Schedule

**Customer Number:** 0110116385
**Policy Number:** A848246 05

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at 12:01 AM Standard Time at Your Mailing Address Shown Below

**Named Insured and Address:**
Locksley, Inc
DBA Paul Davis Restoration of South Central WI
3432A County Rd N
Cottage Grove, WI 53527

**Agency Name and Address:** 48508
R & R INSURANCE SERVICES INC
N14W23900 STONE RIDGE DR
WAUKESHA, WI 53188
262-574-7000

| Veh No. | Auto Medical Payments | | Medical Expense And/Or Income Loss Benefits (Virginia Only) Limit stated in the Medical Expense And Income Loss Endorsement | |
|---|---|---|---|---|
| | Limit | Premium | Medical Expense Premium | Income Loss Premium |
| 21 | $10,000 | $2 | | |
| 22 | $10,000 | $18 | | |
| 23 | $10,000 | $20 | | |
| 24 | $10,000 | $18 | | |
| 25 | $10,000 | $20 | | |

| Veh No. | Uninsured Motorist | | | Underinsured Motorist | | Defensive Driver Credit | Dual Control | AntiTheft Discount |
|---|---|---|---|---|---|---|---|---|
| | CSL | PD Limit | Premium | CSL | Premium | | | |
| 21 | | | | | | | | |
| 22 | $1,000,000 | | $14 | $1,000,000 | $64 | | | |
| 23 | $1,000,000 | | $9 | $1,000,000 | $52 | | | |
| 24 | $1,000,000 | | $14 | $1,000,000 | $64 | | | |
| 25 | $1,000,000 | | $9 | $1,000,000 | $52 | | | |

| Veh No. | Comprehensive | | | Specified Causes of Loss | | |
|---|---|---|---|---|---|---|
| | Deductible For Loss Caused By Theft Or Mischief Or Vandalism* | Deductible For All Perils* | Premium | Type | Deductible For All Perils* | Premium |
| 21 | | $1,000 | $32 | | | |
| 22 | | $1,000 | $125 | | | |
| 23 | | $1,000 | $65 | | | |
| 24 | | $1,000 | $199 | | | |
| 25 | | $1,000 | $131 | | | |

* A maximum deductible may also apply. Refer to Coverage Form for details.

| Veh No. | Collision | | | Towing And Labor | | Audio/Visual/Data Electronic Equipment | | Tapes |
|---|---|---|---|---|---|---|---|---|
| | Type (MI Only) | Deductible | Premium | Limit | Premium | Limit | Premium | Premium |
| 21 | | $1,000 | $20 | | | | | |
| 22 | | $1,000 | $193 | | | | | |
| 23 | | $1,000 | $91 | | | | | |
| 24 | | $1,000 | $321 | | | | | |
| 25 | | $1,000 | $290 | | | | | |

## Business Auto Coverage Schedule

**Customer Number:** 0110116385
**Policy Number:** A848246 05

**Policy Period:** 01/01/2026 to 01/01/2027
at 12:01 AM Standard Time at Your Mailing Address Shown Below

**Named Insured and Address:**
Locksley, Inc
DBA Paul Davis Restoration of South Central WI
3432A County Rd N
Cottage Grove, WI 53527

**Agency Name and Address:** 48508
R & R INSURANCE SERVICES INC
N14W23900 STONE RIDGE DR
WAUKESHA, WI 53188
262-574-7000

| Veh No. | Description<br>Year, Make, Model,<br>Vehicle Identification Number (VIN) | Original Cost New | Stated Amount | Total Vehicle Premium |
|---|---|---|---|---|
| 26 | 2018 FORD 4x2 E-Series E-350 Super Duty Cutaway DR<br>1FDWE3F68JDC03524 | $31,095 | | $1,334 |
| 27 | 2021 GMC\CHEVY 4x2 Express 3500 Cutaway Van SRW, 6<br>1GB0GRF75M1197305 | $32,400 | | $1,520 |
| 28 | 2021 CHEVROLET G3500<br>1GB0GRF7XM1303425 | $32,400 | | $1,520 |
| 29 | 2022 TOYOTA PRIUS<br>JTDKAMFUXN3167284 | $24,525 | | $1,390 |
| 30 | 2019 CHEVROLET COLORADO<br>1GCHTBEN0K1275553 | $30,085 | | $1,363 |

| Veh No. | Classification | | | | Territory | Class Code |
|---|---|---|---|---|---|---|
| | Radius Of Operation | Use | Size | Seating Capacity | Garaging Location | |
| 26 | Local | Service | Medium | | Cottage Grove, WI 53527-9508 | 21489 |
| 27 | Local | Service | Light | | Cottage Grove, WI 53527-9508 | 01489 |
| 28 | Local | Service | Light | | Cottage Grove, WI 53527-9508 | 01489 |
| 29 | | Business | | | Cottage Grove, WI 53527-9508 | 7398 |
| 30 | Local | Service | Light | | Cottage Grove, WI 53527-9508 | 01489 |

| Veh No. | Covered Autos Liability | | Personal Injury Protection (See state specific PIP endorsement for limits) | | | |
|---|---|---|---|---|---|---|
| | | | | | Michigan Only | |
| | CSL | Premium | Deductible | Premium | Property Protection | Property Protection Deductible |
| 26 | $1,000,000 | $893 | | | | |
| 27 | $1,000,000 | $920 | | | | |
| 28 | $1,000,000 | $920 | | | | |
| 29 | $1,000,000 | $767 | | | | |
| 30 | $1,000,000 | $861 | | | | |

WEST BEND®
West Bend Insurance Company
1900 S. 18th Ave. | West Bend, WI 53095

Renewal

## Business Auto Coverage Schedule

**Customer Number:** 0110116385
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at 12:01 AM Standard Time at Your Mailing Address Shown Below

**Named Insured and Address:**
Locksley, Inc
DBA Paul Davis Restoration of South Central WI
3432A County Rd N
Cottage Grove, WI 53527

**Agency Name and Address:** 48508
R & R INSURANCE SERVICES INC
N14W23900 STONE RIDGE DR
WAUKESHA, WI 53188
262-574-7000

| Veh No. | Auto Medical Payments | | Medical Expense And/Or Income Loss Benefits (Virginia Only) Limit stated in the Medical Expense And Income Loss Endorsement | |
|---|---|---|---|---|
| | Limit | Premium | Medical Expense Premium | Income Loss Premium |
| 26 | $10,000 | $20 | | |
| 27 | $10,000 | $20 | | |
| 28 | $10,000 | $20 | | |
| 29 | $10,000 | $18 | | |
| 30 | $10,000 | $20 | | |

| Veh No. | Uninsured Motorist | | | Underinsured Motorist | | Defensive Driver Credit | Dual Control | AntiTheft Discount |
|---|---|---|---|---|---|---|---|---|
| | CSL | PD Limit | Premium | CSL | Premium | | | |
| 26 | $1,000,000 | | $9 | $1,000,000 | $52 | | | |
| 27 | $1,000,000 | | $9 | $1,000,000 | $52 | | | |
| 28 | $1,000,000 | | $9 | $1,000,000 | $52 | | | |
| 29 | $1,000,000 | | $14 | $1,000,000 | $64 | | | |
| 30 | $1,000,000 | | $9 | $1,000,000 | $52 | | | |

| Veh No. | Comprehensive | | | Specified Causes of Loss | | |
|---|---|---|---|---|---|---|
| | Deductible For Loss Caused By Theft Or Mischief Or Vandalism* | Deductible For All Perils* | Premium | Type | Deductible For All Perils* | Premium |
| 26 | | $1,000 | $127 | | | |
| 27 | | $1,000 | $145 | | | |
| 28 | | $1,000 | $145 | | | |
| 29 | | $1,000 | $184 | | | |
| 30 | | $1,000 | $131 | | | |

* A maximum deductible may also apply. Refer to Coverage Form for details.

| Veh No. | Collision | | | Towing And Labor | | Audio/Visual/Data Electronic Equipment | | Tapes |
|---|---|---|---|---|---|---|---|---|
| | Type (MI Only) | Deductible | Premium | Limit | Premium | Limit | Premium | Premium |
| 26 | | $1,000 | $233 | | | | | |
| 27 | | $1,000 | $374 | | | | | |
| 28 | | $1,000 | $374 | | | | | |
| 29 | | $1,000 | $343 | | | | | |
| 30 | | $1,000 | $290 | | | | | |

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Renewal

## Business Auto Coverage Schedule

**Customer Number:** 0110116385
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at 12:01 AM Standard Time at Your Mailing Address Shown Below

**Named Insured and Address:**
Locksley, Inc
DBA Paul Davis Restoration of South Central WI
3432A County Rd N
Cottage Grove, WI 53527

**Agency Name and Address:** 48508
R & R INSURANCE SERVICES INC
N14W23900 STONE RIDGE DR
WAUKESHA, WI 53188
262-574-7000

| Veh No. | Description<br>Year, Make, Model,<br>Vehicle Identification Number (VIN) | Original Cost New | Stated Amount | Total Vehicle Premium |
|---|---|---|---|---|
| 31 | 2022 CHEVROLET COLORADO<br>1GCGTBENXN1151015 | $33,000 | | $1,663 |
| 32 | 2022 TOYOTA PRIUS<br>JTDL9MFU6N3036463 | $31,384 | | $1,437 |
| 33 | 2022 TOYOTA PRIUS<br>JTDL9MFU1N3036810 | $31,384 | | $1,437 |
| 34 | 2022 TOYOTA TACOMA<br>3TYCZ5AN5NT071505 | $48,640 | | $1,815 |
| 35 | 2022 CHEVROLET COLORADO<br>1GCHTBEN3N1251722 | $30,585 | | $1,663 |

| Veh No. | Classification | | | | Territory | Class Code |
|---|---|---|---|---|---|---|
| | Radius Of Operation | Use | Size | Seating Capacity | Garaging Location | |
| 31 | Local | Service | Light | | Cottage Grove, WI 53527-9508 | 01489 |
| 32 | | Business | | | Cottage Grove, WI 53527-9508 | 7398 |
| 33 | | Business | | | Cottage Grove, WI 53527-9508 | 7398 |
| 34 | Local | Service | Light | | Cottage Grove, WI 53527-9508 | 01489 |
| 35 | Local | Service | Light | | Cottage Grove, WI 53527-9508 | 01489 |

| Veh No. | Covered Autos Liability | | Personal Injury Protection (See state specific PIP endorsement for limits) | | | |
|---|---|---|---|---|---|---|
| | | | | | Michigan Only | |
| | CSL | Premium | Deductible | Premium | Property Protection | Property Protection Deductible |
| 31 | $1,000,000 | $954 | | | | |
| 32 | $1,000,000 | $752 | | | | |
| 33 | $1,000,000 | $752 | | | | |
| 34 | $1,000,000 | $1,009 | | | | |
| 35 | $1,000,000 | $954 | | | | |

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**Customer Number:** 0110116385
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at 12:01 AM Standard Time at Your Mailing Address Shown Below

**Named Insured and Address:**
Locksley, Inc
DBA Paul Davis Restoration of South Central WI
3432A County Rd N
Cottage Grove, WI 53527

**Agency Name and Address:** 48508
R & R INSURANCE SERVICES INC
N14W23900 STONE RIDGE DR
WAUKESHA, WI 53188
262-574-7000

| Veh No. | Auto Medical Payments | | Medical Expense And/Or Income Loss Benefits (Virginia Only) Limit stated in the Medical Expense And Income Loss Endorsement | |
|---|---|---|---|---|
| | Limit | Premium | Medical Expense Premium | Income Loss Premium |
| 31 | $10,000 | $20 | | |
| 32 | $10,000 | $18 | | |
| 33 | $10,000 | $18 | | |
| 34 | $10,000 | $20 | | |
| 35 | $10,000 | $20 | | |

| Veh No. | Uninsured Motorist | | | Underinsured Motorist | | Defensive Driver Credit | Dual Control | AntiTheft Discount |
|---|---|---|---|---|---|---|---|---|
| | CSL | PD Limit | Premium | CSL | Premium | | | |
| 31 | $1,000,000 | | $9 | $1,000,000 | $52 | | | |
| 32 | $1,000,000 | | $14 | $1,000,000 | $64 | | | |
| 33 | $1,000,000 | | $14 | $1,000,000 | $64 | | | |
| 34 | $1,000,000 | | $9 | $1,000,000 | $52 | | | |
| 35 | $1,000,000 | | $9 | $1,000,000 | $52 | | | |

| Veh No. | Comprehensive | | | Specified Causes of Loss | | |
|---|---|---|---|---|---|---|
| | Deductible For Loss Caused By Theft Or Mischief Or Vandalism* | Deductible For All Perils* | Premium | Type | Deductible For All Perils* | Premium |
| 31 | | $1,000 | $163 | | | |
| 32 | | $1,000 | $219 | | | |
| 33 | | $1,000 | $219 | | | |
| 34 | | $1,000 | $200 | | | |
| 35 | | $1,000 | $163 | | | |

* A maximum deductible may also apply. Refer to Coverage Form for details.

| Veh No. | Collision | | | Towing And Labor | | Audio/Visual/Data Electronic Equipment | | Tapes |
|---|---|---|---|---|---|---|---|---|
| | Type (MI Only) | Deductible | Premium | Limit | Premium | Limit | Premium | Premium |
| 31 | | $1,000 | $465 | | | | | |
| 32 | | $1,000 | $370 | | | | | |
| 33 | | $1,000 | $370 | | | | | |
| 34 | | $1,000 | $525 | | | | | |
| 35 | | $1,000 | $465 | | | | | |

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Renewal

## Business Auto Coverage Schedule

**Customer Number:** 0110116385
**Policy Number:** A848246 05

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**Named Insured and Address:**
Locksley, Inc
DBA Paul Davis Restoration of South Central WI
3432A County Rd N
Cottage Grove, WI 53527

**Agency Name and Address:** 48508
R & R INSURANCE SERVICES INC
N14W23900 STONE RIDGE DR
WAUKESHA, WI 53188
262-574-7000

| Veh No. | Description<br>Year, Make, Model,<br>Vehicle Identification Number (VIN) | Original Cost New | Stated Amount | Total Vehicle Premium |
|---|---|---|---|---|
| 36 | 2022 CHEVROLET COLORADO<br>1GCHTBEN0N1251709 | $30,585 | | $1,663 |
| 37 | 2019 HONDA RIDGELINE<br>5FPYK3F66KB028004 | $38,900 | | $1,416 |
| 38 | 2023 FORD T350HD<br>1FTRS4WG6PKA42412 | $59,085 | | $2,003 |
| 39 | 2022 GMC\CHEVY G3500<br>1GB0GRF7XN1279807 | $32,900 | | $1,663 |
| 40 | 2020 HONDA RIDGELINE<br>5FPYK3F1XLB029033 | $36,140 | | $1,504 |

| Veh No. | Classification | | | | Territory | Class Code |
|---|---|---|---|---|---|---|
| | Radius Of Operation | Use | Size | Seating Capacity | Garaging Location | |
| 36 | Local | Service | Light | | Cottage Grove, WI 53527-9508 | 01489 |
| 37 | Local | Service | Light | | Cottage Grove, WI 53527-9508 | 01489 |
| 38 | Local | Service | Medium | | Cottage Grove, WI 53527-9508 | 21489 |
| 39 | Local | Service | Light | | Cottage Grove, WI 53527-9508 | 01489 |
| 40 | Local | Service | Light | | Cottage Grove, WI 53527-9508 | 01489 |

| Veh No. | Covered Autos Liability | | Personal Injury Protection (See state specific PIP endorsement for limits) | | | |
|---|---|---|---|---|---|---|
| | | | | | Michigan Only | |
| | CSL | Premium | Deductible | Premium | Property Protection | Property Protection Deductible |
| 36 | $1,000,000 | $954 | | | | |
| 37 | $1,000,000 | $878 | | | | |
| 38 | $1,000,000 | $1,111 | | | | |
| 39 | $1,000,000 | $954 | | | | |
| 40 | $1,000,000 | $903 | | | | |

WEST BEND®
West Bend Insurance Company
1900 S. 18th Ave. | West Bend, WI 53095

Renewal

## Business Auto Coverage Schedule

**Customer Number:** 0110116385
**Policy Number:** A848246 05

**Policy Period:** 01/01/2026 to 01/01/2027
at 12:01 AM Standard Time at Your Mailing Address Shown Below

**Named Insured and Address:**
Locksley, Inc
DBA Paul Davis Restoration of South Central WI
3432A County Rd N
Cottage Grove, WI 53527

**Agency Name and Address:** 48508
R & R INSURANCE SERVICES INC
N14W23900 STONE RIDGE DR
WAUKESHA, WI 53188
262-574-7000

| Veh No. | Auto Medical Payments | | Medical Expense And/Or Income Loss Benefits (Virginia Only) Limit stated in the Medical Expense And Income Loss Endorsement | |
|---|---|---|---|---|
| | Limit | Premium | Medical Expense Premium | Income Loss Premium |
| 36 | $10,000 | $20 | | |
| 37 | $10,000 | $20 | | |
| 38 | $10,000 | $20 | | |
| 39 | $10,000 | $20 | | |
| 40 | $10,000 | $20 | | |

| Veh No. | Uninsured Motorist | | | Underinsured Motorist | | Defensive Driver Credit | Dual Control | AntiTheft Discount |
|---|---|---|---|---|---|---|---|---|
| | CSL | PD Limit | Premium | CSL | Premium | | | |
| 36 | $1,000,000 | | $9 | $1,000,000 | $52 | | | |
| 37 | $1,000,000 | | $9 | $1,000,000 | $52 | | | |
| 38 | $1,000,000 | | $9 | $1,000,000 | $52 | | | |
| 39 | $1,000,000 | | $9 | $1,000,000 | $52 | | | |
| 40 | $1,000,000 | | $9 | $1,000,000 | $52 | | | |

| Veh No. | Comprehensive | | | Specified Causes of Loss | | |
|---|---|---|---|---|---|---|
| | Deductible For Loss Caused By Theft Or Mischief Or Vandalism* | Deductible For All Perils* | Premium | Type | Deductible For All Perils* | Premium |
| 36 | | $1,000 | $163 | | | |
| 37 | | $1,000 | $143 | | | |
| 38 | | $1,000 | $239 | | | |
| 39 | | $1,000 | $163 | | | |
| 40 | | $1,000 | $152 | | | |

* A maximum deductible may also apply. Refer to Coverage Form for details.

| Veh No. | Collision | | | Towing And Labor | | Audio/Visual/Data Electronic Equipment | | Tapes |
|---|---|---|---|---|---|---|---|---|
| | Type (MI Only) | Deductible | Premium | Limit | Premium | Limit | Premium | Premium |
| 36 | | $1,000 | $465 | | | | | |
| 37 | | $1,000 | $314 | | | | | |
| 38 | | $1,000 | $572 | | | | | |
| 39 | | $1,000 | $465 | | | | | |
| 40 | | $1,000 | $368 | | | | | |

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## Business Auto Coverage Schedule

**Customer Number:** 0110116385
**Policy Number:** A848246 05

**Policy Period:** 01/01/2026 to 01/01/2027
at 12:01 AM Standard Time at Your Mailing Address Shown Below

**Named Insured and Address:**
Locksley, Inc
DBA Paul Davis Restoration of South Central WI
3432A County Rd N
Cottage Grove, WI 53527

**Agency Name and Address:** 48508
R & R INSURANCE SERVICES INC
N14W23900 STONE RIDGE DR
WAUKESHA, WI 53188
262-574-7000

| Veh No. | Description<br>Year, Make, Model,<br>Vehicle Identification Number (VIN) | Original Cost New | Stated Amount | Total Vehicle Premium |
|---|---|---|---|---|
| 41 | 2020 HONDA RIDGELINE<br>5FPYK3F74LB004648 | $42,020 | | $1,549 |
| 42 | 2024 TOYOTA RAV4 HYBRID<br>4T3RWRFV3RU114726 | $32,985 | | $1,679 |
| 43 | 2016 GMC\CHEVY 3500<br>1GB0GRFG4G1203308 | $36,997 | | $1,241 |
| 44 | 2022 FORD E350SD<br>1FDWE3FN5NDC07561 | $34,630 | | $1,695 |
| 45 | 2024 FORD MAVERICK<br>3FTTW8A30RRA94736 | $24,900 | | $1,548 |

| Veh No. | Classification | | | | Territory | Class Code |
|---|---|---|---|---|---|---|
| | Radius Of Operation | Use | Size | Seating Capacity | Garaging Location | |
| 41 | Local | Service | Light | | Cottage Grove, WI 53527-9508 | 01489 |
| 42 | Local | Service | Light | | Cottage Grove, WI 53527-9508 | 01499 |
| 43 | Local | Service | Light | | Cottage Grove, WI 53527-9508 | 01489 |
| 44 | Local | Service | Medium | | Cottage Grove, WI 53527-9508 | 21489 |
| 45 | Local | Service | Light | | Cottage Grove, WI 53527-9508 | 01489 |

| Veh No. | Covered Autos Liability | | Personal Injury Protection (See state specific PIP endorsement for limits) | | | |
|---|---|---|---|---|---|---|
| | | | | | Michigan Only | |
| | CSL | Premium | Deductible | Premium | Property Protection | Property Protection Deductible |
| 41 | $1,000,000 | $921 | | | | |
| 42 | $1,000,000 | $929 | | | | |
| 43 | $1,000,000 | $817 | | | | |
| 44 | $1,000,000 | $1,019 | | | | |
| 45 | $1,000,000 | $875 | | | | |

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Renewal

## Business Auto Coverage Schedule

**Customer Number:** 0110116385
**Policy Number:** A848246 05

**Policy Period:** 01/01/2026 to 01/01/2027
at 12:01 AM Standard Time at Your Mailing Address Shown Below

**Named Insured and Address:**
Locksley, Inc
DBA Paul Davis Restoration of South Central WI
3432A County Rd N
Cottage Grove, WI 53527

**Agency Name and Address:** 48508
R & R INSURANCE SERVICES INC
N14W23900 STONE RIDGE DR
WAUKESHA, WI 53188
262-574-7000

| Veh No. | Auto Medical Payments | | Medical Expense And/Or Income Loss Benefits (Virginia Only) Limit stated in the Medical Expense And Income Loss Endorsement | |
|---|---|---|---|---|
| | Limit | Premium | Medical Expense Premium | Income Loss Premium |
| 41 | $10,000 | $20 | | |
| 42 | $10,000 | $20 | | |
| 43 | $10,000 | $20 | | |
| 44 | $10,000 | $20 | | |
| 45 | $10,000 | $20 | | |

| Veh No. | Uninsured Motorist | | | Underinsured Motorist | | Defensive Driver Credit | Dual Control | AntiTheft Discount |
|---|---|---|---|---|---|---|---|---|
| | CSL | PD Limit | Premium | CSL | Premium | | | |
| 41 | $1,000,000 | | $9 | $1,000,000 | $52 | | | |
| 42 | $1,000,000 | | $9 | $1,000,000 | $52 | | | |
| 43 | $1,000,000 | | $9 | $1,000,000 | $52 | | | |
| 44 | $1,000,000 | | $9 | $1,000,000 | $52 | | | |
| 45 | $1,000,000 | | $9 | $1,000,000 | $52 | | | |

| Veh No. | Comprehensive | | | Specified Causes of Loss | | |
|---|---|---|---|---|---|---|
| | Deductible For Loss Caused By Theft Or Mischief Or Vandalism* | Deductible For All Perils* | Premium | Type | Deductible For All Perils* | Premium |
| 41 | | $1,000 | $161 | | | |
| 42 | | $1,000 | $170 | | | |
| 43 | | $1,000 | $120 | | | |
| 44 | | $1,000 | $168 | | | |
| 45 | | $500 | $158 | | | |

* A maximum deductible may also apply. Refer to Coverage Form for details.

| Veh No. | Collision | | | Towing And Labor | | Audio/Visual/Data Electronic Equipment | | Tapes |
|---|---|---|---|---|---|---|---|---|
| | Type (MI Only) | Deductible | Premium | Limit | Premium | Limit | Premium | Premium |
| 41 | | $1,000 | $386 | | | | | |
| 42 | | $1,000 | $499 | | | | | |
| 43 | | $1,000 | $223 | | | | | |
| 44 | | $1,000 | $427 | | | | | |
| 45 | | $1,000 | $434 | | | | | |

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Renewal

## Business Auto Coverage Schedule

**Customer Number:** 0110116385
**Policy Number:** A848246 05

**Policy Period:** 01/01/2026 to 01/01/2027
at 12:01 AM Standard Time at Your Mailing Address Shown Below

**Named Insured and Address:**
Locksley, Inc
DBA Paul Davis Restoration of South Central WI
3432A County Rd N
Cottage Grove, WI 53527

**Agency Name and Address:** 48508
R & R INSURANCE SERVICES INC
N14W23900 STONE RIDGE DR
WAUKESHA, WI 53188
262-574-7000

| Veh No. | Description<br>Year, Make, Model,<br>Vehicle Identification Number (VIN) | Original Cost New | Stated Amount | Total Vehicle Premium |
|---|---|---|---|---|
| 46 | 2024 FORD MAVERICK<br>3FTTW8A31RRB37058 | $27,015 | | $1,641 |
| 47 | 2022 CORNPRO TRAILERS DB DUMP<br>4MJDB1220NE081834 | $14,792 | | $1,378 |
| 48 | 2024 FORD MAVERICK<br>3FTTW8A37RRB37176 | $27,015 | | $1,641 |
| 49 | 2024 Ford Maverick<br>3FTTW8A37RRB6965 | $27,015 | | $1,641 |
| 50 | 2021 TESLA MODEL Y<br>5YJYGDEE4MF188510 | $59,990 | | $1,757 |

| Veh No. | Classification | | | | Territory | Class Code |
|---|---|---|---|---|---|---|
| | Radius Of Operation | Use | Size | Seating Capacity | Garaging Location | |
| 46 | Local | Service | Light | | Cottage Grove, WI 53527-9508 | 01489 |
| 47 | Local | Service | Light | | Cottage Grove, WI 53527-9508 | 01499 |
| 48 | Local | Service | Light | | Cottage Grove, WI 53527-9508 | 01489 |
| 49 | Local | Service | Light | | Cottage Grove, WI 53527-9508 | 01489 |
| 50 | Local | Service | Light | | Cottage Grove, WI 53527-9508 | 01489 |

| Veh No. | Covered Autos Liability | | Personal Injury Protection (See state specific PIP endorsement for limits) | | | |
|---|---|---|---|---|---|---|
| | | | | | Michigan Only | |
| | CSL | Premium | Deductible | Premium | Property Protection | Property Protection Deductible |
| 46 | $1,000,000 | $902 | | | | |
| 47 | $1,000,000 | $853 | | | | |
| 48 | $1,000,000 | $902 | | | | |
| 49 | $1,000,000 | $902 | | | | |
| 50 | $1,000,000 | $1,000 | | | | |

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## Business Auto Coverage Schedule

**Customer Number:** 0110116385
**Policy Number:** A848246 05

**Policy Period:** 01/01/2026 to 01/01/2027
at 12:01 AM Standard Time at Your Mailing Address Shown Below

**Named Insured and Address:**
Locksley, Inc
DBA Paul Davis Restoration of South Central WI
3432A County Rd N
Cottage Grove, WI 53527

**Agency Name and Address:** 48508
R & R INSURANCE SERVICES INC
N14W23900 STONE RIDGE DR
WAUKESHA, WI 53188
262-574-7000

| Veh No. | Auto Medical Payments | | Medical Expense And/Or Income Loss Benefits (Virginia Only) Limit stated in the Medical Expense And Income Loss Endorsement | |
|---|---|---|---|---|
| | Limit | Premium | Medical Expense Premium | Income Loss Premium |
| 46 | $10,000 | $20 | | |
| 47 | $10,000 | $20 | | |
| 48 | $10,000 | $20 | | |
| 49 | $10,000 | $20 | | |
| 50 | $10,000 | $20 | | |

| Veh No. | Uninsured Motorist | | | Underinsured Motorist | | Defensive Driver Credit | Dual Control | AntiTheft Discount |
|---|---|---|---|---|---|---|---|---|
| | CSL | PD Limit | Premium | CSL | Premium | | | |
| 46 | $1,000,000 | | $9 | $1,000,000 | $52 | | | |
| 47 | $1,000,000 | | $9 | $1,000,000 | $52 | | | |
| 48 | $1,000,000 | | $9 | $1,000,000 | $52 | | | |
| 49 | $1,000,000 | | $9 | $1,000,000 | $52 | | | |
| 50 | $1,000,000 | | $9 | $1,000,000 | $52 | | | |

| Veh No. | Comprehensive | | | Specified Causes of Loss | | |
|---|---|---|---|---|---|---|
| | Deductible For Loss Caused By Theft Or Mischief Or Vandalism* | Deductible For All Perils* | Premium | Type | Deductible For All Perils* | Premium |
| 46 | | $1,000 | $163 | | | |
| 47 | | $1,000 | $93 | | | |
| 48 | | $1,000 | $163 | | | |
| 49 | | $1,000 | $163 | | | |
| 50 | | $1,000 | $199 | | | |

* A maximum deductible may also apply. Refer to Coverage Form for details.

| Veh No. | Collision | | | Towing And Labor | | Audio/Visual/Data Electronic Equipment | | Tapes |
|---|---|---|---|---|---|---|---|---|
| | Type (MI Only) | Deductible | Premium | Limit | Premium | Limit | Premium | Premium |
| 46 | | $1,000 | $495 | | | | | |
| 47 | | $1,000 | $351 | | | | | |
| 48 | | $1,000 | $495 | | | | | |
| 49 | | $1,000 | $495 | | | | | |
| 50 | | $1,000 | $477 | | | | | |

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Renewal

## Business Auto Coverage Schedule

**Customer Number:** 0110116385
**Policy Number:** A848246 05

**Policy Period:** 01/01/2026 to 01/01/2027
at 12:01 AM Standard Time at Your Mailing Address Shown Below

**Named Insured and Address:**
Locksley, Inc
DBA Paul Davis Restoration of South Central WI
3432A County Rd N
Cottage Grove, WI 53527

**Agency Name and Address:** 48508
R & R INSURANCE SERVICES INC
N14W23900 STONE RIDGE DR
WAUKESHA, WI 53188
262-574-7000

| Veh No. | Description<br>Year, Make, Model,<br>Vehicle Identification Number (VIN) | Original Cost New | Stated Amount | Total Vehicle Premium |
|---|---|---|---|---|
| 51 | 2024 FORD MAVERICK<br>3FTTW8A39RRB60314 | $24,900 | | $1,533 |
| 52 | 2022 HONDA RIDGELINE<br>5FPYK3F82NB039507 | $44,320 | | $1,776 |
| 53 | 2025 FORD E450SD<br>1FDXE4FN5SDD19301 | $84,706 | | $2,213 |
| 54 | 2014 PJ TRAILER Flat bed<br>4P5CC2023E1201268 | $10,000 | | $136 |
| 55 | 2025 Cell Tech Trailer<br>7XXE12124SW000299 | $16,900 | | $262 |

| Veh No. | Classification | | | | Territory | Class Code |
|---|---|---|---|---|---|---|
| | Radius Of Operation | Use | Size | Seating Capacity | Garaging Location | |
| 51 | Local | Service | Light | | Cottage Grove, WI 53527-9508 | 01489 |
| 52 | Local | Service | Light | | Cottage Grove, WI 53527-9508 | 01489 |
| 53 | Local | Service | Medium | | Cottage Grove, WI 53527-9508 | 21489 |
| 54 | Local | | | | Cottage Grove, WI 53527-9508 | 68489 |
| 55 | Local | | | | Cottage Grove, WI 53527-9508 | 68489 |

| Veh No. | Covered Autos Liability | | Personal Injury Protection (See state specific PIP endorsement for limits) | | | |
|---|---|---|---|---|---|---|
| | | | | | Michigan Only | |
| | CSL | Premium | Deductible | Premium | Property Protection | Property Protection Deductible |
| 51 | $1,000,000 | $875 | | | | |
| 52 | $1,000,000 | $991 | | | | |
| 53 | $1,000,000 | $1,120 | | | | |
| 54 | $1,000,000 | $76 | | | | |
| 55 | $1,000,000 | $104 | | | | |

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## Business Auto Coverage Schedule

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at 12:01 AM Standard Time at Your Mailing Address Shown Below

**Named Insured and Address:**
Locksley, Inc
DBA Paul Davis Restoration of South Central WI
3432A County Rd N
Cottage Grove, WI 53527

**Agency Name and Address:** 48508
R & R INSURANCE SERVICES INC
N14W23900 STONE RIDGE DR
WAUKESHA, WI 53188
262-574-7000

| Veh No. | Auto Medical Payments | | Medical Expense And/Or Income Loss Benefits (Virginia Only) Limit stated in the Medical Expense And Income Loss Endorsement | |
|---|---|---|---|---|
| | Limit | Premium | Medical Expense Premium | Income Loss Premium |
| 51 | $10,000 | $20 | | |
| 52 | $10,000 | $20 | | |
| 53 | $10,000 | $20 | | |
| 54 | $10,000 | $2 | | |
| 55 | $10,000 | $2 | | |

| Veh No. | Uninsured Motorist | | | Underinsured Motorist | | Defensive Driver Credit | Dual Control | AntiTheft Discount |
|---|---|---|---|---|---|---|---|---|
| | CSL | PD Limit | Premium | CSL | Premium | | | |
| 51 | $1,000,000 | | $9 | $1,000,000 | $52 | | | |
| 52 | $1,000,000 | | $9 | $1,000,000 | $52 | | | |
| 53 | $1,000,000 | | $9 | $1,000,000 | $52 | | | |
| 54 | | | | | | | | |
| 55 | | | | | | | | |

| Veh No. | Comprehensive | | | Specified Causes of Loss | | |
|---|---|---|---|---|---|---|
| | Deductible For Loss Caused By Theft Or Mischief Or Vandalism* | Deductible For All Perils* | Premium | Type | Deductible For All Perils* | Premium |
| 51 | | $1,000 | $143 | | | |
| 52 | | $1,000 | $191 | | | |
| 53 | | $1,000 | $285 | | | |
| 54 | | $1,000 | $32 | | | |
| 55 | | $1,000 | $84 | | | |

* A maximum deductible may also apply. Refer to Coverage Form for details.

| Veh No. | Collision | | | Towing And Labor | | Audio/Visual/Data Electronic Equipment | | Tapes |
|---|---|---|---|---|---|---|---|---|
| | Type (MI Only) | Deductible | Premium | Limit | Premium | Limit | Premium | Premium |
| 51 | | $1,000 | $434 | | | | | |
| 52 | | $1,000 | $513 | | | | | |
| 53 | | $1,000 | $727 | | | | | |
| 54 | | $1,000 | $26 | | | | | |
| 55 | | $1,000 | $72 | | | | | |

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## Business Auto Coverage Schedule

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**Policy Number:** A848246 05

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at 12:01 AM Standard Time at Your Mailing Address Shown Below

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Locksley, Inc
DBA Paul Davis Restoration of South Central WI
3432A County Rd N
Cottage Grove, WI 53527

**Agency Name and Address:** 48508
R & R INSURANCE SERVICES INC
N14W23900 STONE RIDGE DR
WAUKESHA, WI 53188
262-574-7000

| Veh No. | Description<br>Year, Make, Model,<br>Vehicle Identification Number (VIN) | Original Cost New | Stated Amount | Total Vehicle Premium |
|---|---|---|---|---|
| 56 | 2025 HONDA RIDGELINE<br>5FPYK3F62SB021454 | $45,380 | | $1,949 |
| 57 | 2025 FORD MAVERICK<br>3FTTW8B32SRB47831 | $28,515 | | $1,672 |
| | | | | |
| | | | | |
| | | | | |

| Veh No. | Classification | | | | Territory | Class Code |
|---|---|---|---|---|---|---|
| | Radius Of Operation | Use | Size | Seating Capacity | Garaging Location | |
| 56 | Local | Service | Light | | Cottage Grove, WI 53527-9508 | 01489 |
| 57 | Local | Service | Light | | Cottage Grove, WI 53527-9508 | 01489 |
| | | | | | | |
| | | | | | | |
| | | | | | | |

| Veh No. | Covered Autos Liability | | Personal Injury Protection (See state specific PIP endorsement for limits) | | | |
|---|---|---|---|---|---|---|
| | | | | | Michigan Only | |
| | CSL | Premium | Deductible | Premium | Property Protection | Property Protection Deductible |
| 56 | $1,000,000 | $964 | | | | |
| 57 | $1,000,000 | $885 | | | | |
| | | | | | | |
| | | | | | | |
| | | | | | | |

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## Business Auto Coverage Schedule

**Customer Number:** 0110116385
**Policy Number:** A848246 05

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at 12:01 AM Standard Time at Your Mailing Address Shown Below

**Named Insured and Address:**
Locksley, Inc
DBA Paul Davis Restoration of South Central WI
3432A County Rd N
Cottage Grove, WI 53527

**Agency Name and Address:** 48508
R & R INSURANCE SERVICES INC
N14W23900 STONE RIDGE DR
WAUKESHA, WI 53188
262-574-7000

| Veh No. | Auto Medical Payments | | Medical Expense And/Or Income Loss Benefits (Virginia Only) Limit stated in the Medical Expense And Income Loss Endorsement | |
|---|---|---|---|---|
| | Limit | Premium | Medical Expense Premium | Income Loss Premium |
| 56 | $10,000 | $20 | | |
| 57 | $10,000 | $20 | | |
| | | | | |
| | | | | |
| | | | | |

| Veh No. | Uninsured Motorist | | | Underinsured Motorist | | Defensive Driver Credit | Dual Control | AntiTheft Discount |
|---|---|---|---|---|---|---|---|---|
| | CSL | PD Limit | Premium | CSL | Premium | | | |
| 56 | $1,000,000 | | $9 | $1,000,000 | $52 | | | |
| 57 | $1,000,000 | | $9 | $1,000,000 | $52 | | | |
| | | | | | | | | |
| | | | | | | | | |
| | | | | | | | | |

| Veh No. | Comprehensive | | | Specified Causes of Loss | | |
|---|---|---|---|---|---|---|
| | Deductible For Loss Caused By Theft Or Mischief Or Vandalism* | Deductible For All Perils* | Premium | Type | Deductible For All Perils* | Premium |
| 56 | | $1,000 | $222 | | | |
| 57 | | $1,000 | $163 | | | |
| | | | | | | |
| | | | | | | |
| | | | | | | |

* A maximum deductible may also apply. Refer to Coverage Form for details.

| Veh No. | Collision | | | Towing And Labor | | Audio/Visual/Data Electronic Equipment | | Tapes |
|---|---|---|---|---|---|---|---|---|
| | Type (MI Only) | Deductible | Premium | Limit | Premium | Limit | Premium | Premium |
| 56 | | $1,000 | $682 | | | | | |
| 57 | | $1,000 | $543 | | | | | |
| | | | | | | | | |
| | | | | | | | | |
| | | | | | | | | |

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# Business Auto Hired or Borrowed Schedule

**Customer Number:** 0110116385
**Policy Number:** A848246 05

**Policy Period:** 01/01/2026 to 01/01/2027
at 12:01 AM Standard Time at Your Mailing Address Shown Below

**Named Insured and Address:**
Locksley, Inc
DBA Paul Davis Restoration of South Central WI
3432A County Rd N
Cottage Grove, WI 53527

**Agency Name and Address:** 48508
R & R INSURANCE SERVICES INC
N14W23900 STONE RIDGE DR
WAUKESHA, WI 53188
262-574-7000

## ITEM FOUR: Schedule Of Hired Or Borrowed Covered Auto Coverage And Premiums

"Autos" NOT Used In Your Motor Carrier Operations (Other Than Mobile Or Farm Equipment)

| State | Covered Autos Liability Coverage – Cost Of Hire Rating Basis | | Auto Medical Payments Premium* | Uninsured Motorists Premium | Underinsured Motorists Premium |
|---|---|---|---|---|---|
| | Estimated Annual Cost Of Hire For Each State | Premium | | | |
| WI | If Any | $73 | $1 | $2 | $4 |

Total Hired Auto Premium: $80

* If the state is VA, Auto Medical Payments Premium is replaced with Medical Expense Benefits (Virginia only) Premium.

For "autos" NOT used in your motor carrier operations, cost of hire means the total amount you incur for the hire of "autos" you don't own (not including "autos" you borrow or rent from your partners or "employees" or their family members). Cost of hire does not include charges for services performed by motor carriers of property or passengers.

**Physical Damage Coverages – Cost Of Hire Rating Basis**
**(Excluding Autos Hired With A Driver) (Other Than Mobile Or Farm Equipment)**

| State | Limit | Estimated Annual Cost Of Hire For Each State | Comprehensive (Deductible For Each Covered Auto For All Perils) (A maximum deductible may also apply. Refer to Coverage Form for details.) | | Collision (Deductible For Each Covered Auto) | |
|---|---|---|---|---|---|---|
| | | | Deductible | Premium | Deductible | Premium |
| WI | $100,000 | If Any | $500 | $31 | $1,000 | $121 |

Total Hired Auto Premium: $152

For Physical Damage Coverages, cost of hire means the total amount you incur for the hire of "autos" you don't own (not including "autos" you borrow or rent from your partners or "employees" or their family members). Cost of hire does not include charges for any "auto" that is leased, hired, rented or borrowed with a driver.

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## Business Auto Non-Owned Auto Schedule

**Customer Number:** 0110116385
**Policy Number:** A848246 05

**Policy Period:** 01/01/2026 to 01/01/2027
at 12:01 AM Standard Time at Your Mailing Address Shown Below

**Named Insured and Address:**
Locksley, Inc
DBA Paul Davis Restoration of South Central WI
3432A County Rd N
Cottage Grove, WI 53527

**Agency Name and Address:** 48508
R & R INSURANCE SERVICES INC
N14W23900 STONE RIDGE DR
WAUKESHA, WI 53188
262-574-7000

### ITEM FIVE: Schedule For Non-ownership Covered Autos Liability

| Named Insured's Business | Covered Autos Liability Coverage Rating Basis | Estimated Number | Premium |
|---|---|---|---|
| Other Than Auto Service Operations | Number Of Employees | 30 | $908 |
| | Number Of Volunteers | | |

| | |
|---|---|
| Auto Medical Payments: | $4 |
| Uninsured Motorist (WI only): | $20 |
| Underinsured Motorist (WI only): | $41 |
| Total Non-ownership Covered Autos Premium: | $973 |

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Renewal

## Business Auto Endorsements and Miscellaneous Premiums

**Customer Number:** 0110116385
**Policy Number:** A848246 05

**Policy Period:** 01/01/2026 to 01/01/2027
at 12:01 AM Standard Time at Your Mailing Address Shown Below

**Named Insured and Address:**
Locksley, Inc
DBA Paul Davis Restoration of South Central WI
3432A County Rd N
Cottage Grove, WI 53527

**Agency Name and Address:** 48508
R & R INSURANCE SERVICES INC
N14W23900 STONE RIDGE DR
WAUKESHA, WI 53188
262-574-7000

### Additional Insureds

| Description | Form Number | Premium |
|---|---|---|
| Designated Insured - Blanket | CA2048Y | $50 |

### Endorsements

| Description | Form Number | Premium |
|---|---|---|
| Plus Pak –Commercial Auto | WB1135 | $720 |
| | Total Endorsement and Miscellaneous Premium: | $770 |

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## Business Auto Additional Interest Schedule

**Customer Number:** 0110116385
**Policy Number:** A848246 05

**Policy Period:** 01/01/2026 to 01/01/2027
at 12:01 AM Standard Time at Your Mailing Address Shown Below

**Named Insured and Address:**
Locksley, Inc
DBA Paul Davis Restoration of South Central WI
3432A County Rd N
Cottage Grove, WI 53527

**Agency Name and Address:** 48508
R & R INSURANCE SERVICES INC
N14W23900 STONE RIDGE DR
WAUKESHA, WI 53188
262-574-7000

### Additional Interest Schedule

Except for towing and labor, all Physical Damage loss is payable to you and the loss payee named below as interests may appear at the time of loss.

| Vehicle | Name and Address | Form Number | Interest |
|---|---|---|---|
| 24, 27, 30, 31, 35, 36 | Enterprise Fleet Management<br>9315 Olive Blvd<br>Saint Louis, MO 63132-3211 | CA9944 | Loss Payee/Loss Payable |
| 29, 32, 33, 34 | Toyota Financial Services<br>PO Box 15012<br>Chandler, AZ 85244 | CA9944 | Loss Payee/Loss Payable |
| 3 | Velcor Leasing Inc<br>2005 W Beltline Hwy<br>Ste 200<br>Madison, WI 53713-2314 | CA9944 | Loss Payee/Loss Payable |
| 28, 38, 43, 44, 45, 52, 53, 56, 57 | Lake Ridge Bank, ISAOA/ATIMA<br>1205 Main St<br>Cross Plains, WI 53528-9479 | CA9944 | Loss Payee/Loss Payable |

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## Business Auto Forms Schedule

**Customer Number:** 0110116385
**Policy Number:** A848246 05

**Policy Period:** 01/01/2026 to 01/01/2027
at 12:01 AM Standard Time at Your Mailing Address Shown Below

**Named Insured and Address:**
Locksley, Inc
DBA Paul Davis Restoration of South Central WI
3432A County Rd N
Cottage Grove, WI 53527

**Agency Name and Address:** 48508
R & R INSURANCE SERVICES INC
N14W23900 STONE RIDGE DR
WAUKESHA, WI 53188
262-574-7000

### Forms Schedule

| Number | Edition | Description |
|---|---|---|
| CA2048Y | 1013 | DESIGNATED INSURED |
| CA2054 | 1120 | EMPLOYEE HIRED AUTOS |
| CA2345 | 1120 | PUBLIC OR LIVERY PASSENGER CONVEYANCE AND ON-DEMAND DELIVERY SERVICES EXCLUSION |
| CA2803 | 1223 | ABUSE OR MOLESTATION EXCLUSION FOR COVERED AUTOS LIABILITY EXPOSURE |
| WB1135 | 1124 | PLUS PAK - COMMERCIAL AUTO |
| WB1238 | 0825 | COVERED AUTO DESCRIPTION EXTENSION ENDORSEMENT |
| CA2301Z | 1013 | EXPLOSIVES |
| CA2394 | 1013 | SILICA OR SILICA-RELATED DUST EXCLUSION FOR COVERED AUTOS EXPOSURE |
| CA9944 | 1013 | LOSS PAYABLE CLAUSE (DOES NOT APPLY TO TENNESSEE) |
| CA0001 | 1120 | BUSINESS AUTO COVERAGE FORM |
| WB39CA | 0225 | EXCLUSION - HUMAN TRAFFICKING |
| CA0117 | 0422 | WISCONSIN CHANGES |
| CA2103 | 1013 | WISCONSIN UNINSURED MOTORISTS COVERAGE |
| CA2145 | 1013 | WISCONSIN UNDERINSURED MOTORISTS COVERAGE |
| CA9924 | 1013 | WISCONSIN AUTO MEDICAL PAYMENTS COVERAGE |

**THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.**

# DESIGNATED INSURED FOR COVERED AUTOS LIABILITY COVERAGE

This endorsement modifies insurance provided under the following:

AUTO DEALERS COVERAGE FORM
BUSINESS AUTO COVERAGE FORM
MOTOR CARRIER COVERAGE FORM

With respect to coverage provided by this endorsement, the provisions of the Coverage Form apply unless modified by this endorsement.

This endorsement identifies person(s) or organization(s) who are "insureds" for Covered Autos Liability Coverage under the Who Is An Insured provision of the Coverage Form.

This endorsement changes the policy effective on the inception date of the policy unless another date is indicated below

**Named Insured:** Locksley, Inc

**Endorsement Effective Date:** 01-01-2026

**SCHEDULE**

| **Name of Person(s) or Organization(s):** |
|---|
| Any party for whom the insured is required to provide designated insured status. |
| Information required to complete this Schedule, if not shown above, will be shown in the Declarations. |

**A.** Each person or organization shown in the Schedule is an "insured" for Covered Autos Liability Coverage, but only to the extent that person or organization qualifies as an "insured" under the Who Is An Insured provision contained in Paragraph **A.1.** of Section **II** – Covered Autos Liability Coverage in the Business Auto and Motor Carrier Coverage Forms and Paragraph **D.2.** of Section **I** Covered Autos Coverages of the Auto Dealers Coverage Form.

**B.** The following is added to the Other Insurance Condition in the Business Auto and Auto Dealers Coverage Forms and the Other Insurance – Primary And Excess Insurance Provisions in the Motor Carrier Coverage Form and supersedes any provision to the contrary:

This Coverage Form's Covered Autos Liability Coverage is primary to and will not seek contribution from any other insurance available to an "insured" shown in the schedule provided that:

**1.** Such "insured" is a Named Insured under such other insurance; and

**2.** You have agreed in writing in a contract or agreement that this insurance would be primary and would not seek contribution from any other insurance available to such "insured".

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**THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.**

# EMPLOYEE HIRED AUTOS

This endorsement modifies insurance provided under the following:

AUTO DEALERS COVERAGE FORM
BUSINESS AUTO COVERAGE FORM
MOTOR CARRIER COVERAGE FORM

With respect to coverage provided by this endorsement, the provisions of the Coverage Form apply unless modified by the endorsement.

**A. Changes In Covered Autos Liability Coverage**

The following is added to the **Who Is An Insured** provision:

An "employee" of yours is an "insured" while operating an "auto" hired or rented under a contract or agreement in an "employee's" name, with your permission, while performing duties related to the conduct of your business.

**B. Changes In General Conditions**

Paragraph **5.b.** of the **Other Insurance** Condition in the Business Auto and Auto Dealers Coverage Forms and Paragraph **5.f.** of the **Other Insurance – Primary And Excess Insurance Provisions** Condition in the Motor Carrier Coverage Form are amended by the addition of the following:

For Hired Auto Physical Damage Coverage, any covered "auto" hired or rented by your "employee" under a contract in an "employee's" name, with your permission, while performing duties related to the conduct of your business is deemed to be a covered "auto" you own.

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# PUBLIC OR LIVERY PASSENGER CONVEYANCE AND ON-DEMAND DELIVERY SERVICES EXCLUSION

This endorsement modifies insurance provided under the following:

AUTO DEALERS COVERAGE FORM
BUSINESS AUTO COVERAGE FORM
MOTOR CARRIER COVERAGE FORM

With respect to coverage provided by this endorsement, the provisions of the Coverage Form apply unless modified by the endorsement.

**A. Changes In Covered Autos Liability Coverage**

The following exclusion is added:

**Public Or Livery Passenger Conveyance And On-demand Delivery Services**

This insurance does not apply to any covered "auto" while being used:

1. As a public or livery conveyance for passengers. This includes, but is not limited to, any period of time a covered "auto" is being used by an "insured" who is logged into a "transportation network platform" as a driver, whether or not a passenger is "occupying" the covered "auto"; or
2. By an "insured" who is logged into a "transportation network platform" or "delivery network platform" as a driver to provide "delivery services", whether or not the goods, items or products to be delivered are in the covered "auto".

However, this exclusion does not apply to business activities performed by an "insured" that are directly related to the Named Insured(s) listed in the Declarations.

**B. Changes In Physical Damage Coverage**

The following exclusion is added:

We will not pay for "loss" to any covered "autos" while being used:

1. As a public or livery conveyance for passengers. This includes, but is not limited to, any period of time a covered "auto" is being used by an "insured" who is logged into a "transportation network platform" as a driver, whether or not a passenger is "occupying" the covered "auto"; or
2. By an "insured" who is logged into a "transportation network platform" or "delivery network platform" as a driver to provide "delivery services", whether or not the goods, items or products to be delivered are in the covered "auto".

However, this exclusion does not apply to business activities performed by an "insured" that are directly related to the Named Insured(s) listed in the Declarations.

**C. Changes In Auto Medical Payments**

If Auto Medical Payments Coverage is attached, then the following exclusion is added:

**Public Or Livery Passenger Conveyance And On-demand Delivery Services**

This insurance does not apply to:

"Bodily injury" sustained by an "insured" "occupying" a covered "auto" while it is being used:

1. As a public or livery conveyance for passengers. This includes, but is not limited to, any period of time a covered "auto" is being used by an "insured" who is logged into a "transportation network platform" as a driver, whether or not a passenger is "occupying" the covered "auto"; or
2. By an "insured" who is logged into a "transportation network platform" or "delivery network platform" as a driver to provide "delivery services", whether or not the goods, items or products to be delivered are in the covered "auto".

However, this exclusion does not apply to business activities performed by an "insured" that are directly related to the Named Insured(s) listed in the Declarations.

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**D. Changes In Uninsured And/Or Underinsured Motorists Coverage**

**1.** If Uninsured and/or Underinsured Motorists Coverage is attached, and:

**a.** Contains, in whole or in part, a public or livery exclusion, then the following exclusion in Paragraph **2.** does not apply.

**b.** Does not contain a public or livery exclusion, then the following exclusion in Paragraph **2.** is added.

**2. Public Or Livery Passenger Conveyance And On-demand Delivery Services**

This insurance does not apply to any covered "auto" while being used:

**a.** As a public or livery conveyance for passengers. This includes, but is not limited to, any period of time a covered "auto" is being used by an "insured" who is logged into a "transportation network platform" as a driver, whether or not a passenger is "occupying" the covered "auto"; or

**b.** By an "insured" who is logged into a "transportation network platform" or "delivery network platform" as a driver to provide "delivery services", whether or not the goods, items or products to be delivered are in the covered "auto".

However, this exclusion does not apply to business activities performed by an "insured" that are directly related to the Named Insured(s) listed in the Declarations.

**E. Changes In Personal Injury Protection Coverage**

**1.** If Personal Injury Protection, no-fault or other similar coverage is attached, and:

**a.** Contains, in whole or in part, a public or livery exclusion, then the following exclusion in Paragraph **2.** does not apply.

**b.** Does not contain a public or livery exclusion, then the following exclusion in Paragraph **2.** is added.

**2. Public Or Livery Passenger Conveyance And On-demand Delivery Services**

This insurance does not apply to any covered "auto" while being used:

**a.** As a public or livery conveyance for passengers. This includes, but is not limited to, any period of time a covered "auto" is being used by an "insured" who is logged into a "transportation network platform" as a driver, whether or not a passenger is "occupying" the covered "auto"; or

**b.** By an "insured" who is logged into a "transportation network platform" or "delivery network platform" as a driver to provide "delivery services", whether or not the goods, items or products to be delivered are in the covered "auto".

However, this exclusion does not apply to business activities performed by an "insured" that are directly related to the Named Insured(s) listed in the Declarations.

**F. Additional Definitions**

As used in this endorsement:

**1.** "Delivery network platform" means an online-enabled application or digital network, used to connect customers:

**a.** With drivers; or

**b.** With local vendors using drivers;

for the purpose of providing prearranged "delivery services" for compensation. A "delivery network platform" does not include a "transportation network platform".

**2.** "Delivery services" includes courier services.

**3.** "Occupying" means in, upon, getting in, on, out or off.

**4.** "Transportation network platform" means an online-enabled application or digital network used to connect passengers with drivers using vehicles for the purpose of providing prearranged transportation services for compensation.

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**THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.**

# ABUSE OR MOLESTATION EXCLUSION FOR COVERED AUTOS LIABILITY EXPOSURE

This endorsement modifies insurance provided under the following:

AUTO DEALERS COVERAGE FORM
BUSINESS AUTO COVERAGE FORM
MOTOR CARRIER COVERAGE FORM

With respect to coverage provided by this endorsement, the provisions of the Coverage Form apply unless modified by the endorsement.

The following exclusion is added to **Covered Autos Liability Coverage:**

**Abuse Or Molestation For Covered Autos Liability Exposure**

This insurance does not apply to damages arising out of the actual, alleged or threatened abuse or molestation, including, but not limited to, sexual abuse or sexual molestation, of any person committed by anyone.

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**THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.**

# PLUS PAK – COMMERCIAL AUTO

This endorsement modifies insurance provided under the following:

BUSINESS AUTO COVERAGE FORM
MOTOR CARRIER COVERAGE FORM

With respect to coverage provided by this endorsement, the provisions of the Coverage Form apply unless modified by the endorsement.

**A. Changes In Covered Autos Liability Coverage**

**1.** Paragraph **A.1. Who Is An Insured** is amended by the addition of the following:

**Newly Acquired Organizations**

Any organization you newly acquire or form, other than a partnership, joint venture or limited liability company, and over which you maintain ownership or majority interest, will qualify as a Named Insured if there is no other similar insurance available to that organization. However:

**a.** Coverage under this provision is afforded only until the 180th day after you acquire or form the organization or the end of the policy period, whichever is earlier;

**b.** This coverage does not apply to **"**bodily injury**"** or **"**property damage**"** that occurred before you acquired or formed the organization; and

**c.** No person or organization is an insured with respect to the conduct of any current or past partnership, joint venture or limited liability company that is not shown as a named Insured in the Declarations.

**Employees As Insureds**

Any "employee" of yours is an "insured" while using a covered "auto" you don't own, hire or borrow in your business or your personal affairs.

**Employee Hired Autos**

An "employee" of yours is an "insured" while operating an "auto" hired or rented under a contract or agreement in an "employee's" name, with your permission, while performing duties related to the conduct of your business.

If Employee Hired Autos **CA 20 54** is attached to this policy, the Employee Hired Autos coverage described above does not apply.

**Additional Insured By Written Contract**

Any person or organization for whom you have agreed to add under a written contract or agreement. Such person or organization is an additional "insured" only with respect to your ownership, maintenance or use of a covered "auto".

This coverage is primary to and will not seek contribution from any other insurance available to an "insured" provided that:

**a.** Such "insured" is a Named Insured under such other insurance; and

**b.** You have agreed in a written contract or agreement that this insurance would be primary and would not seek contribution from any other insurance available to such "insured".

**2. Increased Supplementary Payments**

Paragraph **A.2.a.(4)** is replaced by:

**(4)** All reasonable expenses incurred by the "insured" at our request, including actual loss of earnings up to $300 a day because of time off from work.

**3. Fellow Employee**

Paragraph **B.5. Fellow Employee** does not apply to claims for "bodily injury" resulting from the use of a covered "auto" where the fellow "employee" is not immune from "suit" or civil liability for "bodily injury" by reason of Workers Compensation laws or other similar laws.

Coverage is excess over any other collectible insurance.

This amendment is not applicable in Virginia. See applicable Virginia Changes endorsement.

**B. Changes In Physical Damage Coverage**

**1.** Paragraph **A. Coverage** is amended by the addition of:

**Loan/Lease Gap Coverage**

In the event of a total "loss" to a covered "auto", of the private passenger or "light or medium truck" type, to which a loss payee applies under the Commercial Auto Coverage Part, we will pay any unpaid amount due on the lease or loan for a covered "auto" less:

The amount paid under the policy's Physical Damage Coverage and any:

**a.** Overdue or any deferred lease/loan payments at the time of the **"**loss**"**;

**b.** Financial penalties imposed under a lease for excessive use, abnormal wear and tear or high mileage;

**c.** Security deposits not returned by the lessor;

**d.** Costs for extended warranties, Credit Life Insurance, Health, Accident or Disability Insurance purchased with the loan or lease; and

**e.** Carry-over balances from previous loans or leases.

This coverage applies only to "autos", of the private passenger or "light or medium truck" type, that:

**a.** Are provided comprehensive and collision coverages by the attached policy and

**b.** Have not been previously titled under the motor vehicle laws of any state.

The insurance provided is excess over any other collectible insurance including but not limited to any coverage provided by or purchased from the lessor or any financial institution.

The Loan/Lease Gap Coverage described above does not apply to a covered "auto" that is described or designated as a covered "auto" on Auto Loan/Lease Gap Coverage Endorsement **CA 20 71**.

**2.** Paragraph **A.2. Towing and Labor** is replaced by:

**2. Towing and Labor**

We will pay up to a maximum of $150 for towing and labor costs incurred each time a covered "auto", of the private passenger or "light or medium truck" type, is disabled. However, the labor must be performed at the place of disablement.

If a limit is shown in the Declarations for towing and labor costs, the Towing and Labor coverage described above does not apply.

**3.** Paragraph **A.4.a. Transportation Expenses** is replaced by:

**a. Transportation Expenses**

We will pay up to $50 per day, to a maximum of $1,500, for temporary transportation expense incurred by you because of the total theft of a covered "auto" of the private passenger or "light or medium truck" type. We will pay only for those covered "autos" for which you carry either Comprehensive or Specified Causes Of Loss Coverage. We will pay for temporary transportation expenses incurred during the period beginning 48 hours after the theft and ending, regardless of the policy's expiration, when the covered "auto" is returned to use or we pay for its "loss".

**4.** Paragraph **A.4.b. Loss of Use Expenses** is replaced by:

**b. Loss of Use Expenses**

For Hired Auto Physical Damage, we will pay expenses for which an "insured" becomes legally responsible to pay for loss of use of a vehicle rented or hired without a driver under a written rental contract or agreement. We will pay for loss of use expenses caused by:

**(1)** Other than collision only if the Declarations indicates that Comprehensive Coverage is provided for any covered "auto";

**(2)** Specified Causes Of Loss only if the Declarations indicates that Specified Causes Of Loss Coverage is provided for any covered "auto"; or

**(3)** Collision only if the Declarations indicates that Collision Coverage is provided for any covered "auto".

However, the most we will pay for any expenses for loss of use is $50 per day, to a maximum of $1,500.

If Optional Limits – Loss of Use Expenses Endorsement **CA 99 90** is attached to this policy, the Loss of Use Expenses described above does not apply.

**5.** Paragraph **A.4. Coverage Extensions** is amended by the addition of:

**Electronic Logging Devices**

We will also pay, with respect to a covered "loss", up to $5,000 in any one occurrence for the actual loss sustained to all electronic on-board recorder permanently installed in the "auto" but only with respect to a covered "auto".

A deductible of $250 applies to any one occurrence.

In the event that there is more than one applicable deductible, only the highest deductible will apply.

**Personal Property**

If we pay for a "loss" to a covered "auto" caused by:

**a.** Fire,

**b.** Lightning,

**c.** Theft or attempted theft if there are visible signs of someone breaking into the covered **"**auto**"** or the entire **"**auto**"** is stolen or

**d.** Collision, we will extend coverage to pay for **"**loss**"** to personal property contained in or on the **"**auto**"** at the time of the **"**loss**"** to the **"**auto**"**.

Under this extension:

**(1)** The personal property must be owned by you, your family member or your employee.

**(2)** We will pay up to $500 in any one **"**loss**"**.

**(3)** This Personal Property coverage is excess over any other insurance available for the same **"**loss**"**.

**(4)** Personal Property does not include tools, jewelry, money or securities.

**Rental Reimbursement**

We will pay for rental reimbursement expenses incurred by you for the rental of an "auto" because of a covered "loss" to a covered "auto" of the private passenger or truck type. Payment applies in addition to the otherwise applicable amount of each coverage you have on a covered "auto". No deductibles apply to this coverage.

We will pay only for those expenses incurred during the policy period beginning 24 hours after the "loss" and ending, regardless of the policy's expiration, with the lesser of the following number of days:

**a.** The number of days reasonably required to repair or replace the covered **"**auto**"**. If **"**loss**"** is caused by theft, this number of days is added to the number of days it takes to locate the covered **"**auto**"** and return it to you.

**b.** 30 days.

Our payment is limited to the lesser of the following amounts:

**a.** Necessary and actual expenses incurred.

**b.** $100 per day.

This coverage does not apply while there are spare or reserve "autos" available to you for your operations.

If "loss" results from the total theft of a covered "auto" of the private passenger or truck type, we will pay under this coverage only that amount of your rental reimbursement expenses which is not already provided for under – Physical Damage Coverage Extension.

The Rental Reimbursement Coverage described above does not apply to a covered "auto" that is described or designated as a covered "auto" on Rental Reimbursement Coverage Endorsement **CA 99 23**.

**Hired Auto Physical Damage**

If hired "autos" are covered "autos" for Liability Coverage and Comprehensive, Specified Causes Of Loss or Collision Coverages are provided for any "auto" you own, then the Physical Damage Coverages provided are extended to "autos" you hire of the private passenger or "light or medium truck" type.

The most we will pay for "loss" to any hired "auto" is the lesser of:

**a.** $75,000

**b.** The actual cash value of the damaged hired **"**auto**"** or

**c.** The cost of repairing or replacing the damaged or stolen hired **"**auto**"**.

Our obligation to pay for repair, return or replacement of a stolen hired "auto", will be reduced by a deductible. The deductible will be equal to the largest deductible applicable to any owned "auto" of the private passenger or "light or medium truck" type for the applicable coverage.

Hired Auto Physical Damage Coverage is excess over any other collectible insurance. Subject to the above limit, deductible and excess provisions, we will provide coverage equal to the broadest coverage applicable to any covered "auto" you own of the private passenger or "light or medium truck" type.

If symbol 08 or 68 is listed in the Covered Autos section of the Declarations as applying to any Physical Damage Coverages, the Hired Auto Physical Damage described above does not apply.

**6.** Paragraphs **B.3.a.** in the Business Auto Coverage Form and **B.4.a**. in the Motor Carrier Coverage Form are amended by the addition of the following:

**Accidental Airbag Inflation**

This exclusion does not apply to the accidental inflation of an airbag.

**7.** Paragraph **C. Limits of Insurance** is amended by the addition of the following:

**Waiver of Depreciation – Private Passenger Vehicle**

If we deem a covered "auto", of the private passenger type, to be a total loss, within 180 days of your purchase of the "auto", and it has not been previously titled under the motor vehicle laws of any state, at our option, we may:

**a.** Replace the covered **"**auto**"** with a new "auto" of like make, model and year or

**b.** Pay you an amount equal to the cost of the covered **"**auto**"** new, including taxes.

This coverage does not apply to a leased "auto".

No one will be entitled to receive duplicate payments for the same elements of "loss" under this endorsement and this Coverage Form's Physical Damage Coverage

The Waiver of Depreciation – Private Passenger Vehicle Coverage described above does not apply to a covered "auto" that is described or designated as a covered "auto" on Replacement Cost Coverage – Private Passenger Types Endorsement **CA 04 41**.

**8.** Paragraph **D. Deductible** is amended by the addition of the following:

**Attached Autos**

If you have a loss to more than one covered "auto" when such covered "autos" are attached to one another at the time of "loss", then our obligation to pay will be reduced by the single highest applicable deductible.

**Auto and Other Property Loss**

If you have a covered "loss" to Covered Property under a Transportation, Trip Transit, or Motor Truck Cargo Legal Liability Coverage Form under this policy and a covered "loss" to a covered "auto" or more than one covered "autos" that are attached to one another at the time of "loss", then our obligation to pay will be reduced by the single highest applicable deductible**.**

**Glass Repair – Waiver Of Deductible**

If the Declarations indicates that Comprehensive Coverage applies, no Comprehensive Coverage deductible applies to the cost of repairing damaged glass on the covered "auto(s)".

**C. Changes in Business Auto Conditions and Motor Carrier Conditions**

**1.** Paragraph **A.2.a. Duties In The Event Of Accident, Claim, Suit Or Loss** is amended by the addition of the following:

This duty applies only when the "accident" or "loss" is known to:

**(1)** You, if you are an individual,

**(2)** A partner, if you are a partnership.

**(3)** A member or manager, if you are a limited liability company or

**(4)** An executive officer or insurance manager, if you are a corporation.

**2.** Paragraph **A.5. Transfer of Rights of Recovery Against Others To Us** is amended by the addition of the following:

This condition does not apply to any person(s) or organization(s) for whom you are required to waive subrogation with respect to the coverage provided under this Coverage Form, but only to the extent that subrogation is waived:

**a.** Under a written contact or agreement with such person(s) or organization(s); and

**b.** Prior to the "accident" or the "loss."

**3.** Paragraphs **B.5.b.** in the Business Auto Coverage Form and **B.5.f.** in the Motor Carrier Coverage Form are deleted.

If symbol 08 or 68 is listed in the Covered Autos section of the Declarations as applying to any Physical Damage Coverages, this item does not apply.

**4.** Paragraph **B.5** is amended by the addition of the following:

**Employee Hired Autos**

For Hired Auto Physical Damage Coverage, any covered "auto" hired or rented by your "employee" under a contract in an "employee's" name, with your permission, while performing duties related to the conduct of your business is deemed to be a covered "auto" you own.

If Employee Hired Autos Endorsement **CA 20 54** is attached to this policy, the Employee Hired Autos coverage described above does not apply.

**D. Changes in Definitions**

**1.** Paragraph **C.** is replaced by the following:

**C.** **"**Bodily injury**"** means bodily injury, sickness or disease sustained by a person including mental anguish or death resulting from any of these.

**2.** The following definition is added:

"Light or medium truck" means a truck of 20,000 lbs. or less gross vehicle weight**.**

**THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.**

# COVERED AUTO DESCRIPTION EXTENSION ENDORSEMENT

This endorsement modifies insurance provided under the following:

COMMERCIAL AUTO COVERAGE PART

Some covered "autos" may have descriptions that exceed the amount of space available for the description on the SCHEDULE OF COVERED AUTOS YOU OWN. Covered "autos" that require additional space for the complete description are shown in the schedule of this endorsement.

**SCHEDULE**

Complete description(s) and vehicle identification number(s) of covered "autos":

1 - 2011 GMC\CHEVY 4x2 3500 Savana, Express Cutaway Van Chassis for Commercial, RV & Motorhome Appl - 1GD373CG3B1109516

2 - 2012 GMC\CHEVY 4x2 3500 Savana, Express Cutaway Van Chassis for Commercial, RV & Motorhome Appl - 1GB0G2CG0C1172399

3 - 2013 NISSAN 4x2 NV High Roof Van, w/ABS hyd brakes, traction control, power steering - 1N6BF0LXXDN105358

5 - 2014 GMC\CHEVY 4x2 3500 Savana, Express Cutaway Van Chassis for Commercial, RV & Motorhome Appl - 1GB0G2CG1E1185195

**THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.**

# COVERED AUTO DESCRIPTION EXTENSION ENDORSEMENT

This endorsement modifies insurance provided under the following:

COMMERCIAL AUTO COVERAGE PART

Some covered "autos" may have descriptions that exceed the amount of space available for the description on the SCHEDULE OF COVERED AUTOS YOU OWN. Covered "autos" that require additional space for the complete description are shown in the schedule of this endorsement.

**SCHEDULE**

Complete description(s) and vehicle identification number(s) of covered "autos":

6 - 2015 FORD E350 Econoline Commercial Cutaway 4x2 Compact Front Section - 1FDWE3FL5FDA00071

15 - 2015 GMC\CHEVY 4x2 3500 Savana, Express Cutaway Van Chassis for Commercial, RV & Motorhome Appl - 1GB0G2CG1F1132210

18 - 2019 GMC\CHEVY 4x2 Express 3500 Cutaway Van Short SRW 10,000 GVW - 1GB0GRFG4K1192156

25 - 2019 GMC\CHEVY 4x2 Express 3500 Cutaway Van Short SRW 10,000 GVW - 1GB0GRFG0K1250618

**THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.**

# COVERED AUTO DESCRIPTION EXTENSION ENDORSEMENT

This endorsement modifies insurance provided under the following:

COMMERCIAL AUTO COVERAGE PART

Some covered "autos" may have descriptions that exceed the amount of space available for the description on the SCHEDULE OF COVERED AUTOS YOU OWN. Covered "autos" that require additional space for the complete description are shown in the schedule of this endorsement.

**SCHEDULE**

Complete description(s) and vehicle identification number(s) of covered "autos":

27 - 2021 GMC\CHEVY 4x2 Express 3500 Cutaway Van SRW, 6.6L w/ABS Hydraulic Brakes, traction control, - 1GB0GRF75M1197305

**THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.**

# EXPLOSIVES

This endorsement modifies insurance provided under the following:

BUSINESS AUTO COVERAGE FORM
MOTOR CARRIER COVERAGE FORM

With respect to coverage provided by this endorsement, the provisions of the Coverage Form apply unless modified by the endorsement.

**A.** **Covered Autos Liability Coverage** is changed by adding the following exclusion:

This insurance does not apply to:

"Bodily injury" or "property damage" caused by the explosion of "explosives" you make, sell or transport.

**B.** The following definition is added to Section **V – Definitions** of the Business Auto Coverage Form and Section **VI – Definitions** of the Motor Carrier Coverage Form:

"Explosives" means any substance manufactured for the express purpose of exploding, as differentiated from other commodities used industrially and which are fortuitously explosive, such as gasoline, celluloid, fuel gases and dyestuffs.

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# SILICA OR SILICA-RELATED DUST EXCLUSION FOR COVERED AUTOS EXPOSURE

This endorsement modifies insurance provided under the following:

AUTO DEALERS COVERAGE FORM
BUSINESS AUTO COVERAGE FORM
MOTOR CARRIER COVERAGE FORM

With respect to coverage provided by this endorsement, the provisions of the Coverage Form apply unless modified by the endorsement.

**A.** The following exclusion is added to **Covered Autos Liability Coverage:**

**Silica Or Silica-related Dust Exclusion For Covered Autos Exposure**

This insurance does not apply to:

**1.** "Bodily injury" arising, in whole or in part, out of the actual, alleged, threatened or suspected inhalation of, or ingestion of, "silica" or "silica-related dust".

**2.** "Property damage" arising, in whole or in part, out of the actual, alleged, threatened or suspected contact with, exposure to, existence of, or presence of, "silica" or "silica-related dust".

**3.** Any loss, cost or expense arising, in whole or in part, out of the abating, testing for, monitoring, cleaning up, removing, containing, treating, detoxifying, neutralizing, remediating or disposing of, or in any way responding to or assessing the effects of, "silica" or "silica-related dust", by any "insured" or by any other person or entity.

**B. Additional Definitions**

As used in this endorsement:

**1.** "Silica" means silicon dioxide (occurring in crystalline, amorphous and impure forms), silica particles, silica dust or silica compounds.

**2.** "Silica-related dust" means a mixture or combination of silica and other dust or particles.

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**THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.**

# LOSS PAYABLE CLAUSE

This endorsement modifies insurance provided under the following:

AUTO DEALERS COVERAGE FORM
BUSINESS AUTO COVERAGE FORM
MOTOR CARRIER COVERAGE FORM

With respect to coverage provided by this endorsement, the provisions of the Coverage Form apply unless modified by the endorsement.

**A.** We will pay, as interest may appear, you and the loss payee named in the policy for "loss" to a covered "auto".

**B.** The insurance covers the interest of the loss payee unless the "loss" results from conversion, secretion or embezzlement on your part.

**C.** We may cancel the policy as allowed by the Cancellation Common Policy Condition.

Cancellation ends this agreement as to the loss payee's interest. If we cancel the policy, we will mail you and the loss payee the same advance notice.

**D.** If we make any payments to the loss payee, we will obtain his or her rights against any other party.


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# BUSINESS AUTO COVERAGE FORM

Various provisions in this Policy restrict coverage. Read the entire policy carefully to determine rights, duties and what is and is not covered.

Throughout this Policy, the words "you" and "your" refer to the Named Insured shown in the Declarations. The words "we", "us" and "our" refer to the company providing this insurance.

Other words and phrases that appear in quotation marks have special meaning. Refer to Section **V** – Definitions.

## SECTION I – COVERED AUTOS

Item Two of the Declarations shows the "autos" that are covered "autos" for each of your coverages. The following numerical symbols describe the "autos" that may be covered "autos". The symbols entered next to a coverage on the Declarations designate the only "autos" that are covered "autos".

### A. Description Of Covered Auto Designation Symbols

| Symbol | Description Of Covered Auto Designation Symbols | |
|---|---|---|
| **1** | Any "Auto" | |
| **2** | Owned "Autos" Only | Only those "autos" you own (and for Covered Autos Liability Coverage any "trailers" you don't own while attached to power units you own). This includes those "autos" you acquire ownership of after the Policy begins. |
| **3** | Owned Private Passenger "Autos" Only | Only the private passenger "autos" you own. This includes those private passenger "autos" you acquire ownership of after the Policy begins. |
| **4** | Owned "Autos" Other Than Private Passenger "Autos" Only | Only those "autos" you own that are not of the private passenger type (and for Covered Autos Liability Coverage any "trailers" you don't own while attached to power units you own). This includes those "autos" not of the private passenger type you acquire ownership of after the Policy begins. |
| **5** | Owned "Autos" Subject To No-fault | Only those "autos" you own that are required to have no-fault benefits in the state where they are licensed or principally garaged. This includes those "autos" you acquire ownership of after the Policy begins provided they are required to have no-fault benefits in the state where they are licensed or principally garaged. |
| **6** | Owned "Autos" Subject To A Compulsory Uninsured Motorists Law | Only those "autos" you own that because of the law in the state where they are licensed or principally garaged are required to have and cannot reject Uninsured Motorists Coverage. This includes those "autos" you acquire ownership of after the Policy begins provided they are subject to the same state uninsured motorists requirement. |
| **7** | Specifically Described "Autos" | Only those "autos" described in Item Three of the Declarations for which a premium charge is shown (and for Covered Autos Liability Coverage any "trailers" you don't own while attached to any power unit described in Item Three). |
| **8** | Hired "Autos" Only | Only those "autos" you lease, hire, rent or borrow. This does not include any "auto" you lease, hire, rent or borrow from any of your "employees", partners (if you are a partnership), members (if you are a limited liability company) or members of their households. |
| **9** | Non-owned "Autos" Only | Only those "autos" you do not own, lease, hire, rent or borrow that are used in connection with your business. This includes "autos" owned by your "employees", partners (if you are a partnership), members (if you are a limited liability company) or members of their households but only while used in your business or your personal affairs. |

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| | | |
|---|---|---|
| **19** | Mobile Equipment Subject To Compulsory Or Financial Responsibility Or Other Motor Vehicle Insurance Law Only | Only those "autos" that are land vehicles and that would qualify under the definition of "mobile equipment" under this Policy if they were not subject to a compulsory or financial responsibility law or other motor vehicle insurance law where they are licensed or principally garaged. |

**B. Owned Autos**

**1.** If Symbols **1, 2, 3, 4, 5, 6** or **19** are entered next to a coverage in Item Two of the Declarations, then you have coverage for "autos" that you acquire after the policy period begins of the type described for the remainder of the policy period.

**2.** But, if Symbol **7** is entered next to a coverage in Item Two of the Declarations, an "auto" you acquire after the policy period begins will be a covered "auto" for that coverage only if:

**a.** We already cover all "autos" that you own for that coverage or it replaces an "auto" you previously owned that had that coverage; and

**b.** You tell us within 30 days after you acquire it that you want us to cover it for that coverage.

**3.** An "auto" that is leased or rented to you without a driver, under a written agreement for a continuous period of at least six months that requires you to provide primary insurance covering such "auto", will be considered a covered "auto" you own.

**C. Certain Trailers, Mobile Equipment And Temporary Substitute Autos**

If Covered Autos Liability Coverage is provided by this Coverage Form, the following types of vehicles are also covered "autos" for Covered Autos Liability Coverage:

**1.** "Trailers" with a registered Gross Vehicle Weight Rating of 3,000 pounds or less designed primarily for travel on public roads.

**2.** "Mobile equipment" while being carried or towed by a covered "auto".

**3.** Any "auto" you do not own while used with the permission of its owner as a temporary substitute for a covered "auto" you own that is out of service because of its:

**a.** Breakdown;

**b.** Repair;

**c.** Servicing;

**d.** "Loss"; or

**e.** Destruction.

**SECTION II – COVERED AUTOS LIABILITY COVERAGE**

**A. Coverage**

We will pay all sums an "insured" legally must pay as damages because of "bodily injury" or "property damage" to which this insurance applies, caused by an "accident" and resulting from the ownership, maintenance or use of a covered "auto".

We will also pay all sums an "insured" legally must pay as a "covered pollution cost or expense" to which this insurance applies, caused by an "accident" and resulting from the ownership, maintenance or use of covered "autos". However, we will only pay for the "covered pollution cost or expense" if there is either "bodily injury" or "property damage" to which this insurance applies that is caused by the same "accident".

We have the right and duty to defend any "insured" against a "suit" asking for such damages or a "covered pollution cost or expense". However, we have no duty to defend any "insured" against a "suit" seeking damages for "bodily injury" or "property damage" or a "covered pollution cost or expense" to which this insurance does not apply. We may investigate and settle any claim or "suit" as we consider appropriate. Our duty to defend or settle ends when the Covered Autos Liability Coverage Limit of Insurance has been exhausted by payment of judgments or settlements.

**1. Who Is An Insured**

The following are "insureds":

**a.** You for any covered "auto".

**b.** Anyone else while using with your permission a covered "auto" you own, hire or borrow except:

**(1)** The owner or anyone else from whom you hire or borrow a covered "auto".

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This exception does not apply if the covered "auto" is a "trailer" connected to a covered "auto" you own.

**(2)** Your "employee" if the covered "auto" is owned by that "employee" or a member of his or her household.

**(3)** Someone using a covered "auto" while he or she is working in a business of selling, servicing, repairing, parking or storing "autos" unless that business is yours.

**(4)** Anyone other than your "employees", partners (if you are a partnership), members (if you are a limited liability company) or a lessee or borrower or any of their "employees", while moving property to or from a covered "auto".

**(5)** A partner (if you are a partnership) or a member (if you are a limited liability company) for a covered "auto" owned by him or her or a member of his or her household.

**c.** Anyone liable for the conduct of an "insured" described above but only to the extent of that liability.

**2. Coverage Extensions**

**a. Supplementary Payments**

We will pay for the "insured":

**(1)** All expenses we incur.

**(2)** Up to $2,000 for cost of bail bonds (including bonds for related traffic law violations) required because of an "accident" we cover. We do not have to furnish these bonds.

**(3)** The cost of bonds to release attachments in any "suit" against the "insured" we defend, but only for bond amounts within our Limit of Insurance.

**(4)** All reasonable expenses incurred by the "insured" at our request, including actual loss of earnings up to $250 a day because of time off from work.

**(5)** All court costs taxed against the "insured" in any "suit" against the "insured" we defend. However, these payments do not include attorneys' fees or attorneys' expenses taxed against the "insured".

**(6)** All interest on the full amount of any judgment that accrues after entry of the judgment in any "suit" against the "insured" we defend, but our duty to pay interest ends when we have paid, offered to pay or deposited in court the part of the judgment that is within our Limit of Insurance.

These payments will not reduce the Limit of Insurance.

**b. Out-of-state Coverage Extensions**

While a covered "auto" is away from the state where it is licensed, we will:

**(1)** Increase the Limit of Insurance for Covered Autos Liability Coverage to meet the limits specified by a compulsory or financial responsibility law of the jurisdiction where the covered "auto" is being used. This extension does not apply to the limit or limits specified by any law governing motor carriers of passengers or property.

**(2)** Provide the minimum amounts and types of other coverages, such as no-fault, required of out-of-state vehicles by the jurisdiction where the covered "auto" is being used.

We will not pay anyone more than once for the same elements of loss because of these extensions.

**B. Exclusions**

This insurance does not apply to any of the following:

**1. Expected Or Intended Injury**

"Bodily injury" or "property damage" expected or intended from the standpoint of the "insured".

**2. Contractual**

Liability assumed under any contract or agreement.

But this exclusion does not apply to liability for damages:

**a.** Assumed in a contract or agreement that is an "insured contract", provided the "bodily injury" or "property damage" occurs subsequent to the execution of the contract or agreement; or

**b.** That the "insured" would have in the absence of the contract or agreement.

**3. Workers' Compensation**

Any obligation for which the "insured" or the "insured's" insurer may be held liable under any workers' compensation, disability benefits or unemployment compensation law or any similar law.

**4. Employee Indemnification And Employer's Liability**

"Bodily injury" to:

**a.** An "employee" of the "insured" arising out of and in the course of:

**(1)** Employment by the "insured"; or

**(2)** Performing the duties related to the conduct of the "insured's" business; or

**b.** The spouse, child, parent, brother or sister of that "employee" as a consequence of Paragraph **a.** above.

This exclusion applies:

**(1)** Whether the "insured" may be liable as an employer or in any other capacity; and

**(2)** To any obligation to share damages with or repay someone else who must pay damages because of the injury.

But this exclusion does not apply to "bodily injury" to domestic "employees" not entitled to workers' compensation benefits or to liability assumed by the "insured" under an "insured contract". For the purposes of the Coverage Form, a domestic "employee" is a person engaged in household or domestic work performed principally in connection with a residence premises.

**5. Fellow Employee**

"Bodily injury" to:

**a.** Any fellow "employee" of the "insured" arising out of and in the course of the fellow "employee's" employment or while performing duties related to the conduct of your business; or

**b.** The spouse, child, parent, brother or sister of that fellow "employee" as a consequence of Paragraph **a.** above.

**6. Care, Custody Or Control**

"Property damage" to or "covered pollution cost or expense" involving property owned or transported by the "insured" or in the "insured's" care, custody or control. But this exclusion does not apply to liability assumed under a sidetrack agreement.

**7. Handling Of Property**

"Bodily injury" or "property damage" resulting from the handling of property:

**a.** Before it is moved from the place where it is accepted by the "insured" for movement into or onto the covered "auto"; or

**b.** After it is moved from the covered "auto" to the place where it is finally delivered by the "insured".

**8. Movement Of Property By Mechanical Device**

"Bodily injury" or "property damage" resulting from the movement of property by a mechanical device (other than a hand truck) unless the device is attached to the covered "auto".

**9. Operations**

"Bodily injury" or "property damage" arising out of the operation of:

**a.** Any equipment listed in Paragraphs **6.b.** and **6.c.** of the definition of "mobile equipment"; or

**b.** Machinery or equipment that is on, attached to or part of a land vehicle that would qualify under the definition of "mobile equipment" if it were not subject to a compulsory or financial responsibility law or other motor vehicle insurance law where it is licensed or principally garaged.

**10. Completed Operations**

"Bodily injury" or "property damage" arising out of your work after that work has been completed or abandoned.

In this exclusion, your work means:

**a.** Work or operations performed by you or on your behalf; and

**b.** Materials, parts or equipment furnished in connection with such work or operations.

Your work includes warranties or representations made at any time with respect to the fitness, quality, durability or performance of any of the items included in Paragraph **a.** or **b.** above.

Your work will be deemed completed at the earliest of the following times:

**(1)** When all of the work called for in your contract has been completed;

**(2)** When all of the work to be done at the site has been completed if your contract calls for work at more than one site; or

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**(3)** When that part of the work done at a job site has been put to its intended use by any person or organization other than another contractor or subcontractor working on the same project.

Work that may need service, maintenance, correction, repair or replacement, but which is otherwise complete, will be treated as completed.

**11. Pollution**

"Bodily injury" or "property damage" arising out of the actual, alleged or threatened discharge, dispersal, seepage, migration, release or escape of "pollutants":

**a.** That are, or that are contained in any property that is:

**(1)** Being transported or towed by, handled or handled for movement into, onto or from the covered "auto";

**(2)** Otherwise in the course of transit by or on behalf of the "insured"; or

**(3)** Being stored, disposed of, treated or processed in or upon the covered "auto";

**b.** Before the "pollutants" or any property in which the "pollutants" are contained are moved from the place where they are accepted by the "insured" for movement into or onto the covered "auto"; or

**c.** After the "pollutants" or any property in which the "pollutants" are contained are moved from the covered "auto" to the place where they are finally delivered, disposed of or abandoned by the "insured".

Paragraph **a.** above does not apply to fuels, lubricants, fluids, exhaust gases or other similar "pollutants" that are needed for or result from the normal electrical, hydraulic or mechanical functioning of the covered "auto" or its parts if:

**(1)** The "pollutants" escape, seep, migrate or are discharged, dispersed or released directly from an "auto" part designed by its manufacturer to hold, store, receive or dispose of such "pollutants"; and

**(2)** The "bodily injury", "property damage" or "covered pollution cost or expense" does not arise out of the operation of any equipment listed in Paragraphs **6.b.** and **6.c.** of the definition of "mobile equipment".

Paragraphs **b.** and **c.** above of this exclusion do not apply to "accidents" that occur away from premises owned by or rented to an "insured" with respect to "pollutants" not in or upon a covered "auto" if:

**(a)** The "pollutants" or any property in which the "pollutants" are contained are upset, overturned or damaged as a result of the maintenance or use of a covered "auto"; and

**(b)** The discharge, dispersal, seepage, migration, release or escape of the "pollutants" is caused directly by such upset, overturn or damage.

**12. War**

"Bodily injury" or "property damage" arising directly or indirectly out of:

**a.** War, including undeclared or civil war;

**b.** Warlike action by a military force, including action in hindering or defending against an actual or expected attack, by any government, sovereign or other authority using military personnel or other agents; or

**c.** Insurrection, rebellion, revolution, usurped power or action taken by governmental authority in hindering or defending against any of these.

**13. Racing**

Covered "autos" while used in any professional or organized racing or demolition contest or stunting activity, or while practicing for such contest or activity. This insurance also does not apply while that covered "auto" is being prepared for such a contest or activity.

**14. Unmanned Aircraft**

"Bodily injury" or "property damage" arising out of the ownership, maintenance or use of "unmanned aircraft".

**C. Limit Of Insurance**

Regardless of the number of covered "autos", "insureds", premiums paid, claims made or vehicles involved in the "accident", the most we will pay for the total of all damages and "covered pollution cost or expense" combined resulting from any one "accident" is the Limit Of Insurance for Covered Autos Liability Coverage shown in the Declarations.

All "bodily injury", "property damage" and "covered pollution cost or expense" resulting from continuous or repeated exposure to substantially the same conditions will be considered as resulting from one "accident".

No one will be entitled to receive duplicate payments for the same elements of "loss" under this Coverage Form and any Medical Payments Coverage endorsement, Uninsured Motorists Coverage endorsement or Underinsured Motorists Coverage endorsement attached to this Coverage Part.

## SECTION III – PHYSICAL DAMAGE COVERAGE

### A. Coverage

**1.** We will pay for "loss" to a covered "auto" or its equipment under:

**a. Comprehensive Coverage**

From any cause except:

**(1)** The covered "auto's" collision with another object; or

**(2)** The covered "auto's" overturn.

**b. Specified Causes Of Loss Coverage**

Caused by:

**(1)** Fire, lightning or explosion;

**(2)** Theft;

**(3)** Windstorm, hail or earthquake;

**(4)** Flood;

**(5)** Mischief or vandalism; or

**(6)** The sinking, burning, collision or derailment of any conveyance transporting the covered "auto".

**c. Collision Coverage**

Caused by:

**(1)** The covered "auto's" collision with another object; or

**(2)** The covered "auto's" overturn.

**2. Towing And Labor**

We will pay up to the limit shown in the Declarations for towing and labor costs incurred each time a covered "auto" that is a private passenger type, light truck or medium truck is disabled. However, the labor must be performed at the place of disablement.

**3. Glass Breakage – Hitting A Bird Or Animal – Falling Objects Or Missiles**

If you carry Comprehensive Coverage for the damaged covered "auto", we will pay for the following under Comprehensive Coverage:

**a.** Glass breakage;

**b.** "Loss" caused by hitting a bird or animal; and

**c.** "Loss" caused by falling objects or missiles.

However, you have the option of having glass breakage caused by a covered "auto's" collision or overturn considered a "loss" under Collision Coverage.

**4. Coverage Extensions**

**a. Transportation Expenses**

We will pay up to $30 per day, to a maximum of $900, for temporary transportation expense incurred by you because of the total theft of a covered "auto" of the private passenger type. We will pay only for those covered "autos" for which you carry either Comprehensive or Specified Causes Of Loss Coverage. We will pay for temporary transportation expenses incurred during the period beginning 48 hours after the theft and ending, regardless of the Policy's expiration, when the covered "auto" is returned to use or we pay for its "loss".

**b. Loss Of Use Expenses**

For Hired Auto Physical Damage, we will pay expenses for which an "insured" becomes legally responsible to pay for loss of use of a vehicle rented or hired without a driver under a written rental contract or agreement. We will pay for loss of use expenses if caused by:

**(1)** Other than collision only if the Declarations indicates that Comprehensive Coverage is provided for any covered "auto";

**(2)** Specified Causes of Loss only if the Declarations indicates that Specified Causes Of Loss Coverage is provided for any covered "auto"; or

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**(3)** Collision only if the Declarations indicates that Collision Coverage is provided for any covered "auto".

However, the most we will pay for any expenses for loss of use is $30 per day, to a maximum of $900.

**B. Exclusions**

**1.** We will not pay for "loss" caused by or resulting from any of the following. Such "loss" is excluded regardless of any other cause or event that contributes concurrently or in any sequence to the "loss".

**a. Nuclear Hazard**

**(1)** The explosion of any weapon employing atomic fission or fusion; or

**(2)** Nuclear reaction or radiation, or radioactive contamination, however caused.

**b. War Or Military Action**

**(1)** War, including undeclared or civil war;

**(2)** Warlike action by a military force, including action in hindering or defending against an actual or expected attack, by any government, sovereign or other authority using military personnel or other agents; or

**(3)** Insurrection, rebellion, revolution, usurped power or action taken by governmental authority in hindering or defending against any of these.

**2.** We will not pay for "loss" to any covered "auto" while used in any professional or organized racing or demolition contest or stunting activity, or while practicing for such contest or activity. We will also not pay for "loss" to any covered "auto" while that covered "auto" is being prepared for such a contest or activity.

**3.** We will not pay for "loss" due and confined to:

**a.** Wear and tear, freezing, mechanical or electrical breakdown.

**b.** Blowouts, punctures or other road damage to tires.

This exclusion does not apply to such "loss" resulting from the total theft of a covered "auto".

**4.** We will not pay for "loss" to any of the following:

**a.** Tapes, records, discs or other similar audio, visual or data electronic devices designed for use with audio, visual or data electronic equipment.

**b.** Any device designed or used to detect speed-measuring equipment, such as radar or laser detectors, and any jamming apparatus intended to elude or disrupt speed-measuring equipment.

**c.** Any electronic equipment, without regard to whether this equipment is permanently installed, that reproduces, receives or transmits audio, visual or data signals.

**d.** Any accessories used with the electronic equipment described in Paragraph **c.** above.

**5.** Exclusions **4.c.** and **4.d.** do not apply to equipment designed to be operated solely by use of the power from the "auto's" electrical system that, at the time of "loss", is:

**a.** Permanently installed in or upon the covered "auto";

**b.** Removable from a housing unit which is permanently installed in or upon the covered "auto";

**c.** An integral part of the same unit housing any electronic equipment described in Paragraphs **a.** and **b.** above; or

**d.** Necessary for the normal operation of the covered "auto" or the monitoring of the covered "auto's" operating system.

**6.** We will not pay for "loss" to a covered "auto" due to "diminution in value".

**C. Limits Of Insurance**

**1.** The most we will pay for:

**a.** "Loss" to any one covered "auto" is the lesser of:

**(1)** The actual cash value of the damaged or stolen property as of the time of the "loss"; or

**(2)** The cost of repairing or replacing the damaged or stolen property with other property of like kind and quality.

**b.** All electronic equipment that reproduces, receives or transmits audio, visual or data signals in any one "loss" is $1,000, if, at the time of "loss", such electronic equipment is:

**(1)** Permanently installed in or upon the covered "auto" in a housing, opening or other location that is not normally used by the "auto" manufacturer for the installation of such equipment;

**(2)** Removable from a permanently installed housing unit as described in Paragraph **b.(1)** above; or

**(3)** An integral part of such equipment as described in Paragraphs **b.(1)** and **b.(2)** above.

**2.** An adjustment for depreciation and physical condition will be made in determining actual cash value in the event of a total "loss".

**3.** If a repair or replacement results in better than like kind or quality, we will not pay for the amount of the betterment.

**D. Deductible**

For each covered "auto", our obligation to pay for, repair, return or replace damaged or stolen property will be reduced by the applicable deductible shown in the Declarations prior to the application of the Limit Of Insurance, provided that:

**1.** The Comprehensive or Specified Causes Of Loss Coverage deductible applies only to "loss" caused by:

**a.** Theft or mischief or vandalism; or

**b.** All perils.

**2.** Regardless of the number of covered "autos" damaged or stolen, the maximum deductible applicable for all "loss" in any one event caused by:

**a.** Theft or mischief or vandalism; or

**b.** All perils,

will be equal to five times the highest deductible applicable to any one covered "auto" on the Policy for Comprehensive or Specified Causes Of Loss Coverage. The application of the highest deductible used to calculate the maximum deductible will be made regardless of which covered "autos" were damaged or stolen in the "loss".

## SECTION IV – BUSINESS AUTO CONDITIONS

The following conditions apply in addition to the Common Policy Conditions:

**A. Loss Conditions**

**1. Appraisal For Physical Damage Loss**

If you and we disagree on the amount of "loss", either may demand an appraisal of the "loss". In this event, each party will select a competent appraiser. The two appraisers will select a competent and impartial umpire. The appraisers will state separately the actual cash value and amount of "loss". If they fail to agree, they will submit their differences to the umpire. A decision agreed to by any two will be binding. Each party will:

**a.** Pay its chosen appraiser; and

**b.** Bear the other expenses of the appraisal and umpire equally.

If we submit to an appraisal, we will still retain our right to deny the claim.

**2. Duties In The Event Of Accident, Claim, Suit Or Loss**

We have no duty to provide coverage under this Policy unless there has been full compliance with the following duties:

**a.** In the event of "accident", claim, "suit" or "loss", you must give us or our authorized representative prompt notice of the "accident" or "loss". Include:

**(1)** How, when and where the "accident" or "loss" occurred;

**(2)** The "insured's" name and address; and

**(3)** To the extent possible, the names and addresses of any injured persons and witnesses.

**b.** Additionally, you and any other involved "insured" must:

**(1)** Assume no obligation, make no payment or incur no expense without our consent, except at the "insured's" own cost.

**(2)** Immediately send us copies of any request, demand, order, notice, summons or legal paper received concerning the claim or "suit".

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**(3)** Cooperate with us in the investigation or settlement of the claim or defense against the "suit".

**(4)** Authorize us to obtain medical records or other pertinent information.

**(5)** Submit to examination, at our expense, by physicians of our choice, as often as we reasonably require.

**c.** If there is "loss" to a covered "auto" or its equipment, you must also do the following:

**(1)** Promptly notify the police if the covered "auto" or any of its equipment is stolen.

**(2)** Take all reasonable steps to protect the covered "auto" from further damage. Also keep a record of your expenses for consideration in the settlement of the claim.

**(3)** Permit us to inspect the covered "auto" and records proving the "loss" before its repair or disposition.

**(4)** Agree to examinations under oath at our request and give us a signed statement of your answers.

**3. Legal Action Against Us**

No one may bring a legal action against us under this Coverage Form until:

**a.** There has been full compliance with all the terms of this Coverage Form; and

**b.** Under Covered Autos Liability Coverage, we agree in writing that the "insured" has an obligation to pay or until the amount of that obligation has finally been determined by judgment after trial. No one has the right under this Policy to bring us into an action to determine the "insured's" liability.

**4. Loss Payment – Physical Damage Coverages**

At our option, we may:

**a.** Pay for, repair or replace damaged or stolen property;

**b.** Return the stolen property, at our expense. We will pay for any damage that results to the "auto" from the theft; or

**c.** Take all or any part of the damaged or stolen property at an agreed or appraised value.

If we pay for the "loss", our payment will include the applicable sales tax for the damaged or stolen property.

**5. Transfer Of Rights Of Recovery Against Others To Us**

If any person or organization to or for whom we make payment under this Coverage Form has rights to recover damages from another, those rights are transferred to us. That person or organization must do everything necessary to secure our rights and must do nothing after "accident" or "loss" to impair them.

**B. General Conditions**

**1. Bankruptcy**

Bankruptcy or insolvency of the "insured" or the "insured's" estate will not relieve us of any obligations under this Coverage Form.

**2. Concealment, Misrepresentation Or Fraud**

This Coverage Form is void in any case of fraud by you at any time as it relates to this Coverage Form. It is also void if you or any other "insured", at any time, intentionally conceals or misrepresents a material fact concerning:

**a.** This Coverage Form;

**b.** The covered "auto";

**c.** Your interest in the covered "auto"; or

**d.** A claim under this Coverage Form.

**3. Liberalization**

If we revise this Coverage Form to provide more coverage without additional premium charge, your policy will automatically provide the additional coverage as of the day the revision is effective in your state.

**4. No Benefit To Bailee – Physical Damage Coverages**

We will not recognize any assignment or grant any coverage for the benefit of any person or organization holding, storing or transporting property for a fee regardless of any other provision of this Coverage Form.

**5. Other Insurance**

**a.** For any covered "auto" you own, this Coverage Form provides primary insurance. For any covered "auto" you don't own, the insurance provided by this Coverage Form is excess over any other collectible insurance. However, while a covered "auto" which is a "trailer" is connected to another vehicle, the Covered Autos Liability Coverage this Coverage Form provides for the "trailer" is:

**(1)** Excess while it is connected to a motor vehicle you do not own; or

**(2)** Primary while it is connected to a covered "auto" you own.

**b.** For Hired Auto Physical Damage Coverage, any covered "auto" you lease, hire, rent or borrow is deemed to be a covered "auto" you own. However, any "auto" that is leased, hired, rented or borrowed with a driver is not a covered "auto".

**c.** Regardless of the provisions of Paragraph **a.** above, this Coverage Form's Covered Autos Liability Coverage is primary for any liability assumed under an "insured contract".

**d.** When this Coverage Form and any other Coverage Form or policy covers on the same basis, either excess or primary, we will pay only our share. Our share is the proportion that the Limit of Insurance of our Coverage Form bears to the total of the limits of all the Coverage Forms and policies covering on the same basis.

**6. Premium Audit**

**a.** The estimated premium for this Coverage Form is based on the exposures you told us you would have when this Policy began. We will compute the final premium due when we determine your actual exposures. The estimated total premium will be credited against the final premium due and the first Named Insured will be billed for the balance, if any. The due date for the final premium or retrospective premium is the date shown as the due date on the bill. If the estimated total premium exceeds the final premium due, the first Named Insured will get a refund.

**b.** If this Policy is issued for more than one year, the premium for this Coverage Form will be computed annually based on our rates or premiums in effect at the beginning of each year of the Policy.

**7. Policy Period, Coverage Territory**

Under this Coverage Form, we cover "accidents" and "losses" occurring:

**a.** During the policy period shown in the Declarations; and

**b.** Within the coverage territory.

The coverage territory is:

**(1)** The United States of America;

**(2)** The territories and possessions of the United States of America;

**(3)** Puerto Rico;

**(4)** Canada; and

**(5)** Anywhere else in the world if a covered "auto" of the private passenger type is leased, hired, rented or borrowed without a driver for a period of 30 days or less,

provided that the "insured's" responsibility to pay damages is determined in a "suit" on the merits, in the United States of America, the territories and possessions of the United States of America, Puerto Rico or Canada, or in a settlement we agree to.

We also cover "loss" to, or "accidents" involving, a covered "auto" while being transported between any of these places.

**8. Two Or More Coverage Forms Or Policies Issued By Us**

If this Coverage Form and any other Coverage Form or policy issued to you by us or any company affiliated with us applies to the same "accident", the aggregate maximum Limit of Insurance under all the Coverage Forms or policies shall not exceed the highest applicable Limit of Insurance under any one Coverage Form or policy. This condition does not apply to any Coverage Form or policy issued by us or an affiliated company specifically to apply as excess insurance over this Coverage Form.

**SECTION V – DEFINITIONS**

**A.** "Accident" includes continuous or repeated exposure to the same conditions resulting in "bodily injury" or "property damage".

**B.** "Auto" means:

**1.** A land motor vehicle, "trailer" or semitrailer designed for travel on public roads; or

**2.** Any other land vehicle that is subject to a compulsory or financial responsibility law or other motor vehicle insurance law where it is licensed or principally garaged.

However, "auto" does not include "mobile equipment".

**C.** "Bodily injury" means bodily injury, sickness or disease sustained by a person, including death resulting from any of these.

**D.** "Covered pollution cost or expense" means any cost or expense arising out of:

**1.** Any request, demand, order or statutory or regulatory requirement that any "insured" or others test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of, "pollutants"; or

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**2.** Any claim or "suit" by or on behalf of a governmental authority for damages because of testing for, monitoring, cleaning up, removing, containing, treating, detoxifying or neutralizing, or in any way responding to, or assessing the effects of, "pollutants".

"Covered pollution cost or expense" does not include any cost or expense arising out of the actual, alleged or threatened discharge, dispersal, seepage, migration, release or escape of "pollutants":

**a.** That are, or that are contained in any property that is:

**(1)** Being transported or towed by, handled or handled for movement into, onto or from the covered "auto";

**(2)** Otherwise in the course of transit by or on behalf of the "insured"; or

**(3)** Being stored, disposed of, treated or processed in or upon the covered "auto";

**b.** Before the "pollutants" or any property in which the "pollutants" are contained are moved from the place where they are accepted by the "insured" for movement into or onto the covered "auto"; or

**c.** After the "pollutants" or any property in which the "pollutants" are contained are moved from the covered "auto" to the place where they are finally delivered, disposed of or abandoned by the "insured".

Paragraph **a.** above does not apply to fuels, lubricants, fluids, exhaust gases or other similar "pollutants" that are needed for or result from the normal electrical, hydraulic or mechanical functioning of the covered "auto" or its parts, if:

**(1)** The "pollutants" escape, seep, migrate or are discharged, dispersed or released directly from an "auto" part designed by its manufacturer to hold, store, receive or dispose of such "pollutants"; and

**(2)** The "bodily injury", "property damage" or "covered pollution cost or expense" does not arise out of the operation of any equipment listed in Paragraph **6.b.** or **6.c.** of the definition of "mobile equipment".

Paragraphs **b.** and **c.** above do not apply to "accidents" that occur away from premises owned by or rented to an "insured" with respect to "pollutants" not in or upon a covered "auto" if:

**(a)** The "pollutants" or any property in which the "pollutants" are contained are upset, overturned or damaged as a result of the maintenance or use of a covered "auto"; and

**(b)** The discharge, dispersal, seepage, migration, release or escape of the "pollutants" is caused directly by such upset, overturn or damage.

**E.** "Diminution in value" means the actual or perceived loss in market value or resale value which results from a direct and accidental "loss".

**F.** "Employee" includes a "leased worker". "Employee" does not include a "temporary worker".

**G.** "Insured" means any person or organization qualifying as an insured in the Who Is An Insured provision of the applicable coverage. Except with respect to the Limit of Insurance, the coverage afforded applies separately to each insured who is seeking coverage or against whom a claim or "suit" is brought.

**H.** "Insured contract" means:

**1.** A lease of premises;

**2.** A sidetrack agreement;

**3.** Any easement or license agreement, except in connection with construction or demolition operations on or within 50 feet of a railroad;

**4.** An obligation, as required by ordinance, to indemnify a municipality, except in connection with work for a municipality;

**5.** That part of any other contract or agreement pertaining to your business (including an indemnification of a municipality in connection with work performed for a municipality) under which you assume the tort liability of another to pay for "bodily injury" or "property damage" to a third party or organization. Tort liability means a liability that would be imposed by law in the absence of any contract or agreement; or

**6.** That part of any contract or agreement entered into, as part of your business, pertaining to the rental or lease, by you or any of your "employees", of any "auto". However, such contract or agreement shall not be considered an "insured contract" to the extent that it obligates you or any of your "employees" to pay for "property damage" to any "auto" rented or leased by you or any of your "employees".

An "insured contract" does not include that part of any contract or agreement:

**a.** That indemnifies a railroad for "bodily injury" or "property damage" arising out of construction or demolition operations, within 50 feet of any railroad property and affecting any railroad bridge or trestle, tracks, roadbeds, tunnel, underpass or crossing;

**b.** That pertains to the loan, lease or rental of an "auto" to you or any of your "employees", if the "auto" is loaned, leased or rented with a driver; or

**c.** That holds a person or organization engaged in the business of transporting property by "auto" for hire harmless for your use of a covered "auto" over a route or territory that person or organization is authorized to serve by public authority.

**I.** "Leased worker" means a person leased to you by a labor leasing firm under an agreement between you and the labor leasing firm to perform duties related to the conduct of your business. "Leased worker" does not include a "temporary worker".

**J.** "Loss" means direct and accidental loss or damage.

**K.** "Mobile equipment" means any of the following types of land vehicles, including any attached machinery or equipment:

**1.** Bulldozers, farm machinery, forklifts and other vehicles designed for use principally off public roads;

**2.** Vehicles maintained for use solely on or next to premises you own or rent;

**3.** Vehicles that travel on crawler treads;

**4.** Vehicles, whether self-propelled or not, maintained primarily to provide mobility to permanently mounted:

**a.** Power cranes, shovels, loaders, diggers or drills; or

**b.** Road construction or resurfacing equipment such as graders, scrapers or rollers;

**5.** Vehicles not described in Paragraph **1., 2., 3.** or **4.** above that are not self-propelled and are maintained primarily to provide mobility to permanently attached equipment of the following types:

**a.** Air compressors, pumps and generators, including spraying, welding, building cleaning, geophysical exploration, lighting and well-servicing equipment; or

**b.** Cherry pickers and similar devices used to raise or lower workers; or

**6.** Vehicles not described in Paragraph **1., 2., 3.** or **4.** above maintained primarily for purposes other than the transportation of persons or cargo. However, self-propelled vehicles with the following types of permanently attached equipment are not "mobile equipment" but will be considered "autos":

**a.** Equipment designed primarily for:

**(1)** Snow removal;

**(2)** Road maintenance, but not construction or resurfacing; or

**(3)** Street cleaning;

**b.** Cherry pickers and similar devices mounted on automobile or truck chassis and used to raise or lower workers; and

**c.** Air compressors, pumps and generators, including spraying, welding, building cleaning, geophysical exploration, lighting or well-servicing equipment.

However, "mobile equipment" does not include land vehicles that are subject to a compulsory or financial responsibility law or other motor vehicle insurance law where it is licensed or principally garaged. Land vehicles subject to a compulsory or financial responsibility law or other motor vehicle insurance law are considered "autos".

**L.** "Pollutants" means any solid, liquid, gaseous or thermal irritant or contaminant, including smoke, vapor, soot, fumes, acids, alkalis, chemicals and waste. Waste includes materials to be recycled, reconditioned or reclaimed.

**M.** "Property damage" means damage to or loss of use of tangible property.

**N.** "Suit" means a civil proceeding in which:

**1.** Damages because of "bodily injury" or "property damage"; or

**2.** A "covered pollution cost or expense";

to which this insurance applies, are alleged.

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"Suit" includes:

**a.** An arbitration proceeding in which such damages or "covered pollution costs or expenses" are claimed and to which the "insured" must submit or does submit with our consent; or

**b.** Any other alternative dispute resolution proceeding in which such damages or "covered pollution costs or expenses" are claimed and to which the insured submits with our consent.

**O.** "Temporary worker" means a person who is furnished to you to substitute for a permanent "employee" on leave or to meet seasonal or short-term workload conditions.

**P.** "Trailer" includes semitrailer.

**Q.** "Unmanned aircraft" means an aircraft that is not:

**1.** Designed;

**2.** Manufactured; or

**3.** Modified after manufacture;

to be controlled directly by a person from within or on the aircraft.

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**THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.**

# EXCLUSION – HUMAN TRAFFICKING

This endorsement modifies insurance provided under the following:

AUTO DEALERS COVERAGE FORM
BUSINESS AUTO COVERAGE FORM
MOTOR CARRIER COVERAGE FORM

With respect to coverage provided by this endorsement, the provisions of the Coverage Form apply unless modified by the endorsement.

**A.** The following exclusion is added to Paragraph **D.4. Exclusions** of **Section I – Covered Autos Coverage** in the Auto Dealer Coverage Form and Paragraph **B. Exclusions** of **Section II – Covered Autos Liability Coverage** in the Business Auto and Motor Carrier Coverage Forms:

This insurance does not apply to:

**Human Trafficking**

**"**Bodily injury**"** or **"**property damage**"** or any other liability arising directly or indirectly out of any actual or alleged:

**a.** "Human trafficking";

**b.** Failure to detect, recognize, protect against, suppress or prevent, investigate, intervene, report or take action in connection with "human trafficking";

**c.** Failure to warn of the dangers of the environment which could contribute to any event of "human trafficking";

**d.** Loss, cost or expense(s) responding to "human trafficking" in any way;

**e.** Failure to render or secure medical treatment or care necessitated by any event, or perceived event, of "human trafficking";

**f.** Conduct, acts or omissions prohibited by, in violation of, or for which penalties are provided within, the Trafficking Victims Protection Act of 2000, as amended, or under any local, state, federal law; or

**g.** Death, including any allegations of wrongful death, arising out of items **a.** through **f.**

Any such **"**bodily injury**"** or **"**property damage**"** or any other liability is excluded regardless of any other cause or event that contributes concurrently or in any sequence to the loss.

This exclusion applies even if the claims against any insured allege negligence or other wrongdoing including, but not limited to, the supervision, hiring, employment, training or monitoring of others by that insured, if the "bodily injury" or "property damage" or any other liability, is in any way related to anything described in Paragraphs **a.** through **g.** above**.**

**B.** The following exclusion is added to Paragraph **A.2.** of **Section II – General Liability Coverages** in the Auto Dealers Coverage Form**:**

This insurance does not apply to:

**Human Trafficking**

**"**Bodily injury**"** or **"**property damage**"** or any other liability arising directly or indirectly out of any actual or alleged:

**a.** "Human trafficking";

**b.** Failure to detect, recognize, protect against, suppress or prevent, investigate, intervene, report or take action in connection with "human trafficking";

**c.** Failure to warn of the dangers of the environment which could contribute to any event of "human trafficking";

**d.** Loss, cost or expense(s) responding to "human trafficking" in any way;

**e.** Failure to render or secure medical treatment or care necessitated by any event, or perceived event, of "human trafficking";

**f.** Conduct, acts or omissions prohibited by, in violation of, or for which penalties are provided within, the Trafficking Victims Protection Act of 2000, as amended, or under any local, state, federal law; or

**g.** Death, including any allegations of wrongful death, arising out of items **a.** through **f.**

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Any such **"**bodily injury**"** or **"**property damage**"** or any other liability is excluded regardless of any other cause or event that contributes concurrently or in any sequence to the loss.

This exclusion applies even if the claims against any insured allege negligence or other wrongdoing including, but not limited to, the supervision, hiring, employment, training or monitoring of others by that insured, if the "bodily injury" or "property damage" or any other liability, is in any way related to anything described in Paragraphs **a.** through **g.** above**.**

**C.** The following exclusion is added to Paragraph **B.2.** of **Section II – General Liability Coverages** in the Auto Dealers Coverage Form**:**

This insurance does not apply to:

**Human Trafficking**

**"**Personal and advertising injury**"** or any other liability arising directly or indirectly out of any actual or alleged:

**a.** "Human trafficking";

**b.** Failure to detect, recognize, protect against, suppress or prevent, investigate, intervene, report or take action in connection with "human trafficking";

**c.** Failure to warn of the dangers of the environment which could contribute to any event of "human trafficking";

**d.** Loss, cost or expense(s) responding to "human trafficking" in any way;

**e.** Failure to render or secure medical treatment or care necessitated by any event, or perceived event, of "human trafficking";

**f.** Conduct, acts or omissions prohibited by, in violation of, or for which penalties are provided within, the Trafficking Victims Protection Act of 2000, as amended, or under any local, state, federal law; or

**g.** Death, including any allegations of wrongful death, arising out of items **a.** through **f.**

Any such **"**personal and advertising injury**"** or any other liability is excluded regardless of any other cause or event that contributes concurrently or in any sequence to the loss.

This exclusion applies even if the claims against any insured allege negligence or other wrongdoing including, but not limited to, the supervision, hiring, employment, training or monitoring of others by that insured, if the "personal and advertising injury" or any other liability, is in any way related to anything described in Paragraphs **a.** through **g.** above**.**

**D.** The following definition is added to **Section V – Definitions** in the Business Auto and Auto Dealers Coverage Forms and **Section VI – Definitions** in the Motor Carrier Coverage Form:

**"**Human trafficking**"** means the illegal recruitment, enticement, grooming, exploitation, advertisement, transportation, facilitation, detention, provision, or harboring of a person or persons, including, but not limited to:

**a.** By force, fraud or coercion in exchange for labor, services, or a sex act;

**b.** Under legal age of adulthood or consent induced to perform a sex act;

**c.** In connection with migratory smuggling;

**d.** For organ harvesting or donation;

**e.** Marriage;

**f.** Smuggling;

**g.** Slavery;

**h.** Peonage or debt bondage; or

**i.** Forced criminality or violence of any kind.

**"**Human trafficking**"** also includes benefiting financially or receiving anything of value as a result of **"**human trafficking**"**.

All other terms, conditions and exclusions shall remain unchanged.

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**THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.**

# WISCONSIN CHANGES

For a covered "auto" licensed or principally garaged in, or "auto dealer operations" conducted in, Wisconsin, this endorsement modifies insurance provided under the following:

AUTO DEALERS COVERAGE FORM
BUSINESS AUTO COVERAGE FORM
MOTOR CARRIER COVERAGE FORM

With respect to coverage provided by this endorsement, the provisions of the Coverage Form apply unless modified by the endorsement.

**A. Changes In Covered Autos Liability Coverage**

**1.** If your business is other than renting, leasing, selling, servicing, repairing or parking "autos", **Who Is An Insured** is changed to include an officer, agent or "employee" working in the business of renting, leasing, selling, servicing, repairing or parking "autos" while using a covered "auto". However, that person is an "insured" only if he or she has no other valid and collectible insurance with at least the applicable minimum limit specified in WIS. STAT. ch. 344. In this event, coverage will be provided only up to the applicable minimum limit specified in WIS. STAT. ch. 344. The applicable minimum limit is:

**a.** $60,000 for each "accident" for "bodily injury" and "property damage", if the limit of liability is a single limit that applies for each "accident"; or

**b.** $25,000 for each person/$50,000 for each "accident" for "bodily injury"/$10,000 for "property damage", if the limit of liability is indicated as a split limit.

**2.** If your business is renting, leasing, selling, servicing, repairing or parking "autos", **Who Is An Insured** is changed to include anyone other than an officer, agent or "employee" of such business while using a covered "auto". However, that person is an "insured" only if he or she has no other valid and collectible insurance with at least the applicable minimum limit specified in WIS. STAT. ch. 344. In this event, coverage will be provided only up to the applicable minimum limit specified in WIS. STAT. ch. 344. The applicable minimum limit is:

**a.** $60,000 for each "accident" for "bodily injury" and "property damage", if the limit of liability is a single limit that applies for each "accident"; or

**b.** $25,000 for each person/$50,000 for each "accident" for "bodily injury"/$10,000 for "property damage", if the limit of liability is indicated as a split limit.

**3.** The following is added to **Who Is An Insured:**

Anyone else is an "insured" while using a covered "auto" you own with your or any adult "family member's" permission.

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4. The Auto Dealers Coverage Form is changed as follows:

   a. Paragraph **2.b.(4)(a)** of the **Who Is An Insured** provision is replaced by the following:

      **(a)** Has no other available insurance (whether primary, excess or contingent), they are an "insured" but only up to $60,000 for each "accident", which is the minimum combined single limit of liability specified in WIS. STAT. ch. 344.

   b. Paragraph **2.b.(4)(b)** of the **Who Is An Insured** provision is replaced by the following:

      **(b)** Has other available insurance (whether primary, excess or contingent), less than the applicable minimum limit for "bodily injury" or "property damage" liability specified in WIS. STAT. ch. 344, they are an "insured" only for the amount by which the applicable minimum limit of liability exceeds the limit of their other insurance. The applicable minimum limit is:

         **(i)** $60,000 for each "accident" for "bodily injury" or "property damage", if the limit of liability is a single limit that applies for each "accident"; or

         **(ii)** $25,000 for each person/$50,000 for each "accident" for "bodily injury"/$10,000 for "property damage", if the limit of liability is indicated as a split limit.

5. Paragraph **1.b.(4)** of the **Who Is An Insured** provision in the Motor Carrier Coverage Form does not apply.

6. The **Fellow Employee** Exclusion does not apply if the "bodily injury" results from the use of a covered "auto" you do not own or lease.

**B. Changes In Conditions**

1. The lead-in to the **Duties In The Event Of Accident, Claim, Suit Or Loss** Condition in the Business Auto and Motor Carrier Coverage Forms and the **Duties In The Event Of Accident, Claim, Offense, Suit, Loss Or Acts, Errors Or Omissions** Condition in the Auto Dealers Coverage Form is replaced by the following:

   We have no duty to provide coverage under this policy if failure to comply with the following duties is prejudicial to us:

2. The first sentence of Paragraph **a.** in the **Duties In The Event Of Accident, Claim, Suit Or Loss** Condition in the Business Auto and Motor Carrier Coverage Forms is replaced by the following:

   **a.** In the event of "accident", claim, "suit" or "loss", you must give us or our authorized representatives notice as soon as reasonably possible of the "accident" or "loss".

3. The first sentence of Paragraph **a.** in the **Duties In The Event Of Accident, Claim, Offense, Suit, Loss Or Acts, Errors Or Omissions** Condition in the Auto Dealers Coverage Form is replaced by the following:

   **a.** In the event of "accident", claim, "suit", offense, "loss" or "act, error or omission", you must give us or our authorized representatives notice as soon as reasonably possible of the "accident", offense, "loss" or "act, error or omission".

4. The following is added to the **Transfer Of Rights Of Recovery Against Others To Us** Condition:

   We shall be entitled to a recovery only after the "insured" has been fully compensated for damages.

5. The **Legal Action Against Us** Condition does not apply.


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6. The following is added to the **Concealment, Misrepresentation Or Fraud** Condition:

   No oral or written statement, representation or warranty made by the "insured" or on his or her behalf in the negotiation for or procurement of this Coverage Form shall be deemed material or defeat or void this Coverage Form, unless such statement, representation or warranty was false and made with intent to deceive, or unless the matter misrepresented or made a warranty, increased the risk or contributed to the "loss". In addition, no breach of a warranty in this Coverage Form shall defeat or void this Coverage Form unless the breach of such warranty increased the risk at the time of "loss", or contributed to the "loss", or existed at the time of the "loss".

   Our authorized representative's knowledge will be considered our knowledge. If our authorized representative knows before an "accident" or "loss", and if applicable, offense or "act, error or omission", something which violates a policy condition, this will not void the policy or defeat a recovery for a claim.

   If we elect to rescind this policy, we will notify the "insured" of our intention within 60 days after acquiring knowledge of sufficient facts to constitute grounds for rescission.

7. The following condition is added:

   **Conformity To Statute Or Rule**

   Any provision of this Coverage Part (including endorsements which modify the Coverage Part) that is in conflict with a Wisconsin statute or rule is hereby amended to conform to that statute or rule.

   The term rule means a valid rule promulgated by the Commissioner of Insurance in accordance with the rule-making authority conferred under WIS. STAT. Section 227.11(2) and published in the Wisconsin Administrative Code.

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**THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.**

# WISCONSIN UNINSURED MOTORISTS COVERAGE

For a covered "auto" licensed or principally garaged in, or "auto dealer operations" conducted in, Wisconsin, this endorsement modifies insurance provided under the following:

AUTO DEALERS COVERAGE FORM
BUSINESS AUTO COVERAGE FORM
MOTOR CARRIER COVERAGE FORM

With respect to coverage provided by this endorsement, the provisions of the Coverage Form apply unless modified by the endorsement.

This endorsement changes the policy effective on the inception date of the policy unless another date is indicated below.

| |
|---|
| **Named Insured:** Locksley, Inc |
| **Endorsement Effective Date:** 01-01-2026 |

**SCHEDULE**

| | |
|---|---|
| **Limit Of Insurance:** **$** 1,000,000 | **Each "Accident"** |
| Information required to complete this Schedule, if not shown above, will be shown in the Declarations. | |

**A. Coverage**

**1.** We will pay all sums the "insured" is legally entitled to recover as compensatory damages from the owner or driver of an "uninsured motor vehicle". The damages must result from "bodily injury" sustained by the "insured" caused by an "accident". The owner's or driver's liability for these damages must result from the ownership, maintenance or use of the "uninsured motor vehicle".

**2.** Any judgment for damages arising out of a "suit" brought without our written consent is not binding on us.

**B. Who Is An Insured**

If the Named Insured is designated in the Declarations as:

**1.** An individual, then the following are "insureds":

**a.** The Named Insured and any "family members".

**b.** Anyone else "occupying" a covered "auto" or a temporary substitute for a covered "auto". The covered "auto" must be out of service because of its breakdown, repair, servicing, "loss" or destruction.

**c.** Anyone else "occupying" an "auto" you do not own who is an "insured" for Covered Autos Liability under the Coverage Form, but only at times when that person is an "insured" for Covered Autos Liability under the Coverage Form.

**d.** Anyone for damages he or she is entitled to recover because of "bodily injury" sustained by another "insured".


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**2.** A partnership, limited liability company, corporation or any other form of organization, then the following are "insureds":

**a.** Anyone "occupying" a covered "auto" or a temporary substitute for a covered "auto". The covered "auto" must be out of service because of its breakdown, repair, servicing, "loss" or destruction.

**b.** Anyone else "occupying" an "auto" you do not own who is an "insured" for Covered Autos Liability under the Coverage Form, but only at times when that person is an "insured" for Covered Autos Liability under the Coverage Form.

**c.** Anyone for damages he or she is entitled to recover because of "bodily injury" sustained by another "insured".

**C. Exclusions**

This insurance does not apply to any of the following:

**1.** Any claim settled without our consent.

**2.** The direct or indirect benefit of any insurer or self-insurer under any workers' compensation, disability benefits or similar law.

**3.** "Bodily injury" sustained by:

**a.** An individual Named Insured while "occupying" or when struck by any vehicle owned by that Named Insured that is not a covered "auto" for Uninsured Motorists Coverage under this Coverage Form;

**b.** Any "family member" while "occupying" or when struck by any vehicle owned by that "family member" that is not a covered "auto" for Uninsured Motorists Coverage under this Coverage Form; or

**c.** Any "family member" while "occupying" or when struck by any vehicle owned by the Named Insured that is insured for Uninsured Motorists Coverage on a primary basis under any other Coverage Form or policy.

**4.** Anyone using a vehicle without a reasonable belief that the person is entitled to do so.

**5.** Punitive or exemplary damages.

**6.** "Bodily injury" arising directly or indirectly out of:

**a.** War, including undeclared or civil war;

**b.** Warlike action by a military force, including action in hindering or defending against an actual or expected attack, by any government, sovereign or other authority using military personnel or other agents; or

**c.** Insurrection, rebellion, revolution, usurped power or action taken by governmental authority in hindering or defending against any of these.

**D. Limit Of Insurance**

**1.** Regardless of the number of covered "autos", "insureds", premiums paid, claims made or vehicles involved in the "accident", the most we will pay for all damages resulting from any one "accident" is the Limit Of Insurance for Uninsured Motorists Coverage shown in the Schedule or Declarations.

**2.** The Limit of Insurance under this coverage shall be reduced by:

**a.** All sums paid or payable under any workers' compensation, disability benefits or similar law; and

**b.** All sums paid by or for anyone who is legally responsible, including all sums paid under this Coverage Form's Liability Coverage.

**3.** No one will be entitled to receive duplicate payments for the same elements of "loss" under this Coverage Form and any Liability Coverage form, Underinsured Motorists Coverage endorsement or Uninsured Motorists Coverage endorsement.

We will not make a duplicate payment under this coverage for any element of "loss" for which payment has been made by or for anyone who is legally responsible.

We will not make a duplicate payment to the extent amounts are paid or payable because of "bodily injury" under workers' compensation, disability benefits or similar law.

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**E. Changes In Conditions**

The **Conditions** are changed for Uninsured Motorists Coverage as follows:

**1. Other Insurance** in the Auto Dealers and Business Auto Coverage Forms and **Other Insurance – Primary And Excess Insurance Provisions** in the Motor Carrier Coverage Form are replaced by the following:

If there is other applicable insurance available under one or more policies or provisions of coverage:

**a.** The maximum recovery under all Coverage Forms or policies combined may equal but not exceed the highest applicable limit for any one vehicle under any Coverage Form or policy providing coverage on either a primary or excess basis.

**b.** Any insurance we provide with respect to a vehicle the Named Insured does not own shall be excess over any other collectible uninsured motorists insurance providing coverage on a primary basis.

**c.** If the coverage under this Coverage Form is provided:

**(1)** On a primary basis, we will pay only our share of the "loss" that must be paid under insurance providing coverage on a primary basis. Our share is the proportion that our limit of liability bears to the total of all applicable limits of liability for coverage on a primary basis.

**(2)** On an excess basis, we will pay only our share of the "loss" that must be paid under insurance providing coverage on an excess basis. Our share is the proportion that our limit of liability bears to the total of all applicable limits of liability for coverage on an excess basis.

**2. Duties In The Event Of Accident, Claim, Suit Or Loss** in the Business Auto and Motor Carrier Coverage Forms and **Duties In The Event Of Accident, Claim, Offense, Suit, Loss Or Acts, Errors Or Omissions** in the Auto Dealers Coverage Form are changed by adding the following:

**a.** Promptly notify the police if a hit-and-run driver is involved; and

**b.** Promptly send us copies of the legal papers if a "suit" is brought.

**3. Transfer Of Rights Of Recovery Against Others To Us** is changed by adding the following:

**a.** We shall be entitled to the right to recover damages from another only after the "insured" has been fully compensated for damages.

**b.** If we make any payment and the "insured" recovers from another party, the "insured" shall hold the proceeds in trust for us and pay us back the amount we have paid only after the "insured" has been fully compensated for damages.

**4.** The following condition is added:

**Arbitration**

**a.** If we and an "insured" disagree whether the "insured" is legally entitled to recover damages from the owner or driver of an "uninsured motor vehicle" or do not agree as to the amount of damages that are recoverable by that "insured", then the matter may be arbitrated. However, disputes concerning coverage under this endorsement may not be arbitrated. Both parties must agree to arbitration. If so agreed, each party will select an arbitrator. The two arbitrators will select a third. If they cannot agree within 30 days, either may request that selection be made by a judge of a court having jurisdiction. Each party will pay the expenses it incurs and bear the expenses of the third arbitrator equally.

**b.** Unless both parties agree otherwise, arbitration will take place in the county in which the "insured" lives. Local rules of law as to arbitration procedure and evidence will apply. A decision agreed to by two of the arbitrators will be binding.

**F. Additional Definitions**

As used in this endorsement:

**1.** "Family member" means a person related to an individual Named Insured by blood, marriage or adoption who is a resident of such Named Insured's household, including a ward or foster child.

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**2.** "Occupying" means in, upon, getting in, on, out or off.

**3.** "Uninsured motor vehicle" means a land motor vehicle or "trailer":

**a.** For which no liability bond or policy at the time of an "accident" provides at least the applicable minimum limit for "bodily injury" liability specified in WIS. STAT. ch. 344. The applicable minimum limit is:

**(1)** $50,000 for each "accident", if the limit of liability is a single limit that applies for each "accident"; or

**(2)** $25,000 for each person/$50,000 for each "accident", if the limit of liability is indicated as a split limit;

**b.** For which an insuring or bonding company denies coverage or is or becomes insolvent; or

**c.** That is a hit-and-run vehicle and neither the driver nor owner can be identified. The vehicle must hit an "insured", a covered "auto" or a vehicle an "insured" is "occupying", or must hit another vehicle that hits an "insured", a covered "auto" or a vehicle an "insured" is "occupying".

**d.** That is a phantom motor vehicle and neither the driver nor owner can be identified. The vehicle must make no physical contact with the insured nor with a vehicle the insured is occupying, and all of the following must apply:

**(1)** The facts of the accident must be corroborated by competent evidence that is provided by someone other than the "insured" or any other person who makes a claim against the uninsured motorists coverage as a result of the accident;

**(2)** Within 72 hours after the accident, the "insured" or someone on behalf of the "insured" must report the accident to a police, peace or judicial officer or to the department of transportation or, if the accident occurs outside of Wisconsin, the equivalent agency in the state where the accident occurs; and

**(3)** Within 30 days after the accident occurs, the "insured" or someone on behalf of the "insured" must file with the insurer a statement under oath that the "insured" or a legal representative of the "insured" has a cause of action arising out of the accident for damages against a person whose identity is not ascertainable and setting forth the facts in support of the statement.

However, "uninsured motor vehicle" does not include any vehicle:

**a.** Owned by a governmental unit or agency;

**b.** Operated exclusively on rails or crawler treads;

**c.** Designed for use mainly off public roads while not on public roads;

**d.** Owned or operated by a self-insurer under any applicable motor vehicle law, except a self-insurer which is or becomes insolvent; or

**e.** That is an underinsured motor vehicle.


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**THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.**

# WISCONSIN UNDERINSURED MOTORISTS COVERAGE

For a covered "auto" licensed or principally garaged in, or "auto dealer operations" conducted in, Wisconsin, this endorsement modifies insurance provided under the following:

AUTO DEALERS COVERAGE FORM
BUSINESS AUTO COVERAGE FORM
MOTOR CARRIER COVERAGE FORM

With respect to coverage provided by this endorsement, the provisions of the Coverage Form apply unless modified by the endorsement.

This endorsement changes the policy effective on the inception date of the policy or as of the date indicated below.

**Named Insured:** Locksley, Inc

**Endorsement Effective Date:** 01-01-2026

**SCHEDULE**

| | |
|---|---|
| **Limit Of Insurance:** **$** 1,000,000 | **Each "Accident"** |
| Information required to complete this Schedule, if not shown above, will be shown in the Declarations. | |

**A. Coverage**

**1.** We will pay all sums the "insured" is legally entitled to recover as compensatory damages from the owner or driver of an "underinsured motor vehicle". The damages must result from "bodily injury" sustained by the "insured" caused by an "accident". The owner's or driver's liability for these damages must result from the ownership, maintenance or use of the "underinsured motor vehicle".

**2.** We will pay under this coverage only if Paragraph **a.** or **b.** below applies:

**a.** The limits of any applicable liability bonds or policies have been exhausted by payment of judgments or settlements; or

**b.** A tentative settlement has been made between an "insured" and the insurer of the "underinsured motor vehicle", and we:

**(1)** Have been given prompt written notice of such tentative settlement; and

**(2)** Advance payment to the "insured" in an amount equal to the tentative settlement within 30 days after receipt of notification.

**3.** Any judgment for damages arising out of a "suit" brought without our written consent is not binding on us.

**B. Who Is An Insured**

If the Named Insured is designated in the Declarations as:

**1.** An individual, then the following are "insureds":

**a.** The Named Insured and any "family members".

**b.** Anyone else "occupying" a covered "auto" or a temporary substitute for a covered "auto". The covered "auto" must be out of service because of its breakdown, repair, servicing, "loss" or destruction.


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**c.** Anyone for damages he or she is entitled to recover because of "bodily injury" sustained by another "insured".

**2.** A partnership, limited liability company, corporation or any other form of organization, then the following are "insureds":

**a.** Anyone "occupying" a covered "auto" or a temporary substitute for a covered "auto". The covered "auto" must be out of service because of its breakdown, repair, servicing, "loss" or destruction.

**b.** Anyone for damages he or she is entitled to recover because of "bodily injury" sustained by another "insured".

**C. Exclusions**

This insurance does not apply to any of the following:

**1.** The direct or indirect benefit of any insurer or self-insurer under any workers' compensation, disability benefits or similar law.

**2.** "Bodily injury" sustained by:

**a.** An individual Named Insured while "occupying" or when struck by any vehicle owned by that Named Insured that is not a covered "auto" for Underinsured Motorists Coverage under this Coverage Form;

**b.** Any "family member" while "occupying" or when struck by any vehicle owned by that "family member" that is not a covered "auto" for Underinsured Motorists Coverage under this Coverage Form; or

**c.** Any "family member" while "occupying" or when struck by any vehicle owned by the Named Insured that is insured for Underinsured Motorists Coverage on a primary basis under any other Coverage Form or policy.

**3.** Anyone using a vehicle without a reasonable belief that the person is entitled to do so.

**4.** Punitive or exemplary damages.

**5.** "Bodily injury" arising directly or indirectly out of:

**a.** War, including undeclared or civil war;

**b.** Warlike action by a military force, including action in hindering or defending against an actual or expected attack, by any government, sovereign or other authority using military personnel or other agents; or

**c.** Insurrection, rebellion, revolution, usurped power or action taken by governmental authority in hindering or defending against any of these.

**D. Limit Of Insurance**

**1.** Regardless of the number of covered "autos", "insureds", premiums paid, claims made or vehicles involved in the "accident", the most we will pay for all damages resulting from any one "accident" is the Limit Of Insurance for Underinsured Motorists Coverage shown in the Schedule or Declarations.

**2.** The Limit of Insurance under this coverage shall be reduced by:

**a.** All sums paid or payable under any workers' compensation, disability benefits or similar law; and

**b.** All sums paid by or for anyone who is legally responsible, including all sums paid under this Coverage Form's Covered Autos Liability Coverage.

**3.** No one will be entitled to receive duplicate payments for the same elements of "loss" under this Coverage Form and any Liability Coverage form, Underinsured Motorists Coverage endorsement or Uninsured Motorists Coverage endorsement.

We will not make a duplicate payment under this coverage for any element of "loss" for which payment has been made by or for anyone who is legally responsible.

We will not make a duplicate payment to the extent amounts are paid or payable because of "bodily injury" under workers' compensation, disability benefits or similar law.

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**E. Changes In Conditions**

The conditions are changed for Underinsured Motorists Coverage as follows:

**1. Other Insurance** in the Auto Dealers and Business Auto Coverage Forms and **Other Insurance – Primary And Excess Insurance Provisions** in the Motor Carrier Coverage Form are replaced by the following:

If there is other applicable insurance available under one or more policies or provisions of coverage:

**a.** The maximum recovery under all Coverage Forms or policies combined may equal but not exceed the highest applicable limit for any one vehicle under any Coverage Form or policy providing coverage on either a primary or excess basis.

**b.** Any insurance we provide with respect to a vehicle the Named Insured does not own shall be excess over any other collectible underinsured motorists insurance providing coverage on a primary basis.

**c.** If the coverage under this Coverage Form is provided:

**(1)** On a primary basis, we will pay only our share of the "loss" that must be paid under insurance providing coverage on a primary basis. Our share is the proportion that our limit of liability bears to the total of all applicable limits of liability for coverage on a primary basis.

**(2)** On an excess basis, we will pay only our share of the "loss" that must be paid under insurance providing coverage on an excess basis. Our share is the proportion that our limit of liability bears to the total of all applicable limits of liability for coverage on an excess basis.

**2. Duties In The Event Of Accident, Claim, Suit Or Loss** in the Business Auto and Motor Carrier Coverage Forms and **Duties In The Event Of Accident, Claim, Offense, Suit, Loss Or Acts, Errors Or Omissions** in the Auto Dealers Coverage Form are changed by adding the following:

**a.** Promptly send us copies of the legal papers if a "suit" is brought; and

**b.** Promptly notify us, in writing, of a tentative settlement between an "insured" and the insurer of the "underinsured motor vehicle", and allow us 30 days to advance payment to that "insured" in an amount equal to the tentative settlement to preserve our rights against the insurer, owner or operator of such "underinsured motor vehicle". However, this Provision **2.b.** does not apply if failure to notify us does not prejudice our rights against the insurer, owner or operator of such "underinsured motor vehicle".

**3. Transfer Of Rights Of Recovery Against Others To Us** is changed by adding the following:

**a.** We shall be entitled to the right to recover damages from another only after the "insured" has been fully compensated for damages.

**b.** If we make any payment and the "insured" recovers from another party, the "insured" shall hold the proceeds in trust for us and pay us back the amount we have paid only after the "insured" has been fully compensated for damages.

Our rights do not apply under this provision with respect to Underinsured Motorists Coverage if we:

**a.** Have been given prompt written notice of a tentative settlement between an "insured" and the insurer of an "underinsured motor vehicle"; and

**b.** Fail to advance payment to the "insured" in an amount equal to the tentative settlement within 30 days after receipt of notification.

If we advance payment to the "insured" in an amount equal to the tentative settlement within 30 days after receipt of notification:

**a.** That payment will be separate from any amount the "insured" is entitled to recover under the provisions of Underinsured Motorists Coverage; and

**b.** We also have a right to recover the advanced payment.

**4.** The following condition is added:

**Arbitration**

**a.** If we and an "insured" disagree whether the "insured" is legally entitled to recover damages from the owner or driver of an "underinsured motor vehicle" or do not agree as to the amount of damages that are recoverable by that "insured", then the matter may be arbitrated. However, disputes concerning coverage under this endorsement may not be arbitrated. Both parties must agree to arbitration. If so agreed, each party will select an arbitrator. The two arbitrators will select a third. If they cannot agree within 30 days, either may request that selection be made by a judge of a court having jurisdiction. Each party will pay the expenses it incurs and bear the expenses of the third arbitrator equally.

**b.** Unless both parties agree otherwise, arbitration will take place in the county in which the "insured" lives. Local rules of law as to arbitration procedure and evidence will apply. A decision agreed to by two of the arbitrators will be binding.

**F. Additional Definitions**

As used in this endorsement:

**1.** "Family member" means a person related to an individual Named Insured by blood, marriage or adoption who is a resident of such Named Insured's household, including a ward or foster child.

**2.** "Occupying" means in, upon, getting in, on, out or off.

**3.** "Underinsured motor vehicle" means a land motor vehicle or "trailer" for which the sum of all liability bonds or policies, at the time of an "accident", provides at least the applicable minimum limit for bodily injury liability specified in WIS. STAT. ch. 344 but that sum is less than the Limit of Insurance of this coverage. The applicable minimum limit is:

**a.** $50,000 for each "accident", if the limit of liability is a single limit that applies for each "accident"; or

**b.** $25,000 for each person/$50,000 for each "accident", if the limit of liability is indicated as a split limit.

However, "underinsured motor vehicle" does not include any vehicle:

**a.** Owned or operated by a self-insurer under any applicable motor vehicle law;

**b.** Owned by a governmental unit or agency;

**c.** Operated exclusively on rails or crawler treads;

**d.** Designed for use mainly off public roads while not on public roads; or

**e.** That is an "uninsured motor vehicle".


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**THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.**

# WISCONSIN AUTO MEDICAL PAYMENTS COVERAGE

This endorsement modifies insurance provided under the following:

AUTO DEALERS COVERAGE FORM
BUSINESS AUTO COVERAGE FORM
MOTOR CARRIER COVERAGE FORM

With respect to coverage provided by this endorsement, the provisions of the Coverage Form apply unless modified by the endorsement.

**A. Coverage**

We will pay reasonable expenses incurred for necessary medical, chiropractic and funeral services to or for an "insured" who sustains "bodily injury" caused by "accident". We will pay only those expenses incurred for services rendered within three years from the date of the "accident".

**B. Who Is An Insured**

**1.** You while "occupying" or, while a pedestrian, when struck by any "auto".

**2.** If you are an individual, any "family member" while "occupying" or, while a pedestrian, when struck by any "auto".

**3.** Anyone else "occupying" a covered "auto" or a temporary substitute for a covered "auto". The covered "auto" must be out of service because of its breakdown, repair, servicing, loss or destruction.

**4.** Anyone else "occupying" an "auto" you do not own who is an "insured" for liability under the Coverage Form, but only at times when that person is an "insured" for liability under the Coverage Form.

**C. Exclusions**

This insurance does not apply to any of the following:

**1.** "Bodily injury" sustained by an "insured" while "occupying" a vehicle located for use as a premises.

**2.** "Bodily injury" sustained by you or any "family member" while "occupying" or struck by any vehicle (other than a covered "auto") owned by you or furnished or available for your regular use.

**3.** "Bodily injury" sustained by any "family member" while "occupying" or struck by any vehicle (other than a covered "auto") owned by or furnished or available for the regular use of any "family member".

**4.** "Bodily injury" to your "employee" arising out of and in the course of employment by you. However, we will cover "bodily injury" to your domestic "employees" if not entitled to workers' compensation benefits. For the purposes of this endorsement, a domestic "employee" is a person engaged in household or domestic work performed principally in connection with a residence premises.

**5.** "Bodily injury" to an "insured" while working in a business of selling, servicing, repairing or parking "autos" unless that business is yours.

**6.** "Bodily injury" arising directly or indirectly out of:

**a.** War, including undeclared or civil war;

**b.** Warlike action by a military force, including action in hindering or defending against an actual or expected attack, by any government, sovereign or other authority using military personnel or other agents; or

**c.** Insurrection, rebellion, revolution, usurped power or action taken by governmental authority in hindering or defending against any of these.

**7.** "Bodily injury" to anyone using a vehicle without a reasonable belief that the person is entitled to do so.

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**8.** "Bodily injury" sustained by an "insured" while "occupying" any covered "auto" while used in any professional racing or demolition contest or stunting activity or while practicing for such contest or activity. This insurance also does not apply to any "bodily injury" sustained by an "insured" while the "auto" is being prepared for such a contest or activity.

**D. Limit Of Insurance**

Regardless of the number of covered "autos", "insureds", premiums paid, claims made or vehicles involved in the "accident", the most we will pay for "bodily injury" for each "insured" injured in any one "accident" is the Limit Of Insurance for Auto Medical Payments Coverage shown in the Declarations.

No one will be entitled to receive duplicate payments for the same elements of "loss" under this coverage and any Liability Coverage Form, Uninsured Motorists Coverage endorsement or Underinsured Motorists Coverage endorsement attached to this Coverage Part.

**E. Changes In Conditions**

The reference in **Other Insurance** in the Auto Dealers and Business Auto Coverage Forms and **Other Insurance – Primary And Excess Insurance Provisions** in the Motor Carrier Coverage Form to "other collectible insurance" applies only to other collectible auto medical payments insurance.

**F. Additional Definitions**

As used in this endorsement:

**1.** "Family member" means a person related to you by blood, marriage or adoption who is a resident of your household, including a ward or foster child.

**2.** "Occupying" means in, upon, getting in, on, out or off.


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WEST BEND®
West Bend Insurance Company
1900 S. 18th Ave. | West Bend, WI 53095

Renewal

## Commercial Inland Marine Coverage Declarations

**Customer Number:** 0110116385
**Policy Number:** A848246 05

**Policy Period:** 01/01/2026 to 01/01/2027
at 12:01 AM Standard Time at Your Mailing Address Shown Below

**Named Insured and Address:**
Locksley, Inc
DBA Paul Davis Restoration of South Central WI
3432A County Rd N
Cottage Grove, WI 53527

**Agency Name and Address:** 48508
R & R INSURANCE SERVICES INC
N14W23900 STONE RIDGE DR
WAUKESHA, WI 53188
262-574-7000

## Commercial Inland Marine Coverage Schedule

| ID | Coverage | Limit of Insurance | Coinsurance | Rate | Premium |
|---|---|---|---|---|---|
| 9 | Contractors' Equipment Coverage | | | | |
| | Catastrophe Limit | $962,300 | | | |
| | Contractors' Equipment – Miscellaneous Tools and Equipment | $523,000 | 80% | .490 | $2,563 |
| | Actual Cash Value | | | | |
| | Deductible – $500 | | | | |
| | Maximum Limit Per Item | $5,000 | | | |
| | Contractors' Equipment – Scheduled | $50,000 | 80% | .270 | $135 |
| | Actual Cash Value | | | | |
| | Deductible – $500 | | | | |
| | Contractors' Equipment – Scheduled | $389,300 | 80% | .270 | $1,051 |
| | Replacement Cost | | | | |
| | Deductible – $500 | | | | |
| | Automatic Increase - 5% | | | | |
| 11 | Electronic Data Processing Equipment Coverage | | Not Applicable | .355 | $178 |
| | Deductible – $500 | | | | |
| | Electrical and Power Supply Disturbance & Mechanical Breakdown with Deductible – $1,000 | | | | |
| | Location – 1 | | | | |
| | Hardware | $50,000 | | | |
| 14 | Installation Floater | | 100% | Various | $417 |

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West Bend Insurance Company
1900 S. 18th Ave. | West Bend, WI 53095

Renewal

## Commercial Inland Marine Coverage Declarations

**Customer Number:** 0110116385
**Policy Number:** A848246 05

**Policy Period:** 01/01/2026 to 01/01/2027
at 12:01 AM Standard Time at Your Mailing Address Shown Below

**Named Insured and Address:**
Locksley, Inc
DBA Paul Davis Restoration of South Central WI
3432A County Rd N
Cottage Grove, WI 53527

**Agency Name and Address:** 48508
R & R INSURANCE SERVICES INC
N14W23900 STONE RIDGE DR
WAUKESHA, WI 53188
262-574-7000

| | | | | | |
|---|---|---|---|---|---|
| | Non-Reporting | | | | |
| | Deductible – $500 | | | | |
| | Various Jobsites | $50,000 | | | |
| | Maximum Per Jobsite | $50,000 | | | |
| | Property In Transit | $50,000 | | | |
| | Unscheduled Storage Locations | $50,000 | | | |
| 15 | Miscellaneous Bailee – Processor Floater | | Not Applicable | Various | $3,944 |
| | Deductible – $500 | | | | |
| | Location – 1 | | | | |
| | Described Premises | $5,000 | | | Included |
| | Off-Site Property | $600,000 | | | Included |
| | Property In Transit | $600,000 | | | Included |
| | Property In Storage | $600,000 | | | Included |

See attached Forms Schedule for forms and endorsements applicable to this coverage.

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## Commercial Inland Marine Description Detail Schedule

**Customer Number:** 0110116385
**Policy Number:** A848246 05

**Policy Period:** 01/01/2026 to 01/01/2027
at 12:01 AM Standard Time at Your Mailing Address Shown Below

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N14W23900 STONE RIDGE DR
WAUKESHA, WI 53188
262-574-7000

### Description Detail Schedule

| ID | Loc | Item | Description | Limit of Insurance |
|---|---|---|---|---|
| 9 | | | Contractor's Equipment – Scheduled | |
| 9 | | 1 | Equipment Borrowed, Leased or Rented From Others Not to Exceed $50000 Limit on Any One Item.<br>Actual Cash Value; Deductible – $500; Coinsurance Not Applicable | $50,000 |
| 9 | | 2 | Bolden Extractor Model GTO Vacuum-Pac SN None<br>Replacement Cost; Deductible – $500; Coinsurance 80% | $6,900 |
| 9 | | 3 | Phoenix Extractor Model Xtreme Xtractor Lite SN None<br>Replacement Cost; Deductible – $500; Coinsurance 80% | $6,900 |
| 9 | | 4 | Phoenix Extractor Model Hydro-X SN C0661247<br>Replacement Cost; Deductible – $500; Coinsurance 80% | $6,900 |
| 9 | | 5 | Phoenix Extractor Model Xtreme Xtractor Lite SN None<br>Replacement Cost; Deductible – $500; Coinsurance 80% | $6,900 |
| 9 | | 6 | Infrared Solutions Infrared Camera Model IR Flexcam R2 SN FLXR2-060204<br>Replacement Cost; Deductible – $500; Coinsurance 80% | $24,800 |
| 9 | | 7 | Esporta Model ES3300<br>Replacement Cost; Deductible – $500; Coinsurance 80% | $122,100 |
| 9 | | 8 | Omegasonics Filtered Pre-Wash Model 5200 SN AK-OMG5052PW-350<br>Replacement Cost; Deductible – $500; Coinsurance 80% | $14,600 |
| 9 | | 9 | Omegasonics Ultrasonic Wash Model 5224 SN AK-OMG5224-351<br>Replacement Cost; Deductible – $500; Coinsurance 80% | $29,200 |
| 9 | | 10 | Omegasonics Rinse Detail Station<br>Replacement Cost; Deductible – $500; Coinsurance 80% | $12,200 |
| 9 | | 11 | Omegasonics Tunnel Drying Chamber SN AK-OMG6900TD-352<br>Replacement Cost; Deductible – $500; Coinsurance 80% | $12,300 |

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## Commercial Inland Marine Description Detail Schedule

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| | | | |
|---|---|---|---|
| 9 | 12 | Omegasonics Electronic Cleaning Station SN AK-OMG2700E-365<br>Replacement Cost; Deductible – $500; Coinsurance 80% | $7,900 |
| 9 | 13 | ClearWater Tech Ozone Generator Model CD200P<br>Replacement Cost; Deductible – $500; Coinsurance 80% | $8,800 |
| 9 | 14 | Ranger Power Vacuum Straton Engine 31 HP w/accessories Model 31-HP<br>Replacement Cost; Deductible – $500; Coinsurance 80% | $29,900 |
| 9 | 15 | 2020 Toyota Fork Lift 8FGU25 SN C2377<br>Replacement Cost; Deductible – $500; Coinsurance 80% | $29,900 |
| 9 | 16 | Toyota Fork Lift 7FBEU20 SN 25943<br>Replacement Cost; Deductible – $500; Coinsurance 80% | $20,000 |
| 9 | 17 | 2018 Hydro Master Water Extraction Machine<br>Replacement Cost; Deductible – $500; Coinsurance 80% | $50,000 |
| 15 | 1 | Property Consisting of: Customer's Goods | |

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## Commercial Inland Marine Endorsements and Miscellaneous Premiums

**Customer Number:** 0110116385
**Policy Number:** A848246 05

**Policy Period:** 01/01/2026 to 01/01/2027
at 12:01 AM Standard Time at Your Mailing Address Shown Below

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### Miscellaneous Premiums

| Description | Form Number | Premium |
|---|---|---|
| Terrorism Risk Insurance Act | | $124 |
| Terrorism Risk Insurance Act (Fire Only) | | $44 |
| | Total Commercial Inland Marine Premium: | $8,412 |

See attached Forms Schedule for forms and endorsements applicable to this coverage.

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## Commercial Inland Marine Additional Interest Schedule

**Customer Number:** 0110116385
**Policy Number:** A848246

**Policy Period:** 01/01/2026 to 01/01/2027
at 12:01 AM Standard Time at Your Mailing Address Shown Below

**Named Insured and Address:**
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**Agency Name and Address:** 48508
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262-574-7000

### Additional Interests

| Interest Number | Name and Address | Reference/ Loan Number | Interest | Coverage Form |
|---|---|---|---|---|
| 1 | LINCOLN CONTRACTORS SUPPLY<br>1111 W HAYES AVE<br>MILWAUKEE, WI 53215-3118 | | Loss Payable | Contractors' Equipment Coverage |
| 2 | HERC RENTALS INC.<br>27500 RIVERVIEW CENTER BLVD<br>BONITA SPRINGS, FL 34134-4325 | | Loss Payable | Contractors' Equipment Coverage |
| 3 | RENTALMAX, LLC<br>124 N SCHMALE RD<br>CAROL STREAM, IL 60188-2151 | | Loss Payable | Contractors' Equipment Coverage |
| 4 | LAKE RIDGE BANK, ISAOA/ATIMA<br>1205 MAIN ST<br>CROSS PLAINS, WI 53528-9479 | | Loss Payable | Contractors' Equipment Coverage |
| 4 | LAKE RIDGE BANK, ISAOA/ATIMA<br>1205 MAIN ST<br>CROSS PLAINS, WI 53528-9479 | | Loss Payable | Contractors' Equipment Coverage |

### Additional Interest Detail

| Interest Number | Applicable To |
|---|---|
| 1 | Equipment Borrowed, Leased or Rented From Others Not to Exceed $50000 Limit on Any One Item. Not to Exceed $50000 Limit on Any One Item. |

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1900 S. 18th Ave. | West Bend, WI 53095

Renewal

## Commercial Inland Marine Additional Interest Schedule

**Customer Number:** 0110116385
**Policy Number:** A848246

**Policy Period:** 01/01/2026 to 01/01/2027
at 12:01 AM Standard Time at Your Mailing Address Shown Below

**Named Insured and Address:**
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| | |
|---|---|
| 2 | Equipment Borrowed, Leased or Rented From Others Not to Exceed $50000 Limit on Any One Item. Not to Exceed $50000 Limit on Any One Item. |
| 3 | Equipment Borrowed, Leased or Rented From Others Not to Exceed $50000 Limit on Any One Item. Not to Exceed $50000 Limit on Any One Item. |
| 4 | 2020 Toyota Fork Lift 8FGU25 C2377 |
| 4 | Toyota Fork Lift 7FBEU20 25943 |

West Bend Insurance Company
1900 S. 18th Ave. | West Bend, WI 53095

Renewal

## Commercial Inland Marine Forms Schedule

**Customer Number:** 0110116385
**Policy Number:** A848246 05

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at 12:01 AM Standard Time at Your Mailing Address Shown Below

**Named Insured and Address:**
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### Forms Schedule

| Number | Edition | Description |
|---|---|---|
| IM7000Y | 0404 | CONTRACTORS' EQUIPMENT COVERAGE |
| IM7100Y | 0604 | INSTALLATION FLOATER COVERAGE |
| IM7501Y | 0404 | MISCELLANEOUS BAILEE - PROCESSOR FLOATER |
| WB1055 | 0525 | AUTOMATIC CONTRACTORS EQUIPMENT INCREASE |
| CL0100 | 0399 | COMMON POLICY CONDITIONS |
| CL0600 | 0115 | CERTIFIED TERRORISM LOSS |
| CL0700 | 1006 | VIRUS OR BACTERIA EXCLUSION |
| IM7854 | 0404 | LOSS PAYABLE OPTIONS |
| IM7215W | 0903 | ELECTRONIC DATA PROCESSING INCOME COVERAGE PART |
| IM7200Y | 0411 | ELECTRONIC DATA PROCESSING EQUIPMENT COVERAGE PART |
| WB2198 | 0525 | EXCLUSION OF CERTAIN COMPUTER - RELATED LOSSES |
| CL0197 | 0101 | AMENDATORY ENDORSEMENT WISCONSIN |
| IM2101 | 0809 | AMENDATORY ENDORSEMENT WISCONSIN |

# CONTRACTORS' EQUIPMENT COVERAGE

## AGREEMENT

In return for "your" payment of the required premium, "we" provide the coverage described herein subject to all the "terms" of the Contractors' Equipment Coverage. This coverage is also subject to the "schedule of coverages" and additional policy conditions relating to assignment or transfer of rights or duties, cancellation, changes or modifications, inspections, and examination of books and records.

Endorsements and schedules may also apply. They are identified on the "schedule of coverages".

Refer to Definitions for words and phrases that have special meaning. These words and phrases are shown in quotation marks or bold type.

## DEFINITIONS

1. The words "you" and "your" mean the persons or organizations named as the insured on the declarations.

2. The words "we", "us", and "our" mean the company providing this coverage.

3. "Construction trailer" means "your" transportable trailer or transportable trailer of others in "your" care, custody, or control used at "jobsites" as an office or for storage.

4. "Contractors' equipment" means machinery, equipment, and tools of a mobile nature that "you" use in "your" contracting, installation, erection, repair, or moving operations or projects.

   "Contractors' equipment" also means:

   a. self-propelled vehicles designed and used primarily to carry mounted equipment; or

   b. vehicles designed for highway use that are unlicensed and not operated on public roads.

5. "Equipment schedule" means a schedule of "contractors' equipment" that is attached to this policy and that describes each piece of covered equipment.

6. "Jobsite" means any location, project, or work site where "you" are in the process of construction, installation, erection, repair, or moving.

7. "Limit" means the amount of coverage that applies.

8. "Pollutant" means:

   a. any solid, liquid, gaseous, thermal, or radioactive irritant or contaminant, including acids, alkalis, chemicals, fumes, smoke, soot, vapor, and waste. Waste includes materials to be recycled, reclaimed, or reconditioned, as well as disposed of; and

   b. electrical or magnetic emissions, whether visible or invisible, and sound emissions.

9. "Schedule of coverages" means:

   a. all pages labeled schedule of coverages or schedules which pertain to this coverage; and

   b. declarations or supplemental declarations which pertain to this coverage.

10. "Sinkhole collapse" means the sudden settlement or collapse of earth supporting the covered property into subterranean voids created by the action of water on a limestone or similar rock formation. It does not include the value of the land or the cost of filling sinkholes.

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11. "Specified perils" means aircraft; civil commotion; explosion; falling objects; fire; hail; leakage from fire extinguishing equipment; lightning; riot; "sinkhole collapse"; smoke; sonic boom; vandalism; vehicles; "volcanic action"; water damage; weight of ice, snow, or sleet; and windstorm.

    Falling objects does not include loss to:

    a. personal property in the open; or

    b. the interior of buildings or structures or to personal property inside buildings or structures unless the exterior of the roofs or walls are first damaged by a falling object.

    Water damage means the sudden or accidental discharge or leakage of water or steam as a direct result of breaking or cracking of a part of the system or appliance containing the water or steam.

12. "Terms" means all provisions, limitations, exclusions, conditions, and definitions that apply.

13. "Volcanic action" means airborne volcanic blast or airborne shock waves; ash, dust, or particulate matter; or lava flow.

    Volcanic action does not include the cost to remove ash, dust, or particulate matter that does not cause direct physical loss to the covered property.

## PROPERTY COVERED

"We" cover the following property unless the property is excluded or subject to limitations.

1. **Scheduled Equipment** --

    a. **Coverage** -- "We" cover direct physical loss caused by a covered peril to:

        1) "your" "contractors' equipment"; and
        2) "contractors' equipment" of others in "your" care, custody, or control.

    b. **Coverage Limitation** -- "We" only cover "your" "contractors' equipment" and "contractors' equipment" of others that are described on the "equipment schedule".

        Miscellaneous Tools and Equipment that exceed the value limitation shown on the "schedule of coverages" must be specifically scheduled.

2. **Schedule On File** --

    a. **Coverage** -- "We" cover direct physical loss caused by a covered peril to:

        1) "your" "contractors' equipment"; and
        2) "contractors' equipment" of others in "your" care, custody, or control.

    b. **Coverage Limitation** -- "We" only cover "your" "contractors' equipment" and "contractors' equipment" of others:

        1) that are listed in a schedule which "you" must submit to "us" and "we" keep on file, the schedule must contain a description of each item to be covered and a "limit" for each item; and
        2) when Schedule on File is indicated on the "schedule of coverages".

## PROPERTY NOT COVERED

1. **Aircraft Or Watercraft** -- "We" do not cover aircraft or watercraft.

2. **Contraband** -- "We" do not cover contraband or property in the course of illegal transportation or trade.

3. **Leased Or Rented Property** -- "We" do not cover property that "you" lease or rent to others.

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4. **Loaned Property** -- "We" do not cover property that "you" loan to others.

5. **Underground Mining Operations** -- "We" do not cover property while stored or operated underground in connection with any mining operations.

6. **Underground Property** - "We" do not cover property that is underground, in caissons, or underwater.

7. **Vehicles** -- "We" do not cover automobiles, motor trucks, tractors, trailers, and similar conveyances designed for highway use and used for over the road transportation of people or cargo. However, this does not include:

   a. self-propelled vehicles designed and used primarily to carry mounted equipment; or

   b. vehicles designed for highway use that are unlicensed and not operated on public roads.

8. **Waterborne Property** -- "We" do not cover property while waterborne except while in transit in the custody of a carrier for hire.

## COVERAGE EXTENSIONS

**Provisions That Apply To Coverage Extensions** -- The following Coverage Extensions indicate an applicable "limit".

Unless otherwise indicated, the coverages provided below are part of and not in addition to the applicable "limit" for coverage described under Property Covered.

The "limit" provided under a Coverage Extension cannot be combined or added to the "limit" for any other Coverage Extension or Supplemental Coverage including a Coverage Extension or Supplemental Coverage that is added to this policy by endorsement.

If coinsurance provisions are part of this policy, the following coverage extensions are not subject to and not considered in applying coinsurance conditions.

**1. Debris Removal --**

a. **Coverage** -- "We" pay the cost to remove the debris of covered property that is caused by a covered peril.

b. **We Do Not Cover** -- This coverage does not include costs to:

   1) extract "pollutants" from land or water; or
   2) remove, restore, or replace polluted land or water.

c. **Limit** -- "We" do not pay any more under this coverage than 25% of the amount "we" pay for the direct physical loss. "We" will not pay more for loss to property and debris removal combined than the "limit" for the damaged property.

d. **Additional Limit** -- "We" pay up to an additional $5,000 for debris removal expense when the debris removal expense exceeds 25% of the amount "we" pay for direct physical loss or when the loss to property and debris removal combined exceeds the "limit" for the damaged property.

e. **You Must Report Your Expenses** -- "We" do not pay any expenses unless they are reported to "us" in writing within 180 days from the date of direct physical loss to covered property.

2. **Fraud and Deceit** --

   a. **Coverage** -- "We" cover theft of covered property when "you", "your" agents, customers, or consignees are fraudulently induced to part with the covered property:

      1) to persons who falsely represent them selves as the proper persons to receive the property;
      2) by the acceptance of fraudulent bills or lading or shipping receipts; or
      3) as a result of or directly related to the use of any electronic data processing hardware or software.

   b. **Limit** -- The most "we" pay in any one occurrence for theft resulting from fraud and deceit is $5,000.

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## SUPPLEMENTAL COVERAGES

**Provisions That Apply To Supplemental Coverages** -- The following Supplemental Coverages indicate an applicable "limit". This "limit" may also be shown on the "schedule of coverages".

If a different "limit" is indicated on the "schedule of coverages", that "limit" will apply instead of the "limit" shown below.

However, if no "limit" is indicated for a Supplemental Coverage, coverage is provided up to the full "limit" for the applicable covered property unless a different "limit" is indicated on the "schedule of coverages".

Unless otherwise indicated, a "limit" for a Supplemental Coverage provided below is separate from, and not part of, the applicable "limit" for coverage described under Property Covered.

The "limit" available for coverage described under a Supplemental Coverage:

a. is the only "limit" available for the described coverage; and

b. is not the sum of the "limit" indicated for a Supplemental Coverage and the "limit" for coverage described under Property Covered.

The "limit" provided under a Supplemental Coverage cannot be combined or added to the "limit" for any other Supplemental Coverage or Coverage Extension including a Supplemental Coverage or Coverage Extension that is added to this policy by endorsement.

If coinsurance provisions are part of this policy, the following supplemental coverages are not subject to and not considered in applying coinsurance conditions.

1. **Construction Trailers --**

   a. **Coverage** -- "We" cover direct physical loss caused by a covered period to "construction trailers" and the contents within the trailers.

   b. **Coverage Limitation** -- "We" only cover "construction trailers" and the contents within the trailers while the trailers are:

      1) at a "jobsite";
      2) in storage; or
      3) in transit between a "jobsite" and storage.

   c. **Limit** -- The most "we" pay in any one ocurrence for any one "construction trailer" and the contents in the trailer is $10,000.

      The most "we" pay for loss in any one occurrence for all "construction trailers" and the contents in the trailers is $50,000.

2. **Employee Tools** --

   a. **Coverage** -- "We" cover direct physical loss caused by a covered peril to tools owned by "your" employees.

   b. **Coverage Limitation** -- "We" only cover tools owned by "your" employees while in "your" care, custody, or control.

   c. **Limit** -- The most "we" pay in any one occurrence for loss to employee tools is $5,000, not to exceed $1,000 per item.

3. **Equipment Borrowed, Leased, Or Rented From Others** --

   a. **Coverage** -- "We" cover direct physical loss caused by a covered peril to "contractors' equipment" that "you" have borrowed, leased or rented from others.

   b. **Limit** -- The most "we" pay in any one occurrence for equipment borrowed, leased, or rented from others is $25,000.

4. **Fire Department Service Charges** --

   a. **Coverage** -- "We" cover "your" liability, assumed by contract or agreement prior to the loss, for fire department service charges. No deductible applies to this Supplemental Coverage.

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b. **Coverage Limitations** -- "We" only pay for:

1) fire department service charges that relate to covered property at "jobsites"; and
2) charges incurred when the fire department is called to save or protect covered property from a covered peril.

c. **Limit** -- The most "we" pay in any one occurrence for "your" liability for fire department service charges is $1,000.

5. **Newly Purchased Property** --

a. **Coverage** -- "We" cover direct physical loss caused by a covered peril to additional "contractors' equipment" that "you" purchase during the policy period.

b. **Limit** -- The most that "we" pay for any loss under this supplemental coverage is the least of the:

1) actual cash value of the covered property; or
2) "limit" for newly purchased property indicated on the "schedule of coverages". If no "limit" is indicated, then 30% of the Catastrophe Limit indicated on the "schedule of coverages" applies to this coverage.

c. **Time Limitation** -- "We" extend coverage to the additional "contractors' equipment" that "you" purchase for up to 60 days.

This supplemental coverage will end when any of the following first occur:

1) this policy expires;
2) 60 days after "you" obtain the additional "contractors' equipment"; or
3) "you" report the additional "contractors' equipment" to "us".

d. **Additional Premium** -- "You" must pay any additional premium due from the date "you" purchase the additional "contractors' equipment".

6. **Pollutant Cleanup And Removal** --

a. **Coverage** -- "We" pay "your" expense to extract "pollutants" from land or water if the discharge, dispersal, seepage, migration, release, or escape of the "pollutants" is caused by a covered peril that occurs during the policy period.

b. **Time Limitation** -- The expenses to extract "pollutants" are paid only if they are reported to "us" in writing within 180 days from the date the covered peril occurs.

c. **We Do Not Cover** -- "We" do not pay the cost of testing, evaluating, observing, or recording the existence, level, or effects of "pollutants".

However, "we" pay the cost of testing which is necessary for the extraction of "pollutants" from land or water.

d. **Limit** -- The most "we" pay for each location is $25,000 for the sum of all such expenses arising out of a covered peril occurring during each separate 12-month period of this policy.

7. **Recharge Of Fire Extinguishing Equipment** --

a. **Coverage** -- "We" cover "your" incurred expenses to recharge automatic fire extinguishing equipment or handheld fire extinguishing equipment.

b. **Coverage Limitation** -- "We" only cover "your" recharge expenses:

1) for extinguishing equipment that is mounted or installed on covered property; and
2) when the extinguishing equipment is discharged to fight a fire or as a result of a covered peril.

c. **Limit** -- The most "we" pay in any one occurrence for "your" recharge expenses is $1,000.

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8. **Rental Reimbursement** --

   a. **Coverage** -- In the event of a direct physical loss by a covered peril to "your" "contractors' equipment", "we" reimburse "you" for "your" expense to rent similar equipment while "your" equipment is inoperable.

      The deductible amount indicated on the "schedule of coverages" does not apply to a loss covered under this supplemental coverage.

   b. **Waiting Period** -- "We" will not reimburse "you" for the rental of equipment until after the first 72-hours following the direct physical loss to "your" "contractors' equipment" caused by a covered peril.

   c. **Incurred Rental Expenses** -- After the waiting period has passed, "we" will only reimburse "you" for the rental expenses that "you" actually incur.

   d. **Coverage After Expiration Date** -- "We" will continue to reimburse "you" for the rental of equipment after the expiration date of this coverage, provided the loss occurred before the expiration date.

   e. **Coverage Limitations** -- "We" will not reimburse "you":

      1) if "you" can continue or resume "your" operations with similar equipment that is available to "you" at no additional expense to "you"; or
      2) for the rental expense of any equipment unless "you" make every reasonable effort to repair, replace, or rebuild the inoperable equipment after the loss by a covered peril occurs.

   f. **Limit** -- The most "we" reimburse "you" in any one occurrence for rental expenses is $5,000.

9. **Reward For Recovery Of Stolen Equipment** --

   a. **Coverage** -- "We" pay a reward for information that leads to the recovery of covered property that was stolen. The recovery must involve a covered theft loss.

   b. **Coverage Limitation** -- The amount "we" pay is not increased by the number of persons involved in providing the information.

   c. **Limit**-- The most "we" pay in any one occurrence for a reward for information that leads to the recovery of property is $1,000.

10. **Spare Parts And Fuel** --

    a. **Coverage** -- "We" cover direct physical loss caused by a covered peril to:

       1) spare parts and accessories for "contractors' equipment"; and
       2) fluids for vehicles and "contractors' equipment"; fluids include gasoline, oil, and hydraulic fluid.

    b. **Limit** -- The most "we" pay in any one occurrence for loss to spare parts and accessories is $5,000.

## PERILS COVERED

"We" cover risks of direct physical loss unless the loss is limited or caused by a peril that is excluded.

## PERILS EXCLUDED

1. "We" do not pay for loss or damage caused directly or indirectly by one or more of the following excluded causes or events. Such loss or damage is excluded regardless of other causes or events that contribute to or aggravate the loss, whether such causes or events act to produce the loss before, at the same time as, or after the excluded causes or events.

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a. **Civil Authority** -- "We" do not pay for loss caused by order of any civil authority, including seizure, confiscation, destruction, or quarantine of property.

"We" do cover loss resulting from acts of destruction by the civil authority to prevent the spread of fire, unless the fire is caused by a peril excluded under this coverage.

b. **Nuclear Hazard** -- "We" do not pay for loss caused by or resulting from a nuclear reaction, nuclear radiation, or radioactive contamination (whether controlled or uncontrolled; whether caused by natural, accidental, or artificial means). Loss caused by nuclear hazard is not considered loss caused by fire, explosion, or smoke. Direct loss by fire resulting from the nuclear hazard is covered.

c. **War And Military Action** -- "We" do not pay for loss caused by:

1) war, including undeclared war or civil war; or
2) a warlike action by a military force, including action taken to prevent or defend against an actual or expected attack, by any government, sovereign, or other authority using military personnel or other agents; or
3) insurrection, rebellion, revolution, or unlawful seizure of power including action taken by governmental authority to prevent or defend against any of these.

With regard to any action that comes within the "terms" of this exclusion and involves nuclear reaction, nuclear radiation, or radioactive contamination, this War and Military Action Exclusion will apply in place of the Nuclear Hazard Exclusion.

2. "We" do not pay for loss or damage that is caused by or results from one or more of the following:

a. **Contamination or Deterioration** -- "We" do not pay for loss caused by contamination or deterioration including corrosion, decay, fungus, mildew, mold, rot, rust, or any quality, fault, or weakness in the covered property that causes it to damage or destroy itself.

But if contamination or deterioration results in a covered peril, "we" do cover the loss or damage caused by that covered peril.

b. **Criminal, Fraudulent, Dishonest Or Illegal Acts** -- "We" do not pay for loss caused by or resulting from criminal, fraudulent, dishonest, or illegal acts committed alone or in collusion with another by:

1) "you";
2) others who have an interest in the property;
3) others to whom "you" entrust the property;
4) "your" partners, officers, directors, trustees, joint venturers, or "your" members or managers if "you" are a limited liability company; or
5) the employees or agents of 1), 2), 3), or 4) above, whether or not they are at work.

This exclusion does not apply to acts of destruction by "your" employees, but "we" do not pay for theft by employees.

This exclusion does not apply to covered property in the custody of a carrier for hire.

c. **Loss Of Use** -- "We" do not pay for loss caused by or resulting from loss of use, delay, or loss of market.

d. **Mechanical Breakdown** -- "We" do not pay for loss caused by any mechanical, structural, or electrical breakdown or malfunction including a breakdown or malfunction resulting from a structural, mechanical, or reconditioning process.

But if a mechanical, structural, or electrical breakdown or malfunction results in a covered peril, "we" do cover the loss or damage caused by that covered peril.

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e. **Missing Property** -- "We" do not pay for missing property where the only proof of loss is unexplained or mysterious disappearance of covered property, or shortage of property discovered on taking inventory, or any other instance where there is no physical evidence to show what happened to the covered property.

This exclusion does not apply to covered property in the custody of a carrier for hire.

f. **Pollutants** -- "We" do not pay for loss caused by or resulting from release, discharge, seepage, migration, dispersal, or escape of "pollutants":

1) unless the release, discharge, seepage, migration, dispersal, or escape is caused by a "specified peril"; or
2) except as specifically provided under the Supplemental Coverages - Pollutant Cleanup and Removal.

"We" do cover any resulting loss caused by a "specified peril".

g. **Temperature/Humidity** -- "We" do not pay for loss caused by dryness, dampness, humidity, or changes in or extremes of temperature.

But if dryness, dampness, humidity, or changes in or extremes of temperature results in a covered peril, "we" do cover the loss or damage caused by that covered peril.

h. **Voluntary Parting** -- "We" do not pay for loss caused by or resulting from voluntary parting with title to or possession of any property because of any fraudulent scheme, trick, or false pretense.

i. **Wear And Tear** -- "We" do not pay for loss caused by wear and tear, marring, or scratching.

But if wear and tear, marring, or scratching results in a covered peril, "we" do cover the loss or damage caused by that covered peril.

j. **Weight of Load –** “We” do not pay for loss caused by the weight of a load which, under the operating conditions at the time of a loss, exceeds the registered lifting capacity of the equipment.

## WHAT MUST BE DONE IN CASE OF LOSS

1. **Notice** -- In case of a loss, "you" must:

   a. give "us" or "our" agent prompt notice including a description of the property involved ("we" may request written notice); and

   b. give notice to the police when the act that causes the loss is a crime.

2. **You Must Protect Property** -- "You" must take all reasonable steps to protect covered property at and after an insured loss to avoid further loss.

   a. **Payment of Reasonable Costs** -- "We" do pay the reasonable costs incurred by "you" for necessary repairs or emergency measures performed solely to protect covered property from further damage by a peril insured against if a peril insured against has already caused a loss to covered property. "You" must keep an accurate record of such costs. "Our" payment of reasonable costs does not increase the "limit".

   b. **We Do Not Pay** -- "We" do not pay for such repairs or emergency measures performed on property which has not been damaged by a peril insured against.

3. **Proof Of Loss** -- "You" must send "us", within 60 days after "our" request, a signed, sworn proof of loss. This must include the following information:

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a. the time, place, and circumstances of the loss;

b. other policies of insurance that may cover the loss;

c. "your" interest and the interests of all others in the property involved, including all mortgages and liens;

d. changes in title of the covered property during the policy period; and

e. estimates, specifications, inventories, and other reasonable information that "we" may require to settle the loss.

4. **Examination** -- "You" must submit to examination under oath in matters connected with the loss as often as "we" reasonably request and give "us" sworn statements of the answers. If more than one person is examined, "we" have the right to examine and receive statements separately and not in the presence of others.

5. **Records** -- "You" must produce records, including tax returns and bank microfilms of all canceled checks relating to value, loss, and expense and permit copies and extracts to be made of them as often as "we" reasonably request.

6. **Damaged Property** -- "You" must exhibit the damaged and undamaged property as often as "we" reasonably request and allow "us" to inspect or take samples of the property.

7. **Volunteer Payments** -- "You" must not, except at "your" own expense, voluntarily make any payments, assume any obligations, pay or offer any rewards, or incur any other expenses except as respects protecting property from further damage.

8. **Abandonment** -- "You" may not abandon the property to "us" without "our" written consent.

9. **Cooperation** -- "You" must cooperate with "us" in performing all acts required by this policy.

## VALUATION

1. **Actual Cash Value** -- The value of covered property will be based on the actual cash value at the time of the loss (with a deduction for depreciation) unless replacement cost is indicated on the "schedule of coverages".

   Miscellaneous Tools and Equipment that exceed the value limitation shown on the "schedule of coverages" will be adjusted on an actual cash value basis, subject to the maximum limit shown on the "schedule of coverages.

2. **Replacement Cost** -- The value of covered property will be based on the replacement cost without any deduction for depreciation unless Actual Cash Value is indicated on the "schedule of coverages".

   a. **Replacement Cost Limitation** -- The replacement cost is limited to the cost of repair or replacement with similar equipment and used for the same purpose. The payment will not exceed the amount "you" spend to repair or replace the damaged or destroyed property.

   b. **Replacement Cost Does Not Apply To Property of Others** -- Replacement cost valuation does not apply to property of others.

   c. **Replacement Cost Does Not Apply Without Model Year** -- Replacement cost valuation does not apply to scheduled equipment where no model year is specified, unless a valid serial number has been provided.

   d. **Replacement Cost Does Not Apply Until Repair Or Replacement** -- Replacement cost valuation does not apply until the damaged or destroyed property is repaired or replaced.

   e. **Time Limitation** -- "You" may make a claim for actual cash value before repair or replacement takes place, and later for the replacement cost if "you" notify "us" of "your" intent within 180 days after the loss.

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3. **Pair Or Set** -- The value of a lost or damaged article which is part of a pair or set is based on a reasonable proportion of the value of the entire pair or set. The loss is not considered a total loss of the pair or set.

4. **Loss To Parts** -- The value of a lost or damaged part of an item that consists of several parts when it is complete is based on the value of only the lost or damaged part or the cost to repair or replace it.

## HOW MUCH WE PAY

1. **Insurable Interest** -- "We" do not cover more than "your" insurable interest in any property.

2. **Deductible** -- "We" pay only that part of "your" loss over the deductible amount indicated on the "schedule of coverages" in any one occurrence.

3. **Loss Settlement Terms** -- Subject to paragraphs 1., 2., 4., 5., and 6. under How Much We Pay, "we" pay the lesser of:

   a. the amount determined under Valuation;

   b. the cost to repair, replace, or rebuild the property with material of like kind and quality to the extent practicable; or

   c. the "limit" that applies to the covered property. However, the most "we" pay for loss in any one occurrence is the Catastrophe Limit indicated on the "schedule of coverages".

4. **Coinsurance** --

   a. **When Coinsurance Applies** -- "We" only pay a part of the loss if the "limit" is less than the percentage of the value of the covered property that is indicated on the "schedule of coverages".

   b. **How We Determine Our Part Of The Loss** -- "Our" part of the loss is determined using the following steps:

      1) multiply the percent indicated on the "schedule of coverages" by the value of the covered property at the time of loss;
      2) divide the "limit" for covered property by the result determined in b.1) above;
      3) multiply the total amount of loss, after the application of any deductible, by the result determined in b.2) above.

      The most "we" pay is the amount determined in b.3) above or the "limit", whichever is less. "We" do not pay any remaining part of the loss.

   c. **If There Is More Than One Limit** -- If there is more than one "limit" indicated on the "schedule of coverages" for this coverage part, this procedure applies separately to each "limit".

   d. **If There Is Only One Limit** -- If there is only one "limit" indicated on the "schedule of coverages" for this coverage, this procedure applies to the total of all covered property to which the "limit" applies.

5. **Insurance Under More Than One Coverage** -- If more than one coverage of this policy insures the same loss, "we" pay no more than the actual claim, loss, or damage sustained.

6. **Insurance Under More Than One Policy** --

   a. **Proportional Share** -- "You" may have another policy subject to the same "terms" as this policy. If "you" do, "we" will pay "our" share of the covered loss. "Our" share is the proportion that the applicable "limit" under this policy bears to the "limit" of all policies covering on the same basis.

   b. **Excess Amount** -- If there is another policy covering the same loss, other than that described above, "we" pay only for the amount of covered loss in excess of the amount due from that other policy, whether "you" can collect on it or not. But "we" do not pay more than the applicable "limit".

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## LOSS PAYMENT

1. **Loss Payment Options** --

   a. **Our Options** -- In the event of loss covered by this coverage form, "we" have the following options:

      1) pay the value of the lost or damaged property;
      2) pay the cost of repairing or replacing the lost or damaged property;
      3) rebuild, repair, or replace the property with other property of equivalent kind and quality, to the extent practicable, within a reasonable time; or
      4) take all or any part of the property at the agreed or appraised value.

   b. **Notice Of Our Intent To Rebuild, Repair, Or Replace** -- "We" must give "you" notice of "our" intent to rebuild, repair, or replace within 30 days after receipt of a duly executed proof of loss.

2. **Your Losses** --

   a. **Adjustment And Payment Of Loss** -- "We" adjust all losses with "you". Payment will be made to "you" unless another loss payee is named in the policy.

   b. **Conditions For Payment Of Loss** -- An insured loss will be payable 30 days after:

      1) a satisfactory proof of loss is received, and
      2) the amount of the loss has been established either by written agreement with "you" or the filing of an appraisal award with "us".

3. **Property Of Others** --

   a. **Adjustment And Payment of Loss To Property of Others** -- Losses to property of others may be adjusted with and paid to:

      1) "you" on behalf of the owner; or
      2) the owner.

   b. **We Do Not Have To Pay You If We Pay The Owner** -- If "we" pay the owner, "we" do not have to pay "you". "We" may also choose to defend any suits brought by the owners at "our" expense.

## OTHER CONDITIONS

1. **Appraisal** -- If "you" and "we" do not agree on the amount of the loss or the value of covered property, either party may demand that these amounts be determined by appraisal.

   If either makes a written demand for appraisal, each will select a competent, independent appraiser and notify the other of the appraiser's identity within 20 days of receipt of the written demand. The two appraisers will then select a competent, impartial umpire. If the two appraisers are unable to agree upon an umpire within 15 days, "you" or "we" can ask a judge of a court of record in the state where the property is located to select an umpire.

   The appraisers will then determine and state separately the amount of each loss.

   The appraisers will also determine the value of covered property items at the time of the loss, if requested.

   If the appraisers submit a written report of any agreement to "us", the amount agreed upon will be the amount of the loss. If the appraisers fail to agree within a reasonable time, they will submit only their differences to the umpire. Written agreement so itemized and signed by any two of these three, sets the amount of the loss.

   Each appraiser will be paid by the party selecting that appraiser. Other expenses of the appraisal and the compensation of the umpire will be paid equally by "you" and "us".

2. **Benefit to Others** -- Insurance under this coverage will not directly or indirectly benefit anyone having custody of "your" property.

3. **Conformity With Statute** -- When a condition of this coverage is in conflict with an applicable law, that condition is amended to conform to that law.

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4. **Estates** -- This provision applies only if the insured is an individual.

    a. **Your Death** -- On "your" death, "we" cover the following as an insured:

        1) the person who has custody of "your" property until a legal representative is qualified and appointed; or
        2) "your" legal representative.

        This person or organization is an insured only with respect to property covered by this coverage.

    b. **Policy Period Is Not Extended** -- This coverage does not extend past the policy period indicated on the declarations.

5. **Liberalization** --If a revision of a form or endorsement which would broaden this coverage without an additional premium is adopted during the policy period or within six months before this coverage is effective, the broadened coverage will apply.

6. **Misrepresentation, Concealment, Or Fraud** -- This coverage is void as to "you" and any other insured if, before or after a loss:

    a. "you" or any other insured have willfully concealed or misrepresented:

        1) a material fact or circumstance that relates to this insurance or the subject thereof; or
        2) "your" interest herein.

    b. there has been fraud or false swearing by "you" or any other insured with regard to a matter that relates to this insurance or the subject thereof.

7. **Policy Period** -- "We" pay for a covered loss that occurs during the policy period.

8. **Recoveries** -- If "we" pay "you" for the loss and lost or damaged property is recovered, or payment is made by those responsible for the loss, the following provisions apply:

    a. "you" must notify "us" promptly if "you" recover property or receive payment;

    b. "we" must notify "you" promptly if "we" recover property or receive payment;

    c. any recovery expenses incurred by either are reimbursed first;

    d. "you" may keep the recovered property but "you" must refund to "us" the amount of the claim paid or any lesser amount to which "we" agree; and

    e. if the claim paid is less than the agreed loss due to a deductible or other limiting "terms" of this policy, any recovery will be pro rated between "you" and "us" based on "our" respective interest in the loss.

9. **Restoration Of Limits** -- A loss "we" pay under this coverage does not reduce the applicable "limit" unless it is a total loss to a scheduled item. In the event of a total loss to a scheduled item, "we" refund the unearned premium on that item.

10. **Subrogation** -- If "we" pay for a loss, "we" may require "you" to assign to "us" "your" right of recovery against others. "You" must do all that is necessary to secure "our" rights. "We" do not pay for a loss if "you" impair this right to recover.

    "You" may waive "your" right to recover from others in writing before a loss occurs.

11. **Suit Against Us** -- No one may bring a legal action against "us" under this coverage unless:

    a. all of the "terms" of this coverage have been complied with; and

    b. the suit has been brought within two years after "you" first have knowledge of the loss.

        If any applicable law makes this limitation invalid, then suit must begin within the shortest period permitted by law.

12. **Territorial Limits** -- "We" cover property while it is in the United States of America, its territories and possessions, Canada, and Puerto Rico.

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# INSTALLATION FLOATER COVERAGE

## AGREEMENT

In return for "your" payment of the required premium, "we" provide the coverage described herein subject to all the "terms" of the Installation Floater Coverage. This coverage is also subject to the "schedule of coverages" and additional policy conditions relating to assignment or transfer of rights or duties, cancellation, changes or modifications, inspections, and examination of books and records.

Endorsements and schedules may also apply. They are identified on the "schedule of coverages".

Refer to Definitions for words and phrases that have special meaning. These words and phrases are shown in quotation marks or bold type.

## DEFINITIONS

1. The words "you" and "your" mean the persons or organizations named as the insured on the declarations.

2. The words "we", "us", and "our" mean the company providing this coverage.

3. "Earth movement" means any movement or vibration of the earth's surface (other than "sinkhole collapse") including but not limited to earthquake; landslide; mudflow; mudslide; mine subsidence; or sinking, rising, or shifting, of earth.

4. "Flood" means flood, surface water, waves, tidal water, or the overflow of a body of water, all whether driven by wind or not. This includes spray that results from these whether driven by wind or not.

5. "Fungus" means:

   a. a fungus, including but not limited to mildew and mold;

   b. a protist, including but not limited to algae and slime mold;

   c. wet rot and dry rot;

   d. a bacterium; or

   e. a chemical, matter, or compound produced or released by a fungus, a protist, wet rot, dry rot, or a bacterium, including but not limited to toxins, spores, fragments, and metabolites such as microbial volatile organic compounds.

6. "Jobsite" means any location, project, or work site where "you" are involved in an installation or construction project.

7. "Limit" means the amount of coverage that applies.

8. "Pollutant" means:

   a. any solid, liquid, gaseous, thermal, or radioactive irritant or contaminant, including acids, alkalis, chemicals, fumes, smoke, soot, vapor, and waste. Waste includes materials to be recycled, reclaimed, or reconditioned, as well as disposed of; and

   b. electrical or magnetic emissions, whether visible or invisible, and sound emissions.

9. "Schedule of coverages" means:

   a. all pages labeled schedule of coverages or schedules that pertain to this coverage; and

   b. declarations or supplemental declarations that pertain to this coverage.

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10. "Sinkhole collapse" means the sudden settlement or collapse of earth supporting the covered property into subterranean voids created by the action of water on a limestone or similar rock formation. It does not include the value of the land or the cost of filling sinkholes.

11. "Specified perils" means aircraft; civil commotion; explosion; falling objects; fire; hail; leakage from fire extinguishing equipment; lightning; riot; "sinkhole collapse"; smoke; sonic boom; vandalism; vehicles; "volcanic action"; water damage; weight of ice, snow, or sleet; and windstorm.

    Falling objects does not include loss to:

    a. personal property in the open; or

    b. the interior of buildings or structures or to personal property inside buildings or structures unless the exterior of the roofs or walls are first damaged by a falling object.

    Water damage means the sudden or accidental discharge or leakage of water or steam as a direct result of breaking or cracking of a part of the system or appliance containing the water or steam.

12. "Terms" means all provisions, limitations, exclusions, conditions, and definitions that apply.

13. "Volcanic action" means airborne volcanic blast or airborne shock waves; ash, dust, or particulate matter; or lava flow.

    Volcanic action does not include the cost to remove ash, dust, or particulate matter that does not cause direct physical loss to the covered property.

## PROPERTY COVERED

"We" cover the following property unless the property is excluded or subject to limitations.

1. **Coverage** -- "We" cover direct physical loss caused by a covered peril to materials, supplies, machinery, fixtures, and equipment that "you" are installing, constructing, or rigging as part of "your" installation or construction project.

2. **Coverage Limitations** -- "We" only cover:

    a. materials, supplies, machinery, fixtures, and equipment that will become a permanent part of "your" completed installation or construction project; and

    b. an installation or construction project at "your" "jobsite".

3. **Materials, Supplies, Machinery, Fixtures, And Equipment Means** -- Materials, supplies, machinery, fixtures, and equipment means:

    a. "your" materials, supplies, machinery, fixtures, and equipment; and

    b. similar property of others that is in "your" care, custody, or control.

## PROPERTY NOT COVERED

1. **Airborne Property** -- "We" do not cover property while airborne except while in transit on a regularly scheduled airline flight.

2. **Buildings, Structures, And Land** -- "We" do not cover buildings, structures, or land.

    However, "we" do cover property that is part of "your" installation or construction project and is in connection with any building or structure.

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3. **Contraband** -- "We" do not cover contraband or property in the course of illegal transportation or trade.

4. **Machinery, Tools, Equipment** -- "We" do not cover machinery, tools, equipment, or similar property that will not become a permanent part of "your" installation or construction project.

5. **Money And Securities** -- "We" do not cover accounts, bills, currency, food stamps, or other evidences of debt, lottery tickets not held for sale, money, notes, or securities.

6. **Trees, Shrubs, Or Plants** -- "We" do not cover trees, shrubs, plants, or lawns.

7. **Waterborne Property** -- "We" do not cover property while waterborne except while in transit in the custody of a carrier for hire.

## COVERAGE EXTENSIONS

**Provisions That Apply To Coverage Extensions** -- The following Coverage Extensions indicate an applicable "limit". This "limit" may also be shown on the "schedule of coverages".

Unless otherwise indicated, the coverages provided below are part of and not in addition to the applicable "limit" for coverage described under Property Covered.

The "limit" provided under a Coverage Extension cannot be combined or added to the "limit" for any other Coverage Extension or Supplemental Coverage including a Coverage Extension or Supplemental Coverage that is added to this policy by endorsement.

If coinsurance provisions are part of this policy, the following coverage extensions are not subject to and not considered in applying coinsurance conditions.

1. **Debris Removal** --

   a. **Coverage** -- "We" pay the cost to remove the debris of covered property that is caused by a covered peril.

   b. **We Do Not Cover** -- This coverage does not include costs to:

      1) extract "pollutants" from land or water; or
      2) remove, restore, or replace polluted land or water.

   c. **Limit** -- "We" do not pay any more under this coverage than 25% of the amount "we" pay for the direct physical loss. "We" will not pay more for loss to property and debris removal combined than the "limit" for the damaged property.

   d. **Additional Limit** -- "We" pay up to an additional $5,000 for debris removal expense when the debris removal expense exceeds 25% of the amount "we" pay for direct physical loss or when the loss to property and debris removal combined exceeds the "limit" for the damaged property.

   e. **You Must Report Your Expenses** -- "We" do not pay any expenses unless they are reported to "us" in writing within 180 days from the date of direct physical loss to covered property.

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2. **Emergency Removal** --

   a. **Coverage** -- "We" cover any direct physical loss to covered property while it is being moved or being stored to prevent a loss caused by a covered peril.

   b. **Time Limitation** -- This coverage applies for up to ten days after the property is first moved. Also, this coverage does not extend past the date on which this policy expires.

3. **Limited Fungus Coverage** --

   a. **Coverage** -- "We" pay for direct physical loss to covered property caused by or relating to the existence of or any activity of "fungus".

   b. **Coverage Limitation** -- "We" only cover loss caused by "fungus":

      1) when the "fungus" is the result of:

         a) a "specified peril" other than fire or lightning; or
         b) "flood" (if the Flood Coverage is provided under this policy);

         that occurs during the policy period; and

      2) if all reasonable steps were taken to protect the property from additional damage at and after the time of the occurrence.

   c. **Limit** -- The most "we" pay for all losses at all installation or construction projects is $15,000. The Limited Fungus Limit applies regardless of the number of claims made.

      The Limited Fungus Limit applies regardless of the number of locations, buildings or structures, or projects insured under this policy.

      The Limited Fungus Limit is the most that "we" pay for the total of all loss or damage arising out of all occurrences of "specified perils", other than fire or lightning, or "flood" (if applicable) during each separate 12-month period beginning with the inception date of this policy.

   d. **If The Policy Period Is Extended** -- If the policy period is extended for an additional period of less than 12 months, this additional period will be considered part of the preceding period for the purpose of determining the Limited Fungus Limit.

   e. **Recurrence And Continuation Of Fungus** -- Limited Fungus Limit is the most that "we" pay with respect to a specific occurrence of a loss which results in "fungus" even if such "fungus" recurs or continues to exist during this or any future policy period.

   f. **Limit Applies To Other Costs Or Expenses** -- Limited Fungus Limit also applies to any cost or expense to:

      1) clean up, contain, treat, detoxify, or neutralize "fungus" on covered property or remove "fungus" from covered property;
      2) remove and replace those parts of covered property necessary to gain access to "fungus"; and
      3) test for the existence or level of "fungus" following the repair, replacement, restoration, or removal of damaged property if it is reasonable to believe that "fungus" is present.

   g. **Loss Not Caused By Fungus** -- If there is a covered loss or damage to covered property not caused by "fungus", loss payment will not be limited by the "terms" of this coverage extension. However, to the extent that "fungus" causes an increase in the loss, that increase is subject to the "terms" of this coverage extension.

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## SUPPLEMENTAL COVERAGES

**Provisions That Apply To Supplemental Coverages** -- The following Supplemental Coverages indicate an applicable "limit". This "limit" may also be shown on the "schedule of coverages".

Unless otherwise indicated, a "limit" for a Supplemental Coverage provided below is separate from, and not part of, the applicable "limit" for coverage described under Property Covered.

The "limit" available for coverage described under a Supplemental Coverage:

a. is the only "limit" available for the described coverage; and

b. is not the sum of the "limit" indicated for a Supplemental Coverage and the "limit" for coverage described under Property Covered.

The "limit" provided under a Supplemental Coverage cannot be combined or added to the "limit" for any other Supplemental Coverage or Coverage Extension including a Supplemental Coverage or Coverage Extension that is added to this policy by endorsement.

If coinsurance provisions are part of this policy, the following supplemental coverages are not subject to and not considered in applying coinsurance conditions.

1. **Contract Penalty** --

   a. **Coverage** -- "We" pay for the cost of contractual penalties for non-completion that "you" are assessed or are required to pay because "you" are unable to complete work on a covered installation or construction project in accordance with the terms or conditions of the installation or construction contract.

   b. **Coverage Limitation** -- "Your" inability to complete "your" installation or construction project on time must be as a direct result of a loss by a covered peril to a covered installation or construction project.

   c. **Limit** -- The most "we" pay in any one occurrence for all contractual penalties is $5,000.

2. **Earthquake Coverage** -- If coverage is indicated on the "schedule of coverages", "we" cover direct physical loss caused by earthquake and volcanic eruption to covered property.

3. **Flood Coverage** -- If coverage is indicated on the "schedule of coverages", "we" cover direct physical loss caused by "flood" to covered property.

4. **Pollutant Cleanup And Removal** --

   a. **Coverage** -- "We" pay "your" expense to extract "pollutants" from land or water if the discharge, dispersal, seepage, migration, release, or escape of the "pollutants" is caused by a covered peril that occurs during the policy period.

   b. **Time Limitation** -- The expenses to extract "pollutants" are paid only if they are reported to "us" in writing within 180 days from the date the covered peril occurs.

   c. **We Do Not Cover** -- "We" do not pay the cost of testing, evaluating, observing, or recording the existence, level, or effects of "pollutants".

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However, "we" pay the cost of testing which is necessary for the extraction of "pollutants" from land or water.

d. **Limit** -- The most "we" pay for each location is $10,000 for the sum of all such expenses arising out of a covered peril occurring during each separate 12-month period of this policy.

5. **Sewer Backup Coverage** --

a. **Coverage** -- "We" cover direct physical loss to a covered installation or construction project caused by:

1) water that backs up through a sewer or drain; or
2) water below the surface of the ground including water that exerts pressure on or flows, seeps, or leaks through or into a covered building or structure.

b. **Limit** -- The most "we" pay in any one policy year for loss caused by sewer backup and water below the surface regardless of the number of occurrences, is $5,000.

6. **Storage Locations** --

a. **Coverage** -- "We" cover direct physical loss caused by a covered peril to materials, supplies, machinery, fixtures, and equipment that will become a permanent part of "your" installation or construction project while they are at a storage location that is not described on the "schedule of coverages".

b. **Limit** -- The most "we" pay in any one occurrence for loss to property at a storage location is $5,000, unless a higher limit is shown on the declarations.

7. **Testing** --

a. **Coverage** -- "We" cover direct physical loss to covered property caused by a covered peril that results from testing. Testing includes start-up, performance, stress, pressure, or overload testing of materials, supplies, machinery, fixtures, and equipment that will become a permanent part of a covered installation or construction project.

b. **Limit** -- The most "we" pay in any one occurrence for loss resulting from testing is $5,000.

8. **Transit** --

a. **Coverage** -- "We" cover direct physical loss caused by a covered peril to materials, supplies, machinery, fixtures, and equipment that will become a permanent part of "your" installation or construction project while they are in transit.

b. **Limit** -- The most "we" pay in any one occurrence for loss to property in transit is $5,000, unless a higher limit is shown on the declarations.

## PERILS COVERED

"We" cover risks of direct physical loss unless the loss is limited or caused by a peril that is excluded.

## PERILS EXCLUDED

1. "We" do not pay for loss or damage caused directly or indirectly by one or more of the following excluded causes or events. Such loss or damage is excluded regardless of other causes or events that contribute to or aggravate the loss, whether such causes or events act to produce the loss before, at the same time as, or after the excluded causes or events.

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a. **Civil Authority** -- "We" do not pay for loss caused by order of any civil authority, including seizure, confiscation, destruction, or quarantine of property.

"We" do cover loss resulting from acts of destruction by the civil authority to prevent the spread of fire, unless the fire is caused by a peril excluded under this coverage.

b. **Earth Movement Or Volcanic Eruption** -- Except as provided under Supplemental Coverages - Earthquake Coverage, "we" do not pay for loss caused by any "earth movement" (other than "sinkhole collapse") or caused by eruption, explosion, or effusion of a volcano.

"We" do cover direct loss by fire, explosion, or "volcanic action" resulting from either "earth movement" or eruption, explosion, or effusion of a volcano.

This exclusion does not apply to covered property while in transit.

c. **Flood** -- Except as provided under Supplemental Coverages - Flood Coverage, "we" do not pay for loss caused by "flood".

"We" do cover direct loss by fire, explosion, or sprinkler leakage resulting from "flood".

This exclusion does not apply to covered property while in transit.

d. **Fungus** -- Except as provided under Coverage Extensions - Limited Fungus Coverage, "we" do not pay for loss, cost, or expense caused by or relating to the existence of or any activity of "fungus".

But if "fungus" results in a "specified peril", we cover loss or damage caused by that "specified peril".

This exclusion does not apply to:

1) loss that results from fire or lightning; or
2) collapse caused by hidden decay.

e. **Nuclear Hazard** -- "We" do not pay for loss caused by or resulting from a nuclear reaction, nuclear radiation, or radioactive contamination (whether controlled or uncontrolled; whether caused by natural, accidental, or artificial means). Loss caused by nuclear hazard is not considered loss caused by fire, explosion, or smoke. Direct loss by fire resulting from the nuclear hazard is covered.

f. **Ordinance Or Law** -- "We" do not pay for loss or increased cost caused by enforcement of any code, ordinance, or law regulating the use, construction, or repair of any building or structure; or requiring the demolition of any building or structure including the cost of removing its debris.

"We" do not pay for loss regardless if the loss is caused by or results from the:

1) enforcement of any code, ordinance, or law even if a building or structure has not been damaged; or
2) increased costs that "you" incur because of "your" compliance with a code, ordinance, or law during the construction, repair, rehabilitation, remodeling, or razing of a building or structure, including the removal of debris, following a direct physical loss to the property.

g. **Penalties** -- Except as provided under Supplemental Coverages - Contract Penalty, "we" do not pay for loss caused by penalties for non-completion or non-compliance with any contract terms or conditions.

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h. **Sewer Backup And Water Below The Surface** -- Except as provided under Supplemental Coverages - Sewer Backup Coverage, "we" do not pay for loss caused by:

1) water that backs up through a sewer or drain; or
2) water below the surface of the ground, including but not limited to water that exerts pressure on or flows, seeps, or leaks through or into a covered building or structure.

"We" do cover direct loss by fire, explosion, or theft resulting from either water that backs up through a sewer or drain or water below the surface of the ground.

This exclusion does not apply to covered property while in transit.

i. **War And Military Action** -- "We" do not pay for loss caused by:

1) war, including undeclared war or civil war; or
2) a warlike action by a military force, including action taken to prevent or defend against an actual or expected attack, by any government, sovereign, or other authority using military personnel or other agents; or
3) insurrection, rebellion, revolution, or unlawful seizure of power including action taken by governmental authority to prevent or defend against any of these.

With regard to any action that comes within the "terms" of this exclusion and involves nuclear reaction, nuclear radiation, or radioactive contamination, this War and Military Action Exclusion will apply in place of the Nuclear Hazard Exclusion.

2. "We" do not pay for loss or damage that is caused by or results from one or more of the following:

a. **Contamination Or Deterioration** -- "We" do not pay for loss caused by contamination or deterioration including corrosion, decay, rust, or any quality, fault, or weakness in covered property that causes it to damage or destroy itself.

But if contamination or deterioration results in a covered peril, "we" do cover the loss or damage caused by that covered peril.

b. **Criminal, Fraudulent, Dishonest Or Illegal Acts** -- "We" do not pay for loss caused by or resulting from criminal, fraudulent, dishonest, or illegal acts committed alone or in collusion with another by:

1) "you";
2) others who have an interest in the property;
3) others to whom "you" entrust the property;
4) "your" partners, officers, directors, trustees, joint venturers, or "your" members or managers if "you" are a limited liability company; or
5) the employees or agents of 1), 2), 3), or 4) above, whether or not they are at work.

This exclusion does not apply to acts of destruction by "your" employees, but "we" do not pay for theft by employees.

This exclusion does not apply to covered property in the custody of a carrier for hire.

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c. **Defects, Errors, And Omissions** -- "We" do not pay for loss caused by:

1) an act, defect, error, or omission (negligent or not) relating to:

a) design or specifications;
b) workmanship or construction; or
c) repair, renovation, or remodeling; or

2) a defect, weakness, inadequacy, fault, or unsoundness in materials.

But if a defect, error, or omission as described above results in a covered peril, "we" do cover the loss or damage caused by that covered peril.

d. **Electrical Currents** -- "We" do not pay for loss caused by arcing or by electrical currents other than lightning.

But if arcing or electrical currents other than lightning result in a covered peril, "we" do cover the loss or damage caused by that covered peril.

However, this exclusion does not apply to loss resulting from testing as specifically provided under Supplemental Coverages - Testing.

e. **Explosion, Rupture, Or Bursting** -- "We" do not pay for loss caused by explosion, rupture, or bursting of steam boilers, steam or gas turbines, steam pipes, or steam engines.

This exclusion applies only to loss or damage to the steam boilers, steam or gas turbines, steam pipes, or steam engines in which the loss occurred.

f. **Loss Of Use** -- "We" do not pay for loss caused by or resulting from loss of use, delay, or loss of market.

g. **Mechanical Breakdown** -- "We" do not pay for loss caused by mechanical breakdown or rupturing or bursting of moving parts of machinery caused by centrifugal force.

But if a mechanical breakdown or rupturing or bursting of moving parts of machinery caused by centrifugal force results in a covered peril, "we" do cover the loss or damage caused by that covered peril.

However, this exclusion does not apply to loss resulting from testing as specifically provided under Supplemental Coverages - Testing.

h. **Missing Property** -- "We" do not pay for missing property where the only proof of loss is unexplained or mysterious disappearance of covered property, or shortage of property discovered on taking inventory, or any other instance where there is no physical evidence to show what happened to the covered property.

This exclusion does not apply to covered property in the custody of a carrier for hire.

i. **Pollutants** -- "We" do not pay for loss caused by or resulting from release, discharge, seepage, migration, dispersal, or escape of "pollutants":

1) unless the release, discharge, seepage, migration, dispersal, or escape is caused by a "specified peril"; or
2) except as specifically provided under the Supplemental Coverages - Pollutant Cleanup and Removal.

"We" do cover any resulting loss caused by a "specified peril".

j. **Temperature/Humidity** -- "We" do not pay for loss caused by dryness, dampness, humidity, or changes in or extremes of temperature.

But if dryness, dampness, humidity, or changes in or extremes of temperature results in a covered peril, "we" do cover the loss or damage caused by that covered peril.

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k. **Voluntary Parting** -- "We" do not pay for loss caused by or resulting from voluntary parting with title to or possession of any property because of any fraudulent scheme, trick, or false pretense.

l. **Wear And Tear** -- "We" do not pay for loss caused by wear and tear, marring, or scratching.

But if wear and tear, marring, or scratching results in a covered peril, "we" do cover the loss or damage caused by that covered peril.

m. **Weight of Load** -- "We" do not pay for loss caused by the weight of a load which, under the operating conditions at the time of a loss, exceeds the registered lifting capacity of any equipment or machine.

## WHAT MUST BE DONE IN CASE OF LOSS

1. **Notice** -- In case of a loss, "you" must:

   a. give "us" or "our" agent prompt notice including a description of the property involved ("we" may request written notice); and

   b. give notice to the police when the act that causes the loss is a crime.

2. **You Must Protect Property** -- "You" must take all reasonable steps to protect covered property at and after an insured loss to avoid further loss.

   a. **Payment Of Reasonable Costs** -- "We" do pay the reasonable costs incurred by "you" for necessary repairs or emergency measures performed solely to protect covered property from further damage by a peril insured against if a peril insured against has already caused a loss to covered property. "You" must keep an accurate record of such costs. "Our" payment of reasonable costs does not increase the "limit".

   b. **We Do Not Pay** -- "We" do not pay for such repairs or emergency measures performed on property which has not been damaged by a peril insured against.

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3. **Proof Of Loss** -- "You" must send "us", within 60 days after "our" request, a signed, sworn proof of loss. This must include the following information:

   a. the time, place, and circumstances of the loss;

   b. other policies of insurance that may cover the loss;

   c. "your" interest and the interests of all others in the property involved, including all mortgages and liens;

   d. changes in title of the covered property during the policy period; and

   e. estimates, specifications, inventories, and other reasonable information that "we" may require to settle the loss.

4. **Examination** -- "You" must submit to examination under oath in matters connected with the loss as often as "we" reasonably request and give "us" sworn statements of the answers. If more than one person is examined, "we" have the right to examine and receive statements separately and not in the presence of others.

5. **Records** -- "You" must produce records, including tax returns and bank microfilms of all canceled checks relating to value, loss, and expense and permit copies and extracts to be made of them as often as "we" reasonably request.

6. **Damaged Property** -- "You" must exhibit the damaged and undamaged property as often as "we" reasonably request and allow "us" to inspect or take samples of the property.

7. **Volunteer Payments** -- "You" must not, except at "your" own expense, voluntarily make any payments, assume any obligations, pay or offer any rewards, or incur any other expenses except as respects protecting property from further damage.

8. **Abandonment** -- "You" may not abandon the property to "us" without "our" written consent.

9. **Cooperation** -- "You" must cooperate with "us" in performing all acts required by this policy.

## VALUATION

1. **Actual Cost To Repair, Replace, Or Rebuild** --

   a. **The Value Will Be Based On** -- The value of covered property will be based on the lesser of the following amounts:

      1) The actual cost to repair, replace, or rebuild the covered property with materials of like kind and quality. The actual cost may include material, labor, reasonable overhead and profit, and delivery charges.
      2) The amount "you" actually spend to repair, replace, or rebuild the covered property.

   b. **Payment Limitation** -- In no event will "we" pay more than the "limit" indicated on the "schedule of coverages".

2. **Pair Or Set** -- The value of a lost or damaged article that is part of a pair or set is based on a reasonable proportion of the value of the entire pair or set. The loss is not considered a total loss of the pair or set.

3. **Loss To Parts** -- The value of a lost or damaged part of an item that consists of several parts when it is complete is based on the value of only the lost or damaged part or the cost to repair or replace it.

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## HOW MUCH WE PAY

1. **Insurable Interest** -- "We" do not pay for more than "your" insurable interest in any property.

2. **Deductible** -- "We" pay only that part of "your" loss over the deductible amount indicated on the "schedule of coverages" in any one occurrence.

3. **Earthquake Period** -- All earthquakes or volcanic eruptions that occur within a 168-hour period will be considered a single loss. This 168-hour period is not limited by the policy expiration.

4. **Loss Settlement Terms** -- Subject to paragraphs 1., 2., 3., 5., 6., and 7. under How Much We Pay, "we" pay the lesser of:

   a. the amount determined under Valuation;

   b. the cost to repair, replace, or rebuild the property with material of like kind and quality to the extent practicable; or

   c. the "limit" that applies to the covered property.

5. **Coinsurance** --

   a. **When Coinsurance Applies** -- "We" only pay a part of the loss if the "limit" is less than the percentage of the value of the covered property that is indicated on the "schedule of coverages".

   b. **How We Determine Our Part Of The Loss** -- "Our" part of the loss is determined using the following steps:

      1) multiply the percent indicated on the "schedule of coverages" by the value of the covered property at the time of loss;
      2) divide the "limit" for covered property by the result determined in b.1) above;
      3) multiply the total amount of loss, after the application of any deductible, by the result determined in b.2) above.

      The most "we" pay is the amount determined in b.3) above or the "limit", whichever is less. "We" do not pay any remaining part of the loss.

   c. **If There Is More Than One Limit** -- If there is more than one "limit" indicated on the "schedule of coverages" for this coverage part, this procedure applies separately to each "limit".

   d. **If There Is Only One Limit** -- If there is only one "limit" indicated on the "schedule of coverages" for this coverage, this procedure applies to the total of all covered property to which the "limit" applies.

   e. **When Coinsurance Does Not Apply** -- Conditions for coinsurance do not apply unless a coinsurance percentage is indicated on the "schedule of coverages".

6. **Insurance Under More Than One Coverage** -- If more than one coverage of this policy insures the same loss, "we" pay no more than the actual claim, loss, or damage sustained.

7. **Insurance Under More Than One Policy** --

   a. **Proportional Share** -- "You" may have another policy subject to the same "terms" as this policy. If "you" do, "we" will pay "our" share of the covered loss. "Our" share is the proportion that the applicable "limit" under this policy bears to the "limit" of all policies covering on the same basis.

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b. **Excess Amount** -- If there is another policy covering the same loss, other than that described above, "we" pay only for the amount of covered loss in excess of the amount due from that other policy, whether "you" can collect on it or not. But "we" do not pay more than the applicable "limit".

## LOSS PAYMENT

1. **Loss Payment Options** --

   a. **Our Options** -- In the event of loss covered by this coverage form, "we" have the following options:

      1) pay the value of the lost or damaged property;
      2) pay the cost of repairing or replacing the lost or damaged property;
      3) rebuild, repair, or replace the property with other property of equivalent kind and quality, to the extent practicable, within a reasonable time; or
      4) take all or any part of the property at the agreed or appraised value.

   b. **Notice Of Our Intent To Rebuild, Repair, Or Replace** -- "We" must give "you" notice of "our" intent to rebuild, repair, or replace within 30 days after receipt of a duly executed proof of loss.

2. **Your Losses** --

   a. **Adjustment And Payment Of Loss** -- "We" adjust all losses with "you". Payment will be made to "you" unless another loss payee is named in the policy.

   b. **Conditions For Payment Of Loss** -- An insured loss will be payable 30 days after:

      1) a satisfactory proof of loss is received; and
      2) the amount of the loss has been established either by written agreement with "you" or the filing of an appraisal award with "us".

3. **Property Of Others** --

   a. **Adjustment And Payment Of Loss To Property Of Others** -- Losses to property of others may be adjusted with and paid to:

      1) "you" on behalf of the owner; or
      2) the owner.

   b. **We Do Not Have To Pay You If We Pay The Owner** -- If "we" pay the owner, "we" do not have to pay "you". "We" may also choose to defend any suits brought by the owners at "our" expense.

## OTHER CONDITIONS

1. **Appraisal** -- If "you" and "we" do not agree on the amount of the loss or the value of covered property, either party may demand that these amounts be determined by appraisal.

   If either makes a written demand for appraisal, each will select a competent, independent appraiser and notify the other of the appraiser's identity within 20 days of receipt of the written demand. The two appraisers will then select a competent, impartial umpire. If the two appraisers are unable to agree upon an umpire within 15 days, "you" or "we" can ask a judge of a court of record in the state where the property is located to select an umpire.

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The appraisers will then determine and state separately the amount of each loss.

The appraisers will also determine the value of covered property items at the time of the loss, if requested.

If the appraisers submit a written report of any agreement to "us", the amount agreed upon will be the amount of the loss. If the appraisers fail to agree within a reasonable time, they will submit only their differences to the umpire. Written agreement so itemized and signed by any two of these three, sets the amount of the loss.

Each appraiser will be paid by the party selecting that appraiser. Other expenses of the appraisal and the compensation of the umpire will be paid equally by "you" and "us".

2. **Benefit To Others** -- Insurance under this coverage will not directly or indirectly benefit anyone having custody of "your" property.

3. **Conformity With Statute** -- When a condition of this coverage is in conflict with an applicable law, that condition is amended to conform to that law.

4. **Estates** -- This provision applies only if the insured is an individual.

   a. **Your Death** -- On "your" death, "we" cover the following as an insured:

      1) the person who has custody of "your" property until a legal representative is qualified and appointed; or
      2) "your" legal representative.

      This person or organization is an insured only with respect to property covered by this coverage.

   b. **Policy Period Is Not Extended** -- This coverage does not extend past the policy period indicated on the declarations.

5. Liberalization -- If a revision of a form or endorsement which would broaden this coverage without an additional premium is adopted during the policy period, or within six months before this coverage is effective, the broadened coverage will apply.

6. **Misrepresentation, Concealment, Or Fraud** -- This coverage is void as to "you" and any other insured if, before or after a loss:

   a. "you" or any other insured have willfully concealed or misrepresented:

      1) a material fact or circumstance that relates to this insurance or the subject thereof; or
      2) "your" interest herein.

   b. there has been fraud or false swearing by "you" or any other insured with regard to a matter that relates to this insurance or the subject thereof.

7. **Policy Period** -- "We" pay for a covered loss that occurs during the policy period.

8. **Recoveries** -- If "we" pay "you" for the loss and lost or damaged property is recovered, or payment is made by those responsible for the loss, the following provisions apply:

   a. "you" must notify "us" promptly if "you" recover property or receive payment;

   b. "we" must notify "you" promptly if "we" recover property or receive payment;

   c. any recovery expenses incurred by either are reimbursed first;

   d. "you" may keep the recovered property but "you" must refund to "us" the amount of the claim paid or any lesser amount to which "we" agree; and

   e. if the claim paid is less than the agreed loss due to a deductible or other limiting "terms" of this policy, any recovery will be prorated between "you" and "us" based on "our" respective interest in the loss.

9. **Restoration Of Limits** -- Except as indicated under Limited Fungus Coverage, a loss "we" pay under this coverage does not reduce the applicable "limits".

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10. **Subrogation** -- If "we" pay for a loss, "we" may require "you" to assign to "us" "your" right of recovery against others. "You" must do all that is necessary to secure "our" rights. "We" do not pay for a loss if "you" impair this right to recover.

    "You" may waive "your" right to recover from others in writing before a loss occurs.

11. **Suit Against Us** -- No one may bring a legal action against "us" under this coverage unless:

    a. all of the "terms" of this coverage have been complied with; and

    b. the suit has been brought within two years after "you" first have knowledge of the loss.

       If any applicable law makes this limitation invalid, then suit must begin within the shortest period permitted by law.

12. **Territorial Limits** -- "We" cover property while it is in the United States of America, its territories and possessions, Canada, and Puerto Rico.

13. **Carriers For Hire** -- "You" may accept bills of lading or shipping receipts issued by carriers for hire that limit their liability to less than the actual cash value of the covered property.

## ADDITIONAL COVERAGE LIMITATIONS

**When Coverage Ceases** -- Coverage ends when one of the following first occurs:

1. this policy expires or is canceled;

2. the covered installation or construction project is accepted by the purchaser;

3. "your" insurable interest in the covered property ceases;

4. "you" abandon the installation or construction project with no intent to complete it;

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5. the installation or construction project has been completed for more than 30 days; or

6. the covered property has been put to its intended use. However, this does not apply to roofs or walls.

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# MISCELLANEOUS BAILEE PROCESSOR FLOATER

## AGREEMENT

In return for "your" payment of the required premium, "we" provide the coverage described herein subject to all the "terms" of the Miscellaneous Bailee - Processor Floater Coverage. This coverage is also subject to the "schedule of coverages" and additional policy conditions relating to assignment or transfer of rights or duties, cancellation, changes or modifications, inspections, and examination of books and records.

Endorsements and schedules may also apply. They are identified on the "schedule of coverages".

Refer to Definitions for words and phrases that have special meaning. These words and phrases are shown in quotation marks or bold type.

## DEFINITIONS

1. The words "you" and "your" mean the persons or organizations named as the insured on the declarations.

2. The words "we", "us", and "our" mean the company providing this coverage.

3. "Earth movement" means any movement or vibration of the earth's surface (other than "sinkhole collapse") including but not limited to earthquake; landslide; mudflow; mudslide; mine subsidence; or sinking, rising, or shifting of earth.

4. "Flood" means flood, surface water, waves, tidal water, or the overflow of a body of water, all whether driven by wind or not. This includes spray that results from these whether driven by wind or not.

5. "Limit" means the amount of coverage that applies.

6. "Pollutant" means:

   a. any solid, liquid, gaseous, thermal, or radioactive irritant or contaminant, including acids, alkalis, chemicals, fumes, smoke, soot, vapor, and waste. Waste includes materials to be recycled, reclaimed, or reconditioned, as well as disposed of; and

   b. electrical or magnetic emissions, whether visible or invisible, and sound emissions.

7. "Schedule of coverages" means:

   a. all pages labeled schedule of coverages or schedules that pertain to this coverage; and

   b. declarations or supplemental declarations that pertain to this coverage.

8. "Sinkhole collapse" means the sudden settlement or collapse of earth supporting the covered property into subterranean voids created by the action of water on a limestone or similar rock formation. It does not include the value of the land or the cost of filling sinkholes.

9. "Specified perils" means aircraft; civil commotion; explosion; falling objects; fire; hail; leakage from fire extinguishing equipment; lightning; riot; "sinkhole collapse"; smoke; sonic boom; vandalism; vehicles; "volcanic action"; water damage; weight of ice, snow, or sleet; and windstorm.

   Falling objects does not include loss to:

   a. personal property in the open; or

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b. the interior of buildings or structures or to personal property inside buildings or structures unless the exterior of the roofs or walls are first damaged by a falling object.

Water damage means the sudden or accidental discharge or leakage of water or steam as a direct result of breaking or cracking of a part of the system or appliance containing the water or steam.

10. "Terms" means all provisions, limitations, exclusions, conditions, and definitions that apply.

11. "Volcanic action" means airborne volcanic blast or airborne shock waves; ash, dust, or particulate matter; or lava flow.

    Volcanic action does not include the cost to remove ash, dust, or particulate matter that does not cause direct physical loss to the covered property.

## PROPERTY COVERED

"We" cover the following property unless the property is excluded or subject to limitations.

1. **Coverage** -- "We" cover direct physical loss caused by a covered peril to property of others that is in "your" care, custody, and control for processing.

   Processing, includes but is not limited to finishing, repairing, restoring, adjusting, or other similar work upon the property.

2. **Coverage Limitation** -- "We" only cover property of others for processing:

   a. that is described on the "schedule of coverages"; and

   b. while at a premises described on the "schedule of coverages".

## PROPERTY NOT COVERED

1. **Aircraft Or Watercraft** -- "We" do not cover aircraft or watercraft.

2. **Contraband** -- "We" do not cover contraband or property in the course of illegal transportation or trade.

3. **Furs** -- "We" do not cover furs or fur trimmed garments.

4. **Jewelry, Stones, And Metals** -- "We" do not cover jewelry, precious or semi-precious stones, gold, silver, platinum, or other precious metals or alloys.

5. **Money And Securities** -- "We" do not cover accounts, bills, currency, food stamps, or other evidences of debt, lottery tickets not held for sale, money, notes, or securities.

6. **No Charge For Service** -- "We" do not cover property of others that "you" accept without charging for "your" service as a processor.

7. **Vehicles** -- "We" do not cover automobiles or any self-propelled vehicles that are designed for highway use.

8. **Waterborne Property** -- "We" do not cover property while waterborne except while in transit in the custody of a carrier for hire.

## COVERAGE EXTENSIONS

**Provisions That Apply To Coverage Extensions** -- The following Coverage Extensions indicate an applicable "limit". This "limit" may also be shown on the "schedule of coverages".

If a different "limit" is indicated on the "schedule of coverages", that "limit" will apply instead of the "limit" shown below.

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However, if no "limit" is indicated for the Coverage Extension, coverage is provided up to the full "limit" for the applicable covered property unless a different "limit" is indicated on the "schedule of coverages".

Unless otherwise indicated, the coverage provided below is part of and not in addition to the applicable "limit" for coverage described under Property Covered.

The "limit" provided under a Coverage Extension cannot be combined or added to the "limit" for any other Coverage Extension or Supplemental Coverage including a Coverage Extension or Supplemental Coverage that is added to this policy by endorsement.

If coinsurance provisions are part of this policy, the following coverage extensions are not subject to and not considered in applying coinsurance conditions.

**Debris Removal** --

1. **Coverage** -- "We" pay the cost to remove the debris of covered property that is caused by a covered peril.

2. **We Do Not Cover** -- This coverage does not include costs to:

   a. extract "pollutants" from land or water; or

   b. remove, restore, or replace polluted land or water.

3. **Limit** -- "We" do not pay any more under this coverage than 25% of the amount "we" pay for the direct physical loss. "We" will not pay more for loss to property and debris removal combined than the "limit" for the damaged property.

4. **Additional Limit** -- "We" pay up to an additional $5,000 for debris removal expense when the debris removal expense exceeds 25% of the amount "we" pay for direct physical loss or when the loss to property and debris removal combined exceeds the "limit" for the damaged property.

5. **You Must Report Your Expenses** -- "We" do not pay any expenses unless they are reported to "us" in writing within 180 days from the date of direct physical loss to covered property.

## SUPPLEMENTAL COVERAGES

**Provisions That Apply To Supplemental Coverages** -- The following Supplemental Coverages indicate an applicable "limit". This "limit" may also be shown on the "schedule of coverages".

If a different "limit" is indicated on the "schedule of coverages", that "limit" will apply instead of the "limit" shown below.

However, if no "limit" is indicated for a Supplemental Coverage, coverage is provided up to the full "limit" for the applicable covered property unless a different "limit" is indicated on the "schedule of coverages".

Unless otherwise indicated, a "limit" for a Supplemental Coverage provided below is separate from, and not part of, the applicable "limit" for coverage described under Property Covered.

The "limit" available for coverage described under a Supplemental Coverage:

a. is the only "limit" available for the described coverage; and

b. is not the sum of the "limit" indicated for a Supplemental Coverage and the "limit" for coverage described under Property Covered.

The "limit" provided under a Supplemental Coverage cannot be combined or added to the "limit" for any other Supplemental Coverage or Coverage Extension including a Supplemental Coverage or Coverage Extension that is added to this policy by endorsement.

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If coinsurance provisions are part of this policy, the following supplemental coverages are not subject to and not considered in applying coinsurance conditions.

1. **Off-Site Property** --

   a. **Coverage** -- "We" cover direct physical loss caused by a covered peril to covered property while temporarily off-site at a premises that is not described on the "schedule of coverages".

   b. **Limit** -- The most "we" pay in any one occurrence for loss to off-site property is $5,000.

2. **Pollutant Cleanup And Removal** --

   a. **Coverage** -- "We" pay "your" expense to extract "pollutants" from land or water if the discharge, dispersal, seepage, migration, release, or escape of the "pollutants" is caused by a covered peril that occurs during the policy period.

   b. **Time Limitation** -- The expenses to extract "pollutants" are paid only if they are reported to "us" in writing within 180 days from the date the covered peril occurs.

   c. **We Do Not Cover** -- "We" do not pay the cost of testing, evaluating, observing, or recording the existence, level, or effects of "pollutants".

      However, "we" pay the cost of testing which is necessary for the extraction of "pollutants" from land or water.

   d. **Limit** -- The most "we" pay for each location is $10,000 for the sum of all such expenses arising out of a covered peril occurring during each separate 12- month period of this policy.

3. **Property In Storage** --

   a. **Coverage** -- "We" cover direct physical loss caused by a covered peril to covered property that "you" store after processing.

   b. **Coverage Limitations** -- "We" only cover property of others that "you" store:

      1) if "you" have preformed processing work on the property;
      2) while at a premises described on the "schedule of coverages".

   c. **Limit** -- The most "we" pay in any one occurrence for loss to property of others that "you" store is $5,000.

4. **Transit** --

   a. **Coverage** -- "We" cover direct physical loss caused by a covered peril to covered property while in transit.

   b. **Limit** -- The most "we" pay in any one occurrence for loss to property in transit is $5,000.

## PERILS COVERED

"We" cover risks of direct physical loss unless the loss is limited or caused by a peril that is excluded.

## PERILS EXCLUDED

1. "We" do not pay for loss or damage caused directly or indirectly by one or more of the following excluded causes or events. Such loss or damage is excluded regardless of other causes or events that contribute to or aggravate the loss, whether such causes or events act to produce the loss before, at the same time as, or after the excluded causes or events.

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a. **Civil Authority** -- "We" do not pay for loss caused by order of any civil authority, including seizure, confiscation, destruction, or quarantine of property.

"We" do cover loss resulting from acts of destruction by the civil authority to prevent the spread of fire, unless the fire is caused by a peril excluded under this coverage.

b. **Earth Movement Or Volcanic Eruption** -- "We" do not pay for loss caused by any "earth movement" (other than "sinkhole collapse") or caused by eruption, explosion, or effusion of a volcano.

"We" do cover direct loss by fire, explosion, or "volcanic action" resulting from either "earth movement" or eruption, explosion, or effusion of a volcano.

This exclusion does not apply to covered property while in transit.

c. **Flood** -- "We" do not pay for loss caused by "flood".

"We" do cover direct loss by fire, explosion, or sprinkler leakage resulting from "flood".

This exclusion does not apply to covered property while in transit.

d. **Nuclear Hazard** -- "We" do not pay for loss caused by or resulting from a nuclear reaction, nuclear radiation, or radioactive contamination (whether controlled or uncontrolled; whether caused by natural, accidental, or artificial means). Loss caused by nuclear hazard is not considered loss caused by fire, explosion, or smoke. Direct loss by fire resulting from the nuclear hazard is covered.

e. **Sewer Backup And Water Below The Surface** -- "We" do not pay for loss caused by:

1) water that backs up through a sewer or drain; or
2) water below the surface of the ground, including but not limited to water that exerts pressure on or flows, seeps, or leaks through or into a covered building or structure.

"We" do cover direct loss by fire, explosion, or theft resulting from either water that backs up through a sewer or drain or water below the surface of the ground.

This exclusion does not apply to covered property while in transit.

f. **War And Military Action** -- "We" do not pay for loss caused by:

1) war, including undeclared war or civil war; or
2) a warlike action by a military force, including action taken to prevent or defend against an actual or expected attack, by any government, sovereign, or other authority using military personnel or other agents; or
3) insurrection, rebellion, revolution, or unlawful seizure of power including action taken by governmental authority to prevent or defend against any of these.

With regard to any action that comes within the "terms" of this exclusion and involves nuclear reaction, nuclear radiation, or radioactive contamination, this War and Military Action Exclusion will apply in place of the Nuclear Hazard Exclusion.

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2. "We" do not pay for loss or damage that is caused by or results from one or more of the following:

   a. **Contamination Or Deterioration** -- "We" do not pay for loss caused by contamination or deterioration including corrosion; decay; fungus; mildew; mold; rot; rust; or any quality, fault, or weakness in the covered property that causes it to damage or destroy itself.

   b. **Criminal, Fraudulent, Dishonest, Or Illegal Acts** -- "We" do not pay for loss caused by or resulting from criminal, fraudulent, dishonest, or illegal acts committed alone or in collusion with another by:

      1) "you";
      2) others who have an interest in the property;
      3) others to whom "you" entrust the property;
      4) "your" partners, officers, directors, trustees, joint venturers, or "your" members or managers if "you" are a limited liability company; or
      5) the employees or agents of 1), 2), 3), or 4) above, whether or not they are at work.

      This exclusion does not apply to acts of destruction by "your" employees, but "we" do not pay for theft by employees.

      This exclusion does not apply to covered property in the custody of a carrier for hire.

   c. **Electrical Currents** -- "We" do not pay for loss caused by arcing or by electrical currents other than lightning.

      But if arcing or electrical currents other than lightning result in a "specified peril", "we" do cover the loss or damage caused by that "specified peril".

   d. **Loss Of Use** -- "We" do not pay for loss caused by or resulting from loss of use, delay, or loss of market.

   e. **Mechanical Breakdown** -- "We" do not pay for loss caused by any mechanical, structural, or electrical breakdown or malfunction including a breakdown or malfunction resulting from a structural, mechanical, or reconditioning process.

      But if a mechanical, structural, or electrical breakdown or malfunction results in a "specified peril", "we" do cover the loss or damage caused by that "specified peril".

   f. **Missing Property** -- "We" do not pay for missing property where the only proof of loss is unexplained or mysterious disappearance of covered property, or shortage of property discovered on taking inventory, or any other instance where there is no physical evidence to show what happened to the covered property.

      This exclusion does not apply to covered property in the custody of a carrier for hire.

   g. **Pollutants** -- "We" do not pay for loss caused by or resulting from release, discharge, seepage, migration, dispersal, or escape of "pollutants":

      1) unless the release, discharge, seepage, migration, dispersal, or escape is caused by a "specified peril"; or
      2) except as specifically provided under the Supplemental Coverages - Pollutant Cleanup and Removal.

      "We" do cover any resulting loss caused by a "specified peril".

   h. **Processing Work** -- "We" do not pay for loss to property of others caused by any processing or other work upon the property.

      But if processing or other work upon the property results in a "specified peril", "we" do cover the loss or damage caused by that "specified peril".

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i. **Temperature/Humidity** -- "We" do not pay for loss caused by dryness, dampness, humidity, or changes in or extremes of temperature.

But if dryness, dampness, humidity, or changes in or extremes of temperature results in a "specified peril", "we" do cover the loss or damage caused by that "specified peril".

j. **Theft From An Unattended Vehicle** -- "We" do not pay for theft from an unattended vehicle except when it is securely locked, its windows are fully closed, and there is visible evidence that entry into the vehicle was forced.

This exclusion does not apply to covered property in the custody of a carrier for hire.

k. **Voluntary Parting** -- "We" do not pay for loss caused by or resulting from voluntary parting with title to or possession of any property because of any fraudulent scheme, trick, or false pretense.

l. **Wear And Tear** -- "We" do not pay for loss caused by wear and tear, marring or scratching.

## WHAT MUST BE DONE IN CASE OF LOSS

1. **Notice** -- In case of a loss, "you" must:

   a. give "us" or "our" agent prompt notice including a description of the property involved ("we" may request written notice); and

   b. give notice to the police when the act that causes the loss is a crime.

2. **You Must Protect Property** -- "You" must take all reasonable steps to protect covered property at and after an insured loss to avoid further loss.

   a. **Payment Of Reasonable Costs** -- "We" do pay the reasonable costs incurred by "you" for necessary repairs or emergency measures performed solely to protect covered property from further damage by a peril insured against if a peril insured against has already caused a loss to covered property. "You" must keep an accurate record of such costs. "Our" payment of reasonable costs does not increase the "limit".

   b. **We Do Not Pay** -- "We" do not pay for such repairs or emergency measures performed on property which has not been damaged by a peril insured against.

3. **Proof Of Loss** -- "You" must send "us", within 60 days after "our" request, a signed, sworn proof of loss. This must include the following information:

   a. the time, place, and circumstances of the loss;

   b. other policies of insurance that may cover the loss;

   c. "your" interest and the interests of all others in the property involved, including all mortgages and liens;

   d. changes in title of the covered property during the policy period; and

   e. estimates, specifications, inventories, and other reasonable information that "we" may require to settle the loss.

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4. **Examination** -- "You" must submit to examination under oath in matters connected with the loss as often as "we" reasonably request and give "us" sworn statements of the answers. If more than one person is examined, "we" have the right to examine and receive statements separately and not in the presence of others.

5. **Records** -- "You" must produce records, including tax returns and bank microfilms of all canceled checks relating to value, loss, and expense and permit copies and extracts to be made of them as often as "we" reasonably request.

6. **Damaged Property** -- "You" must exhibit the damaged and undamaged property as often as "we" reasonably request and allow "us" to inspect or take samples of the property.

7. **Volunteer Payments** -- "You" must not, except at "your" own expense, voluntarily make any payments, assume any obligations, pay or offer any rewards, or incur any other expenses except as respects protecting property from further damage.

8. **Abandonment** -- "You" may not abandon the property to "us" without "our" written consent.

9. **Cooperation** -- "You" must cooperate with "us" in performing all acts required by this policy.

## VALUATION

1. **Actual Cash Value** -- The value of covered property is based on the actual cash value at the time of loss (with a deduction for depreciation).

2. **Pair Or Set** -- The value of a lost or damaged article which is part of a pair or set is based on a reasonable proportion of the value of the entire pair or set. The loss is not considered a total loss of the pair or set.

3. **Loss To Parts** -- The value of a lost or damaged part of an item that consists of several parts when it is complete is based on the value of only the lost or damaged part or the cost to repair or replace it.

## HOW MUCH WE PAY

1. **Insurable Interest** -- "We" do not cover more than "your" insurable interest in any property.

2. **Deductible** -- "We" pay only that part of "your" loss over the deductible amount indicated on the "schedule of coverages" in any one occurrence.

3. **Loss Settlement Terms** -- Subject to paragraphs 1., 2., 4., and 5. under How Much We Pay, "we" pay the lesser of:

   a. the amount determined under Valuation, plus charges "you" have earned from "your" processing;

   b. the cost to repair, replace, or rebuild the property with material of like kind and quality to the extent practicable, plus charges "you" have earned from "your" processing; or

   c. the "limit" that applies to the covered property.

4. **Insurance Under More Than One Coverage** -- If more than one coverage of this policy insures the same loss, "we" pay no more than the actual claim, loss, or damage sustained.

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5. **Insurance Under More Than One Policy** --

   a. **Proportional Share** -- "You" may have another policy subject to the same "terms" as this policy. If "you" do, "we" will pay "our" share of the covered loss. "Our" share is the proportion that the applicable "limit" under this policy bears to the "limit" of all policies covering on the same basis.

   b. **Excess Amount** -- If there is another policy covering the same loss, other than that described above, "we" pay only for the amount of covered loss in excess of the amount due from that other policy, whether "you" can collect on it or not. But "we" do not pay more than the applicable "limit".

## LOSS PAYMENT

1. **Loss Payment Options** --

   a. **Our Options** -- In the event of loss covered by this coverage form, "we" have the following options:

      1) pay the value of the lost or damaged property;
      2) pay the cost of repairing or replacing the lost or damaged property;
      3) rebuild, repair, or replace the property with other property of equivalent kind and quality, to the extent practicable, within a reasonable time; or
      4) take all or any part of the property at the agreed or appraised value.

   b. **Notice Of Our Intent To Rebuild, Repair, Or Replace** -- "We" must give "you" notice of "our" intent to rebuild, repair, or replace within 30 days after receipt of a duly executed proof of loss.

2. **Your Losses** --

   a. **Adjustment And Payment Of Loss** -- "We" adjust all losses with "you". Payment will be made to "you" unless another loss payee is named in the policy.

   b. **Conditions For Payment Of Loss** -- An insured loss will be payable 30 days after:

      1) a satisfactory proof of loss is received; and
      2) the amount of the loss has been established either by written agreement with "you" or the filing of an appraisal award with "us".

3. **Property Of Others** --

   a. **Adjustment And Payment Of Loss To Property Of Others** -- Losses to property of others may be adjusted with and paid to:

      1) "you" on behalf of the owner; or
      2) the owner.

   b. **We Do Not Have To Pay You If We Pay The Owner** -- If "we" pay the owner, "we" do not have to pay "you". "We" may also choose to defend any suits brought by the owners at "our" expense.

## OTHER CONDITIONS

1. **Appraisal** -- If "you" and "we" do not agree on the amount of the loss or the value of covered property, either party may demand that these amounts be determined by appraisal.

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If either makes a written demand for appraisal, each will select a competent, independent appraiser and notify the other of the appraiser's identity within 20 days of receipt of the written demand. The two appraisers will then select a competent, impartial umpire. If the two appraisers are unable to agree upon an umpire within 15 days, "you" or "we" can ask a judge of a court of record in the state where the property is located to select an umpire.

The appraisers will then determine and state separately the amount of each loss.

The appraisers will also determine the value of covered property items at the time of the loss, if requested.

If the appraisers submit a written report of any agreement to "us", the amount agreed upon will be the amount of the loss. If the appraisers fail to agree within a reasonable time, they will submit only their differences to the umpire. Written agreement so itemized and signed by any two of these three, sets the amount of the loss.

Each appraiser will be paid by the party selecting that appraiser. Other expenses of the appraisal and the compensation of the umpire will be paid equally by "you" and "us".

2. **Benefit To Others** -- Insurance under this coverage will not directly or indirectly benefit anyone having custody of "your" property.

3. **Conformity With Statute** -- When a condition of this coverage is in conflict with an applicable law, that condition is amended to conform to that law.

4. **Estates** -- This provision applies only if the insured is an individual.

    a. **Your Death** -- On "your" death, "we" cover the following as an insured:

        1) the person who has custody of "your" property until a legal representative is qualified and appointed; or
        2) "your" legal representative.

        This person or organization is an insured only with respect to property covered by this coverage.

    b. **Policy Period Is Not Extended** -- This coverage does not extend past the policy period indicated on the declarations.

5. **Misrepresentation, Concealment, Or Fraud** -- This coverage is void as to "you" and any other insured if, before or after a loss:

    a. "you" or any other insured have willfully concealed or misrepresented:

        1) a material fact or circumstance that relates to this insurance or the subject thereof; or
        2) "your" interest herein; or

    b. there has been fraud or false swearing by "you" or any other insured with regard to a matter that relates to this insurance or the subject thereof.

6. **Policy Period** -- "We" pay for a covered loss that occurs during the policy period.

7. **Recoveries** -- If "we" pay "you" for the loss and lost or damaged property is recovered, or payment is made by those responsible for the loss, the following provisions apply:

    a. "you" must notify "us" promptly if "you" recover property or receive payment;

    b. "we" must notify "you" promptly if "we" recover property or receive payment;

    c. any recovery expenses incurred by either are reimbursed first;

    d. "you" may keep the recovered property but "you" must refund to "us" the amount of the claim paid, or any lesser amount to which "we" agree; and

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e. if the claim paid is less than the agreed loss due to a deductible or other limiting "terms" of this policy, any recovery will be pro rated between "you" and "us" based on "our" respective interest in the loss.

8. **Restoration Of Limits** -- A loss "we" pay under this coverage does not reduce the applicable "limits".

9. **Subrogation** -- If "we" pay for a loss, "we" may require "you" to assign to "us" "your" right of recovery against others. "You" must do all that is necessary to secure "our" rights. "We" do not pay for a loss if "you" impair this right to recover.

   "You" may waive "your" right to recover from others in writing before a loss occurs.

10. **Suit Against Us** -- No one may bring a legal action against "us" under this coverage unless:

    a. all of the "terms" of this coverage have been complied with; and

    b. the suit has been brought within two years after "you" first have knowledge of the loss.

       If any applicable law makes this limitation invalid, then suit must begin within the shortest period permitted by law.

11. **Territorial Limits** -- "We" cover property while it is in the United States of America, its territories and possessions, Canada, and Puerto Rico.

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**THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.**

# AUTOMATIC CONTRACTORS EQUIPMENT INCREASE

The limit of insurance for all contractors equipment to which this coverage applies will be automatically increased by an annual percentage on the next renewal.

The amount of increase will be the “limit” that applies at expiration of the policy multiplied by an annual contractors equipment increase factor.

# COMMON POLICY CONDITIONS

1. **Assignment –** This policy may not be assigned without "our" written consent.

2. **Cancellation –** "You" may cancel this policy by returning the policy to "us" or by giving "us" written notice and stating at what future date coverage is to stop.

   "We" may cancel this policy, or one or more of its parts, by written notice sent to "you" at "your" last mailing address known to "us". If notice of cancellation is mailed, proof of mailing will be sufficient proof of notice.

   If "we" cancel this policy for nonpayment of premium, "we" will give "you" notice at least ten days before the cancellation is effective. If "we" cancel this policy for any other reason, "we" will give "you" notice at least 30 days in advance of cancellation. The notice will state the time that the cancellation is to take effect.

   "Your" return premium, if any, will be calculated according to "our" rules. It will be refunded to "you" with the cancellation notice or within a reasonable time. Payment or tender of the unearned premium is not a condition of cancellation.

3. **Change, Modification, or Waiver of Policy Terms –** A waiver or change of the "terms" of this policy must be issued by "us" in writing to be valid.

4. **Inspections –** "We" have the right, but are not obligated, to inspect "your" property and operations at any time. This inspection may be made by "us" or may be made on "our" behalf. An inspection or its resulting advice or report does not warrant that "your" property or operations are safe, healthful, or in compliance with laws, rules, or regulations. Inspections or reports are for "our" benefit only.

5. **Examination of Books and Records –** "We" may examine and audit "your" books and records that relate to this policy during the policy period and within three years after the policy has expired.


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**This endorsement changes the policy.**
**PLEASE READ THIS CAREFULLY.**

# CERTIFIED TERRORISM LOSS

**1.** The following definitions are added.

**a.** "Certified act of terrorism" means an act that is certified by the Secretary of the Treasury, in consultation with the Secretary of Homeland Security, and the Attorney General of the United States:

**1)** to be an act of terrorism;

**2)** to be a violent act or an act that is dangerous to human life, property, or infrastructure;

**3)** to have resulted in damage:

**a)** within the United States; or

**b)** to an air carrier (as defined in section 40102 of title 49, United States Code); to a United States flag vessel (or a vessel based principally in the United States, on which United States income tax is paid and whose insurance coverage is subject to regulation in the United States), regardless of where the loss occurs; or at the premises of any United States mission;

**4)** to have been committed by an individual or individuals, as part of an effort to coerce the civilian population of the United States or to influence the policy or affect the conduct of the United States Government by coercion; and

**5)** to have resulted in insured losses in excess of five million dollars in the aggregate, attributable to all types of insurance subject to the Terrorism Risk Insurance Act, as amended.

**b.** "Certified terrorism loss" means loss that results from a "certified act of terrorism".

**2.** The "terms" of any terrorism exclusion that is part of or that is attached to this Coverage Part are amended by the following provision:

This exclusion does not apply to "certified terrorism loss".

**3.** The following provision is added:

If the Secretary of the Treasury determines that the aggregate amount of "certified terrorism loss" has exceeded one hundred billion dollars in a calendar year (January 1 through December 31), and "we" have met "our" insurer deductible under the Terrorism Risk Insurance Act, as amended, "we" will not pay for any portion of "certified terrorism loss" that exceeds one hundred billion dollars. If the "certified terrorism loss" exceeds one hundred billion dollars in a calendar year (January 1 through December 31), losses up to one hundred billion dollars are subject to pro rata allocation in accordance with procedures established by the Secretary of the Treasury under the Terrorism Risk Insurance Act, as amended.

**4.** The following provisions are added.

**a.** Neither the "terms" of this endorsement nor the "terms" of any other terrorism endorsement attached to this Coverage Part provide coverage for any loss that would otherwise be excluded by this Coverage Part under:

**1)** exclusions that address war, military action, or nuclear hazard; or

**2)** any other exclusion; and

**b.** the absence of any other terrorism endorsement does not imply coverage for any loss that would otherwise be excluded by this Coverage Part under:

**1)** exclusions that address war, military action, or nuclear hazard; or

**2)** any other exclusion.

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**This endorsement changes the policy.**
**PLEASE READ THIS CAREFULLY.**

# VIRUS OR BACTERIA EXCLUSION

## DEFINITIONS

**Definitions Amended** --

When "fungus" is a defined "term", the definition of "fungus" is amended to delete reference to a bacterium.

When "fungus or related perils" is a defined "term", the definition of "fungus or related perils" is amended to delete reference to a bacterium.

## PERILS EXCLUDED

The additional exclusion set forth below applies to all coverages, coverage extensions, supplemental coverages, optional coverages, and endorsements that are provided by the policy to which this endorsement is attached, including, but not limited to, those that provide coverage for property, earnings, extra expense, or interruption by civil authority.

**1.** The following exclusion is added under Perils Excluded, item 1.:

**Virus or Bacteria –**

"We" do not pay for loss, cost, or expense caused by, resulting from, or relating to any virus, bacterium, or other microorganism that causes disease, illness, or physical distress or that is capable of causing disease, illness, or physical distress.

This exclusion applies to, but is not limited to, any loss, cost, or expense as a result of:

**a.** any contamination by any virus, bacterium, or other microorganism; or

**b.** any denial of access to property because of any virus, bacterium, or other microorganism.

**2. Superseded Exclusions --** The Virus or Bacteria exclusion set forth by this endorsement supersedes the "terms" of any other exclusions referring to "pollutants" or to contamination with respect to any loss, cost, or expense caused by, resulting from, or relating to any virus, bacterium, or other microorganism that causes disease, illness, or physical distress or that is capable of causing disease, illness, or physical distress.

## OTHER CONDITIONS

**Other Terms Remain in Effect --**

The "terms" of this endorsement, whether or not applicable to any loss, cost, or expense, cannot be construed to provide coverage for a loss, cost, or expense that would otherwise be excluded under the policy to which this endorsement is attached.


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This endorsement changes
the Inland Marine Coverage
**-- PLEASE READ THIS CAREFULLY --**

# LOSS PAYABLE OPTIONS

If indicated on the Loss Payable Schedule, the following conditions apply to the property described on the schedule. The following conditions apply in addition to the policy "terms" which are contained in the Inland Marine Coverage(s).

## LOSS PAYABLE

Any loss will be adjusted with "you" and will be payable to "you" and the loss payee described on the schedule as "your" and their interests appear.

## LENDER'S LOSS PAYABLE

Any loss will be payable to "you" and the loss payee described on the schedule as interests appear. If more than one loss payee is named, they will be paid in order of precedence.

The insurance for the loss payee continues in effect even when "your" insurance may be void because of "your" acts, neglect, or failure to comply with the coverage "terms". The insurance for the loss payee does not continue in effect if the loss payee is aware of changes in ownership or substantial increase in risk and does not notify "us".

If "we" cancel this policy, "we" notify the loss payee at least ten days before the effective date of cancellation if "we" cancel for "your" nonpayment of premium, or 30 days before the effective date of cancellation if "we" cancel for any other reason.

"We" may request payment of the premium from the loss payee, if "you" fail to pay the premium.

If "we" pay the loss payee for a loss where "your" insurance may be void, the loss payee's right to collect that portion of the debt from "you" then belongs to "us". This does not affect the loss payee's right to collect the remainder of the debt from "you". As an alternative, "we" may pay the loss payee the remaining principal and accrued interest in return for a full assignment of the loss payee's interest and any instruments given as security for the debt.

If "we" choose not to renew this policy, "we" give written notice to the loss payee at least ten days before the expiration date of this policy.

## CONTRACT OF SALE

Any loss will be adjusted with "you" and will be payable to "you" and the loss payee described on the schedule as "your" and their interests appear.

The loss payee shown on the schedule is a person or organization "you" have entered into a contract with for the sale of covered property.

When covered property is the subject of a contract of sale, the word "you" also means the loss payee.

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# ELECTRONIC DATA PROCESSING
# INCOME COVERAGE PART

Coverage provided under this coverage part is also subject to the "terms" and conditions in the Electronic Data Processing - Equipment Coverage Part under the sections titled Agreement, Definitions, Property Not Covered, What Must Be Done In Case Of Loss, Loss Payment, and Other Conditions.

**ADDITIONAL DEFINITIONS**

**1.** "Business" means the usual business operations occurring at a premises described on the "schedule of coverages".

**2.** "Restoration period" means:

**a.** The time it should reasonably take to resume "your" "business" to a similar level of service starting from the date of a physical loss of or damage to covered property at a premises described on the "schedule of coverages" that is caused by a covered peril and ending on the date:

**1)** the property should be rebuilt, repaired, or replaced; or

**2)** business is resumed at a new permanent location.

This is not limited by the expiration date of the policy.

**b.** The "restoration period" also means the increased time required to comply with the enforcement of any ordinance, law, or decree that:

**1)** regulates the construction, use, or repair of any property; or

**2)** requires the demolition of any property, in part or in whole, not damaged by a covered peril.

The ordinance, law, or decree must be in force at the time of loss.

"Restoration period" does not mean the increased time required to comply with the enforcement of any ordinance, law, or decree that requires "you" or anyone else to test for, monitor, clean up, remove, contain, treat, detoxify, or neutralize or in any way respond to or assess the effects of "pollutants".

**c.** Only as regards coverage described under Off Premises Utility Service Interruption; Interruption of Web Site (if added to this coverage part by endorsement); and Property In Transit in the Supplemental Income Coverages, "restoration period" also means the time it should reasonably take to resume "your" "business" starting from the date of direct physical loss of or damage caused by a covered peril to:

**1)** property not located at a premises described on the "schedule of coverages" and that is owned by a utility, a landlord, or another utility supplier;

**2)** "your" Web Site operation that is being maintained or operated by and that is located at the premises of an independent contractor or Internet service provider; and

**3)** property in transit;

and ending on the date the property should be rebuilt, repaired, or replaced. This is not limited by the expiration date of the policy.

**COVERAGE OPTIONS**

The following described coverage applies:

Earnings and Extra Expense.

**COVERAGES**

"We" provide the following coverage unless the coverage is excluded or subject to limitations.

**1. Coverages --**

**a. Covered Property --** "We" provide the coverages described below during the "restoration period" when "your" "business" is necessarily wholly or partially interrupted by direct physical loss of or damage to covered property at a premises described on the "schedule of coverages" as a result of a covered peril.

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**b. Described Premises --** "We" provide the coverages described below during the "restoration period" when "your" "business" is necessarily wholly or partially interrupted as a result of direct physical loss of or damage to:

**1)** a premises described on the "schedule of coverages" that prevents "you" from using covered property;

**c. If You Lease Your Premises --** If "you" lease, rent, or do not own the premises "you" occupy, for the purposes of determining an Income Coverage loss, "your" location is the space that "you" lease, rent, or occupy including, but not limited to, all passageways to "your" location within the building.

**2. Earnings --** "We" cover "your" actual loss of net income (net profit or loss before income taxes) that would have been earned or incurred and continuing operating expenses normally incurred by "your" "business", including but not limited to payroll expense.

**3. Extra Expense --** "We" cover only the extra expenses that are necessary during the "restoration period" that "you" would not have incurred if there had been no direct physical loss or damage to property caused by or resulting from a covered peril.

**a. Expenses To Reduce Interruption --** "We" cover any extra expense to avoid or reduce the interruption of "your" data processing operations and continue operating at a premises described on the "schedule of coverages", replacement location, or a temporary location. This includes expenses to relocate and costs to outfit and operate a replacement or temporary location.

"We" will also cover any extra expense to reduce the interruption of "business" if it is not possible for "you" to continue operating during the "restoration period".

**b. Expenses To Repair/Restore Property And Information --** To the extent that they reduce a loss otherwise payable under this Coverage Part, "we" will cover any extra expenses to:

**1)** repair, replace, or restore any property; and

**2)** research, replace, or restore information on damaged documents, manuscripts, or records that:

**a)** are inscribed, printed, or written; or

**b)** exist on electronic or magnetic media.

The most "we" pay for Earnings and Extra Expenses that "you" incur is $10,000 plus the "limit" shown in the "schedule of coverages".

**EXCLUSIONS AND LIMITATIONS**

The following exclusions apply in addition to the exclusions and limitations in the Electronic Data Processing - Equipment Coverage Part.

**1. Error or Omission In Programming --** "We" do not pay for extra expense caused by an error or omission in programming or incorrect instructions to "hardware".

**2. Leases, Licenses, Contracts, or Orders --** "We" do not cover any increase in loss due to the suspension, lapse, or cancellation of leases, licenses, contracts, or orders.

However, "we" do cover loss during the "restoration period" if the suspension, lapse, or cancellation results directly from the interruption of "your" "business".

"We" do not cover any extra expense caused by the suspension, lapse, or cancellation of leases, licenses, contracts, or orders beyond the "restoration period".

**3. Strikes, Protests, and Other Interference --** "We" do not cover any increase in loss due to interference by strikers or other persons at a premises described on the "schedule of coverages". This applies to interference with rebuilding, repairing, or replacing the property or with resuming "your" "business".

**4. Utility Failure --** Except as provided under Supplemental Income Coverages, "we" do not pay for loss caused by or resulting from the failure of a utility to supply electrical power or other utility service to a described premises, if the failure takes place away from the described premises.

"We" do not pay for loss caused by or resulting from the failure of a utility to supply service regardless of the cause of failure.

**5. Interruption of Web Site --** "We" do not pay for loss caused by or resulting from the interruption of "your" Web site. "We" do not pay for loss caused by or resulting from the interruption of "your" Web site regardless of the cause of the interruption.

**INCOME COVERAGE EXTENSIONS**

**Provisions That Apply To Income Coverage Extensions** -- The following Income Coverage Extensions indicate an applicable "limit" or limitation.

The following Income Coverage Extensions are part of and not in addition to the applicable Income Coverage "limit".

**1. Interruption by Civil Authority --**

**a. Coverage --** "We" extend "your" coverage for earnings and extra expense to include loss sustained while access to premises described on the "schedule of coverages" is specifically denied by an order of civil authority.

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**b. Coverage Limitation --** The order of civil authority must be a result of direct physical loss of or damage to property, other than at a premises described on the "schedule of coverages" and must be caused by a covered peril.

**c. Time Limitation --** Unless otherwise indicated on the "schedule of coverages", this coverage extension is limited to 30 consecutive days from the date of the order.

**2. Period of Loss Extension After Business Resumes --**

**a. Coverage --** "We" extend "your" coverage for earnings to cover loss from the date the covered property that incurred the loss is rebuilt, repaired, or replaced and "your" data processing operations are resumed until:

**1)** the end of 30 consecutive days; or

**2)** the date "you" could reasonably resume "your" "business" to the conditions that would generate the earnings amount that would have existed had no loss or damage occurred,

whichever is earlier.

**b. Coverage Limitation --** Loss of earnings must be caused by direct physical loss of or damage to property at a premises described on the "schedule of coverages" as a result of a covered peril.

**SUPPLEMENTAL INCOME COVERAGES**

**Provisions That Apply To Supplemental Income Coverages** -- Unless otherwise indicated, the following Supplemental Income Coverages apply separately to each premises described on the "schedule of coverages".

The following Supplemental Income Coverages indicate an applicable "limit". This "limit" may also be shown on the "schedule of coverages".

Unless otherwise indicated, a "limit" for a Supplemental Income Coverage provided below is separate from, and not part of, the applicable Income Coverage "limit". The "limit" available for coverage described under a Supplemental Income Coverage:

**a.** is the only "limit" available for the described coverage; and

**b.** is not the sum of the "limit" indicated for a Supplemental Income Coverage and the Income Coverage "limit".

The "limit" provided under a Supplemental Income Coverage cannot be combined or added to the "limit" for any other Supplemental Income Coverage or Income Coverage Extension.

**1. Acquired Locations --**

**a. Coverage --** "We" extend "your" coverage for earnings and extra expense to include direct physical loss to covered property while at locations that "you" acquire during the policy period.

**b. Time Limitation --** This coverage applies for up to 60 days from the date "you" acquire the location or until "you" report the acquired location to "us", whichever occurs first.

However, this coverage does not go beyond the end of the policy period.

**c. Additional Premium --** "You" must pay any additional premium due from the date "you" acquire the location.

**d. Limit --** The most "we" pay in any one occurrence for loss of earnings and incurred extra expense at each newly acquired location is $50,000.

**2. Earthquake Coverage --** If coverage is indicated on the "schedule of coverages", "we" extend "your" coverage for earnings and extra expense to include direct physical loss to covered property caused by earthquake and volcanic eruption.

**3. Off Premises Utility Service Interruption --**

**a. Coverage --** Coverage for earnings and/or extra expense is extended to loss of earnings or extra expenses that "you" incur during the "restoration period" when "your" data processing operations are interrupted due to the interruption of an off premises utility services when the interruption is a result of direct physical loss or damage by a covered peril to property that is not located at a premises described on the "schedule of coverages" and that is owned by a utility, a landlord, or another supplier who provides "you" with:

**1)** power or gas;

**2)** telecommunications including, but not limited to, Internet access; or

**3)** water.

**b. Overhead Transmission Lines Exclusion --** Unless otherwise indicated on the "schedule of coverages", overhead transmission lines that deliver utility service to "you" are excluded. Overhead transmission lines include, but are not limited to:

**1)** overhead transmission and distribution lines;

**2)** overhead transformers and similar equipment; and

**3)** supporting poles and towers.

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c. **Waiting Period Limitation --** "We" do not pay for "your" loss of earnings under this Supplemental Income Coverage until after the first 24 hours following the direct physical loss of or damage to the property owned by a utility, a landlord, or another supplier. This waiting period does not apply to extra expenses that "you" incur.

d. **Limit --** If coverage is indicated on the "schedule of coverages", "we" extend "your" coverage for earnings and extra expense to include direct physical loss to covered property caused by overhead transmission lines that deliver utility service to "you".

4. **Property In Transit --**

a. **Coverage --** Coverage for earnings is extended to loss of earnings during the "restoration period" when "your" "business" is interrupted as a result of a direct physical loss, caused by a covered peril, to covered property in transit.

b. **Limit --** The most "we" pay in any one occurrence under this Supplemental Income Coverage is $10,000.

5. **Virus and Hacking Coverage --**

a. **Coverage --** Coverage for earnings and/or extra expense is extended to loss of earnings or extra expenses caused by a "computer virus" or by "computer hacking" that results in:

**1)** direct physical loss or damage to covered "software" and "hardware"; or

**2)** denial of access to or services from "your" "hardware" or "your" computer network.

b. **We Do Not Cover --** "We" do not cover loss of earnings or extra expenses under this Supplemental Income Coverage that results from:

**1)** loss of exclusive use of any "data records" or "proprietary programs" that have been copied, scanned, or altered;

**2)** loss of or reduction in economic or market value of any "data records" or "proprietary programs" that have been copied, scanned, or altered; and

**3)** theft from "your" "data records" or "proprietary programs" of confidential information through the observation of the "data records" or "proprietary programs" by accessing covered "hardware" or "your" computer network without any alteration or other physical loss or damage to the records or programs.

Confidential information includes, but is not limited to, customer information, processing methods, or trade secrets.

c. **Waiting Period Limitation --** "We" do not pay for "your" loss of earnings under this Supplemental Income Coverage until after the first 24 hours following the direct physical loss of or damage to "your" data processing operations. This waiting period does not apply to extra expenses that "you" incur.

d. **Limit --** The most "we" pay in any one occurrence under this Supplemental Income Coverage is $25,000.

The most "we" pay for all covered losses under this Supplemental Income Coverage during each 12-month period of this policy is $75,000.

**WHAT MUST BE DONE IN CASE OF LOSS**

Other "terms" relating to What Must Be Done In Case Of Loss also apply. These "terms" are described in the Electronic Data Processing - Equipment Coverage Part.

1. **Notice --** In case of a loss, "you" must:

a. give "us" or "our" agent prompt notice including a description of the property involved ("we" may request written notice); and

b. give notice to the police when the act that causes the loss is a crime.

2. **Intent To Continue Business --** If "you" intend to continue "your" "business", "you" must resume all or part of "your" "business" as soon as possible.

**VALUATION**

1. **Earnings --**

a. **Determining An Earnings Loss --** In determining an earnings loss, "we" consider:

**1)** the experience of "your" "business" before the loss and the probable experience during the time of interruption had no loss occurred;

**2)** "your" continuing operating expenses normally incurred by "your" "business", including, but not limited to, payroll expense necessary to resume "business" to a similar level of service that existed before the occurrence of direct physical loss or damage; and

**3)** pertinent sources of information and reports including:

**a)** "your" accounting procedures and financial records;

**b)** bills, invoices, and other vouchers;

**c)** contracts, deeds, and liens;

**d)** reports on feasibility and status; and

**e)** records documenting "your" budget and marketing objectives and results.

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**b. Conditions For Non-Payment of Increased Loss --** "We" do not pay for any increase in loss due to "your" failure to use reasonable efforts to resume all or part of "your" "business". This includes making use of other locations and property to reduce the loss.

**c. Loss Payment If You Do Not Resume Your Business --** If "your" "business" is not resumed as soon as possible, or if it is not resumed at all, the value of loss payment is based on the period of time it would have otherwise taken to resume "your" "business" as soon as possible.

**2. Extra Expense --** In determining extra expenses that "you" have incurred, "we" consider the salvage value of any property bought for temporary use during the "restoration period" and it will be deducted from the amount of loss determined for extra expense.

**HOW MUCH WE PAY**

Other "terms" relating to How Much We Pay also apply. These "terms" are described in the Electronic Data Processing - Equipment Coverage Part.

**1. Income Coverage Limit --** "We" pay no more than the Income Coverage "limit" indicated on the "schedule of coverages" for any one loss. Payment for earnings and extra expense combined does not exceed the "limit".

**2. Waiting Period --**

**a. Waiting Period Limitation --** "We" do not pay for "your" loss of earnings until after the first 24-hours following the direct physical loss of or damage to covered property caused by a covered peril.

This waiting period does not apply to extra expenses that "you" incur.

**b. Waiting Period Limitation For Civil Authority --** As regards coverage under Interruption by Civil Authority, coverage under this extension begins:

**1)** for earnings, 24 hours after the time the order is issued and ends 30 consecutive days and 24 hours from the date of the order; and

**2)** for extra expense, immediately after the time the order is issued, and ends 30 consecutive days and 24 hours from the date of the order.

**c. Other Waiting Period Limitations --** The waiting period described under Off Premises Utility Service Interruption, Interruption of Web Site (if added to this coverage part by endorsement), and Virus and Hacking Coverage is not deleted nor replaced by the terms of this provision.

**3. Coinsurance --**

**a. When Coinsurance Applies --** "We" pay only a part of the loss if the "limit" is less than the coinsurance percentage multiplied by the sum of:

**1)** "your" net income (net profit or loss before income taxes); and

**2)** continuing operating expenses

projected for the 12 months following the inception of this policy or the last previous anniversary date of this policy (whichever is later), normally earned by "your" "business".

**b. How We Determine Our Part of The Loss --** "Our" part of the loss is determined using the following steps:

**1)** multiply the coinsurance percentage by the sum of "your" net income and continuing operating expenses projected for the 12 months following the inception of this policy or the last previous anniversary date of this policy;

**2)** divide the "limit" by the figure determined in **1)** above; and

**3)** multiply the total amount of loss by the figure determined in **2)** above.

"We" pay the amount determined in 3) above or the "limit", whichever is less. "We" do not pay any remaining part of the loss.

**c. When Coinsurance Does Not Apply --** Conditions for coinsurance do not apply:

**1)** unless a coinsurance percentage is indicated on the "schedule of coverages"; and

**2)** to coverage for extra expense.

**LOSS PAYMENT**

See the Electronic Data Processing - Equipment Coverage Part.

**OTHER CONDITIONS**

The following condition applies as it relates to this Coverage Part, other "terms" also apply. These "terms" are described in the Electronic Data Processing - Equipment Coverage Part.

**Appraisal** -- If "you" and "we" do not agree on the amount of net income (net profit or loss before income taxes), payroll expense, and operating expenses, these amounts may be determined by appraisal in accordance with the provisions described In the Electronic Data Processing - Equipment Coverage Part under Other Conditions, Appraisal.

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# ELECTRONIC DATA PROCESSING EQUIPMENT COVERAGE PART

## SCHEDULED LIMITS

**AGREEMENT**

In return for "your" payment of the required premium, "we" provide the coverage described herein subject to all the "terms" of the Electronic Data Processing - Equipment Coverage Part. This coverage is also subject to the "schedule of coverages" and additional policy conditions relating to assignment or transfer of rights or duties, cancellation, changes or modifications, inspections, and examination of books and records.

Endorsements and schedules may also apply. They are identified on the "schedule of coverages".

Refer to Definitions for words and phrases that have special meaning. These words and phrases are shown in quotation marks or bold type.

**DEFINITIONS**

**1.** The words "you" and "your" mean the persons or organizations named as the insured on the "schedule of coverages".

**2.** The words "we", "us", and "our" mean the company providing this coverage.

**3.** "Computer hacking" means an unauthorized intrusion:

**a.** by an individual or group of individuals, whether employed by "you" or not, into "hardware", "software", Web site, or a computer network; and

**b.** that results in but is not limited to:

**1)** deletion, destruction, generation, or modification of "software";

**2)** alteration, contamination, corruption, degradation, or destruction of the integrity, quality, or performance of "software";

**3)** observation, scanning, or copying of "data records", "programs and applications", and "proprietary programs";

**4)** damage, destruction, inadequacy, malfunction, degradation, or corruption of any "hardware", "Web site server", or "media" used with "hardware" or "Web site server"; or

**5)** denial of access to or denial of services from "your" "hardware", "Web site server", or "your" computer network.

**4.** "Computer virus" means the introduction of any malicious, self-replicating electronic data processing code or other code:

**a.** into "hardware", "software", or "Web site server"; and

**b.** that is intended to result in, but is not limited to:

**1)** deletion, destruction, generation, or modification of "software";

**2)** alteration, contamination, corruption, degradation, or destruction of the integrity, quality, or performance of "software";

**3)** damage, destruction, inadequacy, malfunction, degradation, or corruption of any "hardware", "Web site server", or "media" used with "hardware" or "Web site server"; or

**4)** denial of access to or denial of services from "your" "hardware", "Web site server", or "your" computer network.

**5.** "Data records" means files, documents, and information in an electronic format and that are stored on "media".

**6.** "Electrical disturbance" means electrical or magnetic damage, disturbance of electronic recordings, or erasure of electronic recordings.

**7.** "Flood" means flood, surface water, waves, tidal water, or the overflow of a body of water, all whether driven by wind or not. This includes spray that results from these whether driven by wind or not.

**8.** "Hardware" means a network of electronic machine components (microprocessors) capable of accepting instructions and information, processing the information according to the instructions, and producing desired results.

**a. Hardware Includes --** "Hardware" includes but is not limited to:

**1)** mainframe and mid-range computers and network servers;

**2)** personal computers and workstations;

**3)** laptops, palmtops, notebook PCs, other portable computer devices and accessories including, but not limited to, multimedia projectors; and

**4)** peripheral data processing equipment, including but not limited to, printers, keyboards, monitors, and modems.

**b. Hardware Does Not Include --** "Hardware" does not include:

**1)** "software";

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**2)** "telecommunications equipment";

**3)** "reproduction equipment";

**4)** "off-site server" and "on-site server".

**9.** "Limit" means the amount of coverage that applies.

**10.** "Mechanical breakdown" means the malfunction or failure of moving or electronic parts, component failure, faulty installation, or blowout.

**11.** "Media" means processing, recording, or storage media used with "hardware". This includes but is not limited to films, tapes, cards, discs, drums, cartridges, or cells.

**12.** "Off-site server" means a server for "your" Web site:

**a.** that is not at a premises described on the "schedule of coverages"; and

**b.** that is being maintained and/or operated by an independent contractor acting as "your" Web host or "your" Internet service provider that is acting as "your" Web host.

**13.** "On-site server" means a server for "your" Web site:

**a.** that is at a premises occupied by "you" and that is described on the "schedule of coverages"; and

**b.** that is being maintained and/or operated by "you" or an independent contractor acting as "your" Web site consultant.

**14.** "Pollutant" means:

**a.** any solid, liquid, gaseous, thermal, or radioactive irritant or contaminant, including but not limited to acids, alkalis, chemicals, fumes, smoke, soot, vapor, and waste. Waste includes materials to be recycled, reclaimed, or reconditioned, as well as disposed of; and

**b.** electrical or magnetic emissions, whether visible or invisible, and sound emissions.

**15.** "Power supply disturbance" means interruption of power supply, power surge, blackout, or brownout.

**16.** "Programs and applications" means operating programs and applications that "you" purchase and that are:

**a.** stored on "media"; or

**b.** pre-installed and stored in "hardware".

**17.** "Proprietary programs" means proprietary applications or programs that are developed in-house or that "you" had developed specifically for "you" and that are:

**a.** stored on "media"; or

**b.** installed and stored in "hardware".

**18.** "Reproduction equipment" means a network of equipment and software designed for the scanning, copying, storage, and retrieval of paper documents.

**19.** "Schedule of coverages" means:

**a.** all pages labeled schedule of coverages or schedules which pertain to this coverage; and

**b.** declarations or supplemental declarations which pertain to this coverage.

**20.** "Sinkhole collapse" means the sudden settlement or collapse of earth supporting the covered property into subterranean voids created by the action of water on a limestone or similar rock formation.

Sinkhole collapse does not include the value of the land or the cost of filling sinkholes.

**21.** "Software" means "media", "data records", "programs and applications", and "proprietary programs".

Software does not mean "Web site software".

**22.** "Specified perils" means aircraft; civil commotion; explosion; falling objects; fire; hail; leakage from fire extinguishing equipment; lightning; riot; "sinkhole collapse"; smoke; sonic boom; vandalism; vehicles; "volcanic action"; water damage; weight of ice, snow, or sleet; and windstorm.

Falling objects does not include loss to:

**a.** personal property in the open; or

**b.** to the interior of buildings or structures or to personal property inside buildings or structures unless the exterior of the roofs or walls are first damaged by a falling object.

Water damage means the sudden or accidental discharge or leakage of water or steam as a direct result of breaking or cracking of a part of the system or appliance containing the water or steam.

**23.** "Telecommunications equipment" means telephone components and equipment used for the transmission of communications.

Telecommunications equipment includes but is not limited to:

**a.** telephone switchgear (including PBX systems);

**b.** telephone operating programs and related software;

**c.** facsimile transmission equipment;

**d.** video conferencing equipment; and

**e.** other related telephone hardware (including computers dedicated to voice mail).

**24.** "Terms" means all provisions, limitations, exclusions, conditions, and definitions that apply.

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**25.** "Volcanic action" means airborne volcanic blast or airborne shock waves; ash, dust, or particulate matter; or lava flow.

Volcanic action does not include the cost to remove ash, dust, or particulate matter that does not cause direct physical loss to the covered property.

**26.** "Web site server" means "on-site server" and "off-site server".

**27.** "Web site software" means the following software that are used in "your" "Web site server":

**a.** "media";

**b.** "data records";

**c.** programs and applications which means operating programs and applications that "you" purchase and that are stored on "media" or pre-installed and stored in "Web site servers"; and

**d.** proprietary programs which means proprietary applications or programs that are developed in-house or that "you" had developed specifically for "you" and that are stored on "media" or installed and stored in "Web site servers".

**PROPERTY COVERED**

"We" cover the following property unless the property is excluded or subject to limitations.

**1. Hardware --**

**a. Coverage --** "We" cover direct physical loss caused by a covered peril to "hardware" and similar property of others that is in "your" care, custody, or control.

**b. Coverage Limitations --** "We" only cover "hardware" and similar property of others:

**1)** when a "limit" for "hardware" is indicated on the "schedule of coverages"; and

**2)** while at a premises described on the "schedule of coverages".

**2. Software --**

**a. Media, Programs, and Applications --**

**1) Coverage --** "We" cover direct physical loss caused by a covered peril to "media", "programs and applications", and similar property of others that is in "your" care, custody, or control.

**2) Coverage Limitations --** "We" only cover "media", "programs and applications", and similar property of others:

**a)** when a "limit" for "media" and "programs and applications" is indicated on the "schedule of coverages"; and

**b)** while at a premises described on the "schedule of coverages".

**b. Data Records and Proprietary Programs --**

**1) Coverage --** "We" cover the cost of research or other expenses necessary to reproduce, replace, or restore lost files or codes on lost or damaged "data records", "proprietary programs", and similar property of others that is in "your" care, custody, or control.

**2) Coverage Limitations --** "We" only cover "data records", "proprietary programs", and similar property of others:

**a)** when a "limit" for "data records" and "proprietary programs" is indicated on the "schedule of coverages";

**b)** while at a premises described on the "schedule of coverages"; and

**c)** if the cost of research or other expenses necessary to reproduce, replace, or restore lost files or codes are incurred due to a direct physical loss caused by a covered peril to "data records" and "proprietary programs".

**3. Web Site Server --**

**a. On-Site Server --**

**1) Server Coverage --** "We" cover direct physical loss caused by a covered peril to an "on-site server".

**2) Software Coverage --** "We" also cover direct physical loss caused by a covered peril to the "Web site software" housed on an "on-site server".

**3) Coverage Limitations --** "We" only cover "on-site server" and "Web site software":

**a)** when a "limit" for "on-site server" and "Web site software" is indicated on the "schedule of coverages"; and

**b)** while at a premises described on the "schedule of coverages".

**b. Off-Site Server --**

**1) Server Coverage --** "We" cover direct physical loss caused by a covered peril to an "off-site server" that "you":

**a)** own; or

**b)** lease and are contractually obligated to insure for loss or damage.

**2) Software Coverage --** "We" also cover direct physical loss caused by a covered peril to the "Web site software" housed on an "off-site server".

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3) **Coverage Limitation --** "We" only cover "off-site server" and "Web site software" when a "limit" for "off-site server" and "Web site software" is indicated on the "schedule of coverages".

c. **Software Coverage Condition --** "We" only cover "Web site software" if a duplicate or back-up of the "Web site software" is stored at a building that is at least 100 feet away from the premises where the "on-site server" or "off-site server" is being hosted.

**PROPERTY NOT COVERED**

1. **Accounts, Bills, or Documents --** "We" do not cover accounts, bills, evidences of debt, records, abstracts, deeds, manuscripts, program documentation, or other documents except those that are in "software" form and then only in that form.
2. **Checked Luggage --** "We" do not cover loss resulting from theft or disappearance of a laptop, palmtop, notebook PC, or any portable computer while in transit as checked luggage.
3. **Contraband --** "We" do not cover contraband or property in the course of illegal transportation or trade.
4. **Loaned, Leased, or Rented To Others --** "We" do not cover property that "you" loan, lease, or rent to others.
5. **Money and Securities --** "We" do not cover currency, food stamps, lottery tickets not held for sale, money, notes, or securities.
6. **Stock in Trade --** "We" do not cover "your" stock in trade.
7. **Loss of Internet Service Provider or Web Host --** "We" do not cover loss to "your" "Web site server" or "Web site software" that results from the bankruptcy, liquidation, or otherwise going out of business by "your" Internet service provider or Web host.

**COVERAGE EXTENSIONS**

**Provisions That Apply To Coverage Extensions** -- The following Coverage Extensions indicate an applicable "limit". However, if no "limit" is indicated for a Coverage Extension, coverage is provided up to the full "limit" for the applicable covered property.

Unless otherwise indicated, the coverages provided below are part of and not in addition to the applicable "limit" for coverage described under Property Covered.

The "limit" provided under a Coverage Extension cannot be combined or added to the "limit" for any other Coverage Extension or Supplemental Coverage including a Coverage Extension or Supplemental Coverage that is added to this policy by endorsement.

The following coverage extensions are not subject to and not considered in applying coinsurance conditions.

1. **Debris Removal --**
   a. **Coverage --** "We" pay the cost to remove the debris of covered property that is caused by a covered peril.
   b. **We Do Not Cover --** This coverage does not include costs to:
      1) extract "pollutants" from land or water; or
      2) remove, restore, or replace polluted land or water.
   c. **Limit --** "We" do not pay any more under this coverage than 25% of the amount "we" pay for the direct physical loss. "We" will not pay more for loss to property and debris removal combined than the "limit" for the damaged property.
   d. **Additional Limit --** "We" pay up to an additional $10,000 for debris removal expense when the debris removal expense exceeds 25% of the amount "we" pay for direct physical loss or when the loss to property and debris removal combined exceeds the "limit" for the damaged property.
   e. **You Must Report Your Expenses --** "We" do not pay any expenses unless they are reported to "us" in writing within 180 days from the date of direct physical loss to covered property.
2. **Electrical and Power Supply Disturbance --** "We" cover direct physical loss to covered property caused by:
   a. "electrical disturbance"; or
   b. "power supply disturbance".

3. **Emergency Removal --**
   a. **Coverage --** "We" pay for any direct physical loss to covered property while it is being moved or being stored to prevent a loss caused by a covered peril.
   b. **Time Limitation --** This coverage applies for up to 365 days after the property is first moved. Also, this coverage does not extend past the date on which this policy expires.
4. **Emergency Removal Expenses --**
   a. **Coverage --** "We" pay for "your" expenses to move or store covered property to prevent a loss caused by a covered peril.
   b. **Time Limitation --** This coverage applies for up to 365 days after the property is first moved. Also, this coverage does not extend past the date on which this policy expires.
   c. **Limit --** The most "we" pay in any one occurrence for expenses to move or store covered property to prevent a loss is $2,500.

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**d. This Is A Separate Limit --** The "limit" for Emergency Removal Expenses is separate from, and not part of, the applicable "limit" for coverage described under Property Covered.

**5. Fraud and Deceit --**

**a. Coverage --** "We" cover theft of covered property when "you", "your" agents, customers, or consignees are fraudulently induced to part with the covered property:

**1)** to persons who falsely represent themselves as the proper persons to receive the property; or

**2)** by the acceptance of fraudulent bills of lading or shipping receipts.

**b. Limit --** The most "we" pay in any one occurrence for theft of covered property under this Coverage Extension is $2,500.

**6. Mechanical Breakdown Coverage --** "We" pay for loss to covered property caused by "mechanical breakdown".

**SUPPLEMENTAL COVERAGES**

**Provisions That Apply To Supplemental Coverages** -- The following Supplemental Coverages indicate an applicable "limit". This "limit" may also be increased on the "schedule of coverages".

If no "limit" is indicated for a Supplemental Coverage, coverage is provided up to the full "limit" for the applicable covered property unless a different "limit" is indicated on the "schedule of coverages".

Unless otherwise indicated, a "limit" for a Supplemental Coverage provided below is separate from, and not part of, the applicable "limit" for coverage described under Property Covered.

The "limit" available for coverage described under a Supplemental Coverage:

**a.** is the only "limit" available for the described coverage; and

**b.** is not the sum of the "limit" indicated for a Supplemental Coverage and the "limit" for coverage described under Property Covered.

The "limit" provided under a Supplemental Coverage cannot be combined or added to the "limit" for any other Supplemental Coverage or Coverage Extension including a Supplemental Coverage or Coverage Extension that is added to this policy by endorsement.

The following coverage extensions are not subject to and not considered in applying coinsurance conditions.

**1. Acquired Locations --**

**a. Coverage --** "We" cover direct physical loss caused by a covered peril to covered property at locations that "you" acquire during the policy period.

**b. Limit --** "We" pay up to $500,000 for covered property at locations that "you" acquire.

**c. Time Limitation --** This coverage applies for up to 60 days from the date "you" acquire the location or until "you" report the acquired location to "us", whichever occurs first.

However, this coverage does not go beyond the end of the policy period.

**d. Additional Premium --** "You" must pay any additional premium due from the date "you" acquire the location.

**2. Earthquake Coverage --** If coverage is indicated on the "schedule of coverages", "we" cover direct physical loss caused by earthquake and volcanic eruption to covered property while at a premises described on the "schedule of coverages".

**3. Newly Purchased or Leased Hardware --**

**a. Coverage --** "We" cover direct physical loss caused by a covered peril to additional "hardware" including pre-installed "programs and applications" that "you" purchase or lease during the policy period.

**b. Limit --** The most that "we" pay for any loss under this additional coverage is the least of:

**1)** the actual cash value of the covered property; or

**2)** $500,000.

**c. Time Limitation --** "We" extend coverage to the additional "hardware" that "you" purchase or lease for up to 60 days.

This supplemental coverage will end when any of the following first occur:

**1)** this policy expires;

**2)** 60 days after "you" obtain the additional "hardware"; or

**3)** "you" report the additional "hardware" to "us".

**d. Additional Premium --** "You" must pay any additional premium due from the date "you" purchase or lease the additional "hardware".

**4. Off-Site Computers --**

**a. Coverage --** "We" cover direct physical loss caused by a covered peril to covered property in the custody of "you", "your" officers, "your" partners, or "your" employees, while:

**1)** at "your" residence or the residence of "your" officers, partners, or employees;

**2)** temporarily at a premises that is not described on the "schedule of coverages"; or

**3)** in transit between a:

**a)** residence or temporary premises; and

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**b)** premises described on the "schedule of coverages".

**b. Limit --** The most "we" pay in any one occurrence for loss to off-site covered property is $5,000.

**5. Pollutant Cleanup and Removal --**

**a. Coverage --** "We" pay "your" expense to extract "pollutants" from land or water if the discharge, dispersal, seepage, migration, release, or escape of the "pollutants" is caused by a covered peril that occurs during the policy period.

**b. Time Limitation --** The expenses to extract "pollutants" are paid only if they are reported to "us" in writing within 180 days from the date the covered peril occurs.

**c. We Do Not Cover --** "We" do not pay the cost of testing, evaluating, observing, or recording the existence, level, or effects of "pollutants".

However, "we" pay the cost of testing which is necessary for the extraction of "pollutants" from land or water.

**d. Limit --** The most "we" pay for each location is $10,000 for the sum of all such expenses arising out of a covered peril occurring during each separate 12-month period of this policy.

**6. Property In Transit --**

**a. Coverage --** "We" cover direct physical loss to covered property caused by a covered peril while in transit.

**b. Limit --** The most "we" pay in any one occurrence for loss to covered property in transit is $10,000.

**7. Reproduction Equipment --**

**a. Coverage --** "We" cover direct physical loss caused by a covered peril to "reproduction equipment" while at a premises described on the "schedule of coverages".

**b. Limit --** The most "we" pay in any one occurrence for loss to "reproduction equipment" is $10,000 plus the "limit" shown in the "schedule of coverages".

**8. Rewards --**

**a. Coverage --** "We" pay for reward information that leads to a conviction for:

**1)** arson,

**2)** theft, or

**3)** vandalism including, but not limited to, "computer hacking" and "computer virus".

The conviction must involve a covered loss caused by arson, theft, or vandalism.

**b. Limit --** The most "we" pay in any one occurrence for reward information is $2,500.

**c. Limit Is Not Increased By The Number of Persons Providing Information --** The amount "we" pay is not increased by the number of persons involved in providing the information.

**9. Software Storage --**

**a. Coverage --** "We" cover direct physical loss caused by a covered peril to duplicate and back-up "software" stored at a "software" storage location.

**b. Coverage Condition --** Each "software" storage location must be in a separate building which is at least 100 feet away from a premises described on the "schedule of coverages".

**c. Limit --** The most "we" pay in any one occurrence for loss to duplicate and back-up "software" is $50,000.

**10. Telecommunications Equipment --**

**a. Coverage --** "We" cover direct physical loss caused by a covered peril to "telecommunications equipment" while at a premises described on the "schedule of coverages".

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**b. Limit --** The most "we" pay in any one occurrence for loss to "telecommunications equipment" is $10,000 plus the "limit" shown in the "schedule of coverages".

**11. Virus and Hacking Coverage --**

**a. Coverage --** "We" cover direct physical loss to covered "hardware", "software", "Web site server", and "Web site software" caused by a "computer virus" or by "computer hacking".

**b. We Do Not Cover --** "We" do not cover:

**1)** loss of exclusive use of any "data records" or "proprietary programs" that have been copied, scanned, or altered;

**2)** loss of or reduction in economic or market value of any "data records" or "proprietary programs" that have been copied, scanned, or altered;

**3)** theft from "your" "data records" or "proprietary programs" of confidential information through the observation of the "data records" or "proprietary programs" by accessing covered "hardware", or "your" computer network without any alteration or other physical loss or damage to the records or programs. Confidential information includes, but is not limited to, customer information, processing methods, or trade secrets; and

**4)** except as provided under the Supplemental Income Coverages section of the Electronic Data Processing - Income Coverage Part (if attached to this policy), denial of access to or services from "your" "hardware", "your" computer network, or "your" Web site.

**c. Limits --** The most "we" pay in any one occurrence under this Supplemental Coverage is $25,000.

The most "we" pay for all covered losses under this Supplemental Coverage during each separate 12-month period of this policy is $75,000.

**PERILS COVERED**

"We" cover risks of direct physical loss unless the loss is limited or caused by a peril that is excluded.

**PERILS EXCLUDED**

**1.** "We" do not pay for loss or damage caused directly or indirectly by one or more of the following excluded causes or events. Such loss or damage is excluded regardless of other causes or events that contribute to or aggravate the loss, whether such causes or events act to produce the loss before, at the same time as, or after the excluded causes or events.

**a. Civil Authority --** "We" do not pay for loss caused by order of any civil authority, including seizure, confiscation, destruction, or quarantine of property.

"We" do pay for loss resulting from acts of destruction by the civil authority to prevent the spread of fire, unless the fire is caused by a peril excluded under this coverage.

**b. Earth Movement --** Except as provided under Supplemental Coverages - Earthquake Coverage, "we" do not pay for loss caused by any earth movement (other than "sinkhole collapse") or caused by eruption, explosion, or effusion of a volcano. Earth movement includes, but is not limited to: earthquake; landslide; mudflow; mudslide; mine subsidence; or sinking, rising, or shifting of earth.

"We" do cover direct loss by fire, explosion, or "volcanic action" resulting from either earth movement or eruption, explosion, or effusion of a volcano.

**c. Flood --** "We" do not pay for loss caused by "flood". However, "we" do cover the resulting loss if fire, explosion, or sprinkler leakage results.

**d. Nuclear Hazard --** "We" do not pay for loss caused by or resulting from a nuclear reaction, nuclear radiation, or radioactive contamination (whether controlled or uncontrolled; whether caused by natural, accidental, or artificial means). Loss caused by nuclear hazard is not considered loss caused by fire, explosion, or smoke. Direct loss by fire resulting from the nuclear hazard is covered.

**e. Sewer Backup and Water Below the Surface --** "We" do not pay for loss caused by or resulting from:

**1)** water that backs up through a sewer or drain; or

**2)** water below the surface of the ground, including but not limited to water that exerts pressure on or flows, seeps, or leaks through or into a building or structure.

But if sewer backup and water below the surface results in fire, explosion, or sprinkler leakage, "we" cover the loss or damage caused by that fire, explosion, or sprinkler leakage.

**f. War and Military Action --** "We" do not pay for loss caused by:

**1)** war, including undeclared war or civil war; or

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**2)** a warlike action by a military force, including action taken to prevent or defend against an actual or expected attack, by any government, sovereign, or other authority using military personnel or other agents; or

**3)** insurrection, rebellion, revolution, or unlawful seizure of power including action taken by governmental authority to prevent or defend against any of these.

With regard to any action that comes within the "terms" of this exclusion and involves nuclear reaction, nuclear radiation, or radioactive contamination, this War and Military Action Exclusion will apply in place of the Nuclear Hazard Exclusion.

**2.** "We" do not pay for loss or damage that is caused by or results from one or more of the following:

**a. Computer Virus or Computer Hacking --** Except as provided under Supplemental Coverages - Virus and Hacking Coverage, "we" do not pay for:

**1)** any direct or indirect loss or damage; or

**2)** loss of access, loss of use, or loss of functionality

caused by a "computer virus" or by "computer hacking".

**b. Criminal, Fraudulent, or Dishonest Acts --** "We" do not pay for loss caused by or resulting from criminal, fraudulent, dishonest, or illegal acts alone or in collusion with another by:

**1)** "you";

**2)** others who have an interest in the property;

**3)** others to whom "you" entrust the property;

**4)** "your" partners, officers, directors, trustees, or joint adventurers; or

**5)** the employees or agents of **1), 2), 3),** or **4)** above, whether or not they are at work.

This exclusion does not apply to acts of destruction by "your" employees, but "we" do not pay for theft by employees.

This exclusion does not apply to covered property in the custody of a carrier for hire.

**c. Loss of Use --** "We" do not pay for loss caused by or resulting from loss of use, business interruption, delay, or loss of market.

**d. Pollutants --** "We" do not pay for loss caused by or resulting from release, discharge, seepage, migration, dispersal, or escape of "pollutants" unless the release, discharge, seepage, migration, dispersal, or escape is caused by a "specified peril".

"We" do pay for any resulting loss caused by a "specified peril".

**e. Temperature/Humidity --** "We" do not pay for loss to covered property caused by:

**1)** dryness, dampness, humidity; or

**2)** changes in or extremes of temperature.

However, "we" do pay for loss to covered property that results from a direct physical loss, caused by a covered peril, to the air conditioning system that services covered "hardware".

**f. Voluntary Parting --** Except as provided under Coverage Extensions - Fraud and Deceit, "we" do not pay for loss caused by or resulting from voluntary parting with title to or possession of any property because of any fraudulent scheme, trick, or false pretense.

**3.** "We" do not pay for loss or damage if one or more of the following exclusions apply to the loss. But if loss by a covered peril results, "we" will pay for the resulting loss.

**a. Contamination, Deterioration, Rust, or Corrosion --** "We" do not pay for loss caused by contamination or deterioration including corrosion, decay, fungus, mildew, mold, rot, rust, or any quality, fault, or weakness in covered property that causes it to damage or destroy itself.

This exclusion does not apply to loss caused by "mechanical breakdown".

**b. Wear and Tear or Obsolescence --** "We" do not pay for loss caused by wear and tear, depreciation, or obsolescence.

**WHAT MUST BE DONE IN CASE OF LOSS**

**1. Notice --** In case of a loss, "you" must:

**a.** give "us" or "our" agent prompt notice, including a description of the property involved ("we" may request written notice); and

**b.** give notice to the police when the act that causes the loss is a crime.

**2. You Must Protect Property --** "You" must take all reasonable steps to protect covered property at and after an insured loss to avoid further loss.

**a. Payment of Reasonable Costs --** "We" do pay the reasonable costs incurred by "you" for necessary repairs or emergency measures performed solely to protect covered property from further damage by a peril insured against if a peril insured against has already caused a loss to covered property. "You" must keep an accurate record of such costs.

**b. We Do Not Pay --** "We" do not pay for such repairs or emergency measures performed on property which has not been damaged by a peril insured against. This does not increase "our" "limit".

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3. **Proof of Loss --** "You" must send "us", within 60 days after "our" request, a signed, sworn proof of loss. This must include the following information:
   a. the time, place, and circumstances of the loss;
   b. other policies of insurance that may cover the loss;
   c. "your" interest and the interests of all others in the property involved, including all mortgages and liens;
   d. changes in title of the covered property during the policy period; and
   e. estimates, specifications, inventories, and other reasonable information that "we" may require to settle the loss.
4. **Examination --** "You" must submit to examination under oath in matters connected with the loss as often as "we" reasonably request and give "us" sworn statements of the answers. If more than one person is examined, "we" have the right to examine and receive statements separately and not in the presence of others.
5. **Records --** "You" must produce records, including tax returns and bank microfilms of all canceled checks relating to value, loss, and expense and permit copies and extracts to be made of them as often as "we" reasonably request.
6. **Damaged Property --** "You" must exhibit the damaged and undamaged property as often as "we" reasonably request and allow "us" to inspect or take samples of the property.
7. **Volunteer Payments --** "You" must not, except at "your" own expense, voluntarily make any payments, assume any obligations, pay or offer any rewards, or incur any other expenses except as respects protecting property from further damage.
8. **Abandonment --** "You" may not abandon the property to "us" without "our" written consent.
9. **Cooperation --** "You" must cooperate with "us" in performing all acts required by this policy.

**VALUATION**

1. **Hardware and Web Site Servers --** The following is the value of "hardware" and "Web site servers":
   a. **Hardware and Servers That Are Replaced --** The value of "hardware" and "Web site servers" that are replaced will be based on the cost of replacing the "hardware" and "Web site servers" with new equipment that is functionally comparable to the "hardware" and "Web site servers" that are being replaced.
   b. **Hardware and Servers That Are Not Replaced --** The value of "hardware" and "Web site servers" that are not repaired or replaced will be based on the actual cash value at the time of loss (with a deduction for depreciation).
   c. **Partial Loss --** In no event will "we" pay more than the reasonable cost of restoring partially damaged "hardware" and "Web site servers" to their condition directly prior to the damage.
2. **Software --** The following is the value of "software" and, for the purposes of determining valuation only, includes "Web site software":
   a. **Programs and Applications --**
      1) **Cost To Reinstall --** The value of "programs and applications" will be based on the cost to reinstall the "programs or applications" from the licensed discs that were originally used to install the programs or applications.
      2) **If The Original Discs Are Lost --** If the original licensed discs are lost, damaged, or can no longer be obtained, the value of "programs and applications" will be based on the cost of the most current version of the "programs or applications".
   b. **Proprietary Programs --**
      1) **Cost of Reproduction --** The value of "proprietary programs" will be based on the cost of reproduction from duplicate copies. The cost of reproduction includes, but is not limited to, the cost of labor to copy or transcribe from duplicate copies.
      2) **If Duplicate Copies Do Not Exist --** If duplicate copies do not exist, the value of "proprietary programs" will be based on the cost of research or other expenses necessary to reproduce, replace, or restore lost "proprietary programs".

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c. **Data Records --**

1) Cost of Reproduction -- The value of "data records" will be based on the cost of reproduction from duplicate copies. The cost of reproduction includes, but is not limited to, the cost of labor to copy or transcribe from duplicate copies.

2) If Duplicate Copies Do Not Exist -- If duplicate copies do not exist, the value of "data records" will be based on the cost of research or other expenses necessary to reproduce, replace, or restore lost files, documents, and records.

d. **Media --** The value of "media" will be based on the cost to repair or replace the "media" with material of the same kind or quality.

3. **Other Equipment --**

a. **Replacement Cost --** The value of "telecommunications equipment" and "reproduction equipment" will be based on the replacement cost without any deduction for depreciation.

b. **Replacement Cost Limitation --** The replacement cost is limited to the cost of repair or replacement with similar materials on the same site and used for the same purpose. The payment will not exceed the amount "you" spend to repair or replace the damaged or destroyed property.

c. **Replacement Cost Does Not Apply Until Repair or Replacement --** Replacement cost valuation does not apply until the damaged or destroyed property is repaired or replaced.

d. **Time Limitation --** "You" may make a claim for actual cash value before repair or replacement takes place, and later for the replacement cost if "you" notify "us" of "your" intent within 180 days after the loss.

4. **Pair or Set --**

a. **Reasonable Proportion of Value --** The value of a lost or damaged article which is part of a pair or set is based on a reasonable proportion of the value of the entire pair or set. The loss is not considered a total loss of the pair or set.

b. **Provision Does Not Apply To Software --** The Pair or Set provision does not apply to "software" that comes in sets. If part of a "software" set cannot be replaced, the loss is considered a total loss of the set.

5. **Loss To Parts --** The value of a lost or damaged part of an item that consists of several parts when it is complete is based on the value of only the lost or damaged part or the cost to repair or replace it.

**HOW MUCH WE PAY**

1. **Insurable Interest --** "We" do not cover more than "your" insurable interest in any property.

2. **Earthquake Period --** All earthquakes or volcanic eruptions that occur within a 168-hour period will be considered a single event. This 168-hour period is not limited by the policy expiration.

3. **Deductible --** "We" pay only that part of "your" loss over the deductible amount indicated on the "schedule of coverages" in any one occurrence.

   The deductible may be shown as either an amount or a percentage. When shown as a percentage, the deductible is that percentage of the value of the covered property at the time of the loss.

4. **Loss Settlement Terms --** Subject to paragraphs **1., 2., 3., 5., 6.,** and **7.** under How Much We Pay, "we" pay the lesser of:

   **a.** the amount determined under Valuation;

   **b.** the cost to repair, replace, or rebuild the property with material of like kind and quality to the extent practicable; or

   **c.** the "limit" that applies to the covered property.

5. **Coinsurance --**

a. **When Coinsurance Applies --** "We" only pay a part of the loss if the "limit" is less than the percentage of the value of the covered property that is indicated on the "schedule of coverages".

b. **How We Determine Our Part of The Loss --** "Our" part of the loss is determined using the following steps:

1) multiply the percent indicated on the "schedule of coverages" by the value of the covered property at the time of loss;

2) divide the "limit" for covered property by the result determined in **5.a.** above;

3) multiply the total amount of loss, after the application of any deductible, by the result determined in **5.b.** above.

The most "we" pay is the amount determined in **5.c.** above or the "limit", whichever is less. "We" do not pay any remaining part of the loss.

c. **If There Is More Than One Limit --** If there is more than one "limit" indicated on the "schedule of coverages" for this coverage part, this procedure applies separately to each "limit".

d. **If There Is Only One Limit --** If there is only one "limit" indicated on the "schedule of coverages" for this coverage, this procedure applies to the total of all covered property to which the "limit" applies.

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e. **When Coinsurance Does Not Apply --** Conditions for coinsurance do not apply unless a coinsurance percentage is indicated on the "schedule of coverages".

6. **Insurance Under More Than One Coverage --** If more than one coverage of this policy insures the same loss, "we" pay no more than the actual claim, loss, or damage sustained.

7. **Insurance Under More Than One Policy --**

   a. **Proportional Share --** "You" may have another policy subject to the same "terms" as this policy. If "you" do, "we" will pay "our" share of the covered loss. "Our" share is the proportion that the applicable "limit" under this policy bears to the "limit" of all policies covering on the same basis.

   b. **Excess Amount --** If there is another policy covering the same loss, other than that described above, "we" pay only for the amount of covered loss in excess of the amount due from that other policy, whether "you" can collect on it or not. But "we" do not pay more than the applicable "limit".

**LOSS PAYMENT**

1. **Loss Payment Options --**

   a. **Our Options --** In the event of loss covered by this coverage form, "we" have the following options:

      **1)** pay the value of the lost or damaged property;

      **2)** pay the cost of repairing or replacing the lost or damaged property;

      **3)** rebuild, repair, or replace the property with other property of equivalent kind and quality, to the extent practicable, within a reasonable time; or

      **4)** take all or any part of the property at the agreed or appraised value.

   b. **Notice of Our Intent To Rebuild, Repair, or Replace --** "We" must give "you" notice of "our" intent to rebuild, repair, or replace within 30 days after receipt of a duly executed proof of loss.

2. **Your Losses --**

   a. **Adjustment and Payment of Loss --** "We" adjust all losses with "you". Payment will be made to "you" unless another loss payee is named in the policy.

   b. **Conditions For Payment of Loss --** An insured loss will be payable 30 days after:

      **1)** a satisfactory proof of loss is received, and

      **2)** the amount of the loss has been established either by written agreement with "you" or the filing of an appraisal award with "us".

3. **Property of Others --**

   a. **Adjustment And Payment of Loss To Property of Others --** Losses to property of others may be adjusted with and paid to:

      **1)** "you" on behalf of the owner; or

      **2)** the owner.

   b. **We Do Not Have To Pay You If We Pay The Owner --** If "we" pay the owner, "we" do not have to pay "you". "We" may also choose to defend any suits arising from the owners at "our" expense.

**OTHER CONDITIONS**

1. **Appraisal --** If "you" and "we" do not agree on the amount of the loss or the actual cash value of covered property, either party may demand that these amounts be determined by appraisal.

   If either makes a written demand for appraisal, each will select a competent, independent appraiser and notify the other of the appraiser's identity within 20 days of receipt of the written demand. The two appraisers will then select a competent, impartial umpire. If the two appraisers are unable to agree upon an umpire within 15 days, "you" or "we" can ask a judge of a court of record in the state where the property is located to select an umpire.

   The appraisers will then determine and state separately the amount of each loss.

   The appraisers will also determine the value of covered property items at the time of the loss, if requested.

   If the appraisers submit a written report of any agreement to "us", the amount agreed upon will be the amount of the loss. If the appraisers fail to agree within a reasonable time, they will submit only their differences to the umpire. Written agreement so itemized and signed by any two of these three sets the amount of the loss.

   Each appraiser will be paid by the party selecting that appraiser. Other expenses of the appraisal and the compensation of the umpire will be paid equally by "you" and "us".

2. **Benefit To Others --** Insurance under this coverage will not directly or indirectly benefit anyone having custody of "your" property.

3. **Conformity With Statute --** When a condition of this coverage is in conflict with an applicable law, that condition is amended to conform to that law.

4. **Estates --** This provision applies only if the insured is an individual.

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**a. Your Death --** On "your" death, "we" cover the following as an insured:

**1)** the person who has custody of "your" property until a legal representative is qualified and appointed; or

**2)** "your" legal representative.

This person or organization is an insured only with respect to property covered by this coverage.

**b. Policy Period Is Not Extended --** This coverage does not extend past the policy period indicated on the declarations.

**5. Liberalization -** If a revision of a form or endorsement which would broaden this coverage without an additional premium is adopted during the policy period or within six months before this coverage is effective, the broadened coverage will apply.

**6. Misrepresentation, Concealment, or Fraud --** This coverage is void as to "you" and any other insured if, before or after a loss:

**a.** "you" or any other insured have willfully concealed or misrepresented:

**1)** a material fact or circumstance that relates to this insurance or the subject thereof; or

**2)** "your" interest herein.

**b.** there has been fraud or false swearing by "you" or any other insured with regard to a matter that relates to this insurance or the subject thereof.

**7. Policy Period --** "We" pay for a covered loss that occurs during the policy period.

**8. Recoveries --** If "we" pay "you" for the loss and lost or damaged property is recovered, or payment is made by those responsible for the loss, the following provisions apply:

**a.** "you" must notify "us" promptly if "you" recover property or receive payment;

**b.** "we" must notify "you" promptly if "we" recover property or receive payment;

**c.** any recovery expenses incurred by either are reimbursed first;

**d.** "you" may keep the recovered property but "you" must refund to "us" the amount of the claim paid, or any lesser amount to which "we" agree; and

**e.** if the claim paid is less than the agreed loss due to a deductible or other limiting "terms" of this policy, any recovery will be pro rated between "you" and "us" based on "our" respective interest in the loss.

**9. Restoration of Limits --** Except as indicated under Virus and Hacking Coverage, a loss "we" pay under this coverage does not reduce the applicable "limits".

**10. Subrogation --** If "we" pay for a loss, "we" may require "you" to assign to "us" "your" right of recovery against others. "You" must do all that is necessary to secure "our" rights. "We" do not pay for a loss if "you" impair this right to recover.

"You" may waive "your" right to recover from others in writing before a loss occurs.

**11. Suit Against Us --** No one may bring a legal action against "us" under this coverage unless:

**a.** all of the "terms" of this coverage have been complied with; and

**b.** the suit has been brought within two years after "you" first have knowledge of the loss.

If any applicable law makes this limitation invalid, then suit must begin within the shortest period permitted by law.

**12. Territorial Limits --** "We" cover "software" and "Web site software" while it originates and resides in "hardware" or "Web site servers" in the United States of America, its territories and possessions, Canada, and Puerto Rico.

"We" cover all other covered property while it is in the United States of America, its territories and possessions, Canada, and Puerto Rico.

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**THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.**

# EXCLUSION OF CERTAIN COMPUTER-RELATED LOSSES

This endorsement modifies insurance provided under the following:

COMMERCIAL INLAND MARINE COVERAGE PART

**A.** We will not pay for loss or damage caused directly or indirectly by the following. Such loss or damage is excluded regardless of any other cause or event that contributes concurrently or in any sequence to the loss or damage.

**1.** The failure, malfunction or inadequacy of:

**a.** Any of the following, whether belonging to any insured or to others:

**(1)** Computer hardware, including microprocessors;

**(2)** Computer application software;

**(3)** Computer operating systems and related software;

**(4)** Computer networks;

**(5)** Microprocessors (computer chips) not part of any computer system; or

**(6)** Any other computerized or electronic equipment or components; or

**b.** Any other products, and any services, data or functions that directly or indirectly use or rely upon, in any manner, any of the items listed in Paragraph **A.1.a.** of this endorsement;

due to the inability to correctly recognize, process, distinguish, interpret or accept one or more dates or times. An example is the inability of computer software to recognize the year 2000.

**2.** Any advice, consultation, design, evaluation, inspection, installation, maintenance, repair, replacement or supervision provided or done by you or for you to determine, rectify or test for, any potential or actual problems described in Paragraph **A.1.** of this endorsement.

**B.** If an excluded cause of loss as described in Paragraph **A.** of this endorsement results in a covered cause of loss under the Commercial Inland Marine Coverage Part, we will pay only for the loss or damage caused by such covered cause of loss.

**C.** We will not pay for repair, replacement or modification of any items in Paragraphs **A.1.a.** and **A.1.b.** of this endorsement to correct any deficiencies or change any features.

**This endorsement changes the policy.**
**PLEASE READ THIS CAREFULLY.**

# AMENDATORY ENDORSEMENT
# WISCONSIN

**1.** Under Common Policy Conditions, Cancellation is deleted and replaced by the following:

**Cancellation and Nonrenewal** – “You” may cancel this policy at any time by giving “us” written notice or returning the policy to “us” and stating at what future date coverage is to stop.

“We” may cancel or not renew this policy by written notice to “you” at the address shown on the policy. If the notice is mailed, it will be by first class mail. Proof of delivery or mailing is sufficient proof of notice.

If this policy has been in effect less than 60 days, "we" may cancel for any reason.

If this policy has been in effect 60 days or more, or if it is a renewal of a policy issued by "us", "we" may cancel or not renew only at the anniversary date unless:

**a.** the premium has not been paid when due;

**b**. the policy has been obtained through material misrepresentation;

**c.** there has been a substantial change in the risk assumed that “we” could not have reasonably foreseen or contemplated in writing the policy; or

**d.** there have been substantial breaches of contractual duties, conditions, or warranties.

If “we” cancel this policy, "we" will give "you" notice at least ten days before cancellation is effective.

If “we” cancel or nonrenew this policy at the anniversary date, “we” will give “you” at least 60 days advance notice.

“Our” notice will include the reason or reasons for the cancellation or nonrenewal.

“Your” return premium, if any, will be calculated on a pro rata basis and refunded at the time of cancellation or as soon as practical. Payment or tender of the unearned premium is not a condition of cancellation.

**2.** Under Common Policy Conditions, the following condition is added:

**Renewal** – If "we" decide to renew or amend this policy at the anniversary date with "terms" less favorable to "you" or at a higher premium, "we" will give "you" notice of the altered "terms" or premium increase at least 60 days prior to the renewal or anniversary date. "Our" notice will be delivered or mailed by first class mail.

A notice is not needed if the premium increase:

**a.** is less than 25% and is generally applicable to the class of business to which this policy belongs; or

**b.** results from a change based on "your" action that alters the nature or extent of the risk insured against, including but not limited to a change in the classification or the units of exposure or increased policy coverage.

**3.** Under the Common Policy Conditions, Change, Modification, or Waiver of Policy Terms is amended to include the following:

Knowledge by "our" authorized agent of material facts pertaining to this coverage is considered to be knowledge by "us". A failure by the insured to perform an act required under this coverage will not affect "our" duties under this coverage if the failure was caused by an act, statement, representation, or omission by "our" authorized agent.


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This endorsement changes
the policy
**-- PLEASE READ THIS CAREFULLY --**

# AMENDATORY ENDORSEMENT
## WISCONSIN

1. Under Coverage Extensions, Defense Costs, if applicable, is amended to include the following:

   The expenses "we" incur under Defense Costs will not reduce the applicable "limit" for coverage described under Property Covered.

2. Under Coverage Extensions, Debris Removal, if applicable, You Must Report Your Expenses is deleted and replaced by the following:

   **You Must Report Your Expenses** -- "We" do not pay any expenses unless they are reported to "us" in writing within 20 days from the date of direct physical loss to covered property. Failure to report such expenses to "us" within the time specified does not invalidate or reduce a claim if it is shown not to have been reasonably possible to report such expenses within the specified time and the expenses were reported as soon as reasonably possible and within one year after the time period specified above.

3. Under Supplemental Coverages, Pollutant Cleanup And Removal, if applicable, Time Limitation is deleted and replaced by the following:

   **Time Limitation** -- The expenses to extract "pollutants" are paid only if they are reported to "us" in writing within 20 days from the date the covered peril occurs. Failure to report such expenses to "us" within the time specified does not invalidate or reduce a claim if it is shown not to have been reasonably possible to report such expenses within the specified time and the expenses were reported as soon as reasonably possible and within one year after the time period specified above.

4. Under Perils Excluded, Criminal, Fraudulent, Dishonest, Or Illegal Acts, if applicable, is amended to include the following:

   However, if a loss results from an act of, or pattern of, abuse or domestic abuse committed by or at the direction of an insured, this exclusion will not apply to an otherwise covered loss suffered by another insured, provided:

   a. the other insured did not cooperate in or contribute to the creation of the loss or damage; and

   b. the person who committed the act is criminally prosecuted.

   "Our" payment will be limited to the claimant's insurable interest less payments made to a mortgagee or other party with a legal secured interest in the property. "We" retain all rights set forth in the Subrogation condition of this policy with regard to action against the perpetrator of the act that caused the loss.

5. In What Must Be Done In Case Of Loss, item a. under Notice is deleted and replaced by the following:

   a. give "us" or "our" agent notice, including a description of the property involved, as soon as reasonably possible ("we" may request written notice); and

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6. Under What Must Be Done In Case Of Loss, the first paragraph of Proof Of Loss is deleted and replaced by the following:

   "You" must send "us", within 20 days after "our" request, a signed, sworn proof of loss. Failure to provide such proof of loss to "us" within the time specified does not invalidate or reduce a claim if it is shown not to have been reasonably possible to provide such proof of loss within the specified time and the proof of loss was provided as soon as reasonably possible and within one year after the time period specified above. The proof of loss must include the following information:

7. Under How Much We Pay, Insurance Under More Than One Policy, Excess Amount is deleted.

8. Under Other Conditions, Misrepresentation, Concealment, Or Fraud is deleted and replaced by the following:

   **Misrepresentation, Concealment, Or Fraud** --

   a. The coverage provided by this policy is void as to "you" and any other insured if, before or after a loss:

      1) "you" or any other insured have willfully concealed or misrepresented:

         a) a material fact or circumstance that relates to this insurance or the subject thereof; or
         b) "your" interest herein; or

      2) there has been fraud or false swearing by "you" or any other insured with regard to a matter that relates to this insurance or the subject thereof.

   b. No misrepresentation or breach of affirmative warranty constitutes grounds for voiding coverage or otherwise affects "our" obligation under this coverage unless "you" or any other insured who has misrepresented a material fact or circumstance knew or should have known that the representation was false, and:

      1) "we" rely on the misrepresentation or breach of affirmative warranty and it is either material or it is made with intent to deceive; or
      2) the fact misrepresented or falsely warranted contributes to the loss.

   c. No failure of a condition prior to a loss and no breach of promissory warranty constitutes grounds for voiding coverage unless it exists at the time of the loss and:

      1) increases the risk at the time of the loss; or
      2) contributes to the loss.

      This does not apply to nonpayment of premium.

9. Under Other Conditions, Subrogation is amended to include the following:

   If "you" assign to "us" the rights of recovery and "we" recover from another party, "we" will make "you" whole before recovering for "our" loss.

10. In the Cold Storage Locker Coverage, Contingent Cargo Coverage, Motor Truck Cargo Legal Liability Coverage, Riggers' Legal Liability Coverage, and Warehouse Legal Liability Coverage forms only, under Other Conditions, Suit Against Us is deleted.

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West Bend Insurance Company
1900 S. 18th Ave. | West Bend, WI 53095

Renewal

## Crime Coverage Declaration

**Customer Number:** 0110116385
**Policy Number:** A848246 05

**Policy Period:** 01/01/2026 to 01/01/2027
at 12:01 AM Standard Time at Your Mailing Address Shown Below

**Named Insured and Address:**
Locksley, Inc
DBA Paul Davis Restoration of South Central WI
3432A County Rd N
Cottage Grove, WI 53527

**Agency Name and Address:** 48508
R & R INSURANCE SERVICES INC
N14W23900 STONE RIDGE DR
WAUKESHA, WI 53188
262-574-7000

### Crime Schedule

| Insuring Agreement | Limit of Insurance | Deductible | Premium |
|---|---|---|---|
| Fidelity - Employee Theft | $100,000 | $250 | $336 |
| Inside the Premises - Theft of Money and Securities | $2,000 | $250 | $30 |
| Outside the Premises | $2,000 | $250 | $30 |
| | Total Crime Premium | | $396 |

West Bend Insurance Company
1900 S. 18th Ave. | West Bend, WI 53095

Renewal

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### Forms Schedule

| Number | Edition | Description |
|---|---|---|
| CR0021 | 0622 | COMMERCIAL CRIME COVERAGE FORM (LOSS SUSTAINED FORM) |
| CR0106 | 0622 | WISCONSIN CHANGES |

# COMMERCIAL CRIME COVERAGE FORM (LOSS SUSTAINED FORM)

Various provisions in this Policy restrict coverage. Read the entire Policy carefully to determine rights, duties and what is or is not covered.

Throughout this Policy:

**1.** The words "you" and "your" refer to:

**a.** The first Named Insured shown in the Declarations; and

**b.** Any "employee benefit plan", "subsidiary" or other entity that is named as an Insured in the Declarations or included as an Insured by endorsement.

The first Named Insured in Paragraph **a.** above will act for itself and for every other Insured for all purposes of this insurance.

**2.** The words "we", "us" and "our" refer to the company providing this insurance.

Other words and phrases that appear in quotation marks have special meaning. Refer to Section **F.** Definitions.

## A. Insuring Agreements

Coverage is provided under the following Insuring Agreements for which a Limit Of Insurance is shown in the Declarations and applies to loss that you sustain resulting directly from an "occurrence" taking place during the Policy Period shown in the Declarations, except as provided in the Loss Sustained During Prior Insurance Conditions **E.1.l.** and **E.1.m.,** which is "discovered" by a "designated person" during the Policy Period shown in the Declarations or during the period of time provided in the Extended Period To Discover Loss Condition **E.1.h.:**

### 1. Fidelity

#### a. Employee Theft

We will pay for loss of or damage to "money", "securities" and "other property" resulting directly from "theft" committed by an "employee", whether identified or not, acting alone or in collusion with other persons.

For the purposes of this Insuring Agreement, "theft" includes forgery.

#### b. ERISA Plan Official Dishonesty

We will pay for loss of or damage to "money", "securities" and "other property" belonging to an "ERISA employee benefit plan" resulting directly from "fraud or dishonesty" committed by:

**(1)** An "ERISA plan official", whether identified or not; or

**(2)** You, but only if you are a sole proprietor;

acting alone or in collusion with other persons.

#### c. Employee Theft Of Clients' Property

We will pay for loss of or damage to "money", "securities" and "other property" sustained by your "client" resulting directly from "theft" committed by an identified "employee", acting alone or in collusion with other persons.

For the purposes of this Insuring Agreement, "theft" includes forgery.

### 2. Forgery Or Alteration

#### a. Forgery Of Negotiable Instruments

**(1)** We will pay for loss resulting directly from "forgery" or alteration of checks, drafts, promissory notes, or similar written promises, orders or directions to pay a sum certain in "money" that are:

**(a)** Made or drawn by or drawn upon you; or

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**(b)** Made or drawn by one acting as your agent;

or that are purported to have been so made or drawn.

For the purposes of this Insuring Agreement, a substitute check as defined in the Check Clearing for the 21st Century Act will be treated the same as the original it replaced.

**(2)** If you are sued for refusing to pay any instrument covered in Paragraph **(1)** above, on the basis that it has been forged or altered, and you have our written consent to defend against the suit, we will pay for any reasonable legal expenses that you incur and pay in that defense. The amount that we will pay for such legal expenses is in addition to the Limit of Insurance applicable to this Insuring Agreement.

**b. Forgery Of Payment Card Instruments**

We will pay for loss resulting directly from "forgery" of written instruments required in conjunction with any credit, debit or charge card issued to:

**(1)** You; or

**(2)** Any of your "employees" or "ERISA plan officials";

for business purposes.

**3. Inside The Premises – Theft Of Money And Securities**

We will pay for:

**a.** Loss of "money" and "securities" inside the "premises" or "financial institution premises":

**(1)** Resulting directly from "theft" committed by a person present inside such "premises" or "financial institution premises"; or

**(2)** Resulting directly from disappearance or destruction.

**b.** Loss from damage to the "premises" or its exterior resulting directly from an actual or attempted "theft" of "money" or "securities", if you are the owner of the "premises" or are liable for damage to it.

**c.** Loss of or damage to a locked safe, vault, cash register, cash box or cash drawer located inside the "premises" resulting directly from an actual or attempted "theft" of, or unlawful entry into, those containers.

**4. Inside The Premises – Robbery Or Safe Burglary Of Other Property**

We will pay for:

**a.** Loss of or damage to "other property":

**(1)** Inside the "premises" resulting directly from an actual or attempted "robbery" of a "custodian"; or

**(2)** Inside the "premises" in a safe or vault resulting directly from an actual or attempted "safe burglary".

**b.** Loss from damage to the "premises" or its exterior resulting directly from an actual or attempted "robbery" or "safe burglary" of "other property", if you are the owner of the "premises" or are liable for damage to it.

**c.** Loss of or damage to a locked safe or vault located inside the "premises" resulting directly from an actual or attempted "robbery" or "safe burglary".

**5. Outside The Premises**

We will pay for:

**a.** Loss of "money" and "securities" outside the "premises" in the care and custody of a "messenger" or an armored motor vehicle company resulting directly from "theft", disappearance or destruction.

**b.** Loss of or damage to "other property" outside the "premises" in the care and custody of a "messenger" or an armored motor vehicle company resulting directly from an actual or attempted "robbery".

**6. Computer And Funds Transfer Fraud**

We will pay for:

**a.** Loss resulting directly from a fraudulent:

**(1)** Entry of "electronic data" or "computer program" into; or

**(2)** Change of "electronic data" or "computer program" within;

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any "computer system", provided that the fraudulent entry or fraudulent change causes, with regard to Paragraphs **(1)** and **(2)** above:

**(a)** "Money", "securities" or "other property" to be transferred, paid or delivered to a person, entity or account beyond your control; or

**(b)** Your account at a "financial institution" to be debited or deleted;

without your knowledge or consent.

**b.** Loss resulting directly from a "financial institution" debiting your "transfer account" in reliance upon a "transfer instruction" purportedly issued by you directing the "financial institution" to transfer, pay or deliver "money" or "securities" from that account, but which "transfer instruction" proves to have been fraudulently issued by an imposter without your knowledge or consent.

**7. Fraudulent Impersonation**

We will pay for:

**a.** Loss resulting directly from you having acted upon a "transfer instruction" that was, in fact, issued by a "client" or "vendor", but in which the bank account information or wire transfer instructions of such "client" or "vendor" had been changed by you acting in good faith reliance upon a "change of account request" purportedly issued by an "authorized person" or the "client" or "vendor", but which "change of account request" proves to have been fraudulently issued by an imposter without the knowledge or consent of the "authorized person", "client" or "vendor" and the fraudulent act resulted in you transferring, paying or delivering "money" or "securities" to a person, entity or account beyond your control; or

**b.** Loss resulting directly from you having acted in good faith reliance upon a "transfer instruction" purportedly issued by an "authorized person", "client" or "vendor" and you transferred, paid or delivered "money" or "securities" to a person, entity or account beyond your control, but which "transfer instruction" proves to have been fraudulently issued by an imposter without the knowledge or consent of the "authorized person", "client" or "vendor".

**8. Money Orders And Counterfeit Money**

We will pay for loss resulting directly from you having accepted in good faith in exchange for merchandise, "money" or services:

**a.** Money orders issued by any post office, express company or "financial institution" that are not paid upon presentation; or

**b.** "Counterfeit money" that is acquired during the regular course of business.

**B. Limit Of Insurance**

The most we will pay for all loss resulting directly from an "occurrence" is the applicable Limit Of Insurance shown in the Declarations.

If any loss is covered under more than one Insuring Agreement or coverage, the most we will pay for such loss will not exceed the largest Limit of Insurance available under any one of those Insuring Agreements or coverages.

**C. Deductible**

We will not pay for loss resulting directly from an "occurrence", unless the amount of loss exceeds the Deductible Amount shown in the Declarations. We will then pay the amount of loss in excess of the Deductible Amount, up to the Limit of Insurance.

**D. Exclusions**

**1. Exclusions Applicable To All Insuring Agreements**

This insurance does not cover:

**a. Acts Committed By You, Your Partners Or Members**

Loss resulting from "theft" or any other fraudulent or dishonest act committed by:

**(1)** You; or

**(2)** Any of your partners or "members";

whether acting alone or in collusion with other persons, except when covered under Insuring Agreement **A.1.b.**

**b. Acts Committed By Your Employees, ERISA Plan Officials, Managers, Directors, Trustees Or Representatives**

Loss resulting from "theft" or any other fraudulent or dishonest act committed by any of your "employees", "ERISA plan officials", "managers", directors, trustees or authorized representatives:

**(1)** Whether acting alone or in collusion with other persons; or

**(2)** While performing services for you or otherwise;

except when covered under Insuring Agreement **A.1.a., A.1.b.** or **A.1.c.**

**c. Acts Committed By Your Employees Or ERISA Plan Officials Prior To The Policy Period**

Loss caused by any "employee" or "ERISA plan official" if the "employee" or "ERISA plan official" had also committed "theft" or any other fraudulent or dishonest act prior to the effective date of this insurance and you or a "designated person", not in collusion with the "employee" or "ERISA plan official", learned of such "theft" or fraudulent or dishonest act prior to the Policy Period shown in the Declarations.

**d. Confidential Or Personal Information**

**(1)** The disclosure of your or another person's or entity's confidential or personal information; or

**(2)** The use of another person's or entity's confidential or personal information, except that this Paragraph **(2)** does not apply to loss otherwise covered under this insurance that results directly from the use of your or an "employee benefit plan" participant's confidential or personal information.

For the purposes of this exclusion, confidential or personal information includes, but is not limited to, patents, trade secrets, processing methods, "client", customer or "vendor" information, financial information, payment card information, health information, retirement or health savings account information or any other type of nonpublic information.

**e. Data Security Breach**

Fees, costs, fines, penalties and other expenses incurred by you, which are related to the access to or disclosure of another person's or entity's confidential or personal information including, but not limited to, patents, trade secrets, processing methods, "client", customer or "vendor" information, financial information, payment card information, health information, retirement or health savings account information or any other type of nonpublic information.

**f. Governmental Action**

Loss resulting from seizure or destruction of property by order of governmental authority.

**g. Indirect Loss**

Loss that is an indirect result of an "occurrence" covered by this insurance including, but not limited to, loss resulting from:

**(1)** Your inability to realize income that you would have realized had there been no loss of or damage to "money", "securities" or "other property";

**(2)** Payment of damages of any type for which you are legally liable. But, we will pay compensatory damages arising directly from a loss covered under this insurance; or

**(3)** Payment of costs, fees or other expenses you incur in establishing either the existence or the amount of loss under this insurance.

**h. Kidnap, Ransom, Extortion And Other Unlawful Demands**

**(1)** Loss resulting from the surrender of ransom in response to an unlawful demand including, but not limited to, an unlawful demand arising out of:

**(a)** An actual or alleged kidnap or threat to do bodily harm to any person, other than "robbery" covered under this insurance;

**(b)** A threat to do damage to any property or to contaminate, pollute or render substandard your products or goods;

**(c)** A threat to introduce a denial of service attack into any "computer system";

**(d)** A threat to introduce a virus or other malicious instruction into any "computer system", which would encrypt, damage, destroy or corrupt "electronic data" or "computer programs" stored within the "computer system"; or

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**(e)** A threat to access, download, disseminate, divulge or utilize:

**(i)** Your information or the information of any other natural person or entity; or

**(ii)** Weaknesses in the source code within any "computer system";

except when covered under Insuring Agreement **A.1.a.** or **A.1.b.**

**(2)** Loss resulting from payment of any kind in response to a denial of service attack, ransomware, virus or other malicious instruction introduced into any "computer system" that denies or restricts access, encrypts, downloads or otherwise damages, destroys or corrupts any "computer system", "electronic data" or "computer program", except when covered under Insuring Agreement **A.1.a.** or **A.1.b.**

**(3)** Fees, costs and expenses incurred by you arising out of any act or event in Paragraph **(1)** or **(2)** above.

**i. Legal Fees, Costs And Expenses**

Fees, costs and expenses incurred by you, which are related to any legal action, except when covered under Insuring Agreement **A.2.**

**j. Nuclear, Biological Or Chemical Hazard**

Loss or damage resulting from the dispersal or application of pathogenic or poisonous biological or chemical materials, nuclear reaction, nuclear radiation or radioactive contamination, or any related act or incident, however caused.

**k. Pollution**

Loss or damage caused by or resulting from pollution. Pollution means the discharge, dispersal, seepage, migration, release or escape of any solid, liquid, gaseous or thermal irritant or contaminant, including smoke, vapor, soot, fumes, acids, alkalis, chemicals and waste. Waste includes materials to be recycled, reconditioned or reclaimed.

**l. Virtual Currency**

Loss involving virtual currency of any kind, by whatever name known, whether actual or fictitious including, but not limited to, digital currency, cryptocurrency or any other type of electronic currency.

**m. War And Military Action**

Loss or damage resulting from:

**(1)** War, including undeclared or civil war;

**(2)** Warlike action by a military force, including action in hindering or defending against an actual or expected attack, by any government, sovereign or other authority using military personnel or other agents; or

**(3)** Insurrection, rebellion, revolution, usurped power, or action taken by governmental authority in hindering or defending against any of these.

**2. Additional Exclusions Applicable To Specific Insuring Agreements**

**a.** Insuring Agreement **A.1.a.** does not cover:

**(1) ERISA Employee Benefit Plans**

Loss of property belonging to any "ERISA employee benefit plan".

**(2) Inventory Shortages**

Loss, or that part of any loss, the proof of which as to its existence or amount is dependent upon:

**(a)** An inventory computation; or

**(b)** A profit and loss computation.

However, where you establish wholly apart from such computations that you have sustained a loss, then you may offer your inventory records and actual physical count of inventory in support of the amount of loss claimed.

**(3) Trading**

Loss resulting from trading, whether in your name or in a genuine or fictitious account.

**(4) Warehouse Receipts**

Loss resulting from the fraudulent or dishonest signing, issuing, cancelling or failing to cancel a warehouse receipt or any papers connected with it.

**b.** Insuring Agreement **A.1.b.** does not cover:

**Inventory Shortages**

Loss, or that part of any loss, the proof of which as to its existence or amount is dependent upon:

**(1)** An inventory computation; or

**(2)** A profit and loss computation.

However, where you establish wholly apart from such computations that you have sustained a loss, then you may offer your inventory records and actual physical count of inventory in support of the amount of loss claimed.

**c.** Insuring Agreement **A.1.c.** does not cover:

**(1) Inventory Shortages**

Loss, or that part of any loss, the proof of which as to its existence or amount is dependent upon:

**(a)** An inventory computation; or

**(b)** A profit and loss computation.

However, where your "client" establishes wholly apart from such computations that it has sustained a loss resulting from "theft" caused by an identified "employee", then you may offer your "client's" inventory records and actual physical count of inventory in support of the amount of loss claimed.

**(2) Trading**

Loss resulting from trading, whether in your "client's" name or in a genuine or fictitious account.

**(3) Warehouse Receipts**

Loss resulting from the fraudulent or dishonest signing, issuing, cancelling or failing to cancel a warehouse receipt or any papers connected with it.

**d.** Insuring Agreement **A.2.b.** does not cover:

**Non-compliance With Payment Card Issuer's Requirements**

Loss arising from any credit, debit or charge card if you have not complied fully with the provisions, conditions or other terms under which the card was issued.

**e.** Insuring Agreements **A.3., A.4.** and **A.5.** do not cover:

**(1) Accounting Or Arithmetical Errors Or Omissions**

Loss resulting from accounting or arithmetical errors or omissions.

**(2) Exchanges Or Purchases**

Loss resulting from the giving or surrendering of property in any exchange or purchase.

**(3) Fire**

Loss or damage resulting from fire, however caused, except:

**(a)** Loss of or damage to "money" and "securities"; and

**(b)** Loss from damage to a safe or vault.

**(4) Money Operated Devices**

Loss of property contained in any money operated device, unless the amount of "money" deposited in it is recorded by a continuous recording instrument in the device.

**(5) Motor Vehicles Or Equipment And Accessories**

Loss of or damage to motor vehicles, trailers or semitrailers or equipment and accessories attached to them.

**(6) Vandalism**

Loss from damage to the "premises" or its exterior, or to any safe, vault, cash register, cash box, cash drawer or "other property", by vandalism or malicious mischief.

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**(7) Voluntary Parting Of Title To Or Possession Of Property**

Loss resulting from your, or anyone else acting on your express or implied authority, being induced by any fraudulent or dishonest act to voluntarily part with title to or possession of any property.

**f.** Insuring Agreement **A.6.** does not cover:

**(1) Authorized Access**

Loss resulting from a fraudulent:

**(a)** Entry of "electronic data" or "computer program" into; or

**(b)** Change of "electronic data" or "computer program" within;

any "computer system" by an "employee" or other person or entity with authorized access to that "computer system".

**(2) Credit Card Transactions**

Loss resulting from the use or purported use of credit, debit, charge, access, convenience, identification or other cards, or the information contained on such cards.

**(3) Exchanges Or Purchases**

Loss resulting from the giving or surrendering of property in any exchange or purchase.

**(4) Fraudulent Instructions**

Loss resulting from an "employee" or other person or entity acting upon any kind of instruction to:

**(a)** Transfer, pay or deliver "money", "securities" or "other property"; or

**(b)** Debit or delete your account;

which instruction proves to be fraudulent, except for a "financial institution" acting upon an instruction to debit your "transfer account" when covered under Insuring Agreement **A.6.b.**

**(5) Inventory Shortages**

Loss, or that part of any loss, the proof of which as to its existence or amount is dependent upon:

**(a)** An inventory computation; or

**(b)** A profit and loss computation.

## E. Conditions

The following conditions apply in addition to the Common Policy Conditions:

### 1. Conditions Applicable To All Insuring Agreements

**a. Additional Premises Or Employees**

If, while this insurance is in force, you establish any additional "premises" or hire additional "employees", other than through:

**(1)** Consolidation or merger with; or

**(2)** Purchase or acquisition of assets or liabilities of;

another entity, such "premises" and "employees" will automatically be covered under this insurance.

Notice to us of an increase in the number of "premises" or "employees" is not required and no additional premium will be charged for the remainder of the Policy Period shown in the Declarations.

**b. Cancellation Or Termination**

The following applies in addition to the Cancellation provision in the Common Policy Conditions:

**(1) Coverage Termination**

**(a)** This insurance terminates in its entirety immediately upon:

**(i)** The effective date of a "change of control" of the first Named Insured; or

**(ii)** The voluntary dissolution or liquidation of the first Named Insured.

**(b)** This insurance terminates as to any Insured, other than the first Named Insured, immediately upon:

**(i)** The effective date of a "change of control" of that Insured; or

**(ii)** The voluntary dissolution or liquidation of that Insured.

If this insurance terminates for any reason specified in Paragraph **(a)** or **(b)** above, we will send the first Named Insured any premium refund due. The refund will be pro rata.

**(2) Individual Insured Or Coverage Cancellation**

We, or the first Named Insured shown in the Declarations, may cancel this insurance as to any Insured, or on any Insuring Agreement or coverage in accordance with the provisions of the Cancellation Common Policy Condition.

**(3) Termination Of Coverage As To Any Employee Or ERISA Plan Official**

This insurance terminates as to any "employee" or "ERISA plan official":

**(a)** As soon as:

**(i)** A "designated person"; or

**(ii)** An "employee" in your Human Resources Department or its equivalent;

not in collusion with the "employee" or "ERISA plan official", learns of "theft" or any other fraudulent or dishonest act committed by the "employee" or "ERISA plan official", whether before or after becoming employed by you; or

**(b)** On the date specified in a notice mailed to the first Named Insured. That date will be at least 30 days after the date of mailing.

We will mail or deliver our notice to the first Named Insured's last mailing address known to us. If notice is mailed, proof of mailing will be sufficient proof of notice.

**c. Concealment, Misrepresentation Or Fraud**

This insurance is void in any case of fraud by you as it relates to this insurance at any time. It is also void if you or any other Insured, at any time, intentionally conceals or misrepresents a material fact concerning:

**(1)** This insurance;

**(2)** The property covered under this insurance;

**(3)** Your interest in the property covered under this insurance; or

**(4)** A claim under this insurance.

**d. Consolidation – Merger – Acquisition**

**(1)** Except as provided in Paragraph **(2)** below, if you consolidate or merge with another entity where you are the surviving entity, or you purchase or acquire the assets or liabilities of another entity:

**(a)** You must give us written notice as soon as possible and obtain our written consent to extend the coverage provided by this insurance to such consolidated or merged entity or such purchased or acquired assets or liabilities. We may condition our consent by requiring payment of an additional premium; but

**(b)** For the first 90 days after the effective date of such consolidation, merger or purchase or acquisition of assets or liabilities, the coverage provided by this insurance will apply to such consolidated or merged entity or such purchased or acquired assets or liabilities, provided that all "occurrences" causing or contributing to loss involving such consolidation, merger or purchase or acquisition of assets or liabilities must take place after the effective date of such consolidation, merger or purchase or acquisition of assets or liabilities.

Any "employee benefit plan" acquired in such consolidation, merger or purchase or acquisition will automatically be included as an Insured under this insurance.

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**(2)** For "subsidiaries" you acquire in which you own greater than 50% of the voting stock or voting rights, the coverage provided by this insurance will automatically apply to loss sustained by such acquired "subsidiary" resulting directly from an "occurrence" taking place at any time which is "discovered" by a "designated person" during the Policy Period shown in the Declarations, except as provided in the Loss Sustained During Prior Insurance Conditions **E.1.l.** and **E.1.m.,** or during the period of time provided in the Extended Period To Discover Loss Condition **E.1.h.,** provided that:

**(a)** The assets of the acquired "subsidiary" do not exceed the Percentage Of Total Assets Applicable To Subsidiary Acquisitions shown in the Declarations, which is based on your total assets as reflected in your most recent fiscal year-end consolidated financial statements immediately preceding the effective date of this insurance; and

**(b)** The acquired "subsidiary" has not had any paid or reported claims of the type covered under this insurance for the three-year period prior to the date of such acquisition.

You are not required to provide notice of the acquisition to us and you are not required to pay any additional premium for the remainder of the Policy Period shown in the Declarations.

Any "employee benefit plan" of an acquired "subsidiary" will automatically be included as an Insured under this insurance.

**e. Cooperation**

You must cooperate with us in all matters pertaining to this insurance as stated in its terms and conditions.

**f. Duties In The Event Of Loss**

Upon "discovery" of loss or a situation that may result in loss of or damage to "money", "securities" or "other property":

**(1)** Except as provided in Paragraph **(2)** below, you must:

**(a)** Notify us as soon as possible;

**(b)** Give us a detailed, sworn proof of loss within 120 days;

**(c)** Cooperate with us in the investigation and settlement of any claim;

**(d)** Produce for our examination all pertinent records;

**(e)** Submit to examination under oath at our request and give us a signed statement of your answers; and

**(f)** Secure all of your rights of recovery against any person or entity responsible for the loss and do nothing to impair those rights.

**(2)** If a Deductible Amount applies to the loss and a percentage is shown in the Declarations as the Percentage Of Deductible Amount Over Which Losses Must Be Reported, you do not have to notify us if the amount of loss at the time of "discovery" does not exceed such percentage of the applicable Deductible Amount.

However, if you later learn that the amount of such loss exceeds, or may reasonably be expected to exceed, the percentage of the applicable Deductible Amount, then you must:

**(a)** Notify us no later than 15 days from the earliest of:

**(i)** The date you learned that such loss exceeded the percentage of the applicable Deductible Amount;

**(ii)** The effective date of termination or cancellation of this insurance; or

**(iii)** The termination of the period of time provided in the Extended Period To Discover Loss Condition **E.1.h.(1);**

**(b)** Give us a detailed, sworn proof of loss within 120 days from the date you gave us notice; and

**(c)** Comply with the requirements set forth in Paragraphs **(1)(c)** through **(1)(f)** above.

**(3)** If you have reason to believe that any loss (except for loss covered under Insuring Agreement **A.1.a., A.1.b., A.1.c.** or **A.2.**) involves a violation of law, you must notify the local law enforcement authorities.

**g. Employee Benefit Plans**

Any payment we make for loss sustained by any "employee benefit plan" will be made to the plan sustaining the loss and will fully release us on account of such loss.

**h. Extended Period To Discover Loss**

We will pay for loss that you sustain prior to the effective date of cancellation or termination of this insurance in its entirety, as to any Insured or on any Insuring Agreement or coverage, which is "discovered" by a "designated person":

**(1)** Except as provided in Paragraph **(2)** below, no later than one year from the date of that cancellation or termination. However, this extended period to "discover" loss terminates immediately upon the effective date of any other insurance obtained by you or that Insured, whether from us or another insurer, which replaces in whole or in part the coverage afforded under this insurance, whether or not such other insurance provides coverage for loss sustained prior to its effective date.

**(2)** No later than one year from the date of that cancellation or termination with regard to any "ERISA employee benefit plan". However, this extended period to "discover" loss terminates immediately upon the effective date of any other insurance obtained by you or that "ERISA employee benefit plan", whether from us or another insurer, that provides, at a minimum, the same coverage afforded by Insuring Agreement **A.1.b.** in an amount that is no less than the minimum amount of coverage required under ERISA and which also provides that such coverage applies to loss sustained prior to its effective date.

**i. Joint Insured**

**(1)** If more than one Insured is named in the Declarations, the first Named Insured will act for itself and for every other Insured for all purposes of this insurance.

**(2)** If a "designated person" of any Insured has knowledge of any information relevant to this insurance, that knowledge is considered knowledge of every Insured.

**(3)** An "employee" of any Insured is considered to be an "employee" of every Insured.

**(4)** We will not pay more for loss sustained by more than one Insured than the amount we would pay if all such loss had been sustained by one Insured.

**(5)** Payment by us to the first Named Insured for loss sustained by any Insured, or payment by us to any "employee benefit plan" for loss sustained by that plan, will fully release us on account of such loss.

**j. Legal Action Against Us**

You may not bring any legal action against us involving loss:

**(1)** Unless you have complied with all the terms of this insurance;

**(2)** Until 90 days after you have filed proof of loss with us; and

**(3)** Unless brought within two years from the date the loss was "discovered".

If any limitation in this condition is prohibited by law, such limitation is amended so as to equal the minimum period of limitation provided by such law.

**k. Liberalization**

If we adopt any revision that would broaden the coverage under this insurance without additional premium within 45 days prior to or during the Policy Period shown in the Declarations, the broadened coverage will immediately apply to this insurance.

**l. Loss Sustained During Prior Insurance Issued By Us Or Any Affiliate**

**(1) Loss Sustained Partly During This Insurance And Partly During Prior Insurance**

If loss is "discovered" by a "designated person" during the Policy Period shown in the Declarations, resulting directly from an "occurrence" taking place:

**(a)** Partly during the Policy Period shown in the Declarations; and

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**(b)** Partly during the policy period(s) of any prior cancelled or terminated insurance that we or any affiliate issued to you or any predecessor in interest;

and this insurance became effective at the time of cancellation or termination of the prior insurance, we will first settle the amount of loss that you sustained during this Policy Period. We will then settle the remaining amount of loss that you sustained during the policy period(s) of the prior insurance.

**(2) Loss Sustained Entirely During Prior Insurance**

If loss is "discovered" by a "designated person" during the Policy Period shown in the Declarations, resulting directly from an "occurrence" taking place entirely during the policy period(s) of any prior cancelled or terminated insurance that we or any affiliate issued to you or any predecessor in interest, we will pay for the loss, provided that:

**(a)** This insurance became effective at the time of cancellation or termination of the prior insurance; and

**(b)** The loss would have been covered under this insurance had it been in effect at the time of the "occurrence".

We will first settle the amount of loss that you sustained during the most recent prior insurance. We will then settle any remaining amount of loss that you sustained during the policy period(s) of any other prior insurance.

**(3)** In settling loss under Paragraphs **(1)** and **(2)** above:

**(a)** The most we will pay for the entire loss is the highest single Limit of Insurance applicable during the period of loss, whether such limit was written under this insurance or was written under the prior insurance issued by us.

**(b)** We will apply the applicable Deductible Amount shown in the Declarations to the amount of loss sustained under this insurance. If no loss was sustained under this insurance, we will apply the Deductible Amount shown in the Declarations to the amount of loss sustained under the most recent prior insurance.

If the Deductible Amount is larger than the amount of loss sustained under this insurance, or the most recent prior insurance, we will apply the remaining Deductible Amount to the remaining amount of loss sustained during the prior insurance.

We will not apply any other deductible amount that may have been applicable to the loss.

**(4)** The following examples demonstrate how we will settle losses subject to this condition:

**Example Number 1**

The Insured sustained a covered loss of $10,000 resulting directly from an "occurrence" taking place during the terms of Policy **A** and Policy **B.**

**Policy A**

The current policy. Written at a Limit of Insurance of $50,000 and a Deductible Amount of $5,000.

**Policy B**

Issued prior to Policy **A.** Written at a Limit of Insurance of $50,000 and a Deductible Amount of $5,000.

**Settlement Of Loss**

The amount of loss sustained under Policy **A** is $2,500 and under Policy **B,** $7,500.

The highest single Limit of Insurance applicable to this entire loss is $50,000 written under Policy **A.** The Policy **A** Deductible Amount of $5,000 applies. The loss is settled as follows:

**(a)** The amount of loss sustained under Policy **A** ($2,500) is settled first. The amount we will pay is nil ($0.00) because the amount of loss is less than the Deductible Amount (i.e., $2,500 loss - $5,000 deductible = $0.00).

**(b)** The remaining amount of loss sustained under Policy **B** ($7,500) is settled next. The amount recoverable is $5,000 after the remaining Deductible Amount from Policy **A** of $2,500 is applied to the loss (i.e., $7,500 loss - $2,500 deductible = $5,000).

The most we will pay for this loss is $5,000.

**Example Number 2**

The Insured sustained a covered loss of $250,000 resulting directly from an "occurrence" taking place during the terms of Policy **A** and Policy **B.**

**Policy A**

The current policy. Written at a Limit of Insurance of $125,000 and a Deductible Amount of $10,000.

**Policy B**

Issued prior to Policy **A.** Written at a Limit of Insurance of $150,000 and a Deductible Amount of $25,000.

**Settlement Of Loss**

The amount of loss sustained under Policy **A** is $175,000 and under Policy **B,** $75,000.

The highest single Limit of Insurance applicable to this entire loss is $150,000 written under Policy **B.** The Policy **A** Deductible Amount of $10,000 applies. The loss is settled as follows:

**(a)** The amount of loss sustained under Policy **A** ($175,000) is settled first. The amount we will pay is the Policy **A** limit of $125,000 because $175,000 loss - $10,000 deductible = $165,000, which is greater than the $125,000 policy limit.

**(b)** The remaining amount of loss sustained under Policy **B** ($75,000) is settled next. The amount we will pay is $25,000 (i.e., $150,000 Policy **B** limit - $125,000 paid under Policy **A** = $25,000).

The most we will pay for this loss is $150,000.

**Example Number 3**

The Insured sustained a covered loss of $2,000,000 resulting directly from an "occurrence" taking place during the terms of Policies **A, B, C** and **D.**

**Policy A**

The current policy. Written at a Limit of Insurance of $1,000,000 and a Deductible Amount of $100,000.

**Policy B**

Issued prior to Policy **A.** Written at a Limit of Insurance of $750,000 and a Deductible Amount of $75,000.

**Policy C**

Issued prior to Policy **B.** Written at a Limit of Insurance of $500,000 and a Deductible Amount of $50,000.

**Policy D**

Issued prior to Policy **C.** Written at a Limit of Insurance of $500,000 and a Deductible Amount of $50,000.

**Settlement Of Loss**

The amount of loss sustained under Policy **A** is $350,000; under Policy **B,** $250,000; under Policy **C,** $600,000; and under Policy **D,** $800,000.

The highest single Limit of Insurance applicable to this entire loss is $1,000,000 written under Policy **A.** The Policy **A** Deductible Amount of $100,000 applies. The loss is settled as follows:

**(a)** The amount of loss sustained under Policy **A** ($350,000) is settled first. The amount we will pay is $250,000 (i.e., $350,000 loss - $100,000 deductible = $250,000).

**(b)** The amount of loss sustained under Policy **B** ($250,000) is settled next. The amount we will pay is $250,000 (no deductible is applied).

**(c)** The amount of loss sustained under Policy **C** ($600,000) is settled next. The amount we will pay is $500,000, the policy limit (no deductible is applied).

**(d)** We will not make any further payment under Policy **D,** as the maximum amount payable under the highest single Limit of Insurance applying to the loss of $1,000,000 under Policy **A** has been satisfied.

The most we will pay for this loss is $1,000,000.

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**m. Loss Sustained During Prior Insurance Not Issued By Us Or Any Affiliate**

**(1)** If loss is "discovered" by a "designated person" during the Policy Period shown in the Declarations, resulting directly from an "occurrence" taking place during the policy period of any prior cancelled or terminated insurance that was issued to you or a predecessor in interest by another company, and the period of time to discover loss under that insurance had expired, we will pay for the loss under this insurance, provided that:

**(a)** This insurance became effective at the time of cancellation or termination of the prior insurance; and

**(b)** The loss would have been covered under this insurance had it been in effect at the time of the "occurrence".

**(2)** In settling loss subject to this condition:

**(a)** The most we will pay for the entire loss is the lesser of the Limits of Insurance applicable during the period of loss, whether such limit was written under this insurance or was written under the prior cancelled or terminated insurance.

**(b)** We will apply the applicable Deductible Amount shown in the Declarations to the amount of loss sustained under the prior cancelled or terminated insurance.

**(3)** The insurance provided under this condition is subject to the following:

**(a)** If loss covered under this condition is also partially covered under the Loss Sustained During Prior Insurance Issued By Us Or Any Affiliate Condition **E.1.l.,** the amount recoverable under this condition is part of, not in addition to, the amount recoverable under Condition **E.1.l.**

**(b)** For loss covered under this condition that is not subject to Paragraph **(a)** above, the amount recoverable under this condition is part of, not in addition to, the Limit of Insurance applicable to the loss covered under this insurance and is limited to the lesser of the amount recoverable under:

**(i)** This insurance as of its effective date; or

**(ii)** The prior cancelled or terminated insurance had it remained in effect.

**n. Other Insurance**

If other valid and collectible insurance is available to you for loss covered under this insurance, our obligations are limited as follows:

**(1) Primary Insurance**

When this insurance is written as primary insurance and:

**(a)** You have other insurance subject to the same terms and conditions as this insurance, we will pay our share of the covered loss. Our share is the proportion that the applicable Limit Of Insurance shown in the Declarations bears to the total limit of all insurance covering the same loss.

**(b)** You have other insurance covering the same loss other than that described in Paragraph **(a)** above, we will only pay for the amount of loss that exceeds:

**(i)** The limit of insurance and deductible amount of that other insurance, whether you can collect on it or not; or

**(ii)** The Deductible Amount shown in the Declarations;

whichever is greater. Our payment for loss is subject to the terms and conditions of this insurance.

**(2) Excess Insurance**

**(a)** When this insurance is written excess over other insurance, we will only pay for the amount of loss that exceeds the limit of insurance and deductible amount of that other insurance, whether you can collect on it or not. Our payment for loss is subject to the terms and conditions of this insurance.

**(b)** However, if loss covered under this insurance is subject to a deductible, we will reduce the Deductible Amount shown in the Declarations by the sum total of all such other insurance plus any deductible amount applicable to that other insurance.

**o. Ownership Of Property; Interests Covered**

The property covered under this insurance is limited to property:

**(1)** That you own or lease;

**(2)** That is held by you in any capacity; or

**(3)** For which you are legally liable, provided that you were liable for the property prior to the time the loss was sustained.

However, this insurance is for your benefit only. It provides no rights or benefits to any other person or entity. Any claim for loss that is covered under this insurance must be presented by you.

**p. Records**

You must keep records of all property covered under this insurance so we can verify the amount of any loss.

**q. Recoveries**

**(1)** Any recoveries, whether effected before or after any payment under this insurance, whether made by us or by you, will be applied net of the expense of such recovery:

**(a)** First, to you in satisfaction of your covered loss in excess of the amount paid under this insurance;

**(b)** Second, to us in satisfaction of amounts paid in settlement of your claim;

**(c)** Third, to you in satisfaction of any Deductible Amount; and

**(d)** Fourth, to you in satisfaction of any loss not covered under this insurance.

**(2)** Recoveries do not include any recovery:

**(a)** From insurance, suretyship, reinsurance, security or indemnity taken for our benefit; or

**(b)** Of original "securities" after duplicates of them have been issued.

**r. Territory**

This insurance covers loss that you sustain resulting directly from an "occurrence" taking place anywhere in the world.

**s. Transfer Of Your Rights Of Recovery Against Others To Us**

You must transfer to us all your rights of recovery against any person or entity for any loss you sustained and for which we have paid or settled. You must also do everything necessary to secure those rights and do nothing after loss to impair them.

**t. Valuation – Settlement**

The value of any loss for purposes of coverage under this insurance will be determined as follows:

**(1) Money**

Loss of "money" but only up to and including its face value. We will, at your option, pay for loss of "money" issued by any country other than the United States of America:

**(a)** At face value in the "money" issued by that country; or

**(b)** In the United States of America dollar equivalent, determined by the rate of exchange published in The Wall Street Journal on the day the loss was "discovered".

**(2) Securities**

Loss of "securities" but only up to and including their value at the close of business on the day the loss was "discovered". We may, at our option:

**(a)** Pay the market value of such "securities" or replace them in kind, in which event you must assign to us all your rights, title and interest in and to those "securities"; or

**(b)** Pay the cost of any Lost Securities Bond required in connection with issuing duplicates of the "securities". However, we will be liable only for the payment of so much of the cost of the bond as would be charged for a bond having a penalty not exceeding the lesser of the:

**(i)** Market value of the "securities" at the close of business on the day the loss was "discovered"; or

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**(ii)** Limit of Insurance applicable to the "securities".

**(3) Property Other Than Money And Securities**

**(a)** Loss of or damage to property other than "money" and "securities" for the replacement cost of the property without deduction for depreciation. However, we will not pay more than the least of the following:

**(i)** The Limit of Insurance applicable to the lost or damaged property;

**(ii)** The cost to replace the lost or damaged property with property of comparable material and quality and used for the same purpose; or

**(iii)** The amount you actually spend that is necessary to repair or replace the lost or damaged property.

**(b)** We will not pay on a replacement cost basis for any loss or damage to property covered under Paragraph **(a)** above:

**(i)** Until the lost or damaged property is actually repaired or replaced; and

**(ii)** Unless the repair or replacement is made as soon as reasonably possible after the loss or damage occurred.

If the lost or damaged property is not repaired or replaced, we will pay on an actual cash value basis.

**(c)** We will, at your option, pay for loss or damage to such property:

**(i)** In the "money" of the country in which the loss or damage was sustained; or

**(ii)** In the United States of America dollar equivalent of the "money" of the country in which the loss or damage was sustained, determined by the rate of exchange published in The Wall Street Journal on the day the loss was "discovered".

**(d)** Any property that we pay for or replace becomes our property.

**2. Additional Conditions Applicable To Specific Insuring Agreements**

**a. Under Insuring Agreement A.1.b.**

**(1) Limit Of Insurance**

You are responsible for selecting a Limit of Insurance for "ERISA employee benefit plans" covered under Insuring Agreement **A.1.b.** that is equal to, or greater than, the minimum amounts of coverage required under ERISA as set forth in Paragraphs **(a)** and **(b)** below.

**(a)** For "ERISA employee benefit plans" holding no employer securities:

**(i)** 10% of the amount of funds handled as of the effective date of this insurance; or

**(ii)** $500,000;

whichever is less, but in no event less than $1,000.

**(b)** For "ERISA employee benefit plans" holding employer securities:

**(i)** 10% of the amount of funds handled as of the effective date of this insurance; or

**(ii)** $1,000,000;

whichever is less, but in no event less than $1,000.

If two or more "ERISA employee benefit plans" are covered under Insuring Agreement **A.1.b.,** the Limit of Insurance must be written in an amount sufficient to cover each plan as if they were separately insured.

If at the time of "discovery" of loss sustained by an "ERISA employee benefit plan", the Limit of Insurance for Insuring Agreement **A.1.b.** no longer complies with the minimum amount of coverage required for such plan, we will automatically increase the Limit of Insurance for such plan so as to equal such required minimum amount of coverage. You are not required to pay any additional premium for the increase in the Limit of Insurance.

If the minimum amounts of coverage required under ERISA are amended after the effective date of this insurance, the amended minimum amounts of coverage will automatically apply to the "ERISA employee benefit plans" covered under Insuring Agreement **A.1.b.** You are not required to pay any additional premium for the remainder of the Policy Period shown in the Declarations.

**(2) Payment For Loss Sustained By Multiple Plans**

Any payment we make for loss:

**(a)** Sustained by two or more "ERISA employee benefit plans"; or

**(b)** Of commingled "money", "securities" or "other property" of two or more "ERISA employee benefit plans";

will be made to each such plan sustaining loss in the proportion that the amount of coverage required under ERISA for each such plan bears to the total amount of coverage on all plans sustaining loss.

**(3) Deductible Amount**

Section **C.** Deductible does not apply to loss sustained by an "ERISA employee benefit plan" covered under Insuring Agreement **A.1.b.**

**b. Under Insuring Agreement A.1.c.**

The **Ownership Of Property; Interests Covered** Condition **E.1.o.** is replaced by the following:

**Ownership Of Property; Interests Covered**

The property covered under this Insuring Agreement is limited to property:

**(1)** That your "client" owns or leases;

**(2)** That your "client" holds for others in any capacity; or

**(3)** For which your "client" is legally liable, provided that your "client" was liable for the property prior to the time the loss was sustained.

However, this insurance is for your benefit only. It provides no rights or benefits to any other person or entity, including your "client". Any claim for loss that is covered under this Insuring Agreement must be presented by you.

**c. Under Insuring Agreement A.2.**

**(1) Deductible Amount**

The Deductible Amount does not apply to legal expenses paid under Insuring Agreement **A.2.**

**(2) Electronic And Mechanical Signatures**

We will treat signatures that are produced or reproduced electronically, mechanically or by other means the same as handwritten signatures.

**(3) Proof Of Loss**

You must include with your proof of loss any instrument involved in that loss or, if that is not possible, an affidavit setting forth the amount and cause of loss.

**d. Condition Applicable To Insuring Agreement A.5.**

**Armored Motor Vehicle Companies**

We will only pay for the amount of loss you cannot recover:

**(1)** Under your contract with the armored motor vehicle company; and

**(2)** From any insurance or indemnity carried by, or for the benefit of customers of, the armored motor vehicle company.

**e. Under Insuring Agreement A.7.**

**(1) Change Of Account Requests**

You must make a reasonable effort to verify, but not through email, the authenticity of any "change of account request" with:

**(a)** The "client" or "vendor" purporting to have issued the "change of account request"; or

**(b)** An "authorized person", but not the "authorized person" purporting to have issued the "change of account request";

and contemporaneously document the result of your effort before transferring any property.

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**(2) Transfer Instructions**

You must make a reasonable effort to verify, but not through email, the authenticity of any "transfer instruction" with:

**(a)** The "client" or "vendor" purporting to have issued the "transfer instruction"; or

**(b)** An "authorized person", but not the "authorized person" purporting to have issued the "transfer instruction";

and contemporaneously document the result of your effort before transferring any property.

**F. Definitions**

**1.** "Authorized person" means:

**a.** Any "employee", partner, "member", "manager", director or trustee;

**b.** Any "ERISA plan official"; or

**c.** You (but only if you are a sole proprietor);

who, with regard to Paragraphs **a., b.** and **c.** above, has the authority to:

**(1)** Act upon "change of account requests" or direct others to act upon such requests**;** or

**(2)** Issue "transfer instructions" or direct others to issue such instructions.

**2.** "Change of account request" means an instruction received by you, which is transmitted:

**a.** By email, text message, instant message, telefacsimile, telephone or other electronic means; or

**b.** In writing;

directing you to change a "client's" or "vendor's" bank account information or wire transfer instructions.

**3.** "Change of control" means:

**a.** The acquisition of any Insured of more than 50% of its assets by an entity other than another Insured, or the merger or consolidation of any Insured into or with an entity other than another Insured, such that the acquired Insured is not the surviving entity; or

**b.** The obtaining by any person, entity or affiliated group of persons or entities of the right to:

**(1)** Elect, appoint or designate more than 50% of the board of directors, board of trustees or functional equivalent thereof, of any Insured; or

**(2)** Exercise a majority control of the board of directors, board of trustees or a functional equivalent thereof, of any Insured.

**4.** "Client" means any natural person or entity to whom you provide goods or services in exchange for a fee or pursuant to a written agreement.

**5.** "Computer program" means a set of related electronic instructions, which direct the operation and function of a computer or devices connected to it, which enables the computer or devices to receive, process, store or send "electronic data".

**6.** "Computer system" means:

**a.** Any computer, including transportable or handheld devices, electronic storage devices and related peripheral components;

**b.** Any systems and applications software; and

**c.** Any related telecommunications networks, including the Internet, connected to or used in conjunction with such computer or devices:

which, with regard to Paragraphs **a., b.** and **c.** above:

**(1)** Collects, transmits, processes, stores or retrieves "electronic data"; and

**(2)** Is:

**(a)** Owned, leased or operated by you;

**(b)** Owned and operated by an "employee" who has agreed in writing to your personal device use policy; or

**(c)** Operated by an authorized third party while performing services for you, but only with respect to your "electronic data".

**7.** "Counterfeit money" means an imitation of "money", which is intended to deceive and to be taken as genuine.

**8.** "Custodian" means you, or any of your partners, "members" or "employees" while having care and custody of property inside the "premises", excluding any person while acting as a "watchperson" or janitor.

**9.** "Designated person" means:

**a.** Any insurance risk manager;

**b.** Any partner, "member", "manager", director or trustee;

**c.** Any elected, appointed or otherwise titled officer;

**d.** The highest-ranking "employee" at the "premises" where such "employee" performs the majority of his or her duties; or

**e.** Any administrator, fiduciary, director, trustee, officer or manager of an "employee benefit plan";

of any Insured.

**10.** "Discovery", "discover" or "discovered" means the time when a "designated person" first becomes aware of facts which would cause a reasonable person to assume that a loss of a type covered by this insurance has been or will be incurred, regardless of when the act or acts causing or contributing to such loss occurred, even though the exact amount or details of loss may not then be known.

"Discovery", "discover" or "discovered" also means the time when a "designated person" first receives notice of an actual or potential claim in which it is alleged that you are liable to a third party under circumstances which, if true, would constitute a loss under this insurance.

**11.** "Electronic data" means information, facts, images or sounds stored as or on, created or used on, or transmitted to or from computer software (including systems and applications software) on data storage devices, including hard or floppy disks, CD-ROMs, tapes, drives, cells, data processing devices or any other media which are used with electronically controlled equipment.

**12.** "Employee":

**a.** Means:

**(1)** Any natural person:

**(a)** While in your service and for the first 30 days immediately after termination of service, unless such termination is due to "theft" or any other fraudulent or dishonest act committed by the "employee";

**(b)** Whom you compensate directly by salary, wages or commissions; and

**(c)** Whom you have the right to direct and control while performing services for you;

**(2)** Any natural person who is furnished temporarily to you:

**(a)** To substitute for a permanent "employee" defined in Paragraph **(1)** above, who is on leave; or

**(b)** To meet seasonal or short-term workload conditions;

while that person is subject to your direction and control and performing services for you;

**(3)** Any natural person who is leased to you under a written agreement between you and a labor leasing firm to perform duties related to the conduct of your business, but does not mean a temporary "employee" defined in Paragraph **(2)** above;

**(4)** Any natural person who is:

**(a)** An administrator, director, trustee, manager or "employee", except an administrator or manager who is an independent contractor, of a "Non-ERISA employee benefit plan"; or

**(b)** A director, trustee or "employee" of an Insured sponsoring a "Non-ERISA employee benefit plan", while that person is engaged in handling "money", "securities" or "other property" of the plan;

**(5)** Any natural person who is a former "employee", partner, "member", "manager", director or trustee retained by you as a consultant while performing services for you;

**(6)** Any natural person who is a guest student or intern pursuing studies or duties;

**(7)** Any natural person employed by an entity merged or consolidated with you prior to the effective date of this insurance; and

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**(8)** Any natural person who is your "manager", director or trustee while:

**(a)** Performing acts within the scope of the usual duties of an "employee"; or

**(b)** Acting as a member of any committee duly elected or appointed by resolution of your board of directors, board of trustees or functional equivalent thereof, to perform specific, as distinguished from general, directorial acts on your behalf.

**b.** Does not mean:

Any agent, broker, factor, commission merchant, consignee, independent contractor or representative of the same general character not specified in Paragraph **a.** above.

**13.** "Employee benefit plan" means any "ERISA employee benefit plan" or "Non-ERISA employee benefit plan":

**a.** Shown in the Declarations as the first Named Insured; or

**b.** Included as an Insured and is sponsored:

**(1)** Solely by another Insured; or

**(2)** Jointly by another Insured and an employee organization, including a labor organization, solely for the benefit of that Insured's "employees".

**14.** "ERISA employee benefit plan" means any welfare or pension benefit plan that is subject to the Employee Retirement Income Security Act of 1974 (ERISA) and any amendments thereto.

**15.** "ERISA plan official":

**a.** Means any natural person who is:

**(1)** An administrator, fiduciary, director, trustee, manager or "employee" of an "ERISA employee benefit plan"; or

**(2)** A director, trustee or "employee" of an Insured sponsoring an "ERISA employee benefit plan", while that person is engaged in handling "money", "securities" or "other property" of such plan.

**b.** Does not mean:

Any agent, broker, financial institution, registered representative, investment advisor, independent contractor or representative of the same general character.

**16.** "Financial institution" means:

**a.** With regard to Insuring Agreement **A.3.:**

**(1)** A bank, savings bank, savings and loan association, trust company, credit union or similar depository institution; or

**(2)** An insurance company.

**b.** With regard to Insuring Agreement **A.6.:**

**(1)** A bank, savings bank, savings and loan association, trust company, credit union or similar depository institution;

**(2)** An insurance company; or

**(3)** A stock brokerage firm or investment company.

**c.** For Insuring Agreements other than Insuring Agreements **A.3.** and **A.6.,** any financial institution.

**17.** "Financial institution premises" means the interior of that portion of any building occupied by a "financial institution" listed in Paragraph **16.a.**

**18.** "Forgery" means the signing of the name of another person or entity with intent to deceive; it does not mean a signature which consists in whole or in part of one's own name signed with or without authority, in any capacity, for any purpose.

**19.** "Fraud or dishonesty" means larceny, theft, embezzlement, forgery, misappropriation, wrongful abstraction, wrongful conversion, willful misapplication or other fraudulent or dishonest act, including any act or arrangement prohibited by title 18, section 1954 of the U.S. Code.

**20.** "Manager" means a natural person serving in a directorial capacity for a limited liability company.

**21.** "Member" means an owner of a limited liability company represented by its membership interest who, if a natural person, may also serve as a "manager".

**22.** "Messenger" means you, or your relative, or any of your partners, "members" or "employees" while having care and custody of property outside the "premises".

**23.** "Money" means:

**a.** Currency, coins and bank notes in current use and having a face value;

**b.** Traveler's checks and money orders held for sale to the public; and

**c.** In addition, includes:

**(1)** Under Insuring Agreements **A.1.a., A.1.b., A.1.c.** and **A.2.,** deposits in your account at any "financial institution"; and

**(2)** Under Insuring Agreement **A.6.,** deposits in your account at any "financial institution" listed in Paragraph **F.16.b.**

**24.** "Non-ERISA employee benefit plan" means any welfare or pension benefit plan other than an "ERISA employee benefit plan".

**25.** "Occurrence" means:

**a.** Under Insuring Agreements **A.1.a.** and **A.1.c.:**

**(1)** An individual act;

**(2)** The combined total of all separate acts, whether or not related; or

**(3)** A series of acts, whether or not related;

committed by an "employee" acting alone or in collusion with other persons, during the Policy Period shown in the Declarations, except as provided under the Loss Sustained During Prior Insurance Conditions **E.1.l.** and **E.1.m.**

**b.** Under Insuring Agreement **A.1.b.:**

**(1)** An individual act;

**(2)** The combined total of all separate acts, whether or not related; or

**(3)** A series of acts, whether or not related;

committed by an "ERISA plan official" acting alone or in collusion with other persons, during the Policy Period shown in the Declarations, except as provided under the Loss Sustained During Prior Insurance Conditions **E.1.l.** and **E.1.m.**

**c.** Under Insuring Agreement **A.2.:**

**(1)** An individual act;

**(2)** The combined total of all separate acts, whether or not related; or

**(3)** A series of acts, whether or not related;

committed by a person acting alone or in collusion with other persons, involving one or more instruments, during the Policy Period shown in the Declarations, except as provided under the Loss Sustained During Prior Insurance Conditions **E.1.l.** and **E.1.m.**

**d.** Under all other Insuring Agreements:

**(1)** An individual act or event;

**(2)** The combined total of all separate acts or events, whether or not related; or

**(3)** A series of acts or events, whether or not related;

committed by a person acting alone or in collusion with other persons, or not committed by any person, during the Policy Period shown in the Declarations, except as provided under the Loss Sustained During Prior Insurance Conditions **E.1.l.** and **E.1.m.**

**26.** "Other property" means any tangible property other than "money" and "securities" that has intrinsic value. "Other property" does not include "computer programs", "electronic data" or any property specifically excluded under this insurance.

**27.** "Premises" means the interior of that portion of any building you occupy in conducting your business.

**28.** "Robbery" means the unlawful taking of property from the care and custody of a person by one who has:

**a.** Caused or threatened to cause that person bodily harm; or

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**b.** Committed an obviously unlawful act witnessed by that person.

**29.** "Safe burglary" means the unlawful taking of:

**a.** Property from within a locked safe or vault by a person unlawfully entering the safe or vault as evidenced by marks of forcible entry upon its exterior; or

**b.** A safe or vault from inside the "premises".

**30.** "Securities" means negotiable and nonnegotiable instruments or contracts representing either "money" or property and includes:

**a.** Tokens, tickets, revenue and other stamps (whether represented by actual stamps or unused value in a meter) in current use; and

**b.** Evidences of debt issued in connection with credit or charge cards, which cards are not issued by you;

but does not include "money".

**31.** "Subsidiary":

**a.** Means any entity covered under this insurance:

**(1)** In which on or before the effective date of this insurance you own, directly or indirectly, greater than 50% of the outstanding securities or voting rights representing the present right to elect, appoint, or exercise a majority control over such entity's board of directors, board of trustees or functional equivalent thereof; or

**(2)** That you form or acquire during the Policy Period shown in the Declarations in which you own, directly or indirectly, greater than 50% of the outstanding securities or voting rights representing the present right to elect, appoint or exercise a majority control over such entity's board of directors, board of trustees or functional equivalent thereof, subject to Paragraph **E.1.d.(2)** of the Consolidation – Merger – Acquisition Condition.

**b.** Does not mean:

Any joint venture or partnership in which you have an ownership interest, unless the joint venture or partnership is added as an Insured by endorsement.

**32.** "Theft" means:

**a.** The unlawful taking of property to the deprivation of the Insured; or

**b.** Solely with regard to Insuring Agreement **A.1.c.,** the unlawful taking of property to the deprivation of a "client".

**33.** "Transfer account" means an account maintained by you at a "financial institution" from which you can initiate the transfer, payment or delivery of "money" or "securities".

**34.** "Transfer instruction" means:

**a.** With regard to Insuring Agreement **A.6.b.,** an instruction received by a "financial institution", which is transmitted:

**(1)** By email, text message, instant message, telefacsimile, telephone or other electronic means; or

**(2)** In writing, other than an instrument covered under Insuring Agreement **A.2.;**

directing the "financial institution" to transfer, pay or deliver "money" or "securities" from your "transfer account" to a person, entity or account beyond your control.

**b.** With regard to Insuring Agreement **A.7.,** an instruction received by you, which is transmitted:

**(1)** By email, text message, instant message, telefacsimile, telephone or other electronic means; or

**(2)** In writing;

directing you to transfer, pay or deliver "money" or "securities" to a person, entity or account beyond your control.

**35.** "Vendor" means a natural person or entity that provides or has provided goods or services to you pursuant to a written agreement but does not include any financial institution or armored motor vehicle company.

**36.** "Watchperson" means any person you retain specifically to have care and custody of property inside the "premises" and who has no other duties.

**THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.**

# WISCONSIN CHANGES

This endorsement modifies insurance provided under the following:

COMMERCIAL CRIME COVERAGE FORM
GOVERNMENT CRIME COVERAGE FORM
KIDNAP/RANSOM AND EXTORTION COVERAGE FORM

**A.** Under the Commercial Crime Coverage Form and Government Crime Coverage Form, the following is added to Paragraph **(b)** of the **Duties In The Event Of Loss** Condition:

If you file proof of loss as soon as possible and within one year after the time limit, your failure to file proof of loss within the time limit will not invalidate or reduce any claim by you unless we are prejudiced by that failure and it was reasonably possible to meet the time limit.

**B.** Under the Kidnap/Ransom And Extortion Coverage Form, the following is added to the **Duties In The Event Of An Occurrence** Condition:

If you file proof of loss as soon as possible and within one year after the time limit, your failure to file proof of loss within the limit will not invalidate or reduce any claim by you unless we are prejudiced by that failure and it was reasonably possible to meet the time limit.

**C.** Under the Commercial Crime Coverage Form and Government Crime Coverage Form, the **Legal Action Against Us** Condition is replaced by the following:

**Legal Action Against Us**

You may not bring any legal action against us involving loss:

**1.** Until 60 days after you have filed proof of loss with us; and

**2.** Unless brought within two years from the date the loss was "discovered".

**D.** Under the Kidnap/Ransom And Extortion Coverage Form, the **Legal Action Against Us** Condition is replaced by the following:

**Legal Action Against Us**

You may not bring any legal action against us involving loss:

**1.** Until 60 days after you have filed proof of loss with us; and

**2.** Unless brought within two years from the date you reported the loss to us.

**E.** The following is added to the **Transfer Of Your Rights Of Recovery Against Others To Us** Condition:

We will be entitled to a recovery only after you have been fully compensated for damages.

**F.** The following are added to Section **E. Conditions:**

**1. Knowledge And Acts Of Agents**

**a.** If any of our agents knows any fact that breaches a condition of this insurance, we will be considered to know it also if that fact:

**(1)** Is known to the agent at the time the insurance is issued or an application made; or

**(2)** Later becomes known to the agent in the course of his or her dealings as an agent with you.

**b.** Any fact that breaches a condition of this insurance and is known to the agent before the loss will not:

**(1)** Void this insurance; or

**(2)** Prevent a recovery in the event of loss.

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**2. Conformity To Statute Or Rule**

Any provision of this Coverage Part (including endorsements which modify the Coverage Part) that is in conflict with a Wisconsin statute or rule is hereby amended to conform to that statute or rule.

The term rule means a valid rule promulgated by the Commissioner of Insurance in accordance with the rule-making authority conferred under Wis. Stat. Ann. Section 227.11(2) and published in the Wisconsin Administrative Code.


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West Bend Insurance Company
1900 S. 18th Ave. | West Bend, WI 53095

Renewal

## Commercial Liability Umbrella Coverage Declarations

**Customer Number:** 0110116385
**Policy Number:** A848246 05

**Policy Period:** 01/01/2026 to 01/01/2027
at 12:01 AM Standard Time at Your Mailing Address Shown Below

**Named Insured and Address:**
Locksley, Inc
DBA Paul Davis Restoration of South Central WI
3432A County Rd N
Cottage Grove, WI 53527-9508

**Agency Name and Address:** 48508
R & R INSURANCE SERVICES INC
N14W23900 STONE RIDGE DR
WAUKESHA, WI 53188
262-574-7000

### Limits of Insurance

| | |
|---|---|
| Aggregate Limit (Except with Respect to "Covered Autos") | $5,000,000 |
| Personal and Advertising Injury Limit | $5,000,000 |
| Each Occurrence | $5,000,000 |
| Terrorism Risk Insurance Act | Included |
| **Umbrella Premium** | $25,231 |

**This is not a bill.** A billing invoice will be sent separately.

See attached schedule for forms applicable to all coverage parts.

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Renewal

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262-574-7000

## Retained Limit

| | |
|---|---|
| Self-Insured Retention | Waived |

## Schedule of Underlying Insurance

### General Liability

Insurer: West Bend Insurance Company

Policy Number: A848246 — Policy Term: Refer to Underlying Policy

Coverage Form: Occurrence

Limits of Insurance:

| | |
|---|---|
| Each Occurrence Limit | $1,000,000 |
| Personal and Advertising Injury | $1,000,000 |
| Products/Completed Operations Aggregate | $2,000,000 |
| General Aggregate (other than Products/Completed Operations) | $2,000,000 |

### Employee Benefits Liability

Insurer: West Bend Insurance Company

Policy Number: A848246 — Policy Term: Refer to Underlying Policy

Coverage Form: Claims-Made

| | |
|---|---|
| Each Employee | $1,000,000 |
| Aggregate Limit | $1,000,000 |

West Bend Insurance Company
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Renewal

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WAUKESHA, WI 53188
262-574-7000

### Automobile Liability

Insurer: West Bend Insurance Company

Policy Number: A848246

Policy Term: Refer to Underlying Policy

Limits of Insurance:

| | |
|---|---|
| Each Accident | $1,000,000 |

### Employer's Liability

Insurer: West Bend Insurance Company

Policy Number: A848250

Policy Term: Refer to Underlying Policy

Limits of Insurance:

| | |
|---|---|
| Bodily Injury by Accident – Each Accident | $500,000 |
| Bodily Injury by Disease – Each Employee | $500,000 |
| Bodily Injury by Disease – Policy Limit | $500,000 |

West Bend Insurance Company
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Renewal

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### Miscellaneous and Endorsement Premium Schedule

| Description | Form Number | Premium |
|---|---|---|
| Amendment of Other Insurance Condition - Blanket | WB1787 | $1,330 |
| Terrorism Risk Insurance Act | CU2130 | No Charge |
| | Total Miscellaneous and Endorsement Premium: | $1,330 |

West Bend Insurance Company
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Renewal

## Commercial Liability Umbrella Coverage Declarations

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### Forms Schedule

| Number | Edition | Description |
|---|---|---|
| CU0001 | 0413 | COMMERCIAL LIABILITY UMBRELLA COVERAGE FORM |
| CU0403 | 1219 | EMPLOYEE BENEFITS LIABILITY COVERAGE (CLAIMS-MADE) |
| CU2123 | 0202 | NUCLEAR ENERGY LIABILITY EXCLUSION ENDORSEMENT |
| CU2125 | 1201 | TOTAL POLLUTION EXCLUSION ENDORSEMENT |
| CU2126 | 0413 | EXCLUSION - CROSS SUITS LIABILITY |
| CU2127 | 1204 | FUNGI OR BACTERIA EXCLUSION |
| CU2130 | 0115 | CAP ON LOSSES FROM CERTIFIED ACTS OF TERRORISM |
| CU2150 | 0305 | SILICA OR SILICA-RELATED DUST EXCLUSION |
| CU2171 | 0615 | EXCLUSION - UNMANNED AIRCRAFT |
| CU2186 | 1223 | EXCLUSION - ACCESS OR DISCLOSURE OF CONFIDENTIAL OR PERSONAL MATERIAL OR INFORMATION |
| CU2190 | 1220 | PUBLIC OR LIVERY PASSENGER CONVEYANCE AND ON-DEMAND DELIVERY SERVICES EXCLUSION |
| CU2403 | 1220 | WAIVER OF TRANSFER OF RIGHTS OF RECOVERY AGAINST OTHERS TO US (WAIVER OF SUBROGATION) |
| CU3413Y | 1219 | AMENDMENT OF LIQUOR LIABILITY EXCLUSION - LIMITED EXCEPTION FOR BRING YOUR OWN ALCOHOL |
| CU3444 | 0922 | BROAD ABUSE OR MOLESTATION EXCLUSION |
| CU3454 | 0523 | EXCLUSION - PERFLUOROALKYL AND POLYFLUOROALKYL SUBSTANCES (PFAS) |

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### Forms Schedule

| Number | Edition | Description |
|---|---|---|
| CU3456 | 1223 | EXCLUSION - CYBER INCIDENT |
| CU7908 | 1125 | CONTRACTOR'S LIMITATION ENDORSEMENT |
| WB1061 | 1125 | EXCLUSION - CLAIMS MADE COVERAGE FORMS |
| WB1468CU | 1125 | EXCLUSION - ASBESTOS OR ASBESTOS PRODUCTS |
| WB1787 | 1125 | AMENDMENT OF OTHER INSURANCE CONDITION - BLANKET |
| WB1958CU | 1125 | EXCLUSION - LEAD LIABILITY |
| WB2312 | 1125 | YEAR 2000 COMPUTER-RELATED AND OTHER ELECTRONIC PROBLEMS FOLLOWING FORM ENDORSEMENT |
| WB307CU | 1125 | EXCLUSION - EXTERIOR INSULATION, FINISH OR COATINGS BY OR ON BEHALF OF THE INSURED |
| WB1392CU | 1125 | EXCLUSION – BIOMETRIC IDENTIFIERS OR BIOMETRIC DATA |
| WB39CU | 0225 | EXCLUSION - HUMAN TRAFFICKING |
| CU0107 | 1111 | WISCONSIN CHANGES |

# COMMERCIAL LIABILITY UMBRELLA COVERAGE FORM

Various provisions in this policy restrict coverage. Read the entire policy carefully to determine rights, duties and what is and is not covered.

Throughout this policy the words "you" and "your" refer to the Named Insured shown in the Declarations, and any other person or organization qualifying as a Named Insured under this policy. The words "we", "us" and "our" refer to the company providing this insurance.

The word "insured" means any person or organization qualifying as such under Section **II** – Who Is An Insured.

Other words and phrases that appear in quotation marks have special meaning. Refer to Section **V** – Definitions.

**SECTION I – COVERAGES**

**COVERAGE A – BODILY INJURY AND PROPERTY DAMAGE LIABILITY**

**1. Insuring Agreement**

**a.** We will pay on behalf of the insured the "ultimate net loss" in excess of the "retained limit" because of "bodily injury" or "property damage" to which this insurance applies. We will have the right and duty to defend the insured against any "suit" seeking damages for such "bodily injury" or "property damage" when the "underlying insurance" does not provide coverage or the limits of "underlying insurance" have been exhausted. When we have no duty to defend, we will have the right to defend, or to participate in the defense of, the insured against any other "suit" seeking damages to which this insurance may apply. However, we will have no duty to defend the insured against any "suit" seeking damages for "bodily injury" or "property damage" to which this insurance does not apply. At our discretion, we may investigate any "occurrence" that may involve this insurance and settle any resultant claim or "suit" for which we have the duty to defend. But:

**(1)** The amount we will pay for the "ultimate net loss" is limited as described in Section **III** – Limits Of Insurance; and

**(2)** Our right and duty to defend ends when we have used up the applicable limit of insurance in the payment of judgments or settlements under Coverages **A** or **B.**

No other obligation or liability to pay sums or perform acts or services is covered unless explicitly provided for under Supplementary Payments – Coverages **A** and **B.**

**b.** This insurance applies to "bodily injury" or "property damage" that is subject to an applicable "retained limit". If any other limit, such as a sublimit, is specified in the "underlying insurance", this insurance does not apply to "bodily injury" or "property damage" arising out of that exposure unless that limit is specified in the Declarations under the Schedule of "underlying insurance".

**c.** This insurance applies to "bodily injury" and "property damage" only if:

**(1)** The "bodily injury" or "property damage" is caused by an "occurrence" that takes place in the "coverage territory";

**(2)** The "bodily injury" or "property damage" occurs during the policy period; and

**(3)** Prior to the policy period, no insured listed under Paragraph **1.a.** of Section **II** – Who Is An Insured and no "employee" authorized by you to give or receive notice of an "occurrence" or claim, knew that the "bodily injury" or "property damage" had occurred, in whole or in part. If such a listed insured or authorized "employee" knew, prior to the policy period, that the "bodily injury" or "property damage" occurred, then any continuation, change or resumption of such "bodily injury" or "property damage" during or after the policy period will be deemed to have been known prior to the policy period.

**d.** "Bodily injury" or "property damage" which occurs during the policy period and was not, prior to the policy period, known to have occurred by any insured listed under Paragraph **1.a.** of Section **II** – Who Is An Insured or any "employee" authorized by you to give or receive notice of an "occurrence" or claim, includes any continuation, change or resumption of that "bodily injury" or "property damage" after the end of the policy period.

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**e.** "Bodily injury" or "property damage" will be deemed to have been known to have occurred at the earliest time when any insured listed under Paragraph **1.a.** of Section **II** – Who Is An Insured or any "employee" authorized by you to give or receive notice of an "occurrence" or claim:

**(1)** Reports all, or any part, of the "bodily injury" or "property damage" to us or any other insurer;

**(2)** Receives a written or verbal demand or claim for damages because of the "bodily injury" or "property damage"; or

**(3)** Becomes aware by any other means that "bodily injury" or "property damage" has occurred or has begun to occur.

**f.** Damages because of "bodily injury" include damages claimed by any person or organization for care, loss of services or death resulting at any time from the "bodily injury".

**2. Exclusions**

This insurance does not apply to:

**a. Expected Or Intended Injury**

"Bodily injury" or "property damage" expected or intended from the standpoint of the insured. This exclusion does not apply to "bodily injury" resulting from the use of reasonable force to protect persons or property.

**b. Contractual Liability**

"Bodily injury" or "property damage" for which the insured is obligated to pay damages by reason of the assumption of liability in a contract or agreement. This exclusion does not apply to liability for damages:

**(1)** That the insured would have in the absence of the contract or agreement; or

**(2)** Assumed in a contract or agreement that is an "insured contract", provided the "bodily injury" or "property damage" occurs subsequent to the execution of the contract or agreement. Solely for the purposes of liability assumed in an "insured contract", reasonable attorneys' fees and necessary litigation expenses incurred by or for a party other than an insured are deemed to be damages because of "bodily injury" or "property damage", provided:

**(a)** Liability to such party for, or for the cost of, that party's defense has also been assumed in the same "insured contract"; and

**(b)** Such attorneys' fees and litigation expenses are for defense of that party against a civil or alternative dispute resolution proceeding in which damages to which this insurance applies are alleged.

**c. Liquor Liability**

"Bodily injury" or "property damage" for which any insured may be held liable by reason of:

**(1)** Causing or contributing to the intoxication of any person;

**(2)** The furnishing of alcoholic beverages to a person under the legal drinking age or under the influence of alcohol; or

**(3)** Any statute, ordinance or regulation relating to the sale, gift, distribution or use of alcoholic beverages.

This exclusion applies even if the claims against any insured allege negligence or other wrongdoing in:

**(a)** The supervision, hiring, employment, training or monitoring of others by that insured; or

**(b)** Providing or failing to provide transportation with respect to any person that may be under the influence of alcohol;

if the "occurrence" which caused the "bodily injury" or "property damage" involved that which is described in Paragraph **(1), (2)** or **(3)** above.

However, this exclusion applies only if you are in the business of manufacturing, distributing, selling, serving or furnishing alcoholic beverages. For the purposes of this exclusion, permitting a person to bring alcoholic beverages on your premises, for consumption on your premises, whether or not a fee is charged or a license is required for such activity, is not by itself considered the business of selling, serving or furnishing alcoholic beverages.

This exclusion does not apply to the extent that valid "underlying insurance" for the liquor liability risks described above exists or would have existed but for the exhaustion of underlying limits for "bodily injury" and "property damage". To the extent this exclusion does not apply, the insurance provided under this Coverage Part for the liquor liability risks described above will follow the same provisions, exclusions and limitations that are contained in the applicable "underlying insurance", unless otherwise directed by this insurance.

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**d. Workers' Compensation And Similar Laws**

Any obligation of the insured under a workers' compensation, disability benefits or unemployment compensation law or any similar law.

**e. ERISA**

Any obligation of the insured under the Employee Retirement Income Security Act of 1974 (ERISA), and any amendments thereto or any similar federal, state or local statute.

**f. Auto Coverages**

**(1)** "Bodily injury" or "property damage" arising out of the ownership, maintenance or use of any "auto" which is not a "covered auto"; or

**(2)** Any loss, cost or expense payable under or resulting from any first-party physical damage coverage; no-fault law; personal injury protection or auto medical payments coverage; or uninsured or underinsured motorist law.

**g. Employer's Liability**

"Bodily injury" to:

**(1)** An "employee" of the insured arising out of and in the course of:

**(a)** Employment by the insured; or

**(b)** Performing duties related to the conduct of the insured's business; or

**(2)** The spouse, child, parent, brother or sister of that "employee" as a consequence of Paragraph **(1)** above.

This exclusion applies whether the insured may be liable as an employer or in any other capacity, and to any obligation to share damages with or repay someone else who must pay damages because of the injury.

This exclusion does not apply to liability assumed by the insured under an "insured contract".

With respect to injury arising out of a "covered auto", this exclusion does not apply to "bodily injury" to domestic "employees" not entitled to workers' compensation benefits. For the purposes of this insurance, a domestic "employee" is a person engaged in household or domestic work performed principally in connection with a residence premises.

This exclusion does not apply to the extent that valid "underlying insurance" for the employer's liability risks described above exists or would have existed but for the exhaustion of underlying limits for "bodily injury". To the extent this exclusion does not apply, the insurance provided under this Coverage Part for the employer's liability risks described above will follow the same provisions, exclusions and limitations that are contained in the applicable "underlying insurance", unless otherwise directed by this insurance.

**h. Employment-related Practices**

"Bodily injury" to:

**(1)** A person arising out of any:

**(a)** Refusal to employ that person;

**(b)** Termination of that person's employment; or

**(c)** Employment-related practices, policies, acts or omissions, such as coercion, demotion, evaluation, reassignment, discipline, defamation, harassment, humiliation, discrimination or malicious prosecution directed at that person; or

**(2)** The spouse, child, parent, brother or sister of that person as a consequence of "bodily injury" to that person at whom any of the employment-related practices described in Paragraph **(a), (b),** or **(c)** above is directed.

This exclusion applies whether the injury-causing event described in Paragraph **(a), (b)** or **(c)** above occurs before employment, during employment or after employment of that person.

This exclusion applies whether the insured may be liable as an employer or in any other capacity, and to any obligation to share damages with or repay someone else who must pay damages because of the injury.

**i. Pollution**

**(1)** "Bodily injury" or "property damage" which would not have occurred in whole or part but for the actual, alleged or threatened discharge, dispersal, seepage, migration, release or escape of "pollutants" at any time; or

**(2)** "Pollution cost or expense".

This exclusion does not apply if valid "underlying insurance" for the pollution liability risks described above exists or would have existed but for the exhaustion of underlying limits for "bodily injury" and "property damage". To the extent this exclusion does not apply, the insurance provided under this Coverage Part for the pollution risks described above will follow the same provisions, exclusions and limitations that are contained in the applicable "underlying insurance", unless otherwise directed by this insurance.

**j. Aircraft Or Watercraft**

"Bodily injury" or "property damage" arising out of the ownership, maintenance, use or entrustment to others of any aircraft or watercraft owned or operated by or rented or loaned to any insured. Use includes operation and "loading or unloading".

This exclusion applies even if the claims against any insured allege negligence or other wrongdoing in the supervision, hiring, employment, training or monitoring of others by that insured, if the "occurrence" which caused the "bodily injury" or "property damage" involved the ownership, maintenance, use or entrustment to others of any aircraft or watercraft that is owned or operated by or rented or loaned to any insured.

This exclusion does not apply to:

**(1)** A watercraft while ashore on premises you own or rent;

**(2)** A watercraft you do not own that is:

**(a)** Less than 50 feet long; and

**(b)** Not being used to carry persons or property for a charge;

**(3)** Liability assumed under any "insured contract" for the ownership, maintenance or use of aircraft or watercraft;

**(4)** The extent that valid "underlying insurance" for the aircraft or watercraft liability risks described above exists or would have existed but for the exhaustion of underlying limits for "bodily injury" or "property damage". To the extent this exclusion does not apply, the insurance provided under this Coverage Part for the aircraft or watercraft risks described above will follow the same provisions, exclusions and limitations that are contained in the "underlying insurance", unless otherwise directed by this insurance; or

**(5)** Aircraft that is:

**(a)** Chartered by, loaned to, or hired by you with a paid crew; and

**(b)** Not owned by any insured.

**k. Racing Activities**

"Bodily injury" or "property damage" arising out of the use of "mobile equipment" or "autos" in, or while in practice for, or while being prepared for, any prearranged professional or organized racing, speed, demolition, or stunting activity or contest.

**l. War**

"Bodily injury" or "property damage", however caused, arising, directly or indirectly, out of:

**(1)** War, including undeclared or civil war;

**(2)** Warlike action by a military force, including action in hindering or defending against an actual or expected attack, by any government, sovereign or other authority using military personnel or other agents; or

**(3)** Insurrection, rebellion, revolution, usurped power, or action taken by governmental authority in hindering or defending against any of these.

**m. Damage To Property**

"Property damage" to:

**(1)** Property:

**(a)** You own, rent, or occupy, including any costs or expenses incurred by you, or any other person, organization or entity, for repair, replacement, enhancement, restoration or maintenance of such property for any reason, including prevention of injury to a person or damage to another's property; or

**(b)** Owned or transported by the insured and arising out of the ownership, maintenance or use of a "covered auto".

**(2)** Premises you sell, give away or abandon, if the "property damage" arises out of any part of those premises;

**(3)** Property loaned to you;

**(4)** Personal property in the care, custody or control of the insured;

**(5)** That particular part of real property on which you or any contractors or subcontractors working directly or indirectly on your behalf are performing operations, if the "property damage" arises out of those operations; or

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**(6)** That particular part of any property that must be restored, repaired or replaced because "your work" was incorrectly performed on it.

Paragraph **(2)** of this exclusion does not apply if the premises are "your work" and were never occupied, rented or held for rental by you.

Paragraphs **(1)(b), (3), (4), (5)** and **(6)** of this exclusion do not apply to liability assumed under a sidetrack agreement.

Paragraphs **(3)** and **(4)** of this exclusion do not apply to liability assumed under a written Trailer Interchange agreement.

Paragraph **(6)** of this exclusion does not apply to "property damage" included in the "products-completed operations hazard".

**n. Damage To Your Product**

"Property damage" to "your product" arising out of it or any part of it.

**o. Damage To Your Work**

"Property damage" to "your work" arising out of it or any part of it and included in the "products-completed operations hazard".

This exclusion does not apply if the damaged work or the work out of which the damage arises was performed on your behalf by a subcontractor.

**p. Damage To Impaired Property Or Property Not Physically Injured**

"Property damage" to "impaired property" or property that has not been physically injured, arising out of:

**(1)** A defect, deficiency, inadequacy or dangerous condition in "your product" or "your work"; or

**(2)** A delay or failure by you or anyone acting on your behalf to perform a contract or agreement in accordance with its terms.

This exclusion does not apply to the loss of use of other property arising out of sudden and accidental physical injury to "your product" or "your work" after it has been put to its intended use.

**q. Recall Of Products, Work Or Impaired Property**

Damages claimed for any loss, cost or expense incurred by you or others for the loss of use, withdrawal, recall, inspection, repair, replacement, adjustment, removal or disposal of:

**(1)** "Your product";

**(2)** "Your work"; or

**(3)** "Impaired property";

if such product, work, or property is withdrawn or recalled from the market or from use by any person or organization because of a known or suspected defect, deficiency, inadequacy or dangerous condition in it.

**r. Personal And Advertising Injury**

"Bodily injury" arising out of "personal and advertising injury".

**s. Professional Services**

"Bodily injury" or "property damage" due to rendering of or failure to render any professional service. This includes but is not limited to:

**(1)** Legal, accounting or advertising services;

**(2)** Preparing, approving, or failing to prepare or approve, maps, shop drawings, opinions, reports, surveys, field orders, change orders or drawings or specifications;

**(3)** Inspection, supervision, quality control, architectural or engineering activities done by or for you on a project on which you serve as construction manager;

**(4)** Engineering services, including related supervisory or inspection services;

**(5)** Medical, surgical, dental, X-ray or nursing services treatment, advice or instruction;

**(6)** Any health or therapeutic service treatment, advice or instruction;

**(7)** Any service, treatment, advice or instruction for the purpose of appearance or skin enhancement, hair removal or replacement, or personal grooming or therapy;

**(8)** Any service, treatment, advice or instruction relating to physical fitness, including service, treatment, advice or instruction in connection with diet, cardiovascular fitness, bodybuilding or physical training programs;

**(9)** Optometry or optical or hearing aid services including the prescribing, preparation, fitting, demonstration or distribution of ophthalmic lenses and similar products or hearing aid devices;

**(10)** Body piercing services;

**(11)** Services in the practice of pharmacy;

**(12)** Law enforcement or firefighting services; and

**(13)** Handling, embalming, disposal, burial, cremation or disinterment of dead bodies.

This exclusion applies even if the claims against any insured allege negligence or other wrongdoing in the supervision, hiring, employment, training or monitoring of others by that insured, if the "occurrence" which caused the "bodily injury" or "property damage", involved the rendering of or failure to render any professional service.

**t. Electronic Data**

Damages arising out of the loss of, loss of use of, damage to, corruption of, inability to access or inability to manipulate electronic data.

However, this exclusion does not apply to liability for damages because of "bodily injury".

As used in this exclusion, electronic data means information, facts or programs stored as or on, created or used on, or transmitted to or from computer software, including systems and applications software, hard or floppy disks, CD-ROMs, tapes, drives, cells, data processing devices or any other media which are used with electronically controlled equipment.

This exclusion does not apply if valid "underlying insurance" for the electronic data risks described above exists or would have existed but for the exhaustion of underlying limits for "bodily injury" and "property damage". The insurance provided under this Coverage Part will follow the same provisions, exclusions and limitations that are contained in the applicable "underlying insurance", unless otherwise directed by this insurance.

**u. Recording And Distribution Of Material Or Information In Violation Of Law**

"Bodily injury" or "property damage" arising directly or indirectly out of any action or omission that violates or is alleged to violate:

**(1)** The Telephone Consumer Protection Act (TCPA), including any amendment of or addition to such law;

**(2)** The CAN-SPAM Act of 2003, including any amendment of or addition to such law;

**(3)** The Fair Credit Reporting Act (FCRA), and any amendment of or addition to such law, including the Fair and Accurate Credit Transactions Act (FACTA); or

**(4)** Any federal, state or local statute, ordinance or regulation, other than the TCPA, CAN-SPAM Act of 2003 or FCRA and their amendments and additions, that addresses, prohibits, or limits the printing, dissemination, disposal, collecting, recording, sending, transmitting, communicating or distribution of material or information.

**COVERAGE B – PERSONAL AND ADVERTISING INJURY LIABILITY**

**1. Insuring Agreement**

**a.** We will pay on behalf of the insured the "ultimate net loss" in excess of the "retained limit" because of "personal and advertising injury" to which this insurance applies. We will have the right and duty to defend the insured against any "suit" seeking damages for such "personal and advertising injury" when the "underlying insurance" does not provide coverage or the limits of "underlying insurance" have been exhausted. When we have no duty to defend, we will have the right to defend, or to participate in the defense of, the insured against any other "suit" seeking damages to which this insurance may apply. However, we will have no duty to defend the insured against any "suit" seeking damages for "personal and advertising injury" to which this insurance does not apply. At our discretion, we may investigate any offense that may involve this insurance and settle any resultant claim or "suit" for which we have the duty to defend. But:

**(1)** The amount we will pay for the "ultimate net loss" is limited as described in Section **III** – Limits Of Insurance; and

**(2)** Our right and duty to defend end when we have used up the applicable limit of insurance in the payment of judgments or settlements under Coverages **A** or **B.**

No other obligation or liability to pay sums or perform acts or services is covered unless explicitly provided for under Supplementary Payments – Coverages **A** and **B.**

**b.** This insurance applies to "personal and advertising injury" that is subject to an applicable "retained limit". If any other limit, such as a sublimit, is specified in the "underlying insurance", this insurance does not apply to "personal and advertising injury" arising out of that exposure unless that limit is specified in the Declarations under the Schedule of "underlying insurance".

**c.** This insurance applies to "personal and advertising injury" caused by an offense arising out of your business but only if the offense was committed in the "coverage territory" during the policy period.

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**2. Exclusions**

This insurance does not apply to:

**a.** "Personal and advertising injury":

**(1) Knowing Violation Of Rights Of Another**

Caused by or at the direction of the insured with the knowledge that the act would violate the rights of another and would inflict "personal and advertising injury".

**(2) Material Published With Knowledge Of Falsity**

Arising out of oral or written publication, in any manner, of material, if done by or at the direction of the insured with knowledge of its falsity.

**(3) Material Published Prior To Policy Period**

Arising out of oral or written publication, in any manner, of material whose first publication took place before the beginning of the policy period.

**(4) Criminal Acts**

Arising out of a criminal act committed by or at the direction of the insured.

**(5) Contractual Liability**

For which the insured has assumed liability in a contract or agreement. This exclusion does not apply to:

**(a)** Liability for damages that the insured would have in the absence of the contract or agreement.

**(b)** Liability for false arrest, detention or imprisonment assumed in a contract or agreement.

**(6) Breach Of Contract**

Arising out of a breach of contract, except an implied contract to use another's advertising idea in your "advertisement".

**(7) Quality Or Performance Of Goods – Failure To Conform To Statements**

Arising out of the failure of goods, products or services to conform with any statement of quality or performance made in your "advertisement".

**(8) Wrong Description Of Prices**

Arising out of the wrong description of the price of goods, products or services stated in your "advertisement".

**(9) Infringement Of Copyright, Patent, Trademark Or Trade Secret**

Arising out of the infringement of copyright, patent, trademark, trade secret or other intellectual property rights. Under this exclusion, such other intellectual property rights do not include the use of another's advertising idea in your "advertisement".

However, this exclusion does not apply to infringement, in your "advertisement", of copyright, trade dress or slogan.

**(10) Insureds In Media And Internet Type Businesses**

Committed by an insured whose business is:

**(a)** Advertising, broadcasting, publishing or telecasting;

**(b)** Designing or determining content of web sites for others; or

**(c)** An Internet search, access, content or service provider.

However, this exclusion does not apply to Paragraphs **14.a., b.** and **c.** of "personal and advertising injury" under the Definitions section.

For the purposes of this exclusion, the placing of frames, borders or links, or advertising, for you or others anywhere on the Internet, is not by itself, considered the business of advertising, broadcasting, publishing or telecasting.

**(11) Electronic Chatrooms Or Bulletin Boards**

Arising out of an electronic chatroom or bulletin board the insured hosts, owns, or over which the insured exercises control.

**(12) Unauthorized Use Of Another's Name Or Product**

Arising out of the unauthorized use of another's name or product in your e-mail address, domain name or metatag, or any other similar tactics to mislead another's potential customers.

**(13) Pollution**

Arising out of the actual, alleged or threatened discharge, dispersal, seepage, migration, release or escape of "pollutants" at any time.

**(14) Employment-related Practices**

To:

**(a)** A person arising out of any:

**(i)** Refusal to employ that person;

**(ii)** Termination of that person's employment; or

**(iii)** Employment-related practices, policies, acts or omissions, such as coercion, demotion, evaluation, reassignment, discipline, defamation, harassment, humiliation, discrimination or malicious prosecution directed at that person; or

**(b)** The spouse, child, parent, brother or sister of that person as a consequence of "personal and advertising injury" to that person at whom any of the employment-related practices described in Paragraph **(i), (ii)** or **(iii)** above is directed.

This exclusion applies whether the injury-causing event described in Paragraph **(i), (ii)** or **(iii)** above occurs before employment, during employment or after employment of that person.

This exclusion applies whether the insured may be liable as an employer or in any other capacity, and to any obligation to share damages with or repay someone else who must pay damages because of the injury.

**(15) Professional Services**

Arising out of the rendering of or failure to render any professional service. This includes but is not limited to:

**(a)** Legal, accounting or advertising services;

**(b)** Preparing, approving, or failing to prepare or approve, maps, shop drawings, opinions, reports, surveys, field orders, change orders or drawings or specifications;

**(c)** Inspection, supervision, quality control, architectural or engineering activities done by or for you on a project on which you serve as construction manager;

**(d)** Engineering services, including related supervisory or inspection services;

**(e)** Medical, surgical, dental, X-ray or nursing services treatment, advice or instruction;

**(f)** Any health or therapeutic service treatment, advice or instruction;

**(g)** Any service, treatment, advice or instruction for the purpose of appearance or skin enhancement, hair removal or replacement, or personal grooming or therapy;

**(h)** Any service, treatment, advice or instruction relating to physical fitness, including service, treatment, advice or instruction in connection with diet, cardiovascular fitness, bodybuilding or physical training programs;

**(i)** Optometry or optical or hearing aid services including the prescribing, preparation, fitting, demonstration or distribution of ophthalmic lenses and similar products or hearing aid devices;

**(j)** Body piercing services;

**(k)** Services in the practice of pharmacy;

**(l)** Law enforcement or firefighting services; and

**(m)** Handling, embalming, disposal, burial, cremation or disinterment of dead bodies.

This exclusion applies even if the claims against any insured allege negligence or other wrongdoing in the supervision, hiring, employment, training or monitoring of others by that insured, if the offense which caused the "personal and advertising injury", involved the rendering of or failure to render any professional service.

**(16) War**

However caused, arising, directly or indirectly, out of:

**(a)** War, including undeclared or civil war;

**(b)** Warlike action by a military force, including action in hindering or defending against an actual or expected attack, by any government, sovereign or other authority using military personnel or other agents; or

**(c)** Insurrection, rebellion, revolution, usurped power, or action taken by governmental authority in hindering or defending against any of these.

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**(17) Recording And Distribution Of Material Or Information In Violation Of Law**

Arising directly or indirectly out of any action or omission that violates or is alleged to violate:

**(a)** The Telephone Consumer Protection Act (TCPA), including any amendment of or addition to such law;

**(b)** The CAN-SPAM Act of 2003, including any amendment of or addition to such law;

**(c)** The Fair Credit Reporting Act (FCRA), and any amendment of or addition to such law, including the Fair and Accurate Credit Transactions Act (FACTA); or

**(d)** Any federal, state or local statute, ordinance or regulation, other than the TCPA, CAN-SPAM Act of 2003 or FCRA and their amendments and additions, that addresses, prohibits, or limits the printing, dissemination, disposal, collecting, recording, sending, transmitting, communicating or distribution of material or information.

**b.** "Pollution cost or expense".

**SUPPLEMENTARY PAYMENTS – COVERAGES A AND B**

**1.** We will pay, with respect to any claim we investigate or settle, or any "suit" against an insured we defend, when the duty to defend exists:

**a.** All expenses we incur.

**b.** Up to $2,000 for cost of bail bonds (including bonds for related traffic law violations) required because of an "occurrence" we cover. We do not have to furnish these bonds.

**c.** The cost of bonds to release attachments, but only for bond amounts within the applicable limit of insurance. We do not have to furnish these bonds.

**d.** All reasonable expenses incurred by the insured at our request to assist us in the investigation or defense of the claim or "suit", including actual loss of earnings up to $250 a day because of time off from work.

**e.** All court costs taxed against the insured in the "suit". However, these payments do not include attorneys' fees or attorneys' expenses taxed against the insured.

**f.** Prejudgment interest awarded against the insured on that part of the judgment we pay. If we make an offer to pay the applicable limit of insurance, we will not pay any prejudgment interest based on that period of time after the offer.

**g.** All interest on the full amount of any judgment that accrues after entry of the judgment and before we have paid, offered to pay, or deposited in court the part of the judgment that is within the applicable limit of insurance.

These payments will not reduce the limits of insurance.

**2.** When we have the right but not the duty to defend the insured and elect to participate in the defense, we will pay our own expenses but will not contribute to the expenses of the insured or the "underlying insurer".

**3.** If we defend an insured against a "suit" and an indemnitee of the insured is also named as a party to the "suit", we will defend that indemnitee if all of the following conditions are met:

**a.** The "suit" against the indemnitee seeks damages for which the insured has assumed the liability of the indemnitee in a contract or agreement that is an "insured contract";

**b.** This insurance applies to such liability assumed by the insured;

**c.** The obligation to defend, or the cost of the defense of, that indemnitee, has also been assumed by the insured in the same "insured contract";

**d.** The allegations in the "suit" and the information we know about the "occurrence" are such that no conflict appears to exist between the interests of the insured and the interests of the indemnitee;

**e.** The indemnitee and the insured ask us to conduct and control the defense of that indemnitee against such "suit" and agree that we can assign the same counsel to defend the insured and the indemnitee; and

**f.** The indemnitee:

**(1)** Agrees in writing to:

**(a)** Cooperate with us in the investigation, settlement or defense of the "suit";

**(b)** Immediately send us copies of any demands, notices, summonses or legal papers received in connection with the "suit";

**(c)** Notify any other insurer whose coverage is available to the indemnitee; and

**(d)** Cooperate with us with respect to coordinating other applicable insurance available to the indemnitee; and

**(2)** Provides us with written authorization to:

**(a)** Obtain records and other information related to the "suit"; and

**(b)** Conduct and control the defense of the indemnitee in such "suit".

So long as the above conditions are met, attorneys' fees incurred by us in the defense of that indemnitee, necessary litigation expenses incurred by us and necessary litigation expenses incurred by the indemnitee at our request will be paid as Supplementary Payments. Notwithstanding the provisions of Paragraph **2.b.(2)** of Section **I** – Coverage **A** – Bodily Injury And Property Damage Liability, such payments will not be deemed to be damages for "bodily injury" and "property damage" and will not reduce the limits of insurance.

Our obligation to defend an insured's indemnitee and to pay for attorneys' fees and necessary litigation expenses as Supplementary Payments ends when we have used up the applicable limit of insurance in the payment of judgments or settlements or the conditions set forth above, or the terms of the agreement described in Paragraph **f.** above, are no longer met.

**SECTION II – WHO IS AN INSURED**

**1.** Except for liability arising out of the ownership, maintenance or use of "covered autos":

**a.** If you are designated in the Declarations as:

**(1)** An individual, you and your spouse are insureds, but only with respect to the conduct of a business of which you are the sole owner.

**(2)** A partnership or joint venture, you are an insured. Your members, your partners, and their spouses are also insureds, but only with respect to the conduct of your business.

**(3)** A limited liability company, you are an insured. Your members are also insureds, but only with respect to the conduct of your business. Your managers are insureds, but only with respect to their duties as your managers.

**(4)** An organization other than a partnership, joint venture or limited liability company, you are an insured. Your "executive officers" and directors are insureds, but only with respect to their duties as your officers or directors. Your stockholders are also insureds, but only with respect to their liability as stockholders.

**(5)** A trust, you are an insured. Your trustees are also insureds, but only with respect to their duties as trustees.

**b.** Each of the following is also an insured:

**(1)** Your "volunteer workers" only while performing duties related to the conduct of your business, or your "employees", other than either your "executive officers" (if you are an organization other than a partnership, joint venture or limited liability company) or your managers (if you are a limited liability company), but only for acts within the scope of their employment by you or while performing duties related to the conduct of your business. However, none of these "employees" or "volunteer workers" are insureds for:

**(a)** "Bodily injury" or "personal and advertising injury":

**(i)** To you, to your partners or members (if you are a partnership or joint venture), to your members (if you are a limited liability company), to a co-"employee" in the course of his or her employment or performing duties related to the conduct of your business or to your other "volunteer workers" while performing duties related to the conduct of your business;

**(ii)** To the spouse, child, parent, brother or sister of that co-"employee" or "volunteer worker" as a consequence of Paragraph **(a)(i)** above; or

**(iii)** For which there is any obligation to share damages with or repay someone else who must pay damages because of the injury described in Paragraph **(a)(i)** or **(ii)** above.

**(b)** "Property damage" to property:

**(i)** Owned, occupied or used by;

**(ii)** Rented to, in the care, custody or control of, or over which physical control is being exercised for any purpose by;

you, any of your "employees", "volunteer workers", any partner or member (if you are a partnership or joint venture), or any member (if you are a limited liability company).

**(2)** Any person (other than your "employee" or "volunteer worker"), or any organization while acting as your real estate manager.

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**(3)** Any person or organization having proper temporary custody of your property if you die, but only:

**(a)** With respect to liability arising out of the maintenance or use of that property; and

**(b)** Until your legal representative has been appointed.

**(4)** Your legal representative if you die, but only with respect to duties as such. That representative will have all your rights and duties under this Coverage Part.

**c.** Any organization you newly acquire or form, other than a partnership, joint venture or limited liability company, and over which you maintain ownership or majority interest, will qualify as a Named Insured if there is no other similar insurance available to that organization. However:

**(1)** Coverage under this provision is afforded only until the 90th day after you acquire or form the organization or the end of the policy period, whichever is earlier;

**(2)** Coverage **A** does not apply to "bodily injury" or "property damage" that occurred before you acquired or formed the organization; and

**(3)** Coverage **B** does not apply to "personal and advertising injury" arising out of an offense committed before you acquired or formed the organization.

**2.** Only with respect to liability arising out of the ownership, maintenance or use of "covered autos":

**a.** You are an insured.

**b.** Anyone else while using with your permission a "covered auto" you own, hire or borrow is also an insured except:

**(1)** The owner or anyone else from whom you hire or borrow a "covered auto". This exception does not apply if the "covered auto" is a trailer or semitrailer connected to a "covered auto" you own.

**(2)** Your "employee" if the "covered auto" is owned by that "employee" or a member of his or her household.

**(3)** Someone using a "covered auto" while he or she is working in a business of selling, servicing, repairing, parking or storing "autos" unless that business is yours.

**(4)** Anyone other than your "employees", partners (if you are a partnership), members (if you are a limited liability company), or a lessee or borrower or any of their "employees", while moving property to or from a "covered auto".

**(5)** A partner (if you are a partnership), or a member (if you are a limited liability company) for a "covered auto" owned by him or her or a member of his or her household.

**(6)** "Employees" with respect to "bodily injury" to:

**(a)** Any fellow "employee" of the insured arising out of and in the course of the fellow "employee's" employment or while performing duties related to the conduct of your business; or

**(b)** The spouse, child, parent, brother or sister of that fellow "employee" as a consequence of Paragraph **(a)** above.

**c.** Anyone liable for the conduct of an insured described above is also an insured, but only to the extent of that liability.

**3.** Any additional insured under any policy of "underlying insurance" will automatically be an insured under this insurance.

Subject to Section **III** – Limits Of Insurance, if coverage provided to the additional insured is required by a contract or agreement, the most we will pay on behalf of the additional insured is the amount of insurance:

**a.** Required by the contract or agreement, less any amounts payable by any "underlying insurance"; or

**b.** Available under the applicable Limits of Insurance shown in the Declarations;

whichever is less.

Additional insured coverage provided by this insurance will not be broader than coverage provided by the "underlying insurance".

No person or organization is an insured with respect to the conduct of any current or past partnership, joint venture or limited liability company that is not shown as a Named Insured in the Declarations.

## SECTION III – LIMITS OF INSURANCE

**1.** The Limits of Insurance shown in the Declarations and the rules below fix the most we will pay regardless of the number of:

**a.** Insureds;

**b.** Claims made, "suits" brought, or number of vehicles involved; or

**c.** Persons or organizations making claims or bringing "suits".

**2.** The Aggregate Limit is the most we will pay for the sum of all "ultimate net loss" under:

**a.** Coverage **A,** except "ultimate net loss" because of "bodily injury" or "property damage" arising out of the ownership, maintenance or use of a "covered auto"; and

**b.** Coverage **B.**

**3.** Subject to Paragraph **2.** above, the Each Occurrence Limit is the most we will pay for the sum of all "ultimate net loss" under Coverage **A** because of all "bodily injury" and "property damage" arising out of any one "occurrence".

**4.** Subject to Paragraph **2.** above, the Personal And Advertising Injury Limit is the most we will pay under Coverage **B** for the sum of all "ultimate net loss" because of all "personal and advertising injury" sustained by any one person or organization.

**5.** If there is "underlying insurance" with a policy period that is nonconcurrent with the policy period of this Commercial Liability Umbrella Coverage Part, the "retained limit(s)" will only be reduced or exhausted by payments for:

**a.** "Bodily injury" or "property damage" which occurs during the policy period of this Coverage Part; or

**b.** "Personal and advertising injury" for offenses that are committed during the policy period of this Coverage Part.

However, if any "underlying insurance" is written on a claims-made basis, the "retained limit(s)" will only be reduced or exhausted by claims for that insurance that are made during the policy period, or any Extended Reporting Period, of this Coverage Part.

The Aggregate Limit, as described in Paragraph **2.** above, applies separately to each consecutive annual period and to any remaining period of less than 12 months, starting with the beginning of the policy period shown in the Declarations, unless the policy period is extended after issuance for an additional period of less than 12 months. In that case, the additional period will be deemed part of the last preceding period for purposes of determining the Limits of Insurance.

## SECTION IV – CONDITIONS

**1. Appeals**

If the "underlying insurer" or insured elects not to appeal a judgment in excess of the "retained limit", we may do so at our own expense. We will also pay for taxable court costs, pre- and postjudgment interest and disbursements associated with such appeal. In no event will this provision increase our liability beyond the applicable Limits of Insurance described in Section **III** – Limits Of Insurance.

**2. Bankruptcy**

**a. Bankruptcy Of Insured**

Bankruptcy or insolvency of the insured or of the insured's estate will not relieve us of our obligations under this Coverage Part.

**b. Bankruptcy Of Underlying Insurer**

Bankruptcy or insolvency of the "underlying insurer" will not relieve us of our obligations under this Coverage Part.

However, this insurance will not replace the "underlying insurance" in the event of bankruptcy or insolvency of the "underlying insurer". This insurance will apply as if the "underlying insurance" were in full effect.

**3. Duties In The Event Of Occurrence, Offense, Claim Or Suit**

**a.** You must see to it that we are notified as soon as practicable of an "occurrence" or an offense, regardless of the amount, which may result in a claim. To the extent possible, notice should include:

**(1)** How, when and where the "occurrence" or offense took place;

**(2)** The names and addresses of any injured persons and witnesses; and

**(3)** The nature and location of any injury or damage arising out of the "occurrence" or offense.

**b.** If a claim is made or "suit" is brought against any insured, you must:

**(1)** Immediately record the specifics of the claim or "suit" and the date received; and

**(2)** Notify us as soon as practicable.

You must see to it that we receive written notice of the claim or "suit" as soon as practicable.

**c.** You and any other involved insured must:

**(1)** Immediately send us copies of any demands, notices, summonses or legal papers received in connection with the claim or "suit";

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**(2)** Authorize us to obtain records and other information;

**(3)** Cooperate with us in the investigation or settlement of the claim or defense against the "suit"; and

**(4)** Assist us, upon our request, in the enforcement of any right against any person or organization which may be liable to the insured because of injury or damage to which this insurance may also apply.

**d.** No insured will, except at that insured's own cost, voluntarily make a payment, assume any obligation, or incur any expense, other than for first aid, without our consent.

**4. Legal Action Against Us**

No person or organization has a right under this Coverage Part:

**a.** To join us as a party or otherwise bring us into a "suit" asking for damages from an insured; or

**b.** To sue us on this Coverage Part unless all of its terms have been fully complied with.

A person or organization may sue us to recover on an agreed settlement or on a final judgment against an insured; but we will not be liable for damages that are not payable under the terms of this Coverage Part or that are in excess of the applicable limit of insurance. An agreed settlement means a settlement and release of liability signed by us, the insured and the claimant or the claimant's legal representative.

**5. Other Insurance**

**a.** This insurance is excess over, and shall not contribute with any of the other insurance, whether primary, excess, contingent or on any other basis. This condition will not apply to insurance specifically written as excess over this Coverage Part.

When this insurance is excess, we will have no duty under Coverages **A** or **B** to defend the insured against any "suit" if any other insurer has a duty to defend the insured against that "suit". If no other insurer defends, we will undertake to do so, but we will be entitled to the insured's rights against all those other insurers.

**b.** When this insurance is excess over other insurance, we will pay only our share of the "ultimate net loss" that exceeds the sum of:

**(1)** The total amount that all such other insurance would pay for the loss in the absence of the insurance provided under this Coverage Part; and

**(2)** The total of all deductible and self-insured amounts under all that other insurance.

**6. Premium Audit**

**a.** We will compute all premiums for this Coverage Part in accordance with our rules and rates.

**b.** Premium shown in this Coverage Part as advance premium is a deposit premium only. At the close of each audit period we will compute the earned premium for that period and send notice to the first Named Insured. The due date for audit and retrospective premiums is the date shown as the due date on the bill. If the sum of the advance and audit premiums paid for the policy period is greater than the earned premium, we will return the excess to the first Named Insured.

**c.** The first Named Insured must keep records of the information we need for premium computation, and send us copies at such times as we may request.

**7. Representations Or Fraud**

By accepting this policy, you agree:

**a.** The statements in the Declarations are accurate and complete;

**b.** Those statements are based upon representations you made to us;

**c.** We have issued this policy in reliance upon your representations; and

**d.** This policy is void in any case of fraud by you as it relates to this policy or any claim under this policy.

**8. Separation Of Insureds**

Except with respect to the Limits of Insurance, and any rights or duties specifically assigned in this Coverage Part to the first Named Insured, this insurance applies:

**a.** As if each Named Insured were the only Named Insured; and

**b.** Separately to each insured against whom claim is made or "suit" is brought.

**9. Transfer Of Rights Of Recovery Against Others To Us**

If the insured has rights to recover all or part of any payment we have made under this Coverage Part, those rights are transferred to us. The insured must do nothing after loss to impair them. At our request, the insured will bring "suit" or transfer those rights to us and help us enforce them.

**10. When We Do Not Renew**

If we decide not to renew this Coverage Part, we will mail or deliver to the first Named Insured shown in the Declarations written notice of the nonrenewal not less than 30 days before the expiration date.

If notice is mailed, proof of mailing will be sufficient proof of notice.

**11. Loss Payable**

Liability under this Coverage Part does not apply to a given claim unless and until:

**a.** The insured or insured's "underlying insurer" has become obligated to pay the "retained limit"; and

**b.** The obligation of the insured to pay the "ultimate net loss" in excess of the "retained limit" has been determined by a final settlement or judgment or written agreement among the insured, claimant and us.

**12. Transfer Of Defense**

When the underlying limits of insurance have been used up in the payment of judgments or settlements, the duty to defend will be transferred to us. We will cooperate in the transfer of control to us of any outstanding claims or "suits" seeking damages to which this insurance applies which would have been covered by the "underlying insurance" had the applicable limit not been used up.

**13. Maintenance Of/Changes To Underlying Insurance**

Any "underlying insurance" must be maintained in full effect without reduction of coverage or limits except for the reduction of the aggregate limit in accordance with the provisions of such "underlying insurance" that results from payment of claims, settlement or judgments to which this insurance applies.

Such exhaustion or reduction is not a failure to maintain "underlying insurance". Failure to maintain "underlying insurance" will not invalidate insurance provided under this Coverage Part, but insurance provided under this Coverage Part will apply as if the "underlying insurance" were in full effect.

If there is an increase in the scope of coverage of any "underlying insurance" during the term of this policy, our liability will be no more than it would have been if there had been no such increase.

You must notify us in writing, as soon as practicable, if any "underlying insurance" is cancelled, not renewed, replaced or otherwise terminated, or if the limits or scope of coverage of any "underlying insurance" is changed.

**14. Expanded Coverage Territory**

**a.** If a "suit" is brought in a part of the "coverage territory" that is outside the United States of America (including its territories and possessions), Puerto Rico or Canada, and we are prevented by law, or otherwise, from defending the insured, the insured will initiate a defense of the "suit". We will reimburse the insured, under Supplementary Payments, for any reasonable and necessary expenses incurred for the defense of a "suit" seeking damages to which this insurance applies, that we would have paid had we been able to exercise our right and duty to defend.

If the insured becomes legally obligated to pay sums because of damages to which this insurance applies in a part of the "coverage territory" that is outside the United States of America (including its territories and possessions), Puerto Rico or Canada, and we are prevented by law, or otherwise, from paying such sums on the insured's behalf, we will reimburse the insured for such sums.

**b.** All payments or reimbursements we make for damages because of judgments or settlements will be made in U.S. currency at the prevailing exchange rate at the time the insured became legally obligated to pay such sums. All payments or reimbursements we make for expenses under Supplementary Payments will be made in U.S. currency at the prevailing exchange rate at the time the expenses were incurred.

**c.** Any disputes between you and us as to whether there is coverage under this policy must be filed in the courts of the United States of America (including its territories and possessions), Canada or Puerto Rico.

**d.** The insured must fully maintain any coverage required by law, regulation or other governmental authority during the policy period, except for reduction of the aggregate limits due to payments of claims, judgments or settlements.

Failure to maintain such coverage required by law, regulation or other governmental authority will not invalidate this insurance. However, this insurance will apply as if the required coverage by law, regulation or other governmental authority was in full effect.

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**SECTION V – DEFINITIONS**

**1.** "Advertisement" means a notice that is broadcast or published to the general public or specific market segments about your goods, products or services for the purpose of attracting customers or supporters. For the purposes of this definition:

**a.** Notices that are published include material placed on the Internet or on similar electronic means of communication; and

**b.** Regarding web sites, only that part of a web site that is about your goods, products or services for the purposes of attracting customers or supporters is considered an advertisement.

**2.** "Auto" means:

**a.** A land motor vehicle, trailer or semitrailer designed for travel on public roads, including any attached machinery or equipment; or

**b.** Any other land vehicle that is subject to a compulsory or financial responsibility law or other motor vehicle insurance law where it is licensed or principally garaged.

However, "auto" does not include "mobile equipment".

**3.** "Bodily injury" means bodily injury, disability, sickness or disease sustained by a person, including death resulting from any of these at any time. "Bodily injury" includes mental anguish or other mental injury resulting from "bodily injury".

**4.** "Coverage territory" means anywhere in the world with the exception of any country or jurisdiction which is subject to trade or other economic sanction or embargo by the United States of America.

**5.** "Covered auto" means only those "autos" to which "underlying insurance" applies.

**6.** "Employee" includes a "leased worker". "Employee" does not include a "temporary worker".

**7.** "Executive officer" means a person holding any of the officer positions created by your charter, constitution, bylaws or any other similar governing document.

**8.** "Impaired property" means tangible property, other than "your product" or "your work", that cannot be used or is less useful because:

**a.** It incorporates "your product" or "your work" that is known or thought to be defective, deficient, inadequate or dangerous; or

**b.** You have failed to fulfill the terms of a contract or agreement;

if such property can be restored to use by the repair, replacement, adjustment or removal of "your product" or "your work", or your fulfilling the terms of the contract or agreement.

**9.** "Insured contract" means:

**a.** A contract for a lease of premises. However, that portion of the contract for a lease of premises that indemnifies any person or organization for damage by fire to premises while rented to you or temporarily occupied by you with permission of the owner is not an "insured contract";

**b.** A sidetrack agreement;

**c.** Any easement or license agreement, except in connection with construction or demolition operations on or within 50 feet of a railroad;

**d.** An obligation, as required by ordinance, to indemnify a municipality, except in connection with work for a municipality;

**e.** An elevator maintenance agreement;

**f.** That part of any contract or agreement entered into, as part of your business, pertaining to the rental or lease, by you or any of your "employees", of any "auto". However, such contract or agreement shall not be considered an "insured contract" to the extent that it obligates you or any of your "employees" to pay for "property damage" to any "auto" rented or leased by you or any of your "employees".

**g.** That part of any other contract or agreement pertaining to your business (including an indemnification of a municipality in connection with work performed for a municipality) under which you assume the tort liability of another party to pay for "bodily injury" or "property damage" to a third person or organization. Tort liability means a liability that would be imposed by law in the absence of any contract or agreement.

Paragraphs **f.** and **g.** do not include that part of any contract or agreement:

**(1)** That indemnifies a railroad for "bodily injury" or "property damage" arising out of construction or demolition operations, within 50 feet of any railroad property and affecting any railroad bridge or trestle, tracks, road-beds, tunnel, underpass or crossing;

**(2)** That pertains to the loan, lease or rental of an "auto" to you or any of your "employees", if the "auto" is loaned, leased or rented with a driver; or

**(3)** That holds a person or organization engaged in the business of transporting property by "auto" for hire harmless for your use of a "covered auto" over a route or territory that person or organization is authorized to serve by public authority.

**10.** "Leased worker" means a person leased to you by a labor leasing firm under an agreement between you and the labor leasing firm, to perform duties related to the conduct of your business. "Leased worker" does not include a "temporary worker".

**11.** "Loading or unloading" means the handling of property:

**a.** After it is moved from the place where it is accepted for movement into or onto an aircraft, watercraft or "auto";

**b.** While it is in or on an aircraft, watercraft or "auto"; or

**c.** While it is being moved from an aircraft, watercraft or "auto" to the place where it is finally delivered;

but "loading or unloading" does not include the movement of property by means of a mechanical device, other than a hand truck, that is not attached to the aircraft, watercraft or "auto".

**12.** "Mobile equipment" means any of the following types of land vehicles, including any attached machinery or equipment:

**a.** Bulldozers, farm machinery, forklifts and other vehicles designed for use principally off public roads;

**b.** Vehicles maintained for use solely on or next to premises you own or rent;

**c.** Vehicles that travel on crawler treads;

**d.** Vehicles, whether self-propelled or not, maintained primarily to provide mobility to permanently mounted:

**(1)** Power cranes, shovels, loaders, diggers or drills; or

**(2)** Road construction or resurfacing equipment such as graders, scrapers or rollers;

**e.** Vehicles not described in Paragraph **a., b., c.** or **d.** above that are not self-propelled and are maintained primarily to provide mobility to permanently attached equipment of the following types:

**(1)** Air compressors, pumps and generators, including spraying, welding, building cleaning, geophysical exploration, lighting and well servicing equipment; or

**(2)** Cherry pickers and similar devices used to raise or lower workers;

**f.** Vehicles not described in Paragraph **a., b., c.** or **d.** above maintained primarily for purposes other than the transportation of persons or cargo.

However, self-propelled vehicles with the following types of permanently attached equipment are not "mobile equipment" but will be considered "autos":

**(1)** Equipment designed primarily for:

**(a)** Snow removal;

**(b)** Road maintenance, but not construction or resurfacing; or

**(c)** Street cleaning;

**(2)** Cherry pickers and similar devices mounted on automobile or truck chassis and used to raise or lower workers; and

**(3)** Air compressors, pumps and generators, including spraying, welding, building cleaning, geophysical exploration, lighting and well servicing equipment.

However, "mobile equipment" does not include land vehicles that are subject to a compulsory or financial responsibility law or other motor vehicle insurance law where it is licensed or principally garaged. Land vehicles subject to a compulsory or financial responsibility law or other motor vehicle insurance law are considered "autos".

**13.** "Occurrence" means an accident, including continuous or repeated exposure to substantially the same general harmful conditions.

**14.** "Personal and advertising injury" means injury, including consequential "bodily injury", arising out of one or more of the following offenses:

**a.** False arrest, detention or imprisonment;

**b.** Malicious prosecution;

**c.** The wrongful eviction from, wrongful entry into, or invasion of the right of private occupancy of a room, dwelling or premises that a person occupies, committed by or on behalf of its owner, landlord or lessor;

**d.** Oral or written publication, in any manner, of material that slanders or libels a person or organization or disparages a person's or organization's goods, products or services;

**e.** Oral or written publication, in any manner, of material that violates a person's right of privacy;

**f.** The use of another's advertising idea in your "advertisement"; or

**g.** Infringing upon another's copyright, trade dress or slogan in your "advertisement".

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**15.** "Pollutants" mean any solid, liquid, gaseous or thermal irritant or contaminant, including smoke, vapor, soot, fumes, acids, alkalis, chemicals and waste. Waste includes materials to be recycled, reconditioned or reclaimed.

**16.** "Pollution cost or expense" means any loss, cost or expense arising out of any:

**a.** Request, demand, order or statutory or regulatory requirement that any insured or others test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of, "pollutants"; or

**b.** Claim or suit by or on behalf of a governmental authority for damages because of testing for, monitoring, cleaning up, removing, containing, treating, detoxifying or neutralizing, or in any way responding to, or assessing the effects of, "pollutants".

**17.** "Products-completed operations hazard":

**a.** Includes all "bodily injury" and "property damage" occurring away from premises you own or rent and arising out of "your product" or "your work" except:

**(1)** Products that are still in your physical possession; or

**(2)** Work that has not yet been completed or abandoned. However, "your work" will be deemed completed at the earliest of the following times:

**(a)** When all of the work called for in your contract has been completed.

**(b)** When all of the work to be done at the job site has been completed if your contract calls for work at more than one job site.

**(c)** When that part of the work done at a job site has been put to its intended use by any person or organization other than another contractor or subcontractor working on the same project.

Work that may need service, maintenance, correction, repair or replacement, but which is otherwise complete, will be treated as completed.

**b.** Does not include "bodily injury" or "property damage" arising out of:

**(1)** The transportation of property, unless the injury or damage arises out of a condition in or on a vehicle not owned or operated by you, and that condition was created by the "loading or unloading" of that vehicle by any insured; or

**(2)** The existence of tools, uninstalled equipment or abandoned or unused materials.

**18.** "Property damage" means:

**a.** Physical injury to tangible property, including all resulting loss of use of that property. All such loss of use shall be deemed to occur at the time of the physical injury that caused it; or

**b.** Loss of use of tangible property that is not physically injured. All such loss of use shall be deemed to occur at the time of the "occurrence" that caused it.

With respect to the ownership, maintenance or use of "covered autos", property damage also includes "pollution cost or expense", but only to the extent that coverage exists under the "underlying insurance" or would have existed but for the exhaustion of the underlying limits.

For the purposes of this insurance, with respect to other than the ownership, maintenance or use of "covered autos", electronic data is not tangible property.

As used in this definition, electronic data means information, facts or programs stored as or on, created or used on, or transmitted to or from computer software (including systems and applications software), hard or floppy disks, CD-ROMs, tapes, drives, cells, data processing devices or any other media which are used with electronically controlled equipment.

**19.** "Retained limit" means the available limits of "underlying insurance" scheduled in the Declarations or the "self-insured retention", whichever applies.

**20.** "Self-insured retention" means the dollar amount listed in the Declarations that will be paid by the insured before this insurance becomes applicable only with respect to "occurrences" or offenses not covered by the "underlying insurance". The "self-insured retention" does not apply to "occurrences" or offenses which would have been covered by "underlying insurance" but for the exhaustion of applicable limits.

**21.** "Suit" means a civil proceeding in which damages because of "bodily injury", "property damage" or "personal and advertising injury" to which this insurance applies are alleged. "Suit" includes:

**a.** An arbitration proceeding in which such damages are claimed and to which the insured must submit or does submit with our consent; or

**b.** Any other alternative dispute resolution proceeding in which such damages are claimed and to which the insured submits with our consent or the "underlying insurer's" consent.

**22.** "Temporary worker" means a person who is furnished to you to substitute for a permanent "employee" on leave or to meet seasonal or short-term workload conditions.

**23.** "Ultimate net loss" means the total sum, after reduction for recoveries or salvages collectible, that the insured becomes legally obligated to pay as damages by reason of settlement or judgments or any arbitration or other alternate dispute method entered into with our consent or the "underlying insurer's" consent.

**24.** "Underlying insurance" means any policies of insurance listed in the Declarations under the Schedule of "underlying insurance".

**25.** "Underlying insurer" means any insurer who provides any policy of insurance listed in the Schedule of "underlying insurance".

**26.** "Volunteer worker" means a person who is not your "employee", and who donates his or her work and acts at the direction of and within the scope of duties determined by you, and is not paid a fee, salary or other compensation by you or anyone else for their work performed for you.

**27.** "Your product":

**a.** Means:

**(1)** Any goods or products, other than real property, manufactured, sold, handled, distributed or disposed of by:

**(a)** You;

**(b)** Others trading under your name; or

**(c)** A person or organization whose business or assets you have acquired; and

**(2)** Containers (other than vehicles), materials, parts or equipment furnished in connection with such goods or products.

**b.** Includes:

**(1)** Warranties or representations made at any time with respect to the fitness, quality, durability, performance or use of "your product"; and

**(2)** The providing of or failure to provide warnings or instructions.

**c.** Does not include vending machines or other property rented to or located for the use of others but not sold.

**28.** "Your work":

**a.** Means:

**(1)** Work or operations performed by you or on your behalf; and

**(2)** Materials, parts or equipment furnished in connection with such work or operations.

**b.** Includes:

**(1)** Warranties or representations made at any time with respect to the fitness, quality, durability, performance or use of "your work"; and

**(2)** The providing of or failure to provide warnings or instructions.

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**THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.**

# EMPLOYEE BENEFITS LIABILITY COVERAGE

**THIS ENDORSEMENT PROVIDES CLAIMS-MADE COVERAGE.**
**PLEASE READ THE ENTIRE ENDORSEMENT CAREFULLY.**

This endorsement modifies insurance provided under the following:

COMMERCIAL LIABILITY UMBRELLA COVERAGE PART

**SCHEDULE**

| **Additional Covered Employee Benefits Programs** | | |
|---|---|---|
| | | |
| **Limit Of Insurance** | | **Retained Limit** |
| **$** 5,000,000 | **Each Employee** | **$** 1,000,000 |
| **$** 5,000,000 | **Aggregate** | |
| **Retroactive Date:** 01-01-2008 | | |
| Information required to complete this Schedule, if not shown above, will be shown in the Declarations. | | |

**A.** The following is added to **Section I – Coverages:**

**Coverage – Employee Benefits Liability**

**1. Insuring Agreement**

**a.** We will pay on behalf of the insured the "ultimate net loss" in excess of the "retained limit" because of any act, error or omission, of the insured, or of any other person for whose acts the insured is legally liable, to which this insurance applies. We will have the right and duty to defend the insured against any "suit" seeking damages for such an act, error or omission when the "underlying insurance" does not provide coverage or the limits of "underlying insurance" have been exhausted. However, we will have no duty to defend the insured against any "suit" seeking damages to which this insurance does not apply. At our discretion, we may investigate any report of an act, error or omission and settle any resultant "claim" or "suit", for which we have a duty to defend. But:

**(1)** The amount we will pay for "ultimate net loss" is limited as described in Paragraph **D.** (Section **III** – Limits Of Insurance); and

**(2)** Our right and duty to defend ends when we have used up the applicable limit of insurance in the payment of judgments or settlements.

No other obligation or liability to pay sums or perform acts or services is covered unless explicitly provided for under Supplementary Payments.

**b.** This insurance applies only if:

**(1)** The act, error or omission, is negligently committed in the "administration" of your "employee benefit program";

**(2)** The act, error or omission, did not take place before the Retroactive Date, if any, shown in the Schedule nor after the end of the policy period; and

**(3)** A "claim" for damages, because of an act, error or omission, is first made against any insured, in accordance with Paragraph **c.** below, during the policy period or an Extended Reporting Period we provide under Paragraph **F.** of this endorsement.


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**c.** A "claim" seeking damages will be deemed to have been made at the earlier of the following times:

**(1)** When notice of such "claim" is received and recorded by any insured or by the "underlying insurer" or us if the limits of the "underlying insurance" have been used up, whichever comes first; or

**(2)** When we make settlement in accordance with Paragraph **1.a.** above or settlement is made by the "underlying insurer" with our agreement.

A "claim" received and recorded by the insured within 60 days after the end of the policy period will be considered to have been received within the policy period, if no subsequent policy is available to cover the claim.

**d.** All "claims" for damages made by an "employee" because of any act, error or omission, or a series of related acts, errors or omissions, including damages claimed by such "employee's" dependents and beneficiaries, will be deemed to have been made at the time the first of those "claims" is made against any insured.

**2. Exclusions**

This insurance does not apply to:

**a. Dishonest, Fraudulent, Criminal Or Malicious Act**

Damages arising out of any intentional, dishonest, fraudulent, criminal or malicious act, error or omission, committed by any insured, including the willful or reckless violation of any statute.

**b. Bodily Injury, Property Damage, Or Personal And Advertising Injury**

"Bodily injury", "property damage" or "personal and advertising injury".

**c. Failure To Perform A Contract**

Damages arising out of failure of performance of contract by any insurer.

**d. Insufficiency Of Funds**

Damages arising out of an insufficiency of funds to meet any obligations under any plan included in the "employee benefit program".

**e. Inadequacy Of Performance Of Investment/Advice Given With Respect To Participation**

Any "claim" based upon:

**(1)** Failure of any investment to perform;

**(2)** Errors in providing information on past performance of investment vehicles; or

**(3)** Advice given to any person with respect to that person's decision to participate or not to participate in any plan included in the "employee benefit program".

**f. Workers' Compensation And Similar Laws**

Any "claim" arising out of your failure to comply with the mandatory provisions of any workers' compensation, unemployment compensation insurance, social security or disability benefits law or any similar law.

**g. ERISA**

Damages for which any insured is liable because of liability imposed on a fiduciary by the Employee Retirement Income Security Act of 1974, as now or hereafter amended, or by any similar federal, state or local laws.

**h. Available Benefits**

Any "claim" for benefits to the extent that such benefits are available, with reasonable effort and cooperation of the insured, from the applicable funds accrued or other collectible insurance.

**i. Taxes, Fines Or Penalties**

Taxes, fines or penalties, including those imposed under the Internal Revenue Code or any similar state or local law.

**j. Employment-related Practices**

Damages arising out of wrongful termination of employment, discrimination, or other employment-related practices.

**B.** For the purposes of the coverage provided by this endorsement:

**1.** All references to Supplementary Payments – Coverages **A** and **B** are replaced by Supplementary Payments – Coverages **A, B** and **Employee Benefits Liability.**

**2.** Paragraphs **1.b.** and **3.** of the Supplementary Payments provision do not apply.

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**C.** For the purposes of the coverage provided by this endorsement, Paragraphs **1.b.** and **1.c.** of **Section II – Who Is An Insured** are replaced by the following:

**1.** Except for liability arising out of the ownership, maintenance, or use of "covered autos":

**b.** Each of the following is also an insured:

**(1)** Each of your "employees" who is or was authorized to administer your "employee benefit program".

**(2)** Any persons, organizations or "employees" having proper temporary authorization to administer your "employee benefit program" if you die, but only until your legal representative is appointed.

**(3)** Your legal representative if you die, but only with respect to duties as such. That representative will have all your rights and duties under this endorsement.

**c.** Any organization you newly acquire or form, other than a partnership, joint venture or limited liability company, and over which you maintain ownership or majority interest, will qualify as a Named Insured if no other similar insurance applies to that organization. However:

**(1)** Coverage under this provision is afforded only until the 90th day after you acquire or form the organization or the end of the policy period, whichever is earlier.

**(2)** Coverage under this provision does not apply to any act, error or omission that was committed before you acquired or formed the organization.

**D.** For the purposes of the coverage provided by this endorsement, **Section III – Limits Of Insurance** is replaced by the following:

**1.** Our obligation to pay damages on behalf of the insured applies only to the amount of "ultimate net loss" in excess of the "retained limit" shown in the Schedule of this endorsement. If there is "underlying insurance" with a policy period that is non-concurrent with the policy period of this endorsement, the "retained limit" will only be reduced or exhausted by "claims" for that insurance that are made during the policy period or the Extended Reporting Period of this endorsement.

**2.** The Limits Of Insurance shown in the Schedule and the rules below fix the most we will pay regardless of the number of:

**(a)** Insureds;

**(b)** "Claims" made or "suits" brought;

**(c)** Persons or organizations making "claims" or bringing "suits";

**(d)** Acts, errors or omissions; or

**(e)** Benefits included in your "employee benefit program".

**3.** The Aggregate Limit is the most we will pay for the sum of all "ultimate net loss" because of acts, errors or omissions negligently committed in the "administration" of your "employee benefit program".

**4.** Subject to the Aggregate Limit, the Each Employee Limit is the most we will pay for the sum of all "ultimate net loss" for damages sustained by any one "employee", including damages sustained by such "employee's" dependents and beneficiaries, as a result of:

**(a)** An act, error or omission; or

**(b)** A series of related acts, errors or omissions;

negligently committed in the "administration" of your "employee benefit program".

However, the amount paid under this endorsement shall not exceed, and will be subject to, the limits and restrictions that apply to the payment of benefits in any plan included in the "employee benefit program".

The Limits of Insurance of this endorsement apply separately to each consecutive annual period and to any remaining period of less than 12 months, starting with the beginning of the policy period shown in the Declarations of the Policy to which this endorsement is attached, unless the policy period is extended after issuance for an additional period of less than 12 months. In that case, the additional period will be deemed part of the last preceding period for purposes of determining the Limits of Insurance.

**E.** For the purposes of the coverage provided by this endorsement, Condition **3.** of **Section IV – Commercial Liability Umbrella Conditions** is replaced by the following:

**3. Duties In The Event Of An Act, Error Or Omission, Or "Claim" Or "Suit"**

**a.** You must see to it that we are notified as soon as practicable of an act, error or omission which may result in a "claim". To the extent possible, notice should include:

**(1)** What the act, error or omission was and when it occurred; and

**(2)** The names and addresses of anyone who may suffer damages as a result of the act, error or omission.

**b.** If a "claim" is made or "suit" is brought against any insured, you must:

**(1)** Immediately record the specifics of the "claim" or "suit" and the date received; and

**(2)** Notify us as soon as practicable.

You must see to it that we receive written notice of the "claim" or "suit" as soon as practicable.

**c.** You and any other involved insured must:

**(1)** Immediately send us copies of any demands, notices, summonses or legal papers received in connection with the "claim" or "suit";

**(2)** Authorize us to obtain records and other information;

**(3)** Cooperate with us in the investigation or settlement of the "claim" or defense against the "suit"; and

**(4)** Assist us, upon our request, in the enforcement of any right against any person or organization which may be liable to the insured because of an act, error or omission to which this insurance may also apply.

**d.** No insured will, except at that insured's own cost, voluntarily make a payment, assume any obligation or incur any expense without our consent.

**F.** For the purposes of the coverage provided by this endorsement, the following Extended Reporting Period provisions are added, or, if this endorsement is attached to a claims-made Coverage Part, replace any similar section in that Coverage Part:

**Extended Reporting Period**

**1.** You will have the right to purchase an Extended Reporting Period, as described below, if:

**a.** This endorsement is canceled or not renewed; or

**b.** We renew or replace this endorsement with insurance that:

**(1)** Has a Retroactive Date later than the date shown in the Schedule of this endorsement; or

**(2)** Does not apply to an act, error or omission on a claims-made basis.

**2.** The Extended Reporting Period does not extend the policy period or change the scope of coverage provided. It applies only to "claims" for acts, errors or omissions that were first committed before the end of the policy period but not before the Retroactive Date, if any, shown in the Schedule. Once in effect, the Extended Reporting Period may not be canceled.

**3.** An Extended Reporting Period of five years is available, but only by an endorsement and for an extra charge.

You must give us a written request for the endorsement within 60 days after the end of the policy period. The Extended Reporting Period will not go into effect unless you pay the additional premium promptly when due.

We will determine the additional premium in accordance with our rules and rates. In doing so, we may take into account the following:

**a.** The "employee benefit programs" insured;

**b.** Previous types and amounts of insurance;

**c.** Limits of insurance available under this endorsement for future payment of damages; and

**d.** Other related factors.

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The additional premium will not exceed 100% of the annual premium for this endorsement.

The Extended Reporting Period endorsement applicable to this coverage shall set forth the terms, not inconsistent with this Section, applicable to the Extended Reporting Period, including a provision to the effect that the insurance afforded for "claims" first received during such period is excess over any other valid and collectible insurance available under policies in force after the Extended Reporting Period starts.

**4.** If the Extended Reporting Period is in effect, we will provide an extended reporting period aggregate limit of insurance described below, but only for claims first received and recorded during the Extended Reporting Period.

The extended reporting period aggregate limit of insurance will be equal to the dollar amount shown in the Schedule of this endorsement under Limits Of Insurance.

Paragraph **D.3.** of this endorsement will be amended accordingly. The Each Employee Limit shown in the Schedule will then continue to apply as set forth in Paragraph **D.4.**

**G.** For the purposes of the coverage provided by this endorsement, the following definitions are added to the **Definitions** section:

**1.** "Administration" means:

**a.** Providing information to "employees", including their dependents and beneficiaries, with respect to eligibility for or scope of "employee benefit programs";

**b.** Handling records in connection with the "employee benefit program"; or

**c.** Effecting, continuing or terminating any "employee's" participation in any benefit included in the "employee benefit program".

However, "administration" does not include handling payroll deductions.

**2.** "Cafeteria plans" means plans authorized by applicable law to allow employees to elect to pay for certain benefits with pre-tax dollars.

**3.** "Claim" means any demand, or "suit", made by an "employee" or an "employee's" dependents and beneficiaries, for damages as the result of an act, error or omission.

**4.** "Employee benefit program" means a program providing some or all of the following benefits to "employees", whether provided through a "cafeteria plan" or otherwise:

**a.** Group life insurance, group accident or health insurance, dental, vision and hearing plans, and flexible spending accounts, provided that no one other than an "employee" may subscribe to such benefits and such benefits are made generally available to those "employees" who satisfy the plan's eligibility requirements;

**b.** Profit sharing plans, employee savings plans, employee stock ownership plans, pension plans and stock subscription plans, provided that no one other than an "employee" may subscribe to such benefits and such benefits are made generally available to all "employees" who are eligible under the plan for such benefits;

**c.** Unemployment insurance, social security benefits, workers' compensation and disability benefits;

**d.** Vacation plans, including buy and sell programs; leave of absence programs, including military, maternity, family, and civil leave; tuition assistance plans; transportation and health club subsidies; and

**e.** Any other similar benefits:

**(1)** Designated in the Schedule or added thereto by endorsement; or

**(2)** Specified under any policy of "underlying insurance".

**H.** For the purposes of the coverage provided by this endorsement, Definitions **6., 19.** and **21.** in the **Definitions** section are replaced by the following:

**6.** "Employee" means a person actively employed, formerly employed, on leave of absence or disabled, or retired. "Employee" includes a "leased worker". "Employee" does not include a "temporary worker".

**19.** "Retained limit" means the available limits of "underlying insurance" shown in the Schedule of this endorsement as Retained Limit.

**21.** "Suit" means a civil proceeding in which damages because of an act, error or omission to which this insurance applies are alleged. "Suit" includes:

**a.** An arbitration proceeding in which such damages are claimed and to which the insured must submit or does submit with our consent; or

**b.** Any other alternative dispute resolution proceeding in which such damages are claimed and to which the insured submits with our consent.


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# NUCLEAR ENERGY LIABILITY EXCLUSION ENDORSEMENT

**(Broad Form)**

This endorsement modifies insurance provided under the following:

COMMERCIAL LIABILITY UMBRELLA COVERAGE PART

**I.** The insurance does not apply:

**A.** Under any Liability Coverage, to "bodily injury" or "property damage":

**(1)** With respect to which an insured under the policy is also an insured under a nuclear energy liability policy issued by Nuclear Energy Liability Insurance Association, Mutual Atomic Energy Liability Underwriters, Nuclear Insurance Association of Canada or any of their successors, or would be an insured under any such policy but for its termination upon exhaustion of its limit of liability; or

**(2)** Resulting from the "hazardous properties" of "nuclear material" and with respect to which **(a)** any person or organization is required to maintain financial protection pursuant to the Atomic Energy Act of 1954, or any law amendatory thereof, or **(b)** the insured is, or had this policy not been issued would be, entitled to indemnity from the United States of America, or any agency thereof, under any agreement entered into by the United States of America, or any agency thereof, with any person or organization.

**B.** Under any Liability Coverage, to "bodily injury" or "property damage" resulting from "hazardous properties" of "nuclear material", if:

**(1)** The "nuclear material" **(a)** is at any "nuclear facility" owned by, or operated by or on behalf of, an insured or **(b)** has been discharged or dispersed therefrom;

**(2)** The "nuclear material" is contained in "spent fuel" or "waste" at any time possessed, handled, used, processed, stored, transported or disposed of, by or on behalf of an insured; or

**(3)** The "bodily injury" or "property damage" arises out of the furnishing by an insured of services, materials, parts or equipment in connection with the planning, construction, maintenance, operation or use of any "nuclear facility", but if such facility is located within the United States of America, its territories or possessions or Canada, this Exclusion **(3)** applies only to "property damage" to such "nuclear facility" and any property thereat.

**II.** As used in this endorsement:

"Hazardous properties" includes radioactive, toxic or explosive properties.

"Nuclear material" means "source material", "Special nuclear material" or "by-product material".

"Source material", "special nuclear material", and "by-product material" have the meanings given them in the Atomic Energy Act of 1954 or in any law amendatory thereof.

"Spent fuel" means any fuel element or fuel component, solid or liquid, which has been used or exposed to radiation in a "nuclear reactor".

"Waste" means any waste material **(a)** containing "by-product material" other than the tailings or wastes produced by the extraction or concentration of uranium or thorium from any ore processed primarily for its "source material" content, and **(b)** resulting from the operation by any person or organization of any "nuclear facility" included under the first two paragraphs of the definition of "nuclear facility".

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"Nuclear facility" means:

**(a)** Any "nuclear reactor";

**(b)** Any equipment or device designed or used for **(1)** separating the isotopes of uranium or plutonium, **(2)** processing or utilizing "spent fuel", or **(3)** handling, processing or packaging "waste";

**(c)** Any equipment or device used for the processing, fabricating or alloying of "special nuclear material" if at any time the total amount of such material in the custody of the insured at the premises where such equipment or device is located consists of or contains more than 25 grams of plutonium or uranium 233 or any combination thereof, or more than 250 grams of uranium 235;

**(d)** Any structure, basin, excavation, premises or place prepared or used for the storage or disposal of "waste";

and includes the site on which any of the foregoing is located, all operations conducted on such site and all premises used for such operations.

"Nuclear reactor" means any apparatus designed or used to sustain nuclear fission in a self-supporting chain reaction or to contain a critical mass of fissionable material.

"Property damage" includes all forms of radioactive contamination of property.


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# TOTAL POLLUTION EXCLUSION ENDORSEMENT

This endorsement modifies insurance provided under the following:

COMMERCIAL LIABILITY UMBRELLA COVERAGE PART

Exclusion **i.** under Paragraph **2., Exclusions** of **Section I – Coverage A – Bodily Injury And Property Damage Liability** is replaced by the following:

This insurance does not apply to:

**i. Pollution**

**(1)** "Bodily injury" or "property damage" which would not have occurred in whole or part but for the actual, alleged or threatened discharge, dispersal, seepage, migration, release or escape of "pollutants" at any time; or

**(2)** "Pollution cost or expense".


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# EXCLUSION – CROSS SUITS LIABILITY

This endorsement modifies insurance provided under the following:

COMMERCIAL LIABILITY UMBRELLA COVERAGE PART

**A.** The following exclusion is added to Paragraph **2. Exclusions** of **Section I – Coverage A – Bodily Injury And Property Damage Liability:**

**2. Exclusions**

This insurance does not apply to:

**Cross Suits**

Any claim made or "suit" brought by any Named Insured under this policy against another Named Insured under this policy for damages because of "bodily injury" or "property damage".

**B.** The following is added to Paragraph **2. Exclusions** of **Section I – Coverage B – Personal And Advertising Injury Liability:**

**2. Exclusions**

This insurance does not apply to:

**Cross Suits**

Any claim made or "suit" brought by any Named Insured under this policy against another Named Insured under this policy for damages because of "personal and advertising injury".

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# FUNGI OR BACTERIA EXCLUSION

This endorsement modifies insurance provided under the following:

COMMERCIAL LIABILITY UMBRELLA COVERAGE PART

**A.** The following exclusion is added to Paragraph **2., Exclusions** of **Section I – Coverage A – Bodily Injury And Property Damage Liability:**

**2. Exclusions**

This insurance does not apply to:

**FUNGI OR BACTERIA**

**a.** "Bodily injury" or "property damage" which would not have occurred, in whole or in part, but for the actual, alleged or threatened inhalation of, ingestion of, contact with, exposure to, existence of, or presence of, any "fungi" or bacteria on or within a building or structure, including its contents, regardless of whether any other cause, event, material or product contributed concurrently or in any sequence to such injury or damage.

**b.** Any loss, cost or expenses arising out of the abating, testing for, monitoring, cleaning up, removing, containing, treating, detoxifying, neutralizing, remediating or disposing of, or in any way responding to, or assessing the effects of, "fungi" or bacteria, by any insured or by any other person or entity.

This exclusion does not apply to any "fungi" or bacteria that are, are on, or are contained in, a good or product intended for bodily consumption.

**B.** The following exclusion is added to Paragraph **2., Exclusions** of **Section I – Coverage B – Personal And Advertising Injury Liability:**

**2. Exclusions**

This insurance does not apply to:

**FUNGI OR BACTERIA**

**a.** "Personal and advertising injury" which would not have taken place, in whole or in part, but for the actual, alleged or threatened inhalation of, ingestion of, contact with, exposure to, existence of, or presence of any "fungi" or bacteria on or within a building or structure, including its contents, regardless of whether any other cause, event, material or product contributed concurrently or in any sequence to such injury.

**b.** Any loss, cost or expense arising out of the abating, testing for, monitoring, cleaning up, removing, containing, treating, detoxifying, neutralizing, remediating or disposing of, or in any way responding to, or assessing the effects of, "fungi" or bacteria, by any insured or by any other person or entity.

**C.** The following definition is added to the **Definitions** Section:

"Fungi" means any type or form of fungus, including mold or mildew and any mycotoxins, spores, scents or byproducts produced or released by fungi.

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# CAP ON LOSSES FROM CERTIFIED ACTS OF TERRORISM

This endorsement modifies insurance provided under the following:

COMMERCIAL LIABILITY UMBRELLA COVERAGE PART

**A.** If aggregate insured losses attributable to terrorist acts certified under the federal Terrorism Risk Insurance Act exceed $100 billion in a calendar year and we have met our insurer deductible under the Terrorism Risk Insurance Act, we shall not be liable for the payment of any portion of the amount of such losses that exceeds $100 billion, and in such case insured losses up to that amount are subject to pro rata allocation in accordance with procedures established by the Secretary of the Treasury.

"Certified act of terrorism" means an act that is certified by the Secretary of the Treasury, in accordance with the provisions of the federal Terrorism Risk Insurance Act, to be an act of terrorism pursuant to such Act. The criteria contained in the Terrorism Risk Insurance Act for a "certified act of terrorism" include the following:

**1.** The act resulted in insured losses in excess of $5 million in the aggregate, attributable to all types of insurance subject to the Terrorism Risk Insurance Act; and

**2.** The act is a violent act or an act that is dangerous to human life, property or infrastructure and is committed by an individual or individuals as part of an effort to coerce the civilian population of the United States or to influence the policy or affect the conduct of the United States Government by coercion.

**B.** The terms and limitations of any terrorism exclusion, or the inapplicability or omission of a terrorism exclusion, do not serve to create coverage for injury or damage that is otherwise excluded under this Coverage Part.

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# SILICA OR SILICA-RELATED DUST EXCLUSION

This endorsement modifies insurance provided under the following:

COMMERCIAL LIABILITY UMBRELLA COVERAGE PART

**A.** The following exclusion is added to Paragraph **2., Exclusions** of **Section I – Coverage A – Bodily Injury And Property Damage Liability:**

**2. Exclusions**

This insurance does not apply to:

**SILICA OR SILICA-RELATED DUST**

**a.** "Bodily injury" arising, in whole or in part, out of the actual, alleged, threatened or suspected inhalation of, or ingestion of, "silica" or "silica-related dust".

**b.** "Property damage" arising, in whole or in part, out of the actual, alleged, threatened or suspected contact with, exposure to, existence of, or presence of, "silica" or "silica-related dust".

**c.** Any loss, cost or expense arising, in whole or in part, out of the abating, testing for, monitoring, cleaning up, removing, containing, treating, detoxifying, neutralizing, remediating or disposing of, or in any way responding to or assessing the effects of, "silica" or "silica-related dust", by any insured or by any other person or entity.

**B.** The following exclusion is added to Paragraph **2., Exclusions** of **Section I – Coverage B – Personal And Advertising Injury Liability:**

**2. Exclusions**

This insurance does not apply to:

**SILICA OR SILICA-RELATED DUST**

**a.** "Personal and advertising injury" arising, in whole or in part, out of the actual, alleged, threatened or suspected inhalation of, ingestion of, contact with, exposure to, existence of, or presence of, "silica" or "silica-related dust".

**b.** Any loss, cost or expense arising, in whole or in part, out of the abating, testing for, monitoring, cleaning up, removing, containing, treating, detoxifying, neutralizing, remediating or disposing of, or in any way responding to or assessing the effects of, "silica" or "silica-related dust", by any insured or by any other person or entity.

**C.** The following definitions are added to the **Definitions** Section:

**1.** "Silica" means silicon dioxide (occurring in crystalline, amorphous and impure forms), silica particles, silica dust or silica compounds.

**2.** "Silica-related dust" means a mixture or combination of silica and other dust or particles.

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# EXCLUSION – UNMANNED AIRCRAFT

This endorsement modifies insurance provided under the following:

COMMERCIAL LIABILITY UMBRELLA COVERAGE PART

**A.** Exclusion **2.j. Aircraft Or Watercraft** under **Section I – Coverage A – Bodily Injury And Property Damage Liability** is replaced by the following:

**2. Exclusions**

This insurance does not apply to:

**j. Aircraft Or Watercraft**

**(1) Unmanned Aircraft**

"Bodily injury" or "property damage" arising out of the ownership, maintenance, use or entrustment to others of any aircraft that is an "unmanned aircraft". Use includes operation and "loading or unloading".

This Paragraph **j.(1)** applies even if the claims against any insured allege negligence or other wrongdoing in the supervision, hiring, employment, training or monitoring of others by that insured, if the "occurrence" which caused the "bodily injury" or "property damage" involved the ownership, maintenance, use or entrustment to others of any aircraft that is an "unmanned aircraft".

**(2) Aircraft (Other Than Unmanned Aircraft) Or Watercraft**

"Bodily injury" or "property damage" arising out of the ownership, maintenance, use or entrustment to others of any aircraft (other than "unmanned aircraft") or watercraft owned or operated by or rented or loaned to any insured. Use includes operation and "loading or unloading".

This Paragraph **j.(2)** applies even if the claims against any insured allege negligence or other wrongdoing in the supervision, hiring, employment, training or monitoring of others by that insured, if the "occurrence" which caused the "bodily injury" or "property damage" involved the ownership, maintenance, use or entrustment to others of any aircraft (other than "unmanned aircraft") or watercraft that is owned or operated by or rented or loaned to any insured.

This Paragraph **j.(2)** does not apply to:

**(a)** A watercraft while ashore on premises you own or rent;

**(b)** A watercraft you do not own that is:

**(i)** Less than 50 feet long; and

**(ii)** Not being used to carry persons or property for a charge;

**(c)** Liability assumed under any "insured contract" for the ownership, maintenance or use of aircraft or watercraft;

**(d)** The extent that valid "underlying insurance" for the aircraft or watercraft liability risks described in this Paragraph **j.(2)** exists or would have existed but for the exhaustion of underlying limits for "bodily injury" or "property damage". To the extent this exclusion does not apply, the insurance provided under this Coverage Part for the aircraft or watercraft risks described in this Paragraph **j.(2)** will follow the same provisions, exclusions and limitations that are contained in the applicable "underlying insurance", unless otherwise directed by this insurance; or

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**(e)** Aircraft that is:

**(i)** Chartered by, loaned to, or hired by you with a paid crew; and

**(ii)** Not owned by any insured.

**B.** The following exclusion is added to Paragraph **2. Exclusions** of **Coverage B – Personal And Advertising Injury Liability:**

**2. Exclusions**

This insurance does not apply to:

**Unmanned Aircraft**

"Personal and advertising injury" arising out of the ownership, maintenance, use or entrustment to others of any aircraft that is an "unmanned aircraft". Use includes operation and "loading or unloading".

This exclusion applies even if the claims against any insured allege negligence or other wrongdoing in the supervision, hiring, employment, training or monitoring of others by that insured, if the offense which caused the "personal and advertising injury" involved the ownership, maintenance, use or entrustment to others of any aircraft that is an "unmanned aircraft".

This exclusion does not apply to:

**a.** The use of another's advertising idea in your "advertisement"; or

**b.** Infringing upon another's copyright, trade dress or slogan in your "advertisement".

**C.** The following definition is added to the **Definitions** section:

"Unmanned aircraft" means an aircraft that is not:

**1.** Designed;

**2.** Manufactured; or

**3.** Modified after manufacture;

to be controlled directly by a person from within or on the aircraft.


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# EXCLUSION – ACCESS OR DISCLOSURE OF CONFIDENTIAL OR PERSONAL MATERIAL OR INFORMATION

This endorsement modifies insurance provided under the following:

COMMERCIAL LIABILITY UMBRELLA COVERAGE PART

**A.** The following is added to Paragraph **2. Exclusions** of **Section I – Coverage A – Bodily Injury And Property Damage Liability:**

**2. Exclusions**

This insurance does not apply to:

**Access Or Disclosure Of Confidential Or Personal Material Or Information**

"Bodily injury" or "property damage" arising out of any access to or disclosure of any person's or organization's confidential or personal material or information, including:

**a.** Patents, trade secrets, processing methods, customer lists;

**b.** Financial information, credit card information;

**c.** Health information, biometric information; or

**d.** Any other type of nonpublic material or information.

This exclusion applies even if damages are claimed for notification costs, credit or identity monitoring expenses, forensic expenses, public relations expenses, data restoration expenses, extortion expenses or any other loss, cost or expense incurred by you or others arising out of any access to or disclosure of any person's or organization's confidential or personal material or information.

**B.** The following is added to Paragraph **2. Exclusions** of **Section I – Coverage B – Personal And Advertising Injury Liability:**

**2. Exclusions**

This insurance does not apply to:

**Access Or Disclosure Of Confidential Or Personal Material Or Information**

"Personal and advertising injury" arising out of any access to or disclosure of any person's or organization's confidential or personal material or information, including:

**a.** Patents, trade secrets, processing methods, customer lists;

**b.** Financial information, credit card information;

**c.** Health information, biometric information; or

**d.** Any other type of nonpublic material or information.

This exclusion applies even if damages are claimed for notification costs, credit or identity monitoring expenses, forensic expenses, public relations expenses, data restoration expenses, extortion expenses or any other loss, cost or expense incurred by you or others arising out of any access to or disclosure of any person's or organization's confidential or personal information.

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# PUBLIC OR LIVERY PASSENGER CONVEYANCE AND ON-DEMAND DELIVERY SERVICES EXCLUSION

This endorsement modifies insurance provided under the following:

COMMERCIAL LIABILITY UMBRELLA COVERAGE PART

**A.** The following exclusion is added to Paragraph **2. Exclusions** of **Section I – Coverage A – Bodily Injury And Property Damage Liability:**

This insurance does not apply to:

**Public Or Livery Passenger Conveyance And On-demand Services**

Any "covered auto" while being used:

**a.** As a public or livery conveyance for passengers. This includes, but is not limited to, any period of time a "covered auto" is being used by an insured who is logged into a "transportation network platform" as a driver, whether or not a passenger is "occupying" the "covered auto"; or

**b.** By an insured who is logged into a "transportation network platform" or "delivery network platform" as a driver to provide "delivery services", whether or not the goods, items or products to be delivered are in the "covered auto".

However, this exclusion does not apply to business activities performed by an insured that are directly related to the Named Insured(s) listed in the Declarations.

**B.** If Excess Uninsured and/or Underinsured Motorists Coverage is attached, then the following exclusion is added to Paragraph **C.2.:**

**2.** Additionally, this insurance does not apply to:

**Public Or Livery Passenger Conveyance And On-demand Services**

Any "covered auto" while being used:

**a.** As a public or livery conveyance for passengers. This includes, but is not limited to, any period of time a "covered auto" is being used by an insured who is logged into a "transportation network platform" as a driver, whether or not a passenger is "occupying" the "covered auto"; or

**b.** By an insured who is logged into a "transportation network platform" or "delivery network platform" as a driver to provide "delivery services", whether or not the goods, items or products to be delivered are in the "covered auto".

However, this exclusion does not apply to business activities performed by an insured that are directly related to the Named Insured(s) listed in the Declarations.

**C. Additional Definitions**

As used in this endorsement:

**1.** "Delivery network platform" means an online-enabled application or digital network used to connect customers:

**a.** With drivers; or

**b.** With local vendors using drivers;

for the purpose of providing prearranged "delivery services" for compensation. A "delivery network platform" does not include a "transportation network platform".

**2.** "Delivery services" includes courier services.

**3.** "Occupying" means in, upon, getting in, on, out or off.

**4.** "Transportation network platform" means an online-enabled application or digital network used to connect passengers with drivers using vehicles for the purpose of providing prearranged transportation services for compensation.

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# WAIVER OF TRANSFER OF RIGHTS OF RECOVERY AGAINST OTHERS TO US (WAIVER OF SUBROGATION)

This endorsement modifies insurance provided under the following:

COMMERCIAL LIABILITY UMBRELLA COVERAGE PART

**SCHEDULE**

| **Name Of Person(s) Or Organization(s):** |
|---|
| Any Party Whom The Insured Agrees to Waive Subrogation in a Written Contract |
| Information required to complete this Schedule, if not shown above, will be shown in the Declarations. |

The following is added to Paragraph **9. Transfer Of Rights Of Recovery Against Others To Us** of **Section IV – Conditions:**

We waive any right of recovery against the person(s) or organization(s) shown in the Schedule above because of payments we make under this Coverage Part. Such waiver by us applies only to the extent that the insured has waived its right of recovery against such person(s) or organization(s) prior to loss. This endorsement applies only to the person(s) or organization(s) shown in the Schedule above.

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# AMENDMENT OF LIQUOR LIABILITY EXCLUSION – LIMITED EXCEPTION FOR BRING YOUR OWN ALCOHOL

This endorsement modifies insurance provided under the following:

COMMERCIAL LIABILITY UMBRELLA COVERAGE PART

The following replaces Exclusion **c.** under Paragraph **2. Exclusions** of **Section I – Coverage A – Bodily Injury And Property Damage Liability:**

This insurance does not apply to:

**c. Liquor Liability**

"Bodily injury" or "property damage" for which any insured may be held liable by reason of:

**(1)** Causing or contributing to the intoxication of any person

**(2)** The furnishing of alcoholic beverages to a person under the legal drinking age or under the influence of alcohol; or

**(3)** Any statute, ordinance or regulation relating to the sale, gift, distribution or use of alcoholic beverages.

This exclusion applies even if the claims against any insured allege negligence or other wrongdoing in:

**(a)** The supervision, hiring, employment, training or monitoring of others by that insured; or

**(b)** Providing or failing to provide transportation with respect to any person that may be under the influence of alcohol;

if the "occurrence" which caused the "bodily injury" or "property damage", involved that which is described in Paragraph **(1), (2)** or **(3)** above.

This exclusion applies only if you:

**(1)** Manufacture, sell or distribute alcoholic beverages; or

**(2)** Serve or furnish alcoholic beverages for a charge whether or not such activity:

**(a)** Requires a license;

**(b)** Is for the purpose of financial gain or livelihood.

For the purposes of this exclusion, permitting a person to bring alcoholic beverages on your premises, for consumption on your premises, whether or not a fee is charged or a license is required for such activity, is not by itself considered selling, serving or furnishing alcoholic beverages.

This exclusion does not apply to the extent that valid "underlying insurance" for the liquor liability risks described above exists or would have existed but for the exhaustion of underlying limits for "bodily injury" and "property damage". To the extent this exclusion does not apply, the insurance provided under this Coverage Part for the liquor liability risks described above will follow the same provisions, exclusions and limitations that are contained in the applicable "underlying insurance", unless otherwise directed by this insurance.

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# BROAD ABUSE OR MOLESTATION EXCLUSION

This endorsement modifies insurance provided under the following:

COMMERCIAL LIABILITY UMBRELLA COVERAGE PART

The following exclusion is added to Paragraph **2. Exclusions** of **Section I – Coverage A – Bodily Injury And Property Damage Liability** and **Section I – Coverage B – Personal And Advertising Injury Liability:**

This insurance does not apply to damages arising out of:

**1.** The actual, alleged or threatened abuse or molestation, including but not limited to sexual abuse or sexual molestation, of any person committed by anyone; or

**2.** The negligent:

**a.** Employment;

**b.** Investigation;

**c.** Supervision;

**d.** Reporting to the proper authorities, or failure to so report; or

**e.** Retention;

of a person for whom any insured is or ever was legally responsible and whose conduct would be excluded by Paragraph **1.** above.

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# EXCLUSION – PERFLUOROALKYL AND POLYFLUOROALKYL SUBSTANCES (PFAS)

This endorsement modifies insurance provided under the following:

COMMERCIAL LIABILITY UMBRELLA COVERAGE PART

**A.** The following exclusion is added to Paragraph **2. Exclusions** of **Section I – Coverage A – Bodily Injury And Property Damage Liability:**

**2. Exclusions**

This insurance does not apply to:

**Perfluoroalkyl And Polyfluoroalkyl Substances**

**a.** "Bodily injury" or "property damage" which would not have occurred, in whole or in part, but for the actual, alleged, threatened or suspected inhalation, ingestion, absorption, consumption, discharge, dispersal, seepage, migration, release or escape of, contact with, exposure to, existence of, or presence of, any "perfluoroalkyl or polyfluoroalkyl substances".

**b.** Any loss, cost or expense arising, in whole or in part, out of the abating, testing for, monitoring, cleaning up, removing, containing, treating, detoxifying, neutralizing, remediating or disposing of, or in any way responding to or assessing the effects of, "perfluoroalkyl or polyfluoroalkyl substances", by any insured or by any other person or entity.

**B.** The following exclusion is added to Paragraph **2. Exclusions** of **Section I – Coverage B – Personal And Advertising Injury Liability:**

**2. Exclusions**

This insurance does not apply to:

**Perfluoroalkyl And Polyfluoroalkyl Substances**

**a.** "Personal and advertising injury" which would not have taken place, in whole or in part, but for the actual, alleged, threatened or suspected inhalation, ingestion, absorption, consumption, discharge, dispersal, seepage, migration, release or escape of, contact with, exposure to, existence of, or presence of, any "perfluoroalkyl or polyfluoroalkyl substances".

**b.** Any loss, cost or expense arising, in whole or in part, out of the abating, testing for, monitoring, cleaning up, removing, containing, treating, detoxifying, neutralizing, remediating or disposing of, or in any way responding to or assessing the effects of, "perfluoroalkyl or polyfluoroalkyl substances", by any insured or by any other person or entity.


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**C.** The following definition is added to the **Definitions** Section:

"Perfluoroalkyl or polyfluoroalkyl substances" means any:

**1.** Chemical or substance that contains one or more alkyl carbons on which hydrogen atoms have been partially or completely replaced by fluorine atoms, including but not limited to:

**a.** Polymer, oligomer, monomer or nonpolymer chemicals and their homologues, isomers, telomers, salts, derivatives, precursor chemicals, degradation products or by-products;

**b.** Perfluoroalkyl acids (PFAA), such as perfluorooctanoic acid (PFOA) and its salts, or perfluorooctane sulfonic acid (PFOS) and its salts;

**c.** Perfluoropolyethers (PFPE);

**d.** Fluorotelomer-based substances; or

**e.** Side-chain fluorinated polymers; or

**2.** Good or product, including containers, materials, parts or equipment furnished in connection with such goods or products, that consists of or contains any chemical or substance described in Paragraph **C.1.**


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# EXCLUSION – CYBER INCIDENT

This endorsement modifies insurance provided under the following:

COMMERCIAL LIABILITY UMBRELLA COVERAGE PART

**A.** The following is added to Paragraph **2. Exclusions** of **Section I – Coverage A – Bodily Injury And Property Damage Liability:**

**2. Exclusions**

This insurance does not apply to:

**Cyber Incident**

"Bodily injury" or "property damage" arising out of a "cyber incident".

This exclusion applies even if damages are claimed for notification costs, credit or identity monitoring expenses, forensic expenses, public relations expenses, data restoration expenses, extortion expenses or any other similar cost or expense incurred by you or others arising out of a "cyber incident".

**B.** The following is added to Paragraph **2. Exclusions** of **Section I – Coverage B – Personal And Advertising Injury Liability:**

**2. Exclusions**

This insurance does not apply to:

**Cyber Incident**

"Personal and advertising injury" arising out of a "cyber incident".

This exclusion applies even if damages are claimed for notification costs, credit or identity monitoring expenses, forensic expenses, public relations expenses, data restoration expenses, extortion expenses or any other similar cost or expense incurred by you or others arising out of a "cyber incident".

**C.** For the purposes of this endorsement, the following definition is added to the **Definitions** Section:

"Cyber incident" means any:

**1.** Unauthorized access to or use of any computer system.

**2.** Malicious code, virus or any other harmful code that is directed at, enacted upon or introduced into any computer system and is designed to access, alter, corrupt, damage, delete, destroy, disrupt, encrypt, exploit, use or prevent or restrict access to or the use of any part of any computer system or otherwise disrupt its normal functioning or operation.

**3.** Denial of service attack which disrupts, prevents or restricts access to or use of any computer system, or otherwise disrupts its normal functioning or operation.


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# CONTRACTOR'S LIMITATION ENDORSEMENT

This endorsement modifies insurance provided under the following:

COMMERCIAL LIABILITY UMBRELLA COVERAGE PART

**A.** Except to the extent coverage is available to you or the insured in the "underlying insurance," this insurance does not apply to:

**1**. Any project insured under a wrap-up or any similar rating plan; or

**2.** "Property damage" included within the "explosion hazard," the "collapse hazard" or the "underground property damage hazard;" or

**3.** Any obligation of the insured to pay damages by reason of the assumption of liability in a contract or agreement that is an "insured contract."

**B.** The following definitions are added to the **Definitions** Section:

**1.** "Collapse hazard" includes "structural property damage" and any resulting "property damage" to any other property at any time.

**2.** "Explosion hazard" includes property damage arising out of blasting or explosion. The "explosion hazard" does not include "property damage" arising out of the explosion of air or steam vessels, piping under pressure, prime movers, machinery or power transmitting equipment.

**3.** "Structural property damage" means the collapse of or structural injury to any building or structure due to:

**a.** Grading of land, excavating, borrowing, filling, back-filling, tunneling, pile driving, cofferdam work or caisson work; or

**b.** Moving, shoring, underpinning, raising or demolition of any building or structure or removal or rebuilding of any structural support of that building or structure.

**4.** "Underground property damage hazard" includes "underground property damage" and any resulting "property damage" to any other property at any time.

**5.** "Underground property damage" means property damage to wires, conduits, pipes, mains, sewers, tanks, tunnels, any similar property, and any apparatus used with them beneath the surface of the ground or water, caused by and occurring during the use of mechanical equipment for the purpose of grading land, paving, excavating, drilling, borrowing, filling, back-filling or pile driving.

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# EXCLUSION – CLAIMS-MADE COVERAGE

This endorsement modifies insurance provided under the following:

COMMERCIAL LIABILITY UMBRELLA COVERAGE PART

The Commercial Liability Umbrella Coverage Form does not apply to nor extend any coverage provided under the claims-made coverages:

1. Computer Repair Technology Professional Protection Endorsement
2. Condominium Directors and Officers Liability Coverage Form
3. Employment Practices Liability Endorsement
4. Employment Practices Liability Insurance
5. Errors and Omissions Coverage
6. Fire Protection and Alarm System Errors and Omissions Endorsement
7. Illinois Computer Repair Technology Professional Protection Endorsement
8. Limited Pollution Liability and Clean-Up Costs Coverage
9. Not-For-Profit Organization Directors, Officers and Trustees Liability Insurance Policy
10. Radon Contractor Error & Omissions Coverage with Limited Pollution Clean Up Costs

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# EXCLUSION – ASBESTOS OR ASBESTOS PRODUCTS

This endorsement modifies insurance provided under the following:

COMMERCIAL LIABILITY UMBRELLA COVERAGE PART

The following exclusion is added to Paragraph **2. Exclusions** of **Section I – Coverage A – Bodily Injury And Property Damage Liability** and Paragraph **2. Exclusions** of **Section I – Coverage B – Personal And Advertising Injury Liability**:

**2. Exclusions**

This insurance does not apply to:

**Asbestos**

**a.** "Bodily injury", "property damage", or "personal and advertising injury" arising, in whole or in part, out of the actual, alleged, threatened, or suspected inhalation of, ingestion of, contact with, exposure to, existence of, or presence of asbestos in any form including, but not limited to, asbestos dust, asbestos fibers, or products containing asbestos.

**b.** Any loss, cost or expense arising, in whole or in part, out of the abating, testing for, monitoring, cleaning up, removing, containing, treating, detoxifying, neutralizing, remediating or disposing of, or in any way responding to or assessing the effects of asbestos in any form including, but not limited to, asbestos dust, asbestos fibers, or products containing asbestos, by any insured or by any other person or entity.

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# AMENDMENT OF OTHER INSURANCE CONDITION – BLANKET

This endorsement modifies insurance provided under the following:

COMMERCIAL LIABILITY UMBRELLA COVERAGE PART

The **Other Insurance** of **Section IV – Conditions** is deleted and replaced by:

**5. Other Insurance**

**a.** This insurance is excess over, and shall not contribute with any of the other insurance, whether primary, excess, contingent or on any other basis. This condition will not apply to either:

**(1)** Other insurance that is specifically written as excess over this Coverage Part; or

**(2)** Other insurance available to an additional insured, as described in paragraph **3.** of **Section II** of this Coverage Part, provided that:

**(a)** The additional insured is a Named Insured under such insurance;

**(b)** You have agreed in a written contract or written agreement with the additional insured that such other insurance is intended to be either excess of this insurance or excess and non-contributory with this insurance;

**(c)** The most we will pay on behalf of the additional insured will be the amount of insurance:

**(i)** Required in the written contract or written agreement, less any amounts payable by any "underlying insurance"; or

**(ii)** Available under the applicable Limits of Insurance shown in the Declarations of this policy and described in **Section III - Limits of Insurance**;

whichever is less; and

**(d)** The "bodily injury" or "property damage" takes place after the written contract or written agreement is signed by all parties, or as respects "personal and advertising injury", the offense takes place after the written contract or written agreement is signed by all parties.

**b.** When this insurance is excess, we will have no duty under Coverages **A** or **B** to defend the insured against any "suit" if any other insurer has a duty to defend the insured against that "suit". If no other insurer defends, we will undertake to do so, but we will be entitled to the insured's rights against all those other insurers.

**c.** When this insurance is excess over other insurance, we will pay only our share of the "ultimate net loss" that exceeds the sum of:

**(1)** The total amount that all such other insurance would pay for the loss in the absence of the insurance provided under this Coverage Part; and

**(2)** The total of all deductible and self-insured amounts under all that other insurance.

This endorsement shall not increase the applicable Limits of Insurance show in the Declarations of this policy.

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# EXCLUSION – LEAD LIABILITY

This endorsement modifies insurance provided under the following:

COMMERCIAL LIABILITY UMBRELLA COVERAGE PART

This insurance does not apply to:

1. actual or alleged "bodily injury" arising out of the ingestion, inhalation, or absorption of lead in any form;
2. actual or alleged "property damage" (or "personal and advertising injury", if provided by this coverage part) arising out of any form of lead;
3. any loss, cost, or expense arising out of any request, demand, or order that any "insured" or others test for, monitor, clean up, remove, contain, treat, detoxify, or neutralize, or in any way respond to or assess the effects of lead; or
4. any loss, cost, or expense arising out of any claim or suit by or on behalf of any governmental authority for damages resulting from testing for, monitoring, cleaning up, removing, containing, treating, detoxifying, or neutralizing, or in any way responding to or assessing the effects of lead.

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# YEAR 2000 COMPUTER-RELATED AND OTHER ELECTRONIC PROBLEMS FOLLOWING FORM ENDORSEMENT

This endorsement modifies insurance provided under the following:

COMMERCIAL LIABILITY UMBRELLA COVERAGE PART

Except to the extent coverage is available to you or the insured in the "underlying insurance," this insurance does not apply to "bodily injury", "property damage" or "personal and advertising injury" arising directly or indirectly out of:

**1.** Any actual or alleged failure, malfunction or inadequacy of:

**a.** Any of the following, whether belonging to any insured or to others:

**(1)** Computer hardware, including microprocessors;

**(2)** Computer application software;

**(3)** Computer operating systems and related software;

**(4)** Computer networks;

**(5)** Microprocessors (computer chips) not part of any computer system; or

**(6)** Any other computerized or electronic equipment or components; or

**b.** Any other products, and any services, data or functions that directly or indirectly use or rely upon, in any manner, any of the items listed in Paragraph **1.a.** of this endorsement

due to the inability to correctly recognize, process, distinguish, interpret or accept the year 2000 and beyond.

**2.** Any advice, consultation, design, evaluation, inspection, installation, maintenance, repair, replacement or supervision provided or done by you or for you to determine, rectify or test for, any potential or actual problems described in Paragraph **1.** of this endorsement.

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# EXCLUSION – EXTERIOR INSULATION, FINISH OR COATINGS BY OR ON BEHALF OF THE INSURED

This endorsement modifies insurance provided under the following:

COMMERCIAL LIABILITY UMBRELLA COVERAGE PART

This insurance does not apply to "bodily injury" or "property damage" arising in any manner from the design, manufacture, construction, fabrication, preparation, installation, application, maintenance, repair, inspection or use of stucco, synthetic stucco, EIFS (Exterior Insulation and Finish System), or any other exterior insulation, finish or coating product or system, by the insured or any subcontractor of the insured.

**THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.**

# EXCLUSION – BIOMETRIC IDENTIFIERS OR BIOMETRIC DATA

This endorsement modifies insurance provided under the following:

COMMERCIAL LIABILITY UMBRELLA COVERAGE PART

**A.** The following exclusion is added to Paragraph **2. Exclusions** of **Section I – Coverages – Coverage A – Bodily Injury and Property Damage Liability** and Paragraph **2. Exclusions** of **Section I – Coverages – Coverage B – Personal and Advertising Injury Liability**:

This insurance does not apply to "bodily injury," "property damage", “personal and advertising injury” damages, injury, or any other loss of any kind, cost, or expense arising out of one or more of actual or alleged access to, retention or possession of, disclosure of, and/or failure to obtain consent to, failure to destroy, and/or failure to create or develop any policy (written or otherwise) related to the: capture, scanning, retrieval, collection, protection, obtainment, storage, conversion, transfer, sale, sharing, or dissemination of any kind of an individual’s “biometric identifiers” or “biometric data”, regardless of how such “biometric identifiers” or “biometric data” are captured, scanned, retrieved, collected, protected, obtained, stored, converted, transferred, sold, shared, or disseminated by any insured or any third party acting by, on behalf of or at the direction of the insured.

**B.** The following definitions are added to **Section V – Definitions**:

“Biometric identifiers" means DNA, written signature, computer navigation (mouse or touchpad) pattern, keystroke pattern, behavioral pattern, retinal scan, eyeball scan, iris scan, fingerprint, footprint, voiceprint, vascular scan, hand geometry scan, face geometry scan, or any other personally identifiable measurable biological characteristic of a natural person. “Biometric identifiers” includes any similarly-defined term(s) included in any state or federal statute that includes any of the “biometric identifiers,” or similar term(s), set out above.

"Biometric data" means any information, regardless of how it is captured, scanned, retrieved, collected, protected, obtained, stored, converted, transferred, sold, shared, or disseminated, based on an individual's “biometric identifier” used to identify an individual. “Biometric data” includes personal data relating to the physical, physiological, or behavioral characteristics of a natural person which allow or confirm the unique identification of that natural person.

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# EXCLUSION – HUMAN TRAFFICKING

This endorsement modifies insurance provided under the following:

COMMERCIAL LIABILITY UMBRELLA COVERAGE PART

**A.** The following exclusion is added to **Paragraph 2. Exclusions** of **Section I – Coverage A – Bodily Injury And Property Damage Liability and Paragraph 2. Exclusions** of **Section I – Coverage B – Personal And Advertising Injury Liability** in the **Commercial Liability Umbrella Coverage Form:**

**2. Exclusions**

This insurance does not apply to:

**Human Trafficking**

"Bodily injury", "property damage", "personal and advertising injury", or any other liability arising directly or indirectly out of any actual or alleged:

**a.** **"**Human trafficking**"**;

**b.** Failure to detect, recognize, protect against, suppress or prevent, investigate, intervene, report or take action in connection with **"**human trafficking**"**;

**c.** Failure to warn of the dangers of the environment which could contribute to any event of **"**human trafficking**"**;

**d.** Loss, cost or expense(s) responding to **"**human trafficking**"** in any way;

**e.** Failure to render or secure medical treatment or care necessitated by any event, or perceived event, of **"**human trafficking**"**;

**f.** Conduct, acts or omissions prohibited by, in violation of, or for which penalties are provided within, the Trafficking Victims Protection Act of 2000, as amended, or under any local, state, federal law; or

**g.** Death, including any allegations of wrongful death, arising out of items **a.** through **f.**

Any such "bodily injury", "property damage", "personal and advertising injury", or any other liability is excluded regardless of any other cause or event that contributes concurrently or in any sequence to the loss.

This exclusion applies even if the claims against any insured allege negligence or other wrongdoing including, but not limited to, the supervision, hiring, employment, training or monitoring of others by that insured, if the "bodily injury", "property damage", "personal and advertising injury", or any other liability, is in any way related to anything described in Paragraphs **a.** through **g.** above**.**

**B.** The following definition is added to **Section V – Definitions** in the **Commercial Liability Umbrella Coverage Form**:

"Human trafficking" means the illegal recruitment, enticement, grooming, exploitation, advertisement, transportation, facilitation, detention, provision, or harboring of a person or persons, including, but not limited to:

**a.** By force, fraud or coercion in exchange for labor, services, or a sex act;

**b.** Under legal age of adulthood or consent induced to perform a sex act;

**c.** In connection with migratory smuggling;

**d.** For organ harvesting or donation;

**e.** Marriage;

**f.** Smuggling;

**g.** Slavery;

**h.** Peonage or debt bondage; or

**i.** Forced criminality or violence of any kind.

"Human trafficking" also includes benefiting financially or receiving anything of value as a result of "human trafficking".

All other terms, conditions and exclusions shall remain unchanged.

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# WISCONSIN CHANGES

This endorsement modifies insurance provided under the following:

COMMERCIAL LIABILITY UMBRELLA COVERAGE PART

**A. Changes To Who Is An Insured**

**1.** Paragraph **2.b.(3)** of **Section II – Who Is An Insured** is replaced by the following:

**(3)** Someone using a "covered auto" while he or she is working in a business of selling, servicing, repairing, parking or storing "autos" unless that business is yours.

However, we will provide liability coverage to such person if there is no other valid and collectible insurance available to respond for damages for which that "insured" is legally responsible at limits equal to or greater than the statutory minimum limit of liability specified in WIS. STAT. ch. 344. This applies whether such insurance is primary, excess or contingent. We will provide such coverage up to the statutory minimum limit of liability. The statutory minimum limit for each "occurrence" is $60,000 for "bodily injury" and "property damage".

**2.** Paragraph **2.b.(6)** of **Section II – Who Is An Insured** does not apply if the "bodily injury" results from the use of a "covered auto" you do not own or lease.

**B. Changes In Conditions**

**1.** The following is added to **Changes** (Common Policy Conditions):

If one of our agents knows of a fact that breaches a condition of this Coverage Part, we will be considered to have knowledge of this same fact if:

**a.** The agent knows of this fact at the time the Coverage Part is issued or an application is made; or

**b.** The agent later learns of this fact in the course of his dealings as an agent with you.

Any fact that breaches a condition of this Coverage Part and is known to the agent prior to loss shall not void the Coverage Part or prevent a recovery in the event of loss.

**2.** The **Legal Action Against Us** Condition of **Section IV – Conditions** does not apply.

**3.** The following is added to Condition **7. Representations, Concealment Or Fraud** of **Section IV – Conditions:**

No misrepresentation or breach of affirmative warranty made by you or on your behalf in the negotiation of this Coverage Part affects our obligation under this Coverage Part unless:

**a.** We rely on it and it is either material or made with intent to deceive; or

**b.** The facts misrepresented or falsely warranted contribute to the loss.

No failure of a condition before the loss and no breach of a promissory warranty affect our obligation under this Coverage Part unless such failure or breach:

**a.** Exists at the time of the loss; and

**b.** Either increases the risk at the time of the loss or contributes to the loss.

The provisions of this condition do not apply to nonpayment of premium. If we elect to rescind this policy, we will notify the "insured" of our intention within 60 days after acquiring knowledge of sufficient facts to constitute grounds for rescission.

**4.** Condition **9. Transfer Of Rights Of Recovery Against Others To Us** of **Section IV – Conditions** is replaced by the following:

In the event of any payment under this Coverage Part, we will be entitled to the insured's rights of recovery against any person or organization and the insured will do whatever is necessary to secure such rights. We will be entitled to a recovery only after the insured has been fully compensated for damages.

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**5.** The following is added to Condition **3. Duties In The Event Of Occurrence, Offense, Claim Or Suit** of **Section IV – Conditions:**

In the event of "occurrence", claim, "suit" or "loss", you must give us or our authorized representatives notice as soon as reasonably possible of the "occurrence" or "loss".

**6. Conformity To Statute Or Rule**

Any provision of this policy (including endorsements which modify the policy) that is in conflict with a Wisconsin statute or rule is hereby amended to conform to that statute or rule.

The term rule means a valid rule promulgated by the Commissioner of Insurance in accordance with the rule-making authority conferred under WIS. STAT. Section 227.11(2) and published in the Wisconsin Administrative Code.


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